



Registration document

and annual financial
report 2018



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Groupe La Banque Postale

Registration document

& annual financial report **2018**



Only the French version of the Registration document has been submitted to the AMF ; it is therefore the only version that is binding in law. The original document was submitted to the French Financial Markets Authority (AMF) on 14 March 2019 in accordance with Article 212-13 of its General Regulations. It may be used in support of a financial transaction only if supplemented by a Transaction Note approved by the AMF. This document was prepared by the issuer and its signatories are liable for its content.

The English language of this report is a free translation from the original, which was prepared in French. All possible care has been taken to ensure that this translation is an accurate presentation of the original. However, in all matters of interpretation, views or opinion expressed in the original language version of the document in French take precedence over the translation.

Pursuant to Article 28 of EC n° 809/2004 of 29 April 2004, the following documents have been incorporated by reference into this Registration Document:

- ▶ the consolidated financial statements for the financial years ended 31 December 2017, together with the related statutory auditors' report, presented respectively on pages 158-162 and 223-225 of Registration Document No. D.18-0143 registered with the French Financial Markets Authority on 16 March 2018 ;
- ▶ the consolidated financial statements for the financial year ended 31 December 2016, together with the related statutory auditors' report, presented respectively on pages 153-156 and 203-205 of Registration Document No. D.17-0164 registered with the French Financial Markets Authority on 14 March 2017.

These documents are available at the Company's registered office at 115, rue de Sèvres, 75 275 Paris Cedex 06, as well as on its website www.labanquepostale.com.

INTRODUCTION

Company name and trading name

The name of the Company is: “La Banque Postale”, herein referred to as La Banque Postale

Legal form - Applicable legislation

Limited company (*société anonyme*) with an Executive Board and a Supervisory Board

The Company is governed by current laws and regulations, and specifically by:

The provisions of the French Commercial Code regarding commercial companies;

The provisions of the French Monetary and Financial Code regarding credit institutions;

The provisions of law no. 2005-516 of 20 May 2005 regarding the regularisation of postal activities;

The provisions of order no. 2014-948 of 20 August 2014 regarding governance and transactions involving the share capital of companies with public shareholdings.

Place of registration and registration number – Date of incorporation – Country of origin

The Company was registered with the Paris Trade and Companies Registry under number 421 100 645 on 10 December 1998

Country of origin: France

Amount of the share capital

The share capital is set at four billion forty-six million four hundred and seven thousand five hundred and ninety-five euros (€4,046,407,595). It is divided into thirty-five million one hundred and eighty-six thousand one hundred and fifty-three (35,186,153) fully paid-up shares of a single class.

Duration of the company

The duration of the Company is 99 years from the date of its registration with the Trade and Companies Registry (i.e. 10 December 1998), except in the event of dissolution or extension as decided by an Extraordinary General Meeting.

Registered office

The registered office is located at 115 rue de Sèvres - 75275 Paris Cedex 06, France.

The telephone number for the registered office is +33(0) 1 57 75 60 00.

PRESENTATION OF LA BANQUE POSTALE GROUP

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1.1 GENERAL PRESENTATION OF THE GROUP

La Banque Postale, a limited company with Executive and Supervisory Boards, is the parent company of La Banque Postale Group.

As a bank that works in the best interests of the community at large, La Banque Postale shares La Poste's values of trust, accessibility and local presence, endowing it from the start with an unusual and unique positioning on the French market. Its approach is driven by an offer based on low service rates, access for all customers and a simple product range that focuses on customer needs.

La Banque Postale Group's business is focused on Retail Banking activities in France. It is organised around three business divisions:

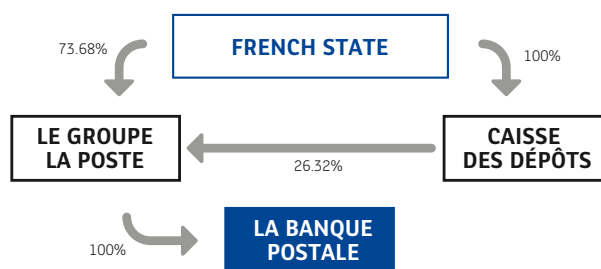
- ▶ Retail banking, its core business, offering banking products and services to individual and corporate customers, social economy actors and local authorities;
- ▶ Insurance, carried out through the life, personal protection, property and casualty, and health insurance subsidiaries;
- ▶ Asset management, carried out through the asset management subsidiaries which provide savings and investment products to individual customers and legal entities.

1.1.1 Group shareholding structure

La Poste Group owns all of La Banque Postale's equity capital and voting rights, except for one share held by the Chairman of the Supervisory Board. There are no employee shareholders.

Article 1 of law no. 2010-123 of 9 February 2010 stipulates that La Poste's share capital shall be held by the French State and by other government bodies, except for any capital that may be held under employee ownership schemes.

La Poste is controlled by the French State, 73.68% directly and 26.32% through the Caisse des dépôts et consignations (CDC).



1.1.2 Shareholder relations

La Banque Postale, a fully-owned subsidiary of the La Poste Group

Pursuant to Article 16 of law no. 2005-516 of 20 May 2005, and to its enactment decree of 30 August 2005, La Poste, an industrial and commercial public company (EPIC), transferred all the assets, rights and obligations relating to its financial services to La Banque Postale, with effect from 31 December 2005. Equity interests were included in the transfer, with the exception, where appropriate, of those required by La Poste for its directly-managed businesses. As a result of these transactions, La Poste holds all of the capital of La Banque Postale (except for one share lent to the Chairman of Supervisory Board).

The aforementioned Article 16 expressly provides that La Poste must own a majority interest in the capital of its subsidiary.

The relationship between La Poste and La Banque Postale is very close. It operates both at the governance and management body level, and in the companies' industrial and commercial dealings. As a result, the Executive Board Chairman of La Banque Postale is also Executive Vice-President of La Poste and a member of its Executive Committee. La Banque Postale's Supervisory Board comprises six members of the La Poste Group, some of whom belong to the Board Committees. The Chairman of La Poste is also the Chairman of the Supervisory Board of La Banque Postale.

La Poste is La Banque Postale's main service provider, and La Banque Postale uses La Poste's resources to conduct its business. Various agreements have been reached between La Poste

and La Banque Postale in this respect, and pursuant to Article 16 of law no. 2005-516 of 20 May 2005.

As a subsidiary of La Poste Group, La Banque Postale must obtain prior authorisation from the Board of Directors of La Poste to carry out certain transactions such as acquisitions, equity investments, asset disposals, strategic partnership transactions, and other significant investments and divestments. The Bank must request prior authorisation for any borrowing made by it which has a significant impact on the consolidated balance sheet of the La Poste Group.

Lastly, La Banque Postale is La Poste's main banker.

As well as its close relationship with its parent company, La Banque Postale has frequent dealings with the French State's holdings agency, APE (*Agence des Participations de l'État*), which is regularly informed of the Bank's strategic direction.

Successor to the banking accessibility mission entrusted to La Poste

The Legislator has entrusted La Poste with a public interest role to ensure banking accessibility to banking, including support for the Livret A account. This is one of the four public service and general interest missions entrusted to La Poste by the Law of 2 July 1990 (amended by the Law of 9 February 2010). The French Monetary and Financial Code also stipulates that "in the banking, financial and insurance fields, La Poste shall offer products and services as widely as possible, particularly the *Livret A* accounts". La Poste

carries out this role *via* La Banque Postale, its subsidiary, a credit institution.

The Law on the Modernisation of the Economy dated 4 August, 2008 generalised the distribution of the *Livret A* regulated savings accounts to all banks as from 1 January 2009. However, the law set out specific obligations for La Banque Postale in terms of the distribution and operation of the *Livret A* in respect of its banking accessibility mission. These obligations, formalised in the two agreements binding the government, La Poste and La Banque

Postale are provided in a special section of this registration document (7.5.2 Banking accessibility mission).

The public service mission, which benefits many people have difficulty accessing or using traditional banking services receives financial compensation from the Caisse des dépôts savings fund. The principle of the compensation is provided for in the law and the multiyear amount (currently the 2015-2020 period) was approved by the European Commission under the State aid regime.

1.1.3 Changes in the share capital

In 2013, the share capital was increased to €3,413,734,750 following a capital increase *via* the contribution of La Banque Postale's head office. In 2014, the share capital was increased to €4,046,407,595 following a further capital increase.

There have been no further changes in the share capital since 2015.

	2014	2015	2016	2017	2018
Number of shares	35,186,153	35,186,153	35,186,153	35,186,153	35,186,153
Share capital (in euros)	4,046,407,595	4,046,407,595	4,046,407,595	4,046,407,595	4,046,407,595
La Poste holding	100%	100%	100% ⁽¹⁾	100% ⁽¹⁾	100% ⁽¹⁾

(1) With the exception of a one-share loan to Chairman of the Supervisory Board.

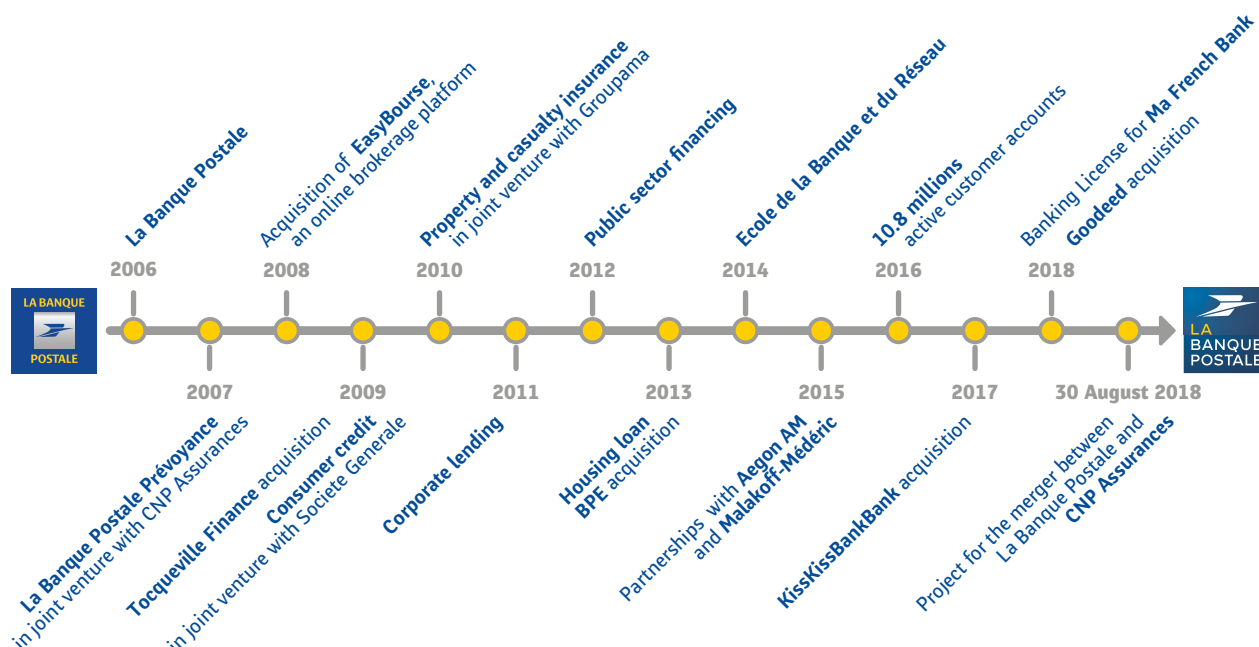
The shares that make up the share capital have not been pledged.

1.1.4 Dividend policy

The dividend distribution policy is set by agreement with the shareholder, and is decided by the General Meeting, on the Executive Board's recommendation. The dividends distributed are as follows:

	2014	2015	2016	2017	2018
Dividend per share (in euros)	8.66	9.04	8.87	9.77	9.28
Distribution (in million euros)	305	318	312	343	327

1.1.5 History



A bank that works in the best interest of the community at large, La Banque Postale shares La Poste's values of trust, accessibility and local presence, which from the start bestowed it with an unusual and unique positioning on the French market. Beyond its accessibility mission, its policy consists in providing simple products based on customer needs, reasonable service prices and accessibility for all customers.

As the successor to La Poste Financial Services, La Banque Postale was created on 31 December 2005, via the legal transformation of EfiPoste, an investment company established in 2000 to provide financial management for the demand deposit outstandings of La Poste, which also wanted to establish a banking subsidiary able to carry all customer deposits and loans in its balance sheet. Pursuant to Article 16 of law no. 2005-516 of 20 May 2005, and to its enactment decree of 30 August 2005, La Poste, in the form of an industrial and commercial public company (EPIC), transferred all the assets, rights and obligations relating to its financial services to La Banque Postale, with effect from 31 December 2005. Equity interests were included in the transfer, with the exception, where appropriate, of those required by La Poste for its directly managed businesses. As a result of these transactions, La Poste holds all of the capital of La Banque Postale (except for one share lent to the Chairman of the Supervisory Board).

La Banque Postale has a distinguishing feature arising from the General Interest Mission of its sole shareholder, La Poste, which is the obligation to open a Livret A account free of charge for any person who requests it. As part of this mission, it authorises payment transactions to Livret A accounts relating to social security benefits and to civil servants' pensions, as well as direct debits relating to the payment of taxes and duties, water, gas, and

electricity bills, and subsidised housing rents. Finally, La Banque Postale is the only bank which authorises withdrawals from and deposits to Livret A accounts starting at €1.5.

Since its creation, and in line with its certification, La Banque Postale has extended its product range from home loans with no prior savings requirement (in 2006), to consumer loans (in 2007), to property and casualty insurance (in 2009), to financing products and services for legal entities (in 2011) to financing products for local authorities (in 2012).

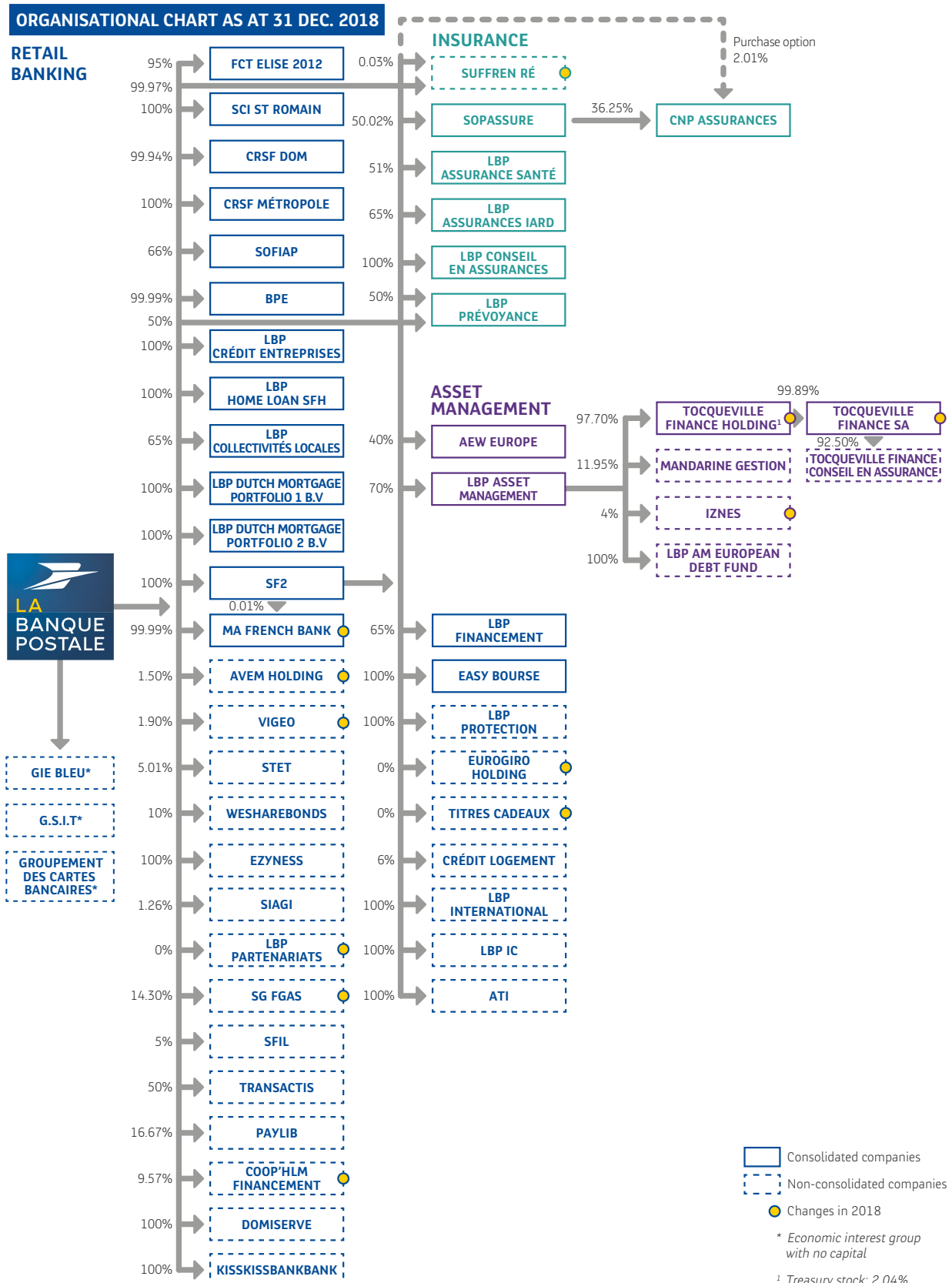
Since this date, La Banque Postale has offered the full range of retail banking products and services, and is continuing its development through new acquisitions and the implementation or strengthening of partnerships.

In 2017, La Banque Postale rounded out its full-service banking offering by creating the Banque de Financement et d'Investissement. The latter brings together all activities associated with financial markets, structured financing, assets and projects.

In 2017 also, La Banque Postale's governance was extended and strengthened with the arrival of a new General Secretary, who sits on the Executive Board. The Bank also added a Department of Public Affairs responsible for market relations with the regulatory and supervisory authorities of the Bank/Insurance/Asset Management sectors.

On 30 August 2018, the French Ministry for the Economy and Finance announced the project to merge La Poste and Caisse des dépôts (CDC). The project is part of La Banque Postale's transformation plan and contributes to the achievement of its strategic objectives: to build a major complete and diversified bank insurance group with CNP Assurances.

1.1.6 Group organisation



The organisational chart shown does not include entities to be sold or non-consolidated entities in which the holding is below a 1% threshold.

1.1.7 Organisational structure

La Banque Postale's structure was inherited from La Poste's Financial Services organisational chart. It includes:

- ▶ La Banque Postale, parent company of the Group, to which the activities of La Poste's Financial Services were transferred. It is the core of the Retail Banking business and directly holds the most recent acquisitions;
- ▶ SF2, a holding company with 23 subsidiaries and equity interests (with the exception of entities held directly) created during the time of La Poste's Financial Services and acquired by La Banque Postale at its creation in 2005. At that time, SF2 held most of the Insurance and Asset Management subsidiaries.

Operational relations with the La Poste Group

Wholly owned by La Poste, La Banque Postale is both a customer (for mail, parcel, network and other services) and a supplier (as its principal bank) of the Group. La Poste has the role of service provider, supplying staff who act "in the name of and on behalf of" La Banque Postale.

Relations between La Banque Postale and La Poste are conducted within the framework of service agreements as provided for by law no. 2005-516 of 20 May 2005 concerning the regulation of post office business activities (Article 16). This arrangement comprises a framework agreement that establishes the general principles and those of responsibility between La Poste and La Banque Postale. This agreement has 14 implementing conventions divided into the following five areas:

- ▶ information technology and telecommunications;
- ▶ employee support and accommodation;
- ▶ counters, ATMs and commercial distribution;
- ▶ controls, risks, compliance, anti-money laundering and combating the financing of terrorism;
- ▶ support functions.

La Poste staff used by La Banque Postale implement the Bank's policies in its name and on its behalf. These La Poste employees are authorised to act on the Bank's behalf, in accordance with specific rules necessary for conducting banking business, and they primarily exercise the back and middle-office, IT support and banking, financial and insurance product sales force functions of La Banque Postale.

Counter services are provided by the network of post offices of La Poste and are governed by agreements concerning the type of transactions to be carried out, their unit rate in accordance with an economic model, the way they are carried out and the quantitative and qualitative service criteria.

Organisation of La Banque Postale

La Banque Postale is organised as follows:

- ▶ 43 subsidiaries and strategic equity interests;
- ▶ resources provided by La Poste Group consisting of the distribution capability of the more than 17,200 retail outlets of the La Poste Network (including 8,100 post offices), a dedicated IT Department and the activity managed by 23 Financial Centres⁽¹⁾. Of these Financial Centres, two are national and have specific expertise⁽²⁾. They are responsible for handling customer requests, the administrative management of files, providing means of payment, processing mail and documents, and managing risk and fraud and remote product sales;
- ▶ three categories of players, present daily in the relationship the bank maintains with its customers:
 - the employees of La Banque Postale and its subsidiaries, *i.e.* nearly 5,211 employees hired directly and who are located throughout France,
 - the employees of La Poste's Financial Services⁽³⁾, *i.e.* 13,621 employees. These employees report to the Chairman of La Banque Postale's Executive Board, in his capacity as Executive Vice-President of La Poste responsible for Financial Services,
 - banking advisors and customer managers in post offices reporting to La Poste Network within the *Ligne Conseil Bancaire* and the ASBs⁽⁴⁾, *i.e.* 10,094 employees.

In all, more than 29,000 employees work for and on behalf of La Banque Postale⁽⁵⁾.

For more details on the employee data, please refer to the Section on "Social Indicators" in Chapter 6 "Corporate Social Responsibility".

(1) 19 in metropolitan France and 4 overseas 19 in metropolitan France and 4 overseas

(2) Introduction, transferable securities, insurance and home, electronic money, money orders and optical payments, loans

(3) Financial services include the financial centres, national centres (including the CNMR) and the IT departments of Financial Services and the La Poste Network, DEDT SF and DSF.

(4) La Ligne Conseil Bancaire (LCB – La Poste group employees who work in the name of and on behalf of the La Banque Postale). LCB functions are as follows: customer advisor, financial advisor, customer manager, specialised wealth advisor, specialised real estate advisor, government home-ownership programme financing correspondent, housing loan advisor; Appui Soutien Bancaire (ASB; banking assistance) function: bank sales monitor, youth leader, loan assistant, acquisitive prescription operations director and private client manager.

(5) Permanent, fixed-term and secondment contracts

1.2 KEY FIGURES

10.3 MILLION ACTIVE INDIVIDUAL CUSTOMERS	365,000 LEGAL AND LOCAL PUBLIC ENTITY CUSTOMERS	17,200 CONTACT POINTS
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1.2.1 Consolidated results

(in million euros; reported data)

	2014	2015	2016	2017	2018
Net Banking Income	5,673	5,745	5,602	5,687	5,570
Operating expenses ⁽¹⁾	4,672	4,693	4,587	4,619	4,615
Gross operating income	1,001	1,052	1,015	1,068	955
Cost of risk	163	181	181	192	133
Cost of the ACPR penalty	0	0	0	0	50
Net income, Group share	677	707	694	764	726
Cost-to-income ratio ⁽²⁾	82.7%	82.1%	82.4%	81.8%	83.4%

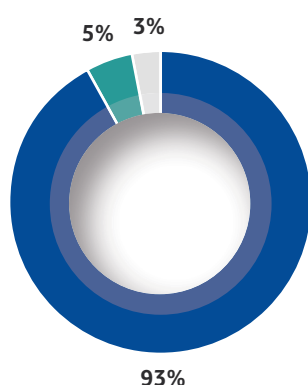
(1) Operating expenses = general operating expenses + net depreciation, amortisation and impairments of tangible and intangible assets.

(2) Cost-to-income ratio = operating expenses/(net banking income - doubtful interest).

1.2.2 Business Line contributions to Net Banking Income (NBI) and net income, Group share in 2018

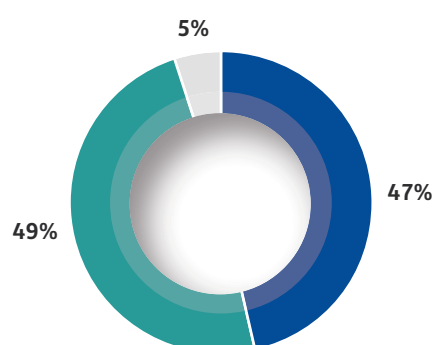
The breakdown of net income, group share includes the contribution of CNP Assurances to the Insurance business income.

NBI BY BUSINESS LINE



■ Retail Banking
■ Insurance
■ Asset Management

NET INCOME, GROUP SHARE BY BUSINESS LINE

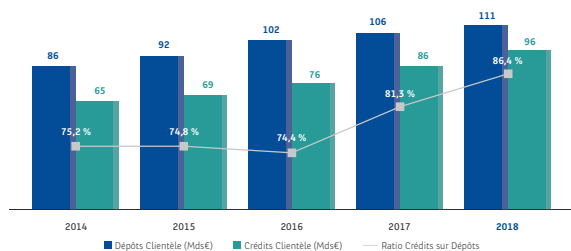
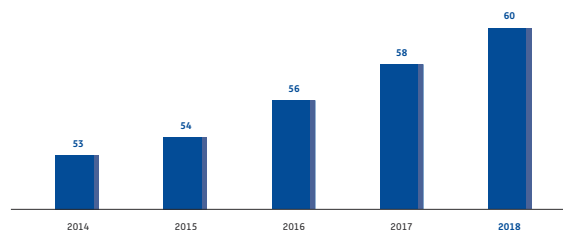


■ Retail Banking
■ Insurance
■ Asset Management

1.2.3 Business activity

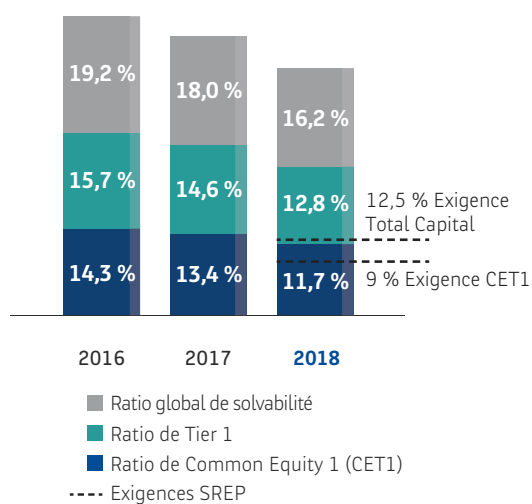
(in billion euros; reported data)

	2014	2015	2016	2017	2018
BALANCE SHEET TOTAL	213	219	230	231	245

**CUSTOMER DEPOSIT⁽¹⁾ AND CREDIT OUTSTANDINGS
(IN € BILLION) AND LOAN-TO-DEPOSIT RATIO (%)****OUTSTANDING HOME LOANS
(IN € BILLION)**

1.2.4 Financial structure

La Banque Postale Group has comfortable solvency ratios.

PRUDENTIAL RATIOS (%)

In accordance with to Basel III, taking into account the transitional measures provided for in the CRR/CRD IV.
 The 2018 reported Common Equity Tier 1 (CET1) ratio and SREP requirements are fully loaded.

(1) Total amount of customer deposits and loan-to-deposit ratio excluding savings outstandings centralised at the CDC.

1.2.5 Ratings

La Banque Postale enjoyed good credit ratings at 31 December 2018, reflecting its financial strength and its rigorous risk management:

	Standard & Poor's	Fitch
Long-term ratings	A	A-
Outlook	Positive	Stable
Date updated	30 October 2018	12 April 2018
Short-term ratings	A-1	F1

Rating agencies confirmed the short-term and long-term credit ratings of La Banque Postale in 2018 which are, respectively, A-/F1 for Fitch and A/A-1 for S&P.

Moreover, on 30 October 2018, S&P raised La Banque Postale's outlook to positive, as a result of the upgrade of the outlook for La Poste, in the context of the merger with CNP Assurances.

1.3 STRATEGY AND OUTLOOK

Since its creation in 2006, La Banque Postale has gradually combined its various expertise in retail banking, insurance and asset management to become a full-service bank providing a complete range of products and services that meets economic and social challenges, while serving each and all.

La Banque Postale is unique in terms of its history, values and service to the real economy, and it is now capitalising on these fundamentals to build the “bank of tomorrow”. With its 2014-2020 development plan “Osons créer la banque de demain” (creating the bank of tomorrow), which is fully in line with the “La Poste 2020: conquering the future” Strategic Plan, La Banque Postale has taken steps to transform itself, accelerate its development and increase the efficiency of its operations to better serve its customers.

This dynamic operates in a rapidly changing environment under the combined effects of several factors:

- ▶ an economic and financial context of historically low interest rates;
- ▶ changing consumer behaviour and lifestyles that are evolving as a result of new technologies;
- ▶ a changing regulatory environment that requires banks to be both more stringent (notably in prudential matters, and the management of its customers’ personal data) and more open (the second Payment Services Directive);
- ▶ a very competitive domestic banking landscape that is highly focused on the mature universal Retail Banking and insurance market;
- ▶ and the emergence of new players on the periphery of the banking industry offering innovative and appealing solutions for the customers of the traditional players of the domestic banking market.

Faced with all of these challenges, a project to create a major public financing division to serve the territories was announced in August 2018. This project will be carried out *via* a merger of La Banque Postale and CNP Assurances.

1.3.1 The objectives of the 2020 development plan

La Banque Postale’s development plan prioritises commercial development for all types of customers, whether individuals or legal entities, while consolidating the development of the Asset Management and Insurance units which underpin its diversification strategy.

Accelerate business development in the retail banking market

In the retail banking market, the major development focus is on:

- ▶ winning and retaining the loyalty of **young** customers. Attractive commercial terms for products, responsiveness to suggestions and the quality of customer relations are the keys to attracting and retaining the loyalty of young customers. Specific offers and commercial guidance are provided to them;
- ▶ building life solutions for **seniors**. The societal challenge presented by an ageing population and the management of dependency has led La Banque Postale to provide new solutions (dependency insurance, *etc.*) and to support its senior customers while taking the financial situation of each individual into account;
- ▶ accelerating the development of **wealth** banking, relying on an expanded sales structure, a full range of services and a suitable organisation. The creation of a wealth management unit at the Bank with the merger of La Banque Postale Gestion Privée and BPE in 2015 illustrates the Bank’s desire to accelerate its expansion on the high-net-worth customer segment, primarily in the areas of wealth and tax engineering and tailored management. The wealth management services offer is growing thanks to the support of La Banque Postale Group’s entities specialising in asset management, insurance and personal protection;
- ▶ offering **vulnerable customers** tailored solutions and continuing its long-term General Interest Mission - banking accessibility. La Banque Postale is continuing its commitment to banking solutions for vulnerable customers, in particular through the *Livret A* regulated savings account, but also through banking and budget support and support for budgetary and financial education *via* workshops with non-profit association partners.

La Poste Network’s banking priority has been materialised through the introduction of shared sales teams for La Banque Postale and La Poste Network. The gradual expansion and development of Network stakeholders’ responsibilities allows them to devote themselves entirely to developing banking activities for private customers and to take quick and high-quality commercial decisions, with local presence for customers.

Continuing to build the bank for businesses and the territories

Craftspeople, large companies, shopkeepers, associations, mutual insurance bodies, hospitals, social housing organisations, local authorities, *etc.* all contribute at their own level to life and prosperity in the territories by fostering their local presence with their customers, their members and citizens.

Using its nationwide network, La Banque Postale is supporting the projects of all of these stakeholders and guiding them in the banking management of their activities. It intends to increase its expertise to the benefit of stakeholders in the real and solidarity economy, building on its banking expertise, combined with its knowledge of local issues and its public service values. In order to propose offers suited to every customer’s requirements, La Banque Postale relies in particular on its Corporate and Territorial Development Department, whose commercial activity is organised to allow it to be as close as possible to customers.

This work is notably based on:

- ▶ conquering the **professionals** market: La Banque Postale is deploying its “Banque des pros” programme, which aims to provide professionals (craftspeople, VSEs, shopkeepers, *etc.*) with the most appropriate solutions. Although La Banque Postale is positioning itself in this market as a challenger to the leading banking groups that dominate it, it is able to build on its historical and local relationship with professionals who are often customers on a personal basis. La Banque Postale intends to build on the synergies between its sales forces, by implementing its “Dual Relationship” offer, in order to reinforce its appeal and win new professional

customers. The gradual ramp-up of this programme involves building and deploying a specialised sales force in post offices across all territories, by training 1,000 business customer advisors by 2020;

- ▶ consolidating positions in the **local public sector**: in 2018, after six years of supporting the territories (regions, departments, local authorities, consortia, municipalities, *etc.*), La Banque Postale is, and intends to continue to be, the benchmark bank for the local public sector and the leading lending bank on this market;

- ▶ developing **large corporate and institutional customer accounts**: La Banque Postale is gradually consolidating its position with companies as a recognised stakeholder in cash flow and cash management banking and offers a comprehensive range of banking products and services in the areas of cash flow management, asset management, market products and financing.

This position was strengthened further with the creation of a Corporate and Investment Bank division in 2018. The CIB supports the profitable growth goals of the Retail Banking business with a range of market and financing products and services which meet the expectations of customers and reflect the values of La Banque Postale. It introduces a bank-corporate relationship based on partnerships and the joint development of solutions, by making available to large companies and institutions a team of specialised key account managers entirely dedicated to developing tailored services in accordance with La Banque Postale's business lines and those of its subsidiaries.

1.3.2 The levers of the development plan

This development plan is based on a solid balance sheet, higher capital levels and the planned, gradual integration of an internal La Banque Postale risk assessment method. Based on better knowledge of customers and risks, it will allow the Bank to manage and control the risks related to its activities more effectively. It will be part of the Bank's various management processes, product pricing, loan granting, collections and the equity capital management process.

The development plan is also based on the major transformation programmes intended to serve the Bank's commercial goals. These include:

- ▶ the **Cap Client 3.0** programme, which aims to offer a more ergonomic and smart workstation that allows advisors to use more fluid banking applications and processes in order to better prepare for their interviews, refine their business cases, provide the best recommendations at the right time for their customers and, as a result, improve sales efficiency at all levels of the banking relationship;
- ▶ the "Excello" programme, to organise the transformation of Financial Centre activities (the Bank's remote front office, and middle and back offices) in order to increase the effectiveness of the Financial Centres (professionalisation, development and specialisation of teams; streamlining of processes; development of tools for greater flexibility, efficiency and productivity);
- ▶ Concerto is also a major transformation programme and part of the renewal of the Bank's IT systems. It involves designing an information system able to respond to all of the Bank's requirements in terms of processing speed, flexibility and security. In particular, it involves overhauling the production and processing lines for banking transactions.

The development plan also focuses on identifying future business activities and training La Banque Postale and La Poste Network stakeholders in these new business activities. This cross-entity project led to the creation of the École de la Banque et du Réseau (EBR) in 2014. It underpins the Group's strategic and digital transformation by supporting the career development of 67,000 La Banque Postale, Financial Services, and La Poste Network employees.

This innovative, large-scale training system is intended to provide the 67,000 La Banque Postale, Financial Services and La Poste Network

employees with the opportunity to learn more about the banking business and the skills of tomorrow to better serve customers. The school is open to all and is at everyone's service. It supports the forward-looking vision of the Company and innovates *via* new practices and training content.

In 2018, the EBR provided almost 285,000 training days for La Banque Postale, Financial Services, and La Poste Network employees, and rolled out major courses aimed at all the managers of the priority banking network and at expanding and delegating Home Loans for banking advisors and managers. In addition, training of Sector Heads (of whom 780 received training in 2016) was concluded in spring 2017.

In order to succeed with its ambitious development plan, the Bank is activating every lever at its disposal:

- ▶ service quality, through the quality of the customer experience and effective multi-channel management, a lever for customer satisfaction and loyalty;
- ▶ improved effectiveness of La Banque Postale-La Poste Network, through the development of the Network's banking culture and by optimising tools, processes and organisation;
- ▶ innovation, *via* the creation of a dedicated ecosystem led by platform58, the incubator that will be inaugurated at the start of 2019, and with the support of KissKissBankBank & Co, a crowdfunding specialist acquired by La Banque Postale in 2017;
- ▶ the development of La Banque Postale's non-life bank insurance business *via* improved management of its business model against the backdrop of the emergence of digital and major changes on the competitive landscape (GAFAM, AssurTech, *etc.*);
- ▶ improved efficiency of the Financial Centres, by building an agile and successful model around an innovative social model;
- ▶ streamlining of head office and support functions and optimising of cross-entity processes with other Group entities.

Through all of these actions, La Banque Postale has proven, and will continue to prove, that by offering its customers a range of banking and insurance products and services based on simplicity, accessibility and transparency at the right price, it gives priority to development in line with changing habits, and that it is entirely dedicated to customer satisfaction.

1.3.3 Merger project of La Banque Postale with CNP Assurances

On 30 August 2018, as part of the Pacte law, the French Ministry for the Economy and Finance announced the project for the creation of a large public financial unit serving the territories, involving Caisse des dépôts (CDC) and La Poste.

This project is in line with the fundamental Banking Accessibility and General Interest Mission of La Banque Postale, as its goal is to strengthen the territorial cohesion and close the regional divide, by providing all citizens across all territories access to innovative and quality financial services.

The creation of a large public financial unit would enable La Banque Postale to meet the needs of local authorities, companies and individuals, by combining the expertise of La Banque Postale, CDC's Banque des Territoires and Bpifrance.

The project is part of La Banque Postale's transformation plan and contributes to the achievement of its strategic objectives: to build a

major complete and diversified bank insurance group. Based on the expertise of its partners, La Banque Postale would offer a simpler, more accessible and transparent range of banking and insurance products and services.

The implementation of the project will be done through the transfer of both CDC and the French State's stakes in the capital of CNP Assurances to La Poste, which would then transfer them to La Banque Postale.

The transaction will involve an information and consultation procedure by the relevant employee representative bodies. It will also be subject to adoption of the Pacte law by the French parliament and the approval of the competent independent French, European and international authorities.

1.3.4 La Banque Postale's digital transformation

Over the past few years, the banking landscape has been deeply modified by the entry onto the market of new players able to create original forms of consumption of financial and insurance services. They offer their clients fully digital tools that are both simple and intuitive.

Thanks to technological progress in the area of data processing and buoyed by regulation that has favoured their emergence, these players have pushed the traditional bank insurers to accelerate their digital transformation. This does not involve simply applying the digital channel to existing processes, but rather inventing a new way to meet customers' ever-changing needs.

La Banque Postale launched this transformation very early on. The development of digital banking is one of the levers of its 2014-2020 development plan. The digitalisation of the bank's process was already well under way in order to adapt its tools to its customers' new habits. In 2018, the overview of the digitalisation path speaks for itself:

- ▶ La Banque Postale is present on all digital channels: computer, from the labanquepostale.fr website, and tablets and smartphones, with the LBP application available on both iOS and Android. All of its customers thus benefit from permanent access to their accounts, improved quality of information and reduced processing time;
- ▶ the sales teams have high-performance tools that make it easier for them to provide advice to customers and monitor their situation;
- ▶ in line with its mission as a bank that works in the best interest of the community at large, La Banque Postale deploys this vision *via* several levers for action, such as the digital banking inclusion plan and accessibility for disabled customers (first banking application fully accessible to the visually impaired, online-banking section for deaf and hard-of-hearing customers).

To meet the future challenges, important steps have already been taken with:

- ▶ acquisitions of fintechs that enhance its range of innovative services, responding to a real need of customers and sharing the La Banque Postale's commitment values: KissKissBankBank & Co in 2017, Goodeed in 2018;
- ▶ partnerships with "full-digital" players, rounding out La Banque Postale's offer: Plussimple.fr in the area of insurance for professionals, for example;
- ▶ the launch in 2019 of **Ma French Bank**, an original full-digital bank model that will offer anyone the possibility to open an account, with no conditions of resources, very easily from their mobile phone, as well as in post offices *via* customer advisors equipped with Smarteo (the La Poste Network's smartphone tool). **Ma French Bank** will offer useful and innovative services that notably address the 18-35 age bracket permanently connected to their community. It will enable customers to manage their accounts and carry out all transactions in real time, with numerous functions: current account, revolving credit or crowdfunding with KissKissBankBank;
- ▶ the inauguration in January 2019 of Platform58, La Banque Postale's incubator. This tool will be a place for privileged relationships and mutual enrichment between the players of the fintech ecosystem and the employees of our bank.

This transformation represents a significant human challenge for Banque Postale, which it is preparing for by:

- ▶ training employees for the arrival of these new technologies in their daily tasks;
- ▶ adapting its human resources policy to take account of the changes in the banking and insurance businesses and identifying the talents it will need in the coming years.

The building blocks of this process are substantial human, technological and financial investments that La Banque Postale commits to in the aim of providing the best possible quality of service to its customers.

1.4 PRESENTATION OF THE BUSINESS UNITS AND BUSINESS LINE

The economic and regulatory environment in which La Banque Postale carries out its activities is described in chapters 3 and 4.

1.4.1 Retail Banking

The Group's main activity, Retail Banking consists of providing the daily banking products and services to individuals, businesses, social economy actors and local public authorities. It offers its customers a complete and responsible range of products and services.

Key figures

10.3 million active individual customers

9,600 advisors

17,200 contact points

€5.2 billion in net banking income

€314.6 billion in savings managed

€93.0 billion in loan outstandings

IN 2018

- ▶ Acceleration of the digital transformation strategy, with the acquisition of Goodeed, a digital platform for individual donations to NGOs and solidarity associations.
- ▶ Further development in the business segment, with the launch of the "Business Energies" label.
- ▶ Acceleration of loan processing and the launch of *Prêt Express*, a financing solution offering an immediate and definitive response.
- ▶ The addition of the financial support and expertise of Créa-sol, a specialist in personal micro-credit, for the creation of an educational, financing and management solution for 100%-digital microcredit.
- ▶ Deployment of the digital banking inclusion plan in one million post offices, on the occasion of the second edition of the "Assises de la Banque Citoyenne" conference.
- ▶ The opening of 23 BPE private banking corners inside post offices in several cities in metropolitan France and overseas. There are now 45.
- ▶ The sale, announced in December 2018, of La Banque Postale's 50% stake in the Titres Cadeaux subsidiary, held jointly with Natixis, which now fully owns it.
- ▶ The acquisition, announced in December 2018, of Société Générale's 35% stake in the La Banque Postale Financement subsidiary. Following completion in 2019, La Banque Postale would own 100%.

INDIVIDUAL CUSTOMERS

La Banque Postale offers a full range of products and services dedicated to individual customers for deposits and savings, loans (home loans and consumer credit), means of payment and insurance products.

To simplify the lives of its customers, La Banque Postale offers the "Formule de Compte" solution, an account option with products and services that can be tailored to each individual's needs and financial situation. With more than 625,000 accounts opened in 2018, the total number of customers reached 6.7 million at end-2018.

Likewise, La Banque Postale supports its customers in their plans. Thanks to a dynamic focused on the customer experience, home loans and consumer credit have seen strong growth, with the respective outstandings up 3.4% and 1.9% over a year.

La Banque Postale also caters closely to its wealth management customers. This customer base is strategic for La Banque Postale as it represents a significant portion of its outstandings, with more than €100 billion in sight deposit and savings outstandings at end-2018. Similarly, its wealth management customers represented 20% of the NBI from individual customers in 2018. At end-2018, close to 700,000 customers put their trust in La Banque Postale to build, grow and manage their assets.

La Banque Postale makes significant investments for its young customers. It has renewed and expanded its offering for customers ages 16 to 25 to assist them at key moments in their life *via* its #TalentBooster offer. Thanks to its new range of banking services for young people, Retail Banking has notably observed an increase in the use of banking services from the age of 16-17 years, with growth of +18% in its account options dedicated to this customer segment.

La Banque Postale also develops its appeal to families, with the new partnership formed with Maxicours.com. Thanks to this initiative, La Banque Postale has already enabled 70,000 children to obtain free online tutoring for a period of one year. This unique and civic-minded positioning reinforces loyalty, notably with a drop in the customer attrition rate among minors of 15% over one year.

€58.4bn in sight deposit outstandings, +4.4%
€82.0bn in ordinary savings outstandings, +1.2%
€60.4bn in home loan outstandings, +3.4%
€4.9bn in consumer credit outstandings, +1.9%

LEGAL ENTITIES

La Banque Postale regularly enhances its offers to provide greater support to legal entities in their overall activity, notably with the VAT bridge loan, crowdfunding (Lendopolis), the launch of the Visa Platinum Business card, electronic money acceptors that accept Chinese cards, the marketing of CNP's investment offers, the new cash and receivables management offer.

It also initiates partnerships that aim to simplify the day-to-day tasks of legal entities: with the French national association of chartered accountants (*Conseil Supérieur de l'Ordre des Experts-comptables*), with Économie d'Énergie to optimise the energy performance of the real estate assets of social landlords, with CCI Île-de-France for the financing of SMEs in the greater Paris region.

With 700 customer managers and 32 business centres, 8 Local Public Sector business centres, a team dedicated to Large Corporate accounts, La Banque Postale is putting all of its energy into offering proximity-based expertise in all areas.

In 2018, La Banque Postale had close to 365,000 legal entities and local public authorities as customers, and benefited from its positioning as the reference banker of the territories. La Banque Postale Crédit Entreprises plays its part in this expansion *via* specific solutions in factoring, equipment, real estate and finance leasing.

Its business customer base has increased 2.4%, reflecting the beginning of La Banque Postale's development in this segment. Moreover, in 2018, La Banque Postale launched "Business Energies", a relational programme dedicated to businesses: coordination of proximity-based expertise (cash flow management, investments, insurance), meetings with sector peers to share experiences, workshops led by experts to analyse the economic environment, meetings with La Banque Postale's local public sector specialists to share their analysis. La Banque Postale has thus become a strategic partner to support companies in their development and to encourage their entrepreneurial efforts.

Lastly, La Banque Postale continues to play its role as a bank that works in the best interest of the community at large, supporting the local public sector, including in the event of natural disasters such as floods (€100 million in 0%-rate financing for those suffering damage in the Aude region). The outstandings transferred to CAFFIL in 2018, refinancing medium-term and long-term loans granted by La Banque Postale to local authorities and public health institutions, reached €3.4 billion. La Banque Postale confirms its position as the No. 1 lender to the local public sector.

€18.5bn in outstanding loans to businesses, +40.5%
€8.7bn in outstanding loans to the local public sector, +7.2%

FINANCIALLY VULNERABLE CUSTOMERS

In addition to its banking accessibility function and its reasonable pricing policy, La Banque Postale plays an essential role in combating banking exclusion through its daily actions to enable access to quality banking services to the greatest number of people and by providing guidance to financially vulnerable customers, notably to prevent over-indebtedness and develop an original comprehensive approach to banking inclusion.

In 2018 La Banque Postale decided to become a sponsor of the microfinance institution Créa-Sol, *via* financial, human and institutional support, in order to make access to personal microcredit easier and quicker for financially vulnerable customers. Through this action, Créa-Sol reproduces and retraces the operational schema of the La Banque Postale's personal microcredit modal, based on a solid relationship between the social advisors and customer managers in the territories. In the framework of this innovative social partnership, an instructional, financing and management solution for full-digital microcredit was designed, in

order to significantly reduce the processing times, enabling better service to the customers awaiting this financing solution. At end-2018, a transition year due to the set-up of this new partnership, close to 2,000 personal micro loans had been granted by Créa-Sol, vs. 150 in 2017.

La Banque Postale's commitment is also reflected in its support for banking education, notably provided for by La Banque Postale or La Poste Group employees as part of a skills volunteer programme to favour banking inclusion.

Thus, in April 2018, La Banque Postale held its second conference focused on civic banking, "2^e Assises de la Banque Citoyenne", at which it presented its first actions in the deployment of its digital banking inclusion plan, in collaboration with the social start-up WeTechCare.

2,000 micro-credits disbursed

PARTNERSHIPS IN RETAIL BANKING

In order to broaden its business and skills portfolio, and in order to improve its coverage of customers' requirements, La Banque Postale has implemented a very active partnership policy. In Retail Banking, La Banque Postale has notably formed partnerships in loans, payment means, public local sector and universal personal service cheques (CESU) activities.

Loans

CREDIT TO LOCAL AUTHORITIES AND HOSPITALS : LA BANQUE POSTALE COLLECTIVITÉS LOCALES

Established in 2013, La Banque Postale Collectivités Locales, 65% owned by La Banque Postale and 35% by Caisse des dépôts et consignations, offers services on loans granted by La Banque Postale to local authorities and hospitals. Eligible loans are refinanced by CAFFIL (Caisse Française de Financement Local).

SPECIALISED FINANCING FOR LEGAL ENTITIES : LA BANQUE POSTALE CRÉDIT ENTREPRISES

La Banque Postale Crédit Entreprises, a fully-owned subsidiary of La Banque Postale, launched its activity in 2012, notably in

equipment and real estate leasing to legal entities. In 2014, the subsidiary began to expand its activity to factoring, and then gradually to other real estate financing (notably mortgages and property development financing).

HOME-OWNERSHIP FINANCING : SOFIAP

SOFIAP, 66% held by La Banque Postale and 34% by SNCF since 2014, mainly provides mortgages to SNCF employees and, more recently, regulated mortgage loans to ENGIE employees since the end of 2014.

Means of payment

ELECTRONIC MONEY : TRANSACTIS

In 2008, La Banque Postale and Société Générale created Transactis, a joint venture to pool the resources of the two partners to develop and operate electronic money information systems. Transactis processes all of La Banque Postale and Société Générale's transactions with merchants as well as all of the bearer flows of the two companies. Transactis enables the two groups to have a shared computerised processing system for all of their transfers and direct debits.

INTERNET PAYMENTS : PAYLIB

In 2013, BNP Paribas, La Banque Postale and Société Générale launched Paylib, a company offering a new, simple and secure solution for internet payments. Crédit Mutuel Arkéa joined the consortium in July 2014, followed by Crédit Agricole in November 2014. La Banque Postale owns a 16.67% stake in the company.

Public Local Sector

La Banque Postale works with CAFFIL via the "Originate to distribute" mechanism, with CAFFIL carrying the outstandings transferred to it by La Banque Postale on its balance sheet. CAFFIL is wholly-owned by SFIL, in which the French State holds a 75% stake, Caisse des dépôts 20% and

La Banque Postale 5%. In November 2018, the French State announced it was beginning talks with Caisse des dépôts with a view to selling its stake in SFIL; this project is part of the project to create a major public financing unit.

Universal Personal Service Cheques (CESU)

At end-2017, La Banque Postale sold its CESU customer portfolio to its wholly-owned subsidiary Domiserve, which it had acquired at the start of the same year. In 2018, La Banque Postale thus exited the GIE CR CESU economic interest group and asked the Directorate-General for Enterprise

and Industry to withdraw its authorisation to issue CESUs. Domiserve is now the CESU issuer at the La Banque Postale Group level and owns 20% of the GIE CESU economic interest group, along with the four other partners.

1.4.2 Insurance

The Insurance activity brings together 649 employees working to design, develop and manage products and customer relations. La Banque Postale is present in life insurance, personal insurance and property and liability insurance. It is aimed at individuals as well as professionals and non-profit associations.

Key figures

Portfolio of 4.6 million policies

€261 million in net banking income

€124.1 billion in life insurance outstandings

IN 2018

- Launch of EasyVie, a fully-digital life insurance solution marketed by EasyBourse and developed in partnership with CNP Assurances, and which offers modular contracts with two management options (free or discretionary mandates).
- Launch of new accident coverage, "Garantie sur les Accidents de la Vie", marketed since January, that has already attracted 128,000 clients. This new guarantee has

been very successful, with its value for money having been lauded by the consumer magazine *60 millions de consommateurs*.

- Property resale guarantee offer included in home insurance, making La Banque Postale the first bank insurer to include this type of guarantee in a home insurance policy for home-owners.

LIFE INSURANCE

La Banque Postale Group is a shareholder (currently 20.15%, with 18.14% *via* Sopassure and a purchase option for 2.01%) and distributor of the CNP Assurances Group and markets its life insurance and capitalisation products. In 2018, La Banque Postale accounted for 26.4% of the revenue of CNP Assurances. Likewise, CNP Assurances products make up most of the life insurance products marketed by La Banque Postale.

La Banque Postale offers segmented life insurance and retirement solutions in order to better meet customer requirements:

- General public customers: with products accessible to most people through appropriate and evolving formulas;

- High-wealth customers: with flexible, customised policies, specifically designed for the top-of-the-range market. Some of the multi-asset and multi-manager product lines developed with CNP Assurances or with the Allianz Group, another La Banque Postale Group partner, also offer discretionary management.

€124.1bn in life insurance outstandings

Of which, unit-linked accounts : 11.9% (+ 1 pt)

PERSONAL RISK INSURANCE

La Banque Postale Prévoyance, a wholly-owned subsidiary of La Banque Postale, offers a full range of personal risk insurance products covering all needs in terms of protection from the uncertainties of life and offering a broad range of services beyond financial services.

In 2018, buoyed by the success of the new accident insurance, *Assurances Accidents de la Vie*, growth in new business was 6.4%.

With 285,000 new policies in 2018 and more than 2.7 million policies in its portfolio at the end of 2018, La Banque Postale Prévoyance is positioned as a major player in the French personal risk insurance market.

285,000 new policies, +6.4%

2.7m contracts in its portfolio, virtually stable

HEALTH

La Banque Postale Assurance Santé, 51% owned by La Banque Postale offers supplementary health insurance for individuals as well as supplementary company health plans for employees. In line with the values and public service missions of the La Poste Group, La Banque Postale Assurance Santé, together with La Mutuelle Générale and Malakoff-Médéric, also sells supplementary health coverage under the ACS (*Aide à la Complémentaire Santé*) label, called "Oui santé".

With close to 64,000 new contracts in 2018, and over 188,000 policies in its portfolio at the end of 2018, La Banque Postale Assurance Santé reflects the successful deployment of this health offering by La Banque Postale.

64,000 new policies

188,000 contracts in its portfolio

PROPERTY AND LIABILITY INSURANCE

La Banque Postale offers individuals a range of property and liability insurance through its subsidiary La Banque Postale Assurances IARD in which it has a 65% stake and Groupama 35%. The core of the product line is vehicle, comprehensive home and legal protection insurance, distributed through a multi-channel system (telephone, internet and post offices) that allows customers to choose how they will interact and enables changes in practices to be anticipated.

In a very competitive and low-growth market, La Banque Postale Assurances IARD exceeded 1.7 million policies in 2018, seven years after its launch, growing 3.6% in volume over one year.

Furthermore, La Banque Postale Conseil en Assurances, the Group's insurance broker and a wholly-owned subsidiary of

La Banque Postale, designs and offers turnkey insurance, assistance and service solutions for the various departments and subsidiaries of La Banque Postale and more generally those of the La Poste Group.

These services are closely tied with current accounts (Alliatys means of payment insurance taken out by nearly 7 million customers at end-2018), bank cards (more than 7 million), mobile phones, savings products, and all kinds of loans for individuals and professionals, associations, companies and social housing associations.

1.7m contracts in its portfolio, +3.6%

INSURANCE PARTNERSHIPS

La Banque Postale's development is based on the expertise of reference players in the area of insurance, notably life, personal risk, P&C and health insurance.

Life insurance : CNP Assurances

The distribution conditions for life insurance products are defined by a business agreement. In March 2016, CNP Assurances and La Banque Postale renewed their distribution partnership up to end-2025, enlarging the scope to the BPE

private banking subsidiary, and set up a partnership in collective borrower's insurance for home loans. La Banque Postale currently consolidates 20.15% of CNP Assurances.

Property and casualty insurance : La Banque Postale Assurances IARD

By partnering with Groupama in 2009, La Banque Postale created its subsidiary La Banque Postale Assurances IARD, in which it holds 65%.

Health insurance : La Banque Postale Assurance Santé

In 2010, La Banque Postale entered into a partnership with La Mutuelle Générale, creating the health insurance subsidiary La Banque Postale Assurance Santé, originally 65% owned by La Banque Postale. The launch in 2015 of a new supplementary healthcare offer adapted to the requirements of VSEs/SMEs led to Malakoff Médéric entering the share capital of the subsidiary.

La Banque Postale now holds 51% of La Banque Postale Assurance Santé, while Malakoff Médéric and La Mutuelle Générale hold 14% and 35%, respectively. The development of the partnership with Malakoff Médéric in the insurance field is part of a larger partnership that also covers asset management.

1.4.3 Asset management

This business groups together the third-party asset management companies that provide the expertise that enables La Banque Postale Group to offer its customers - individuals, legal entities and institutions - with a full range of savings and investment products covering traditional financial markets as well as more diversified asset classes (debt funds, Euro PPs, high yield, hedged shares, *etc.*). The third-party asset management subsidiaries have 275 employees working on macro-economic and financial management and analysis, product development and financial engineering, and customer relations with the various internal and external customers of the Group.

Key figures

€153 million in net banking income

€218 billion in assets under management

IN 2018

- Commitment by La Banque Postale Asset Management (LBPAM), La Banque Postale's main asset management subsidiary, to become the first full SRI generalist asset manager by 2020. The launch of the new "Conviction ISR" SRI range in June was the first concrete action of this commitment.
- Signing by La Banque Postale and its subsidiary La Banque Postale Asset Management (LBPAM) of the

"Tobacco-Free Finance Pledge", the first international treaty on public health, the goal of which is to reduce the impact of tobacco on the world economy.

- La Banque Postale merged LBPAM and Tocqueville Finance, its asset management subsidiary specialised in conviction equity management, to better serve its institutional customers.

MULTI-EXPERTISE INVESTMENTS

La Banque Postale Asset Management embodies, within the asset management business of La Banque Postale, the specialist in UCI management and institutional mandates, now operating on almost all financial markets. The research and analysis synergies developed between La Banque Postale Asset Management and its new partner, Aegon Asset Management, allow it to offer investment solutions in several international fixed income and equity asset classes.

LBPAM has also increased its expertise and base in SRI (Socially Responsible Investing) management. It has committed to becoming the first full SRI generalist asset manager by 2020. It deploys its

GREaT extra-financial analysis methodology (Governance, Resources, Energy and Economical Transition and Territories) that is applied to the equity mandates managed through direct holdings in securities by CNP Assurances. In order to fulfil its commitment, it launched its new "Conviction ISR" SRI range in June 2018.

€216bn in assets under management

€260m in collections from "Conviction ISR" line in six months

VALUE EQUITY MANAGEMENT

La Banque Postale offers its customers the UCIs of Tocqueville Finance, a subsidiary 97.7%-owned by LBPAM. This subsidiary has a particularly well-developed presence with financial investment advisors, independent financial advisors, private banks and institutional investors.

A specialist in value equity management (discounted shares) and small and mid-caps, the firm invests to support the long-term growth of companies, applying management strategies driven by strong convictions that are independent of the indices.

Tocqueville Finance is a regular supplier of BPE, La Banque Postale Group's Private Bank, *via* discretionary management. Tocqueville Finance also provides wealth management for customers outside La Banque Postale, and management of assets in equity savings plans (PEA) and life insurance policies.

The assets under management of Tocqueville Finance (excluding LBPAM delegated management) totalled €1.7 billion in 2018.

**€1.7bn in assets under management
(excluding LBPAM delegated management)**

SCPI (REIT) AND OPCI (OPEN-ENDED PROPERTY FUND) MANAGEMENT

La Banque Postale has held 40% of AEW Europe since its acquisition of Ciloger in 2016.

General public customers continue to subscribe to SCPIs as part of the diversification of their investments in securities accounts, as well as in life insurance, with the OPCI available as a unit-linked product.

In 2018, AEW Europe assets were €30.7 million, i.e. growth of 10.7% compared to 2017.

€30.7bn is assets managed by AEW Europe, + 10.7%

PARTNERSHIPS IN ASSET MANAGEMENT

La Banque Postale's asset management offering is notably provided by the La Banque Postale Asset Management (LBPAM) subsidiary and its two partnership agreements.

LBPAM : with Aegon Asset Management

LBPAM expanded its skills and increases its expertise and its institutional positioning *via* an equity and industrial

partnership signed in 2015, on which occasion Aegon AM acquired a 25% minority stake in LBPAM.

LBPAM : with Malakoff Médéric

LBPAM has developed its business with mutual companies and broadened its product range, notably in SRI. This transaction took the form of a 100% contribution of capital and voting

rights by Fédérïs Gestion d'Actifs to LBPAM and a 5% equity stake by Malakoff Médéric in LBPAM's capital.

AEW Europe

In November 2016, La Banque Postale and Natixis finalised the merger of Ciloger and AEW Europe, their respective real estate asset management companies. This new entity created one of the leading real estate asset managers in Europe with

€30.7 billion in assets under management at the end of 2018. AEW Europe's capital is now 60% held by Natixis Global Asset Management and 40% by La Banque Postale.

1.5 2018 HIGHLIGHTS

JANUARY

La Banque Postale contributes its financial support and expertise to Créa-Sol, a specialist in personal micro-credit, to create an educational, financing and management solution for 100%-digital micro-credit. La Banque Postale launches its property resale guarantee as part of its home insurance offer, becoming the first bank insurer to provide this service to home-owners.

La Banque Postale and pbb Deutsche Pfandbriefbank grant €160 million in financing to the new Sciences Po campus in Paris.

FEBRUARY

La Banque Postale obtains the authorisation for its full digital and civic bank "Ma French Bank". "Ma French Bank" will be offered to the general public starting in the summer of 2019.

La Banque Postale organises, alongside KissKissBankBank and MakeSence, the fourth "Social Cup", the French cup for student social entrepreneurship.

La Banque Postale launches the first retirement simulator, for all French people, integrating State pension career records.

La Banque Postale launches "PiloteBudget", a mobile application jointly created by 10 public and private associations. This application proposes monthly budgeting for all customers.

MARCH

La Banque Postale launches EasyVie, a full-digital life insurance solution sold by EasyBourse and developed in partnership with CNP Assurances, and which offers modular contracts with two management options (free or discretionary mandates).

In order to strengthen its teams in the areas at the heart of customer relations, La Banque Postale announces the recruitment of 500 bank advisors. Over the full year 2018, La Banque Postale recruited 1,400 new employees across all businesses.

La Banque Postale and KissKissBankBank & Co announce an agreement to acquire a majority stake in Goodeed, a website for donations financed by advertising for associations.

APRIL

La Banque Postale Asset Management, La Banque Postale's main asset management subsidiary, commits to becoming the first full SRI generalist asset manager by 2020.

La Banque Postale accelerates consumer loan processing and launches "Prêt Express", a financing solution providing an immediate and definitive answer to loan applications.

La Banque Postale holds its second conference focused on civic banking, "2^e Assises de la Banque Citoyenne", where it notably announced the deployment of its digital banking inclusion plan in around a thousand post offices.

MAY

As part of its advantages programme for families, La Banque Postale offers 12 months free tutoring by its partner Maxicours.com to its customers with children.

JUNE

La Banque Postale and the French association of notaries (Conseil Supérieur du Notariat) signs a partnership to secure exchanges and accelerate inheritance and mortgage transactions.

La Banque Postale, whose subsidiary La Banque Postale Asset Management (LPBAM) will become the first full SRI generalist asset

manager in 2020, launches its new "Conviction ISR" SRI range of UCIs.

LBPAM announces its merger with Tocqueville Finance, a subsidiary of La Banque Postale since 2009 with a 97.7% stake

JULY

La Banque Postale and UnionPay International announce the signing of a partnership enabling holders of a UnionPay card visiting France to make payments at shops that are customers of La Banque Postale as well as in all post offices.

AUGUST

The French Ministry for the Economy and Finance announces the project to merge the La Poste Group and Caisse des dépôts (CDC) in order to create a large public financial unit serving the territories, resulting in the merger of La Banque Postale and CNP Assurances, the No. 1 personal insurer in France.

SEPTEMBER

La Banque Postale launches Business Energies, a set of banking solutions and services dedicated to businesses. Business Energies proposes proximity-based services and solutions to support entrepreneurs in carrying out their projects.

La Banque Postale's Corporate and Investment Bank (CIB) buys a second portfolio of Dutch home loans from Rabobank, in the amount of €780 million, all of which benefit from the government NHG guarantee.

OCTOBER

At the 17th Trophées de l'Assurance insurance awards, La Banque Postale Assurances won a prize for the "Innovation services" category.

La Banque Postale launches the "Paylib entre amis" service offering bank customers who are Paylib users the possibility to send and receive money without exchanging their bank account details.

La Banque Postale proposes €100 million in emergency financing at 0% interest to the communities affected by the floods in the Aude region.

NOVEMBER

La Banque Postale proposes for the first time to support its customers in the energy transition in Guadeloupe. Its subsidiary Lendopolis launches a crowdfunding operation to install two solar power stations operated by the company Quadran, Groupe Direct Energie

On the occasion of the Global Roundtable and the 4th Climate Finance Day, organised on 28 November 2018, La Banque Postale announces its carbon neutrality across its entire operational scope and reinforces its commitments to projects that positively impact the environment and climate.

DECEMBER

La Banque Postale commits itself to supporting purchasing power. It announces several measures in favour of its individual, business and local public sector customers. In addition, La Banque Postale announces preferential rates to support collective efforts in favour of the energy transition.

La Banque Postale announces the disposal of its 50% stake in the company Titres Cadeaux.

La Banque Postale announces the acquisition of Société Générale's 35% stake in La Banque Postale Financement. It would hold 100% of the company's capital.

CORPORATE GOVERNANCE

2

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2.1 REPORT OF THE SUPERVISORY BOARD ON CORPORATE GOVERNANCE

This report was drawn up by the Supervisory Board at its meeting on 20 February 2019, in accordance with Article L. 225-68 of the French Commercial Code.

2.1.1 Corporate Governance Code applied

La Banque Postale's approach to corporate governance is based on the Afep/Medef Code of Corporate Governance for listed companies (available at www.afep.com)

La Banque Postale complies with most of these recommendations, subject to the distinctive nature of its shareholder base, and to the application of the regime instituted by order no. 2014-948 of 20 August 2014 relating to the governance and share capital transactions of companies with public shareholdings, and in accordance with Article 3 of the decree of 9 August 1953, as amended by the decree of 26 July 2012, relating to the French State's control of the remuneration of the managers of public companies, which notably provides for:

- ▶ a significant number of employee representatives on the Supervisory Board, *i.e.* one-third of the Board members;
- ▶ where applicable, the presence on the Supervisory Board of one member designated by the French State and/or members appointed by the General Meeting upon proposal by the State;
- ▶ a cap on the remuneration of corporate executive officers and the approval by the Minister of the Economy of the amount of attendance fees, remuneration for various activities and benefits in kind for corporate officers, as well as the components of remuneration, compensation or benefits due or likely to be due as a result of the termination of their duties, a change in their duties, or subsequent thereto.

Application of the Afep/Medef Code

The Company applies the recommendations of the Code, except in the following cases:

AFEP/MEDEF CODE RECOMMENDATION	COMPANY PRACTICES COMMENTS
Recommendation 8.3 Independent directors "In controlled companies, independent directors should account for at least a third of Board members. Directors representing the employee shareholders and directors representing employees are not taken into account when determining these percentages."	Company practices: In 2018, 30% of the Board was composed of independent members; members representing employees were not counted in establishing this percentage. Comments: This difference is explained by the Company's specific situation, being held by a single shareholder. The threshold of 33% of independent members is attained if the representative designated by the State, whose presence on the Board is related to order no. 2014-948 of 20 August 2014, is not taken into account.
Recommendation 13.1 Duration of terms "The duration of directors' terms of office, set by the Articles of Association, must not exceed four years, so that the shareholders can express their wishes regarding these terms of office with sufficient frequency."	Company practices: The term of office of the members of the Supervisory Board is five years. Comments: The provisions of law No. 83-675 of 26 July 1983, relating to the democratisation of the public sector, required that the Company has terms of office lasting five years. In 2016, at the time of the switch to the regime of order no. 2014-948 relating to the governance and share capital transactions of companies with public participation, the Company considered that this term of office allowed the Board to operate efficiently. This decision was supported by the fact that the Company is held by a single shareholder, where the term of office of the directors is five years.
Recommendation 13.2 Staggering of terms "Terms should be staggered so as to avoid replacement of the entire body and to favour a smooth replacement of directors."	Company practices: The terms of office of all members end on the same date, after a five-year period. Comments: The provisions of law no. 83-675 of 26 July 1983 relating to the democratisation of the public sector, required the Company to reappoint all members of the Supervisory Board at the same time. In 2016, at the time of the switch to the regime of order no. 2014-948 relating to the governance and share capital transactions of companies with public shareholdings, the Company considered that not staggering the terms of office of the Board members did not jeopardise the proper functioning of the Board. Furthermore, this decision does not prevent members of the Supervisory Board from being regularly reappointed during their term of office.

AFEP/MEDEF CODE RECOMMENDATION	COMPANY PRACTICES COMMENTS
Recommendation 15.1 Audit Committee: number of independent directors The share of independent directors on the Audit Committee must be at least two-thirds	Company practices: In 2018, three of the six Financial Statements Committee members were independent, not counting the member representing employees. Comments: In 2018, the Board appointed an additional independent member to the Financial Statements Committee, increasing the number of independent members from two to three. Of the eight members comprising the Financial Statements Committee, two members represent the employees and another represents the French State. The five other members are Supervisory Board members appointed by the General Meeting, three of which have independent status; <i>i.e.</i> a total of 60% of the Financial Statements Committee members are independent, excluding the employee and Government representatives. The two other members were appointed for their accounting and financial expertise.
Recommendation 19 Code of ethics of the Supervisory Board members Holding of shares by the members of the Board “(...) In the absence of legal provisions to the contrary, a director must personally be a shareholder and, by virtue of the provisions in the Articles of Association or the internal regulations, hold a minimum number of shares that is significant in relation to the attendance fees received. If he or she does not hold these shares when assuming office, he or she should use his or her attendance fees to acquire them. The director will notify the corporation of this information, which will publish it in its annual report.”	Company practices: The members of the Supervisory Board are not required to be shareholders in the Company. Comments: The fact that members of the Supervisory Board do not hold a significant number of shares is explained by the specific nature of the Company's shareholding structure. All of La Banque Postale shares are entirely* held by its parent company, La Poste, and cannot be traded on a regulated market. As La Poste does not wish to open up the share capital, holding shares would not make sense with regard to the philosophy of the Afep/Medef Code in the absence of any market for these shares.
Recommendation 19 Conflicts of interest “The director is under the obligation to inform the Board of any actual or potential conflicts of interest and to refrain from taking part in discussions and from voting on the corresponding resolution”.	Company practices: The Supervisory Board member Charter states that, in the event of a temporary conflict of interest, the member of the Supervisory Board in question cannot take part in the discussions or in any decisions on the matters in question. Comments: A Charter on the management of conflicts of interest is currently being written. It will state that any member of the Supervisory Board involved in a conflicts of interest will be required to refrain from participating in the discussions and from attending.
Recommendation 22 Corporate executive officers' holding of shares “The Board of Directors defines a minimum number of registered shares that the Company officers must hold through to the end of their term of office. This decision is reviewed at least on each extension of their term of office.”	Company practices: The members of the Executive Board do not hold any shares in the Company. Comments: The fact that members of the Executive Board do not hold a number of shares is explained by the specific nature of the Company's shareholding structure. All of La Banque Postale shares are entirely* held by its parent company, La Poste, and cannot be traded on a regulated market. As La Poste does not wish to open up the share capital, holding shares would have no meaning with regard to the philosophy of the Afep/Medef Code in the absence of any market for these shares.
Recommendation 25.1 Ongoing information on remuneration All items referring to the current or potential remuneration of corporate officers are made publicly immediately following the meeting of the Board deciding them.	Company practices: The remuneration of Executive Board members is not made public immediately following the Board meeting. Comments: The remuneration of Executive Board members is subject to the approval of the Minister for the Economy and is made public in the Registration Document. The Company shareholder is represented on the Compensation Committee and on the Supervisory Board of the Company and is, therefore, informed of all items related to the remuneration.

* With the exception of one share.

2.1.2 Functioning of the Company

Agreements referred to in Article L. 225-86 of the French Commercial Code

Agreements still in effect in 2018.

DATE	PURPOSE
27.02.2013	The Company's commitment granting compensation to Marc Batave in the event of termination of his term of office. Commitments reiterated by the Board on the renewal of Marc Batave's term on 27 February 2018.
15.10.2013	The Company's commitment granting compensation to Rémy Weber in the event of termination of his term of office. Commitments reiterated by the Board on the renewal of Rémy Weber's term on 27 February 2018.
03.04.2015	Framework protocol agreement, replacing the preliminary protocol agreement of 18 February 2015 signed with Malakoff Médéric, La Mutuelle Générale and La Banque Postale Assurance Santé in relation to health insurance modified by amendment no. 1 of 17 January 2017.
25.03.2016	General framework protocol agreement with CNP Assurances, replacing the preliminary protocol agreement of 18 December 2015 regarding life insurance, capitalisation of credit insurance and personal risk insurance.

Agreements approved and signed in 2018:

DATE	PURPOSE
27.02.2018	The Company's commitment granting compensation to Rémy Weber in the event of termination of his term of office.
27.02.2018	The Company's commitment granting compensation to Marc Batave in the event of termination of his term of office.

Table of delegations granted by the General Meeting of Shareholders and their use in 2018

GENERAL MEETING	Purpose of the authorisation given to the Executive Board	Delegation validity period	Limit	Use in 2018
None	None	None	None	None

Conditions for shareholder participation in the General Meeting

The conditions governing shareholder participation in the General Meeting of La Banque Postale are defined in Article 31 of the Articles of Association, which are contained in Chapter 8 of this Registration Document.

Information in Article L. 225-37-5 of the French Commercial Code

In accordance with the provisions of Article L. 225-37-5 of the French Commercial Code, the following items must be disclosed and explained, where appropriate, when they are likely to have an impact in the event of a public offer.

The current capital structure of La Banque Postale makes it impossible for a takeover bid to be made on Company shares, which are not admitted for trading on a regulated market. However, reference is made below to the items listed in Article L. 225-37-5 of the French Commercial Code to the extent that this information is contained in the Registration Document for other obligations or is directly addressed below:

1. the capital structure of the Company: this information is provided in Chapter 1 "Overview of La Banque Postale Group";
2. statutory restrictions on the exercise of voting rights and the transfer of shares, or clauses in the agreements brought to the knowledge of the Company in application of Article L. 233-11: none (see Chapter 8 "Articles of Association");
3. direct or indirect investments in the Company's share capital that it is aware of pursuant to Articles L. 233-7 and L. 233-12: none (see Chapter 1 "Overview of the La Banque Postale Group");
4. list of the holders of any securities conferring special control rights and a description of these rights: no security confers special control rights;
5. control mechanisms stipulated under any employee-shareholding scheme, where control rights are not exercised by the employees: not applicable. There is no employee-shareholding scheme;
6. shareholder agreements that the Company is aware of and which may result in restrictions on the transfer of shares and the exercise of voting rights: not applicable. La Banque Postale has only one shareholder;
7. rules applicable to the appointment and replacement of members of the Executive Board as well as to the amendment of the Company's Articles of Association: this information appears in Chapter 8 "Articles of Association";
8. powers of the Executive Board, in particular to issue or buy back shares: this information appears in Chapter 8 "Articles of Association";
9. agreements entered into by the Company that would be altered or terminated in the event of a change in the Company's control, except where this disclosure would seriously jeopardise its interests, aside from the legal disclosure obligation: not applicable.
10. agreements stipulating compensation for the members of the Board or employees, if they resign or are made redundant without just cause or if their employment is terminated due to a takeover bid or exchange offer: a very limited number of employees (fewer than 10) is guaranteed end-of-contract compensation in their employment contract.

2.1.3 Corporate bodies

La Banque Postale is a French public limited company (société anonyme) with an Executive Board and a Supervisory Board wholly-owned by La Poste. The Company began its activity on 1 January 2006, after having received authorisation from the French Prudential Supervision and Resolution Authority (ACPR) on 2 December 2005.

The choice of a dual corporate governance structure allows a clear division between management and control powers, and guarantees the separation of these powers and the balance between them. Thus, there is a tangible separation between the supervision and management powers of the Executive Board and the control and decision-making powers exercised by the Supervisory Board.

La Banque Postale is subject to the French Commercial Code, the French Monetary and Financial Code, the decree of 3 November 2014 relating to the internal control of companies in the banking, payment services and investment services sectors subject to the French Prudential Supervision and Resolution Authority (ACPR), the regulations of the French Advisory Committee on Financial Legislation and Regulation (CCLRF) as a credit institution, and since 25 May 2016, to order no. 2014-948 of 20 August 2014 relating to the governance and share capital transactions of companies with public shareholdings.

2.1.3.1 Supervisory Board

2.1.3.1.1 Operation of the Supervisory Board and its Committees

Role of the Supervisory Board

The Supervisory Board holds powers granted notably by the French Commercial Code, the French Monetary and Financial Code, the

decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors supervised by the French Prudential Supervision and Resolution Authority (ACPR), and under the Company's Articles of Association.

The Supervisory Board deliberates upon major strategic, economic, financial and technological orientations of the Company, prior to the decisions of the Executive Board on these topics. It strives to create long-term value while considering the social and environmental stakes of its business activities.

It reviews the corporate governance plan and evaluates its effectiveness. It approves and regularly reviews the strategies and policies governing the taking, management, monitoring and reducing of risks. It determines the guidelines and monitors the implementation of the supervision systems and reviews the internal control activity and results. It ensures that a system to prevent and detect corruption and influence peddling is implemented.

It provides ongoing supervision of the way in which the Executive Board manages the Company and grants prior approval for transactions that the latter cannot carry out without its permission, in accordance with Article 14 of the Articles of Association (see Chapter 8).

The Supervisory Board checks and audits the financial statements. It appoints the members of the Executive Board, sets their remuneration in accordance with the decree of 9 August 1953 as amended on 26 October 2012, and has the power to dismiss them, in accordance with Article 12 of the Articles of Association. It ensures that they implement a non-discrimination and diversity policy, notably with respect to the balanced representation of women and men within the executive bodies of the Bank.

Special Supervisory Board Committees

The Supervisory Board has five Special Committees (the Financial Statements Committee, the Risk Committee, the Appointments Committee, the Compensation Committee and the Strategy Committee) which help it in its tasks.

The missions of each of these committees, the criteria for selecting their members and their rules of operation are contained in the internal rules approved by the Supervisory Board. The rules are updated on a regular basis in order to maintain conformity with changes in legislation and regulations and with the recommendations and best practices of corporate governance.

The Board ensures that the members of its committees have the knowledge, competence and expertise required to carry out their duties.

Any Board deliberation relating to the area of expertise of one of the five committees is adopted after advice has been sought from that committee, whose Chairman shall inform the Board of its recommendations, suggestions and opinions.

The purpose of setting up these committees is not to delegate powers to them that are assigned to the Executive Board by law or by the Articles of Association, or to reduce or limit the Executive Board's powers.

The Executive Board makes available to the members of these committees, within a reasonable time period, all the items and documents enabling the committees to conduct their work and formulate their recommendations, suggestions or opinions.

The length of a committee member's appointment coincides with the length of their term of office as Board member.

Four out of five of the Supervisory Board Committees are chaired by an independent member.

The Government Commissioner attends the meetings of the committees.

Conditions governing the preparation and organisation of the tasks of the Supervisory Board

The Supervisory Board meets at least four times a year. Meeting agendas are approved by the Chairman depending on issues the Board is legally required to review or matters reported to the Board concerning the Bank's operations and strategic choices.

The Board members are invited to attend at least ten days before the meeting. At least six days before a Board meeting, the agenda, the draft minutes of the previous meeting and any other documents needed to support the agenda, are sent to the Board members.

Supervisory Board meetings last three hours on average.

The items for discussion are presented by a member of the Executive Board or, if applicable, by the person responsible for them. Presentations are followed by an exchange of views, following which the Board issues an opinion as necessary.

The Company Secretary draws up draft minutes of the meeting, and then submits them to the Board members for approval at the beginning of the next meeting.

Seminars, of one day on average, are provided on a regular basis in support of the Board's work. All Board members are invited to attend.

Internal rules and Charter

The Supervisory Board has adopted internal rules, which govern and determine the preparation and organisation of its work. These internal rules are updated on a regular basis, in order to comply with legal and regulatory changes, as well as corporate governance recommendations and best practices. The Board has also adopted the "Supervisory Board Members' Charter", which outlines the rights and obligations of Board members. The internal rules and the

Supervisory Board Members' Charter are contained in Chapter 9 of this Registration Document.

The Supervisory Board has also adopted internal rules governing the operation and missions of its Special Committees.

Conflicts of interest

When appointing or co-opting new members, the Board carefully examines the situation of candidates under consideration for potential conflicts of interest.

The Board considers that its current operating conditions enable it and its committees to fulfil their duties with the effectiveness, objectivity and independence required, particularly with respect to the prevention of potential conflicts of interest.

The rules for managing conflicts of interest described in the Members' Board Charter of the Supervisory Board of La Banque Postale specify that

"(...) every member of the Board shall inform the Supervisory Board and its Chairman as soon as he/she becomes aware of any situation concerning him/her that is likely to give rise to a conflict of interest, even potential or temporary, with the interests of La Banque Postale or of any of its subsidiaries.

In such cases, the member of the Supervisory Board shall:

- ▶ *abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;*
- ▶ *take all measures aimed at ending said conflict of interest, including tendering their resignation from their office as a Board member to the Chairman of the Supervisory Board, if the conflict of interest proves to be ongoing.*

Generally speaking, every member of the Board shall undertake to avoid any conflict that may exist between their material or moral interests and those of La Banque Postale or any of its subsidiaries".

In addition, a conflicts of interest charter inventorying the measures implemented to prevent conflicts of interest is currently being prepared. After the charter is adopted, the members of the Board confronted with a potential conflict of interest will be required to abstain from attending discussions on matters related to the conflict.

To the best of the Company's knowledge, there are no conflicts of interest between the duties of the members of the Supervisory Board towards the Bank, and their private interests.

Regardless of the related party agreements and commitments, there is no arrangement or agreement entered into with clients, suppliers and any other third parties, whereby a member of the Supervisory Board has been appointed.

Assessment of the work carried out by the Supervisory Board and the committees

Every year the Supervisory Board devotes one item on its agenda to analysing its functioning and carries out formal assessments on a regular basis. In addition, following a review of their activities, the members of the committees discussed ways to improve their functioning without representatives of the Bank's management present.

Therefore, the Board added a point about its own operation to the agenda at the last meeting of 2018. During the session, the Board decided to undertake a formal assessment of the Board and of its members which will be carried out by the Appointments Committee Chair, who is an independent Board member. For this purpose, and in order to assess the functioning of the Board and of its committees, the relevance of the information sent to the members and their understanding of the major issues, detailed questionnaires on the functioning of the Board and each of its committees, were

sent to each Board member, to the members of the committees concerned and to the Government Commissioner. As part of the assessment, the Appointments Committee Chair also met with each of the members of the Committee personally. The results of the assessments were presented and discussed by the Appointments Committee then reported to the Board on 20 February 2019. The ratings were generally satisfactory or very satisfactory and demonstrated a strong positive opinion of the Board members with respect to the organisation of work and the operation of the Board and its five specialised committees. Most of the members felt that discussions are carried out in a way that facilitates the expression of opinions and that the balance between presentation and discussion time is good. It was requested that the Board organise seminars on given topics. The members of the Board stated that they have a good understanding of La Banque Postale's strategy and requested additional information on some specific topics. Other suggestions and options for improvement were raised, including a summary at the beginning of documents and earlier sending of the latter. The Board took note of the requests and asked that the topics the members wanted to explore in greater depth be added to the agenda of upcoming meetings.

2.1.3.1.2 Composition of the Supervisory Board and its committees and information about its members

The Company is administered by a Supervisory Board, made up of three to eighteen members, including at least one-third of members representing employees, elected under the conditions provided for in the law on the democratisation of the public sector of 26 July 1983 and, where applicable, a representative designated by the French State and/or members of the Supervisory Board appointed

by the General Meeting upon proposal by the State, pursuant to Articles 4, 6 and 7 of order no. 2014-948 of 20 August 2014.

As at the date of this report, the Supervisory Board has fifteen members, namely:

- ▶ ten members appointed by the General Meeting, including the French State; the State representative is appointed by decree;
- ▶ five members representing employees, who are elected.

The Supervisory Board is chaired by Mr Philippe Wahl, Chairman and Chief Executive Officer of La Poste.

Members of the Supervisory Board are elected for a term of office of five years. Of the nine Board members appointed by the General Meeting other than the State, six carry out management duties in La Poste Group and three are independent.

The appointment of Supervisory Board members upon proposal by La Poste is done according to the positions they hold within the Group.

As of the date of this report, the Supervisory Board is composed of ten men and five women. The percentage of women, excluding the five employee representatives in accordance with the provisions of law No. 2011-103 of 27 January 2011, stands at 40%.

All members of the Board are of French nationality.

The Supervisory Board is keen to have a balanced composition, both on the Board and in its Committees, with respect to female and male representation as well as the diversity of skills of its members. As there is no international business activity, nationality is not a determining factor in their appointment.

The average age of the Board members at 31 December 2018 was 53.

Special Supervisory Board Committees

On the date of this report

Members of the Supervisory Board	Personal information			Experience		Position in the Board			Attendance at Board meetings	
	Age at 31.12.2018	Gender	Nationality	Number of shares	Number of offices in companies with listed shares	Inde- pendence	Date of appointment (effective date)	End of term	Seniority on the Board	
CORPORATE OFFICER										
Philippe Wahl Chairman	62	M	French	N/A	1	no	15.10.2013	26.02.2023	5 years½	Member of the Compensation Committee Member of the Appointments Committee
MEMBERS OF THE SUPERVISORY BOARD										
Philippe Bajou, Permanent Representative of La Poste	60	M	French	N/A	0	no	05.04.2016	26.02.2023	3 years	
Yves Brassart Vice-Chairman of the Board	58	M	French	N/A	0	no	24.04.2014	26.02.2023	5 years	Member of the Financial Statements Committee Member of the Risk Committee Chairman of the Strategy Committee
Nathalie Collin	54	F	French	N/A	0	no	30.05.2018	26.02.2023	1 year	
Nathalie Dieryckxvisschers, representative of the State	44	F	French	N/A	0	no	02.10.2014	26.02.2023	4 ½ years	Member of the Financial Statements Committee Member of the Risk Committee Member of the Appointments Committee Member of the Compensation Committee Member of the Strategy Committee
Sophie Lombard	49	F	French	N/A	1	yes	15.04.2016	26.02.2023	3 years	Member of the Financial Statements Committee Member of the Risk Committee Chair of the Appointments Committee Chair of the Compensation Committee Member of the Strategy Committee
Michel Madelain	62	M	French	N/A	0	yes	11.04.2018	26.02.2023	1 year	Chair of the Financial Statements Committee Member of the Risk Committee Member of the Appointments Committee Member of the Compensation Committee Member of the Strategy Committee
Sophie Renaudie	50	F	French	N/A	0	no	11.04.2018	26.02.2023	1 year	Member of the Financial Statements Committee Member of the Risk Committee Member of the Strategy Committee

Members of the Supervisory Board	Personal information			Experience		Position in the Board				Attendance at Board meetings
	Age at 31.12.2018	Gender	Nationality	Number of shares	Number of offices in companies with listed shares	Independence	Date of appointment (effective date)	End of term	Seniority on the Board	
Emmanuel Rondeau										Member of the Financial Statements Committee
										Chair of the Risk Committee
										Member of the Appointments Committee
										Member of the Compensation Committee
										Member of the Strategy Committee
Nicolas Routier	56	M	French	N/A	0	yes	27.02.2018	26.02.2023	1 year	
	55	M	French	N/A	0	no	01.09.2015	26.02.2023	4 years	
SUPERVISORY BOARD MEMBERS REPRESENTING THE EMPLOYEES										
Sandrine Fagot-Revurat										Member of the Appointments Committee
										Member of the Compensation Committee
	46	F	French	N/A	0	no	01.10.2018	26.02.2023	6 months	
Jean-Pierre Hakizimana	59	M	French	N/A	0	no	27.02.2018	26.02.2023	1 year	Member of the Strategy Committee
Thierry Freslon										Member of the Financial Statements Committee
										Member of the Risk Committee
	50	M	French	N/A	0	no	01.12.2015	26.02.2023	4 years	
Steeve Maigne										Member of the Financial Statements Committee
										Member of the Risk Committee
	49	M	French	N/A	0	no	27.02.2008	26.02.2023	11 years	
Thierry Viarouge	53	M	French	N/A	0	no	27.02.2018	26.02.2023	1 year	Member of the Strategy Committee

Summary presentation of the members who left the Supervisory Board between 1 January 2018 and the date of this report.

	Personal information					Position in the Board		Attendance at Board meetings	
	Age at 31.12.2018	Gender	Nationality	Number of shares	Independence	Appointment date	End of term	Seniority on the Board at the time of departure	
MEMBERS OF THE SUPERVISORY BOARD									
Élisabeth Ayrault	63	F	French	N/A	yes	15.04.2016	06.03.2018	2 years	Member of the Compensation Committee Member of the Appointments Committee Member of the Strategy Committee
Virgile Bertola	46	M	French	N/A	no	19.02.2016	03.04.2018	2 years	Member of the Financial Statements Committee Member of the Risk Committee Member of the Strategy Committee
Sylvie François	64	F	French	N/A	no	15.04.2016	29.05.2018	2 years	Member of the Appointments Committee Member of the Compensation Committee
Didier Ribadeau Dumas	72	M	French	N/A	yes	13.02.2006	26.02.2018	12 years	Chair of the Financial Statements Committee Chair of the Risk Committee Chair of the Appointments Committee Member of the Compensation Committee Member of the Strategy Committee
SUPERVISORY BOARD MEMBERS REPRESENTING THE EMPLOYEES									
Jean-Robert Larange	64	M	French	N/A	no	27.02.2008	26.02.2018	10 years	
Françoise Paget Bitsch	61	M	French	N/A	no	11.05.2009	26.02.2018	9 years	Member of the Strategy Committee
Sabrina Rostaing-Paris	40	M	French	N/A	no	27.02.2018	30.09.2018	7 months	Member of the Appointments Committee Member of the Compensation Committee
Hélène Wolff	63	M	French	N/A	no	26.10.2006	26.02.2018	12 years	Member of the Appointments Committee Member of the Compensation Committee Member of the Strategy Committee

Summary presentation of the composition of the committees

The table below summarises the composition of all of the Board's Special Committees on the date of this report

Composition of the special committees	Financial Statements Committee	Risk Committee	Appointments Committee	Compensation Committee	Strategy Committee
Yves Brassart	◊	◊			P
The State represented by Nathalie Dieryckxvischers	•	•	•	•	•
Sandrine Fagot-Revurat			Δ	Δ	
Thierry Freslon	Δ	Δ			
Jean-Pierre Hakizimana					Δ
Sophie Lombard	◊	◊	P	P	◊
Michel Madelain	P	◊	◊	◊	◊
Steeve Maigne	Δ	Δ			
Sophie Renaudie	◊	◊			◊
Emmanuel Rondeau	◊	P	◊	◊	◊
Thierry Viarouge					Δ
Philippe Wahl			◊	◊	

Key:

P: Committee Chairman

◊: Committee Member

Δ: Member elected by the employees

•: Member representing the French State

Profile, experience and expertise of the members of the Supervisory Board on the date of this report

*N.B.: terms of office and functions carried out in companies whose shares are traded on regulated markets are identified by an asterisk**

Philippe WAHL Born in 1956	BIOGRAPHY
Chairman of the Supervisory Board First appointment: 15 October 2013 End of term: 26 February 2023 Board Committees: Member of the Appointments and Compensation Committees Professional address: La Poste -9, rue du Colonel Pierre Avia - 75015 Paris Education: Graduate of IEP, Paris, Research Master's Degree in Monetary and Financial Economics, studied at the French National School of Administration (ENA)	▶ Auditor, then Master of Requests at the French Council of State between 1984 and 1988. ▶ From 1986 to 1988, special advisor to the Chairman of the French Stock Exchange Commission's Office. ▶ From 1988 to 1991, Technical Advisor responsible for Monetary, Financial and Tax Affairs at the Prime Minister's Office. ▶ Appointed Advisor to the Chairman of Compagnie Bancaire in 1991, then as a member of the Management Committee in 1992 and Executive Vice-President in 1994. ▶ Appointed Head of Paribas' Specialist Financial Services Division and a member of the Executive Committee in 1997. ▶ Appointed Chief Executive Officer of the Caisse Nationale des Caisses d'Épargne in 1999. ▶ Appointed Chief Executive Officer of the Havas Group in 2005, and Vice-Chairman of the Bolloré Group in 2006. ▶ Appointed Chief Executive Officer of Royal Bank of Scotland's (RBS) French subsidiary in 2007, advisor to the RBS Global Banking and Markets Board in London in 2008, and Chief Executive Officer of RBS's French, Belgian and Luxembourg subsidiaries in 2009. ▶ Executive Vice-President and member of the Executive Committee of the La Poste Group, and Chairman of the Executive Board of La Banque Postale between January 2011 and October 2013. ▶ Vice-Chairman of the French Banking Association between June 2012 and December 2013 and member of the French Banking Federation's Executive Committee between July 2012 and December 2013. ▶ Director since 1 August 2013 and Chairman and Chief Executive Officer of La Poste since 26 September 2013.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ Chairman and Chief Executive Officer of La Poste (a French public limited company - SA). ▶ Director of Sopassure (a French public limited company - SA). ▶ Director of L'Envol, La Banque Postale's campus (a non-profit association). ▶ Permanent Representative of La Poste on the Board of Directors of Poste Immo (a French public limited company - SA). ▶ Permanent Representative of La Poste on the Board of Directors of GeoPost (a French public limited company - SA). ▶ Member of the Strategy Committee of La Poste Silver (a French simplified joint stock company - SAS). Companies outside the La Poste Group ▶ Director and member of the Appointments and Compensation Committee of CNP Assurances* (a French public limited company - SA). ▶ Member of the Institut Montaigne Management Committee.	▶ Member of the Supervisory Board of La Banque Postale Financement (a French public limited company - SA - with an Executive Board and a Supervisory Board). ▶ Member and Chairman of the Board of Directors and of the Appointments and Compensation Committee of La Banque Postale Assurance IARD (a French public limited company - SA). ▶ Chairman and Chief Executive Officer of La Poste (a French public limited company - SA). ▶ Director and Vice-Chairman of the Board of Directors of L'Envol, the La Banque Postale campus (non-profit association). ▶ Member of the Audit Committee of CNP Assurances* (a French public limited company - SA). ▶ Director and Chairman and Chief Executive Officer of SF2 (a French public limited company - SA). ▶ Member and Chairman of the Supervisory Board of La Banque Postale Gestion Privée (a French public limited company - SA with an Executive Board and a Supervisory Board). ▶ Member and Chairman of the Board of Directors of La Banque Postale Assurance Santé (a French public limited company - SA). ▶ Member of the Compensation Committee of La Banque Postale Asset Management, (a French public limited company - SA with an Executive Board and a Supervisory Board). ▶ Member and Chairman of the Board of Directors and of the Appointments and Compensation Committee of La Banque Postale Assurance IARD (a French public limited company - SA). ▶ Representative of La Banque Postale, manager of the limited property investment partnerships CRSF Dom and CRSF Métropole. ▶ Director and member of the Audit Committee of Société de Financement Local (a French public limited company - SA).

- ▶ Member of the Supervisory Board of the Fonds de Garantie des Dépôts (Deposit Guarantee Fund).
- ▶ Vice-Chairman of the Association Française des Banques (French Banking Association).
- ▶ Member of the Executive Committee of the Fédération Bancaire Française (French Banking Federation).
- ▶ Member and Chairman of the Executive Board and of the Appointments and Compensation Committee of La Banque Postale Asset Management (a French public limited company - SA with an Executive Board and a Supervisory Board).
- ▶ Member of the Board of Directors of the association Paris Europlace.
- ▶ Permanent Representative of La Poste on the Board of Directors of Sofipost (a French public limited company - SA).

Yves BRASSART Born in 1960**Vice-Chairman of the Supervisory Board****First appointment:** 24 April 2014**End of term:** 26 February 2023**Board Committees:** Member of the Financial Statements and Risk Committees and Chairman of the Strategy Committee**Professional address:** La Poste -9, rue du Colonel Pierre Avia - 75015 Paris**Education:** Graduate of IEP Paris, ENSPTT and the EDHEC business school - DECS (Diploma in advanced accounting)**BIOGRAPHY**

- ▶ Career within the La Poste Group since 1987. From 1987 to 1990, various positions in marketing and sales within La Poste Group's Postal Department. Then Marketing and Sales Director for the mail/parcels division from 1991 to 1993.
- ▶ From 1994 to 1999, Chief Financial Officer for the western France section of the La Poste Group.
- ▶ From 1999 to 2006, Head of La Poste's Financial Services and also Chief Financial Officer for the General Public Network from 2001 to 2003.
- ▶ From 2006 to 2011, Chief Financial Officer of La Banque Postale.
- ▶ From September 2011 to April 2014, Head of Finance and Strategy at La Banque Postale, as well as supervision of the Financial Operations Department from September 2012.
- ▶ From January 2013 to 7 April 2014, member of the Executive Board of La Banque Postale.
- ▶ From 7 April 2014, Executive Vice-President, Chief Financial Officer and member of the Executive Committee of the La Poste Group, then, since 7 September 2015, Executive Vice-President in charge of Finance and Development.

OTHER CURRENT APPOINTMENTS**Companies of the La Poste Group**

- ▶ Executive Vice-President of La Poste (a French public limited company - SA) in charge of finance and development.
- ▶ Director and member of the Audit Committee, and since 21 July 2017 member of the Strategy Committee since of Poste Immo (a French public limited company - SA).
- ▶ Director and member of the Audit and Financial Statements Committee and of the Strategy Committee of Geopost (a French public limited company - SA).
- ▶ Member of the Strategy Committee of La Poste Telecom (a French simplified joint-stock company - SAS).
- ▶ Permanent representative of La Poste, non-voting advisor of Siparex Associés (a French public limited company - SA).
- ▶ Permanent representative of La Poste, member of the Supervisory Board of Siparex Proximité Innovation (a French simplified joint-stock company - SAS).
- ▶ Member of the Strategy Committee of La Poste Silver (a French simplified joint-stock company - SAS).
- ▶ Chairman of LP5 (a French simplified joint-stock company - SAS).
- ▶ Chairman of LP7 (a French simplified joint-stock company - SAS).
- ▶ Chairman of La Poste Intrapreneuriat (a French simplified joint-stock company - SAS) since 18 April 2018.
- ▶ Chairman of Oh My Keys (a French simplified joint-stock company - SAS) since 31 October 2018.

Non La Poste Group companies

None.

APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS

- ▶ Chairman of Galliéni SF2-5 and Galliéni SF2-6 (French simplified joint-stock companies - SAS).
- ▶ Member of the Executive Board and the Audit Committee of La Banque Postale (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Director of SF2 (a French public limited company - SA).
- ▶ Member of the Supervisory Board and the Audit Committee of La Banque Postale (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Director of Préviposte (a French public limited company - SA).
- ▶ Permanent Representative of SF2 on the Board of Directors, member and Chairman of the Audit Committee, member of the Finance Committee and Independence Committee of La Banque Postale Prévoyance (a French public limited company - SA).
- ▶ Permanent Representative of SF2 on the Supervisory Board, member of the Audit Committee and member and Chairman of the Appointments and Compensation Committee of La Banque Postale Financement (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Director and member of the Audit Committee of La Banque Postale Assurances IARD (a French public limited company - SA).
- ▶ Member and Chairman of the Board of Directors of La Banque Postale Home Loan SFH (a French public limited company - SA).
- ▶ Chairman of Issy La Banque Postale (a French simplified joint-stock company - SAS).
- ▶ Chairman of Auxiliaire Transactions Immobilières (a French simplified joint-stock company - SAS).
- ▶ Member of the Directors Committee and the Audit and Risk Committee of La Banque Postale Crédit Entreprises (a French simplified joint-stock company - SAS).
- ▶ Chairman of the "LBPAM Obli Monde" mutual fund.
- ▶ Permanent representative of La Poste, Member of the Supervisory Board of XAnge Private Equity (a French simplified joint-stock company - SAS).
- ▶ Chairman of LP 2 (a French simplified joint-stock company - SAS).
- ▶ Chairman of the Supervisory Board of XAnge Capital (a French public limited company - SA - with an Executive Board and a Supervisory Board) until 31 March 2017.
- ▶ Chairman of LP6 (a French simplified joint-stock company - SAS) until 2 February 2018.
- ▶ Member of the Supervisory Committee of Vehiposte (a French simplified joint-stock company - SAS) until 18 April 2018.

Philippe BAJOU Born in 1958	BIOGRAPHY
Permanent Representative of La Poste, member of the Supervisory Board First appointment: 5 April 2016 End of term: 26 February 2023 Board Committees: None Professional address: La Poste -9, rue du Colonel Pierre Avia - 75015 Paris Education: Graduate of ENSPTT - Degree in electronics (Paris XI)	▶ Has worked within the La Poste Group since 1982. ▶ Policy officer at the French Post and Telecommunications Ministry with the Director of Joint Projects in 1989, then various positions within the Financial Department of La Poste. ▶ Head of Financial Affairs and Investments at La Poste in 1995, responsible for the CCP (postal chequeing accounts) fund management project from 1998. ▶ Chief Executive Officer of Ekiposte in 2000. ▶ Member of the Executive Board of La Banque Postale from December 2005 to January 2013. ▶ Executive Vice-President of the La Poste Group and Chief Executive Officer of the La Poste Network from December 2012 to June 2015. ▶ Became Executive Vice-President in charge of the transformation of the La Poste Group on 19 February 2015. ▶ General Secretary and Executive Vice-President of the La Poste Group since 2 February 2016.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ Deputy Chief Executive Officer and General Secretary of La Poste (a French public limited company - SA). ▶ Chairman of the Board of Directors of Poste Immo (a French public limited company - SA). ▶ Director of L'Envol, La Banque Postale's campus (a non-profit association). ▶ Director of Fondation La Poste. ▶ Member of the Strategy and Finance Committee of La Poste Telecom (a French simplified joint-stock company - SAS). ▶ Director and member of the Appointments and Compensation Committee of GeoPost (a French public limited company - SA). ▶ Chairman of the Supervisory Committee of Vehiposte (a French simplified joint-stock company - SAS). ▶ Member of the Strategy and Finance Committee of Alterego (a French simplified joint-stock company - SAS). ▶ Permanent Representative of La Poste, member of the Supervisory Board of La Banque Postale (a French public limited company - SA - with an Executive Board and a Supervisory Board). Companies outside the La Poste Group None.	▶ Member of the Supervisory Board of BPE (a French public limited company - SA). ▶ Permanent Representative of SF2, director of La Banque Postale Assurances IARD (a French public limited company - SA). ▶ Member and Chairman of the Supervisory Board of La Banque Postale Asset Management (a French public limited company - SA - with an Executive Board and a Supervisory Board). ▶ Member and Chairman of the Supervisory Board of La Banque Postale Gestion Privée (a French public limited company - SA with an Executive Board and a Supervisory Board). ▶ Member and Vice-Chairman of the Scientific Committee of the École de la Banque et du Réseau.

Nathalie COLLIN Born in 1964	BIOGRAPHY
Member of the Supervisory Board First appointment: 30 May 2018 End of term: 26 February 2023 Board Committees: None Professional address: La Poste -9, rue du Colonel Pierre Avia - 75015 Paris Education: Graduate of the École supérieure des sciences économiques et commerciales (ESSEC). Holds a masters in business law and taxation.	▶ From 1987 to 1990, consultant at Arthur Andersen. ▶ From 1990 to 1993, Chief Financial Officer for Cité mondiale des vins et spiritueux. ▶ From 1993 to 1997, Chief Financial Officer, Europe at Interleaf in London. ▶ From 1997 to 1999, Chief Financial and Administrative Officer at Virgin Music France, then CEO from 1999 to 2002. ▶ From 2002 to 2007, CEO then Chair of EMI Music France from 2007 to 2009. ▶ From 2009 to 2011, Chair of the Executive Board of Libération. ▶ From 2011 to 2014, CEO and Chair of the Executive Board of the Nouvel Observateur group. ▶ Appointed Deputy CEO in charge of communication for La Poste Group on 28 April 2014. Member of the Executive Committee. ▶ Appointed Deputy CEO in charge of Digital and communication for La Poste Group on 9 February 2015.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ Director of Docapost (a French simplified joint stock company - SAS). ▶ Director of Geopost (a French public limited company - SA). ▶ Director of Mediapost Holding (a French simplified joint stock company - SAS). ▶ Chair of Holding BNUM (a French simplified joint stock company - SAS). Companies outside the La Poste Group ▶ Member of the Conseil Économique, Social et Environnement (Economic, Social and Environmental Council) ▶ Member of the Supervisory Board of SNCF (EPIC). ▶ Member of the Conseil National du Numérique (National Digital Council).	▶ Director of Ma French Bank (a French public limited company - SA). ▶ Chair and CEO of the Nouvel Observateur (a French public limited company - SA).
Nathalie DIERYCKXVISSCHERS Born in 1974	BIOGRAPHY
Member of the Supervisory Board from 2 October 2014 to 25 May 2016 and, since then, permanent representative of the French State, member of the Supervisory Board First appointment: 2 October 2014 End of term: 26 February 2023 Board Committees: Member of the Strategy, Financial Statements, Risk, Appointments and Compensation Committees Professional address: Ministry of Economy and Finance, French Investments Agency (APE) -139, rue de Bercy Télédéc 228 - 75572 Paris cedex 12 Education: Holder of a DEA (Research Master's) in private wealth law - Former student at the École Normale Supérieure de Cachan - studied at the French National School of Administration (ENA) - Certificate of aptitude for the profession of lawyer (CAPA) - Associate Professor in economics and management	▶ From September 1999 to May 2001, legal expert then lawyer specialising in business law at the firm Chaillot Miellet in Paris. ▶ From May 2001 to August 2005, Project Leader with the Energy Regulatory Commission. ▶ From September 2004 to May 2010, at the Ministry of Economy, Finance and Industry, legal consultant to the Industrial and Financial Law Office of the Legal Affairs Division (September 2004 to October 2005) and Assistant to the Head of the Office of Insurance Companies and Brokers with the French Treasury Department (April 2009 to May 2010). ▶ From September 2010 to August 2014, Assistant Financial Advisor for the Commonwealth of Independent States and Georgia at the French Embassy in Russia. ▶ Since August 2014, Manager of Holdings in the Services and Finances Equity Department of the French Investment Agency (APE).
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ Representative of the French Government, member of the Supervisory Board and the Audit Committee of the Montpellier-Mediterranean Airport (a French limited company - SA -with an Executive Board and a Supervisory Board).	▶ Member of the Audit Committee and member and State representative on the Supervisory Board of La Banque Postale (a French public limited company - SA - with an Executive Board and a Supervisory Board).

Sandrine FAGOT-REVURAT Born in 1972	
Employee representative member of the Supervisory Board First appointment: 1 October 2018 End of term: 26 February 2023 Board Committees: Member of the Appointments and Compensation Committees Professional address: La Banque Postale BP 1839 – 40, Place Jean Moulin – 03000 Moulins. Education: AES degree (economic and social administration, specialisation in Regional Management). Specialisation in Human Resources, IFOCOP training centre.	BIOGRAPHY ▶ From 2001 to 2003, Human Resources Assistant (Intermarché Logistique 03) – Groupe ITM. ▶ In 2003, Personal Assistant to La Poste management. ▶ From 2004 to 2006, Management Controller at La Poste. ▶ Since 2006, Bank Controller responsible for La Banque Postale's internal control for the Auvergne region.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ None.	▶ None.
Thierry FRESLON Born in 1968	
Employee representative member of the Supervisory Board First appointment: 1 December 2015 End of term: 26 February 2023 Board Committees: Member of the Financial Statements and Risk Committees Professional address: AVEA LA POSTE -8, rue Brillat Savarin - 75013 Paris Education: Certificate in Economics and Employee Relations, IEP Paris - CESB and CESA, HEC DECF - Advanced vocational training certificate in accounting and business management, distinction in English	BIOGRAPHY ▶ Pursued a career in property firms and companies, notably as an accountant and treasurer from 1990 to 1994. ▶ Joined the La Poste Group in 1995 and notably held the position of Assistant Chief Accountant of the Group Central Treasury Department from 1996 to 1999. ▶ From 2000 to 2005, Manager of bank-related accounting, then central accounting at Etiposte. ▶ From 2006 to 2011, Special Advisor to the Accounting Department of La Banque Postale and, in parallel, Secretary of the Works Council. ▶ From 2012 to 31 December 2015, Manager of Internal Control Procedures and General Resources at Transactis. ▶ Since 1 December 2015, Employee Representative on the Supervisory Board of La Banque Postale. ▶ Since January 2016, Chairman of AVEA LA POSTE, a non-profit association of the La Poste Group.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ Chairman of AVEA LA POSTE (association). Companies outside the La Poste Group ▶ Director at UVVA (non-profit).	▶ None.

Jean-Pierre HAKIZIMANA Born in 1959	BIOGRAPHY
Employee representative member of the Supervisory Board First appointment: 27 February 2018 End of term: 26 February 2023 Board Committees: Member of the Strategy Committee Professional address: La Banque Postale -115, rue de Sèvres - 75275 Paris cedex 06 Education: Degree from ENSPT - MBA in Network Company Management – DESS (Master's level degree) in Marketing and Management from ISGE-Intec in Lyon – DA (post-graduate degree) in Telecoms Engineering from CESPTOM in Toulouse	▶ From 1996 to 1998, Financial Controller, Head of Marketing in charge of development at France Telecom's Regional Department of Evry. ▶ Joined La Poste in 1999 in the Financial Services Operations Department as project manager for improving the reliability of IT Systems, then as Head of project management and IT management until 2005. ▶ From 2006 to 2012, Head of project management at the Finance and Strategy Department of La Banque Postale. ▶ From 2012 to 2015, Head of the microcredit market and social partnership activity of the Retail Banking Division of La Banque Postale. ▶ Since January 2016, in charge of the overhaul of the account-keeping project of the Concerto programme within the Operations Division of La Banque Postale
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ None.	▶ None.
Sophie LOMBARD Born in 1969	BIOGRAPHY
Independent member of the Supervisory Board First appointment: 15 April 2016 End of term: 26 February 2023 Board Committees: Member of the Strategy, Financial Statements and Risk Committees Chair of the Appointments and Compensation Committees Professional address: – Education: Graduate of the EDHEC Business School - MBA from Columbia Business School, NY	▶ From 1992 to 1995, marketing and sales of structured rate products at Société Générale. ▶ From 1997 to 2001, LBO financing at Deutsche Bank in London and Paris. ▶ From 2001 to 2012, PAI Partners: origination, deal-making and monitoring of investments in the consumer goods and distribution sector: ▶ From 2013 to 2017, founder and Managing Director of Eloa Conseil, advisor on strategy and investments with investment funds. ▶ Since 2017, partner and Deputy CEO of Parvilla, a private equity management fund.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ Director, member of the Audit Committee and of the Appointments and Compensation Committee of Kaufman et Broad* (a French public limited company - SA). ▶ Member of the Investment Committee of Citizen Capital (fund). ▶ Member of PAI Human Capital (endowment fund). ▶ Managing Director at Parvilla (a French simplified joint-stock company - SAS) since 31 August 2017.	▶ Member of the Strategy Committee of the Centre TedyBear (a French simplified joint-stock company - SAS). ▶ Director of Marcolin (a French public limited company - SA). ▶ Executive Vice-President and director of Financière Gaillon 8 (a French public limited company - SA). ▶ Manager at Eloa Conseil (a French private limited company - SARL).

Michel MADELAIN Born in 1956	
Independent member of the Supervisory Board First appointment: 11 April 2018 End of term: 26 February 2023 Board Committees: Chair of the Financial Statements Committee, member of the Risk Committee, of the Appointments Committee, of the Compensation Committee and of the Strategy Committee. Education: Master of Management (Northwestern University Graduate School of Management). Graduate school of business - Rouen. Chartered accountant diploma.	BIOGRAPHY ▶ May 1980 to March 1994: Ernst & Young: audit partner as of 1989. ▶ April 1994 to April 2008: Moody's Investors Service – Paris, Senior Analyst, London and New York, Managing Director. ▶ May 2008 to May 2016: Moody's Investors Service Inc., Chairman & Chief Operating Officer. ▶ June 2016 to December 2018: Moody's Investors Service, Vice-Chairman. ▶ IFRS Foundation – Trustee since 1 January 2018.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ Trustee – IFRS Foundation.	▶ Director and Chairman of the Board of Directors – Moody's Investors Service Ltd. ▶ Director and Chairman of the Board of Directors – Moody's EMEA Ltd. ▶ Director and Chairman of the Board of Directors – Moody's EMEA Ltd. ▶ Member of the Supervisory Board - Moody's France SAS (a French simplified joint-stock company - SAS). ▶ Member of the Beirat – Moody's Deutschland GmbH ▶ Director – Moody's Investors Service Inc. ▶ Director – The Moody's Foundation
Steeve MAIGNE Born in 1969	
Employee representative member of the Supervisory Board First appointment: 27 February 2008 End of term: 26 February 2023 Board Committees: Member of the Financial Statements and Risk Committees Professional address: La Banque Postale -115, rue de Sèvres - 75275 Paris cedex 06 Education: Sales and finance	BIOGRAPHY ▶ Pursued a career within the La Poste Group as a Financial Advisor, and then as a Customer Service Manager from 1998 to 2004. ▶ Regional secretary for the Paris/Île-de-France CFE-CGC trade union, responsible for the La Poste General Public Network, member of La Poste's Employee-Relations Committees until 2007. ▶ Employee representative on the Supervisory Board of the La Poste Employee Savings Fund until 2007. ▶ From 2008 to 2013, Head of the Internal Synergies Project within La Banque Postale's Social and Local Economy Department. ▶ Since 2013, Quality Manager for the Permanent Control Department at La Banque Postale.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ Member of the Instance Paritaire Territoriale (joint regional body) and, since 1 January 2018, Chairman of the Instance Paritaire Territoriale of Pôle Emploi Paris Île-de-France.	▶ Member of the Audit Committee of La Banque Postale (a French public limited company - SA - with an Executive Board and a Supervisory Board). ▶ Director of Logipostel (a rent-controlled housing production company). ▶ Alternate Director and member of the financial and markets commissions of Urssaf Île-de-France (social security contributions collection agency of greater Paris).

Sophie RENAUDIE Born in 1968	BIOGRAPHY
Member of the Supervisory Board First appointment: 11 April 2018 End of term: 26 February 2023 Board Committees: Member of the Financial Statements, Risk and Strategy Committees Professional address: La Poste -9, rue du Colonel Avia - 75015 Paris Education: Post-graduate degree in modelling and quantitative analysis.	▶ From 1995 to 2000, in charge of project ownership and savings standards in La Poste Financial Division. ▶ From 2000 to 2005, Efiposte auditor, then accounting manager. ▶ Within La Banque Postale Financial Division: ▶ From 2006 to 2009, Deputy Accounting Director, ▶ From 2009 to March 2016: Director of Balance Sheet Management and Manager of the Group's financial communication. ▶ Since March 2016, La Poste Group Financial Control Director.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ None.	▶ Director of Tocqueville Finance Holding (a French simplified joint-stock company - SAS) and Tocqueville Finances SA (a French public limited company - SA) and Chair of the Audit and Compliance Committee of Tocqueville Finance SA (a French public limited company - SA). ▶ Director and Deputy Chief Executive Officer of SF2 (a French public limited company - SA). ▶ Member of the Directors' Committee of LBP Immobilier Conseil (a French simplified joint-stock company - SAS). ▶ Member of the Supervisory Board and of the Audit and Risk Committee at BPE (a French public limited company - SA). ▶ Chair of Galliéni SF2-6 (a French simplified limited company with a sole shareholder - SASU). ▶ Director and member of the Audit and Risk Committee of LBP Home Loan SFH (a French limited company - SA). ▶ Permanent Representative of SF2, director of LBP Conseil en Assurances (a French public limited company - SA).
Emmanuel RONDEAU Born in 1962	BIOGRAPHY
Independent member of the Supervisory Board First appointment: 27 February 2018 End of term: 26 February 2023 Board Committees: Chairman of the Risk Committee and member of the Financial Statements, Appointments, Compensation and Strategy Committees. Professional address: - Education: Company director certificate from Sciences PO-IFA. Graduated from Sup de Co in Reims (Neoma).	▶ From 1986 to 1991, Relationship Officer of the Corporate Division of Banque Indosuez. ▶ From 1991 to 1995, Deputy Head of the Corporate Division of Banque de Gestion Privée. ▶ From 1995 to 2002, Senior Banker then Co-Head of Corporate Origination of ING Group France. ▶ From 2002 to 2010, member of the Executive Committee and Head of Corporate Origination at RBS France. ▶ From 2010 to 2017, Director of Risk & Conduct Assurance, then member of the Executive Risk Committee of Royal Bank of Scotland (RBS) in London.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ None.	▶ Director of Risk & Conduct Assurance (Plc).

Sabrina ROSTAING-PARIS Born in 1978	BIOGRAPHY
► Employee representative member of the Supervisory Board First appointment: 27 February 2018 End of term: 30 September 2018 Board Committees: Member of the Appointments and Compensation Committees Professional address: La Banque Postale -115, rue de Sèvres - 75275 Paris cedex 06 Education: Master in management, Sydney Business School – PhD in Economics, Université Montesquieu Bordeaux IV.	► From 2009 to 2015, Economist in the Finance and Strategy Division at La Banque Postale. ► Since 2015, Project Manager, Home Loans, Retail Banking Department of La Banque Postale. ► At the same time, from 2015 to 2017, economics professor in business schools (ESG and ESCEN).

OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ► None. Companies outside the La Poste Group ► None.	► None.

Nicolas ROUTIER Born in 1963	BIOGRAPHY
Member of the Supervisory Board First appointment: 30 July 2015 (effective 1 September 2015) End of term: 26 February 2023 Board Committees: None Professional address: La Poste -9, rue du Colonel Avia - 75015 Paris Education: Graduated from IEP Paris and ENSPTT - Degree in economics	► Has worked at La Poste Group since 1988. From 1988 to 1991, Strategic Planning Manager and Economic and Financial Strategy Manager, then from 1991 to 1994, Head of the Management Control Service in the Group Financial Department. ► In 1994, Head of La Poste de l'Oise. ► In 1997, member of La Poste's Operational Committee. Creation of the Purchasing Department, which he headed until 2001. ► In parallel, from 1998 to 2001, Head of Management Control. ► From 2001, Head of Strategy, member of the Executive Committee and from mid-2002, Executive Vice-President, Group Strategic Development. ► From 2004 to 2009, Chairman and CEO of Mediapost and Advisor to the Group Chairman. Also in 2004 became Chairman of the Direct Distribution Trade Association. ► From March 2009 to June 2014, Chief Executive Officer of Mail. Also appointed Chairman of the Postal Operators Trade Association. ► From July 2014 to September 2015, Executive Vice-President of the La Poste Group and Chief Executive Officer of Mail and Parcel Services. ► Since 7 September 2015, Executive Vice-President of the La Poste Group in charge of institutional strategy and regulation.

OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ► Director of Geopost (a French public limited company - SA). ► Director of Poste Immo (a French public limited company - SA). ► Member of the Supervisory Board of Véhyposte (a French simplified joint-stock company - SAS). Companies outside the La Poste Group ► None.	► Director and member of the Policy Committee of Docapost (a French simplified joint-stock company - SAS). ► Director and Chairman of the Board of Directors of Sofipost (a French public limited company - SA). ► Member and Vice-Chairman of the Board of Directors of Asendia Holding AG (a Swiss company). ► Member and Vice-Chairman of the Board of Directors of Asendia Management (a French simplified joint-stock company - SAS). ► Member of the Policy Committee of Mediapost Holding (a French simplified joint-stock company - SAS). ► Director of La Poste Global Mail (a French simplified joint-stock company - SAS). ► Member of the Policy Committee of Viapost (a French simplified joint-stock company - SAS). ► Member of the Supervisory Board of Fret GV (a French simplified joint-stock company - SAS).

Thierry VIAROUGE Born in 1965	BIOGRAPHY
Employee representative member of the Supervisory Board First appointment: 27 February 2018 End of term: 26 February 2023 Board Committees: Member of the Strategy Committee Professional address: La Banque Postale -115, rue de Sèvres - 75275 Paris cedex 06 Education: Banking Management at HEC-CESA; DESS (specialised Master's level degree) in Banking and Finance, University Paris V; D.E.S (specialised graduate degree) from the Institut Technique de Banque.	▶ Worked for LCL from 1985 to 1997: ▶ Head of the back office from 1985 to 1987 and Credit Analyst from 1988 to 1991. ▶ From 1992 to 1994, Project manager in the Corporate business centres. ▶ From 1995 to 1997, Business Development Manager of the Corporate and Operations divisions in Paris. ▶ De 1998 à 1999, Auditor of the Financial Centres of the Financial Customers Department of La Poste. ▶ From 2000 to 2001, Internal Controller of the Management Board of Oséo Filiale Procrédit-Probail. ▶ In 2001, Senior Auditor of the management and Savings Department of the AMF (French Market Authority). ▶ From 2001 to 2006, La Poste: In charge of specialised areas in the Operations Department of the Financial Services Division from 2001 to 2004 and project manager in the Financial Customers Department from 2005 to 2006. ▶ From 2006 to 2010, Interbank Correspondent in the Interbank Relations Department of La Banque Postale. ▶ From 2010 to 2014, Supervisor of the steering of the audit activity at the national level in the Internal Audit Department of La Banque Postale. ▶ Since 2015, Interbank Correspondent of the service in charge of regulation of partnerships and external relationships of the Payments Department (Solutions Division) of La Banque Postale.
OTHER CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ None. Companies outside the La Poste Group ▶ Member of the Supervisory Board of the company Atout Pierre Diversification (French REIT) ▶ Member of the Supervisory Board of the company Actipierre Europe (French REIT) ▶ Member of the Supervisory Board of Ciloger Habitat (French REIT).	▶ None.
Yves ULMANN Born in 1959	BIOGRAPHY
Government Commissioner Appointed by decree of 2 February 2018 published in the Official Journal of 8 February 2018. Professional address: Ministry of the Economy and Finance, 139, rue de Bercy - 75572 Paris Cedex 12 Education: Graduate of IEP Paris - Studied at the French National School of Administration - Degree in public law.	▶ Executive assistant at the Banque de France (1985-1995). ▶ From 1998 to 2002, Advisor to the Administrative Court. ▶ From 2003 to 2005, Head of the oil taxation office. ▶ From 2006 to 2008, Adviser to the French Permanent Representation to the European Union. ▶ From 2009 to 2011, Deputy Director of TRACFIN. ▶ From 2012 to 2013, Deputy Head of the Legal Services Department of the Ministry of Economy and Finance, Deputy State Judicial Officer. ▶ From September 2013 to June 2017, Head of the Economic Department of the French Embassy in Vienna (Austria). ▶ Since July 2017, Head of the Economic and Financial Control Mission.

Changes to the Board

As the terms of the members of the Supervisory Board ended on 26 February 2018, the elections of the employee representatives were held on 12 February 2018, and the renewal of the terms of nine members and the appointment of a new independent member was voted by the General Meeting of 15 February 2018. Regarding the employee representatives, three new members were elected and

two members were re-elected. Since this date, three new members of the Board were co-opted to replace members who resigned and a new member representing the employees replaced an elected member who no longer met the eligibility criteria. The changes are shown in the table below.

Changes in the Supervisory Board and committees during the 2018 financial year

	Departure	Appointment/Election (Effective date)	Reappointment
Supervisory Board	Jean-Robert Larangé 26.02.2018	Jean-Pierre Hakizimana 27.02.2018	Philippe Wahl 27.02.2018
	Françoise Paget Bitsch 26.02.2018	Thierry Viarouge 27.02.2018	Yves Brassart 27.02.2018
	Hélène Wolff 26.02.2018	Emmanuel Rondeau 27.02.2018	Élisabeth Ayrault 27.02.2018
	Didier Ribadeau Dumas 26.02.2018	Sabrina Rostaing-Paris 27.02.2018	Virgile Bertola 27.02.2018
	Élisabeth Ayrault 06.03.2018	Michel Madelain 11.04.2018	Sylvie François 27.02.2018
	Virgile Bertola 03.04.2018	Sophie Renaudie 11.04.2018	Sophie Lombard 27.02.2018
	Sylvie François 29.05.2018	Nathalie Collin 30.05.2018	Nicolas Routier 27.02.2018
	Sabrina Rostaing-Paris 30.09.2018	Sandrine Fagot-Revurat 01.10.2018	The State, represented by Nathalie Dieryckxvisschers 27.02.2018
			La Poste, represented by Philippe Bajou 27.02.2018
			Thierry Freslon 27.02.2018
			Steeve Maigne 27.02.2018

	Departure	Appointment	Reappointment
Financial Statements Committee	Didier Ribadeau Dumas 26.02.2018	Emmanuel Rondeau 27.02.2018	Sophie Lombard 27.02.2018
	Virgile Bertola 03.04.2018	Sophie Renaudie 11.04.2018	The State, represented by Nathalie Dieryckxvisschers 27.02.2018
		Michel Madelain 11.04.2018	Yves Brassart 27.02.2018
			Virgile Bertola 27.02.2018
			Thierry Freslon 27.02.2018
			Steeve Maigne 27.02.2018

	Departure	Appointment	Reappointment
Risk Committee	Didier Ribadeau Dumas 26.02.2018	Emmanuel Rondeau 27.02.2018	Sophie Lombard 27.02.2018
	Virgile Bertola 03.04.2018	Sophie Renaudie 11.04.2018	The State, represented by Nathalie Dieryckxvisschers 27.02.2018
		Michel Madelain 11.04.2018	Yves Brassart 27.02.2018
			Virgile Bertola 27.02.2018
			Thierry Freslon 27.02.2018
			Steeve Maigne 27.02.2018

	Departure	Appointment	Reappointment
Appointments Committee	Didier Ribadeau Dumas 26.02.2018	Emmanuel Rondeau 27.02.2018	Sophie Lombard 27.02.2018
	Élisabeth Ayrault 26.02.2018	Sabrina Rostaing-Paris 27.02.2018	The State, represented by Nathalie Dieryckxvisschers 27.02.2018
	Sylvie François 26.02.2018	Michel Madelain 11.04.2018	Philippe Wahl 27.02.2018
	Hélène Wolff 26.02.2018	Sandrine Fagot-Revurat 01.10.2018	
	Sabrina Rostaing-Paris 30.09.2018		

	Departure	Appointment	Reappointment
Compensation Committee	Didier Ribadeau Dumas 26.02.2018	Emmanuel Rondeau 27.02.2018	Sophie Lombard 27.02.2018
	Élisabeth Ayrault 26.02.2018	Sabrina Rostaing-Paris 27.02.2018	The State, represented by Nathalie Dieryckxvisschers 27.02.2018
	Sylvie François 26.02.2018	Michel Madelain 11.04.2018	Philippe Wahl 27.02.2018
	Hélène Wolff 26.02.2018	Sandrine Fagot-Revurat 01.10.2018	
	Sabrina Rostaing-Paris 30.09.2018		

	Departure	Appointment	Reappointment
Strategy Committee	Élisabeth Ayrault 26.02.2018	Emmanuel Rondeau 27.02.2018	Yves Brassart 27.02.2018
	Didier Ribadeau Dumas 26.02.2018	Jean-Pierre Hakizimana 27.02.2018	Sophie Lombard 27.02.2018
	Françoise Paget Bitsch 26.02.2018	Thierry Viarouge 27.02.2018	The State, represented by Nathalie Dieryckxvisschers 27.02.2018
	Hélène Wolff 26.02.2018	Michel Madelain 11.04.2018	Virgile Bertola 27.02.2018
	Virgile Bertola 03.04.2018	Sophie Renaudie 11.04.2018	

Supervisory Board member attendance in financial year 2018

Board members	Board attendance	Financial Statements Committee attendance	Risk Committee attendance	Appointments Committee attendance	Compensation Committee attendance	Strategy Committee attendance
Philippe Wahl, Chairman of the Supervisory Board	100%	N/A	N/A	100%	100%	N/A
Yves Brassart, Vice-Chairman of the Board	100%	100%	84%	N/A	N/A	100%
<i>Élisabeth Ayrault</i>	100%	N/A	N/A	100%	100%	-
Philippe Bajou	100%	N/A	N/A	N/A	N/A	N/A
<i>Virgile Bertola</i>	100%	100%	100%	N/A	N/A	100%
Nathalie Collin	100%	N/A	N/A	N/A	N/A	N/A
Nathalie Dieryckxvisschers	100%	100%	67%	67%	50%	100%
<i>Sandrine Fagot-Revurat</i>	50%	N/A	N/A	-	-	N/A
<i>Sylvie François</i>	0%	N/A	N/A	0%	0%	N/A
Thierry Freslon	100%	100%	100%	N/A	N/A	N/A
Jean-Pierre Hakizimana	100%	N/A	N/A	N/A	N/A	100%
<i>Jean-Robert Larangé</i>	-	N/A	N/A	N/A	N/A	N/A
Sophie Lombard	64%	100%	100%	100%	100%	75%
Michel Madelain	80%	100%	100%	-	-	100%
Steeve Maigne	84%	100%	100%	N/A	N/A	N/A
<i>Françoise Paget Bitsch</i>		N/A	N/A	N/A	N/A	-
Sophie Renaudie	100%	100%	100%	N/A	N/A	100%
<i>Didier Ribadeau Dumas</i>	-	0%	0%	0%	0%	-
Emmanuel Rondeau	100%	100%	100%	-	-	100%
Sabrina Rostaing-Paris	100%	N/A	N/A	-	-	N/A
Nicolas Routier	100%	N/A	N/A	N/A	N/A	N/A
Thierry Viarouge	84%	N/A	N/A	N/A	N/A	100%
<i>Hélène Wolff</i>	-	N/A	N/A	100%	100%	N/A

The members shown in italics left the Supervisory Board during the 2018 financial year.

N/A: non-member of the body in question.

-: member but no meetings were held in 2018 during the term of the person in question.

Information on the new Supervisory Board members

When new members of the Supervisory Board assume their positions, they are given a file containing the Bank's Articles of Association, the internal regulations of the Supervisory Board and its Committees, the Supervisory Board Members' Charter, the Registration Document and the principal texts implementing the CRD IV rules.

Competence and training of the Supervisory Board and committee members

The Board ensures that its members collectively have the knowledge, skills and experience required in the areas of banking and financial markets, legal and regulatory requirements that apply to the Company, its system of governance including internal control procedures, strategic planning and how to implement it, risk management, accounting and financial reporting and, in addition, insurance markets and the legal and regulatory requirements that apply to companies in this sector.

The Board also ensures that the members appointed to its special committees have the appropriate skills and experience to carry out their duties on these committees.

Seminars on strategic, technical or topical subjects, and when applicable, technical workshops are organised on a regular basis for the members of the Supervisory Board.

Special training sessions are organised for new members. Technical workshops were organised for the Financial Statements Committee and the Risk Committee. The Risk Committee also organises seminars on the specificities of La Banque Postale which are open to all Board members. In addition, an eleven-day certificate training course given by Paris Dauphine University was offered to the Board members representing the employees elected or re-elected in 2018.

Availability

Special attention is paid to availability to attend the Company's governing bodies, and to compliance with the rules of the French Commercial Code, French Monetary and Financial Code and the Afep/Medef Code about the holding of multiple offices. The members of the Supervisory Board and the Executive Board are invited to report to the Chairman of the Company's Supervisory Board before accepting a new appointment in order to verify that the new appointment is compatible with legal and regulatory provisions. New members of the Supervisory Board receive a summary document informing them of their obligations with respect to holding multiple offices.

Assessment of the notion of independent member

Since La Banque Postale was founded, its Supervisory Board has used the general definition in the Afep/Medef Code to assess the independence of its members. Members of the Supervisory Board are therefore considered to be independent as long as they have no relationship of any kind with the Company, its parent Group or its

management that is likely to compromise their freedom of judgement.

Two new independent Board members were appointed or co-opted in 2018 at the recommendation of the Appointments Committee. Mr Emmanuel Rondeau was appointed to replace Mr Didier Ribadeau Dumas and Mr Michel Madelain was co-opted to replace Mrs Élisabeth Ayrault.

Independence is reviewed each year by the Appointments Committee, which presents its findings to the Supervisory Board. The latter, in accordance with the findings of the Appointments Committee, which reviewed the members' independence in light of the new recommendations of the Afep/Medef Code, confirmed in February 2019 the independence of three members of the Board: Mrs Sophie Lombard and Messrs Michel Madelain and Emmanuel Rondeau.

Compliance with the independence criteria of the Board members other than the employee representatives on the date of this report:

	Criterion 1	Criterion 2	Criterion 3	Criterion 4	Criterion 5	Criterion 6	Criterion 7	Criterion 8
Philippe Wahl, Chairman of the Supervisory Board	x	x	ok	ok	ok	ok	x	X
Yves Brassart, Vice-Chairman of the Supervisory Board	x	ok	ok	ok	ok	ok	ok	x
Philippe Bajou, Permanent Representative of La Poste	x	ok	ok	ok	ok	ok	ok	x
Nathalie Collin	x	ok	ok	ok	ok	ok	ok	x
The French State, represented by Nathalie Dierckxvischers	ok	ok	ok	ok	ok	ok	ok	x
Michel Madelain	ok	ok	ok	ok	ok	ok	ok	ok
Sophie Renaudie	x	ok	ok	ok	ok	ok	ok	x
Nicolas Routier	x	ok	ok	ok	ok	ok	ok	x
Emmanuel Rondeau	ok	ok	ok	ok	ok	ok	ok	ok
Sophie Lombard	ok	ok	ok	ok	ok	ok	ok	ok

Key:

"ok" represents an independence criterion that is met in accordance with the Afep/Medef criteria.

"x" represents an independence criterion that is not met in accordance with the criteria of the Afep/Medef Code.

Criterion 1: Has not been an employee or corporate officer of the Company, a consolidated company or a parent company over the past five years.

Criterion 2: Does not hold cross directorships.

Criterion 3: Does not have significant business relationships.

Criterion 4: Does not have close family ties with a corporate officer.

Criterion 5: Has not been statutory auditor of the Company during the past five years.

Criterion 6: Has not been a director of the Company for more than 12 years.

Criterion 7: Has not been a non-executive corporate officer of the Company and received compensation from the Group.

Criterion 8: Is not a representative of a major shareholder.

Declarations of the absence of convictions, bankruptcy, sanctions, family ties or benefits as a result of service agreements concerning members of the Supervisory Board

There are no family ties between the members of the Supervisory Board and the Executive Board. Over the last five years, no member of the Executive Board has been convicted of fraud or associated, as members of management or supervisory bodies, with a bankruptcy, receivership or liquidation.

In the last five years, the members of the Executive Board have not been subject to any incrimination or official public sanctions, nor have they been prohibited from exercising their duties.

Members of the Executive Board do not enjoy any benefits in respect of service agreements with the Company or any of its subsidiaries.

2.1.3.1.3 Duties of the Supervisory Board and its committees

Activities of the Supervisory Board in 2018

The Supervisory Board met six times during the 2018 financial year with an average attendance rate of 91%.

In addition to the Board members themselves, the Government Commissioner, the Single Economic and Social Committee (CUES) Secretary, the members of the Executive Board, and the Chief Financial Officer, some other La Banque Postale directors occasionally

participated in the Board meetings depending on points in the agenda. The statutory auditors attended the meetings at which the annual and half-year financial statements were presented.

During 2018, the work carried out by the Board focused primarily on the following issues:

- ▶ the strategy:
 - public banking and insurance project,
 - internal restructuring project,
 - partnership projects,
 - guarantee of subsidiary commitments,
 - opinion of the CUES on the strategic directions of the Bank and the consequences on the business and employment;
- ▶ operation of the Supervisory Board and governance:
 - implementation of the new mandate (renewed Board composition, appointment of the Chairman and Vice-Chairman, composition of the Committees),
 - renewal of the Executive Board's term,
 - remuneration of Executive Board members,
 - updating of La Banque Postale's remuneration policy,
 - report prepared pursuant to Article 266 of the decree of 3 November 2014;

- ▶ the Bank's business activity:
 - quarterly business reports,
 - presentation of the 2017 parent company and consolidated financial statements, together with the proposed appropriation of net income and the Executive Board's management report,
 - presentation of the half-year financial statements and the half-year business report,
 - presentation of the budget and the annual issue programmes;
- ▶ control of the Bank's business activity:
 - report drawn up pursuant to Articles 258 to 264 of the decree of 3 November 2014,
 - report drawn up pursuant to Article 253 of the decree of 3 November 2014,
 - risk appetite,
 - review of the business activity and results of internal control,
 - the work of the Internal Audit Department,
 - report of the Supervisory Board on corporate governance,
 - annual review of regulated agreements,
 - update on issues,
 - process implemented for the approval of services other than the certification of the financial statements,
 - workplace and salary equality policy.

To support the Supervisory Board's work, two seminars were held in 2018, during which the following themes were studied:

- ▶ the digital bank;
- ▶ asset management.

This work and the ensuing discussions enabled the Supervisory Board to exercise its powers of control over the Bank's management team, together with its decision-making powers.

2.1.3.1.4 The Special Committees of the Supervisory Board

Financial Statements Committee

The Financial Statements Committee is primarily responsible for:

- ▶ checking the clarity of financial information supplied by the Executive Board and assessing the relevance of the accounting methods adopted;
- ▶ participating in the selection of the statutory auditors and ensuring that they are independent and objective.

This committee consists of three independent directors, one of which chairs the Committee, two members of the Board belonging to La Poste Group, the State representative and two members of the Board representing the employees. The Government Commissioner also attends the Committee's meetings.

The Committee members have financial and accounting expertise, notably as a result of the duties they have had and still have.

The Financial Statements Committee meets at least twice per year and, in particular, prior to any meeting of the Supervisory Board where one or more questions relating to its area of expertise are on the agenda. The Chairman of this Committee reports on its work to the Supervisory Board after every meeting. It may seek the assistance of any person whose skills and expertise it considers necessary to carry out its mission.

The committee hears the opinions of the statutory auditors, the Bank's Chief Financial Officer, the Head of Risk and the Internal Auditor on issues that concern them, in particular on the

Company's risks and significant off-balance sheet commitments, the main points of the results of the legal audit and the accounting options used.

The Committee met four times in 2018 with an average attendance rate of 97%.

During 2018, its work focused primarily on the following issues:

- ▶ presentation of the annual financial statements, the management report and the CSR report;
- ▶ detailed summary of the certification work of the statutory auditors;
- ▶ management report by the Executive Board and report by the Supervisory Board on the conditions for preparing and organising the Board's work and the internal control procedures;
- ▶ the statutory auditors' 2018 work schedule;
- ▶ IFRS 9 and IFRS 16 standards;
- ▶ European Banking Authority guidelines on internal governance;
- ▶ presentation of the half-year financial statements and the half-year business report;
- ▶ review of the choice of consolidation standards;
- ▶ account-closing options;
- ▶ the Internal Audit Department's accounting missions;
- ▶ the work of the Committee.

Due notably to the arrival of new members, workshops on technical issues such as the IFRS 9 standard, the half-year close and the statutory auditors' audit plan were also organised in 2018 in addition to the committee sessions.

Risk Committee

The Risk Committee is primarily responsible for:

- ▶ assessing the quality of internal control, in particular the principles and system of risk management;
- ▶ taking note of the Company's Internal Audit Department's Charter and that of the Permanent Control Department;
- ▶ examining the accounting aspects of the Company's remuneration policy and practices and its position in terms of risk;
- ▶ more generally, ensuring compliance with the tasks provided by the French Monetary and Financial Code and by the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors subject to the supervision of the French Prudential Supervision and Resolution Authority (ACPR).

This Committee consists of three independent directors, one of whom chairs the meetings, two members of the Board belonging to the La Poste Group, the State representative and two members of the Board members representing the employees. The Government Commissioner also attends the Committee's meetings.

Members of the Committee have the knowledge, skills and expertise necessary to perform their duties and to understand and monitor the Group's strategy and appetite for risk. When required, training is provided at the time of appointment or during their term to improve their knowledge.

The Risk Committee meets at least four times per year and, in particular, prior to any meeting of the Supervisory Board where one or more questions relating to its area of expertise are on the agenda. The Chairman of this Committee reports on its work to the Supervisory Board after every meeting. It may also seek the assistance of any person whose skills and expertise it considers necessary to carry out its mission.

The Chief Financial Officer of the Company may be asked to attend Committee meetings at the request of the Committee Chairman.

The statutory auditors, the Chief Financial Officer of the Bank, the Head of Compliance, the Head of Risk and the Internal Auditor are heard by the Committee regarding topics of concern to them.

The members meet without Bank representatives prior to the meetings in order to prepare the session.

The Committee met six times in 2018 with an average attendance rate of 91%.

During 2018, its work focused primarily on the following issues:

- ▶ recovery and resolution plan;
- ▶ annual internal control and risk management report;
- ▶ half-yearly internal control report;
- ▶ report on compliance procedures;
- ▶ setting of directions, policies and risk limits – risk appetite: the risk appetite framework and the risk appetite dashboard;
- ▶ review of business activity and of the results of permanent control;
- ▶ review of the reports issued by Internal Audit and follow up on action plans;
- ▶ implementation of the AML/CFT (anti-money laundering and combating the financing of terrorism) action plan;
- ▶ EBA internal governance guidelines;
- ▶ the capital allocation process methodology;
- ▶ compliance risk mapping;
- ▶ analysis of litigations;
- ▶ update on Human Resources and the risk line;
- ▶ review of business activity and of the results of permanent control;
- ▶ European Central Bank follow-up letters;
- ▶ Financing and Investment Banking activity;
- ▶ Insurance activity;
- ▶ application of the Sapin 2 law;
- ▶ application of the General Data Protection Regulation (GDPR);
- ▶ multi-year audit plan;
- ▶ the work of the Committee and its functioning.

In addition, due notably to the arrival of new members, workshops on technical topics (*ILAAP, ICAAP and STE*) were also held in 2018 as was a training seminar on the following topics open to all Board members:

- ▶ the organisation of European Central Bank supervision;
- ▶ the bank assessment method (the Supervisory Review and Evaluation Process - SREP);
- ▶ risk appetite;
- ▶ the governance of risk and delegations;
- ▶ a Banque Postale benchmark against European banks;
- ▶ detailed presentation of the monthly risk monitoring dashboard;
- ▶ Risk and Compliance audit missions.

Appointments Committee

In order to prepare the work of the Board with respect to the appointments policy within the Company and its subsidiaries, the Compensation Committee is notably responsible for the following tasks:

- ▶ prior review of the profiles of individuals under consideration for a seat on the Board due to their independence vis-à-vis the Company or La Poste Group, or for becoming a member of the Executive Board. The Committee also gives its opinion on renewals of terms;
- ▶ periodic assessment, and at least once per year:
 - review of the structure, size, composition and efficiency of the Supervisory Board with regard to the tasks assigned to it. The Committee submits to the Supervisory Board any relevant recommendations,
 - on the knowledge, skills and experience of the Supervisory Board members, both individually and collectively. The Committee reports on this appraisal to the Supervisory Board,
 - of the qualification as an independent member of the Supervisory Board;
- ▶ setting the target to be achieved in relation to gender balance on the Supervisory Board and creating a policy to achieve this target;
- ▶ annual assessment of the balance and diversity of knowledge, skills and experience possessed individually and collectively by the Supervisory Board members. It also specifies the tasks and qualifications that are necessary for Supervisory Board positions and assesses the time devoted to Supervisory Board member duties;
- ▶ review of the management succession plan in order to recommend possible candidates to the Supervisory Board, notably in the event of an unforeseen vacancy.

This Committee consists of three independent directors, one of whom chairs the meetings, the Chairman of the Supervisory Board, the State representative and a member of the Board representing the employees. The Government Commissioner also attends the Committee's meetings.

The members of the Executive Board may attend Committee meetings at the request of the Chairman of the Committee. The Committee can also hear the main managers of the Company and of its subsidiaries and can invite anyone whose expertise the believe is required to carry out its mission. It can be assisted by the departments responsible for internal control and by outside experts.

The Appointments Committee met three times in 2018 with a 67% attendance rate.

During 2018, its work focused on the review of the Board candidates under consideration in terms of their expertise, experience, availability and whether or not there were any potential conflicts of interest, the renewal of the Board and of the Executive Board, review of the composition of the Board and of its committees, notably with respect to the diversity of its members, review of the independence of the Board members and the prevention of conflicts of interest.

In February 2019, the Committee reviewed the succession plan for managers and presented its conclusion to the Supervisory Board.

Compensation Committee

In order to prepare the work of the Board with respect to the remuneration policy within the Company and its subsidiaries, the Compensation Committee is notably responsible for the following tasks:

- ▶ the annual review:
 - of the principles of the remuneration policy,

- the remuneration, allowances and benefits of all types awarded to the Company's corporate officers,
- the remuneration policy for employees who manage collective investment undertakings and for employees who are financial market professionals, whose activities are likely to have a material impact on the Company's risk exposure,
- the report prepared by the Executive Board pursuant to Article 266 of the decree of 3 November 2014 and forwarded to the French Prudential Supervision and Resolution Authority (ACPR);
- ▶ the policy on attendance fees;
- ▶ the review of retirement and benefits plans;
- ▶ the review of the opportunity to set up profit-sharing and incentive schemes for corporate officers and/or employees.

The Committee also makes sure that the remuneration policy complies with the provisions of the decree of 3 November 2014, and that it is consistent with professional standards, regardless of whether the remuneration is fixed or variable, paid in cash or shares, or consists of benefits in kind, and of whether it is deferred or not. The Compensation Committee also reviews the remuneration of the Head of Risk, the Head of Compliance, and of the Internal Auditor.

This Committee consists of three independent directors, one of which chairs the meetings, the Chairman of the Supervisory Board, the State representative and a member of the Board representing the employees. The Government Commissioner also attends the Committee's meetings.

The Committee can hear the main managers of the Company and of its subsidiaries and can invite anyone whose expertise it believes is required to carry out its mission. It can also be assisted by the departments responsible for internal control and by outside experts.

The Appointments Committee met twice in 2018 with an average attendance rate of 64%.

During 2018, its work focused primarily on the following issues:

- ▶ the principles of the remuneration policy and the report prepared pursuant to Article 266 of the decree of 3 November 2014;
- ▶ the remuneration of Executive Board members and setting their targets;
- ▶ updating the remuneration policy;
- ▶ the review of the remuneration of the Head of Risk, the Head of Compliance and the Internal Auditor;
- ▶ the attendance fees paid for 2017 and 2018.

Strategy Committee

The Strategy Committee reviews and follows the implementation of the multi-year strategic plan, the strategic projects and operations of the Company and of its subsidiaries and the operations submitted for the prior authorisation of the Supervisory Board in accordance with the law and the Articles of Association.

This Committee consists of three independent directors, the Vice-Chairman of the Supervisory Board, who is the Chairman of the Committee, of another member of La Poste Group, of the State representative and of two members of the Board representing the employees. The Government Commissioner also attends the Committee's meetings.

At the prior request by its Chairman, the Committee can hear the main managers of the Company and of its subsidiaries and can invite anyone whose expertise it believes is required to carry out its mission.

To address the strategic issues that needed to be presented to the Supervisory Board for review, the Strategy Committee met four times in 2018 with an average attendance rate of 97%.

During 2018, it worked on the Bank's strategic projects, the public banking and insurance project and the Financing and Investment Bank's business plan.

2.1.3.1.5 Comments of the Supervisory Board concerning the report of the Executive Board and the 2018 financial statements

As required by law and the Company's Articles of Association, the Supervisory Board has made the verifications and controls it deemed necessary as part of its supervisory duties with regard to the management of the Company by the Executive Board.

The Supervisory Board thus notably reviewed the corporate and consolidated financial statements for 2018 presented to it by the Executive Board, in accordance with the law. It also reviewed the Executive Board's management report on the activity of the La Banque Postale Group in 2017.

The Supervisory Board has no particular comments to make regarding the financial statements or the management report of the Executive Board.

2.1.3.2 The Executive Board

2.1.3.2.1 Composition of the Executive Board

La Banque Postale is a French public limited company (*société anonyme*) with an Executive Board and a Supervisory Board.

Executive management of the Company is carried out by the Executive Board, which has the broadest powers to act on behalf of the Company in all circumstances, within the limits of its corporate purpose and subject to the powers expressly conferred on the Supervisory Board and Shareholders' Meetings by French law and the Company's Articles of Association.

The Executive Board is composed of the four following members appointed by the Supervisory Board:

- ▶ Rémy Weber, Chairman of the Executive Board;
- ▶ Marc Batave, member of the Executive Board and Chief Executive Officer of the Commercial Bank and Insurance ⁽¹⁾;
- ▶ Gregorio Antonio Blanco, member of the Executive Board, General Secretary;
- ▶ Anne-Laure Bourn, member of the Executive Board and Executive Vice-President of La Poste Group in charge of the Network, responsible for the oversight of the Operations Department.

The Supervisory Board, at its meeting of 27 February 2018, renewed, for a period of five years, the terms of office of the four members of the Executive Board and also renewed that of its Chairman.

The members of the Executive Board have the status of executive corporate officer within the meaning of Article L. 511-13 of the French Monetary and Financial Code.

As previously authorised by the Supervisory Board, members of the Executive Board have divided management duties among themselves. They have also set the amounts in excess of which certain actions committing the Company require prior approval from the Executive Board, without which the individual concerned would become personally liable to the Company and its shareholders.

(1) The term Chief Executive Officer is not within the meaning of Article L. 225-66 of the French Commercial Code.

2.1.3.2.2 Appointments and positions held by the members of the Executive Board

Summary presentation of the Executive Board members

	Personal information			Experience		Position on the Executive Board		
	Age at 31.12.2018	Gender	Nationality	Number of shares	Number of offices in companies with listed shares	Start date of term	End of term	Seniority on the Executive Board at 28.02.2019
Rémy WEBER Chairman of the Executive Board	61	M	French	N/A	1	15.10.2013	26.02.2023	5 ½ years
Marc BATAVE Member of the Executive Board and CEO of La Banque Postale's Banque Commerciale et Assurance ⁽¹⁾	60	M	French	N/A	0	09.01.2013	26.02.2023	6 years
Gregorio Antonio BLANCO Member of the Executive Board and General Secretary	53	M	French	N/A	0	06.09.2017	26.02.2023	1 ½ years
Anne-Laure BOURN Member of the Executive Board	56	F	French	N/A	0	25.05.2016	26.02.2023	3 years

(1) The term Chief Executive Officer is not within the meaning of Article L. 225-66 of the French Commercial Code.

Detailed presentation of the Executive Board members

N.B.: terms of office and positions held in companies whose shares are admitted for trading on a regulated market are identified by an asterisk.*

Rémy WEBER Born in 1957	BIOGRAPHY
Chairman of the Executive Board First appointment: 15 October 2013 End of term: 26 February 2023 Professional address: La Banque Postale -115, rue de Sèvres - 75275 Paris Cedex 06 Education: Graduate of IEP Aix en Provence and HEC	- From 1983 to 1987, various missions in the major corporations department of La Banque Française du Commerce Extérieur. - From 1987 to 1989, Special Advisor in the Department of International Affairs at the Treasury. - In 1990, Deputy Director of Investment and Mergers & Acquisitions at Financière B.F.C.E. - In 1993, Regional Director at Lyonnaise de Banque; subsequently, General Secretary and Director of Operations from 1995 to 1996, Executive Vice-President from 1996 to 1999 and Chief Executive Officer from 1999 to 2002. - From 2002 to 2013, Chairman and Chief Executive Officer of CIC Lyonnaise de Banque, member of the Executive Board and then of the Executive Committee of the CIC Group. - Since 15 October 2013, Chairman of the Executive Board of La Banque Postale, Executive Vice-President and Head of Financial Services of La Poste.

CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group - Executive Vice-President and Head of Financial Services of La Poste (a French public limited company - SA). - Chairman of the Board of Directors of SF2 (a French public limited company - SA). - Chairman of the Supervisory Board and member of the Compensation Committee of La Banque Postale Asset Management, (a French public limited company - SA with an Executive Board and a Supervisory Board). - Director of La Banque Postale Assurance Santé (a French public limited company - SA). - Chairman of the Board of Directors and Chairman of the Compensation Committee for La Banque Postale Assurances IARD (a French public limited company - SA). - Director of Sopassure then Chairman and CEO since 28 March 2018 (a French public limited company - SA). - Representative of La Banque Postale, Manager of the limited property investment partnerships CRSF Dom, CRSF Métropole and Tertiaire Saint Romain. - Director and Vice-Chairman of the Board of Directors of l'Envoi, the La Banque Postale campus (non-profit association). - Director of Poste Immo (a French public limited company - SA). - Member of the Supervisory Board of La Banque Postale Crédit Entreprises, (a French public limited company - SA with an Executive Board and a Supervisory Board). - Chairman of the Management Committee of KissKissBankBank & Co (a French simplified joint-stock company - SAS). - Chairman of the Board of Directors of Ma French Bank (a French public limited company - SA). Companies outside the La Poste Group - Vice-Chairman of the Association Française des Banques (AFB - the French Banking Association). - Permanent Representative of the AFB, member of the Executive Committee of the French Banking Federation. - Director and member of the Strategy Committee of CNP Assurances* (a French public limited company - SA). - Member of the Board of Paris Europlace (non-profit association). - Director and Chairman of the Board of Directors of the Lyon Opera house (non-profit association).	- Chief Executive Officer of SF2 (a French public limited company - SA). - Member of the Supervisory Board of the Fonds de Garantie des Dépôts. - Chairman of the Board of Directors of La Banque Postale Assurance Santé (a French public limited company - SA). - Chairman of the Compensation Committee of La Banque Postale Asset Management (a French public limited company - SA with Executive Board and Supervisory Board). - Member of the Audit Committee of CNP Assurances* (a French public limited company - SA). - Member and Chairman of the Board of Directors and member and Chairman of the Nomination and Compensation Committee of La Banque Postale Prévoyance (a French public limited company - SA) until 28 June 2016. - Member of the Audit Committee, director, member of the Risk and Internal Control Committees and member of the Financial Statements Committee of the Société de Financement Local (a French public limited company - SA). - Chairman of the Supervisory Board of La Banque Postale Crédit Entreprises (a French public limited company - SA with an Executive Board and a Supervisory Board) from 26 January 2017 to 7 March 2017. - Chairman and Chief Executive Officer of Sopassure (SA) up to 28 March 2017.

Marc BATAVE Born in 1958**Member of the Executive Board****First appointment:** 09 January 2013**End of term:** 26 February 2023**Professional address:** La Banque Postale -115, rue de Sèvres - 75275 Paris Cedex 06**Education:** Graduate of ESSEC**BIOGRAPHY**

- ▶ Crédit du Nord Group from 1983 to 2011:
- ▶ Deputy Head of the Labour Relations Section of the Human Resources Department of Crédit du Nord from 1983 to 1985.
- ▶ Financial Negotiating Department from 1985 to 1986.
- ▶ Head of the Financial Savings and Insurance Products Department, Head of Retail Banking then Head of Marketing at Crédit du Nord from 1986 to 1993.
- ▶ From 1993 to January 2000, Vice-Chairman, then Chairman of the Executive Board of Banque Courtois.
- ▶ From January 2000 to July 2011, Head of Customer Relations, Executive Vice-President and then Deputy Chief Executive Officer at Crédit du Nord.
- ▶ La Banque Postale.
- From 1 November 2012 to 9 January 2013, Head of Business and Professional Activities for La Banque Postale and member of the Executive Committee of La Banque Postale.
- Member of La Banque Postale's Executive Board since 9 January 2013, General Secretary from 9 January 2013 to 25 May 2016, and acting General Secretary up until 5 September 2017.
- CEO of Banque Commerciale et Assurance since 25 May 2016*.

CURRENT APPOINTMENTS**Companies of the La Poste Group**

- ▶ Chief Executive Officer of the Commercial Bank and Insurance Divisions of La Banque Postale (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Vice-Chairman of the Board of Transactis (a French simplified joint-stock company - SAS).
- ▶ Chairman of the Supervisory Board and of the Appointments and Compensation Committee of BPE (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Director of La Banque Postale Collectivités Locales (a French public limited company - SA).
- ▶ Member of the Supervisory Board of La Banque Postale Financement (a French public limited company - SA with an Executive Board and a Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Policy Committee of Adresse Musée de La Poste (a non-profit association).
- ▶ Permanent Representative of SF2, member of the Supervisory Board of La Banque Postale Asset Management (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Chairman of the Supervisory Board and Chairman of the Appointments and Remuneration Committees of La Banque Postale Crédit Entreprises (a French public limited company - SA with an Executive Board and a Supervisory Board).
- ▶ Permanent Representative of La Poste on the Board of Directors of Ma French Bank (a French public limited company - SA).
- ▶ Member of the Management Committee since 17 July 2018, and since 19 September 2018, Vice-Chairman of the Management Committee of KissKissBankBank & Co (a French simplified joint-stock company - SAS).

Companies outside the La Poste Group

None.

APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS

- ▶ Executive Chairman, member and Chairman of the Audit and Risk Committee and Chairman of the Board of Directors of La Banque Postale Crédit Entreprises (a French simplified joint-stock company - SAS).
- ▶ Member and Chairman of the Supervisory Board and member of the Compensation Committee of SOFIAP (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors, Chairman of the Audit and Risk Committees and member of the Appointments and Compensation Committee of BPE (a French public limited company - SA).
- ▶ Permanent Representative of La Banque Postale, member of the Supervisory Board of XAnge Private Equity (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Member of the Supervisory Board and of the Compensation Committee of La Banque Postale Gestion Privée (a French public limited company - SA - with an Executive Board and a Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors of OCBF (non-profit association).
- ▶ Member and Chairman of the Management Committee of Titres-Cadeaux (a French simplified joint-stock company - SAS).
- ▶ Member of the Supervisory Board of the Fonds de Garantie des Dépôts (a fund).
- ▶ Permanent Representative of SF2 on the Board of Directors of Tocqueville Finance (a French public limited company - SA) and Tocqueville Finance Holding (a Simplified Joint-Stock Company).
- ▶ Director, member and Chairman of the Financial Committee of La Banque Postale Assurances IARD (a French public limited company - SA).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors of La Banque Postale Home Loan SFH (a French public limited company - SA).
- ▶ Member and Chairman of the Management Committee of Easyness (a French simplified joint-stock company - SAS).
- ▶ Member and Vice-Chairman of the Management Committee of Titres-Cadeaux (a French simplified joint-stock company - SAS) until 19 December 2018.

* The term Chief Executive Officer is not within the meaning of Article L. 225-66 of the French Commercial Code.

Gregorio Antonio BLANCO Born in 1965	BIOGRAPHY
Member of the Executive Board First appointment: 6 September 2017 End of term: 26 February 2023 Professional address: La Banque Postale -115, rue de Sèvres - 75275 Paris Cedex 06 Education: Graduated from École Polytechnique, engineering degree from École nationale supérieure des télécommunications (Corps des Mines), MBA from INSEAD	▶ From 1988 to 1997, France Télécom, operational positions in France and abroad, notably as the head of a regional centre of operations, before being appointed Regional Sales Manager for Lille. ▶ From February 1997 to February 2010, at strategy consulting firm McKinsey & Co, Consultant then Project Manager, then Associate Director for the Financial Institutions sector. ▶ From March 2010 to December 2010, Deputy Chief Executive Officer and Head of private clients at Barclays Bank France. ▶ From December 2010 to August 2017, Chief Executive Officer of Barclays Bank, Country Manager of Barclays France, member of the Executive Committee of Europe Retail and Business Banking. ▶ From January 2014 to May 2016, Chief Executive Officer of Barclays Italy Retail and Business Banking. ▶ Since 6 September 2017, member of the Executive Board and General Secretary of La Banque Postale.
CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ Permanent Representative of La Banque Postale on the Board of Directors of La Banque Postale Home Loan SFH (a French public limited company - SA). ▶ Permanent Representative of SF2 on the Supervisory Board, Chairman of the Compensation Committee and member of the Appointments Committee of La Banque Postale Financement (a French public limited company - SA - with an Executive Board and a Supervisory Board). ▶ Permanent Representative of SF2 on the Board of Directors of Tocqueville Finance SA (a French public limited company - SA) and Tocqueville Finance Holding (a simplified joint-stock company). ▶ Director and Chairman of the Financial Committee of La Banque Postale Assurances IARD (a French public limited company - SA). ▶ Director of SF2 (a French public limited company - SA). ▶ Permanent Representative of SF2 on the Supervisory Board of La Banque Postale Asset Management (a French public limited company - SA - with an Executive Board and a Supervisory Board). ▶ Permanent Representative of La Banque Postale on the Board of Directors of Suffren Ré (a French public limited company - SA) since 27 November 2018. Companies outside the La Poste Group None.	▶ Chief Executive Officer of Barclays Bank PLC (a UK limited company). ▶ Chairman and Chief Executive Officer of Barclays Vie (a French public limited company - SA). ▶ Chief Executive Officer of Barclays France (a French public limited company - SA). ▶ Director of Barclays Wealth Managers (a French public limited company - SA). ▶ Director of Barclays Diversification (a French public limited company - SA). ▶ Manager of Barclays Patrimoine (a marketing services company - SCS). ▶ Director of Barclays Vida y Pensiones (a Spanish limited company).

Anne-Laure BOURN Born in 1962	BIOGRAPHY
Member of the Executive Board First appointment: 25 May 2016 End of term: 26 February 2023 Professional address: La Poste – 9 rue du Colonel Pierre Avia – CP 407 – 75015 Paris Education: Graduate of the Institut Supérieur de Gestion (ISG), the Institut Technique de Banque (ITB), EMBA and HEC	▶ From 1985 to 1988, marketing research manager then product manager at Thomson Grand Public. ▶ At the Crédit Agricole Regional Bank in Morbihan, financial analyst from 1988 to 1990 then manager of business financing from 1990 to 1992 and marketing manager from 1992 to 1995. ▶ Joined the La Poste Group in 1995 as head of marketing and organisation of La Poste Grand Public Grand Ouest; became Head of the Financial Centre in Rennes in 2000 then Head of the Financial Centre in Paris in 2005. ▶ From 2006 to 2009, Territorial Representative of La Banque Postale Ouest Dom Corse. ▶ From 2009 to 2011, Secretary General and member of the Executive Board of La Banque Postale Asset Management. ▶ From 2011 to June 2015, Head of Operations at La Banque Postale. ▶ Since June 2015, Executive Vice-President of the La Poste Group in charge of the Network division and Managing Director of the La Poste financial services. ▶ Since 25 May 2016, member of the Executive Board of La Banque Postale.
CURRENT APPOINTMENTS	APPOINTMENTS THAT EXPIRED DURING THE LAST FIVE YEARS
Companies of the La Poste Group ▶ Executive Vice-Chairman in charge of the Network branch and Managing Director of Financial Services at La Poste (a French public limited company - SA). ▶ Member of the Executive Board of La Banque Postale (a French public limited company - SA - with an Executive Board and a Supervisory Board). ▶ Director of Poste Immo (a French public limited company - SA). ▶ Permanent representative of La Banque Postale on the Supervisory Board and member of the Appointments and Compensation Committee of BPE (a French public limited company - SA with an Executive Board and a Supervisory Board). Companies outside the La Poste Group None.	▶ Member of the Supervisory Board of La Banque Postale Asset Management, (a French public limited company - SA with an Executive Board and a Supervisory Board). ▶ Member and Chairman of the Supervisory Board of Asset Management Lab (a French public limited company - SA). ▶ Director of La Banque Postale Assurances IARD (a French public limited company - SA). ▶ Member of the Policy Committee of Docapost BPO (a French simplified joint-stock company - SAS).

Conflicts of interest

To the best of the Company's knowledge, there are no conflicts of interest between the duties of the members of the Executive Board and the Bank and their private interests.

Apart from the related party agreements and commitments, there are no arrangements or agreements entered into with clients, suppliers or any other third parties pursuant to which a member of the Supervisory Board has been selected.

Although no structural conflict of interest was identified in the cumulation of duties of Anne-Laure Bourn within La Banque Postale and the La Poste Network, she expressly committed, as a preventive measure, to complying with the conflicts of interest management policy implemented by La Banque Postale, which consists of informing La Banque Postale's compliance officer of any conflict of interest and, in the event that the conflict of interest arises from a decision made by the Executive Board or the Executive Committee of La Banque Postale, to abstain from participating in this decision. In this case, a mention will be made in the minutes of the meeting.

2.1.3.2.3 Internal committees of the Executive Board

In 2018, the Executive Board was supported by thirteen steering committees.

The Executive Committee

The Executive Committee (Comex) is chaired by Rémy Weber, Chairman of the Executive Board, and composed, in addition to its Chairman, of 12 members, who are:

- ▶ Marc Batave, member of the Executive Board and Chief Executive Officer of commercial banking and insurance;
- ▶ Tony Blanco, member of the Executive Board and General Secretary;
- ▶ Anne-Laure Bourn, member of the Executive Board, Executive Vice-President of the La Poste Group, Chief Executive Officer of the La Poste Network;
- ▶ Serge Bayard, Head of Businesses and Territorial Development;
- ▶ François Géronde, Head of Group Risk;
- ▶ Catherine Charrier-Leflaive, Assistant Head of the La Poste Network in charge of business development, Head of Retail Banking and Insurance;
- ▶ Olivier Lévy-Barouch, Head of Strategy and Innovation;
- ▶ Florence Lustman, Chief Financial Officer, Director of public affairs;
- ▶ Patrick Renouvin, Head of the Solutions Division;
- ▶ Daniel Roy, Head of the Asset Management Division;
- ▶ Robert Villani, Executive Vice-President of the La Poste Network in charge of organisation, risk and the customer experience, Head of Operations;
- ▶ Maud Vimeux, Human Resources Director, Executive Vice-President of the La Poste Network.

The Executive Committee meets once a fortnight. It is La Banque Postale's policy body and supports the Executive Board, particularly regarding business action.

The General Management Committee (CDG)

The purpose of the General Management Committee (CDG) is to communicate the Company's key messages and news on marketing and distribution. It monitors the progress of major structuring projects and manages the responsible development policy.

At present, the CDG is composed as follows:

- ▶ Rémy Weber, Chairman of the Executive Board, Chairman of the CDG;

- ▶ Marc Batave, member of the Executive Board and Chief Executive Officer of commercial banking and insurance;
- ▶ Tony Blanco, Member of the Executive Board and General Secretary;
- ▶ Anne-Laure Bourn, Member of the Executive Board, Executive Vice-President of the La Poste Group, Chief Executive Officer of the La Poste Network;
- ▶ Serge Bayard, Head of Businesses and Territorial Development;
- ▶ Sarah Bouquerel, CEO of LBP IARD, Deputy Director of the Insurance Division;
- ▶ Delphine de Chaisemartin, Director of Public Affairs and of Financial and Institutional Communication;
- ▶ Catherine Charrier-Leflaive, Assistant Head of the La Poste Network in charge of business development, Head of Retail Banking and Insurance;
- ▶ Philippe Cuvelier, Deputy Head of Information Systems;
- ▶ Régis Folbaum, Head of Payments.
- ▶ François Géronde, Head of Group Risk;
- ▶ Alice Holzman, Director of the Digital Bank;
- ▶ Christophe Juguet, Director of Management Control;
- ▶ Olivier Lévy-Barouch, Head of Strategy and Innovation;
- ▶ Florence Lustman, Chief Financial Officer, Director of public affairs;
- ▶ Stéphane Magnan, Head of the Corporate and Investment Bank
- ▶ Franck Oniga, Head of Marketing for La Banque Postale;
- ▶ Patrick Renouvin, Head of the Solutions Division;
- ▶ Jean-Marc Ribes, Head of the Wealth Management Division and Chairman of the Executive Board of BPE;
- ▶ Cécile Riffard-Brédillot, Director of Communication and of the Brand;
- ▶ Dominique Rouquayrol de Boisse, Head of Legal Affairs and Compliance;
- ▶ Daniel Roy, Head of the Asset Management Division;
- ▶ Julien Têtu, Chairman of the Executive Board of La Banque Postale Financement;
- ▶ Christophe Van de Walle, Internal Auditor;
- ▶ Robert Villani, Executive Vice-President of the La Poste Network in charge of organisation, risk and the customer experience, Head of Operations;
- ▶ Maud Vimeux, Human Resources Director, Executive Vice-President of the La Poste Network.

Eleven special committees:

- ▶ the Group Risk Management Committee;
- ▶ the Group ALM Committee;
- ▶ the Group Capital Management Committee;
- ▶ the Strategy Committee for Information Systems and Major Projects;
- ▶ the Marketing Strategy Committee;
- ▶ the Internal Control Coordination and Business Ethics Committee;
- ▶ the Group Investment Committee;
- ▶ the ALM/CFT Committee of La Banque Postale;
- ▶ the ALM/CFT Committee of La Banque Postale Group;

- ▶ the Management Monitoring Committee for third parties;
- ▶ the Customer Committee.

Minutes are always drafted after each meeting by the Company Secretary and submitted to the Chairman of the Committee for approval.

Diversity

It is important for La Banque Postale to achieve balanced representation of women and men in its highest management bodies. Therefore, as part of its agreement of 7 November 2016 on diversity, gender equality in the workplace and the generations contract, La Banque Postale committed to ensuring diversity at all levels.

"To ensure balanced representation of women and men at all levels of the Company, La Banque Postale provides women and men with equal qualifications access to the same positions, regardless of the level of responsibility, and to the same opportunities for promotion and career development. [...] with this agreement, La Banque Postale confirms its commitment to

increasing this rate to ensure the balanced representation of women and men in its ranks and to thereby increase diversity. In order to do so, the Company will promote the balanced representation of women and men, in particular at the highest classification levels, and will pay special attention to the recruiting and mobility of women and men in functional and operations fields. La Banque Postale set itself the goal of having at least one female candidate for each open position at the strategic or executive level.

The awareness of all players, managers and human resources managers will therefore continue to be raised upstream of the annual performance reviews in order to ensure that the percentage of women promoted is consistent with their numbers within the workforce considered at each level."

On the date of this report, women accounted for 25% of the members of the General Management Committee. They also accounted for 30% of the "off-grid" workforce (OG) corresponding to the highest level of responsibility at La Banque Postale and 39% of the workforce classified as K (level below OG).

2.1.4 Remuneration

2.1.4.1 Principles and rules for setting the remuneration of corporate officers

La Banque Postale, based on the work of the Compensation Committee, has applied principles and rules to set the remuneration of corporate officers in accordance with the main recommendations of the Afep/Medef Code and the provisions of the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors, subject to the control of the French Prudential Supervision and Resolution Authority (ACPR).

Remuneration has been reviewed following the order of 15 October 2012 subjecting La Banque Postale to the provisions of Article 3 of the decree of 9 August 1953, as amended by the decree of 26 July 2012 on State control over the remuneration of the managers of public companies.

In accordance with the provisions of the French Commercial Code, the principles and criteria applicable to the determination, distribution and allocation of the fixed, variable and exceptional elements of total remuneration and to benefits in kind payable to the corporate officers as a result of the exercise of their mandate and constituting the remuneration policy for them agreed by the Supervisory Board at the recommendation of the Compensation Committee, are subject to the approval of the Annual General Meeting.

The individual remuneration items of the corporate officers resulting from the implementation of these principles paid and allocated for the financial year closed are submitted for the approval of the Annual General Meeting.

In addition, in accordance with the provisions of the French Monetary and Financial Code, the total sum allocated to employee managers and market professionals during the financial year is subject to an advisory vote of the shareholders during the Annual General Meeting.

Rules for determining the remuneration of Executive Board members

Fixed and variable remuneration

On the proposal of the Compensation Committee, the Supervisory Board determines the remuneration of the Executive Board.

Since 15 October 2012, in accordance with Article 3, as amended, of the decree of 9 August 1953, the Minister of the Economy must be consulted before any decisions are made relating to the remuneration components for the activities of Executive Board members and its Chairman and must approve them. This remuneration must not exceed a gross amount set by decree; this amount is currently €450,000.

Consequently, the Chairman of the Executive Board now only receives a fixed remuneration, equal to the limit, part of which is paid by La Poste pursuant to an employment contract made necessary by the postal model of La Banque Postale that appointed him Head of the La Poste Financial Services Department (Financial Centres).

Mrs Anne-Laure Bourn is paid in respect of her employment contract with the La Poste Group.

Mr Marc Batave's fixed remuneration was revised at the time of the renewal of the terms of the members of the Executive Board.

Members of the Executive Committee do not receive any remuneration from La Banque Postale other than that paid in respect of their appointment as Company officers, nor any remuneration for their terms exercised in the subsidiaries of the La Banque Postale Group.

The annual variable remuneration of Marc Batave and Tony Blanco for 2018 was determined on the basis of the following elements:

- ▶ La Banque Postale Group's 2018 quantitative objectives weighted at 10%;
- ▶ qualitative objectives weighted at 40% assessing the progress of customer satisfaction, respect for the values of La Banque Postale (notably actions to assist vulnerable customers) and corporate performance (notably support for employees changing fields and the quality of life in the workplace), improvements in the effectiveness of risk management and compliance, the implementation of

La Banque Postale's major programmes and the identification and management of external growth projects;

- ▶ quantitative objectives weighted at 50% including sales performance criteria (confidential indicators) and financial performance criteria related to the economic contribution of the subsidiaries, the change in NBI from corporations, the level of consolidated NBI, the operating ratio, the net profit before tax and the return on equity.

The Supervisory Board also set three categories of objectives for the Executive Board for 2019 at its meeting on 20 February 2019. Variable remuneration for 2019 for Mrs Marc Batave and Tony Blanco, capped at 10% of their fixed remuneration, will be determined based on the achievement of these objectives including:

- ▶ La Poste Group's 2019 quantitative objectives weighted at 10%;
- ▶ qualitative objectives weighted at 40% including improvements in customer satisfaction and changes in the quality of service, the Bank's positioning with respect to responsible financing and, notably, compliance with its values and social performance, the management of risks and compliance, the management of transformation and of the major La Banque Postale programmes and the management of the Group's public bank and insurance project;
- ▶ quantitative objectives weighted at 50% including sales performance criteria (confidential indicators) and financial performance criteria, namely:
 - the economic contribution of the subsidiaries,
 - the trend in NBI from corporations,
 - consolidated NBI,
 - the cost/income ratio,
 - pre-tax income excluding exceptionals,
 - return on equity.

Other benefits or compensation

Remy Weber, Marc Batave and Tony Blanco receive the health and personal risk insurance taken out by La Banque Postale for all La Banque Postale employees. They also receive additional personal risk insurance coverage for all executive managers and a company car.

Anne-Laure Bourn receives the health and personal risk insurance taken out by La Poste for all La Poste employees, as well as the supplementary health and personal risk insurance for all La Poste executive managers. She also receives a company car.

The members of the Executive Board do not receive non-competition compensation and are not awarded equity or debt options on the Company's capital or performance-based shares.

Lastly, executive corporate officers do not benefit from a complementary retirement scheme.

Severance compensation

In accordance with Article 3 of the decree of 9 August 1953, as amended on 26 July 2012, remuneration, compensation or benefit payments due or likely to fall due to members of the Executive Board or its Chairman, as a result of the termination of activity or a change in position or subsequent thereto, must also be approved by the Minister of the Economy.

On 27 February 2018, the Board, following the renewal of the terms of the members of the Supervisory Board, renewed its commitments in the event of the departure of Messrs Rémy Weber and Marc Batave. It stated that, in the event of the termination of their term of office, in the case of revocation during a term or at the time of a merger, a change of control or strategy leading to the departure of a member of the Executive Board, and when there is no gross misconduct or serious misconduct and no deficiency seriously affecting the financial position of the Company, they would be entitled to compensation.

For the Chairman of the Executive Board, this compensation would be equal to twice the amount of fixed annual remuneration set on the day of termination of office. The severance compensation due to Marc Batave would be the aggregate amount of his last annualised fixed remuneration on the date of termination of his duties, plus the average of the annualised variable component of his remuneration over the last three years.

The payment of this compensation is subject to compliance with a performance condition, *i.e.* the Executive Board must have a success rate of 80% or higher in meeting the annual targets for two out of the last three financial years ended.

Marc Batave opted for an unemployment insurance policy taken out with La Banque Postale for senior executives (GSC) and providing compensation in all cases limited to one year's remuneration over the chosen compensation period. This insurance policy will replace the severance compensation listed above on completion of the waiting period. As the unemployment insurance (GSC) policy stops payments, in any case, on the date that the policyholder liquidates their basic compulsory pension scheme, it is agreed that from this date Marc Batave could benefit from severance pay according to the terms described above.

The Supervisory Board also confirmed the authorisation given to La Banque Postale to take out an unemployment insurance policy for senior executives (GSC) for Tony Blanco covering the termination of mandate (including in the event of non-renewal) and the payment by the Company of the premiums for the insurance coverage.

Rules for determining the remuneration of Supervisory Board members

Members of the Supervisory Board receive attendance fees which, in compliance with the order of 15 October 2012 making La Banque Postale subject to Article 3 of the decree of 9 August 1953 as amended, must be approved by the French Minister of the Economy.

The attendance fees policy is proposed to the Supervisory Board by the Compensation Committee. This policy, which is set using benchmark analysis performed by a panel of banks, insurance companies and a sample of companies in which the Government has a stake, is detailed below.

Attendance fees are allocated to all members of the Supervisory Board with the exception of members representing the employees.

A yearly lump sum of attendance fees is allocated to the Chairman of the Supervisory Board.

The amount of attendance fees paid to the other Board members is calculated on the basis of their actual attendance at meetings of the Supervisory Board and the committees, with the Chairman of each committee receiving an additional annual fixed amount.

Since financial year 2013, attendance fees are paid twice yearly:

- ▶ a first payment, in the form of an advance calculated using the above-mentioned method, according to the number of Board and Committee meetings held during the first half of the current year;
- ▶ a second payment made following the approval of the total annual amount of the individual attendance fees by the Minister of the Economy.

Pursuant to the internal regulations of the La Poste Group, the attendance fees allocated to the members of the Supervisory Board from the La Poste Group are paid to La Poste. In addition, these members do not receive any attendance fees in respect of their positions in companies in the La Banque Postale Group.

The Annual General Meeting of 16 April 2018 decided to increase the maximum total amount of attendance fees to €550,000. The envelope was previously in the amount of €450,000, which was unchanged since 2006.

The rules on allocating attendance fees were changed by the Supervisory Board on 11 April 2018 to re-assess the fees allocated to the members of the Board and of the Committees, subject to the approval of the Minister of the Economy and Finance. The new rules are presented below.

Attendance fees due for the 2018 financial year

The Chairman of the Supervisory Board received an annual lump sum in attendance fees for the 2018 financial year of €20,000 (this

amount was previously €90,000). The amount allocated to each member of the Supervisory Board was calculated on a *pro-rata* basis of their actual attendance up to €18,000 per year. This amount was previously €15,000.

In addition, the Chairmen of the Financial Statements Committee and the Risk Committee received €16,000 in recognition of their position (this amount was €12,000 before), while the Chairmen of the Appointments, Compensation and Strategy Committees each received €10,000 (previously €8,000). Last, the members of the Financial Statements Committee and Risk Committee each received €2,100 (previously €1,500) and the members of the Appointments, Compensation and Strategy Committees each received €1,700 (previously €1,500) for each meeting attended.

Members of the Supervisory Board and the Board's committees from the La Poste Group did not receive their attendance fees, which were directly paid to La Poste. In the same way, the attendance fees for the French Government were paid to the Treasury.

2.1.4.2 Remuneration paid

The data on remuneration provided below complies with the principles and rules of determination adopted by La Banque Postale and described in detail in the report of the Chairman of the Supervisory Board.

Remuneration of members of the Supervisory Board for the 2017 and 2018 financial years

Amount of the attendance fees and other remuneration paid to the members of the Supervisory Board in connection with their appointments within the La Banque Postale Group

Name of the corporate officer	Gross amounts due for 2017 (€)	Recipient	Gross amounts due for 2018 (€)	Recipient
Philippe Wahl⁽¹⁾				
Attendance fees	90,000	La Poste	20,000	La Poste
Other exceptional remuneration	-		-	
Philippe Bajou				
Attendance fees	15,000	La Poste	18,000	La Poste
Other exceptional remuneration	-		-	
Virgile Bertola⁽²⁾				
Attendance fees	34,500	La Poste	11,000	La Poste
Other exceptional remuneration	-		-	
Yves Brassart				
Attendance fees	44,000	La Poste	53,700	La Poste
Other exceptional remuneration	-		-	
Nathalie Collin⁽³⁾				
Attendance fees	-	La Poste	12,000	La Poste
Other exceptional remuneration	-		-	
Sylvie François⁽²⁾				
Attendance fees	13,000	La Poste	-	La Poste
Other exceptional remuneration	-		-	
Sophie Renaudie⁽³⁾				
Attendance fees	-	La Poste	34,800	La Poste
Other exceptional remuneration	-		-	
Nicolas Routier				
Attendance fees	12,500	La Poste	18,000	La Poste
Other exceptional remuneration	-		-	

Name of the corporate officer	Gross amounts due for 2017 (€)		Recipient	Gross amounts due for 2018 (€)		Recipient
Nathalie Dieryckxvischers						
Attendance fees	-		The French State	46,700		The French State
Other exceptional remuneration	-			-		
Élisabeth Ayrault⁽²⁾						
Attendance fees	24,500		The person concerned	11,500		The person concerned
Other exceptional remuneration	-			-		
Michel Madelain⁽³⁾						
Attendance fees	-		The person concerned	47,800		The person concerned
Other exceptional remuneration	-		-	-		-
Sophie Lombard						
Attendance fees	51,500		The person concerned	66,600		The person concerned
Other exceptional remuneration	-			-		
Didier Ribadeau Dumas⁽²⁾⁽⁴⁾						
Attendance fees	77,500		The person concerned	-		The person concerned
Other exceptional remuneration	-		-	-		-
Emmanuel Rondeau⁽³⁾						
Attendance fees	-		The person concerned	57,600		The person concerned
Other exceptional remuneration	-		-	-		-
Françoise Paget Bitsch⁽²⁾						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
Sandrine Fagot-Revurat⁽³⁾						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
Thierry Freslon						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
Jean-Pierre Hakizimana						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
Jean-Robert Larangé⁽²⁾						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
Steeve Maigne						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
Sabrina Rostaing-Paris⁽²⁾⁽³⁾						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
Thierry Viarouge⁽³⁾						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
Hélène Wolff⁽²⁾						
Attendance fees	-		-	-		-
Other exceptional remuneration	-		-	-		-
TOTAL	362,500			397,700		

In addition,

(1) Philippe Wahl received remuneration from La Poste that included benefits in kind of €454,212 and €453,542 in 2018 and 2017, respectively.

(2) Member who left the Supervisory Board during 2018 (see Chapter 2.1.3.1.2).

(3) Member who joined the Supervisory Board during 2018 (see Chapter 2.1.3.1.2).

(4) Didier Ribadeau-Dumas received €9,000 in attendance fees for his term of office at BPE. In addition, he received €27,500 in attendance fees for his term of office at Poste Immo in respect of 2017.

Corporate officers do not benefit from equity or debt options on the Company's share capital or performance based shares, and for this reason, the Company does not complete the tables 4 to 10 requested by the AMF's recommendations relating to corporate officers' remuneration.

Remuneration of employee representative members on the Supervisory Board

Employee representative members on the Supervisory Board do not receive any remuneration in respect of their Supervisory Board appointment.

All gross remuneration (including the variable component) paid to employee representatives on the Supervisory Board under their employment contracts totalled €384,602 in 2018.

Remuneration of the members of the Executive Board for 2017 and 2018

Standardised tables that comply with Afep/Medef and AMF recommendations

Table 1. Summary of the gross remuneration, share options and shares awarded to Executive Board members

(in euros)	2017 financial year	2018 financial year
Rémy Weber		
Gross remuneration payable for the financial year (details in Table 2)	453,816	453,816
Value of multi-year variable remuneration during the financial year	-	
Value of share options awarded during the financial year	N/A	
Value of performance-based shares awarded during the financial year	N/A	
Total	453,816	453,816
Marc Batave		
Gross remuneration payable for the financial year (details in Table 2)	415,778	451,327
Value of multi-year variable remuneration during the financial year	-	
Value of share options awarded during the financial year	N/A	
Value of performance-based shares awarded during the financial year	N/A	
Total	415,778	451,327
Tony Blanco		
Gross remuneration payable for the financial year (details in Table 2)	145,257	450,417
Total	145,257	450,417
Anne-Laure Bourn		
Gross remuneration payable for the financial year (details in Table 2)	429,239	N/A
Value of multi-year variable remuneration during the financial year	-	
Value of share options awarded during the financial year	N/A	
Value of performance-based shares awarded during the financial year	N/A	
Total	429,239	N/A
EXECUTIVE BOARD TOTAL	1,191,620	N/A

Anne-Laure Bourn's annual variable remuneration for 2018 has not been determined at the date of this document.

Table 2. Summary of the gross remuneration, share options and shares awarded to Executive Board members

(in euros)	2017 financial year		2018 financial year	
	Amounts payable for the financial year	Amounts paid during the financial year	Amounts payable for the financial year	Amounts paid during the financial year
Rémy Weber				
Fixed remuneration	450,000	450,000	450,000	450,000
Of which paid by La Banque Postale	360,000	360,000	360,000	360,000
Of which paid by La Poste	90,000	90,000	90,000	90,000
Variable annual remuneration	-	-	-	-
Multi-year variable remuneration	-	-	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽¹⁾	-	-	-	-
Benefits in kind ⁽²⁾	3,816	3,816	3,816	3,816
Total	453,816	453,816	453,816	453,816
Marc Batave				
Fixed remuneration	315,000	315,000	393,333	393,333
Variable annual remuneration	79,097	83,690	35,992	79,097
Multi-year variable remuneration	-	-	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽¹⁾	-	-	-	-
Benefits in kind ⁽²⁾	21,681	21,681	22,002	22,002
Total	415,778	420,371	451,327	494,433
Tony Blanco				
Fixed remuneration	133,333	133,333	400,000	400,000
Variable annual remuneration	11,924	-	35,200	11,924
Multi-year variable remuneration	-	-	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽¹⁾	-	-	-	-
Benefits in kind ⁽²⁾	-	-	15,217	15,217
Total	145,257	133,333	450,417	427,141
Anne-Laure Bourn⁽³⁾				
Fixed remuneration	285,000	285,000	320,617	320,617
Variable annual remuneration	139,768	119,178	N/A	139,768
Multi-year variable remuneration	-	-	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽¹⁾	-	-	-	-
Benefits in kind ⁽²⁾	4,471	4,471	4,471	4,471
Total	429,239	408,649	N/A	464,856
EXECUTIVE BOARD TOTAL	1,444,090	1,416,169	N/A	1,820,246

(1) Members of the Executive Board do not receive attendance fees for terms of office held in La Banque Postale Group companies.

(2) For Rémy Weber, the benefits in kind correspond to a company car. For Marc Batave and Tony Blanco, they correspond to a company car and senior executive unemployment insurance (GSC). For Anne-Laure Bourn, they correspond to a company car.

(3) Anne-Laure Bourn is a member of the Executive Board since 25 May 2016. She is paid by La Poste.

Table 3. Employment contracts, supplementary pension plans and compensation for executive corporate officers

Executive corporate officers	Employment contract with La Banque Postale		Supplementary pension plan		Other benefits or compensation payable or likely to be payable on account of a termination or a change in position		Compensation related to a non-competition clause	
	Yes	No	Yes	No	Yes	No	Yes	No
Rémy Weber Chairman of the Executive Board since 15 October 2013		X		X	X			X
Marc Batave Member of the Executive Board since 9 January 2013		X*		X	X			X
Anne-Laure Bourn Member of the Executive Board since 25 May 2016		X		X		X		X
Tony Blanco Member of the Executive Board since September 2017		X		X	X			X

* Marc Batave's employment contract has been suspended since 9 January 2013.

Benefits allocated to managers for termination or change of position

No benefits were allocated to managers for termination or change of position during the 2017 and 2018 financial years.

Supplementary pension arrangements made for the benefit of Executive Board members

As of 31 December 2018, La Banque Postale had made no supplementary pension arrangements for Executive Board members.

Remuneration of members of the General Management Committee

In 2018, the total gross remuneration (including the variable portion) paid under their employment contracts to members of the General Management Committee, excluding members of the Executive Board and excluding Robert Villani who is paid by La Poste, amounted to €7,305,398.

No other remuneration was paid to members of the General Management Committee. Moreover, they do not receive attendance fees for appointments that they hold in Group companies.

Members of the General Management Committee receive termination pay established in accordance with the collective bargaining agreements, valued at a total of €1 million.

Remuneration of regulated employees

The Compensation Committee, pursuant to the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors, subject to the French Prudential Supervision and Resolution Authority (ACPR), has prepared the work for the Supervisory Board, which then decided on the remuneration policy for regulated employees proposed by the Executive Board.

The Board therefore issued a positive opinion on La Banque Postale's remuneration policy, which has established a global framework for the variable remuneration of the Bank's regulated employees, so as not to jeopardise its ability to generate equity and have a negative impact on its liquidity.

That framework is based on the joint fulfilment of the following two criteria:

- ▶ the total amount of variable remuneration cannot exceed 30% of the fixed remuneration;
- ▶ the total amount of variable remuneration must not exceed 5% of La Banque Postale's consolidated gross operating income.

Professionals affected at La Banque Postale

Pursuant to Article L. 511-71 of the French Monetary and Financial Code, the rules relating to remuneration policy are applied to managers of the institution concerned and to those personnel categories, including risk takers, individuals exercising a control function and any employee who, in light of their total income, is in the same pay band, and whose professional activities have a significant impact on the risk profile of the Company or the Group.

EU Delegated Regulation no. 604/2014 enacted by the European Commission on 4 March 2014 adopted technical regulatory standards regarding appropriate qualitative and quantitative criteria to identify the categories of employees whose professional activities have a significant impact on an institution's risk profile.

Within La Banque Postale, those professionals covered by rules relating to the remuneration policy and practices of credit institutions in 2018 are:

- ▶ management: EXCOM members;
- ▶ persons in supervisory positions: the three directors with supervisory roles, *i.e.*, the Head of Risk, the Head of Compliance and the Head of Internal Audit;
- ▶ risk takers: the Head of the Corporate and Investment Bank (CIB) and market traders.

The remuneration principles implemented within La Banque Postale

The fixed component of remuneration constitutes most of the remuneration of all La Banque Postale employees. The variable portion of remuneration with relation to the fixed portion is limited and strictly defined in the validation processes: for each employee, the variable remuneration is determined on a managerial basis

taking into consideration a set of criteria pertaining to the level of performance observed with respect to yearly objectives set at the beginning of the year. So as not to impact the Bank's liquidity or hamper its ability to generate equity, the total amount of variable remuneration of the managers and employees of La Banque Postale must, cumulatively, meet the two following criteria:

- ▶ be below 30% of the fixed remuneration of La Banque Postale;
- ▶ be below 5% of the consolidated gross operating income of La Banque Postale.

Principle of proportionality for variable remuneration

In view of its internal organisation, the nature, extent and low complexity of its activities, and the very low exposure to risk of the activities of La Banque Postale, which come under the scope of the decree of 3 November 2014, the La Banque Postale Group has established a remuneration policy that guarantees an annual cap and a principle of deferred payment in accordance with the requirements provided by Articles L. 511-75 to L. 511-88 of the French Monetary and Financial Code. However, it was not judged necessary to set up a clawback scheme covering variable remuneration, given the low risk exposure.

In effect, La Banque Postale:

- ▶ primarily operates Retail Banking activities for natural persons;
- ▶ at this point in time, the financing of legal entities is a minor activity compared to La Banque Postale's overall NBI;
- ▶ the Financial Transactions Department's activities are nearly exclusively focused on the rate markets to hedge its home loan operations and it invests its excess cash in the interbank market.

Annual cap on variable remuneration

The variable remuneration paid to the employees in question during a financial year may not exceed 100% of the fixed remuneration.

Variable remuneration will be subject to deferred payment, in accordance with the procedures laid down below, for any employee concerned within La Banque Postale who enjoys variable remuneration in excess of:

- ▶ €150,000 for members of La Banque Postale's Executive Committee;
- ▶ €150,000 for the directors exercising a control function (the Head of Risk, the Head of Compliance and the Internal Auditor);
- ▶ €150,000 for the Head of the Corporate and Investment Bank (CIB); and
- ▶ €100,000 for the traders.

Moreover, under decree no. 2012-915 of 26 July 2012 relating to State control of the remuneration of corporate executive officers of public companies, which institutes a mechanism for capping the remuneration of corporate executive officers of public institutions and companies at an annual gross amount of €450,000, the Chairman of the La Banque Postale Executive Board receives no variable remuneration.

Principle of deferred, conditional payment of variable remuneration

In accordance with the rules relating to the remuneration policy and practices for credit institutions, La Banque Postale has

implemented a deferred payment mechanism, over a period of three years, for the variable part of the remuneration of the employees involved.

All variable remuneration is spread out in accordance with the following procedures:

- ▶ above the variable remuneration thresholds set above, according to the professional categories in question, a part of the variable portion is paid in the year following the one in which the variable portion is recognised (the "Paid Component") and the remainder of the variable remuneration is deferred (the "Deferred Component") over the three years following the year in which payment of the Paid Component is made;
- ▶ the Paid Component accounts for 60% of total variable remuneration and the Deferred Component for 40% of the variable remuneration;
- ▶ the Deferred Components are paid in equal amounts over three years, each year in March;
- ▶ the Deferred Component is reassessed based on growth in La Banque Postale's equity between the financial period with which the variable remuneration is associated and the liquidation date of the remuneration subject to deduction of the capital increases subscribed by third parties and setting aside any changes in the dividend distribution rate.

Payment of any Deferred Component likely to be made to the employees in question is subject to achieving positive net income on a consolidated basis at the end of the year preceding that in which the payment is made

Guaranteed variable remuneration

Regulated employees cannot be granted guaranteed variable remuneration beyond the first year of engagement of the regulated employee concerned which is subject to La Banque Postale Group still being in a healthy and solid financial position.

The Supervisory Board meeting of 20 February 2019 approved these principles.

2.1.4.3 Presentation of the resolutions of the General Meeting relating to remuneration

2.1.4.3.1 Opinion on the remuneration of Executive Board members and regulated employees

Opinion on the remuneration of Executive Board members and regulated employees

In application of Article L. 225-100 of the French Commercial Code, the amount of variable or exceptional remuneration for which payment is subject to approval by an Ordinary General Meeting, under the conditions stipulated in Article L. 225-82-2 of the French Commercial Code, for the year just ended, of the Chairman of the Executive Board and the other Executive Board members may not be paid until a General Meeting has approved the components of remuneration of the person in question.

The compensation elements concerned are detailed in the tables above. Four resolutions will be presented to the Annual General Meeting pursuant to this recommendation; one for the Chairman of the Executive Board and one each for the other three members of the Executive Board.

Opinion on the remuneration components of regulated employees

In accordance with Article L. 511-73 of the French Monetary and Financial Code, the General Meeting is consulted yearly with regard to the overall remuneration budget for all types of remuneration paid during the year just ended to the persons mentioned in Article L. 511-71 of said code. The amount of the envelope for 2018 is €9,941,421 (including the remuneration of Anne-Laure Bourn and the fixed remuneration paid to Rémy Weber by La Poste but excluding the remuneration of Robert Villani who is remunerated by La Poste).

2.1.4.3.2 Remuneration policy for corporate officers – Approval of the principles and criteria for determining, allocating and attributing fixed, variable and exceptional remuneration components making up the overall remuneration and benefits awarded to corporate officers

In application of Article L. 225-82-2 of the French Commercial Code, the Supervisory Board also submits for approval by the General Meeting the principles and criteria applicable when setting, allocating and attributing the fixed, variable and exceptional components making up the overall remuneration and benefits of all type that may be paid to corporate officers, *i.e.* the Chairman and members of the Supervisory Board, for their terms of office carried out in 2019 and that constitute the remuneration policy relating to them.

These principles and criteria approved by the Supervisory Board based on the recommendations of the Compensation Committee were presented above and will be submitted for approval to the Annual General Meeting. Pursuant to Article L. 225-100 of the French Commercial Code, the amounts resulting from the implementation of these principles and criteria will be subject to the approval of the shareholders during the Annual General Meeting approving the Company's financial statements for 2019.

Approval of the commitments relating to severance compensation due in certain cases of termination of duties of an Executive Board member

In accordance with Article L. 255-90-1 of the French Commercial Code, for companies whose shares are admitted for trading on a regulated market, the commitments taken by the Company in favour of a member of the Executive Board and corresponding to components of remuneration, compensation, or benefits due or likely to be due as a result of the termination of their duties or a change in their duties are subject to the procedure for related-party agreements governed by Articles L. 255-86 and following of said Code.

In application of Article L. 255-88 of the French Commercial Code, the approval of the Annual General Meeting is required at the beginning, as well as at each renewal, of the term of office carried out by the beneficiary.

As a result, the Annual General Meeting of 16 April 2018 approved the commitments for severance compensation due in certain instances of the termination of duties of Messrs Rémy Weber and Marc Batave whose terms were renewed on 27 February 2018.

LA BANQUE POSTALE GROUP BUSINESS ACTIVITY AND RESULTS

3

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3.1 BUSINESS ENVIRONMENT AND HIGHLIGHTS

3.1.1 Economic and financial environment

An international environment marked by significant economic and political uncertainty

Uncertainty was rife in 2018 (trade tensions, particularly between the United States and China, the depreciation of currencies in several emerging economies from the spring on and, particularly, during the summer, a tug of war between the Italian government and the European Commission about the draft budget and long, difficult discussions on Brexit whose outcome is still uncertain).

Financial market volatility increased significantly and exchanges experienced a difficult year after turning in excellent performances in 2017. Investors were also concerned that the American economy, which continued to grow at a sustained pace in 2018 (close to 3%) thanks to lower taxes on households and companies, would come to the end of the cycle. The surge in American long rates at the beginning of February and October led to two market corrections.

Growth slowed slightly in China. This led the authorities to loosen their monetary policy and take certain fiscal and budget measures to boost the economy. Among other major emerging countries, the year saw the election of a new president in Brazil whose economic programme was rather well received by investors.

A clear slowdown in eurozone growth

While eurozone growth had been between 2.5% and 3% a year throughout 2017, it began to weaken at the beginning of 2018, and slid toward 1.5%. Surveys of the economy were virtually consistent in pointing to a deterioration in the business climate and, notably, in industry.

Many factors weighed down on growth in the eurozone over the past months: the increase in the price of oil, which drained household purchasing power through the fall, the impact of overly-strong euro against many currencies other than the dollar (pound, emerging country currencies), the slowing of global growth, the fragility of the Italian economy and disruptions in automotive manufacturing in Germany.

Political uncertainty remained a major factor in the United Kingdom as Brexit, planned for March 2019, drew closer. Although growth weakened compared to previous trends, it nevertheless remained resilient.

A clear slowdown in growth in France

Growth slowed brutally in the first half of the year. Increases in the price of tobacco, energy, and in taxes weighed down on household purchasing power. In addition, exports suffered from the past strength of the euro and from the declining demand for industrial products. Transportation sector strikes also had a negative impact on business during the springtime. The real estate market also hit the brakes, although housing prices trended upwards. Growth did, nevertheless, recover in the third quarter. Given the more favourable tax schedule for households in the second half, spending should have been sustained through the end of the year. However, social tensions had a negative impact on business activity from the end of November onward.

Renewed drop in the price of oil in fall, after a strong increase

In the oil market, renewed American sanctions on Iran and the collapse of production in Venezuelan fed into operator fears about global crude production. The barrel price increased significantly over most of 2018, reaching a high point of \$85/barrel at the beginning of October. Operator expectations then reversed abruptly. They began to revise the outlook for demand downwards in line with increasing doubts about the growth of the world economy as a result of Chinese-American trade tensions. Supply estimates were revised upward at the same time due, notably, to sustained American production. The barrel price of North Sea Brent fell under \$60 in early December. To counter the drop, OPEC and other producing countries, including Russia, eventually came to an agreement to reduce their production in December. As a result, the barrel price reached \$57 on average over the past month of the year.

Inflation rose again in the eurozone due to higher energy prices

The increase in the price of oil resulted in a significant rise in energy prices starting in April/May, which peaked at over 10% over a year in October before the price of crude fell again in international markets. The change in eurozone consumer prices over a year accelerated in the springtime, reaching 2% by fall before declining slightly (1.6% in December). On the other hand, core inflation (excluding energy and food) remained weak at close to 1% a year even though salary increases firmed up. French inflation also increased during 2018 (1.6% over the year in December) driven by energy prices and by an increase in the price of tobacco. However, core inflation (which doesn't include taxes) remained very moderate (under 1%).

American interest rates rose but were virtually unchanged in the eurozone

In the United States, the continued normalisation of the Federal Reserve's (Fed) monetary policy and the gradual rise in inflation led to an increase in the American 10-year Treasury rate. However, it weakened at the end of the year in an environment marked by strong risk aversion. In all, it gained about 40 basis points over the year, reaching 2.8% in December. Conversely, the equivalent rates in the eurozone remained very low, due to the persisting weakness in core inflation and the noticeable slowdown in economic growth. Notably, the ECB stated that it intended to leave its key rates unchanged until the end of summer 2019. In addition, its securities purchases continued to weigh on interest rates even though it reduced the amount in preparation for ending them in early 2019. Moreover, concerns about the Italian budget situation resulted in the reallocation of investment portfolios to government bonds deemed to be safer, primarily the German Bund, as well as OATs, whose yields declined in May/June and again in October. In December 2018, the yield on the German Bund remained below its level of a year earlier (0.26% compared to 0.36% in December 2017). The 10-year OAT rate did not go up much more (0.70% in December 2018 compared to 0.68% a year earlier), despite a slight spread due to social unrest.

For their part, eurozone interbank rates hardly varied over the year, and remained negative due to the ECB's monetary policy. As a result, the Eonia stagnated a little below -0.35%. The Euribor 3-month remained very close to its 2017 level, at -0.32 on average over the year.

The interest rates on French regulated savings accounts (Livret A, Sustainable Development account, National Savings account (LEP), Home Savings) remained stable. The rate of the Livret A has been maintained at 0.75% since August 2015. Likewise, the rate on the PEL home ownership saving scheme (*Plan d'épargne logement*) did not change, after it was lowered to 1% in August 2016.

Turbulent markets

The main stock markets underwent two strong corrections during the year. At the end of January, fears that inflation would accelerate due to greater salary increases and the uncertainty created by trade tensions ended the bull market which had lasted throughout 2017. Similar reasons fuelled another decline in October. In the United States, the S&P 500 and Nasdaq declined by 6.2% and 3.9%, respectively, between 31 December 2017 and 31 December 2018. European indexes also moved in the wrong direction. The CAC 40 lost 11%, to 4,731 points at the end of December. Emerging country stock markets also fell hard (-17% over the year for the dollar-denominated MSCI Emerging Markets).

3.1.2 2018 highlights

Ambitious, La Banque Postale is gaining strength in all areas of expertise

La Banque Postale is growing in all of its markets. In the retail market, an improved Retail Banking sales scheme and new offerings are helping to expand its general public clientèle thanks, notably, to the "maisons de l'habitat" (habitat homes) located throughout the country and the delegation of credit granting in all markets.

La Banque Postale also pursued its regional deployment for high-net-worth clients during 2018. Twenty-three new BPE private management locations were opened in post offices.

The launch of "Business Energies", which combines banking and insurance services for the Corporate clientèle, has enabled La Banque Postale to intensify its contribution to the economic development of all regional players. This business line was started in 2012 and continues to lead the market in the annual production of loans to local authorities.

La Banque Postale completed an ambitious recruiting programme in 2018, to support its growth and better serve its customers: 2,200 account managers, 1,800 retail bank advisers and 300 corporate customer advisers have strengthened the network. In addition, the "École de Banque et du Réseau" provided over 285,000 training days 2018.

A project to create a major public finance unit for the regions led by the Caisse de Dépôts and La Poste was announced by the Minister for the Economy and Finance on 30 August 2018. This project is entirely consistent with La Banque Postale's transformation plan and contributes to the achievement of its strategic goals: to build a major, full-service, diversified bank and insurance group with CNP Assurances which provides citizens with access to high-quality, innovative financial services.

Innovative, La Banque Postale is accelerating the digitisation of its products for all its customers

In 2018, La Banque Postale announced the launch of its 100% digital bank by the summer of 2019: Ma French Bank. Ma French Bank will be accessible without conditions on resources. It will offer useful, innovative services to customers 18 to 35 years old who are permanently connected to their communities. It will also be available in 2,000 post offices. Ma French Bank will enable users to manage their account and carry out all transactions in real time with extensive functionality: current account, revolving credit and participative financing with KissKissBank Bank.

La Banque Postale has launched increasingly better-performing payment solutions this year (Paylib contactless, Instant Payment) and new digital functionality to make everyday life easier for everyone (scannable account information, an account aggregator, a mobile application with more options, selfcare card management functionality from mobile telephones, a new insurance application and streamlined customer contract management).

Several new online offerings have also been deployed: a 100% digital micro-credit solution in partnership with Crea-Sol, Prêt Express *via* internet (express loans), EasyVie (online life insurance) and e-crédit pro to meet the needs of VSEs and professionals.

La Banque Postale is continuing to innovate for its insurance customers with the new Garantie Accident de la Vie policy (128,000 policies already taken out). The offering has been completed with the new Assurance Emprunteur (borrower's insurance) with individual pricing and the development of the Santé Collective insurance (collective health insurance) paired with a digital platform.

La Banque Postale received an award in the "Innovation Services" category during the *Trophées de l'Assurance* event on 4 October 2018.

In addition, LBPAM also took a holding in the capital of IZNES, illustrating the acceleration of its blockchain technology strategy.

Innovation is also apparent at the operational level. Excellence 2020 delivered tangible results in 2018 by capitalising on the overhauling of La Banque Postale's information systems. The development of digital services and reduced processing times have simplified access and optimised processes.

Working in the best interest of the community, La Banque Postale is deepening its commitment

La Banque Postale's commitment to environmental and social issues was recognised by the extra-financial rating agency ISS-Oekom. La Banque Postale is rated B-, an excellent rating which places it first among French banks and second worldwide.

Thanks to its local presence, La Banque Postale is involved in the daily lives of all French people. As the only bank with a public service mission, it is committed to assisting the financially vulnerable. Thanks to Appui, its budget planning advice and orientation platform, 20,000 customers a year have received assistance since 2013. In addition, it is deploying a sweeping digital banking inclusion plan which will equip 250 post offices during the first half of 2019. Determined to meet the needs of all of its customers, La Banque Postale is also pursuing its commitment to persons with disabilities by completing its system with after-sales service accessible to its deaf and hearing-impaired customers.

La Banque Postale is committed to national solidarity and, at the end of 2018, announced several measures benefiting the purchasing power of private individuals (freeze on bank fees, caps on incident fees for vulnerable customers), artisans, VSEs and Pros in difficulty due to social unrest (advances on insurance reimbursements) and local authorities that have suffered material damage (€100 million in short-term financing at zero percent).

In 2018, La Banque Postale increased its commitment to innovative community services in participative financing with the deployment of the KissKissBankBank offering in post offices and the acquisition of Goodeed, a digital donation platform for NGOs and solidarity

non-profits. It also contributed to the financing of 2,843 projects, including two photovoltaic power stations in Guadeloupe, through its participative financing subsidiaries (KKBB, Lendopolis et Goodeed).

2018 was also notable for the increased number of projects for the environment. La Banque Postale was the first bank to promote its carbon neutral status. It has launched a digital platform to assist private individuals and local authorities in their energy renovation efforts.

The Corporate and Investment Bank (CIB) has developed its project financing activity with a focus on the renewable energies sector. Commitments in this sector reached €1.4 billion at the end of 2018 (versus €846 million in 2017). For example, La Banque Postale financed the first, large-scale offshore wind farms in the North Sea.

In addition, in terms of asset management, La Banque Postale Asset Management (LBPAM) agreed to shift all of its assets to SRI (socially responsible investment) management by 2020. First concrete examples: implementation of its GREaT (**G**overnance, **E**nergy and **E**conomical Transition and **T**erritories) extra-financial analysis methodology for all assets under management and the launch of the "Conviction ISR" line which collected €260 million in six months. Twenty funds were already labelled SRI by the end of 2018.

Lastly, La Banque Postale increasingly contributes to equal opportunity through L'Envol, its societal sponsorship programme supported by the Ministry of National Education. La Banque Postale employees sponsor 584 talented students from low-income households.

3.2 LA BANQUE POSTALE GROUP BUSINESS ACTIVITY AND RESULTS

Consolidated income statement⁽¹⁾ (in millions of euros)

Main items on the income statement	2018	2017	%	2017 proforma**	%
Net Banking Income	5,570	5,687	-2.1%	5,557	+0.2%
Net Banking Income restated for home savings provision	5,528	5,619	-1.6%	5,489	+0.7%
Operating expenses	(4,615)	(4,619)	-0.1%	(4,619)	-0.1%
Gross operating income	955	1,068	-10.6%	938	+1.8%
Cost of risk	(133)	(192)	-30.6%	(192)	-30.6%
Cost of the ACPR penalty	(50)	0	N/A	0	N/A
Operating income	772	876	-11.9%	746	+3.4%
Equity method CNP Assurances and AEW Europe*	268	263	+1.9%	263	+1.9%
Pre-tax income	1,039	1,138	-8.7%	1,008	+3.1%
Income tax	274	340	-19.4%	283	-3.3%
Net income, Group share	726	764	-5.0%	691	+5.1%
Cost-to-income ratio	83.4%	81.8%	+1.7 bps	83.7%	-0.3 bps

* essentially CNP Assurances, and AEW for €5.4 million.

** excluding the GIM restatement.

Net Banking Income (NBI) restated for exceptional items (home savings provision) was up slightly at 0.7% to €5,528 million compared to 2017 *proforma* NBI.

Despite growth, the Group's management fees declined by 0.1% to €4,615 million over the financial period.

The operating ratio was down 0.3 basis points compared to 2017 *proforma*.

The cost of risk decreased significantly by 30.6% to €133 million. It was 14 bps⁽²⁾ compared to the retail bank's outstanding loans.

Gross operating income reached €955 million. Gross operating income was up 1.8% compared to 2017 *proforma*.

The share of income from equity associates reached €268 million for the financial year.

Pre-tax income restated for the delayed collection of the General Interest Mission increased by 3.1%.

Net Income, Group Share restated for the delayed collection of the General Interest Mission rose by 5.1% to reach €726 million.

(1) The 2018 and 2017 figures are not strictly comparable due to the application of IFRS9 starting 1 January 2018

(2) Annualised cost of risk after application of IFRS9 as from 1 January 2018

3.3 ACTIVITIES AND RESULTS BY BUSINESS LINE

3.3.1 Retail Banking

Retail Banking ⁽¹⁾ (€ millions)	2018	2017	%	2017 Proforma*	%
Net Banking Income	5,156	5,320	-3.1%	5,190	-0.7%
Operating expenses	(4,395)	(4,424)	-0.7%	(4,424)	-0.7%
Gross operating income	762	896	-15.0%	766	-0.7%
Cost of risk	(133)	(192)	-30.9%	(192)	-30.9%
Cost of the ACPR decision	(50)	-	N/A	-	N/A
Operating income	579	704	-17.9%	574	+0.9%

* excluding the GIM restatement.

Commercial results of Retail Banking customers:

Adequate evolution in savings outstandings in an uncertain environment

In a continuing environment of historically low interest rates and weak inflation, sight deposits reached €65.7 billion at the end of 2018 (+4.7%), buoyed by deposits by individuals (up by 4.4% to €58.4 billion). Ordinary savings outstandings, which continued to be penalised by low interest rates, were up by 1.2% to €82 billion (of which €60.6 billion for the Livret A, at +1.1%).

The Corporate and Investment Bank (CIB), in particular, structured €315 million in EMTN issued by La Banque Postale and successfully placed by the network's bank advisers.

Home loan outstandings were virtually stable at €31.8 billion.

All in all, balance sheet savings increased by 1.9% to reach €180.3 billion.

Life insurance outstandings fell by 1.6% due to the market effect at €124.1 billion while the share of outstandings in units of account increased by 1 point to reach 11.9% over the financial period. Collective investment scheme outstandings (excluding units of account) were down by 13.9% to €10.2 billion, reflecting the drop seen in the financial markets over the financial year.

At BPE, total private banking savings outstandings grew by 6.5%, totalling €8.4 billion.

Overall, customer savings outstandings were virtually unchanged over the period at €314.6 billion.

An increase in personal loan outstandings, up 3.3%

The production of home loans reached €10.3 billion in a normalised environment,

Consumer loan production growth was satisfactory at 6.4% and €2.5 billion.

Loan outstandings to individuals rose by 3.3% to €65.8 billion, including €4.9 billion in consumer loan outstandings (+1.9%) and €60.4 billion in home loans (*i.e.*, an increase of 3.4%).

Regarding BPE Private Banking, total loan outstandings continued on a positive trend, reaching €3.1 billion (+9.6%).

The financing of Legal Entities remained very positive

The production of loans to companies increased by 27% in 2018 to reach €26.3 billion with a strong increase in factoring (€6.4 billion in revenue purchased at the end of 2018 compared to €3.7 billion in 2017), an increase in medium-long term financing of 12.3% (at €12.7 billion) and a 5.8% increase in short-term financing.

Loan outstandings to legal entities reached €27.2 billion at the end of the financial period, up by 27.8% and broken down as follows: €18.5 billion in loans to companies, Very Small Enterprises and Professionals and €8.7 billion in loans to the Local Public Sector. Outstandings transferred to CAFFIL, which refinances medium- and long-term loans granted by La Banque Postale to local authorities and public health institutions were €3.4 billion in 2018.

La Banque Postale has been the leading bank lender to local authorities and public hospitals in terms of annual loan production for the past four years.

In all, loan outstandings increased by 9.5% to €93 billion.

Retail Banking financial results

NBI, excluding non-recurring items (*i.e.* the temporal lag in the collection of the 2016 and 2017 GIM remuneration and the home savings provision) was virtually stable at €5,114 million or -0.15% compared to 2017. The restated Net Interest Margin (NIM) fell by 2% to €2,748.1 million while commissions were up slightly by 0.6% over the period thanks to increased sales.

(1) Changes in outstandings are expressed as compared to 31 December 2017. The 2018 and 2017 figures are not strictly comparable due to IFRS9 starting 1 January 2018.

Retail bank operating expenses remained under control, down slightly by 0.7% over the period to €4,395 million.

The cost of risk decreased significantly by 30.9% to €133 million. This is 14 basis points⁽¹⁾ in terms of loan outstandings.

Retail Banking operating income was €579 million. It was up by 0.8% over the period compared to the 2017 *proforma*.

The decision of the ACPR of 24 December 2018 regarding La Banque Postale's AML/CFT system was recorded in operating income in the amount of €50 million. Restated for the ACPR penalty and the General Interest Mission, operating income increased by 9.5%.

3.3.2 Asset management

Asset management (€ millions)*	2018	2017	%
Net Banking Income	153	145	+5.2%
Operating expenses	(93)	(86)	+7.1%
Gross operating income	60	59	+2.6%
Cost of risk	-	-	
Operating income	60	59	+2.6%

* reported figures.

The Assets Under Management consist of the assets of La Banque Postale Asset Management and of those of Tocqueville Finance, now 97.7% held by LBPAM. They totalled €218 billion, down 2% over the period.

La Banque Postale Asset Management's assets decreased by 1.9% over the period to €216.3 billion due to a negative market effect. However, collections remained positive, in particular for the funds distributed by Retail Banking.

The assets of Tocqueville finance (excluding the LPBAM management delegation) decreased by 7.8% in 2018 to reach €1.68 billion due to the market effect.

The NBI of the Asset Management unit rose 5.2% over the period to €153 million.

LBPAM continues to invest to finance its développement and operating expenses increased by 7% to €93 million.

Operating income increased by 2.6% compared to the previous financial year to reach €60 million.

3.3.3 Insurance

Insurance (€ millions)*	2018	2017	%
Net Banking Income	261	222	+17.6%
Operating expenses	(128)	(109)	+17.7%
Gross operating income	133	113	+17.6%
Cost of risk	1	0	N/S
Operating income	132	113	+17.1%

* reported figures.

The non-life insurance business continued to grow with the portfolio now at nearly 4.6 million contracts (+1%). In particular:

- ▶ the portfolio of Property and Casualty insurance contracts (37.3% of total volume) increased by 3.6% over the period to reach 1.7 million contracts, boosted by a solid sales dynamic;
- ▶ La Banque Postale's Prévoyance provident savings portfolio (58.6% of the total portfolio) was virtually stable over the period at about 2.7 million contracts;

- ▶ the health care insurance contract portfolio (4.1% of the portfolio by volume) increased by 3.8% at 0.2 million contracts.

The Insurance unit's NBI increased by 17.6% to €261 million over the period, driven by the strong performance of Prévoyance (51.7% of the insurance unit's NBI, +22.7%) and Property and Casualty (24.5% of the insurance unit's NBI, +23.1%).

The operating expenses of the insurance subsidiaries reached €128 million (+17.6%) due to development costs.

Lastly, the insurance unit's operating income came in at €132 million for the period, up significantly by 17.1%.

(1) Annualised cost of risk after application of IFRS9 as from 1 January 2018

3.3.4 Financial structure

The consolidated balance sheet at 31 December 2018 stood at €245.2 billion, versus €231.4 billion at 1 January 2018⁽¹⁾, *i.e.* an increase of €13.8 billion.

La Banque Postale's financial structure is sound. Regulatory capital reached €11.3 billion:

- ▶ La Banque Postale's fully loaded CET1 ratio was 11.7%, down 1.7 points compared to the end of December 2017. The decrease in La Banque Postale's common Equity Tier 1 capital was due to three reasons: the negative impact of the first application of the IFRS 9 standard (€140 million), the growth in customer loan outstandings, and the unrealised capital losses generated by the volatility of financial markets, which have hit capital very hard since 1 January 2018⁽²⁾.
- ▶ La Banque Postale's overall solvency ratio was 16.2%, down 1.8 points compared to December 2017;
- ▶ the Bank's leverage ratio, excluding savings outstandings centralised at the Caisse des dépôts in accordance with the Delegated Act of 10 October 2014, was stable at 4.6%. The ratio was 3.4% including centralised savings.
- ▶ La Banque Postale's liquidity position is much higher than required by regulations:
 - the LCR ratio was 145% (compared to 157.4% in 2017);
 - the loan-to-deposit ratio increased by 5.1 points to 86.4%.

Rating agencies confirmed the short- and long-term credit ratings of La Banque Postale in 2018 which are, respectively, A-/F1 for Fitch and A/A-1 for S&P.

In addition, S&P upgraded La Banque Postale's outlook rating to Positive on 30 October 2018, following the rise in La Poste's outlook, in expectation of the merger project with CNP Assurances:

	Standard & Poor's	Fitch
Long-term rating	A	A-
Short-term rating	A-1	F1
Outlook	Positive	Stable
Ratings updated on:	30 October 2018	12 April 2018

Finally, following the Supervisory Review and Evaluation Process (SREP) carried out by the ECB, the latter notified La Banque Postale of its consolidated CET1 own funds requirement applicable as of 1 March 2019. It was 9.00% and included:

- ▶ 4.50% of CET1
- ▶ a 1.75% requirement in additional own funds for Pillar 2 (Pillar 2 Requirements)
- ▶ 2.50% for a capital conservation buffer (CCB)
- ▶ and 0.25% for a buffer for Other Systemically Important Institutions (O-SIIs).

This requirement does not include the recommendation for additional own funds under Pillar 2 (P2G). Based on this notification, the Overall Capital Requirement (OCR) is 12.5% (9% plus 1.5% for AT1 and 2% for Tier 2).

These requirements do not take into account the countercyclical buffer, applicable as of 1 July 2019, which is 0.25% for exposures in France.

(1) Balances at 1 January 2018 after the first-time application of IFRS9

(2) In application of Articles 467 and 468 of regulation (EU) no. 575/2013, the deductibility of unrealised gains and losses on regulatory capital could be handled via temporary measures until 31/12/2017.

3.4 ANALYSIS OF THE CONSOLIDATED BALANCE SHEET

The total consolidated balance sheet stood at €245.2 billion as at 31 December 2018, up €13.8 billion compared with 1 January 2018, with the opening balance sheet adjusted to take account of the effects of the first-time application of IFRS 9, i.e. +6%.

The main asset items in the balance sheet comprised:

- ▶ financial assets at fair value through profit and loss (€10.2 billion as at 31 December 2018 versus €10.1 billion as at 1 January 2018). They consist primarily of bonds and other fixed-income securities in the amount of €8.3 billion;
- ▶ financial assets at fair value through equity (€13.9 billion as at 31 December 2018 versus €14.6 billion as at 1 January 2018). This consists essentially of bonds and other fixed-income securities for €9.4 billion and government paper and similar securities for €4.2 billion;
- ▶ loans and receivables – credit institutions at amortised cost (€87.4 billion as at 31 December 2018 compared with €83.6 billion as at 1 January 2018). This item mainly comprises accounts and loans – credit institutions and similar for €71.5 billion, which includes funds of Livret A accounts, Sustainable Development accounts, and National Savings accounts (LEP) centralised at the Caisse des dépôts for €69.5 billion;
- ▶ loans and receivables – customers at amortised cost (€95.7 billion as at 31 December 2018 compared with €84.4 billion as at 1 January 2018). This item essentially

includes outstandings for home loans, consumer loans and corporate (businesses, professionals and local public sector) loans;

- ▶ securities valued at amortised cost (€23.6 billion as at 31 December 2018 versus €23.1 billion as at 1 January 2018), consisting primarily of government paper and similar securities;

The main liability items in the balance sheet, apart from the equity, Group share of €9.5 billion:

- ▶ liabilities due to credit institutions and similar for €18.9 billion (versus €14.2 billion as at 1 January 2018). This item consists essentially of securities assigned under repo agreements for €14.6 billion versus €11 billion as of 1 January 2018;
- ▶ liabilities to customers for €185.8 billion (versus €182.6 billion as of 1 January 2018). This item comprises sight deposits for €65.6 billion and special savings accounts for €114.5 billion, including €31.8 billion in home savings, €60.6 billion in Livret A accounts and €22.1 billion in other special accounts (LEP, LDDS and other accounts);
- ▶ debt securities for €16.9 billion (versus €11.4 billion as of 1 January 2018);
- ▶ subordinated debt for €3.9 billion (versus €3.9 billion as of 1 January 2018).

The Bank's ROA⁽¹⁾ was 0.30% on 31 December 2018.

3

(1) Asset profitability (net income, Group share/balance sheet total)

3.5 ADDITIONAL INFORMATION

3.5.1 French Economic Modernisation Act (LME) information - Suppliers' terms of payment

In application of Article D. 441-4 of the French Commercial Code, information about supplier payment terms breaks down as follows:

In euros	0 days (indicative)	1 to 30 days	31 to 60 days	61 to 90 days	91 days and more	Total (1 day and more)
(A) Payment tranches						
Number of invoices concerned	66	-	-	-	-	4,787
Total amount of the invoices concerned incl. tax	224,625	6,545,797	1,052,186	1,824,955	1,297,035	10,719,972
Percentage of the total amount of purchases of the year incl. tax	0.01%	0.15%	0.02%	0.04%	0.03%	0.25%
(B) Invoices excluded from (A) relating to payables and receivables subject to litigation or not recorded						
Number of excluded invoices	0	0	0	0	0	0
TOTAL AMOUNT OF EXCLUDED INVOICES (SPECIFY EXCL. OR INCL. TAX)	-	-	-	-	-	-
(C) Reference terms of payment (contractual or legal - Article L.441-6 or L.443-1 of the French Commercial Code)						
Payment terms used for calculating late payments	Contractual terms					

For customer payment schedules, please see Note 2.17 of La Banque Postale's corporate financial statements showing the detail of client loan transactions by time remaining.

3.5.2 Amount of non-tax-deductible expenses

The amount of non-tax-deductible expenses, as listed in Article 39-4 of the French General Tax Code, was not material.

3.5.3 Research and development, patents and licenses

Research and development expenditure was not material.

3.5.4 Table of delegations granted by the General Meeting of Shareholders and their use in 2017

General Meeting	Purpose of the authorisation given to the Executive Board	Delegation validity period	Limit	Use in 2017
None	None	None	None	None

3.5.5 La Banque Postale S.A. 2018 results

In 2018, La Banque Postale SA's Net Banking Income was €4,524 million (compared to €5,080 million in 2017). The decrease in NBI was due to the effects of provisioning for unrealised losses on investment securities portfolios resulting from the financial market volatility.

Excluding non-recurring items (i.e. the delay in the collection of the 2016 and 2017 GIM remuneration and the home savings provision), NBI was €4,482 million, down 8.2% compared to 2017. The restated Net Interest Margin (NIM) fell by 13.1% to €1,799 million while commissions were up slightly by 1% over the period thanks to increased sales.

Management fees remained under control, down slightly by 1.7% over the period to €4,018 million. The cost of risk was €151 million (+23.8%). While still low, the increase in the cost of risk was due to a change in the provisioning models for outstandings.

At the end of 2018, operating income was €148 million, compared to €730 million in 2017. After taking into account gains and losses on fixed assets in the amount of -€18 million and a charge net of taxes on profits of €5 million, La Banque Postale SA's net income was €125 million in 2018 compared to €553 million in 2017.

(in euros)

Net income for the period	124,893,057.85
- Allocation to the legal reserve	(6,244,652.89)
+ Prior retained earnings	1,132,038,365.97
TOTAL	1,250,686,770.93

And decides to allocate it as follows:

dividend	326,527,499.84
► retained earnings	924,159,271.09
TOTAL	1,250,686,770.93

The proposed dividend is €9.28 for each of the 35,186,153 shares making up the share capital.

The dividend is eligible for the tax allowance provided for in Section 2 Paragraph 3 of Article 158 of the General Tax Code and will be paid on 30 June 2019 at the latest.

Reminder of the dividends paid over the past three years.

Financial year	Number of shares	Amount paid out	Per share
2015	35,186,153	€318,082,823.12	€9.04
2016	35,186,153	€312,101,177.11	€8.87
2017	35,186,153	€343,768,714.81	€9.77

3.5.6 Investment

La Banque Postale has not made any significant investments (investment of over €1 billion) during the financial year.

3.5.7 Internal control

In the framework of the law on Financial Security of 1 August 2003, it is the responsibility of the Chairman of the Supervisory Board to account, in a report attached to the management report, for the conditions governing the preparation and structure of the work performed by the Board and for the internal control procedures instituted by the Company, on a consolidated basis.

This report, made public under the conditions provided for by the Autorité des marchés financiers (AMF) and included in this document (Chapter 2, Chairman's report) comprises two parts:

- the first covers the work of the Supervisory Board of La Banque Postale;
- the second brings together information on the principles for organising internal control and risk management monitoring systems within La Banque Postale Group.

3.5.7.1 Internal control benchmarks

La Banque Postale's internal control system is governed by:

- ▶ the decree of 3 November 2014 on the additional monitoring of financial conglomerates;
- ▶ the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR);
- ▶ the decree of 3 November 2014 on prudential supervision on a consolidated basis.

The prudential regulations have incorporated the "significance" of institutions in order to regulate the level of obligations to be met in relation to governance, the risk management and control system and capital requirements.

To ensure compliance at all times with the regulatory ratios (solvency, liquidity and leverage), institutions must integrate systems to measure risks taken and potential risks, as well as capital and liquidity management systems. Large institutions have also been strongly encouraged to develop an internal capacity to evaluate their risks.

It is the responsibility of the supervisory body to evaluate its efficiency, and to approve and regularly review the strategies governing the taking, management, monitoring and reduction of identified and potential risks. The decree of 3 November 2014 on internal control specifies this role in the definition of the supervision guidelines and policy, approval of the overall limits (in particular liquidity), in establishing a strategy for business continuity and remuneration policy.

As a result, this role implies that members of the Supervisory Board shall have the necessary knowledge, skills and expertise to understand and monitor the Group's strategy and appetite for risk. Accordingly, the powers of the ECB regarding directors, as well as company managers, have been increased, particularly as regards appointments and the assessment of expertise.

3.5.7.2 Guiding principles

The Executive Board sets the fundamental principles (strategic guidelines, values, appetite for risk, governance), which are approved by the Supervisory Board, and on the basis of which each business activities sets its priorities and the associated risk management system under the supervision of the Group Risk Department. The risk appetite statement and the associated risk appetite dashboard, approved by the Supervisory Board, are implemented *via* the Risk Management Policy.

General framework for internal control

The internal control system is adapted to the nature and volume of La Banque Postale's operations and to the risks it is exposed to. It covers all of the Group's activities carried out by the parent company, exclusively controlled and joint subsidiaries, La Poste Network entities working in its name and on its behalf and service providers responsible for providing essential services.

Risk management and control are a Group responsibility. The Group's risk mapping includes the subsidiaries' risks.

La Banque Postale's internal control system consists of risk management, permanent control and periodic control and is organised as follows:

- ▶ a first line consisting of the operations departments responsible for managing risk associated with their activities and for

implementing a control system which ensures compliance with the internal requirements defined by the Group and with external requirements. Risk taking and management are undertaken within the framework of risk appetite defined by the Group;

- ▶ a second line implemented by two departments dedicated to permanent control: the Group Risk Department and the Compliance Department which are responsible for ensuring the consistency and effectiveness of non-compliance risk controls. They define the risk management framework for the Group and submit it for approval to the Executive Board and the Supervisory Board, and ensure its implementation, that it is complied with and its effectiveness;
- ▶ a third line of defence is provided by the Internal Audit Department which provides an independent opinion on the effectiveness of the risk management system in place.

The departments of the second and third lines of defence report on their missions to the Executive Board and the Supervisory Board's Risk Committee. They report on changes in the risk profile and alerts them to risk incidents and events which could result in the Group reaching or exceeding limits.

The control principles applied by the Bank are as follows:

- ▶ the responsibility of all the players, which constitutes the basis of effective management and control procedures. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required. They must be in a position to account for the effective management of the work that they perform and the inherent risks of that work at any time. This principle relies on close involvement of managers;
- ▶ Proportionality of controls to the level of risk to be managed. Each manager shall analyse their own risk and implement an appropriate control framework in order to achieve a reasonable level of confidence that their business activities are properly managed, and that they comply with the Company's internal and external standards and regulations;
- ▶ thoroughness of the scope of the control procedures. It covers all the activities of La Banque Postale. These procedures apply to all kinds of risk, to all those employed directly by the Bank and all those acting in its name and on its behalf, and to all the entities of the La Banque Postale Group. The internal control procedures also extend to essential services that have been outsourced.

Policies, charters, standards and procedures in force

The regulatory framework is implemented *via* internal rules:

- ▶ the Group's risk appetite statement and its associated risk appetite dashboard validated by the Executive Board and approved by the Supervisory Board in January 2018;
- ▶ the Group Risk Management Policy (RMP) for risk management: validated by the Executive Board in June 2018;
- ▶ the Risk Division Charter approved by the Executive Board in January 2018;
- ▶ the Permanent Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017);
- ▶ the Group Compliance Charter, dedicated to the management and control of the risk of non-compliance (presented to the Supervisory Board's Risk Committee in October 2016);
- ▶ the Periodic Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017).

Reference documents are distributed to the Bank's departments in order to implement the systems, in particular:

- ▶ the standards issued by the Group Standards Approval Committee;
- ▶ the key elements of an internal control system;
- ▶ the procedure implementing the Product Review Committee;
- ▶ the methodology guides for applying standards, *etc.*

These risk management systems are updated over time.

Risk appetite

On proposal by the Executive Board, the Supervisory Board, approves the Risk Appetite Statement (RAS) and Risk Appetite Dashboard (RAD) for the year. The goal of the RAS is to formalise at Group level its appetite for the risks it is, and may be, confronted with in its daily activities over the coming year. It also expresses the Group's risk tolerance, *i.e.*, the maximum risk level it is willing to take on.

The risk appetite framework (RAF) is based on:

- ▶ the definition and the implementation of a system of qualitative and quantitative limits monitored on a monthly basis by the Executive Board and quarterly by the Supervisory Board;
- ▶ the implementation of an alert process for exceeded thresholds and limits;
- ▶ the organisation of risk management roles and responsibilities (the three lines of defence);
- ▶ consistent documentation and processes to ensure the operational implementation of risk appetite and the associated organisational principles.

3.5.7.3 Main parties responsible

La Banque Postale's system of internal control and risk management is structured, with respect to risk control, management and monitoring, around:

- ▶ a control system as close as possible to the business activities;
- ▶ internal control functions that cover:
 - permanent control,
 - risk monitoring and management,
 - management of the risk of non-compliance,
 - periodic control;
- ▶ governance committees relating to internal control.

3.5.7.3.1 Control organised as close as possible to the business activities

La Banque Postale has established a specific system for transactions performed within its network. The aim of this system is to audit the transactions performed in post offices, in coordination with La Poste Network.

The Executive Management of La Poste Network is responsible for designing and managing the Level 1 audits for banking activities in post offices.

Level 2 banking controls are conducted by controllers dedicated to the core banking business. In particular, banking controllers, employees of La Banque Postale, perform Level 2 audits on the banking business conducted in post offices and in the Business Centres under the responsibility of the Bank's Regional Control Directors and the leadership of the Permanent Control Department reporting to the Group Risk Department.

3.5.7.3.2 The internal control functions

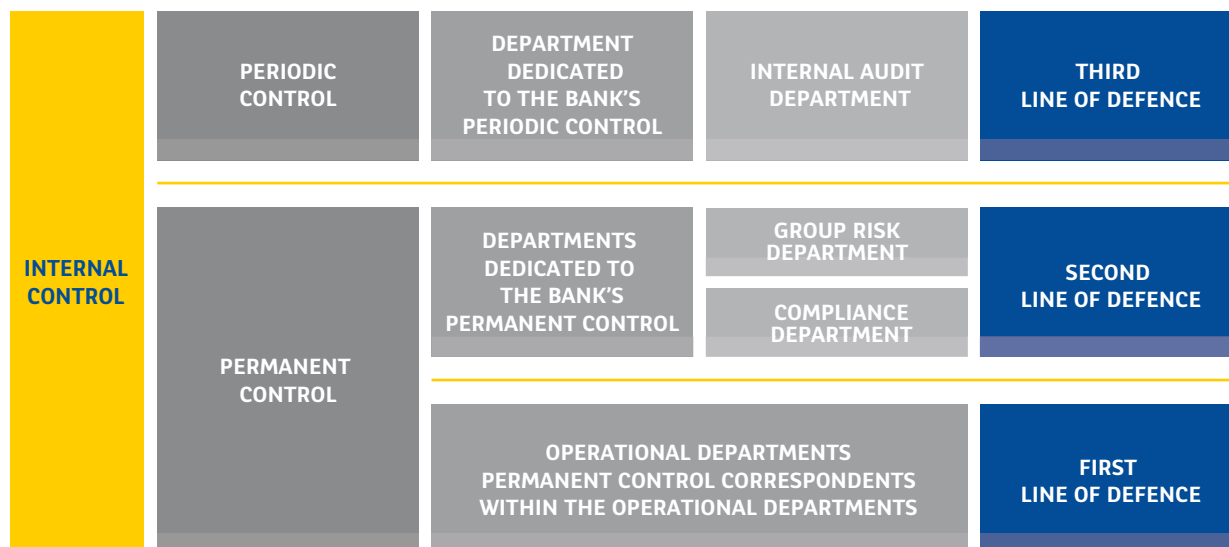
La Banque Postale's internal control is governed by the French Monetary and Financial Code, by the decree on internal control of 3 November 2014 and by the guidelines of the European Banking Authority of September 2017 (EBA/GL/201711 applicable since July 2018).

The regulatory framework for periodic internal control is that described in the preceding paragraph.

Control system means a system which includes an organisation, roles, responsibilities, procedures and systems framing the operations of an entity (carrying out operations, taking decisions, managing and monitoring activities, detecting malfunctions, alert mechanisms, *etc.*) and controls to enable tracking their effectiveness and implement any corrections required.

Risk management framework means the framework developed by the Group Risk Department to ensure compliance with risk appetite. It consists of the risk appetite statement and the associated risk appetite dashboard, the Group's risk management policy, risk management systems by type of risk and by type of project or activity.

La Banque Postale uses the concept of lines of defence to represent its organisation in terms of risk management and good practices.



FIRST LINE OF DEFENCE:

The Group recognises that all commercial and support activities entail risks and that ensuring that the teams responsible for them are knowledgeable and accountable is the most effective way to ensure their management. As a result, the top level of responsibility for risk management is entrusted to each Group entity. They are responsible for implementing a control system which ensures compliance with the internal and external requirements applicable to them. The control system is part of the management framework developed by the GRD, in other words, risk taking, risk management, monitoring and alerts are undertaken in line with the rules defined by the Group.

Each employee guarantees risk management at their level through their knowledge, experience and compliance with the rules in place in each entity.

As a result, the operational business lines constitute the first line of defence.

SECOND LINE OF DEFENCE:

In accordance with the provisions of the decree of 3 November 2014 on internal control, the Group Risk Department and the Compliance Department are responsible for permanent control.

The Group Risk Department is at the centre of risk management, which it leads. This unit is referred to as the Risk Division within the Group. As such, it develops risk and results measurement and monitoring systems and risk management systems which it must ensure are implemented. It ensures that the level of risks taken is compatible with the risk appetite of the monitoring body and the associated limits.

The Risk Division is responsible for defining the risk management systems and ensuring monitoring for credit, counterparty, residual, concentration, market, global interest rates, base, intermediation,

settlement/delivery, liquidity, securitisation and excessive leverage risks as well as systemic, concentration and operational risks excluding those associated with compliance. Operational risks include those related to the security of persons and property, information systems' security (including the security risk) and modelled risk.

The Compliance Department is responsible for managing non-compliance risk 1. The Group's definition of non-compliance risk and conduct risk is provided in La Banque Postale's Compliance Charter. This mission is implemented *via*:

- ▶ the development, dissemination and respect for ethics rules;
- ▶ compliance with AMF rules for investment services;
- ▶ management of the fight against money laundering and the financing of terrorism;
- ▶ definition of La Banque Postale Group's AML/CFT procedures and regulatory AML/CFT training;
- ▶ management of alerts issued by the La Poste Network and the alert tools;
- ▶ transmission of suspicious transaction reports to Tracfin and of asset freeze statements to the French Treasury Department.

The operational management of the fight against fraud implies the identification and management of fraud risk, the securing and distribution of fraud management procedures, raising awareness of the people involved and suitable tools.

THIRD LINE OF DEFENCE:

The Internal Audit Department provides the last line of defence. It provides periodic control for the Risk Department and the Compliance Department in addition to all Group entities.

The Risk Division

The Risk Division Charter defines the responsibilities, rules, procedures and organisation implemented by the Group to ensure compliance with its risk appetite framework. It describes the organisation implemented in the Group to enable the Executive Board and the Supervisory Board to ensure that:

- ▶ the risk framework they defined in the Risk Appetite Statement is complied with;
- ▶ they are informed of the level of risk taken on by the Bank and of the appearance of new risks or of major incidents;
- ▶ that the risk management framework is effective.

The risk management function as meant in regulations is provided by the Risk Division which is led by the Head of Group Risk, who reports directly to the Executive Board and is a Management Committee member.

The Risk Division consists of central functions within the Group Risk Department and of decentralised functions within the Group entities or working on behalf of the Group. It covers all of the current and potential risks of the Group's entities, including non-compliance risks together with the Compliance Department.

The Internal Audit Department is dedicated to periodic audits

The Internal Audit Department is responsible for periodic audits as defined in the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR). It assesses risk management, together with the quality of internal control.

The Internal Audit Department's main mission is to ensure, with regard to all the activities of the La Banque Postale Group, and in accordance with Article 17 of the aforementioned decree:

- ▶ the compliance of transactions;
- ▶ the level of risk effectively incurred;
- ▶ adherence to procedures;
- ▶ the effectiveness and suitability of permanent control measures.

To this end, the Internal Audit Department assesses:

- ▶ risk management, the legality and compliance of transactions within the Company;
- ▶ the operational effectiveness and productivity of the Company with regard to its objectives;
- ▶ the systems introduced in order to ensure a quality customer service that is constantly improving.

The Internal Audit Department is divided into two audit units, in charge of carrying out audit tasks, and a support unit.

The audit units:

- ▶ **the "Bank/Insurance" Division** handles thematic and cross-functional audits relating to processes and entities for the entire scope and activities of the La Banque Postale Group;
- ▶ **the Specialist Business Activity unit (Modelled Risks and Information System)** handles specialist audits and provides technical support to the Bank/Insurance unit.

The Support unit, managed by the Audit Quality and Resources Department, which covers the following tasks:

- ▶ follow-up of the implementation of the action plans by the audited teams;
- ▶ coordination of on-site audits and audit tasks conducted by external bodies (supervisory authorities, La Poste Group audits, *etc.*);
- ▶ standards & Methods;
- ▶ quality and associated controls;
- ▶ datamining;
- ▶ project and tools management;
- ▶ development of teams.

3.5.7.3.3 Top-level management structures dedicated to control procedures

The Supervisory Board has set up a Risk Committee to assist it in the task of setting directions and controlling the implementation of monitoring systems and with the review of the activity and of the results of internal control.

The Supervisory Board Risk Committee:

- a) assesses the quality of internal control procedures through:
 - review of the Company's risk appetite and of the principles of risk management,
 - review of the compliance control programme,
 - review of the activity and results of internal control,
 - review of the reports for the French Prudential Supervision and Resolution Authority and other supervisory authorities,
 - review of the Company's periodic control programme,
 - review of the monitoring of the principal recommendations of bank audit and the supervisory authorities,
- b) knows the Company's Internal Audit Department's Charter and that of the Permanent Control Department;
- c) examines the accounting aspects of the Company's remuneration policy and practices and its position.

The Risk Committee also carries out the missions provided for in the provisions of the French Monetary and Financial Code and by the decree of 3 November 2014 on internal control. It prepares the directions for the periodic control missions, compliance obligations and risk management for the Supervisory Board. It reports to the Board on the directions decided on.

This committee is chaired by an independent member of the Supervisory Board. It meets as often as required (six meetings in 2018, with an attendance rate of 91%).

Executive Board committees, chaired by one of its members, organise and steer La Banque Postale Group's risk management: the Group Risk Management Steering Committee, the Coordination, Internal Control, and Ethics Committee and the two committees created in 2018: La Banque Postale's AML/CFT Committee and the La Banque Postale Group's AML/CFT Committee.

Group Risk Management Committee

Starting with a review of changes in risk measurement indicators and the lessons drawn from risk control, the Group Risk Management Committee:

- ▶ decides on La Banque Postale Group's Risk Management Policy;
- ▶ approves the Risk Management Systems (credit, market, operational) and the operational limits.

In addition, the Group Risk Management Committee:

- ▶ reviews the areas most sensitive to risk (notably, outstandings on the watch list, special affairs and disputes) and monitors their coverage level (notably, provisions);
- ▶ reviews threats which could impact the balance sheet structure, results, or management ratios (solvency, liquidity, *etc.*) and informs the Executive Board;
- ▶ provides an update on AML/CFT at each of its meetings (monitoring of filtering, alerts, PEPs, *etc.*).

This committee is chaired by the Secretary General, who is the member of the Executive Board in charge of internal control. The monthly meeting is led by La Banque Postale's Head of Group Risk.

They are assisted by two technical subcommittees:

- ▶ **the Standards Validation Committee:** chaired by La Banque Postale's Head of Group Risk who approves the Group's standards which are previously approved by a member of the Executive Board;
- ▶ **the Models Validation Committee:** chaired by the La Banque Postale's Head of Group Risk who approves the models used to measure and control risks. The models are previously approved by a member of the Executive Board.

Internal Control Coordination and Ethics Committee (CCCID):

Internal Control Coordination and Ethics Committee (CCCID) reviews:

- ▶ the coverage of the permanent control plan (implementation rate of the control plans; results and implications of the main controls);
- ▶ the coverage of the Internal Audit Department's programme;
- ▶ compliance/customer protection reporting;
- ▶ compliance in project implementation (GDPR, MiFID II, *etc.*);
- ▶ ethics issues;
- ▶ regulatory monitoring (excluding prudential topics).

The Committee ensures that the internal control system provides exhaustive coverage for La Banque Postale Group's activities and that it is provided with the resources it needs.

With respect to ethics, the Committee reviews the application of the rules and their compliance with regulatory developments, as well as the updating of the "sensitive personnel" list. It hears cases of major conflicts of interest.

The Committee approves the reference documents (Policy, Charter, *etc.*) for internal control, compliance and ethics.

The Committee is chaired by the Secretary General, who is the member of the Executive Board in charge of internal control. The quarterly meeting is led by the Compliance Director.

La Banque Postale AML/CFT Committee

The missions of La Banque Postale's Anti-Money Laundering and Terrorist Financing Committee are as follows:

- ▶ the periodic review of AML/CFT risk mapping;
- ▶ the regular review of AML/CFT systems in the Bank's business lines;
- ▶ reporting any insufficiencies of malfunctions of the AML/CFT systems;
- ▶ review of the results of work carried out jointly by La Banque Postale and La Poste Network regarding AML/CFT;
- ▶ review and monitoring of the effectiveness of the remediation plans implemented to counter any malfunctions.

The Committee meets quarterly. It is chaired by the Chairman of the Executive Board and led by the Compliance Director.

La Banque Postale Group's AML/CFT Committee

La Banque Postale Group's Anti-Money Laundering and Terrorist Financing (AML/CFT) Committee extends the AML/CFT Committee's missions to the Bank's subsidiaries which carry out commercial activities.

The subsidiaries in question are: BPE, EasyBourse, KissKissBankBank, LBPAI, LBPAM, LBPAS, LBPCE, LBPFI, LBPIC, LBPP, Ma French Bank and SOFIAP.

La Banque Postale Group's AML/CFT Committee ensures consistency at Group level (rules, systems, risk mapping, *etc.*).

The Committee meets every six months. It is chaired by the Chairman of the Executive Board and led by the Compliance Director.

Control function staff at 31 December 2018⁽¹⁾**Central functions**

- ▶ Central departments that make up the Internal Control Coordination Committee:
- ▶ Group Risk Department 136
- ▶ Internal Audit Department 101
- ▶ Compliance Department 138
- ▶ Legal Department 64

Other departments supervised by the Compliance and Permanent Control Department:

- ▶ Risk and Control Department in the Operations Department 17
- ▶ Operations Department 1
- ▶ Financial Department 11
- ▶ Information Systems Department 14
- ▶ Department of Businesses and Land Development 8
- ▶ Retail Banking Department 3
- ▶ Human Resources Department 2
- ▶ Insurance Unit 3
- ▶ Corporate and Investment Bank (CIB) 4
- ▶ Digital and Communications Department 1
- ▶ La Poste Network 3
- ▶ **A sub-total of 388**

(1) Estimated at 31 December 2018, including dedicated and non-dedicated staff (part-time)

Local functions

Control of banking activities in post offices, Financial Centres and subsidiaries:

- ▶ Bank Controllers (COB) 183
- ▶ COB manager and assistants 22
- ▶ Heads of Risk and Banking Control (in Financial Centres) 27
- ▶ Risk Controllers and Experts (in Financial Centres) 79
- ▶ Risk Department 95
- ▶ Anti-Money Laundering and Counter-Terrorism Financing 62
- ▶ Unattached staff 64
- ▶ **A sub-total of 532**
- ▶ **A total of 930**

3.5.7.4 Assignments of the Risk, Compliance and Internal Audit Departments and achievements in 2018

The Group Risk Department

The Risk Department is responsible for risk for the entire Group. It is responsible for the missions of the risk management function necessary for:

- ▶ ensuring the consistency, standardisation, efficiency and exhaustiveness of risk measurement;
- ▶ risk monitoring and management.

It is also responsible for managing the Group's consolidated risks.

The task of the Group Risk Department is to develop a coordinated Group Risk Management Policy, subject to the decisions of the Bank's Executive Board.

Each entity is responsible for its risk management policy and regular risk audits subject to approval by the Group Risk Department, which ensures that the risk management policies of the subsidiaries are in line with those of the parent company and that they are correctly applied.

The Group Risk Department is in charge of the measurement, monitoring and management of consolidated risks.

As such, it is operationally responsible for:

- a) investigating risk appetite and the overall risk appetite limits set by the Executive Board and approved by the Supervisory Board;
- b) investigating the criteria and thresholds, determined by the Supervisory Board, that make it possible to identify the incidents (point j) which the Department wishes to draw to the Board's attention (see Articles 98 and 244 of the decree relating to internal control);
- c) investigating individual or operational limits concerning the consolidated risks submitted to the Group Risk Management Committee;
- d) implementing the delegated plans and monitoring them;
- e) defining reporting standards specifying the nature and content of the reports that the Group's entities send it; the validation of said standards is the responsibility of the Group Standards Validation Committee;

- f) reporting on exposures and consolidated risks to the Supervisory Board's Risk Committee and the Bank's Executive Board, accompanied by analyses concerning:
 - the scope and reliability of consolidated risk measurement systems,
 - changes in risks with respect to the general focus of the activity implemented and the management policies of operating activities,
 - detecting any concentrations of abnormal risks,
 - the vulnerability of the Group to worst-case scenarios (stress scenarios);
- g) defining action plans when the limit is likely to be reached or exceeded, in order to return within the limits determined, while first alerting the business lines/entities;
- h) alerting the Executive Board when a limit is likely to be reached or when an overall limit has been exceeded, and monitoring the action plan for dealing with this breach;
- i) alerting the Executive Board and the Group Internal Audit Department if the action plan has not been carried out within the allotted time;
- j) reporting incidents covered by Article 98 of the decree of 3 November 2014.

The Group Risk Department is one of the contacts for the supervisory authorities for non-compliance risks. It manages the items relating to the Risks Division for regulatory disclosures prepared on a consolidated basis. When it is questioned by the relevant authorities, it informs the Group Executive Board, the management of the entities concerned, the Group Internal Auditor and, where applicable, the Group Head of Permanent Control and Compliance.

The performance, consistency and reliability of the "risk" information systems, as well as the quality of the associated data, are crucial for the efficiency of the Group's risk management system.

As part of its task of consolidated risk management, the Group Risk Department is responsible for managing the risk information system and for the quality of the associated data, in close coordination with the entities in charge of the Group's various information technology platforms.

From the Group's Risk Information System arise:

- ▶ requirements for risk measurement, consolidation, cross-functional analysis, monitoring and reporting, in their various components including in particular financial risks, credit risks and operational risks;
- ▶ the roll-out by each "business line" (operational or support functions) of these requirements (measurement, consolidation, cross-functional analysis, monitoring, reporting) after discussions with these functions; this roll-out relies on core risk tools, fed by the management systems of each function; this data supply is carried out either at the basic transaction level or by pre-calculated items.

In this context, the Risk Division ensures that each information system in the Business line units is adequate for the core risk tools and is associated both with their definition and implementation.

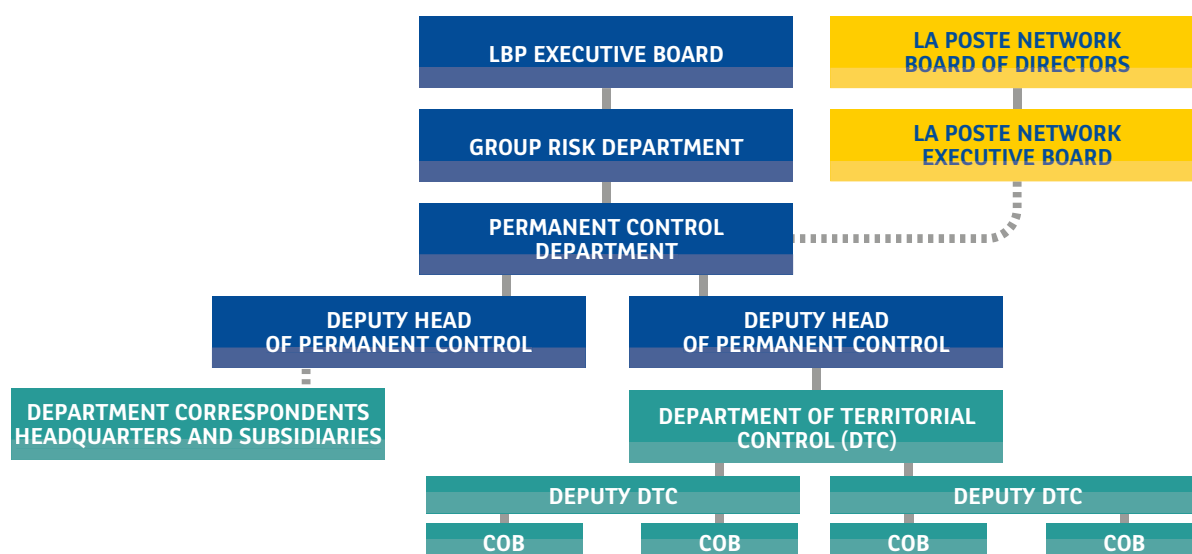
The core risk tools are organised by type of risk and are determined by the business line. They are constituted in particular of specific tools for:

- ▶ supplying data to cross-functional analysis tools;
- ▶ financial risks;
- ▶ credit risks;
- ▶ operational risks;

- ▶ overall interest rate risks;
- ▶ intermediation risks;
- ▶ liquidity risk;
- ▶ delivery and settlement risks;
- ▶ leverage risk.

The Permanent Control Department, reporting to the Group Risk Department, is responsible for managing all of La Banque Postale Group's permanent controls. To do so, it works with the following control entities:

- ▶ the Bank Controllers (COB) who work in La Poste Network and the Business Centres and which report to it *via* a Deputy Head of Permanent Control who has a functional professionalisation tie with the DEX (see below);
- ▶ the Bank Controllers (CIB) in the Financial Centres reporting to the Bank Internal Control Managers (RCIB) who report in turn to the Risk Management and Permanent Control Department within the Group Risk Department;
- ▶ the second level controllers reporting to the business lines, the subsidiaries or the Head Office Departments.



Internal Audit Department

As in previous years, at the end of 2017, the Internal Audit Department prepared its schedule of missions for 2018 based on the audit universe, the risk map, the requests of the Risk Committee, the Executive Board, the Executive Committee and the subsidiaries, as well as the proposals of the Management Committee of the Internal Audit Department. This schedule complies with the regulatory obligation to conduct a full cycle of investigations on all business activities over the smallest possible number of financial years, set at four by La Banque Postale.

The 43 missions conducted in 2018, addressed the points deemed most sensitive with respect to the Bank's business activities and its organisation, while continuing to cover all the Bank's activities and entities, and those of its subsidiaries which grew consistently with the Group. On 1 February 2019, 24 definitive reports were distributed for the 43 missions carried out in 2018. 2018 also saw the distribution of 23 definitive reports from the 19 missions planned or added to the 2017 programme.

The following topics were covered:

- Credit activities (4 missions);
- Asset management (1 mission);
- Insurance (3 missions);
- Commercialisation process (5 missions);

- Middle-Office activity (4 missions);
- HR management (1 mission);
- Information systems management (4 missions);
- Payment methods (8 missions, of which 2 for CIIG);
- IS programmes (2 missions);
- Financial management (6 missions);
- Risk management (5 missions);
- AML/CFT (4 missions).

The conclusions of these missions were reported during the Risk Committee Meetings of 2018 (24 May, 26 July, 5 October, 12 December) and during the Risk Committee Meeting of 12 February 2019.

In addition, coverage of the audit universe is also provided by the Inter Internal Audit Committee (CIIG) for certain Outsourced Essential Services (PSEE). The committee brings together eight French banks⁽¹⁾ which have decided to pool their resources for the audit of shared PSEE. The 2018 CIIG audit plan enabled three full PSEE audits⁽²⁾ and eight monitoring missions⁽³⁾.

In 2018, Internal Audit also coordinated nine external audit missions led by bank supervisors and administrative authorities (ECB, ACPR, CCAF, SGFGAS, etc.) and four initiated by partners (CNP Assurances, Allianz, etc.).

(1) BNP Paribas, Société Générale, Crédit Agricole SA, BPCE, CMCIC, La Banque Postale, CDC and HSBC France.

(2) Iron Mountain (archiving), Gemalto (manufacturing and personalisation of bank cards, Diebold Nixdorf (deployment and maintenance of ATM software, physical and logical security for the software).

(3) GIE Cartes Bancaires, IBM RS, Idemia, Equens worldline, Docapost BPO, Docapost DPS, Monext/Nextalk, and EDIIS.

Monitoring of the action plans issued following the inspection reports and the recommendations of the supervisory authorities in response to the onsite audits was carried out by the Internal Audit Department throughout the year. At the end of the financial year, La Banque Postale recorded another significant increase in the rate of completion of action plans. As of 1 January 2019, the rate was 86%, up six points compared to the previous year. The number of late action plans has been cut in two over two years, decreasing from 1,082 at the end of 2016 to 523 on 1 January 2019 (for 4,354 action plans issued over the four-year audit cycle).

The Compliance Department (CD)

The Compliance Department reports directly to the Executive Board and is responsible for:

- ▶ managing the risk of non-compliance as defined in Article “10p” of the decree of 3 November 2014. For this, it includes:
 - the Customer Protection Department (RCSI, Ethics, new products),
 - the Financial Transactions Security Department (DSF) (fight against fraud, money laundering and the financing of terrorism, financial penalties),
 - the Leadership and Steering Department (subsidiaries of La Banque Postale Group and La Poste Network).

The Financial Transactions Security Department manages AML/CFT alerts and manages project ownership of the tools dedicated to the channel.

The Financial Transactions Security Department is also responsible for managing the bank’s relationships with Tracfin (AML-CFT) and with the Treasury (financial penalties and embargoes) at national level.

The Financial Transactions Security Department has dedicated resources to carry out its work successfully, including 14 regional Tracfin Declarant/Correspondents (DCT).

The dedicated, two-level regional AML-CFT and financial penalties unit

The local system is based on the Sector Heads for the Post Office branches, the Operational Risk Managers in the Financial Centres and the Business Centre Heads for the Corporate function.

The Sector Heads are responsible for the application of AML/CFT rules in the post offices and for Level 1 control. Level 2 controls are carried out by the banking controllers. They are responsible for implementing alerts which feed into the AML-CFT unit’s tools for combating money laundering.

- ▶ The Operational Risk Managers in the Financial Centres are responsible for risk management, including money laundering and terrorism financing risks. They are responsible for:
 - monitoring specific risks related to sensitive customers and the termination of the business relationship,
 - monitoring alerts issued by various Centre services,
 - raising the awareness of and training the Financial Centre staff with the support of the AML-CFT units.
- ▶ The Business Centre Heads of the Corporate unit have the same responsibilities as the Sector Heads with regard to the activities of specialist business centre advisors and the professional customer managers.

With respect to AML/CFT

Alerts are handled by seven AML units in the Financial Centres (*i.e.* some 60 employees), reporting to the DSF and responsible for analysing all alerts from post offices, Business Centres and Financial Centres, as well as the alerts generated by the dedicated AML-CFT software package.

Investigation files which have not been closed by the AML/CFT units are addressed to the 14 declarant/correspondents who undertake another review and, if required, submit a report to Tracfin, if the suspicion is confirmed.

In terms of Economic Sanctions

An anti-terrorism unit is also in charge of the entire procedure for handling first-level alerts stemming from filters of financial penalty lists with the aid of a filtering tool, and is responsible for monitoring at-risk countries, particularly fiscally non-cooperative countries and those listed for monitoring by the Financial Action Task Force (FATF).

Alerts which are not resolved at the first level are sent to the dedicated DSF unit.

The Permanent Control Department

The Permanent Control Department’s task is to provide an independent measurement of the effectiveness of risk management. This fits into the bank’s three lines of defence.

Permanent Level 2 control is the control that is made, retrospectively, by people dedicated to this permanent control function.

The Permanent Control Department contributes to improving the link between risk and control and is responsible for coordinating all second level controls. It does this by:

- ▶ audits carried out by the banking controllers in the post office network and local public sector and business centres;
- ▶ Level 2 audits carried out in the AML-CFT function;
- ▶ functional management of Level 2 controls in Financial Centres and in the IS Department with the participation of dedicated departments;
- ▶ the implementation of Level 2 audits in entities providing investment services (Financial Operations Department (DOF); Securities Service (SVM); National Securities Centre (CNVM));
- ▶ supporting and monitoring departments at Head Office and in the subsidiaries in the implementation of their internal control systems.

3.5.7.5 Controls applied to the preparation and processing of financial information

The preparation and processing of financial and accounting information is the responsibility of the Financial Department, which is made up of the Accounting Department, the Management Control Department, the Taxation Department and the Balance Sheet Management Department.

The accounting function

La Banque Postale’s Accounting Department is responsible for the preparation and processing of accounting information. The Department’s key tasks are to produce and disseminate high-quality accounting information, supported by the managers of La Banque Postale’s accounting function and using accounting project management resources. The Accounting Department stipulates and implements the organisational and IT processes and structures used to produce the financial statements.

In addition to the Accounting Department, La Banque Postale’s accounting function includes the banking back-office accounting teams, who report to the Financial Centre Directors, or, in some cases, to business line management. The Bank’s Accounting Department sends these teams the instructions and control programmes necessary to ensure the consistency and quality of the information produced. The accounting function also includes a centre specialising in the accounting-based processing of the

Bank's general resources, together with the Corporate and Investment Bank (CIB) Department's accounting team, which is responsible for recording market transactions in the accounts.

The Accounting Department coordinates and defines the Level 1 justification and audit programmes that must be implemented by the Bank's operating Accounting Departments, which are located in the Financial Centres, in the National Centres, in the Corporate and Investment Bank (CIB) and in the general resources Accounting Departments. These auditing and control programmes are reviewed based on the risk analysis carried out periodically when the financial statements are prepared and audited by the dedicated teams for the central auditing of financial statements.

The Accounting Department supplements this Level 1 work by a set of Level 2 auditing controls, consisting of recurrent cross-functional controls to ensure the quality and exhaustiveness of the Level 1 work carried out in the operational entities. The control process is set out formally in audit manuals and is also based on procedures for justifying the financial statements and approving the account-closing records scheduled in the work programmes. The Level 2 work is done by a dedicated team of auditors.

Second-level accounting review is organised around the main activities: deposit and savings account maintenance/loan activities/financial transactions/general resources/consolidation. The activities are reapportioned into audit cycles that each result in the drafting of a monthly audit summary and of detailed summaries, during the audit phase, presenting the significant events in the cycle, the results of the work and an analytical review of the activity.

The auditors' work schedules are periodically updated, in order to:

- ▶ adapt to changes in the activities and the regulatory context;
- ▶ include project-related changes;
- ▶ take into account newly identified risk factors, or conversely, of risks that no longer apply;
- ▶ optimise the effectiveness of the control process as part of the shortening of end-of-period accounting lead-times.

The audit work on the Bank's retail activity is organised on a declarative basis on the Financial Centres and supplemented by audit cycles based on the sampling of complete records. In this way, all the centres and cycles are tested several times a year. The work is also incorporated into an accounting quality trend chart, which gives a monthly overview of the test results and the quality of the Level 1 system.

These recurrent checks are backed up by tightened audit periods known as "pre-close periods", which begin one to two months before the closing date for the half-year and annual financial statements, and allow for a "dress rehearsal" by the contributors (centres, Head Office Departments). These procedures secure timetables and processes; moreover, they provide interim information on the status of the financial statements to the statutory auditors before they begin their work.

Regarding the scope of financial transactions, the Accounting Department is tightening the coordination process for the parties

involved (Corporate and Investment Bank (CIB) and Risk Departments). The aim of this system, which takes the form of monitoring meetings and setting down feedback channels, is to:

- ▶ provide in advance the expected schedules for the control deliverables;
- ▶ return comments by the auditors (Internal Audit, statutory auditors);
- ▶ define action plans allowing points for improvement to be monitored.

The entire accounts production system is supplemented by meetings with the statutory auditors' panel, which enable the highlights to be reviewed and the account-closing options to be examined before they are implemented (impacts from new regulations, processing of new products, changes in scope of subsidiaries).

The Accounting Department also co-ordinates the consolidation of the companies that make up the La Banque Postale Group, according to specific instructions.

The process for producing the consolidated financial statements now includes:

- ▶ a system triggered by consolidation instructions sent to all subsidiaries in the scope of consolidation;
- ▶ meetings outlining the Group's news, standards and processes, allowing for discussion within the subsidiaries' Accounting Departments;
- ▶ a Level 2 control organised according to a control schedule and the drafting of summaries so that risks can be dealt with and standards application coordinated at the Group level;
- ▶ a comparison of the management results with the accounting result;
- ▶ an analytical review procedure presented by the subsidiaries to the Group's Financial Department in the presence of the statutory auditors of the subsidiary and the Group.

The subsidiaries have their own structure that enables them to perform Level 1 and 2 accounting controls on their scope.

The Accounting Department is also in charge of regulatory reporting production (except for the prudential ratios produced by the Group Risk Department) for the French Prudential Supervision and Resolution Authority (ACPR) or the European Supervisor.

Lastly, the Accounting Department has identified, inside a dedicated function, responsibility for the definition of accounting standards applicable to the Group (international standards) and La Banque Postale (French standards). This Department writes the standards manual, interprets new standards and applies them to the Group's accounts. It helps define accounting principles when new business activities or products are launched and responds to business line and Accounting Division requests on the implementation and application of standards. Regular publications are also distributed to the various players within the Bank to inform the business clients about possible changes or to remind them of the principles and methods.

Management control function

Management control, support for the development and improvement of bank profitability.

The **Management Control Department** is responsible for collating management information. It contributes to the preparation of financial information. Using economic and financial analyses, management control takes part in defining the Bank's strategy, monitors the implementation of the strategy, identifies the areas of progress and proposes solutions. It also creates steering conditions which facilitate the management of the activity and decision-making by the business line and operational managers. The goal is to contribute to improving the bank's performance.

Operational management control is located in the business lines and placed under their responsibility. The business lines constitute (subsidiaries or management) a level where management information is prepared, and they obtain the resources to produce it at the quality level and standards expected.

The main tasks of Central Management Control, reporting to the Group Financial Department, are to:

- ▶ consolidate and build the budget and the Bank's medium- and long-term plan;
- ▶ provide budget reporting and monitoring;
- ▶ develop a "group" management income that is separate from the accounting data, allowing a monthly accounting-management reconciliation to be drawn up;
- ▶ carry out short-term income estimates or scenario analyses;
- ▶ monitor the subsidiaries and group investments administratively and financially;
- ▶ participate in the stress test work and reporting to the supervisor on the profitability indicators;
- ▶ ensure production of trend charts and summary reporting on business activity and profitability for the Management and the shareholder.

Management Control is also responsible for:

- ▶ analysing the performance of the Group, its business lines and its entities;
- ▶ managing the product pricing system based on contributions from the business lines;

- ▶ qualifying the information used in commercial performance reporting on credit volumes and margins;
- ▶ monitoring the performance of the business lines and the half-yearly performance review by management in *ad hoc* bodies;
- ▶ preparing analytical accounting, monitoring the resources used in operating the business;
- ▶ reviewing the return on supply projects and investments;
- ▶ the creation and development of a management system suited to the environment and situation of the bank.

The financial communication function

All financial communication is compiled by the Department of Public Affairs, Institutional and Financial Communication, the Head of which reports to the Chief Financial Officer. This Department takes care to rely on general principles and best practices in financial communication, as shown in the guide "Cadre et Pratiques de Communication Financière" (Financial Communication Framework and Practices) (written by the Financial Communication Observatory under the supervision of the French Financial Markets Authority).

Its tasks consist of:

- ▶ coordinating and preparing the information published in financial media releases, media releases on income, and presentations given to institutional investors, credit analysts and ratings agencies, taking care to ensure that the messages are consistent;
- ▶ coordinating and preparing the regulated financial information submitted for approval to the Autorité des marchés financiers (Registration Document and half-yearly update);
- ▶ conducting regulatory monitoring with other Group functions;
- ▶ organising and coordinating relations with the ratings agencies;
- ▶ together with other group functions, liaising with credit investors and the Autorité des marchés financiers (AMF);
- ▶ ensuring that financial information is provided on La Banque Postale website at www.labanquepostale.com.

3.5.8 Information about locations and business activities at 31 December 2018

Article L. 511-45 of the French Monetary and Financial Code requires that credit institutions publish information relating to the financial year ended 31 December 2018 concerning their business locations and their business included in their scope of consolidation, in each State or territory.

Locations by county at 31 December 2018

France

Retail Banking

La Banque Postale
SCI CRSF DOM
SCI CRSF
SCI Tertiaire Saint Romain
SF2
La Banque Postale Financement
La Banque Postale Crédit Entreprises
Easybourse
FCT Elise 2012
BPE
La Banque Postale Collectivités Locales
La Banque Postale Home Loan SFH
SOFIAP
Ma French Bank

Insurance

CNP Assurances Group

La Banque Postale Prévoyance
La Banque Postale Conseil en Assurances
Sopassure
La Banque Postale Assurances IARD
La Banque Postale Assurance Santé

Asset management

La Banque Postale Asset Management
Tocqueville Finance Holding
Tocqueville Finance SA
AEW

Principality of Monaco

Retail Banking

La Banque Postale: post office

Netherlands⁽¹⁾

LBP Dutch Mortgage Portfolio 1 BV
LBP Dutch Mortgage Portfolio 2 BV

Data presented by country as at 31 December 2018

State or Territory consolidated contribution

(€000s)	NBI and revenue ⁽¹⁾	FTE staff ⁽²⁾	Net income before tax ⁽³⁾	Amount of income tax for which the business locations are liable	Public grants received ⁽⁴⁾
France	5,567,041	4,932	1,037,820	(273,186)	-
Principality of Monaco	2,895		1,513	(504)	-
GROUP TOTAL	5,569,936	4,932	1,039,333	(273,690)	-

(1) The amount of net banking income and revenue correspond to the contribution by business locations in France and the Post Office in the Principality of Monaco to La Banque Postale's consolidated financial statements.

(2) The full-time-equivalent staff includes all employees with a local employment contract as well as employees who have been physically seconded.

(3) This is the profit for the period before corporate income tax and other taxes.

(4) These are public grants actually paid and excluding tax credits.

(1) La Banque Postale acquired, in 2017 and 2018, two Dutch mortgage portfolios, as part of its strategy to diversify its portfolio of French home loans.

3.6 POST BALANCE SHEET EVENTS

None

3.7 2019 OUTLOOK

2019 was a key year for the implementation of the major merger project with our partner CNP Assurances. This transaction was announced in August 2018 by the Minister of the Economy and Finance. It is part of a broader operation including the Caisse de Dépôts will increase its stake in La Poste Groupe. This will position La Banque Postale as a powerful provider of banking and insurance services in Europe where it will play a major role in community finance.

Willing to support the development of La Banque Postale and subjected to the approval of its governance bodies, La Poste Group plans to undertake in the first half of 2019 a capital increase by converting €800 million of AT1 into equity. In accordance with Article 26 of (EU) no. 575/2013, the recognition in capital of the securities issued for this transaction is subject to the approval of the European Central Bank.

2019 is also a turning point for the deployment of La Banque Postale's digital offering with the launch of the Ma French Bank digital bank and new digital functionality for all customer segments: for private individuals (changes in digital payment functionality, implementation of electronic home loans, reworking of property and casualty, savings and consumer credit information and access) and for legal entities (reworking of the Banque en Ligne and launch of a dedicated mobile application).

La Banque Postale is a bank that works in the best interest of the community at large. It intends to provide an alternative to 100% digital whenever possible and to assist customers in their digital transition with a suitable system and community partner networks.

Thanks to its Platform58 incubator, La Banque Postale plans to create a fintech and assurtech ecosystem for its customers to prepare for the bank and insurance company of tomorrow. The

incubator will host start-ups in the seed phase which are developing solutions in the bank, insurance and technology fields as well as for finance-related services such as data management, health and education. Seven start-ups have already been selected.

In terms of asset management, La Banque Postale Asset Management will continue to gradually move its open and dedicated funds and mandates to SRI. To do so, it will implement its GREaT methodology in other asset classes, such as sovereign bonds. It will also enrich its offering with new absolute return products, in particular in money market funds, starting in the first half of 2019.

La Banque Postale will continue to closely control its costs. Several projects under way to improve operational effectiveness, including Excellence 2020, will continue to deliver concrete results, aligning La Banque Postale's industrial processes with the best market standards in many different fields (cheque processing, simplification of customer balances, *etc.*). In addition, the CAP Client programme will be completed in 2019, considerably improving customer service quality.

Finally, the third edition of the "Assises de la Banque Citoyenne" next 17 April will provide La Banque Postale with the opportunity to reconfirm its community commitments and initiatives, in particular, its banking accessibility mission, the plan for banking inclusion *via* digital tools, the development of micro-credit, notably in partnership with Crea-sol, and the launch of zero-interest "green" loans.

As a bank that works in the best interest of the community at large, La Banque Postale will continue to play an essential role in French economic life, remain committed to the regions and at the service of each of its customers.

3

3.8 INFORMATION ON THE STATUTORY AUDITORS

Statutory auditors of La Banque Postale	Start date of first assignment	End date of the assignment
PricewaterhouseCoopers Audit (member of the Versailles Regional Chamber of statutory auditors) 63, rue de Villiers 92200 Neuilly-sur-Seine Represented by Jacques Lévi as from the 2016 financial year Alternate auditor: Jean-Baptiste Deschryver	28 April 2004	General Shareholders' Meeting called in 2022 to approve the financial statements for the financial year closed on 31 December 2021
KPMG S.A. (member of the Versailles Regional Chamber of statutory auditors) Division of KPMG S.A. Tour Eqho 2, avenue Gambetta CS60055 92066 Paris La Défense Represented by Marie-Christine Jolys as from the 2015 financial year Alternate auditor: KPMG Audit FS I	27 May 2010	General Shareholders' Meeting called in 2022 to approve the financial statements for the financial year closed on 31 December 2021

Furthermore, as regards the audit of the previous accounts:

2017 financial year

PricewaterhouseCoopers Audit

63, rue de Villiers
92200 Neuilly-sur-Seine
Represented by Jacques Lévi

KPMG S.A.

2, avenue Gambetta
CS60055
92066 Paris – La Défense
Represented by Marie-Christine Jolys

2016 financial year

PricewaterhouseCoopers Audit

63, rue de Villiers
92200 Neuilly-sur-Seine
Represented by Agnès Husherr

KPMG S.A.

2, avenue Gambetta
CS60055
92066 Paris – La Défense
Represented by Marie-Christine Jolys

Services other than Account Certification provided by the Statutory Auditors

The Services other than Account Certification provided by the Statutory Auditors to La Banque Postale and the entities it controls are as follows:

► PricewaterhouseCoopers Audit

- Comfort letter regarding the updating of the Prospect Database for La Banque Postale S.A.'s issue programme.
- Limited review report regarding an intermediary situation established by La Banque Postale Asset Management
- Comfort letter regarding the updating of the Prospect Database for La Banque Postale Home Loan SFH's issue programme and comfort letter for an issue

► KPMG S.A.

- Comfort letter regarding the updating of the Prospect Database for La Banque Postale S.A.'s issue programme.
- Report by an independent third-party organisation of La Banque Postale SA's Declaration of Extra-Financial Performance.
- Limited review report regarding an intermediary situation established by La Banque Postale Asset Management
- Limited review of the SFCR reports of the Insurance division's entities
- Training on deferred taxes for LBP Assurance Santé
- Comfort letter regarding the updating of the Prospect Database for La Banque Postale Home Loan SFH's issue programme and comfort letter for an issue
- Review of the CSR data of La Banque Postale Home Loan SFH

3.9 ALTERNATIVE PERFORMANCE INDICATORS – ARTICLE 223-1 OF THE AMF GENERAL REGULATION

API	Definition/calculation method
NBI excluding the home savings effect	NBI restated for provisions or reversals of provisions for commitments related to home loan savings accounts and plans (PEL and CEL)
Operating expenses	Sum of general operating expenses, net depreciation and amortisation, and impairment of tangible and intangible fixed assets
Cost of risk (in basis points)	Average cost of commercial banking credit risk for the quarter divided by outstanding loans at the beginning of each quarter
Cost-income ratio	Operating expenses divided by NBI corrected for doubtful interest

MANAGEMENT RISK

LA BANQUE POSTALE GROUP

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4.1 SUMMARY OF RISKS

The objective of this chapter is to present the main risks to which La Banque Postale is exposed in the context of its business activities and to provide information on its risk management and capital. Its purpose is to meet:

- ▶ the reporting obligations of Regulation (EU) No. 575/2013 on prudential requirements for credit institutions and investment firms (CRR);
- ▶ EBA guidelines on disclosure requirements under Part Eight of the CRR (EBA/GL/2016/11) to improve and enhance the

comparability of credit institution disclosures under the third pillar of the Basel Committee agreement on market discipline;

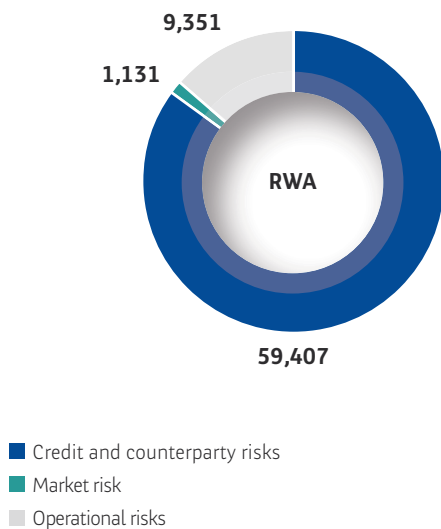
- ▶ Commission Delegated Regulation (EU) 2017/2295 of 4 September 2017 with regard to the disclosure of encumbered and unencumbered assets applicable since January 2018;
- ▶ Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms (CRD 4).

4.1.1 Key figures

4.1.1.1 Equity

Capital (€ million)	2018	2017
Common Equity Tier 1 (CET1)	8,155	8,522
Tier 1 (T1)	8,955	9,322
Total Capital	11,320	11,863
Risk-weighted assets (€ millions)	-	-
Total RWA	69,889	65,186
Solvency ratios (%)	-	-
CET1 ratio (%)	11.7%	13.1%
T1 ratio (%)	12.8%	14.3%
Total Capital ratio (%)	16.2%	18.2%
Additional buffers	-	-
Capital conservation buffer (%)	1.875%	1.250%
Countercyclical buffer (%)	0%	0%
Additional buffer	0.1875%	0.1250%
Leverage ratio	-	-
Exposure to the leverage ratio	263,001	205,766
Leverage ratio (%)	3.4%	4.5%
Liquidity ratio	-	-
Total HQLA	24,555	25,138
Total net outflows	16,902	15,967
LCR ratio (%)	145%	157%

4.1.1.2 Weighted assets by type of risk at 31 December 2018 (€ millions)



4.1.2 Principal structural risk factors

La Banque Postale is exposed to a range of external and internal risk factors as a result of its status as a credit institution and parent company of a Group operating in the banking, insurance and investment services sectors, its history, its growth strategy, changes in the macroeconomic environment in which it operates, of changes in legislation and regulations applicable to it as well as to the competitive environment.

4.1.2.1 External risk factors

Changes in the regulatory environment

Since 1 January 2018, the Group applies **IFRS 9** – financial instruments, introduced by Regulation EU No. 2016/2067 of November 2016. This standard changes the rules for the classification and impairment of financial instruments.

The finance law for 2018 put an **end to the “overcentralisation” of regulated savings centralised** at the savings fund of Caisse des dépôts et consignations. The implementing decree published in February 2018 provides for the return of funds to banks above the legal rate of centralisation according to the terms they choose (by tranches of 10 or 2 years). In April 2018, La Banque Postale received €2.7bn in deposits corresponding to the first of the 10 annual tranches.

The ECB published an addendum in March 2018 to its guide on **non-performing loans** applicable to exposures classified as non performing (i.e. in default at La Banque Postale) as from 1 April 2018. This introduces **minimum “regulatory” provisioning**, with a rate of provisioning that depends on the length of time the loan has been non performing and the existence or not of collateral and the comparison of this level with the level of accounting provisioning under IFRS 9. Provisioning below the regulatory level will entail deduction of the amount of the difference in common equity Tier 1 (CET1). In addition to these “pillar II” measures, the “pillar I” measures, stemming from the agreement of December 2018 of the European institutions on the draft European regulation, introduce a

prudential provisioning backstop for non-performing loans (NPLs). This text is set to come into force in April 2019 and will apply to exposures entering the balance sheet and off-balance sheet at that date. The principles are similar to those of the ECB. The draft SREP letter of December 2018 included the request for application of the rules of the addendum to the stock of non-performing exposures.

In July 2018, the **Court of Justice of the European Union annulled the decision of the ECB** on the treatment of savings centralised with the Caisse des dépôts et consignations (CDC). In the absence of a response from the ECB to its new request for authorisation of September 2018, the bank included its entire exposure with the CDC related to the centralisation in the calculation of its regulatory leverage ratio addressed to the supervisor⁽¹⁾.

Since 1 July, La Banque Postale, as a domestic systemic bank, applies the **decision** of the French financial stability board, the Haut Conseil de Stabilité Financière (HCSF), of May 2018 relative to the **large exposures of systemic banks**. It must not exceed 5% of its capital on the most leveraged large companies domiciled in France.

In July, the European Banking Authority (EBA) guidelines on **internal governance** entered into application.

The Benchmarks Regulation, applicable since 1 January 2018, requires the replacement of the current **benchmarks** from 1 January 2020. The ECB announced that its “Ester” index was chosen to replace Eonia. It nevertheless still needs to be operationally implemented. The Bank is participating in marketplace works with the ECB to implement the elements for the calculation of this index. This change requires the adaptation of La Banque Postale’s contracts.

In October 2018, the HCSF published its decision to apply a **contracyclical buffer of 0.25%** on exposures in France from 1 July 2019. This buffer must be made up of core equity (CET1). This application was confirmed by the decision published on 23 January 2019.

In December 2018, the Council of the European Union, in Ecofin format, gave its agreement in principle on the result of the

(1) The leverage ratio will become a regulatory minimum at 1 January 2021 with the application of CRR2

discussions between the presidency and the parliament on the **banking reform package**.

This consists of four directives and regulations (CRR2, CRD5, BRRD2, SRMR2), the objective of which is compliance of the prudential banking requirements with the prudential standards of the Basel Committee on Banking Supervision (BCBS) and Financial Stability Board (FSB) for the leverage ratio (of which exemption based on the nature of the exposures linked to centralised savings and no longer on approval), large exposures, the net stable funding ratio (NSFR) and the minimum total loss-absorbing capacity (TLAC). All of these measures will be applicable from 1 January 2021, except for the elements of the resolution applicable as of the entry into force of the texts.

A number of **other laws are under discussion** by the European institutions.

They are part of the European Commission's efforts to complete the implementation of the Banking Union and the Capital Markets Union and to reduce the banking sector risks that threaten financial stability:

- ▶ a directive on the European deposit guarantee scheme (the third pillar of the banking union);
- ▶ regulations expanding the powers of the European supervisory agencies and modifying their governance and financing methods;
- ▶ a directive creating a European NPL secondary market;
- ▶ a directive and regulation creating a European regulatory framework for investment firms;
- ▶ a directive and regulation creating a European regulatory framework for covered bonds;
- ▶ a regulation adapting and strengthening the clearing obligations (EMIR regulation), a regulation enhancing the supervisory powers of ESMA and a regulation implementing a recovery and restitution mechanism for clearing houses.

The European Commission submitted a legislative proposal for increased **AML/CFT powers for the European authorities**. The proposed transformation of the AML/CFT framework from a directive into a European regulation with uniform application is also being studied.

The risks linked to **outsourcing, IT systems and cybersecurity** are a focus for the Bank, due to the rapid change in these technologies, "digital" financial services offers, as well as the commitment of the regulators and supervisors to these issues. In March 2018 the European Banking Authority (EBA) published its recommendations on outsourcing to cloud service providers. They are applicable from 1 July 2018. The ECB has made this one of its supervisory priorities for 2019. The EBA guidelines on outsourcing arrangements will be applicable in September 2019. They introduce among other things the need for supervision of concentration.

In 2019, the Bank will continue to take part in the EBA's quantitative and qualitative **impact studies in preparation for the transposition into European law of the Basel IV agreements** of December 2017. The agreement introduces:

- ▶ new calculation methods for risk-weighted assets (RWA) for credit, counterparty and operational risks;

- ▶ an output floor for RWAs calculated using internal approaches;
- ▶ the minimum leverage ratio for credit institutions (3%) and an additional cushion for global systemically important banks (G-SIBs). These new standards should be transposed into European law to come into effect on 1 January 2022.

Change in the macroeconomic context

La Banque Postale is impacted by macro-economic and market conditions and could be affected by unfavourable developments in these areas as a result of adverse shocks.

2018 was marked in Europe by the resurgence of the political risk, and more generally worldwide by the trade war instigated by the US.

Political risk in Europe and tensions

The difficult negotiations between the UK government and the European Union over the March 2019 Brexit and the internal institutional debates in the UK over whether the deal should be approved in Parliament created a climate of uncertainty on markets and for economic actors. In the prospect of a no-deal Brexit, the European Commission has put in place, notably for financial services, transitional measures (recognition of equivalence for prudential regulation, the functioning of clearing houses, contract law for financial instruments financiers, etc.).

After an initial episode of tension on Italian sovereign as well as bank rates in May 2018 following the Italian elections, the conflict between the Italian government and the European Commission in November 2018 renewed fears of another crisis in the eurozone. The southern eurozone countries, of which Italy, have high public debt, and any political instability in these countries could rekindle investor fears and lead to the potential re-emergence of a debt crisis and pressure on interest rates. French banks are the foreign banks most exposed to the Italian economy.

Trade war and economic slowdown

The United States launched an international trade offensive in 2018 by reintroducing or threatening to impose trade tariffs on imports coming from its various trade partners in Europe, Asia and the Americas. These threats were combined with a context of economic slowdown for most countries, which is likely to accelerate in 2019 and 2020 according to the IMF.

Political and social crisis in France since November

In France, President Macron's stated intent to implement reforms, illustrated by the increase in the fuel tax, has led to vehement protests by the "yellow vests". The movement has impacted several business sectors and slowed the French economy. The Banque de France revised its growth forecasts for 2018 and 2019 downward as a result. It is expecting gross domestic product (GDP) growth of 1.5%, i.e. 0.1% less than its previous estimates. However, the forecasts do not include the measures announced by the French government.

After a year with a historically low cost of risk in 2018, the trend is unlikely to continue. The number of company defaults in France was up again in January 2019.

The central banks will keep interest rates very low over a long period of time.

Despite the announcement by the European Central Bank of a normalisation of its monetary policy, it is probable that, due to the level of sovereign debt and the economic context, benchmark interest rates will remain low for a long period of time, weighing on the interest income of La Banque Postale's activity.

4.1.2.2 Internal La Banque Postale risk factors

Risks relative to strategy and changes

La Banque Postale set itself the following commercial goals in its strategy :

- ▶ to strengthen its positioning with private customers, including high-wealth individuals, while continuing to fulfil its missions of accessibility and support for its most vulnerable customers;
- ▶ to become a bank for professionals, companies and institutional customers.

These goals require many changes which the Bank must manage to achieve its objectives. They include changes to its organisation responsibilities (making banking La Poste Network's priority) and by expanding its services offering and its customer base.

Risks relative to banking activities

La Banque Postale's structural risk factors are also related to its Retail Banking activity: liquidity risk and rate risk related to the

transformation of customer resources into long-term employment, credit risk and concentration risk on loans granted to customers and operational risk related to banking activities. La Banque Postale is also exposed to counterparty risk and replacement risk within the framework of market (derivatives) or securities transactions (lending/borrowing, repos/reverse repos, placements and investments). Market risk is also a structural risk factor which is closely monitored by La Banque Postale. Lastly, the Bank is exposed to risks related to its subsidiaries and its interests in insurance companies.

The IT risk is identified as a critical risk within La Banque Postale's risk mapping. The work carried out to quantify this risk led to the decision to add additional coverage dedicated to La Banque Postale and its subsidiaries.

In a context of a rise in electronic transactions, growing interconnection of systems and the appearance of new areas for attack, the risk of cybercrime has also been identified and is an important point of focus for the bank.

The Bank has created a map of all of the risks to which it could be exposed. The map is monitored on a regular basis to identify the risks that could have a significant negative effect on its business activities, its financial position or its results (or on its ability to meet its targets). It believes that there are no material risks other than those presented above.

The Bank ensures that it is compliant with regulatory solvency (taking into account the additional requirements related to buffers for systemic risk) and liquidity (LCR) limits at all times. It also tracks changes in its leverage and NSFR ratios.

4.2 CAPITAL MANAGEMENT AND CAPITAL ADEQUACY

4.2.1 Fields of application

Defined by CRR Regulation 575/2013, the field of application of the prudential scope pertaining to equity requirements is different from the field of application of the accounting consolidation scope whose composition is subject to the application of IFRS standards.

In accordance with regulations, the scope defined for the exercise of supervision on a consolidated basis of the capital ratios consists of consolidation using the equity method, within the prudential scope, of the insurance entities consolidated using the full-consolidation method within the accounting scope.

Asset disposal and risk transactions must be assessed in light of the type of resulting risk transfer. Therefore, securitisation vehicles are excluded from the prudential scope, in line with the regulations, to the extent that the securitisation transaction in question is deemed effective, *i.e.* it provided a significant transfer of risk. This situation does not impact La Banque Postale as it has never securitised its exposure as is meant in prudential regulations.

Description of the differences between the different scopes of consolidation (entity by entity)

Entity name	Accounting consolidation method	Regulatory consolidation method				Entity description
		Full consolidation	Proportional consolidation	Not consolidated or deducted	Deducted	
LBP SA	Fully consolidated	LA BANQUE POSTALE	-	-	-	Retail Banking
SCI CRSF DOM	Fully consolidated	SCI CRSF DOM	-	-	-	Retail Banking
SCI CRSF METROPOLE	Fully consolidated	SCI CRSF METROPOLE	-	-	-	Retail Banking
SCI TERTIAIRE SAINT ROMAIN	Fully consolidated	SCI TERTIAIRE SAINT ROMAIN	-	-	-	Retail Banking
SF2	Fully consolidated	SF 2	-	-	-	Retail Banking
LA BANQUE POSTALE FINANCEMENT	Fully consolidated	LA BANQUE POSTALE FINANCEMENT	-	-	-	Retail Banking
LA BANQUE POSTALE CRÉDIT ENTREPRISES	Fully consolidated		-	-	-	Retail Banking
EASYBOURSE	Fully consolidated	EASYBOURSE	-	-	-	Retail Banking
FCT ELISE 2012	Fully consolidated	FCT ELISE 2012	-	-	-	Retail Banking
BPE	Fully consolidated	BPE	-	-	-	Retail Banking
LA BANQUE POSTALE COLLECTIVITÉS LOCALES	Fully consolidated	LA BANQUE POSTALE COLLECTIVITÉS LOCALES	-	-	-	Retail Banking
LA BANQUE POSTALE HOME LOAN SFH	Fully consolidated	LA BANQUE POSTALE HOME LOAN SFH	-	-	-	Retail Banking
SOFIAP	Fully consolidated	SOFIAP	-	-	-	Retail Banking
LBP DUTCH MORTGAGE PORTFOLIO 1 B.V	Fully consolidated	LBP DUTCH MORTGAGE PORT. 1 B.V	-	-	-	Retail Banking
LBP DUTCH MORTGAGE PORTFOLIO 2 B.V	Fully consolidated	LBP DUTCH MORTGAGE PORT. 2 B.V	-	-	-	Retail Banking
MA FRENCH BANK	Fully consolidated	MA FRENCH BANK	-	-	-	Retail Banking
GROUPE CNP ASSURANCES	Equity method	-	-	GROUPE CNP ASSURANCES	-	Insurance
LA BANQUE POSTALE PRÉVOYANCE	Fully consolidated	-	-	LA BANQUE POSTALE PRÉVOYANCE	-	Insurance
LA BANQUE POSTALE CONSEIL EN ASSURANCES	Fully consolidated	LA BANQUE POSTALE CONSEIL EN ASSURANCES	-	-	-	Insurance
SOPASSURE	Proportional consolidation	-	Sopassure	-	-	Insurance
LA BANQUE POSTALE ASSURANCES IARD	Fully consolidated	-	-	LA BANQUE POSTALE ASSURANCES IARD	-	Insurance
LA BANQUE POSTALE ASSURANCE SANTE	Fully consolidated	-	-	LA BANQUE POSTALE ASSURANCE SANTÉ (FORMER EF PRI)	-	Insurance
AEW Europe	Equity method	-	-	AEW EUROPE	-	Asset management
LA BANQUE POSTALE ASSET MANAGEMENT	Fully consolidated	LA BANQUE POSTALE ASSET MANAGEMENT	-	-	-	Asset management
TOCQUEVILLE FINANCE HOLDING	Fully consolidated	TOCQUEVILLE FINANCE HOLDING	-	-	-	Asset management
TOCQUEVILLE FINANCE SA	Fully consolidated	TOCQUEVILLE FINANCE SA	-	-	-	Asset management

Differences between the accounting and regulatory scopes of consolidation and allocation of financial statement items to regulatory risk categories

(in € millions)	Book values as declared in the published financial statements	Book values within the scope of regulatory consolidation	Book value of the items				Not subject to capital requirements or subject to capital deductions
			Subject to credit risk	Subject to the RCC	Subject to securitisation	Subject to market risk	
ASSETS							
Cash and central banks	2,007	2,007	2,007	-	-	-	-
Financial assets fair value ththrough profit or loss	10,238	10,238	2,447	461	-	7,325	-
Hedging derivatives	1,159	1,159	0	1,156	-	-	-
Financial assets at fair value through OCI	13,864	13,864	13,865	-	0	-	-
Securities at amortised cost	23,582	23,582	23,573	-	11		
Loans and receivables due from credit institutions and similar at amortised cost	87,352	87,352	86,635	461	-	-	-
Loans and receivables due from customers at amortised cost	95,736	95,745	93,431	218	-	-	-
Revaluation differences on rate hedged portfolios	82	82	82	-	-	-	-
Investments of the insurance activity and reinsurers' share of technical provisions	2,810	-	-	-	-	-	-
Current tax assets	344	341	341	-	-	-	1
Deferred tax assets	235	235	230	-	-	-	-
Accruals and other assets	2,981	2,566	2,565	-	-	-	-
Non-current assets held for sale		-	-	-	-	-	-
Interests in equity-accounted companies	3,267	3,833	3,803	-	-	-	30
Tangible fixed assets	638	637	-	-	-	-	637
Intangible fixed assets	745	616	636	-	-	-	-
Goodwill	160	160	-	-	-	-	160
Total assets	245,201	242,415	229,615	2,297	11	7,325	828
LIABILITIES							
Central banks	-	-	-	-	-	-	-
Financial liabilities at fair value through profit or loss	809	809	-	-	-	-	-
Hedging derivatives	348	348	-	-	-	-	-
Debt securities	16,934	16,934	-	-	-	-	
Liabilities due to credit institutions and similar	18,877	18,877	-	-	-	-	-
Liabilities due to customers	185,811	185,830	-	-	-	-	-
Revaluation differences on rate hedged portfolios	743	743	-	-	-	-	-
Current tax liabilities	18	13	-	-	-	-	-
Deferred tax liabilities	106	46	-	-	-	-	-
Accruals and other liabilities	5,060	4,850	-	-	-	-	-
Non-current liabilities held for sale	-	-	-	-	-	-	-
Insurance company underwriting provisions and shadow accounting	2,480	-	-	-	-	-	-
Provisions	469	466	-	-	-	-	-
Subordinated debt	3,880	3,880	-	-	-	-	-
Non-controlling interests	119	82	-	-	-	-	-
Equity, Group share	9,549	9,542	-	-	-	-	-
Total liabilities	245,201	242,415	-	-	-	-	

Loans and receivables due from credit institutions include exposures with respect to the savings centralised with the Caisse des Dépôts et Consignations (CDC) for €69.5bn as well as the liquidity reserves held at the ECB (€15.5bn).

There are no major differences between the carrying values in the accounts and the regulatory exposures, and the following tables thus do not require publication:

- ▶ EU LI2: Main sources of differences between regulatory exposure amounts and carrying values in financial statements
- ▶ EU-LI3: Outlines of the differences in the scope of consolidation – entity by entity.

4.2.2 Composition of prudential equity capital

La Banque Postale's Common Equity Tier 1 (CET1) capital includes:

Group share book equity (capital, issue premiums, reserves and annual profits) less the proposed dividend (45% of Group share of net income) and regulatory adjustments that apply:

- ▶ deductions of goodwill and intangible assets (net of related tax liabilities);
- ▶ regulatory adjustments (fair value reserves related to gains or losses on cash flow hedges, Additional Valuation Adjustment, etc.).

La Banque Postale's Additional Tier 1 capital includes:

The €800 million perpetual security, convertible into Common Equity Tier 1 capital, issued in December 2013 and wholly subscribed by the single shareholder, La Poste.

Tier 2 capital includes:

Subordinated securities issued in November 2010, April 2014, November 2015, and in June and October 2016, less the share held by Group entities and holdings, and reintegrations related to gains on variable-income securities.

Reconciliation of accounting equity and regulatory capital

(in € thousands)	31.12.2018	31.12.2017
	Phased-in Basel III	Phased-in Basel III
Shareholders' equity and retained earnings, group share	9,548,746	9,984,488
Dividend plan	(326,528)	-343,769
Deduction of goodwill and other intangible fixed assets	(810,942)	-677,215
Transitory and other adjustments applicable to CET1 equity capital	(256,505)	-441,858
Common Equity Tier 1 (CET1)	8,154,771	8,521,647
Eligible AT1 capital instruments	800,000	800,000
Additional T1 equity	800,000	800,000
T1 equity	8,954,771	9,321,647
Capital instruments and subordinated loans	2,364,740	2,468,425
Other reintegrations	-	72,512
T2 equity	2,364,740	2,540,937
OVERALL EQUITY CAPITAL	11,319,511	11,862,584

The reduction in Common Equity Tier 1 (CET1) over 2018 is notably explained by the first-time application of IFRS 9, the drop in unrealised capital gains generated by the financial markets, the rise

in intangible fixed assets and payment commitments to the Single Resolution Fund (SRF) and the French deposit insurance fund, the Fonds de Garantie des Dépôts et de Résolution (FGDR).

Detailed analysis of the composition of regulatory capital

(in € thousands)	2018		2017	
	Phased-in	Temporary provisions	Phased-in	Temporary provisions
COMMON EQUITY TIER 1 (CET1): INSTRUMENTS AND RESERVES				
Capital instruments and related share premium accounts	4,063,127	-	4,063,127	-
- of which ordinary shares	4,063,127	-	4,063,127	-
Retained earnings	1,437,823	-	1,282,575	-
Accumulated other comprehensive income (and other reserves)	3,321,887	-	3,875,087	-
Funds for general banking risk	-	-	-	-
Amount of qualifying items referred to in Article 484 (3), and the related share premium accounts subject to phase out from CET1	-	-	-	-
Minority interests (amount allowed in consolidated CET1)	-	-	-	-
Independently reviewed interim profits net of any foreseeable change or dividend	399,381	-	419,930	-
COMMON EQUITY TIER 1 (CET1) CAPITAL BEFORE REGULATORY ADJUSTMENTS	9,222,218	-	9,640,719	-
TIER 1 CAPITAL (CET1): REGULATORY ADJUSTMENTS				
Additional Value adjustments	(165,390)	-	(88,974)	-
Intangible assets (net of related tax liability)	(806,050)	-	(667,082)	-
Empty set in the EU	-	-	-	-
Deferred tax assets that rely on future profitability excluding those arising from temporary differences	(4,892)	-	(10,133)	2,533
Fair value reserves related to gains or losses on cash flow hedges	(36,015)	-	(127,649)	-
Negative amounts resulting from the calculation of expected loss amounts	-	-	-	-
Any increase in equity that results from securitised assets	-	-	-	-
Gains or losses on liabilities valued at fair value resulting from changes in own credit standing	-	-	-	-
Defined benefit pension fund assets	-	-	-	-
Direct and indirect holdings by an institution of own CET1 instruments	-	-	-	-
Direct, indirect and synthetic holdings of the CET1 instruments of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution	-	-	-	-
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions)	-	-	-	-
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions)	-	-	-	-
Empty set in the EU	-	-	-	-
Exposure amount of the following items which qualify for a RW of 1250%, where the institution opts for the deduction alternative	-	-	-	-
of which qualifying holdings outside the financial sector	-	-	-	-
of which securitisation positions	-	-	-	-
of which free deliveries	-	-	-	-
Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	-	-	-	-
Amount exceeding the 15% threshold	-	-	-	-
of which direct and indirect holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities	-	-	-	-
of which deferred tax assets arising from temporary differences	-	-	-	-
Losses for the current financial year	-	-	-	-
Foreseeable tax charges relating to CET1 items	-	-	-	-
Regulatory adjustments applied to Common Equity Tier 1 capital with regard to amounts subject to a pre-CCR treatment	-	-	-	-
Regulatory adjustments related to unrealised gains and losses pursuant to Articles 467 and 468	(55,100)	-	(225,235)	(225,235)
Total regulatory adjustments to Common Equity Tier 1 (CET1)	(1,067,447)	-	(1,119,073)	(222,702)
Common Equity Tier 1 (CET1)	8,154,771	-	8,521,646	(222,702)

(in € thousands)	2018		2017	
	Phased-in	Temporary provisions	Phased-in	Temporary provisions
ADDITIONAL TIER 1 (AT1) CAPITAL	-	-	-	-
Capital instruments and related share premium accounts	800,000	-	800,000	-
of which classified as equity under applicable accounting standards	-	-	-	-
of which classified as liability under applicable accounting standards	800,000	-	800,000	-
Amount of qualifying items referred to in Article 484 (3), and the related share premium accounts subject to phase out from AT1	-	-	-	-
Qualifying Tier 1 capital included in consolidated AT1 capital (including minority interest not included in row 5)	-	-	-	-
issued by subsidiaries and held by third parties	-	-	-	-
- of which instruments issued by subsidiaries subject to phase out	-	-	-	-
Additional Tier 1 (AT1) capital before regulatory adjustments	800,000	-	800,000	-
ADDITIONAL TIER 1 (AT1) CAPITAL: REGULATORY ADJUSTMENTS	-	-	-	-
Direct and indirect holdings by an institution of own AT1 instruments	-	-	-	-
Holdings of the AT1 instruments of financial sector entities where those entities have cross holdings with the institution designed to inflate artificially the own funds of the institution	-	-	-	-
Direct and indirect holdings of AT1 financial industry sector entities in which the institution does not have a significant investment (amount exceeding the 10% threshold, net of eligible short positions)	-	-	-	-
Direct and indirect holdings of AT1 financial industry sector entities in which the institution does not have a significant investment (amount exceeding the 10% threshold, net of eligible short positions)	-	-	-	-
Residual amounts deducted from Additional Tier 1 Capital with regards to the deduction of Tier 2 capital during the transition period in accordance with Article 475 of EU Regulation N° 575/2013	-	-	-	-
Qualifying T2 deductions that exceed the T2 capital of the institution	-	-	-	-
Total regulatory adjustments to Additional Tier 1 (AT1) capital	-	-	-	-
Additional Tier 1 (AT1) capital	800,000	-	800,000	-
Tier 1 capital (CET1 + AT1)	8,954,771	-	9,321,646	(222,702)
TIER 2 CAPITAL (T2): INSTRUMENTS AND RESERVES	-	-	-	-
Capital instruments and related share premium accounts	2,364,740	114,740	2,468,425	218,425
Amount of qualifying items referred to in Article 484 (5), and the related share premium accounts subject to phase out from T2	-	-	-	-
Qualifying own funds instruments included in consolidated T2 capital (including minority interests and AT1 instruments not included in rows 5 or 34) issued by subsidiaries or held by third parties	-	-	-	-
of which instruments issued by subsidiaries subject to phase out	-	-	-	-
Credit risk adjustments	-	-	-	-
Tier 2 (T2) capital before regulatory adjustments	2,364,740	114,740	2,468,425	218,425
TIER 2 (T2) CAPITAL REGULATORY ADJUSTMENTS	-	-	-	-
Direct and indirect holdings by an institution of own T2 instruments and subordinated loans	-	-	-	-
Holdings of the T2 instruments and subordinated loans of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution	-	-	-	-
Direct, indirect and synthetic holdings by the institution of T2 instruments and subordinate loans of financial sector entities where the institution does not have a significant investment (amount exceeding the 10% threshold, net of eligible short positions)	-	-	-	-
Direct, indirect and synthetic holdings by the institution of T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions)	-	-	-	-
Amounts to deduct or add to Tier 2 capital regarding the additional filters and deductions provided by pre-CCR provisions	-	-	72,512	72,512
Total regulatory adjustments to Tier 2 (T2) capital	-	-	72,512	72,512
Tier 2 (T2) capital	2,364,740	114,740	2,540,937	290,936
Total capital (T1 + T2)	11,319,511	114,740	11,862,583	68,235
Total risk-weighted assets	69,889,450	-	65,185,993	-

(in € thousands)

	2018		2017	
	Phased-in	Temporary provisions	Phased-in	Temporary provisions
Capital ratios and buffers				
Common Equity Tier 1 (as a percentage of total risk exposure amount)	11.7%		13.1%	
Tier 1 capital (as a percentage of total risk exposure amount)	12.8%		14.3%	
Total capital (as a percentage of total risk exposure amount)	16.2%		18.2%	
Institution-specific buffer requirement (CET1 requirement in accordance with Article 92 (1) point a, plus capital conservation and countercyclical buffer requirements, plus systemic risk buffer, plus systemically important institution buffer, expressed as a percentage of the amount of risk exposure)	6.563%		5.8750%	
of which capital conservation buffer requirement	1.88%		1.250%	
of which countercyclical buffer requirement				
of which systemic risk buffer requirement				
of which Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer	0.188%		0.1250%	
Common Equity Tier 1 available to meet buffers (as a percentage of risk exposure amount)	8.5%		8.5%	
Non relevant in EU regulation	0		0	
Non relevant in EU regulation	0		-	
Non relevant in EU regulation	-		-	
Amounts below the thresholds for deduction (before risk weighting)	-	-	-	-
Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	424,705	-	492,244	-
Direct and indirect holdings by the institution of the CET1 of financial sector entities where the institution does not have a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	116,925	-	110,959	-
Empty set in the EU	-	-	-	-
Deferred tax assets arising from temporary differences (amount below 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	229,688	-	99,747	-
Applicable caps on the inclusion of provisions in Tier 2		-		-
Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to application of the cap)	-	-	-	-
Cap on inclusion of credit risk adjustments in T2 under standardised approach	740,219	-	669,304	-
Credit risk adjustments included in T2 in respect of exposures subject to the internal ratings-based approach (prior to application of the cap)		-		-
Cap for inclusion of credit risk adjustments in T2 under the internal-ratings based approach	-	-	-	-
Capital instruments subject to phase-out arrangements (only applicable between 1 January 2013 and 1 January 2022)	-	-	-	-
Current cap on CET1 instruments subject to phase-out arrangements	-	-	-	-
Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)	-	-	-	-
Current cap on AT1 instruments subject to phase-out arrangements	-	-	-	-
Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)	-	-	-	-
Current cap on T2 instruments subject to phase-out arrangements	-	-	-	-
Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)	-	-	-	-

Super subordinated securities

Issuer	La Banque Postale		
ISIN	FR0011659184	FR0010969410	FR0011855865
Law governing the instrument	French law	French law	French law
REGULATORY TREATMENT			
Transitory CRR regulations	Additional T1 equity	T2 equity <i>with grandfathering</i>	T2 equity
CRR rules after transition	Additional T1 equity	Not eligible	T2 equity
Level	Consolidated	Consolidated	Consolidated
Type of instruments	Additional CET1 (Art. 51/52 of the CRR)	Tier 2 subordinated securities (Art. 484)	Tier 2 subordinated securities (Art. 63)
Amount recognised in regulatory equity (in € thousands)	800,000	750,000	750,000
Nominal instrument value (in € thousands)	100	100	100
Issue price (in € thousands)*	100	99.310	99.705
Buyback price	-	100	100
Accounting category	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost
Date of initial issue	13.12.2013	30.11.2010	23.04.2014
Term	Perpetual	fixed-term	fixed-term
Initial maturity	No maturity date	30.11.2020	23.04.2026
Buyback option subject to the prior approval of the supervisory authority	Yes	Yes	Yes
Optional date for exercising the option	13.12.2019 Option in the case of regulatory, fiscal, accounting event or methods for calculating the solvency ratio	Option in the case of fiscal event	23.04.2021 Option in the case of regulatory or fiscal events
Subsequent dates	Every 5 years from 13.12.2019	-	-
COUPONS/DIVIDENDS			
Dividend/coupon	Fixed	Fixed	Fixed
Coupon rate	8.00%	4.375%	2.75%
Existence of a mechanism to suspend dividend/coupon payments	yes	no	no
Full discretion, partial discretion or mandatory (in terms of schedule)	Full discretion	Mandatory	Mandatory
Full discretion, partial discretion or mandatory (in terms of amount)	Full discretion	Mandatory	Mandatory
Existence of a step-up mechanism or another buyback incentive	no	no	no
Cumulative or non cumulative	no	no	no
Convertible or non-convertible	yes	yes	no
If convertible, conversion trigger	decided by the holder or falling 7% under the solvency ratio specified for CET1	Maturity or regulatory disqualification	-
If fully or partially convertible	Always fully converted	Always fully converted	-
If convertible, conversion rate	Based on the issuer's equity at the time of conversion	At par	-
If convertible, conversion mandatory or optional	Mandatory based on trigger criterion and the choice of the holder	Optional at the choice of the issuer	-
If convertible, type of instrument converted to	T1 equity	Other	-
If convertible, issuer of the instrument converted to	Holder	Holder	-
Characteristics in terms of capital reduction	No	No	-
Existence of non-compliant characteristics	no	no	no

Issuer	La Banque Postale			
ISIN	FR0013054913	FR0013181898	FR0013207354	FR0013181898
Law governing the instrument	French law	French law	French law	French law
REGULATORY TREATMENT				
Transitory CRR regulations	T2 equity	T2 equity	T2 equity	T2 equity
CRR rules after transition	T2 equity	T2 equity	T2 equity	T2 equity
Level	Consolidated	Consolidated	Consolidated	Consolidated
Type of instruments	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)
Amount recognised in regulatory equity (in € thousands)	750,000	500,000	100,000	150,000
Nominal instrument value (in € thousands)	100	100	100	100
Issue price (in € thousands)*	99.623	99.97	99.593	101.510
Buyback price	100	100	100	100
Accounting category	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost
Date of initial issue	19.11.2015	09.06.2016	05.10.2016	16.01.2017
Term	fixed-term	fixed-term	fixed-term	fixed-term
Initial maturity	19.11.2027	09.06.2028	05.10.2028	09.06.2028
Buyback option subject to the prior approval of the supervisory authority	Yes	No	No	No
	19.11.2022			
Optional date for exercising the option	Option in the case of regulatory or fiscal events			
Subsequent dates				
COUPONS/DIVIDENDS				
Dividend/coupon	Fixed	Fixed	Fixed	Fixed
Coupon rate	2.75%	3.00%	2.25%	3.00%
Existence of a mechanism to suspend dividend/coupon payments	no	no	no	no
Full discretion, partial discretion or mandatory (in terms of schedule)	Mandatory	Mandatory	Mandatory	Mandatory
Full discretion, partial discretion or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
Existence of a step-up mechanism or another buyback incentive	no	no	no	no
Cumulative or non cumulative	no	no	no	no
Convertible or non-convertible	no	no	no	no
If convertible, conversion trigger				
If convertible, fully or partially convertible				
If convertible, conversion rate				
If convertible, conversion mandatory or optional				
If convertible, type of instrument converted to				
If convertible, issuer of the instrument converted to				
Characteristics in terms of capital reduction				
Existence of non-compliant characteristics	no			no

4.2.3 Summary of risk-weighted assets

Current methodology used to calculate capital requirements

The standardised approach is used to quantify the capital requirements under Pillar I for:

- ▶ credit risk;
- ▶ market risk;
- ▶ operational risks.

The general approach is employed, with use of the regulatory settings to apply risk reduction techniques.

RWA increased by 7.2% over 2018, or €4.7 billion for a growth of exposure of €15.6 billion (+6.8%). This significant increase in RWA can be explained by the rise in credit RWA linked to la Banque Postale's development on the Corporate segment.

- ▶ Credit risk-weighted assets (including exposures in respect of counterparty risk) increased by €5.6 billion.
- ▶ Market risk-weighted assets were down (-€0.9 billion).
- ▶ Operational risk-weighted assets were stable (+€33 million).

Overview of risk-weighted assets (RWA)

(in € millions)	RWA		Minimum capital requirements
	T	T-1	T
Credit risk (excluding counterparty risk)	57,555	51,996	4,604
of which the standardised approach	57,555	51,996	4,604
of which internal ratings-based approach (RBA)	-	-	-
of which advanced internal ratings-based approach (AIRB)	-	-	-
of which equities using the NI approach as part of the simple weighting method or the internal models approach (IMA)	-	-	-
Counterparty risk	1,849	1,864	148
of which using the market price method	1,662	1,549	133
of which the initial exposure method	-	-	-
of which the standardised approach	-	-	-
of which the internal models method (IMM)	-	-	-
of which amount of exposure to the risk for contributions to the default fund of a central counterparty	3	4	0
of which CVA (credit valuation adjustment)	185	311	15
Settlement risk	-	-	-
Bank portfolio securitisation exposures (after cap)	2	3	0
of which the NI approach	-	-	-
of which the NI Supervisory Formula Method (SFM)	-	-	-
of which the internal ratings-based approach (IRB)	-	-	-
of which the standardised approach	2	3	0
Market risk	1,131	2,005	90
of which the standardised approach	1,131	2,005	90
of which IMA	-	-	-
Large exposures	-	-	-
Operational risk	9,351	9,318	748
of which the basic indicator approach	-	-	-
of which the standardised approach	9,351	9,318	748
Of which the advanced measurement approach	-	-	-
Amounts below the deduction thresholds (subject to a risk weighting of 250%)	522	221	42
Floor adjustment	-	-	-
TOTAL	69,889	65,186	5,591

Overview of risk-weighted assets by asset class

(in € millions)	2018		2017
	Risk-weighted assets	Capital requirements	Risk-weighted assets
Credit risk (excluding counterparty risk)	57,558	4,605	51,999
<i>of which the standardised approach</i>	57,558	4,605	51,999
▶ Central governments and central banks	2	0	65
▶ Regional governments and local authorities	1,617	129	1,282
▶ Public sector entities	150	12	117
▶ Multilateral development banks	-	-	-
▶ International organisations	-	-	-
▶ Institutions	10,514	841	9,038
▶ Corporate	16,162	1,293	11,797
▶ Retail	10,157	813	11,180
▶ Secured by mortgages on immovable property	8,738	699	7,306
▶ Exposures in default	637	51	754
▶ Items associated with particularly high risk	1,280	102	1,207
▶ Covered bonds	320	26	342
▶ Receivables with institutions and corporates with a short-term credit assessment	-	-	-
▶ Undertakings for collective investment	438	35	340
▶ Equities	4,990	399	5,581
▶ Other items	2,550	204	2,986
▶ Securitisations	2	0	3
Of which the internal model-based approach	-	-	-
Counterparty risk	1,849	148	1,864
<i>of which the standardised approach</i>	1,662	133	1,549
<i>of which at market price</i>	-	-	-
<i>of which initial risk</i>	-	-	-
<i>of which internal models approach</i>	-	-	-
<i>of which amount for contribution to the failure of a central counterparty</i>	3	0	4
Including CVA	185	15	311
Market risk	1,131	90	2,005
Operational risk	9,351	748	9,318
TOTAL	69,889	5,591	65,186

The data presented in the table above include the effects of Basel substitution in the classification of exposure: therefore, the outstandings guaranteed by banking or company sector bodies are included in the latter categories.

Non-deducted investments in insurance companies

(in € millions)	Value
Holdings of equity instruments of a financial sector entity in which the institution holds a significant investment not deducted from capital (prior to risk weighting)	117
TOTAL WEIGHTED ASSETS	3,803

La Banque Postale weights its insurance exposures in accordance with Article 49 of EU Regulation No. 575/2013.

4.2.4 Regulatory framework for capital requirements

The regulatory framework defining prudential requirements for banks has been developed and strengthened since the last financial crisis in 2008, by gradually introducing new solvency, leverage and liquidity constraints, and by defining a European framework for managing bank crises including a plan for the recovery and restitution of banking establishments.

As a result, from 1 January 2014, La Banque Postale is subject to the prudential regulations defined by the Basel III agreements: directive 2013/36/EU and regulation (EU) No. 575/2013 of the European Parliament and of the Council. The legislation provided for a phased-in introduction in order to allow institutions to manage transition in a gradual way.

In terms of solvency, three levels of equity are defined:

- ▶ Common Equity Tier 1 capital (CET1);
- ▶ Tier 1 capital comprising Common Equity Tier 1 capital and Additional Tier 1 capital (AT1);
- ▶ total capital comprising Tier 1 capital and Tier 2 capital.

In total, three levels of solvency ratio are calculated:

- ▶ common Tier 1 capital ratio or CET1 ratio;
- ▶ the Tier 1 equity ratio or T1 ratio;
- ▶ the overall solvency ratio.

These ratios are calculated by comparing each category of Group capital to the total assets weighted by Group risks. They are subject to a "phased" evaluation, that is to say, they incorporate the

transition measures provided by the legal texts in terms of applying the prudential filters and deductions.

4.2.4.1 Prudential equity capital

Following the Supervisory Review and Evaluation Process (SREP) carried out by the ECB, the latter notified La Banque Postale of its consolidated CET1 own funds requirement applicable as of 1 March 2019. The requirement for own funds is 9%, of which:

- ▶ 4.5% of CET1;
- ▶ 1.75% requirement in additional own funds for Pillar 2 (Pillar 2 Requirements);
- ▶ 2.5% for a capital conservation buffer (CCB);
- ▶ and 0.25% for a buffer for Other Systemically Important Institutions (O-SIIs).

Based on this notification, the overall capital requirement (OCR) is 12.5% (which can consist of all types of capital: CET1, AT1 and Tier 2, with a minimum 10.5% of Tier 1, and minimum 9% CET1).

A countercyclical buffer can also be added. This is determined on a country basis and aims to combat excessive credit growth. It applies to all institutions with exposures that originated in these countries. In France, the HCSF (High Council for Financial Stability) is responsible for setting it each year. On 29 June 2018, the HCSF set this level at 0.25%, with banks having up to 1 July 2019 to comply.

Composition of CET1 capital requirements for Pillar II at 1 March 2019

	2018	2019 vision with "fully loaded" buffers
CET1	4.5%	4.5%
Pillar II "requirement"	1.75%	1.75%
Total CET1 (including P2R-2017 SREP)	6.25%	6.25%
Capital conservation buffer	1.875%	2.5%
O-SIB buffer	0.1875%	0.25%
TOTAL CET1 (INCLUDING 2017 SREP AND BUFFERS)	8.3125%	9%

The total capital requirement amounts to 12.5%, including 1.5% in respect of AT1 and 2% in respect of T2.

4.2.4.2 Solvency ratios

- The Common Equity Tier One (CET1) solvency ratio for 2018 was down 140 basis points, primarily as a result of a decrease in own funds (-€367 million) and a sustained increase in RWA of 7.2%:

- The change in own funds in 2018 is presented in section “4.2.2 Composition of prudential equity capital”;
- The change in RWA in 2018 is presented in the section “4.2.3 Summary of risk-weighted assets”.

(in € millions)	2018	2017
Common Equity Tier 1 capital ratio	11.7%	13.1%
Tier 1 capital ratio	12.8%	14.3%
Solvency ratio	16.2%	18.2%

4.2.4.3 Leverage ratio

The leverage ratio compares Tier 1 capital (the numerator) to an exposure (the denominator) composed of balance sheet items and off-balance sheet items without a risk approach.

This ratio is currently calculated for information purposes and will become a regulatory limit with the entry into force of the “CCR2” text currently under discussion by the European institutions and will be applicable from 1 January 2021 (for this requirement).

The European Central Bank did not grant La Banque Postale’s request to be able to apply the provisions of the regulation excluding the savings deposits centralised at the Caisse des dépôts et consignation from the exposure in the leverage. The decision of the European Central Bank of 24 August 2016 authorises La Banque Postale to gradually and linearly reduce its CDC exposure on the 10% surplus of the base through the end of 2022.

In January 2018, the bank introduced two indicators for the leverage ratio in its risk appetite. One, with a limit (3.5%) is calculated by applying the ECB’s decision, and the other, not subject to a limit, according to the rules applicable at end 2022 providing the “target” level of regulatory leverage.

At the beginning of July 2018, the European Court of Justice annulled the ECB’s decision on the grounds of error of law and manifest error of assessment.

In September 2018, La Banque Postale sent a request to the ECB for authorisation to exclude the centralised savings deposits from the calculation of the exposure in the leverage as provided for by Regulation (EU) No. 575/2013, the “CRR”.

After consultation and approval by the Supervisory Board’s Risk Committee in October 2018, the bank modified its indicator subject to a limit to replace it by a leverage ratio calculated with full exclusion of the exposure to the savings Fund and subject to a limit of 3.5%. The choice of this indicator is based on the current discussions between the Council and the Parliament over the project to modify the CRR, which confirms the withdrawal of the supervisor’s former authorisation to apply this exclusion.

The Bank continues to calculate, monitor and send to the supervisor the ratio with the total amount of the CDC exposure in the measure of its exposure to leverage.

Throughout the year the bank remained within its limit and above the future regulatory level of 3% even with the inclusion of the entire amount of the centralised savings in the calculation of the exposure to leverage.

At 31 December 2018:

- Leverage ratio without centralised savings: **4.6%**
- Leverage ratio with centralised savings 3.4%

Summary comparison of accounting assets and the measurement of exposure for leverage ratio purposes

(in € millions)	31.12.2018	31.12.2017 (with delegated act and application of temporary provisions)
TOTAL OF THE IFRS BALANCE SHEET ACCORDING TO PUBLISHED FINANCIAL STATEMENTS	237,188	231,477
<i>Adjustments for investments in banks, insurance companies or financial and commercial entities which are consolidated for accounting purposes but which are outside the regulatory consolidation scope</i>	(2,786)	(2,643)
<i>Adjustments for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the leverage ratio exposure measurement</i>	-	-
<i>Adjustments for financial derivatives</i>	911	695
<i>Adjustments for temporary sales of shares (repurchase transactions and other types of guaranteed loans)</i>	3,156	2,882
<i>Adjustments for off-balance sheet items</i>	12,658	10,336
Other adjustments	11,873	(36,980)
EXPOSURE TO THE LEVERAGE RATIO	263,001	205,766

Breakdown of exposures

(in € millions)	31.12.2018	31.12.2017 (with delegated act and application of temporary provisions)
Balance sheet item exposure	-	-
► Balance sheet items (excluding derivatives and temporary disposals of securities)	240,631	187,551
► Assets deducted for the purposes of calculating Tier 1 capital	(1,012)	(1,119)
TOTAL BALANCE SHEET EXPOSURES	239,619	186,432
Derivative exposures	-	-
► Replacement cost associated with all derivatives transactions (net of the eligible cash variation margin)	1,851	1,738
► Add-on amounts for PFE (Potential Future Exposure) associated with all derivatives transactions	911	695
► Gross amount including collateral provided on derivatives where deducted from the balance sheet assets pursuant to the applicable accounting basis	(930)	(1,195)
► Deductions of receivable assets for the cash variation margin provided in derivatives transactions	(385)	(444)
► Adjusted effective notional amount of credit derivatives sold	-	-
► Offsetting of adjusted effective notionals and add-on deductions for credit derivatives sold	-	-
TOTAL DERIVATIVES EXPOSURES	1,447	794
Exposure to securities financing transactions (SFT)	-	-
► Gross SFT assets (without offsetting), after adjusting for transactions recognised as sales	6,121	5,246
► Offset amounts of cash payables and cash receivables of gross SFT assets	-	-
► Counterparty credit risk for SFT assets	3,156	2,882
► Exposure to transactions where the bank operates as an agent	-	-
TOTAL SFT EXPOSURES	9,278	8,127
Other off-balance sheet exposures	-	-
► Off-balance sheet exposures at gross notional amount	27,240	23,150
► Adjustments for conversion to credit equivalent amounts	(14,582)	(12,815)
OFF-BALANCE SHEET ITEMS	12,658	10,336
Capital and total exposure	-	-
► Tier 1 capital	8,955	9,322
► Total exposure	263,001	205,766
Leverage ratio	-	-
► Basel III leverage ratio	3.4%	4.5%

Breakdown of balance sheet exposures

(in € millions)	31.12.2018 (with delegated act and application of temporary provisions)	31.12.2017 (with delegated act and application of temporary provisions)
Total balance sheet exposures (except for derivatives, SFT and exempted exposures), including:	240,631	187,551
▶ Trading book exposures	7,320	7,001
Banking book exposures, including:	233,311	180,550
▶ Covered bonds	3,196	3,420
▶ Exposures treated as sovereign	116,053	73,779
▶ Exposure to regional governments, multilateral development banks, international organisations and public sector entities <u>not</u> treated as sovereign borrowers	5,097	4,036
▶ Institutions	8,587	7,839
▶ Exposures secured by mortgages on real estate	20,738	17,879
▶ Retail exposures	51,331	49,552
▶ Corporate	16,827	13,016
▶ Exposures in default	913	874
▶ Other exposures (particularly shares, securitisations and other non-credit obligation assets)	10,190	10,253

4.2.5 Capital steering and internal capital adequacy

Objectives

La Banque Postale has implemented a planning system for its capital at the level of the Group, in order to ensure that the following objectives are met:

- ▶ assess the Group's current solvency position with regard to its risk profile and risk appetite;
- ▶ anticipate future needs through medium-term forecasts incorporating internal and external constraints, investment opportunities and any regulatory changes that may impact the Bank's capital structure;
- ▶ assess capital adequacy and ensure adequate equity allocation between business lines and subsidiaries as regards risk/return management;
- ▶ define the measures required in order to attain the capital objectives set by management in connection with major shareholders.

With regards to Pillar II, La Banque Postale also has a process to assess the adequacy of its internal capital (Internal Capital Adequacy Assessment Process (ICAAP)), which is built upon the following elements:

- ▶ medium-term planning of regulatory capital requirements, with a focus on the Group's growth objective and future regulatory changes. This planning exercise performed once a year tends to evaluate the Group's financial strength in both a central economic (capital planning) and stressed scenario (annual financial strength stress test);
- ▶ assessing capital requirements induced by the principal risks of the Group based on the Bank's internal methods.

The Financial Department is in charge of the ICAAP process, but it is also a cross-process between the Risks and Financial functions. It is updated half-yearly and reported to the Capital Management Committee, then to the Audit and Risk Committees and to the Supervisory Board.

La Banque Postale responded with an action plan to the criticisms made by the ECB in the SREP letter of December 2017 on this process, notably with respect to taking into account the quantitative elements and insertion at the operational level in the Bank's management. A project was launched in January 2019.

Governance

This planning process is implemented by the Financial Department with the support of the **Capital Management Committee** (CCM) created in 2014, which meets 3 to 4 times per year, chaired by the Chairman of the Executive Board. The committee is responsible for:

- ▶ defining capital management objectives (target ratios, etc.);
- ▶ examining the trajectory of equity and defining the measures required to achieve the capital objectives set by management (security issuance, capital increase requests, arbitrages/business line orientation, etc.);
- ▶ validating the preventive actions linked to the Bank's financial strength suggested by the Stress Test Operational Committee, based on the results of internal stress tests and those carried out at the request of regulators;
- ▶ examining the recommendations of regulatory and supervisory authorities and their impact on La Banque Postale's capital position and the methods used.

Description of the processus used to manage the risk of excessive leverage

The risk of excessive leverage may lead to corrective measures being taken that were not planned in the financial and capital business plan, in particular the sale of assets.

The leverage ratio forms part of the risk management system with the introduction of an internal threshold in the Risk Management Policy (PMR). It is monitored by the Group Risk Management Committee and the Capital Management Committee.

With regards to the credit business activity financed by its retail customer resources, the risk of excessive leverage is controlled and monitored as part of the ICAAP (Internal Capital Adequacy Assessment Process) in accordance with the objectives and

governance described above which includes projections for the leverage ratio as part of La Banque Postale's strategic planning for its activities and balance sheet.

4.2.6 Indicators of global systemic importance

In accordance with the recommendations of the national supervisor, La Banque Postale sets out below its ten indicators relating to financial institutions of systemic importance to the global economy.

These data were established according to the Basel Committee's specific instructions on banking control and cannot be directly compared to other information published by La Banque Postale.

(in € millions)		31.12.2018
Size	Total assets	242,415
	Value of domestic payment transactions	4,769,281
	Private sector deposits from depositors in the EU	167,103
Importance (including substitutability/financial system infrastructure)	Private sector loans to recipients in the EU	87,172
	Value of OTC derivatives (notional)	87,035
	Cross-jurisdictional liabilities	7,035
Complexity/cross-border activity	Cross-jurisdictional claims	22,344
	Intra financial system liabilities	36,259
	Intra financial system assets	21,297
Interconnectedness	Debt securities outstanding	21,092

4.3 GOVERNANCE AND RISK MANAGEMENT SYSTEM

The Bank's governance enables it to ensure compliance with its external obligations and its internal framework.

The Executive Board sets the fundamental principles (strategic guidelines, values, appetite for risk, governance), which are approved by the Supervisory Board, and on the basis of which each business line sets its priorities and the associated risk management system under the supervision of the Group Risk Department and Compliance Department.

The **risk management system** has three lines of defence that constitute the general internal control framework:

- ▶ a first line within the operational business lines responsible for applying the risk management procedures which they will have defined in advance in concert with the Group Risk Department and Compliance Department;
- ▶ a second line consisting of the Group Risk Department and Compliance Department, which ensure the existence of an appropriate, uniform framework to define and improve the risk management procedures;
- ▶ a third line via the Internal Audit Department in charge of giving an independent idea of the effectiveness of the risk management system in place.

The Governance documents

The **Risk Division Charter** was presented by the Supervisory Board's Risk Committee in January 2018. It defines the responsibilities, tasks, powers, duties and principles of the hierarchical structure of the Risk Division.

In December 2018, the Executive Board's decisions for reinforcing the Risk Division with reporting line rules for the teams in charge of risk management and control throughout the Bank were presented to the employee representatives.

The Bank's risk appetite

In the last quarter of 2017, the Bank drew up an initial Risk Appetite Statement for the 2018 financial year applicable at the Group consolidated level. In January 2018 after validation by the Executive Board, the Risk Committee of the Supervisory Board approved this initial Risk Appetite Statement (RAS) and the table of associated limits (the Risk Appetite Dashboard – RAD).

The goal of this Risk Appetite Statement is to formalise at the Group level its appetite for the risks it is, and may be, confronted with in its

daily activities over the coming year. It also expresses the Group's risk tolerance, i.e., the maximum risk level it is willing to take on.

The RAF (Risk Appetite Framework) is drawn up by the Group Risk Department. It is shared by the business lines in charge of development, the Financial Department (balance sheet management, management control) and the Compliance Department. This proposal is submitted to the Executive Board and the Supervisory Board in charge of defining the Group's risk appetite and associated limits. This framework and rules of operation, the indicators and associated limits are reviewed and validated at least once a year. In the event of significant changes, such as acquisitions or the launch of new activities, the risk appetite may be revised to take into account changes arising outside the annual review cycle.

The risk appetite framework consists of all policies, standards, methodologies, procedures, controls and systems that enable the risk appetite to be defined, communicated and monitored:

- ▶ the definition and implementation of a system of limits monitored by the Group Risk Department, which reports monthly to the Executive Board in a Group Risk Management Committee and quarterly to the Risk Committee of the Supervisory Board;
- ▶ the implementation of an alert process for exceeded thresholds and limits;
- ▶ the organisation of risk management roles and responsibilities (the three lines of defence);
- ▶ consistent documentation and processes to ensure the operational implementation of risk appetite and the associated organisational principles.

The Bank's intended risk profile is defined by a system of limits (qualitative and quantitative), organised in three levels of setting and monitoring. The overall limits expressed by the RAS and the RAD make up the first level of limits for the group. These limits are broken down and rounded out at the operational level by limits set and monitored by the Executive Board and described in the Risk Control Policy (second level) and the Risk Management Rules (third level) under the responsibility of the Group Risk Department.

The Risk Committee of the Supervisory Board must be informed of the first and second level limits and their monitoring.

No exemption to the Risk Control Policy is possible except in the case of prior validation by the Group Risk Management Committee.

4.3.1 Regulatory framework

La Banque Postale is subject to European and French “prudential” regulations applicable to credit institutions and financial conglomerates. The Bank is supervised directly by the ECB as a significant institution as meant by Regulation (EU) No. 1024/2013 “SSM” and the framework “SSM” Regulation and applies its instructions and recommendations. It also applies the instructions, notices and recommendations of the ACPR applicable to it.

The internal control system implemented by the Bank is governed by the decree of 3 November 2014 on:

- ▶ the internal control of firms in the banking sector, payment services and investment services subject to the supervision of the ACPR;
- ▶ prudential supervision on a consolidated basis;
- ▶ the additional monitoring of financial conglomerates.

The prudential regulations have incorporated the concept of the “systemic importance” of institutions for the economy in order to regulate the level of obligations to be met in relation to governance, the risk management and control system and capital requirements. As a result, the Group is also identified as an “other” systemically important establishment.

As a parent company, credit institution, financing company, electronic money company, management company, investment company and insurance company, La Banque Postale ensures that each of its subsidiaries and regulated equity interests comply with the industry regulations applicable to them.

It is the responsibility of the supervisory body, as provided by the governance guidelines of the European Banking Authority (EBA) to review the Bank’s governance system and evaluate its efficiency and to approve and regularly review the strategies governing the taking,

management, monitoring and reduction of identified and potential risks. The decree on internal control specifies this role in the definition of the supervision guidelines and policy and the approval of the overall limits (in particular liquidity), in establishing a strategy for business continuity and remuneration policy.

This role implies that members of the Supervisory Board shall have the necessary knowledge, skills and expertise to understand and monitor the Group’s strategy and appetite for risk. The powers of the supervisor have been strengthened with respect to the appointment and assessment of the competences of the directors and executives.

Application of the CRD IV directive and CRR regulation

La Banque Postale applies the prudential requirements defined in the CRR regulation:

- ▶ capital instrument eligibility rules;
- ▶ capital requirement levels (including systemic risk buffers);
- ▶ capital requirement calculation rules for credit risk, counterparty risk, operational risk and market risk;
- ▶ large exposure thresholds and calculation rules;
- ▶ short-term liquidity ratio (LCR) thresholds and calculation rules;
- ▶ the production of information on the NSFR and leverage ratios for regulators for the calibration of future indicators and associated thresholds;
- ▶ reports to the competent authorities and the publication of information for the markets.

4.3.2 Operational implementation of the regulatory framework

In a demanding environment from both a regulatory and economic point of view, the Bank's governance and risk control framework has thus undergone significant changes since the start of the year in order to strengthen the risk management tool with:

- ▶ a reporting line set up between the Permanent Control Department teams and the Group Risk Department;
- ▶ the definition of a risk appetite framework and monitoring at the highest decision-making level, communicated within the organisation,
- ▶ the implementation and formalisation of the risk appetite at the level of the subsidiaries and communication of the risk appetite within the organisation;
- ▶ the acceleration of the highest-level risk committee meetings (Network Risk and Control Committee/Regional Directors every three months) as well as a framework imposed for the committee meetings (Region, Territorial Management, Sectors);
- ▶ the formalising of the roles and responsibilities of the different entities with respect to risk management,
- ▶ a project to reorganise the corpus of documents of the division (governance, structure, storage space), in line with the new Risk Appetite Framework (RAF) tool, set up within the Group.

La Banque Postale Group aims to pursue its efforts in terms of risk culture on all levels:

- ▶ the members of the Supervisory Board were invited to a Risk and Finance training seminar organised on 22 March 2018. The Risk Committee and Accounts Committee each held several technical workshops, in order to address subjects more thoroughly (ILAAP, STE, etc.).
- ▶ the Bank also continues to raise the awareness of the risks of non-compliance by deploying training sessions giving all staff who provide investment advice on banking and insurance products and services to customers the knowledge and skills required to perform their function and provide service in accordance with professional requirements and regulation.

This training concerns the areas of: Approvals, Insurance, Regulation AMF, MIFID 2, Insurance Distribution Directive, Consumer Credit (Lagarde), Mortgage Credit Directive. Employees are also trained in anti-money laundering and combating the financing of terrorism regulation as well as rules of conduct (individual and collective) to be applied as part of the banking, financial and insurance ethics framework. Lastly, training is provided to staff in charge of receiving and advising the most fragile customers.

The Group introduced "risk and compliance" indicators into the calculation of the variable remuneration of its advisors.

4.3.3 Internal control organisation, governance and actors

The information about the organisation, governance and internal control system of La Banque Postale are described in detail in Chapter 3, Section 3.5.7.

4.3.4 Risk monitoring, measurement and control systems

Risk management is defined as the identification and management of risks.

Risk identification involves determining risk factors, i.e. explanations of sources of potential or known loss that the Group might incur (insolvency of borrowers, fraudulent behaviour, volatility of market prices, macroeconomic deterioration, changes to the legal and regulatory framework, etc.). This identification is based on the creation of risk maps according to different types of risk (credit and counterparty risk, residual risk, market risk including basis risks, operational risk including model-related risks, excessive leverage risks, systematic risks, etc.) for each Group business and entity. This mapping also provides a consolidated vision of internal and external risk factors that the Group is facing or might face.

Risk measurement involves the preparation of methods to measure the different types of risk that the Group faces.

Risk management allows risks to be hedged, in particular by using appropriate collateral and insurance policies or by using credit derivatives or securitisations. It also involves putting in place risk management procedures, processes and tools such as the rules for accepting skills.

Monitoring consists of ensuring the implementation of the risk control framework and assessing its effectiveness, as well as measuring the change in the risk profile compared to the level of risk appetite expressed. It consists of informing or warning the proper bodies to enable them to make the necessary decisions (acceptance, correction, etc.).

In addition to management by type of risk, activity and entity, analysis, measurement and monitoring are also performed in a cross-entity and forward looking manner:

- ▶ cross-entity: providing an overview of the Group's risk exposure including a consolidated vision;
- ▶ forward-looking: incorporating events which, if they occurred, could have consequences for business activities and the risks faced.

4.3.4.1 Cross-entity risk management systems

Cross-entity policies and standards

In order to ensure consistency in decision-making, measurement, management and monitoring, the concepts and standards that apply to all Group entities and business activities, particularly those in relation to so-called prudential regulation, are defined by the Group Risk Department and validated by the Risk Management Rules Committee (RMRC). The GRD is responsible for their dissemination and ensures the correct operational implementation by the Group entities.

The GRD also makes sure that the documentation of the risk control of the Group Risk Department, the risk function and business divisions of the Group is up to date and ensures its compliance with:

- ▶ regulatory requirements (decree of 3 November 2014 relative to the control of credit institutions) and,
- ▶ the Bank's strategic guidelines (Risk Appetite Statement for the Supervisory Board and Risk Control Policy of the Executive Board).

Models

For its management needs and appropriate risk control, La Banque Postale Group employs a number of models based, in particular, on internal data. As these tools are used for or assist with management decision-making, a dedicated system is in place to ensure that risk related to errors during their design, implementation or use is controlled.

The monitoring performed is the subject of a report to the Head of Group Risk, the Group Risk Management Committee and the *ad hoc* committees of the Supervisory Board.

Consolidated risk management

In order to provide the bodies with a consolidated view of the risk profile, the GRD produces "Risk Appetite Dashboard" and "Group Risk Management Committee Dashboard" summary reports that enable the compliance with the quantitative risk management framework defined in the reference risk governance documents, i.e. The Risk Appetite Statement and the Group Risk Management Policy, to be monitored. This framework, created by the Group Risk Department, is shared with the business lines in charge of development, the Financial Department and the Compliance Department.

In order to provide information to the different bodies responsible for managing and monitoring the Group and to enable them to track its risk profile, compliance with risk appetite and with prudential "risks" reporting obligations to the competent authorities (COREP, Large Exposures, International Liabilities, LCR, NSFR, ALMM, STE), the Group Risk Department brings together the resources and tools for creating, analysing, preparing and disseminating risk monitoring reports, particularly in the area of global limits. In addition to the limits which ensure that it complies with regulatory ratios, the Bank has set itself a number of operational thresholds to manage changes in its risk profile.

The monitoring of limits, expressed as a solvency ratio, within the "risk appetite framework" is performed by monitoring the RWA level and its distribution by risk type (market, credit and operational) and by business activity. This monitoring is carried out in the context of the RWA Committee by the Group Risk Department and the Finance Department as well as the various Group departments/business activities.

Internal reports to the Risk function are also mainly produced in a centralised manner and use the same source systems as those used for regulatory declarations.

4.3.4.2 Forward-looking systems

Monitoring of the change in the legal and regulatory framework

To contribute to this forward-looking view, the Group has a monitoring system responsible for following the drafting of laws and regulations (banking or other) that could affect its business activity and/or its strategy when they enter into force. The objective is that, whatever the field of application (consumer protection, AML-FT, financial sector stability, accounting, etc.), the Bank anticipates impacts, takes appropriate measures and is able to fulfil its obligations in a timely manner.

With respect to the stability of the financial sector, to identify changes as early as possible, the Group:

- ▶ follows the consultations and responds to the impact studies carried out by the European institutions and international bodies, notably the Basel Committee;
- ▶ follows the works of the European and French legislators;
- ▶ as well as those carried out by the regulators and supervisors.

Impact analyses, in the area of capital requirements, risk concentration or liquidity are built into the Internal processes ICAAP and ILAAP, and those for risk management and information systems are taken into account in planning projects.

Stress tests

Within the Bank, stress tests are defined as a process that makes it possible to analyse the Group's ability to resist a severe but plausible deterioration in its economic environment. The objective is to identify, at the level of the risk taken, the situations that could lead to exceeding overall limits. The stress testing system put in place is an internal process that enables both internal exercises to be performed (own assumptions) and exercises organised by the competent authorities.

The internal stress test exercises are designed to be consistent with the risk appetite and the Bank's strategy in the aim of measuring the effect of the different scenarios selected on the level of risk taken and/or anticipated (dynamic assessment exercises).

The results of these exercises must enable the bank to take decisions as to maintaining, reducing or increasing the level of risk and/or the relevance of its planned internal capital and liquidity.

The works are carried out by the Risk Department in close collaboration with the teams in charge of the economic analyses and those in charge of the balance sheet management of the Financial Department.

The stress tests are integrated into the Bank's Capital Planning system notably via the presentation of the results to the Capital Management Committee.

This stress testing system also aims to provide information to the Supervisory Board Risk Committee, which validates the framework of the works and controls, where necessary, its proper execution. It is informed of and verifies results, assumptions, methods and scenarios. It also makes decisions about implementing preventative and corrective actions that are required.

Risk anticipation

Beyond the monitoring of the change in the risks already taken, the works of the GRD must enable the Bank to anticipate those that it will or could be confronted with due to its strategy and the occurrence of internal or external events.

Analysis of the scenarios

For risks with low occurrence but high impact, an analysis of the scenarios is carried out to identify the potential effects (financial, on the functioning, customers, etc.) and the internal or external risk factors. This analysis enables the bank to set up adequate risk controls in advance, either by reducing the risk factors or drawing up action plans to be implemented where necessary.

The business continuity and crisis management systems incorporate this approach based on the scenarios.

Internal capital and liquidity adequacy assessment process

To respect the prudential requirements (reflected in overall limits) applicable to it, the Group implements tools that enable it to assess, at any moment, its internal capital and liquidity adequacy in the face of the risks taken and to be taken as part of its strategy, according to different scenarios of changes in its economic and legal environment.

4.3.4.3 Credit risk systems

The retail credit risk management and corporate credit risk management departments are responsible for defining the credit risk management systems for financing and investment transactions based on the risk appetite. The main components of the system are:

- ▶ the rules for granting loans;
- ▶ scores, ratings, investigation and decision-making tools;
- ▶ delegation schemes;
- ▶ risk management rules;
- ▶ risk control, notably for delegations;
- ▶ risk monitoring;
- ▶ handling rules for inherent risk;
- ▶ declassification and provisioning rules.

These two departments have regional teams.

4.3.4.4 Financial risk system

The Financial Risk Department within the Group Risk Department is responsible for managing financial risks which, for La Banque Postale, consist of:

- ▶ market risk, which reflect the potential impact of changes in the financial markets on the Bank's results or balance sheet. They include:
 - pricing risk,
 - interest rate risk,
 - credit spread risk,
 - equity risk,
 - currency exchange risk,
 - volatility risk,
 - inflation risk,
 - basis risk;
- ▶ balance sheet risk, which reflects the impact of financial risks on the scope of the bank portfolio. They cover:
 - liquidity risk,
 - overall interest rate risk.

Financial risks cover the risks resulting from changes in the financial markets. La Banque Postale is notably sensitive to changes in the rate and debt markets. Changes in these two can impact the NBI of current and previous years, or the Group's balance sheet and, therefore, its solvency, immediately or at a future time.

Financial risk taking must be authorised by an Executive Board delegation or by an authority with this delegation. The delegation must be controlled and reported on. The amount of risk must be commensurate with the Group's capital.

La Banque Postale pays a great deal of attention to the operational security of financial transactions. The process for authorising new instruments and products is standardised.

4.3.4.5 Operational risk system

The operational risk management procedures rely upon the principal of the empowerment of the businesses in the identification, measurement, hedging and monitoring of their risks.

The management framework for operational risk is set by the Operational Risk Department which guarantees its implementation and compliance throughout La Banque Postale Group's business lines and the entities working in the name of and on behalf of the Bank, via the Operational Risk unit.

With respect to the risk of non-compliance, the definition and implementation of risk management systems is the responsibility of the Compliance Department.

The Operational Risk Department is responsible for ensuring that the risks are included in a map which is updated annually at least and are classified based on a dual probability/impact axis in order to determine their criticality (low, moderate, major or critical). The Risk Committee of the Supervisory Board approves the impact measurement thresholds and the frequency of critical and major risks for La Banque Postale Group.

4.3.4.6 Non-compliance risk system

The procedure for managing the risk of non-compliance, like that for operational risks, relies upon the principal of giving the businesses the responsibility for the identification, measurement, hedging and monitoring of their risks.

The supervision of this procedure is carried out by the Compliance Department, which is also in charge of anti-corruption measures, ethics and the control of investment services.

The Compliance Department centralises the review process for new products and significant transformations, in accordance with the decree of 3 November.

It also steers all of the anti-money laundering/combating the financing of terrorism measures.

4.3.4.7 Risk control system

The Bank has made changes to the organisation of its control system, since January 2018 the Permanent Control Department reports to the Group Risk Department.

The objective of the **permanent control system** is to provide an independent measurement of the effectiveness of the risk management. It is part of the Bank's three lines of defence. It is responsible for coordinating all the controls, and helps to improve the link between risk and control. The entire system is described in the Permanent Control Charter.

In application of Article 13 of the decree of 3 November 2014, La Banque Postale has set up two types of permanent controls:

- ▶ the first type, first level controls, concerns the permanent controls performed by the employees carrying out the operational activities:
 - by the lead managers of the employees making the controlled transactions,
 - by operational staff as part of cross-controls,
 - by the operational teams themselves as part of their normal activities.
- ▶ the second type, the second level controls, group together the permanent controls performed by the employees dedicated to controls and thus who do not carry out an operational activity. These controls are performed ex post by personnel dedicated to the permanent control function. The teams concerned may be centralised or may be located according to the activity, business line or entity concerned.

The permanent control within La Banque Postale is steered and coordinated by the Permanent Control Department. It is in charge of the operating coordination of the second level controls of operating risks including non-compliance risk across the entire scope of the group.

It is also in charge of the second level controls of the centralised functions of the GRD, and to this end:

- ▶ it ensures that the controls are performed periodically by the entities in accordance with their defined control plan and provides a summary to the Head of Risk;
- ▶ identifies and validates with the GRD the sensitive processes subject to a second-level control, independently of the operational teams;
- ▶ follows the action plans implemented to hedge risks identified by the internal and external control bodies.

It also contributes to the first level controls, notably through the transmission of risk and control indicators and first-level control reporting tools defined in close collaboration with the other divisions of the GRD.

To fulfil its mission of steering the second level control and ensure its contribution to the first level controls, the Permanent Control Department:

- ▶ for the control of the Post Office Network and Business Centres of La Banque Postale, provides, to the bank transaction controllers and their supervisors, the tools enabling them to carry out their control assignments: the control plan, control questionnaires, tools for consolidating the aggregate results according to the levels corresponding to the managers' responsibilities;
- ▶ is in charge of the administration and maintenance of the Bank's control tool (COPIN) for the first and second level controls;
- ▶ performs the targeting and remote controls via indicators and provides the business lines with first level control indicators in collaboration with the GRD.
- ▶ communicates to the subsidiaries and head office divisions the recitals with respect to the organisation and methods to be implemented in order to harmonise the permanent control tools.

For 2019, the control functions of the business risk divisions of the GRD will report to the Permanent Control Department.

4.4 CREDIT AND COUNTERPARTY RISK

4.4.1 Organisation of credit and counterparty risk management

The Group Risk Department reports to the Group Risk Management Committee on the drafting and implementation of measures for monitoring and managing credit risks relating to retail and legal entities in accordance with the decree of 3 November 2014.

It defines the monthly credit risk monitoring indicators approved by the Group Risk Management Committee.

The Group Risk Department hedges credit risk, *i.e.*, the risk incurred in the event of the default of a counterparty or of counterparties considered as a single beneficiary within the meaning of (EU) Regulation No. 575/2013 of the European Parliament and Council relating to the prudential requirements applicable to credit institutions and investment firms (CRR of 26 June 2013), in particular Articles 387 to 403 and 493.

Organisation and management of credit risk

Risk appetite and the Group Risk Management Policy (GRMP) and the Risk Division Charter are implemented *via* operational rules for product risk management by activity/clientèle or business line counterparty. The risk management rules by type of product and client take changes at the Bank into consideration. They are approved by the Risk Management Rules Committee.

The development of the customer base and of products goes hand in hand with the transformation of the sales network. The Bank continues to expand credit granting delegations to the sales teams in accordance with Article 112 of the decree of 3 November. The principle entails that commitment decisions be taken by the bank's commercial line with a review by the risk function when the risk level or financing amount involved requires. The Risk Unit was completely deployed regionally, and has regionalised dashboards to monitor and pilot its risk by staying close to the field. These dashboards are also used at the centralised level and contribute to the fluidity of exchanges between the centralised functions and the regional functions of the Risk Unit.

Revision of internal rating models to comply with the new Basel III requirements

Taking account of these models in approval and delegation chain processes, and every day management has brought about a significant improvement in risk management for private customers. The Group Risk Department relied on this model development and management expertise to prepare for the implementation of IFRS 9 on 1 January 2018.

4.4.2 Quantitative credit risk information

4.4.2.1 Retail customer credit risk

In terms of financing to individuals, the activities conducted by La Banque Postale Group that give rise to a credit risk include:

- ▶ home loans to individuals and to high-net-worth Limited Property Investment Partnerships (SCIs) (La Banque Postale and its subsidiaries BPE and SOFIAP);
- ▶ overdrafts and means of payment granted to individuals (La Banque Postale and its subsidiary BPE);
- ▶ consumer loans (La Banque Postale Financement, BPE, as well as La Banque Postale for former loans to employees of La Poste Group);
- ▶ personal micro-loans (La Banque Postale now manages the stock in run-off, with new loans provided by Créa-Sol).

The retail customer credit business is highly concentrated on France with 96% of outstandings. The remaining 4% are home loans granted to borrowers in the Netherlands. La Banque Postale acquired the receivables produced by two leading Dutch organisations *via* two SPVs (pass through and bankruptcy remote vehicles). La Banque Postale chose to invest in this type of debt because:

- ▶ they are similar to a La Banque Postale business in the French market;
- ▶ they are granted based on conditions governed by a code of conduct whose main provisions are defined by law;

- ▶ they have a historically low cost of risk and margin levels higher than those in the French market;
- ▶ a number of them are guaranteed by the Dutch public Nationale Hypotheek Garantie (NHG) system, which reduces both risk (90% of final losses are covered) and the RWAs of the portfolios.

Risk management

For retail credit, the Group Risk Department is responsible on behalf of La Banque Postale Group for:

- ▶ defining the rules and tools governing risk-taking and the management of inherent risks;
- ▶ monitoring the effective application of these rules and the proper functioning of the tools at the Group level.

It develops the rules for granting and committing to loans.

Governance

The Retail Credit Risk Department directs La Banque Postale's Group Retail Credit Committee which is the highest delegating body within La Banque Postale Group with respect to granting loans to individuals.

For management of inherent risk, the Group Risk Department is responsible for the rules on covering risk, working with the Legal Department, the Operations Department and the departments governing provisions for accounts receivable in relation to the Accounts Department.

Beyond its own competence limits, it has the management rules approved by the Risk Management Rules Committee.

The Retail Credit Risk Department ensures implementation and monitors the proper application of these rules throughout the loan process.

Monitoring is provided by the Group Risk Management Committee over the consolidated scope with specific monitoring of each of the subsidiaries.

4.4.2.2 Legal entity credit risk

La Banque Postale's business activities generate credit risk:

- ▶ within the scope of its commercial economy-financing activities, in September 2011, La Banque Postale and its corporate loans subsidiary (La Banque Postale Crédits Entreprises - LBPCE) obtained authorisation from the French Prudential Control and Resolution Authority to offer financing to legal entities. The primary customer segments are currently the following: companies, the self-employed, local authorities, public health institutions, social housing associations and non-profit associations;
- ▶ within the scope of its financial market transactions, La Banque Postale must also manage credit risk stemming from interbank cash transactions such as deposits, loans and buybacks (with respect to financial institutions) and issuer risk on debt securities (from Companies, Financial Institutions, Sovereign States, Local Authorities) in the trading room.

These activities come in the form of balance sheet and off-balance sheet commitments (guarantees, collateral, investments of La Banque Postale's insurance subsidiaries, un-drawn proportion of loans granted, etc.).

La Banque Postale also deploys a simple derivatives offer with no margin call destined for its large clients.

Approval process

The investigation and decision-making process is based on eligibility conditions, analysis and determination of a financial score

specific to each segment, and in some cases, on the collection of guarantees.

The aim of the risk management system selected for legal entities financing is to detect risks at every level in each of the business processes (granting, management, recovery and provisioning). It is based on the following elements:

- ▶ delegation schemes suited to each segment;
- ▶ individual and overall risk monitoring.

Investment limits

In investment matters, third parties are systematically rated and allocated an individual limit which is intended to limit the total commitment. Where applicable, these individual limits are supplemented by so-called group limits, which govern exposure to a group of third parties that are considered as a single beneficiary.

La Banque Postale's investment policy for Sovereigns, Institutions, Financial Institutions and Insurance Companies is limited to issuers and counterparties in the investment grade category, unless authorised by the Group Risk Department and validated by the Executive Board (via its Commitment Committee).

Before it can carry out repurchases or forward financial instruments with financial institutions other than the Housing Financing Companies (SFH) or Mortgage Credit Companies (SCF) exposing it to a counterparty risk, La Banque Postale must first ensure that there is an ISDA or FBF framework agreement with clauses concerning collateral. The quantitative aspects entered into in such agreements (instruments concerned, threshold and frequency of margin calls, exemptions, etc.) are subject to approval by the Group Risk Department.

The individual limits are supplemented with a set of limits aimed at limiting the risk of concentration on groups of counterparties classified according to their geographic area, business segment, type of activity and internal rating. This committee also validates a list of authorised countries and a list of authorised currencies.

In the event of significant deterioration of the risk, the issuers and counterparties concerned are subject to strict monitoring on the Monitoring List which reports to the Group Risk Management Committee.

4.4.3 Exposure to credit risk

4.4.3.1 Overview of credit risk exposure

Net total and average exposure amounts

(in € millions)	Net book value of exposures at the end of the financial period	Average net exposures during the financial period
Central governments and central banks	-	-
Institutions	-	-
Corporate	-	-
► <i>Of which: Specialised financing</i>	-	-
► <i>Of which: SME</i>	-	-
Retail	-	-
► <i>Exposures secured by real estate</i>	-	-
► <i>SME</i>	-	-
► <i>Non-SME</i>	-	-
► <i>Eligible renewable exposures</i>	-	-
► <i>Other - retail customers</i>	-	-
► <i>SME</i>	-	-
► <i>Non-SME</i>	-	-
Equities	-	-
Total NI approach	-	-
Central governments and central banks	122,525	121,628
Regional governments and local authorities	10,617	9,080
Public sector entities	680	496
Multilateral development banks	181	180
International organisations	0	50
Institutions	44,571	42,839
Corporate	23,565	21,057
► <i>Of which: SME</i>	3,255	2,765
Retail	18,132	19,236
► <i>Of which: SME</i>	778	906
Exposures secured by mortgages on real estate	21,323	19,547
► <i>Of which: SME</i>	2,376	1,804
Exposures in default	592	642
Items with particularly high risk	930	922
Covered bonds	3,197	3,019
Receivables from institutions and companies subject to one of the companies subject to a short-term credit evaluation	-	-
Securities of undertakings for collective investment	443	500
Equities exposure	4,333	4,053
Other exposures	3,495	3,924
Total standardised approach	254,584	247,173
TOTAL	254,584	247,173

The data presented in the table above include the effects of Basel substitution in the classification of exposure: therefore, the outstandings guaranteed by banking or company sector bodies are included in the latter categories.

At 31 December 2018, La Banque Postale's portfolio consisted of 48% of exposure to central governments and central banks, by including the credit exposure of the Bank to the Caisse des dépôts et consignations as a result of the Centralisation of "regulated" savings (Livret A, LDDS, etc.).

The other main exposures in the portfolio consist essentially of La Banque Postale's traditional core business with €39.5 billion in

direct exposure to retail customers (mortgage loan exposure, consumer credit, current accounts) plus the banking portfolio which consists primarily of the Bank's home loans guaranteed by Crédit Logement (€31.8 billion). The exposures secured by real estate include the Dutch home mortgage portfolios in the amount of €2.7 billion.

In addition, the strong increase in the Bank's outstandings in the Corporate portfolio and the Regional and Local Authorities portfolio (respectively, €23.6 billion and €10.6 billion) should also be noted. They reflect the Bank's growth with this type of clientèle.

Geographical breakdown of exposure

(in € millions)	Net book value												Total
	Euro zone	Country France	Country Germany	Country Other	Americas	Country United States	Country Canada	Country Other	Asia	Japan	Country Other	Other regions	
Central governments and central banks	-	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate	-	-	-	-	-	-	-	-	-	-	-	-	-
Retail	-	-	-	-	-	-	-	-	-	-	-	-	-
Equities	-	-	-	-	-	-	-	-	-	-	-	-	-
Total NI approach	-	-	-	-	-	-	-	-	-	-	-	-	-
Central governments and central banks	121,632	113,219	3,336	5,076	525	-	525	-	368	341	28	0	122,525
Regional governments and local authorities	10,553	10,553	-	-	40	-	40	-	-	-	-	23	10,617
Public sector entities	680	680	-	-	-	-	-	-	-	-	-	0	680
Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	181	181
International organisations	0	0	-	-	-	-	-	-	-	-	-	0	0
Institutions	41,450	37,633	349	3,468	2,452	2,294	157	0	1	1	-	667	44,571
Corporate	23,324	22,364	195	765	125	125	0	0	2	1	1	115	23,565
Retail	18,118	18,013	1	104	2	1	0	0	0	0	0	13	18,132
Retail Exposures secured by mortgages on real estate	21,303	20,151	1	1,152	4	4	0	0	0	0	-	15	21,323
Exposures in default	591	588	-	4	0	0	-	-	-	-	-	1	592
Items with particularly high risk	899	767	-	132	31	31	-	-	-	-	-	-	930
Covered bonds	2,118	1,681	-	437	756	-	756	-	42	26	16	280	3,197
Receivables from institutions and companies being evaluated for short-term credit	-	-	-	-	-	-	-	-	-	-	-	-	-
Securities of undertakings for collective investment	443	310	-	132	-	-	-	-	-	-	-	-	443
Equities exposure	4,333	4,234	-	99	-	-	-	-	-	-	-	-	4,333
Other exposures	3,495	3,495	-	-	-	-	-	-	-	-	-	-	3,495
Total standardised approach	248,939	233,688	3,881	11,370	3,935	2,456	1,480	0	414	369	45	1,296	254,584
TOTAL	248,939	233,688	3,881	11,370	3,935	2,456	1,480	0	414	369	45	1,296	254,584

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Exposure concentration by type of industry or counterparty

(in € millions)	Holding activities	Public and related authorities	Aero-nautics and defence	Agri-culture	Food and beverages	Insurance	Auto-motive	Other industries	Other services	Other financial services	Current consumer goods (non-food)	Construction and public works/Construction materials	Chemistry
Central governments and central banks	-	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate	-	-	-	-	-	-	-	-	-	-	-	-	-
Retail	-	-	-	-	-	-	-	-	-	-	-	-	-
Equities	-	-	-	-	-	-	-	-	-	-	-	-	-
Total NI approach	-	-	-	-	-	-	-	-	-	-	-	-	-
Central governments and central banks	-	116,634	-	1	0	-	1	0	2	278	1	5	-
Regional governments and local authorities	-	8,929	-	-	-	-	-	-	2	-	-	100	1
Public sector entities	-	640	-	-	-	-	-	-	-	25	-	-	-
Multilateral development banks	-	181	-	-	-	-	-	-	-	-	-	-	-
International organisations	-	0	-	-	-	-	-	-	-	-	-	-	-
Institutions	4	0	0	5	3	0	6	8	75	11,557	6	35	0
Corporate	2,003	216	24	64	211	434	255	241	3,537	862	61	292	56
Retail	53	0	1	6	4	0	17	4	118	33	5	70	0
Mortgage on a property	128	-	0	9	4	-	4	1	211	42	4	55	1
Exposures in default	4	3	0	0	0	0	1	1	4	5	0	4	0
Items with particularly high risk	2	-	-	-	-	-	-	-	32	750	-	-	-
Covered bonds	-	-	-	-	-	-	-	-	-	3,197	-	-	-
Receivables from institutions and companies being evaluated for short-term credit	-	-	-	-	-	-	-	-	-	-	-	-	-
Securities of undertakings for collective investment	-	-	-	-	-	-	-	-	122	320	-	-	-
Equities exposure	-	55	-	-	-	3,396	-	0	432	433	-	-	-
Other exposures	-	0	-	0	0	-	0	0	3,495	-	-	0	-
Total standardised approach	2,194	126,658	25	86	223	3,830	284	256	8,030	17,504	77	561	58
TOTAL	2,194	126,658	25	86	223	3,830	284	256	8,030	17,504	77	561	58

Cosmetics, personal care and other house- hold products	Distribution	Energy	Real estate	Infra- structure	IT & Techno- logy	Luxury	Media and com- muni- cation	Retail	Phar- macy	Commo- dities	Health care, social and edu- cation	Telecom- muni- cations	Tourism, hotels, restau- rants, leisure	Trans- port and Logistics	Utilities	Total
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1	3	-	1	1	2	0	1	5,581	-	1	9	-	2	1	0	122,525
2	-	-	1,169	273	13	-	1	-	-	-	86	-	2	34	5	10,617
-	-	-	15	-	-	-	-	-	-	-	-	-	-	-	-	680
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	181
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	0
6	21	-	228	2	9	0	14	32,439	0	7	113	3	16	11	1	44,571
8	1,437	19	7,491	379	187	1	53	1,436	1	257	413	405	233	1,869	1,119	23,565
7	34	-	315	3	4	0	10	17,354	0	4	50	1	20	14	4	18,132
8	90	-	4,305	12	9	0	18	16,065	-	11	126	76	96	11	37	21,323
0	9	0	68	0	0	0	1	465	0	6	1	0	2	16	0	592
-	-	-	142	-	4	-	-	-	-	-	-	-	-	-	-	930
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	3,197
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	443
-	-	-	17	-	-	-	-	-	-	-	-	-	-	-	-	4,333
-	0	-	-	0	0	-	0	-	0	0	0	-	0	0	0	3,495
32	1,594	19	13,751	669	229	2	99	73,339	2	286	800	485	371	1,956	1,166	254,584
32	1,594	19	13,751	669	229	2	99	73,339	2	286	800	485	371	1,956	1,166	254,584

Sector exposures given for the classifications “Central governments” or “Institutions” as the data presented in the table above includes the effects of Basel substitution: therefore, the outstandings guaranteed by banking or Central government (FGAS) sector bodies are included in the Individuals sectors.

At 31 December 2018, La Banque Postale's credit portfolio remained very concentrated on the French domestic market (nearly 92% of its exposure) due to the nature of its historical core business (financing of retail customers in France).

La Banque Postale's international exposure was concentrated in the euro zone (6% of exposure for €15.2 billion) and primarily attributable to its holding of sovereign debt, banking securities and securities of major European companies, as well as to the Dutch home mortgage portfolios (€2.7 billion).

With respect to the sector allocation of the Corporate exposure, at 31 December 2018, La Banque Postale's portfolio was well diversified, beyond the concentrations inherent to its traditional core business.

The composition of La Banque Postale's Corporate portfolio reflects its recent history in financing this type of clientèle:

- ▶ with a substantial share of the financing in the property sector tied to the (relative) age of the Bank's property leasing and mortgage loan activities;
- ▶ with another substantial share in the Transport sector (7.9% exposure), a reflection of the development of the Bank's Asset and Project Financing and equipment leasing businesses,
- ▶ and lastly, a significant weight in sectors which include the largest French institutionals: (Utilities (4.8%), Construction (1.2%), Retail (6.1%), etc.).

Exposure maturities

(in € millions)	Net Exposure Value					Total
	on request	>= 1 year	>1 year => 5 years	>5 years	No maturity stated	
Central governments and central banks	-	-	-	-	-	-
Institutions	-	-	-	-	-	-
Corporate	-	-	-	-	-	-
Retail	-	-	-	-	-	-
Equities	-	-	-	-	-	-
Total NI approach	-	-	-	-	-	-
Central governments and central banks	85,149	3,362	15,537	17,385	1,091	122,525
Regional governments and local authorities	1,092	2,573	1,075	5,870	6	10,617
Public sector entities	224	40	17	399	1	680
Multilateral development banks	-	181	-	-	-	181
International organisations	-	-	-	0	-	0
Institutions	40	547	8,932	34,643	409	44,571
Corporate	2,086	3,013	7,228	10,983	255	23,565
Retail	12	274	3,181	14,271	396	18,132
Mortgage on a property	6	80	1,615	19,622	-	21,323
Exposures in default	3	5	74	498	12	592
Items with particularly high risk	-	7	55	868	0	930
Covered bonds	115	521	2,331	230	-	3,197
Receivables from institutions and companies being evaluated for short-term credit	-	-	-	-	-	-
Securities of undertakings for collective investment	-	-	-	320	122	443
Equities exposure	-	-	-	-	4,333	4,333
Other exposures	0	0	0	2,468	1,026	3,495
Total standardised approach	88,727	10,601	40,045	107,558	7,652	254,584
TOTAL	88,727	10,601	40,045	107,558	7,652	254,584

The data presented in the table above include the effects of Basel substitution in the classification of exposure: therefore, the outstandings guaranteed by banking or company sector bodies are included in the latter categories.

At 31 December 2018, the distribution of La Banque Postale's exposure based on residual maturity reflected its historical financing of retail customers and the collection of regulated savings centralised with the Caisse des dépôts et consignations. As a result 69% of the Bank's exposure to central governments and banks is considered to be “on request”.

4.4.3.2 Breakdown of exposures in default

Credit quality of exposures by exposure categories and instrument

(in € millions)		Gross book values		Specific credit risk adjustments	General credit risk adjustments	Total balance sheet withdrawals	Allowances for credit risk adjustments over the period	Net value
		Exposures in default	Exposures not in default					a+b+c-d
1	Central governments and central banks	-	-	-	-	-	-	-
2	Institutions	-	-	-	-	-	-	-
3	Corporate	-	-	-	-	-	-	-
4	<i>Of which: Specialised financing</i>	-	-	-	-	-	-	-
5	<i>Of which: SME</i>	-	-	-	-	-	-	-
6	Retail	-	-	-	-	-	-	-
7	<i>Exposures secured by real estate</i>	-	-	-	-	-	-	-
8	<i>SME</i>	-	-	-	-	-	-	-
9	<i>Non-SME</i>	-	-	-	-	-	-	-
10	<i>Eligible renewable exposures</i>	-	-	-	-	-	-	-
11	<i>Other - retail customers</i>	-	-	-	-	-	-	-
12	SME	-	-	-	-	-	-	-
13	Non-SME	-	-	-	-	-	-	-
14	Equities	-	-	-	-	-	-	-
15	Total NI approach	-	-	-	-	-	-	-
16	Central governments and central banks	-	116,636	2	-	-	1	116,364
17	Regional governments and local authorities	-	8,924	-	-	-	-	8,924
18	Public sector entities	-	640	0	-	-	(2)	640
19	Multilateral development banks	-	181	-	-	-	-	181
20	International organisations	-	0	-	-	-	-	0
21	Institutions	-	11,839	6	-	-	4	11,833
22	Corporate	-	23,556	34	-	9	0	23,522
23	<i>Of which: SME</i>	-	-	-	-	-	-	-
24	Retail	-	58,018	195	-	67	133	57,823
25	<i>Of which: SME</i>	-	-	-	-	-	-	-
26	Exposures secured by mortgages on real estate	-	21,323	-	-	-	-	21,323
27	<i>Of which: SME</i>	-	-	-	-	-	-	-
28	Exposures in default	1,452	-	530	-	-	-	922
29	Items with particularly high risk	-	930	-	-	-	-	930
30	Covered bonds	-	3,197	-	-	-	-	3,197
31	Receivables from institutions and companies being evaluated for short-term credit	-	-	-	-	-	-	-
32	Securities of undertakings for collective investment	-	443	-	-	-	-	443
33	Equities exposure	-	4,718	1	-	-	(4)	4,717
34	Other exposures	-	3,495	0	-	-	0	3,495
35	Total standardised approach	1,452	253,900	768	-	76	133	254,584
36	TOTAL	1,452	253,900	768	-	76	133	254,584
37	Of which: Loans	-	-	-	-	-	-	-
38	Of which: Debt securities outstanding	-	-	-	-	-	-	-
39	Of which: Off-balance sheet exposures	-	-	-	-	-	-	-

Unlike the previous tables presented, the data shown in the table above does not include the Basel substitution effects in the classification of exposures and thus allows for the exposures in default post-provisioning to be visualised.

Quality of credit exposure by business sector or type of counterparty

		Gross book values		Specific credit risk adjustments	General credit risk adjustments	Total balance sheet withdrawals	Allowances for credit risk adjustments over the period	Net value
(in € millions)		Exposures in default	Exposures not in default					a+b+c-d
1	Holding activities	9	2,195	10	-	-	2	2,194
2	Public and related authorities	21	126,659	22	-	-	4	126,658
3	Aeronautics and defence	-	25	-	-	-	-	25
4	Agriculture	1	85	-	-	-	-	86
5	Food and beverages	-	223	-	-	-	-	223
6	Insurance	-	3,830	-	-	-	-	3,830
7	Automotive	2	284	1	-	-	-	284
8	Other industries	1	255	-	-	-	-	256
9	Other services	29	8,038	37	-	1	7	8,030
10	Other financial services	15	17,563	74	-	6	15	17,504
11	Current consumer goods (non-food)	1	77	-	-	-	-	77
12	Construction and public works/Construction materials	8	557	3	-	-	1	561
13	Chemistry	-	58	-	-	-	-	58
14	Cosmetics, personal care and other household products	1	32	-	-	-	-	32
15	Distribution	13	1,586	4	-	-	1	1,594
16	Energy	-	19	-	-	-	-	19
17	Real estate	120	13,675	44	-	-	7	13,751
18	Infrastructure	-	669	-	-	-	-	669
19	IT & Technology	1	228	1	-	-	-	229
20	Luxury	-	2	-	-	-	-	2
21	Media and communication	3	96	1	-	-	-	99
22	Retail	1,196	72,704	562	-	67	95	73,339
23	Pharmacy	-	1	-	-	-	-	2
24	Commodities	7	280	-	-	-	-	286
25	Health care, social and education	4	798	2	-	-	-	800
26	Telecommunications	-	485	-	-	-	-	485
27	Tourism, hotels, restaurants, leisure	4	369	2	-	-	-	371
28	Transport and Logistics	17	1,941	2	-	-	-	1,956
29	Utilities	-	1,166	1	-	-	-	1,166
30	TOTAL	1,452	253,900	768	-	76	133	254,584

Unlike the previous tables presented, the data shown in the table above does not include the Basel substitution effects in the classification of exposures and thus allows for the exposures in default post-provisioning to be visualised.

Quality of credit exposure by region

		Gross book values		Specific credit risk adjustments	General credit risk adjustments	Total balance sheet withdrawals	Allowances for credit risk adjustments over the period	Net value
(in € millions)		Exposures in default	Exposures not in default					a+b+c-d
1	Euro zone	1,415	248,256	494	238	76	133	248,939
2	<i>Country France</i>	<i>1,411</i>	<i>233,008</i>	<i>494</i>	<i>238</i>	<i>76</i>	<i>132</i>	<i>233,688</i>
3	<i>Country Germany</i>	-	<i>3,881</i>	-	-	-	-	<i>3,881</i>
4	<i>Country Other</i>	<i>4</i>	<i>11,366</i>	-	-	-	-	<i>11,370</i>
5	Americas	-	3,935	-	-	-	-	3,935
6	<i>Country United States</i>	-	<i>2,455</i>	-	-	-	-	<i>2,456</i>
7	<i>Country Canada</i>	-	<i>1,480</i>	-	-	-	-	<i>1,480</i>
8	<i>Country Other</i>	-	-	-	-	-	-	-
9	Asia	-	414	-	-	-	-	414
10	<i>Japan</i>	-	<i>369</i>	-	-	-	-	<i>369</i>
11	<i>Country Other</i>	-	<i>45</i>	-	-	-	-	<i>45</i>
12	Other regions	37	1,295	36	-	-	-	1,296
13	TOTAL	1,452	253,900	530	238	76	133	254,548

Unlike the previous tables presented, the data shown in the table above does not include the Basel substitution effects in the classification of exposures and thus allows for the exposures in default post-provisioning to be visualised.

4.4.4 Credit risk-weighted assets

Standardised approach

Exposure categories (in € millions) (in € millions)	Weighting						
	0%	2%	4%	10%	20%	35%	50%
Central governments and central banks	122,523	-	-	-	0	-	-
Regional governments and local authorities	3	-	-	-	10,614	-	-
Public sector entities	2	-	-	-	623	-	43
Multilateral development banks	181	-	-	-	-	-	-
International organisations	0	-	-	-	-	-	-
Institutions	1,104	-	-	-	36,118	-	7,347
Corporate	102	-	-	-	2,435	-	7,962
Retail	0	-	-	-	-	-	-
Exposures secured by mortgages on real estate	53	-	-	-	-	17,306	2,575
Exposures in default	6	-	-	-	-	-	-
Exposures with particularly high risk	0	-	-	-	-	-	-
Covered bonds	-	-	-	3,197	-	-	-
Institutions and companies being evaluated for short-term credit	-	-	-	-	-	-	-
Securities of undertakings for collective investment	-	-	-	-	-	-	-
Equities	-	-	-	-	-	-	-
Other items	944	-	-	-	-	-	-
TOTAL	124,919	-	-	3,197	49,791	17,306	17,927

Weighting										Of which not rated
70%	75%	100%	150%	250%	370%	1250%	Other	Deducted	Total	
-	-	2	-	-	-	-	-	-	122,525	
-	-	0	-	-	-	-	-	-	10,617	
-	-	11	-	-	-	-	-	-	680	
-	-	-	-	-	-	-	-	-	181	
-	-	-	-	-	-	-	-	-	0	
-	-	2	-	-	-	-	-	-	44,571	
-	-	12,317	749	-	-	-	-	-	23,565	
-	18,132	-	-	-	-	-	-	-	18,132	
-	-	1,389	-	-	-	-	-	-	21,323	
-	-	467	118	-	-	-	-	-	592	
-	-	0	930	-	-	-	-	-	930	
-	-	-	-	-	-	-	-	-	3,197	
-	-	-	-	-	-	-	-	-	-	
-	-	443	-	-	-	-	-	-	443	
-	-	3,894	-	438	-	-	-	-	4,333	
-	-	2,550	-	-	-	-	-	-	3,495	
-	18,132	21,076	1,797	438	-	-	-	-	254,584	

4.4.5 Exposures in default, renegotiated exposures and adjustments for credit risk

Age of exposures outstanding

(in € millions)	Gross book values					
	<= 30 Days	> 30 days <= 60 days	> 60 days <= 90 days	> 90 days <= 180 days	> 180 days <= 1 year	> 1 year
Loans	1,680	83	49	138	125	237
Debt securities outstanding	-	-	-	-	-	-
TOTAL EXPOSURE	1,680	83	49	138	125	237

Non-performing and renegotiated exposures

(in € millions)	Gross book value of performing and non-performing exposures							Cumulative amount of depreciation, amortisation, provisions and negative adjustments to fair value tied to credit risk				Sureties and financial guarantees received	
	Including performing, but outstanding > 30 days and <= 90 days	Renegotiated performing	Non-performing				performing exposures		On non-performing exposures		On non-performing exposures	Of which renegotiated exposures	
			Of which defaulted	Of which impaired	Of which renegotiated	Of which renegotiated	Of which renegotiated	Of which renegotiated					
Debt securities outstanding	23,584	0	0	0	0	0	(3)	0	0	0	0	0	
Loans and advances	183,609	81	77	1,444	1,444	1,444	357	(198)	(2)	(567)	(187)	589	121
Off-balance sheet exposures	38,941	3	0	29	29	29	0	(33)	0	(14)	0	0	0

Change in the balance of adjustments for general and specific credit risks (EU CR2-A)

(in € millions)	Cumulative amount of adjustments for specific credit risk	Cumulative amount of adjustments for general credit risk
Initial balance	730	-
Increases due to amounts provisioned for probable losses on loans during the financial year	359	-
Decreases due to amounts reversed for probable losses on loans during the financial year	(321)	-
Decreases in the inventory of adjustments for credit risks	-	-
Transfers between adjustments for credit risks	-	-
Business combinations including acquisitions and disposals of subsidiaries	-	-
Other adjustments	-	-
Closing balance	768	0

The data presented in the table above corresponds to a prudential vision of the Expected Credit Losses (ECL) calculated by the Group Risk Department, in accordance with the new IFRS 9 standards that entered into force on 1 January 2018.

4.4.6 Credit risk mitigation techniques

4.4.6.1 Credit risk mitigation system

La Banque Postale minimises its credit risk as soon as possible. To do so, in addition to the quality of the file and of the counterparty which are essential to decision-making, the Bank seeks a guarantee to limit its losses in the event the counterparty defaults.

For this purpose, the Bank has a database of guarantee types, standards and rules governing the selection of the guarantors it will accept.

The Bank relies on two dedicated committees: a guarantor referencing committee for retail credit risk and the TARC Committee for the other segments. The two committees decide on the eligibility of the guarantees taken by the Bank and monitor them.

To mitigate home loan risk

The general principle is that any financing must be fully covered by a guarantee, which provides an adequate level of cover that complies with the Group Risk Management Policy, namely:

- ▶ a first (or equivalent) mortgage security: moneylender's privilege, conventional mortgage, mortgage pledge granted by a third party as guarantee of a borrower's debt;
- ▶ pledge of financial products (life insurance policies, securities accounts, REIT units) in compliance with the loan amount covered by the pledged savings, as specified in the general terms and conditions for granting loans, depending on the type of investments pledged (equity, bonds, monetary, etc.);
- ▶ guarantee provided by a body authorised and pre-approved by La Banque Postale's Guarantor Referencing Committee.

By way of exception to the preceding principles, some small home improvement loans are granted with no guarantee.

Bridging loans can be granted without or with lesser guarantees, if the sale agreement or the promise of sale for the asset that is the subject of the loan has been signed, and the conditions precedent favouring the buyer of the asset have been lifted. In such a case, the bank can take a simple pledge of mortgaged assets (PAH) on the asset to be sold.

If the quality of the file so justifies, the bank may grant a non-guaranteed loan, provided that all the non-guaranteed loans granted to the same customer together do not exceed the limit fixed by the terms and conditions for granting loans.

If the quality of the file so justifies, La Banque Postale may accept a guarantee from an individual as the principal guarantee, within the limits fixed by the terms and conditions for granting loans.

The realisation value of home loan security rights is subject to a quarterly review based on updated notarised indices.

However, the quality of the collateral does not justify granting credit.

The three main institutions/collateral that La Banque Postale uses are:

1. Crédit Logement
2. Fonds de Cohésion Sociale (FGAS)
3. Nationale Hypotheek Garantie (NHG)

To reduce credit risk on part of the commitments guaranteed by the FGAS facility

Pursuant to the decision of the ACPR college of 19 June 2014 taking into account the specific characteristics of the FGAS guarantee facility, the prudential treatment under the CRR of the outstandings **guaranteed by the FGAS** for institutions using the standard approach for measuring credit risk is the following:

For the generations after 2007, 50% of the guarantees received from the State can be taken into account by the institutions on the condition of a loss experience below the applicable reference thresholds.

To reduce credit risk on part of the Dutch home mortgage portfolios

The WEW (Waarborgfond Eigen Woningen/housing guarantee fund) an organisation backed by the Dutch government which manages the NHG public guarantee system (rated AAA), covers 90% of the final loss.

To mitigate consumer credit risk

Consumer loans are generally granted without guarantees or collateral. Some consumer loans can be subject to a guarantee or pledge.

Risk mitigation technique for commercial banking activities in the commercial banking market for legal entities

In the area of guarantees and credit risk mitigation techniques for legal entities, La Banque Postale relies on the following principles:

- ▶ guarantees are "credit risk mitigators"; their role is to limit the bank's loss in the event of a borrower default (LGD);
- ▶ any commitment must be covered by a guarantee except where risk management rules provide otherwise;
- ▶ the guarantees taken must comply with the risk management rules: be legally approved and managed by operational entities;
- ▶ insofar as possible, security rights must be qualify in prudential terms. However, this is not compulsory. Some guarantees do not lead to a reduction in equity requirements but secure the transaction for the lender.

Risk mitigation technique for market activities

With respect to the Credit Risk mitigation technique for market activities, the La Banque Postale Group standard calls for the inclusion of collateral from repo transactions as securities when the following eligibility criteria are met:

sufficiently liquid asset included in the list of :

- ▶ CRR assets (Article 194.3);
- ▶ right to liquidate (Article 194.4);
- ▶ match between the credit quality grade (CQS) and the assessments of the external organisation (Article 197.1).

La Banque Postale has implemented internal eligibility criteria as a guarantee for repo agreement transactions.

A TARC Committee, which will be implemented in 2019, will be responsible for approving the eligibility of collateral with respect to regulations and its implementation in the LBP Group standard.

4.4.6.2 Quantitative information on credit risk mitigation techniques

ARC techniques - Overview

(in € millions)	Non-guaranteed exposures - Book value	Guaranteed exposures - Book value	Exposures guaranteed with sureties	Exposures guaranteed with financial guarantees	Exposures guaranteed with credit derivatives
Total loans	132,016	40,629	19,213	281	-
Total debt securities	58,755	2,037	907	741	-
Total exposure	190,771	42,665	20,120	1,022	-
Of which defaulted	337	328	239	-	-

Non-guaranteed exposures include exposures to centralised savings with the Caisse des dépôts et consignations (CDC) for €69.5bn.

Standardised approach - Credit risk exposure and effect of ARC measures

(in € millions)	Pre-FCEC and ARC exposures		Post-FCEC and ARC exposures		RWA and RWA density	
	Balance sheet amount	Off-balance sheet amount	Balance sheet amount	Off-balance sheet amount	RWA	Density of RWA
Exposure categories						
Central governments and central banks	115,876	758	122,049	328	2	0.0%
Regional governments and local authorities	4,570	4,354	6,115	2,031	1,617	19.9%
Public sector entities	524	116	562	80	150	23.4%
Multilateral development banks	181	-	181	-	-	-
International organisations	0	0	0	0	-	-
Institutions	8,629	3,204	40,098	2,336	10,514	24.8%
Corporate	16,251	7,270	16,607	4,425	16,162	76.8%
Retail	49,461	8,362	12,455	1,261	10,157	74.0%
Exposures secured by mortgages on real estate	20,417	906	20,660	923	8,738	40.5%
Exposures in default	909	13	578	3	637	109.7%
Exposures with particularly high risk	699	231	622	231	1,280	150.0%
Covered bonds	3,197	-	3,196	-	320	10.0%
Institutions and companies being evaluated for short-term credit	-	-	-	-	-	-
Securities of undertakings for collective investment	418	25	413	25	438	100.0%
Equities	4,662	55	4,278	55	4,990	115.2%
Other items	3,495	-	3,495	-	2,550	73.0%
TOTAL	229,290	25,293	231,309	11,698	57,555	25%

At 31 December 2018, the average weighting of the La Banque Postale credit portfolio was 25% using the standardised method. This reflects the very moderate level of risk of its portfolio which consists primarily of sovereign exposures with a preferential weighting of 0% (CRR Article 114-4), bank exposures with good

ratings and home loans backed by organisations such as Crédit Logement, which are also of high credit quality.

However, the increasing level of Corporate exposures should be noted given the Bank's significant growth in this market. These exposures receive less favourable weightings using the standardised approach, at equal rating.

4.4.7 Use of external credit rating agencies

La Banque Postale calls on external ratings agencies in the context of its legal entity customer credit activities. Five external organisations were used by La Banque Postale in 2018 to determine the external ratings used for counterparties: Standard & Poor's, Moody's, Fitch, DBRS and FIBEN.

These five ratings agencies are consulted in order to determine the credit quality level that applies to each counterparty.

In accordance with current regulations, the level used to assess credit risk is the second most unfavourable rating in the event that there is no consensus between the five agencies.

The EBA's prudential correspondence tables are applied in order to determine the credit risk weightings using the standardised method of valuing risk-weighted assets.

4.4.8 Counterparty risk

4.4.8.1 Definition and management framework

Counterparty credit risk is primarily the result of transactions on forward financial instruments. Exposure is assessed *via* the present value method.

Counterparty risk is generated by all derivative products held in LBP banking or trading portfolios. This risk is always calculated when the BFI (Group Corporate and Investment Bank) enters into an International Swaps and Derivatives Association (ISDA) or French Banking Federation (FBF) derivatives contract with a third party. The scope of types of options, as currently defined, that generate a counterparty risk is as follows:

- ▶ credit derivatives;
- ▶ forwards;
- ▶ FX forwards;
- ▶ options;
- ▶ swaps.

This risk is limited by the fact that the transactions mainly take place with top-tier financial institutions and that they are systematically performed as part of agreements that make provision for clearing agreements with regular margin calls. Furthermore, most of the instruments involved are "plain vanilla" swaps.

Counterparty risk is also generated by all security loans/borrowings (or equivalent) held in LBP portfolios, namely:

- ▶ repurchase and reverse repurchase agreements (repo and reverse repo transactions), which generally have underlying bonds, and may be covered by GMRA (Global Master Repurchase Agreement) or FBF (Fédération Bancaire Française) contracts. The principal leg (*i.e.* negotiated at the start of the transaction) of these agreements is the cash leg. The securities leg(s) therefore forms the collateral in these transactions;

The residual risks are subject to limits and are periodically monitored by the Corporate, Public Sector and Institutional Credit Risk Department.

4.4.8.2 Exposure to counterparty risk

Analysis of exposure to counterparty credit risk by approach

(in € millions)	Notional amounts	Cost of replacement/ Current market value	Potential and future credit exposure	Effective anticipated positive exposure	Multiplier	Value exposed to risk post-ARC	RWA
Of which method using market prices	-	5,131	820	-	-	3,945	1,662
Initial exposure	-	-	-	-	-	-	-
Standardised approach	-	-	-	-	-	-	-
IMM (for derivatives and SFT)	-	-	-	-	-	-	-
Of which securities financing transactions	-	-	-	-	-	3,308	1,440
Of which derivatives and deferred settlement transactions	-	-	-	-	-	636	222
Of which resulting from a multiproduct clearing agreement	-	-	-	-	-	633	1,662
Simple method based on financial security rights (for SFTs)	-	-	-	-	-	-	-
General method based on financial security rights (for SFTs)	-	-	-	-	-	3,945	1,662
VaR for SFTs	-	-	-	-	-	-	-
TOTAL	-	-	-	-	-	-	1,662

Exposure to central counterparties

(in € millions)	Exposure categories	Weighting											Total	Of which not rated
		0%	2%	4%	10%	20%	50%	70%	75%	100%	150%	Other		
Central governments and central banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Regional governments and local authorities	-	-	-	-	-	7	-	-	-	-	-	-	7	-
Public sector entities	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-
International organisations	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	-	-	667	-	-	317	2,751	-	-	10	-	-	3,744	-
Corporate	-	-	-	-	-	-	8	-	-	168	11	-	186	-
Retail	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Institutions and companies being evaluated for short-term credit	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other items	-	-	-	-	-	-	-	-	-	-	7	-	7	-
TOTAL	-	-	667	-	-	323	2,758	-	-	178	18	-	3,945	-

Central counterparties are grouped with institutions from a prudential standpoint.

Exposure to central counterparties

(in € millions)	Value exposed to post-ARC risk	RWA
Exposures to QCCP (total)	-	16
Exposure to transactions with qualifying central counterparties (to the exclusion of initial margins and contributions for default funds); of which	667	13
(i) OTC derivatives	219	4
(ii) Listed derivatives	-	-
(iii) SFT	448	9
(iv) All clearing in which multiproduct clearing has been approved	219	4
Segregated initial margin	448	-
Non-segregated initial margin	-	-
Contributions to pre-funded default funds	16	3
Alternative calculation method of the capital requirement for exposure	-	-
Exposures to non-QCCP (total)	-	4
Exposure to transactions with non-qualifying central counterparties (to the exclusion of initial margins and contributions for default funds); of which	-	-
(i) OTC derivatives	-	-
(ii) Listed derivatives	4	4
(iii) SFT	-	-
(iv) All clearing in which multiproduct clearing has been approved	-	-
Segregated initial margin	-	-
Non-segregated initial margin	-	-
Contributions to pre-funded default funds	-	-
Contributions to non-funded default funds	-	-

Incidence of netting and guarantees held on exposed assets

(in € millions)	Positive gross fair value or net book value	Netting gain	Current credit exposure after netting	Guarantees held	Net credit exposures
Derivatives	2,101	512	1,437	704	733
SFT	3,853	3,747	3,325	-	3,325
Multiproduct netting	-	-	-	-	-
TOTAL	5,955	4,259	4,762	704	4,058

(in € millions)	Guarantees used in derivative contracts				Guarantees used in SFTs	
	Fair value of the guarantees received		Fair value of the guarantees given		Fair value of the guarantees received	Fair value of the guarantees given
	Segregated	Non-segregated	Segregated	Non-segregated		
	568	-	404	-	27,031	24,560
TOTAL	568	-	404	-	27,031	24,560

Exposures to credit derivatives

(in € millions)	Hedges based on credit derivatives		Other credit derivatives
	Protection purchased	Protection sold	
Notional amounts			
Single-signature CDS	-	17,91	-
Indexed CDS	-	-	-
Exchange contracts on global returns	-	-	-
Credit options	-	-	-
Other credit derivatives	-	-	-
Total notional amounts	-	1,791	-
Fair values	-	2	-
Positive fair value (assets)	-	2	-
Negative fair value (liabilities)	-	-	-

4.4.9 Securitisation

La Banque Postale has €11 million in exposure on securitisation as defined in regulations.

An investment in securitisation units was made in 2012; the underlying assets are receivables outstanding from Italian pharmacies. The securitisation portfolio is of good quality: the

tranche in which La Banque Postale invested in 2012 has received a top tier rating.

The other investments in this asset class were brought to La Banque Postale when it was created in 2006 and have been managed in run-off since then. These other investments account for a non-significant level of exposure.

Bank portfolio securitisation exposures

(in € millions)	Classic	Synthetic	Total
Total "retail"	-	-	-
Of which residential property receivables	-	-	-
Of which credit cards	-	-	-
Of which other retail customer exposures	-	-	-
Of which re-securitisation	-	-	-
Total "wholesale"	-	-	-
Of which loans to companies	-	-	-
Commercial property receivables	-	-	-
Property leasing and receivables	-	-	-
Other wholesale customer exposures	11	-	11
re-securitisation	-	-	-

Bank portfolio securitisation exposures

(in € millions)	Value of exposures (by risk weighting band)				Value of exposures (by regulatory approach)					RWA (by regulatory approach)				Capital requirements after cap			
	< 20%	20-50%	50-100%	100% -1,250%	12.5	AF NNI	AP NI	AS/ APS	1,250%	AF NNI	AP NI	AS/ APS	1,250%	AF NI	AP NI	AS/ APS	1,250%
Total exposure	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Classic securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which underlying retail	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which wholesale	-	11	0	-	-	-	-	11	-	-	-	2	-	-	-	0	-
Of which re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which senior	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which non-senior	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Synthetic securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which underlying retail	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which senior	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which non-senior	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

4.4.10 Large exposures

Regulations on large exposures are applied in accordance with the prudential requirements that apply to credit institutions and investment firms published in the official Journal of the European Union of 26 June 2013 (Directive 2013/36/EU and EU Regulation No. 575/2013 of the European Parliament and of the Council) and which entered into force on 1 January 2014. They stipulate that

institutions must comply with the following limit: the total amount of risks incurred in respect of a single beneficiary may not exceed 25% of the Group's net equity.

At 31 December 2018, La Banque Postale was in compliance with the requirements of the Large Exposures regulations as notified to it by the supervisory authorities.

4.4.11 Quantitative counterparty credit risk information

EU CCR2 Model - CVA equity requirements

(in € millions)	Exposure value	RWA
Total of portfolios under the advanced method	-	-
VaR component (including the 3 times VaR multiplier)	-	-
SVaR component (including the 3 times VaR multiplier)	-	-
All portfolios under to the standardised method	510	185
Based on the initial exposure method	-	-
TOTAL SUBJECT TO CAPITAL REQUIREMENTS WITH REGARD TO THE CREDIT VALUATION ADJUSTMENT (CVA)	510	185

4.5 FINANCIAL RISKS

Financial risks are presented in two parts in this section:

- ▶ on one hand, overall financial risks covering the rate risk related to banking intermediation activities (banking portfolio), and exchange risk for all of the business activities within the La Banque Postale's consolidated scope;
- ▶ and, on the other, the market risk related to trading positions, consisting of negotiable securities and derivative contracts with

the intent to trade as well as exposure value risk measured at fair value through profit or loss or equity;

Market risk as meant by prudential regulations corresponds exclusively to transactions carried out with an intent to trade, *i.e.* to only a part of the market risk as defined in the second paragraph above. It notably contains a charge to capital relative to the exchange risk, although the methods for managing it are covered in general as part of the consolidated scope in 4.5.1.

4.5.1 Structural banking portfolio rate risk, liquidity and exchange risk

4.5.1.1 Governance

The Asset and Liability Management Committee (ALM Committee), the main decision-making body for matters concerning the bank's financial management, is an Executive Board committee chaired by the Chief Financial Officer.

The primary missions of the ALM Committee are:

- ▶ presentation of the ALM threshold and limit monitoring table to the managers;
- ▶ periodic review of the modelling of customer products and formal validation of the associated assumptions after prior review by the GRD;
- ▶ annual review by the committee of the overall cash envelope allocated to the CIB;
- ▶ setting the strategy in terms of rates and liquidity, within the framework of the group's financial and commercial policies with regard to financing capacity and in accordance with the indicators;
- ▶ monitoring and management of the rate, liquidity and exchange risk indicators and anticipation of future changes given the directions of the commercial policy and observation of customer behaviour;
- ▶ validation of the procedure for internal transfer rates;
- ▶ monitoring and management of the sensitivity of future margins;
- ▶ setting the alert thresholds for rates, liquidity and foreign exchange, within the limits imposed by the risk appetite framework proposed by the Group Risk Management Committee and validated by management;
- ▶ monitoring of the upgrading of the Bank's processes to conform to ILAAP and IRRBB requirements;
- ▶ deciding on financial asset investment and issue policies;
- ▶ decisions regarding rate risk hedging policies to be implemented.

These tasks apply at the La Banque Postale level but also for the subsidiaries via their impact on the consolidated accounts and the definition of the ALM policy that concerns them.

Capital Operational Management Committee

This is a sub-committee of the ALM Committee, responsible for the operational application of ALM Committee decisions on the ALM banking book and on cash management.

It provides an interface between the ALM Committee, the Cash Management unit and other authorised divisions, to proceed with interest rate hedging transactions and liquidity transactions.

Group Risk Management Committee

This committee validates risk management principles and thresholds. It validates the ALM risk management system, in particular the thresholds applicable to asset and liability management. It authorises and validates the instruments used for financial management (ALM, trading room).

ALM Risk Committees

These are sub-committees of the Group Risk Management Committee. The Group Risk Management Committee delegates the management of the technical aspects of the financial risk management system to them.

They are responsible for:

- ▶ reviewing the limits and exposures of the portfolios, notably in view of the periodic reviews of the Group Risk Management Committee;
- ▶ defining the exposure calculation methodologies and their implementation;
- ▶ validating the action plans resulting from observed anomalies.

Model Approval Committee

This committee is in charge of validating the models of the LPB (La Banque Postale) Group, and includes the ALM models in its mapping and road map.

Risk Management Rules Committee (RMRC)

This committee is responsible for approving the LPB Group's (La Banque Postale) risk management rules. It is a sub-committee of the Group Risk Management Committee.

Capital Management Committee

The Capital Management Committee supervises matters related to capital management, the risk-weighting of assets and related indicators. In this respect, it defines capital management objectives (ratio, targets, etc.):

- ▶ it reviews the path of own funds;
- ▶ it defines the action plans relating to equity financing (issue of securities, capital increases, business line arbitrage/direction, etc.), which could have an impact on the interest rate, liquidity and exchange rate risks of La Banque Postale.

4.5.1.2 Banking portfolio rate risk

Interest rate risk represents the likelihood of seeing the bank's future margins or economic value affected by interest rate fluctuations. Interest rate risk management includes managing the sensitivity of the net interest margin.

The unit responsible for supervising and managing overall interest rate risk is the Balance Sheet Risk Department (DRF-RB) of the Financial Risk Department, which reports to the La Banque Postale Group Risk Department.

The department has several goals:

- ▶ to provide periodic monitoring of the indicators used to manage La Banque Postale's overall consolidated interest rate risk and that of its banking subsidiaries;
- ▶ to carry out audits of the calculation processes for the various indicators (static and dynamic) and control the integrity of exposure calculations;
- ▶ to audit the methodologies used.

This risk is monitored using interest rate sensitivity indicators for future margins and for economic value and by modelling scenarios which allow the bank's capacity to withstand exogenous shocks to be assessed.

The interest rate movements foreseen affect both uncertain flows from financial products and the performance of Retail Banking operations, *via* the behavioural models, particularly implicit options available to customers.

The supervision of interest rate risk is the responsibility of the ALM Committee which monitors indicators and forecasts their evolution based on commercial policy guidelines and observed customer behaviour. The rate risk indicators are also reviewed by the Group Risk Management Committee. Rate and liquidity risk reviews take place monthly.

Objectives

Interest rate risk is managed so as to hedge the sensitivity of the bank's future net interest margin under the constraint of compliance with economic value sensitivity indicators. This management is performed with dynamic procedures, based on the business plan, using interest rate derivatives (hedging) or modulating commercial policy.

The balance sheet includes implicit and explicit options, giving non-linear results for economic value based on interest rates. In this context, ALM proposes a regular re-balancing of structural positions using market instruments.

Scope

As required by the Basel Committee, significant interest rate risks in the banking book are identified and measured. Some of these risks may give rise to a specific follow-up procedure.

Interest rate risk is measured by maturity and by type of index for products dependent on variable rates or rates subject to review (Euribor, Inflation, Eonia, etc.) whilst taking into account likely

outflow agreements, which are themselves dependent on market conditions. It encompasses several risk factors:

- ▶ fixing risk related to differences between new interest rates applied to assets and to liabilities (according to baseline rates and maturities);
- ▶ yield curve risk related to the setting risk: generated by yield curve changes (translation, rotation, etc.);
- ▶ base risks: related to the use of multiple baseline interest rates and causing risks due to the imperfect correlation of different reference rates;
- ▶ option-related risks (contractual or behavioural);
- ▶ risks caused by positions exposed to the real interest rate/inflation.

In this respect, the net interest margin variation is measured on the basis of several interest rate scenarios. The interest rate risk on the balance sheet is simulated with dynamic modelling, taking into account future variations of outstanding amounts (early repayments, new income, etc.) in accordance with behavioural models and the business plan.

Transactions involving bond portfolios under delegated management do not fall under overall interest rate risk as their risk is monitored and managed according to the individual threshold for each portfolio. These portfolios, specific to the trading room, are subject to market risk-related thresholds.

Assessing overall interest rate risk

Agreements and Models

The interest rate gap and interest rate sensitivity valuation methodologies are determined according to the type of assets (or liabilities) comprising the balance sheet:

- ▶ scheduled outstandings (contractual outflow, whether corrected with a model or not);
- ▶ non-scheduled outstandings (conventional outflow);
- ▶ off-balance sheet (liquidity commitments and guarantees).

Transactions with no contractual maturity date (including customer deposits and livret accounts) are included in accordance with the outflow agreements approved by the ALM Committee and by the Group Risk Department through its Risk Management Rules Committee.

Off-balance sheet transactions are included whilst taking into account drawdown assumptions.

The interest rate gap

For a given currency, the nominal interest rate gap is calculated for fixed rate transactions and for variable rate and reviewable rate transactions, up to the next rate review or rate fixing date. The nominal interest rate gap does not take into account interest rate drops.

The interest rate gap is the difference between the average amount of assets at fixed rate interest and the average amount of liabilities at fixed rate interest, including the effect of off-balance sheet items (swaps and amortised balances) by maturity.

Table: Interest Rate Gap by maturity (in € millions) at 31.12.2018

(Negative amount = Surplus positions at fixed rate)

Average spot gaps (in € millions)	0 to 1 year	1 to 5 years	5 to 10 years	>10 years
Uses	(105,791)	(72,424)	(37,635)	(4,727)
Resources	111,098	80,992	32,804	1,053
Off-balance sheet	(11,007)	(9,562)	(1,179)	(222)
Rate gap 31.12.2018	(5,700)	(994)	(6,009)	(3,896)
Rate gap 31.12.2017	(6,557)	486	(1,790)	(3,259)
Adjustments	857	(1,480)	(4,219)	(637)

The net increase in the long-term fixed rate transformation position over 2018 was primarily due to the growth in credit outstandings and the purchase of HTC securities (+€1.5 billion between years 1 and 5, +€4.2 billion between years 5 and 10 and +€0.6 billion for maturities in excess of 10 years).

EVE (Economic Value of Equity) sensitivity

This corresponds to a negative change in value following an instantaneous shock of $\pm 2\%$, applied to the bank's regulatory capital. Regulatory capital is calculated using static modelling, based on the contractual maturities of balance sheet items.

Since January 2016, this calculation has been carried out in accordance with the EBA guidelines published in May 2015.

EVE sensitivity by level of parallel interest rate shock (in € millions) at 31.12.2018

	(200)	200
EVE sensitivity (in € millions) at 31.12.2018	(639)	(1824)
EVE/Equity sensitivity at 31.12.2018	-5.52%	-15.75%
EVE sensitivity (in € millions) at 31.12.2017	(1448)	(1554)
EVE/Equity sensitivity at 31.12.2017	-12.22%	-13.12%

The increase in the long-term fixed rate transformation position was accompanied by an increase in the sensitivity of fixed-rate positions, also tied to the review of the model for early redemptions and renegotiations. Exposure to a shock of ± 200 basis points is now -15.8% of equity. It should be stressed that the regulatory limit is -20% for a shock of ± 200 basis points.

Net Interest Margin sensitivity (NIM)

Net interest margin sensitivity is defined as being the difference between NIM in a modified interest rate scenario and NIM in a baseline interest rate scenario.

NIM sensitivity is calculated for each interest rate scenario by taking into account the interest rate-dependent behavioural models, and by maintaining levels of new income and deposits from commercial business, and retaining the assumptions related to financial transactions applicable in the baseline scenario.

Only the behavioural models show a reaction to the shock scenario. Their impacts on amounts outstanding modify the level of short-term financing.

List of different interest rate scenarios featuring instantaneous shock, in relation to the baseline curve:

- ▶ parallel +1% (translation +1);
- ▶ parallel -1% (translation -1);
- ▶ shock of +0.5% on all curves and on rates less than or equal to 1 year and of -0.5% on all curves and on rates greater than 1 year. ("flattening" scenario);
- ▶ shock of -0.5% on all curves and on rates less than or equal to 1 year and of +0.5% on all curves and on rates greater than 1 year (steepening scenario).

It should be noted that a floor rate of -1% is applied to NIM calculations.

Net Interest Margin (NIM) sensitivity at 1 year/Scenario (in € millions) at 31.12.2018

	31.12.2018	31.12.2017
Translation +1	128	85
Translation - 1	(117)	(87)
Steepening	22	31
Flattening	(18)	(38)

The least favourable scenario at 1 year for La Banque Postale is a shock of -100 basis points with a fall in NIM of €117 million amounting to forecast NIM of €2.3 billion, or 5%. This exposure to the downward change in interest rates increased in 2018.

Other scenarios (a rise in short-term rates, virtual deflation or static rates) were also carried out.

4.5.1.3 Liquidity risk

Liquidity risk is defined, by the decree of 3 November 2014, as the risk that an enterprise cannot meet its commitments or cannot unwind or cover a position either because of the market situation (systemic risk) or idiosyncratic factors (own risks), within a specific period or at a reasonable cost.

Liquidity risk declaration and assessment systems

The liquidity risk declaration systems cover the entire prudential group. Some of the thresholds and indicators used in management refer to corporate units of the Group, notably La Banque Postale, the most important Group entity.

Adequacy of the systems in terms of liquidity risk management

Liquidity risk management is based on:

- ▶ a guidelines and limits system,
- ▶ a financing plan which assures the ex-ante equilibrium of the Bank's funding position;
- ▶ a buffer of high-quality unencumbered liquid securities (and its equivalent in central bank deposits).

The bodies of the Bank (...Supervisory Board Risk Committee) approved the entire liquidity adequacy assessment process (ILAAP) in March 2018.

La Banque Postale's overall liquidity risk profile

La Banque Postale has a strong liquidity position based on:

- ▶ an amount of client deposits greater than that of client loans. La Banque Postale has a significant and diversified deposit base (in excess of €160 billion) consisting primarily of deposits from a French retail clientèle;
- ▶ a significant HQLA portfolio (High-Quality Liquid Assets). La Banque Postale has traditionally invested a significant portion of its balance sheet in sovereign securities due to its historical activity as a deposit taker. The customer credit business only began to develop starting in 2006. This portfolio contains high-quality liquid assets exclusively, in accordance with the provisions of Delegated Regulation (EU) No. 2015/61, which enables it to raise its short-term liquidity ratio above 135% and to an average of about 150%;
- ▶ a forward-looking financing plan updated on a regular basis;
- ▶ proven access to capital market financing.

Since customer resources are, for the most part, non-maturing and payable at any time (deposits, livret accounts), their outflow is modelled to determine their profile over time. La Banque Postale has taken a conservative approach to its liquidity assessments and has adopted very conservative assumptions in relation to these outflows. Consequently, for the calculation of resources there are upper bounds for the volatility of outstanding amounts and lower bounds for their liquidity duration.

Liquidity risk management

The ALM Committee is responsible for liquidity risk management, in compliance with the principals and limits approved by the Group Risk Management Committee. This responsibility is partially delegated to the Balance Sheet Operational Management Committee and to the trading room's cash management and long-term financing units for tactical liquidity risk related to the bank's cash management.

Operationally, La Banque Postale has implemented an internal liquidity assessment system (Internal Liquidity Adequacy Assessment Process), which combines all of its liquidity limit, assessment, monitoring, reporting and management systems. The systems include:

- ▶ a guidelines and limits system;
- ▶ a financing plan which assures the ex ante equilibrium of the Bank's funding position in La Banque Postale's budget planning universe;
- ▶ the maintenance and monitoring of a buffer of high-quality, unencumbered liquid securities and amounts entrusted to the central bank's deposit facility;
- ▶ the Emergency Funding Plan (EFP) which is primarily intended to (see below):
 - define the alert thresholds to enable early detection of liquidity stress, regardless if is idiosyncratic (specific to the Bank) or systemic,
 - identify all of the capacities available to generate liquidity (liquidity reserves and financing capacity),
 - mobilise governance to manage potential crises with the speed required;
- ▶ to measure La Banque Postale's room for manoeuvre *via* a stress test system in the context of historically high stress on the Bank's liquidity.

The liquidity risk prudential declaration systems cover the entire prudential consolidation scope. However, some of the thresholds and indicators used in management refer to corporate units of the Group, notably La Banque Postale, the most important Group entity.

Liquidity risk measurement

Short-term monitoring of liquidity

This system is based on:

- ▶ regulatory liquidity ratios and reporting;
- ▶ the short-term liquidity ratio (LCR - Liquidity Coverage Ratio);
- ▶ the Net Stable Funding Ratio (NSFR).

The LCR is a monthly short-term liquidity ratio which measures the bank's capacity to withstand a severe worsening of its financial situation, for up to 30 days, in a systemic shock environment.

According to the target, LCR should be greater than 100% and the bank has a transition period to achieve that level.

This ratio is calculated by dividing the sum of unencumbered, high-quality liquid assets by the liquidity need in a stress environment over a 30-day horizon.

EBA LCR summary at 31.12.2018

Item	12.2018	12.2017
Buffer of liquid assets	24,555	25,138
Cash outflows	(23,972)	(23,646)
Cash inflows	7,070	7,677
Net cash outflows	(16,902)	(15,969)
Shortfall	7,653	9,169
LCR	145%	157%
Ratio inflows/outflows	29%	32%

The LCR fell in 2018, consistent with the balance sheet movements detected in the "rate risk" section (development of commercial assets).

The LCR is also one of the constraints to be observed when forecasting dynamic liquidity.

Moreover, several LCR ratio stress scenarios were created as part of the ILAAP procedure.

A calculation of LCR and of the liquidity reserve is produced each day.

The concentration, cost and structure of refinancing, and the concentration of the asset buffer are reassessed on a regular basis and regulatory reports (ALMM) are prepared for LCR publication.

Quantitative information on the hedging ratio of liquidity requirements

Scope of consolidation (individual/consolidated)								
Currency and units (€ millions)		Total non-weighted value (average)				Total weighted value (average)		
Quarter ending on (31 December 2017)		31.03.2018	30.06.2018	30.09.2018	31.12.2018	31.03.2018	30.06.2018	30.09.2018 31.12.2018
Number of data points used to calculate		-	-	-	-	-	-	-
HIGH-QUALITY LIQUID ASSETS								
1.	Total high-quality liquid assets (HQLA)					23,347	24,287	24,299 24,555
CASH OUTFLOWS								
2.	Retail deposits and deposits of small customer companies, of which:	168,418	170,043	171,448	171,184	0	0	0 0
3	Stable deposits	125,647	126,188	127,599	127,293	6,282	6,309	6,380 6,365
4	Less stable deposits	42,771	43,855	43,849	43,891	4,486	4,502	4,504 4,505
5	Non-guaranteed wholesale financing	7,604	8,111	8,725	12,406	4,083	4,236	4,522 7,829
6	Operational deposits (all counterparties) and deposits in cooperative bank networks	-	-	-	-	-	-	- -
7	Non-operational deposits (all counterparties)	-	-	-	-	-	-	- -
8	Non-guaranteed receivables	-	-	-	2,576	-	-	- 2,576
9	Guaranteed wholesale financing	-	-	-	-	104	106	158 119
10	Additional requirements	9,440	10,312	11,133	11,292	1,714	1,589	1,783 1,716
11	Outflows associated with exposures to derivative instruments and other guarantee requirements	694	595	589	515	694	595	589 515
12	Outflows associated with financing losses on debt products	-	-	-	-	-	-	- -
13	Credit and cash facilities	8,746	9,717	10,544	10,777	1,019	994	1,194 1,201
14	Other contractual financing obligations	4,055	4,330	2,971	1,606	4,015	4,283	2,930 1,606
15	Other potential financing obligations	8,506	8,563	8,510	8,417	1,776	1,820	1,808 1,832
16	TOTAL CASH OUTFLOWS					11,692	12,034	11,200 13,102
CASH INFLOWS								
17	Guaranteed loan transactions (e.g. repurchase transactions)	248	65	8	567	248	62	6 346
18	Inflows from fully performing exposures	989	1,304	1,119	1,241	553	712	619 714
19	Other cash inflows	72,153	69,873	71,217	69,550	8,730	6,161	7,376 6,010
EU-19a	(Difference between total weighted cash inflows and total weighted cash outflows resulting from transactions in third countries in which there are restrictions on transfers, or denominated in non-convertible currency)	-	-	-	-	-	-	- -
EU-19b	(Excess of cash inflows from a related specialised credit institution)	-	-	-	-	-	-	- -
20	TOTAL CASH	73,390	71,242	72,344	71,359	9,531	6,934	8,001 7,070
INFLOWS								
EU-20a	Fully exempt cash inflows	-	-	-	-	-	-	- -
EU-20b	Cash inflows subject to a 90% ceiling	-	-	-	-	-	-	- -
EU-20c	Cash inflows subject to a 75% ceiling	73,390	71,242	72,344	71,359	9,531	6,934	8,001 7,070
TOTAL ADJUSTED VALUE								
21	LIQUIDITY BUFFER	23,347	24,287	24,299	24,555	-		
23	TOTAL NET CASH OUTFLOWS	12,930	15,911	14,083	16,902	-		
23	LIQUIDITY REQUIREMENT COVERAGE RATIO (%)	180.6%	152.6%	172.5%	145.3%	-		

The NSFR corresponds to the amount of available stable funding in relation to required stable funding. This ratio should, at all times, be at least 100%. "Available Stable Funding" refers to the portion of resources that are not payable within the relevant time horizon, in this case, within 1 year. The amount of "Required Stable Funding" of a business depends on its liquidity features and the residual maturity of assets (and off-balance sheet positions) held.

To date, and as part of the regulatory liquidity exercises carried out for the ECB, the NSFR liquidity ratio is above 100%.

Long-term liquidity monitoring

The procedure consists of:

- ▶ a financing plan, to ensure that the provisional budget path is combined with liquidity projections;
- ▶ in the framework of the execution of the financing plan, the provisional LCR is assessed, and the bank ensures an adequate level over the long term;
- ▶ several LCR ratio stress scenarios created as part of the ILAAP;
- ▶ the concentration, the cost and structure of refinancing, the concentration of the asset buffer, are assessed on a regular basis and are subject to regulatory reporting (ALMM) along with the publication of the LCR; biannual market access tests to verify market access in different currencies; an assessment of the liquidity gap, described below.

The Bank assesses its long-term liquidity level according to a liquidity gap. The liquidity gap includes forecast static gaps by maturity and limits defined at 1-, 3- and 5-year horizons. The assumptions used correspond to a stressed approach, resulting from a conservative view of the group's liquidity position.

The methods for measuring the liquidity gap are determined according to type of asset (or liability) on the balance sheet:

- ▶ outstandings with a contractual maturity (contractual outflows adjusted or not with a model);
- ▶ outstandings with no contractual maturity (conventional outflows);
- ▶ the liquidity profile of the disposable assets;
- ▶ off balance sheet (liquidity commitments and guarantees).

Transactions with no contractual maturity date (including customer deposits and livret accounts) are included in accordance with the outflow agreements approved by the ALM Committee and by the Group Risk Department.

Off-balance sheet transactions are included whilst taking into account drawdown assumptions.

The transferability of certain transactions may be taken into account, if required.

Long-term liquidity gap (in € million) at 31.12.2018

Average spot gaps

(in € millions)

	1 year	3 years	5 years
Uses	(153,404)	(111,391)	(80,989)
Resources	166,841	128,402	91,056
Off-balance sheet	(7,437)	(5,396)	(3,385)
Liquidity gap 31.12.2018	6,000	11,615	6,682
Liquidity gap 31.12.2017	7,628	13,479	6,749
Adjustments	(1,628)	(1,864)	(67)

The gap (excess resources) decreased in 2018 reflecting the growth in commercial assets.

"Dynamic" liquidity assessments involve the application of assumptions on the bank's income and on refinancing its budget and its medium/long-term business plan. These assumptions enable the calculation of a "balance sheet forecast", a financing plan, a future estimated LCR and a static gap forecast.

Emergency Funding Plan (EFP)

The Emergency Funding Plan is to be monitored by the governance bodies in charge of financial management (the ALM Committee, the Capital Operational Management Committee and the Group Risk Management Committee) and put into operation by the Financial Operations Department.

The Emergency Funding Plan forms part of the Bank's annual internal liquidity assessment procedures. The Emergency Funding Plan sets out the leading indicators selected to judge the robustness of the markets (financial or banking) to which the liquidity of La Banque Postale is exposed. These indicators can be broken down into two major groups:

- ▶ systemic indicators;
- ▶ idiosyncratic indicators.

Each indicator is allocated a threshold level (comfort, vigilance or warning).

The Emergency Funding Plan also makes provision for a mechanism to be implemented in the event of a proven crisis, be it systemic or idiosyncratic. This mechanism appears mainly in the form of an inventory of the various funding (or liquidity) sources accessible by La Banque Postale, depending on the amounts involved and the speed of implementation. The Emergency Funding Plan also makes provision for specific governance through committees which will monitor the leading indicators. The purpose of this governance is to assure management of the heightened surveillance of the bank's liquidity risk. The presentation of indicators (during normal periods) is carried out at meetings of the Capital Operational Management Committee. The indicators selected, and the proposed action measures, are tested on the markets so that their suitability and the market liquidity can be fully appreciated.

The funding test consists of testing the market by issuing short-term debt. The aim of this type of test is to regularly check on the bank's ability to quickly obtain funds in the markets to ensure that its estimated borrowing capacity remains valid. It is envisaged that this type of test will be carried out at least twice a year.

La Banque Postale successfully tested its funding capacity twice in 2018, for a significant amount, in a single day, across its various currencies.

Liquidity Reserve

Definition

The purpose of the Liquidity Reserve is to quantify the amount of cash and liquidity readily available through the sale or repurchase of securities in order to cope with a liquidity crisis.

The Liquidity Reserve is composed of:

- cash placed with the central bank (excluding the average compulsory reserves calculated over the creation period);
- the securities in the HQLA (High Quality Liquid Assets) cushion consisting primarily of government securities, covered bonds

and corporate securities meeting the prudential liquidity criteria defined by the regulations for the LCR calculation (Liquidity Coverage Ratio) for which the valuation of securities includes a discount in line with prudential regulations;

- other securities available from the ECB (primarily bank securities) including the ECB discount.

Premium quality secured home loans that can be mobilised by the Group's home loans company through the issue of a covered bond. This also represents a significant source of liquidity (potentially around €11.9 billion of collateral at 31 December 2018, in addition to the other sources of funding usually used by the bank).

Composition of the liquidity reserve in securities at 31.12.2018 (in € millions)

Liquidity reserve (in € millions)	12.2018
Cash and Central Bank	16,503
Unencumbered HQLA securities	8,055
Other ECB eligible securities	6,366
TOTAL LIQUIDITY RESERVE	30,924

Capacity to access external financing

In addition to the prudent liquidity management system implemented by the ALM Committee and Risk Committee, La Banque Postale has diverse sources of financing:

- a €20 billion Neu-CP programme (Negotiable European Commercial Paper), the aim being to refinance a portion of La Banque Postale's short-term financing requirements and to satisfy demand from institutional customers;
- a €2 billion Neu-MTN programme, the aim being to refinance a portion of La Banque Postale's short-term financing requirements and to satisfy demand from institutional customers;
- a programme of €10 billion in EMTN for the issue of *obligations de financement de l'habitat* (OFH) via LBP Home Loan SFH, the secure financing vehicle subsidiary of LBP SA, created in 2013;

- access to refinancing by the EIB under La Banque Postale's commitment for eligible envelopes;
- a portfolio of securities held to maturity, consisting mainly of rapidly accessible, high-quality government bonds, which constitutes a stable source of eligible assets enabling access to ECB refinancing operations or to the securities repo market;
- access to the interbank market.

In addition to its short/medium-term market financing sources, La Banque Postale uses two secured financing vehicles since 2013 which are:

- LBP Home Loan SFH, a subsidiary of LBP SA, used to finance residential loans, and
- CAFFIL, used to finance loans to the Local Public Sector.

These "secured financing" vehicles provide a reliable source of financing, as demonstrated by the fact that the secure financing market continued to operate during the 2011 banking crisis.

4.5.1.4 Encumbered/Unencumbered Assets

Encumbered/unencumbered assets

	Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of non encumbered assets		Fair value of unencumbered assets	
	of which eligible central bank		of which eligible central bank		of which eligible central bank		of which eligible central bank	
(in € thousands)								
Assets of the institution	100,809,772	20,957,847	-	-	132,557,847	22,010,397	-	-
Loans payable on demand	-	-	-	-	2,027,988	-	-	-
Equity instruments	76,088	-	-	-	1,022,848	-	1,022,848	-
Debt securities	20,973,375	20,957,847	21,983,165	21,967,452	29,836,023	22,010,397	31,440,563	23,787,758
<i>of which covered bonds</i>	942,869	942,869	1,095,392	1,095,392	2,604,824	2,604,824	2,687,098	2,687,098
<i>of which asset-backed securities</i>	-	-	-	-	586,692	-	586,692	-
<i>of which public administration</i>	19,123,527	19,107,999	19,975,792	19,960,079	10,421,659	9,031,628	11,414,159	10,570,214
<i>of which financial institutions</i>	1,635,266	1,635,266	1,742,160	1,742,160	16,762,061	10,865,994	17,141,493	10,932,305
<i>of which non-financial companies</i>	19,320	19,320	19,333	19,333	2,351,504	1,129,072	2,406,375	1,129,060
Loans and advances other than loans on demand	79,447,668	-	-	-	88,969,625	-	-	-
<i>of which mortgage loans</i>	7,892,258	-	-	-	9,486,945	-	-	-
Other assets	753,886	-	-	-	10,073,614	-	-	-

	Unencumbered guarantees				
	Fair value of encumbered collateral received or own debt securities issued		Fair value of collateral received or own debt securities issued available for encumbrance		Nominal value of collateral received or own debt securities issued which cannot be committed
(in € thousands)		of which eligible central bank		of which eligible central bank	
Collateral received by the institution	-	-	319,266	17,891	56,606,411
Loans payable on demand	-	-	-	-	-
Equity instruments	-	-	-	-	-
Debt securities	-	-	319,266	17,891	-
<i>of which covered bonds</i>	-	-	-	-	-
<i>of which asset-backed securities</i>	-	-	-	-	-
<i>of which public administration</i>	-	-	25,577	17,891	-
<i>of which financial institutions</i>	-	-	278,896	-	-
<i>of which non-financial companies</i>	-	-	-	-	-
Loans and advances other than loans on demand	-	-	-	-	-
Other collateral received	-	-	-	-	56,606,411
Own debt securities issued other than own covered bonds or ABSs	-	-	-	-	-
Total assets and/or collateral received and own debt securities issued	100,809,772	20,957,847	-	-	-

(in € thousands)	Backed liabilities, potential liabilities or securities which have been loaned	Assets and/or collateral received and own debt securities issued other than covered bonds and encumbered ABSs
Carrying amount of selected financial liabilities	102,435,068	99,663,978
Derivatives	939,292	435,392
of which OTC	939,292	426,393
Deposits	96,796,860	91,809,605
Repo agreements	21,260,271	20,115,389
of which central bank	-	-
Guarantee deposits other than repo agreements	75,311,647	71,550,642
of which central bank	-	-
Debt securities	4,764,330	7,870,148
of which covered bonds	4,764,330	7,870,148
of which asset-backed securities	-	-
Other encumbered assets	950,839	990,253
Par value of loan commitments received	950,839	990,253
Financial guarantees received	-	-
Fair value of securities issued with non-financial guarantees	-	-
Other	-	-
TOTAL ENCUMBERED ITEMS	103,498,187	100,809,772

La Banque Postale Group's encumbered assets consist of the following:

- ▶ securities delivered under repurchase agreements with other financial counterparties
- ▶ securities pledged for the Central Bank and Crédit Logement;

- ▶ home loans pledged in order to hedge bond issues made by the Group's home finance company (La Banque Postale Home Loan SFH) in favour of holders;
- ▶ margin calls on securities and derivatives;
- ▶ guarantee deposits.

The median ratio of encumbered assets was 42% at 31 december 2018.

4.5.1.5 Global exchange rate risk

Exchange rate risk, particularly that related to international mandates and financial activities, remains very moderate despite the start of dollar-denominated financing business by the Corporate and Regional Development Department.

In fact, the balance sheet of La Banque Postale is managed almost exclusively in euros. The foreign currency market activities of the cash management unit and those related to portfolios are systematically hedged and converted into euros beyond a given exchange rate position threshold.

The residual exchange rate risk related to income earned from those activities is managed by converting that income at least once every six months or, alternatively, when it reaches the established threshold.

The foreign currency activity of the retail bank, which mainly concerns international mandates, is relatively small in volume.

At 31 December 2018, the exchange rate position of La Banque Postale amounted to €86.7 million, of which more than 85% was dollar-denominated.

The Group manages its positions cautiously based on limits. The positions are taken, then managed by a special BFI entity: the Trading Room. It optimises revenue creation and manages the Bank's short-term liquidity. The thresholds are based on methodologies developed by the Group Risk Department and described below.

In order to ensure the negotiability of assets managed under market risk, La Banque Postale relies on a list of authorised products which favours liquid instruments. Operators can only trade authorised instruments. The authorisation process for instrument types requires that La Banque Postale be in a position to value it.

The characteristics of the market positions are as follows.

- ▶ La Banque Postale does not have any exposure to "exotic" products. The valuation risk of the Bank's positions on Derivatives is low;
- ▶ with respect to credit assets, the vast majority of securities handled are investment grade, with a preponderance of securities from major financial institutions.

4.5.2.1 Organisation and governance

Financial Risk Department

Market risk encompasses the risk of losses, generated by adverse changes to variables (interest rates, exchange rates, spreads, volatility, etc.), on the value of financial instruments on the balance sheet or commitments held by the bank.

4.5.2 Market risks

La Banque Postale manages market positions as part of the management of its balance sheet and, notably, of its liquidity surplus. The creation of the BFI entity (Corporate and Investment Bank) reflects the Bank's intention to develop market activities.

Within the Group Risk Department, it is the responsibility of the Financial Risk Department and, in particular, the Market Risk unit, to manage market risk.

To ensure comprehensive monitoring of market risks, the monitoring scope of the Market Risk unit extends to encompass all fair value transactions.

As such, the Financial Risk Department, under the responsibility of the Group Risk Department, reports to the Group Risk Management Committee for the creation and implementation of procedures for managing and monitoring financial risks. It also reports to the Group Risk Management Committee monthly on market risks and informs it of the main events.

The global market limits, as defined in the Risk Appetite Statement and the associated Risk Appetite Dashboard are approved by the Supervisory Board's Risk Committee. Group Risk Management Policy market limits are approved by the Executive Board in the Group Risk Management Committee meetings. Risk Management Rules operational limits are approved in the Risk Management Rules Committee meetings.

Valuation and Performance Analysis Unit (VAR)

This unit of La Banque Postale is responsible for independent valuation of market transactions, aggregate risk assessment and Level 1 control of market activities.

The Valuation and Performance Analysis Unit is responsible for implementing the valuation and risk calculation architecture. Its work is approved by the Financial Risk Department. It carries out daily assessments of risks and results. A primary mission of this department is to ensure that market conditions enable the correct valuation of transactions.

Daily risk calculations are carried out. The risk factors defined (within the main asset classes: rates, credit spread, exchange and equity indexes) hedge and assess the risk of a spread between transactions and their hedges.

The consistent tracking of important day-one profits (results of the day's transactions) is another indicator of the quality of the results and risks processes.

4.5.2.2 Market risk within the Group

Market risk concerns all balance sheet and off-balance sheet items measured at fair value. These items are present within La Banque Postale and within several Group subsidiaries, namely:

- ▶ in the insurance subsidiaries:
 - La Banque Postale Prévoyance,
 - La Banque Postale Assurances IARD,
 - La Banque Postale Assurance Santé;
- ▶ in the asset management subsidiaries:
 - La Banque Postale Asset Management;

- ▶ in the banking subsidiaries:

- BPE,
- SOFIAP.

The Market Risk unit of the Financial Risk Department is responsible for monitoring the bank's market risk and for consolidated supervision at Group level.

4.5.2.3 Missions of the Financial Risk Department

Within the Financial Risk Department, the work concerning the Market Risk unit is organised along four main lines:

Thresholds and authorisations

Loss risks are delimited by commitment or exposure thresholds and by the establishment of a list of authorised financial products. Therefore, the Financial Risk Department is responsible for:

- ▶ advising on requests for overall and operational thresholds;
- ▶ advising on requests for new financial products or investments;
- ▶ monitoring compliance with thresholds;
- ▶ reporting and managing any overruns, specifically through the systematic dispatch of an overrun notification sheet.

Valuation

The official valuation of market transactions is managed by the Valuation and Performance Analysis unit, reporting to the Banque de Financement et d'Investissement (BFI). One potential source of losses is the possibility of incorrect valuation of the price of portfolio assets. The Financial Risk Department therefore strives to ensure that the value of these assets represents fair market value with the least possible degree of uncertainty. To that end, the Financial Risk Department:

- ▶ checks and approves the valuation methods in conjunction with the Model Validation Department;
- ▶ approves the valuation parameters;
- ▶ verifies the quality of market data and compliance with valuation procedures;
- ▶ defines valuation adjustments as part of prudent valuation, in accordance with the Capital Requirements Regulation (CRR).

Risk measurement and control

In order to manage risk-taking, the Financial Risk Department must be in a position to provide an accurate account of the risks to which the bank is exposed. Consequently, the Financial Risk Department is responsible for:

- ▶ identifying risk factors according to the products and strategies implemented;
- ▶ establishing risk measurement methodologies and retrospectively verifying their effectiveness (Backtesting);
- ▶ controlling the positions taken by the Group in order to ensure that they fall within the established thresholds.

Process controls

The Market Risk unit of the Financial Risk Department draws up a control plan to ensure the successful execution of its work and the quality of data produced.

4.5.2.4 Market risk measurement and control

Background

Market risk represents the risk that financial instruments held in portfolio may lose value as a result of an adverse change in market conditions. Essentially, it concerns assets restated at fair value, since valuation variations have a direct impact on the bank's profits or equity. Exceptionally, certain portfolios valued at acquisition cost also fall within the scope of the Financial Risk Department.

The Financial Risk Department defines a measurement framework that is suited to the bank's market exposure.

The main market risk factors are:

- ▶ interest rate risk;
- ▶ the credit risk premium;
- ▶ the risk of changes in the prices of financial instruments;
- ▶ exchange risk;
- ▶ basis risk;
- ▶ volatility risk.
- ▶ and, by extension, delivery settlement risk.

Other parameters are taken into account in market risk management, specifically asset liquidity.

4.5.2.5 Market risk indicators

Sensitivities

Sensitivities enable measurement of the exposure of the bank's portfolio to changing risk factors.

The Financial Risk Department approves the sensitivity calculation methodology and ensures that all risk factors identified as relevant and substantial are taken into account.

Value at Risk (VaR)

VaR is an indicator of the risk of loss to which the bank is exposed. It gives an estimate of maximum potential losses over a given horizon within a given probability. However, this indicator does not provide any signals with regard to the level of potential losses that may arise from infrequent events.

The VaR indicator is calculated on trading portfolios and also on certain banking portfolios. An overall VaR encompassing all positions is also calculated.

VaR is broken down by each of the activities included in the market portfolio.

As a precautionary measure, La Banque Postale decided to apply a VaR indicator (one-day, 99%) to all of its mark-to-market positions. The VaR indicator used by La Banque Postale is a parametric VaR, calculated using a variance-covariance matrix that includes risk factors such as interest rate, spread, exchange rate and volatility risk, and the risk of movements in the stock market indices to which the bank is exposed. In terms of risk factors, the main approximation concerns "specific interest rate risk": the credit spread risk (to which bonds are sensitive) is taken into account by a sector-rating approach which only captures a portion of this type of risk.

This matrix is calculated using a scaling factor designed to give a higher weighting to recent movements than to older ones.

La Banque Postale's implementation therefore does not cover second-degree (convex) risks, which are actually rare in its accounts.

The resulting VaR partly covers option-related risks, although second-degree risks are not taken into account. Although they are not currently significant, building option positions could lead the Group Risk Department to adopt a more appropriate methodology.

The Group Risk Department back-tests the results of the model used to calculate the VaR indicator, in order to assess its quality.

Stress scenarios

The VaR estimate, calculated on the assumption that it follows a normal distribution, is carried out under normal market conditions and does not provide any information on the amount of the potential loss when the VaR is overrun. The ability to estimate potential losses under unusual market conditions (terror attack, collapse of a major group, etc.), is therefore a necessity and this is when stress scenarios are implemented.

A stress scenario involves simulating an extreme situation in order to evaluate the financial impact on La Banque Postale's profits or equity. The use of these scenarios is an analytical and management tool providing a better grasp of market risk.

La Banque Postale seeks to deal in all markets (UCITS, currencies, rates, loans and derivatives). However, at the present time, the bank deals mainly in interest rate products, loans and UCITS. This is why the crisis scenarios foreseen mainly concern exchange rates, interest rates, credit spreads and UCITS, according to their asset class.

There are two major stress groups under consideration, pursuant to the relevant regulations. We distinguish between "objective" and "subjective" methods:

- ▶ objective methods are based on historical facts (events which have actually occurred). To build the scenarios, changes which took place in the past during major financial crises are applied to current market conditions. These are historical scenarios;
- ▶ the second category of scenarios applies plausible variations which, although they have never occurred, would jeopardise the bank if they did. These shocks are calibrated with assumptions based on historic statistics drawn from market data.

A historic stress scenario is set off by a violent event affecting a combination of factors. With the aim of planning for the worst, the horizons selected are those corresponding to the first stage of the crisis' spread up to the first indication of price stabilisation, given that several trading days are needed to close out the most risky positions.

Historical scenarios reconstruct the following 12 financial crises:

- ▶ stock exchange crash, 19 October 1987;
- ▶ withdrawal of sterling from the ERM, 20 September 1992;
- ▶ bond market crash 1994-1995;
- ▶ Russia, 17 August 1998;
- ▶ LTCM, 23 September 1998;
- ▶ WTC terror attacks, 11 September 2001;
- ▶ Enron, 31 October 2001;
- ▶ Lehman collapse, 15 September 2008;
- ▶ Greek crisis, 2010;

- ▶ US debt crisis, 2011;
- ▶ European sovereign debt crisis, 2011;
- ▶ Brexit, 2016.

A stress test is applied to a given category of market risk. La Banque Postale carries out stress testing on the following risks:

- ▶ general rate risk: various changes, such as steepening or flattening or widening of rate spreads, are applied to the Euribor/Libor interbank rate curves;
- ▶ specific rate risk: stress testing is based on the application of different shocks to the credit spread curves of corporate, financial and sovereign debt issuers;
- ▶ equities risk (UCITS): various shocks are also applied to UCITS according to their asset class.

4.5.2.6 Market risk thresholds

Organisation

Market portfolio risks are managed *via* limits set by the Supervisory Board's Risk Committee in the Risk Appetite Statement and the associated Risk Appetite Dashboard. These operational limits, implemented by activity in the Risk Management Policy, are approved by the Executive Board at Group Risk Management Committee meetings.

The thresholds are applied operationally through a more detailed set of limits, while the Risk Department ensures, when they are determined, that they are consistent with the VaR thresholds approved by the Group Risk Management Committee. The implementation of these thresholds and monitoring of compliance with them by market operators, are the subject of regular reports given at meetings of the Group Risk Management Committee and the Risk Committee.

The application of thresholds addresses the organisation of La Banque Postale's financial activities. Thus, thresholds are defined by trading room activity, and take into account the aim of transaction management and the impact of transactions on the bank's profits and equity.

Risk metrics

The thresholds are applied to the relevant risk measures to delimit the potential impact of adverse changes in the markets on the bank's profits and on its equity. The objective is also to ensure that each activity remains within the specified management framework and only concerns market instruments that the bank's internal systems are operationally capable of managing.

Review of thresholds

The thresholds are subject to annual review in conjunction with the Front Office. It is important to ensure that the allocated thresholds remain consistent with changes in the financial markets and the bank's activities.

The thresholds may also be reviewed at other times, at the request of the Front Office or at the discretion of the Financial Risk Department.

Exceeding the threshold

The threshold limits exceeded are managed *via* an alert procedure defined in the standard on the management of exceeded limits

approved by the Risk Management Rules Committee of the Group Risk Department.

Taking the background of the case into consideration, the Financial Risk Department evaluates the suitability of the corrective actions envisaged and may, if necessary and with the agreement with the Head of Group Risk, authorise a threshold overrun for a limited period if it cannot be quickly corrected due to operational reasons or the market environment.

Threshold overruns and temporary overrun authorisations are reported each month to the Group Risk Management Committee and must be logged in an overrun notification sheet approved by the Head of Group Risk.

4.5.2.7 Financial instruments and currencies authorised for trading

The Financial Risk Department draws up a list of authorised products, approved by the Group Risk Management Committee. All new instruments appearing on that list must first be approved by the New Market Instruments Committee.

The Executive Board draws up a list of currencies authorised for trading. The Financial Risk Department ensures that this list is complied with and that there is sufficient operational capacity to manage these currencies, particularly in terms of risk calculation.

The transactions carried out in the market risk scope are based on very traditional instruments, which are among the most current ones in the financial markets:

- ▶ bonds;
- ▶ rate derivatives (all vanilla);
- ▶ UCITS;
- ▶ CDS hedges;
- ▶ structured EMTNs;
- ▶ transactions on listed markets (essentially rate/sovereign bond futures).

The main changes in 2018 were:

- ▶ the sale of Structured EMTNs;
- ▶ the authorisation of Forward Rate Agreements (FRA)

4.5.2.8 Exposure to risk

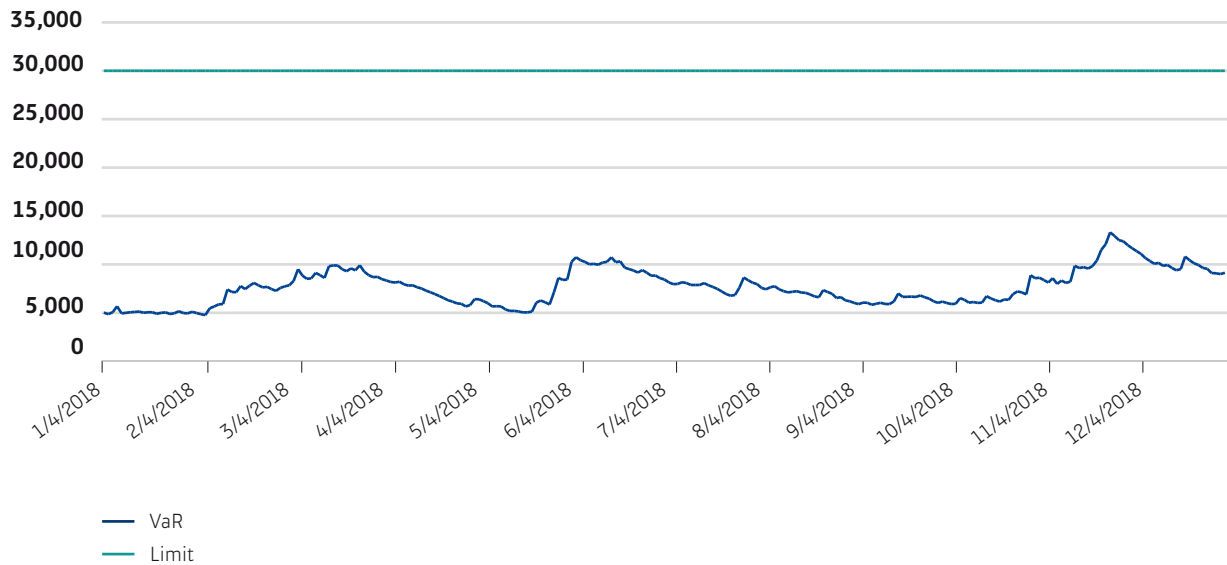
La Banque Postale is exposed to market risks due to its cash management activities, its excess liquidity management (portfolio of assets available for sale and hedging transactions) and through transactions undertaken on behalf of customers.

The market portfolio, which combines all transactions exposed to market risks, includes not only the trading portfolio, defined in Articles 102 to 104 of EU Regulation No. 575/2013 of the European Parliament and Council dated 26 June 2013 pertaining to capital requirements for credit establishments and investment firms, but also banking portfolio transactions, including available-for-sale securities and certain lending and borrowing transactions.

In terms of market risk management, La Banque Postale is first and foremost exposed to interest rate risk, credit spreads and the equity markets. Exchange-rate risk, particularly connected with international mandates and financial activities, and volatility risks are moderate.

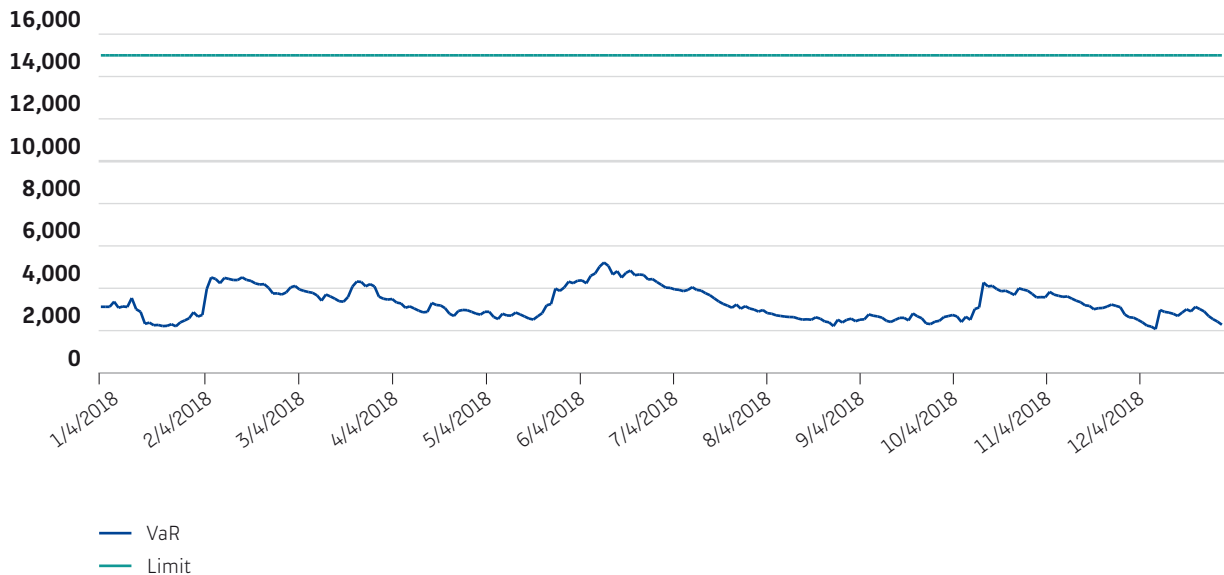
4.5.2.9 Change in the main risk indicators for the trading room and threshold monitoring in 2018

GLOBAL VALUE AT RISK (IN € MILLIONS)



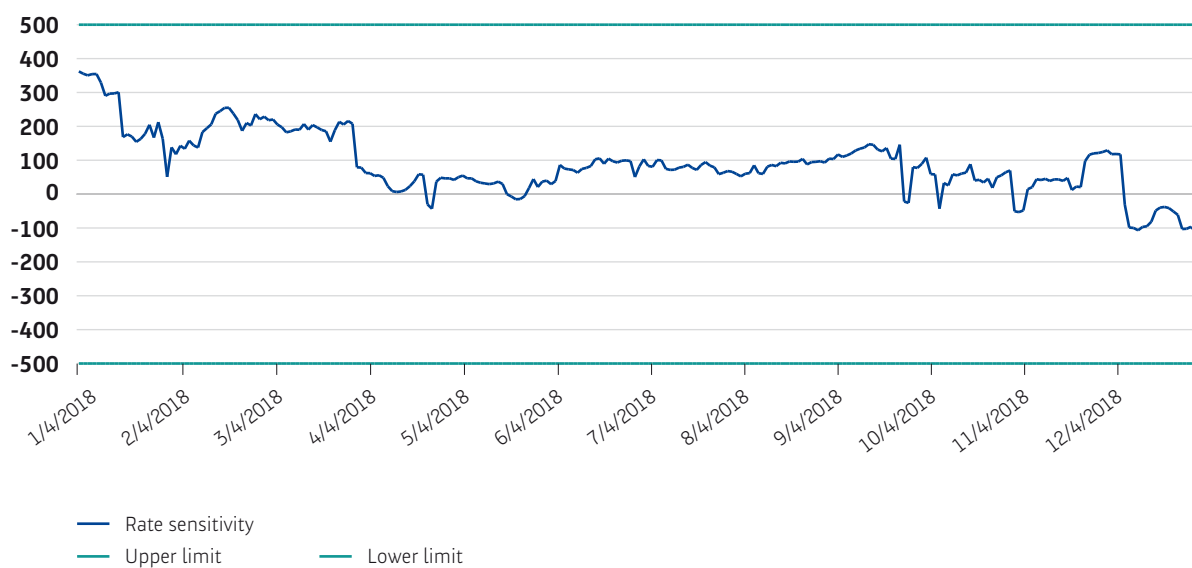
The VaR varied significantly according to market volatility, and notably during the period of uncertainties surrounding the political situation in Italy. The limit was respected throughout 2018.

ROOM FOR THE FAIR VALUE THROUGH PROFIT OR LOSS SCOPE (IN € MILLIONS)



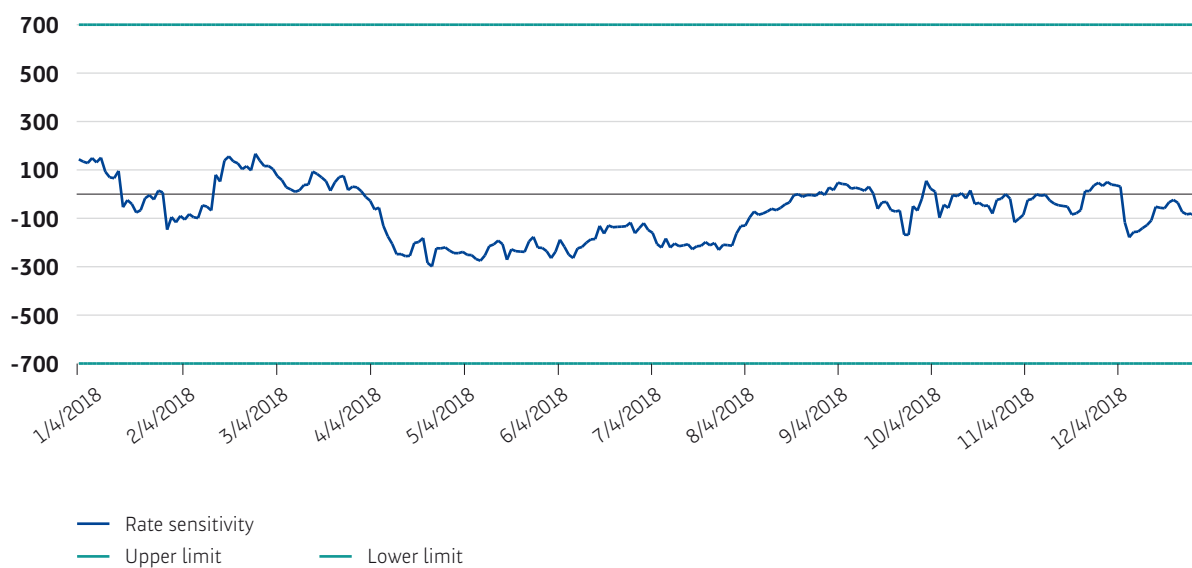
The VaR of the Fair value through Profit or Loss portfolios remained well below its limit, with a variation between €2M and €5M over the year. In 2018, its scope broadened with the inclusion of UCITS investments following the entry into force of IFRS 9.

RATE SENSIVITY OF THE TRADING PORTFOLIO (IN € THOUSANDS/BP)



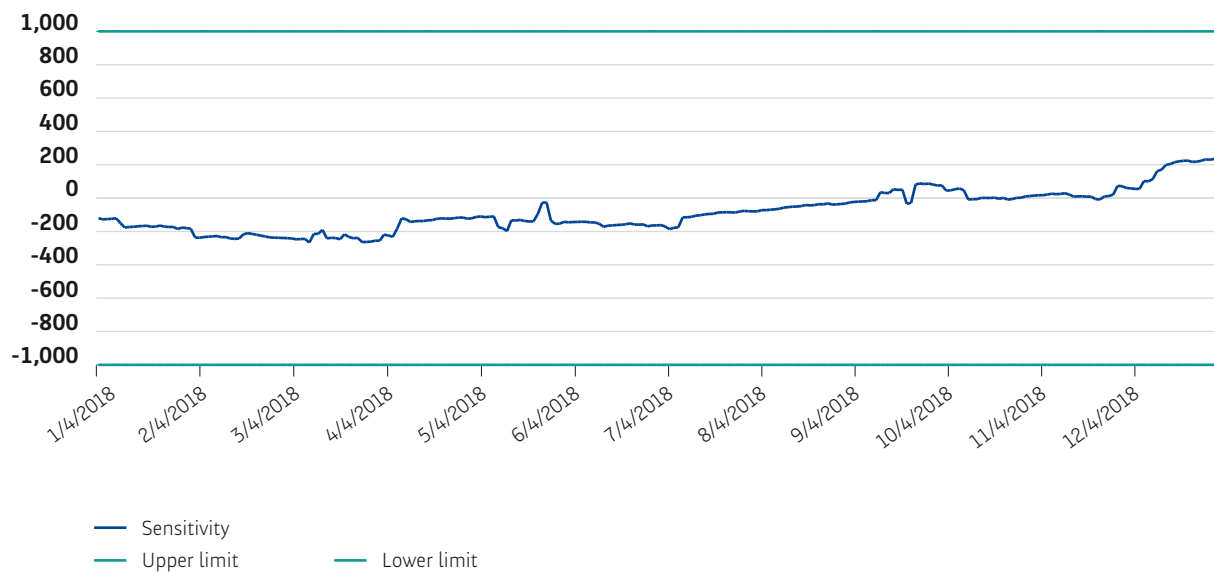
The sensitivity of the trading portfolio decreased at the start of the year before varying around an overall broadly hedged position.

OVERALL RATE SENSIVITY (IN € THOUSANDS/BP)



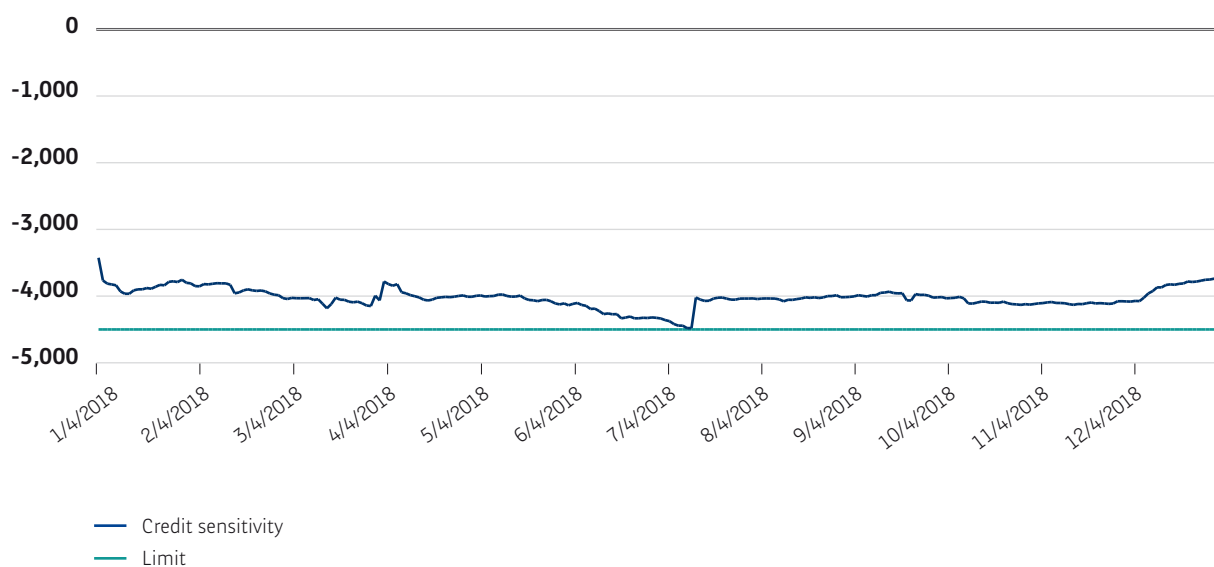
The exposure to rate sensitivity remained low compared to the limit set at €700,000/bp.

CREDIT SENSITIVITY OF THE TRADING PORTFOLIO (IN € THOUSANDS/BP)



The credit sensitivity of the trading portfolio stems primarily from positions on bond futures and CDS. The exposure remained contained with respect to the limit.

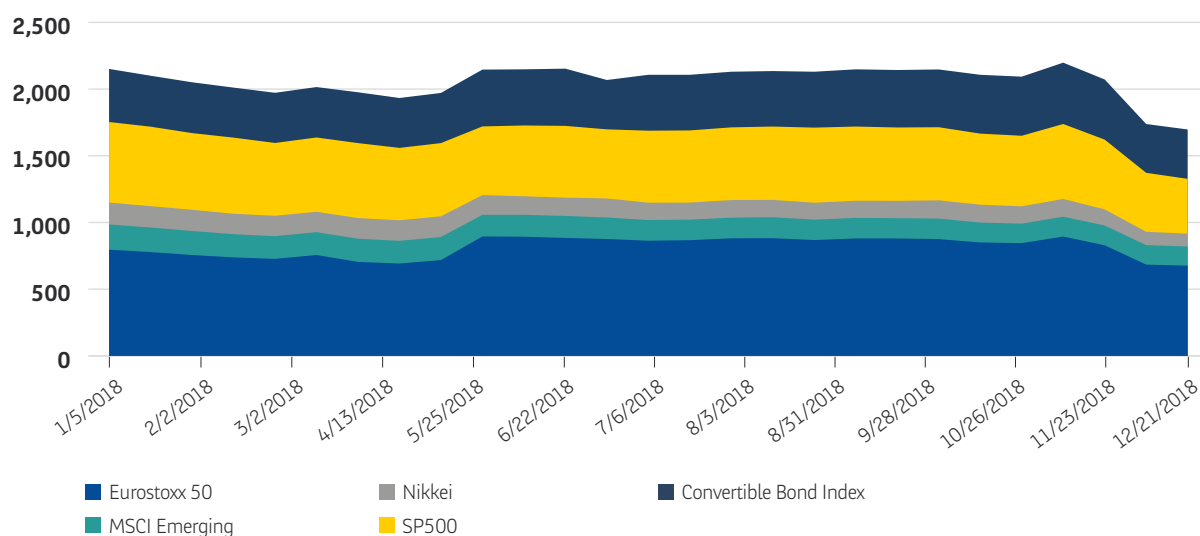
TRADING ROOM CREDIT SENSITIVITY (IN € THOUSANDS/BP)



The credit sensitivity limit is set at €4,500 thousand/bp. It was not exceeded over the period. The decrease in sensitivity observed in July comes from an improvement in the method of calculation of the exposure.



SENSITIVITY TO INDICES



The sensitivity of the UCITS portfolio ⁽¹⁾ to indexes decreased by about 20% over the year. The overall distribution of exposures remained fairly stable.

Exceeding the threshold

Thresholds were exceeded ten times in 2018 within the scope monitored by the Market Risk Department. All of the breaches were notified and corrective action was taken to quickly return under the threshold.

4.5.2.10 Capital requirements for market risk and for CVA

CVA equity requirements

(in € millions)

	RWA
VaR component (including the 3 times VaR multiplier)	0
SVaR component (including the 3 times VaR multiplier)	0
All portfolios under to the standardised method	185
Based on the initial exposure method	0
TOTAL SUBJECT TO CAPITAL REQUIREMENTS WITH REGARD TO THE CREDIT VALUATION ADJUSTMENT (CVA)	185

Market risk within the standardised approach

(in € millions)

	RWA	Capital requirements
CONFIRMED REVENUE		
Interest rate risk (general and specific)	1,038	83
Equities risk (general and specific)	-	-
Exchange rate risk	93	7
Raw materials risk	-	-
Options	-	-
Simplified approach	-	-
Delta Plus approach	-	-
Scenario-based approach	-	-
Securitisation (specific risk)	-	-
TOTAL	1,131	90

(1) For its component valued daily.

4.5.3 Exposure to portfolio equities not included in the trading book

(in € millions)	Risk-weighted exposures
Equity investments	4,217
Subordinated securities	206
Other	331
TOTAL EQUITY RISK	4,754

Consolidated equity investments mainly consist of La Banque Postale's interest in CNP Assurances.

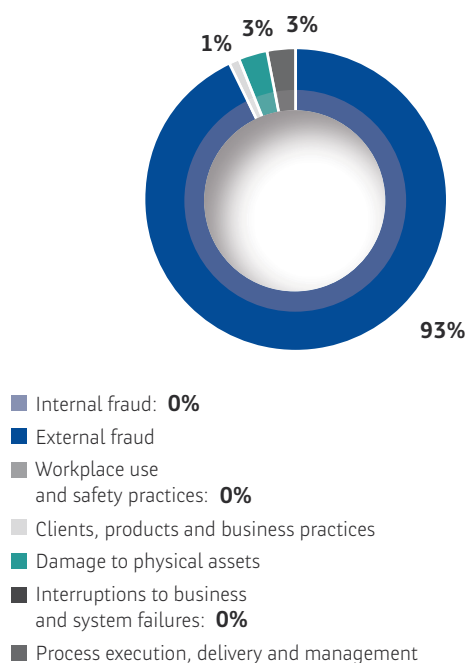
Unrealised gains and losses and gains and losses on disposals are presented in Tables "4.4 Available-for-sale financial assets" and "5.3. Net gains and losses on assets available for sale".

4.6 OPERATIONAL RISKS

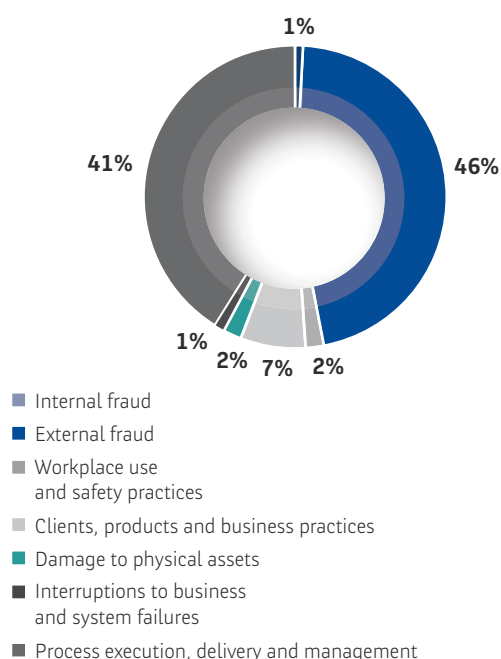
4.6.1 Key figures

The indicators, warning thresholds and limits for operational risk are defined in La Banque Postale Group's Risk Appetite Statement, approved by the Supervisory Board.

The significant incident threshold, within the meaning of Article 98 of the decree of 3 November 2014 was exceeded in 2018. Indeed, the AML/CFT sanction of €50 million issued by the ACPR on 24 December 2018 against La Banque Postale exceeded 0.5% of the Bank's Common Equity Tier 1 (i.e. €42.6m). In accordance with applicable standards, this incident was reported to the Group Risk Department, the Supervisory Board and the Supervisor.



The "external fraud" family is the Group's main exposure. These are frequent cases of fraud, mainly linked to means of payment (electronic money and cheques). However, the actions taken over the past years under the direction of Executive Management have strengthened the system to fight against fraud and significantly reduced the losses resulting from this risk.



Breakdown by business line, by average value (from 2014 to 2018)

Business financing	0.0%
Trading and sales	0.3%
Retail brokering	0.1%
Commercial banking	3.7%
Retail Banking	79.3%
Payment and settlement	9.6%
Agency services	0.0%
Asset management	0.5%
Corporate items	6.5%

4.6.2 Regulatory framework and definition

In accordance with EU regulation No. 575/2013 of 26 June 2013 and the decree of 3 November 2014, the definition of operational risk adopted by La Banque Postale, as approved by the Group Risk Management Committee on 26 February 2015, encompasses the “risk of losses resulting from the unsuitability or failure of internal procedures, personnel or systems, or from external events.

Operational risk notably includes risks linked to events having a low probability of occurrence but a high impact, risks of internal and external fraud, legal risks, risks of non-compliance (including damage to reputation), and risks linked to the model, but excludes strategic risks”.

4.6.3 Scope of application

This definition applies to all of the activities of:

- La Banque Postale and its subsidiaries;
- La Poste in all sectors performing transactions in the name of and on behalf of La Banque Postale;

- companies in which La Banque Postale, through investment, plays a direct and effective management role.

The operational risk management procedures rely upon the principal of the empowerment of the businesses in the identification, measurement, hedging and monitoring of their risks.

4.6.4 Governance

4.6.4.1 Positioning of the Operational Risk Department

The Group Risk Department is responsible, with respect to the Executive Board, for the procedures for managing and monitoring La Banque Postale Group's operating risks.

As such, the Operational Risk Department, under the responsibility of the Group Risk Department, reports to the Group Risk Management Committee for the creation and implementation of procedures for managing and monitoring operational risks.

Missions of the Operational Risk Department

As part of monitoring any type of risks associated with operations (volume V of the decree of 3 November 2014), the main missions of the Operational Risk Department are to:

- **establish the framework:** establish operational risk policy and governance for La Banque Postale Group, define operational risk management rules, standards, methods and tools and ensure their operational application (management of the OR function);
- **monitor:** identify the major risks of La Banque Postale Group, monitor and report on the effectiveness of the systems put in place to manage those risks;
- **anticipate future threats:** identify and model stress test scenarios, identify weak signals.
- **provide support:** help players in the OR function with the implementation and supervision of the system in place in their unit.

4.6.4.2 Operational risk management players

The respective roles and responsibilities of the La Banque Postale Group's players in terms of operational risk management are formalised in the “Group Risk Management System for Operational Risk” which will become a risk management policy in its next iteration. This system is approved by the Group Risk Management Committee and distributed to the various Group entities and to entities acting in the name of and on behalf of La Banque Postale (La Poste Network).

The application of the “Group Risk Management System for Operational Risk” is carried out through procedures and operating methods set forth in the documentation database for operational risk management.

The key principle is the accountability of business units. Managers of entities are the risk managers who, to carry out their duties, rely on specifically designated employees known as “Delegated Risk Managers”.

The Operational Risk Department depends on these officers, who are dedicated or who perform operational activities. They comprise the Operational Risk function. The Delegated Risk Managers are placed in the business units, the support departments and the subsidiaries. Within their respective spheres of responsibility, the Delegated Risk Managers:

- ensure the implementation and application of the operational risk management system;
- monitor its effectiveness;
- report to the Operational Risk Department.

The Operational Risk Department mobilises all players involved in the OR function with the help of an OR functional road map which establishes the action priorities, deliverables and the respective delivery schedule for each year.

4.6.4.3 Bodies

The Operational Risk Department participates, on a monthly basis, in meetings of the Group Risk Management Committee, chaired by the General Secretary. The main task of this committee with regard to operational risk is to approve the Risk Management Policy for Operational Risk. Once a year, the Group Risk Management Committee approves the consolidated Group Operational Risk Map and the list of Outsourced Essential Services.

In addition, each entity must hold a Risk and Control Committee meeting twice a year to provide a consolidated view of the

effectiveness of the operational risk management system and of the related controls.

The Operational Risk Department organises quarterly meetings of Delegated Risk Managers as part of the work of the Coordination Committee for the Operational Risk Function. These committee meetings notably make it possible to coordinate the actions initiated by the OR function, to exchange good practices and to reflect on changes to be made to the Operational Risk Management System.

4.6.5 Current systems

Operational risks are classified according to the risk category and sub-category framework proposed by the Basel Committee and set forth in Article 324 of EU Regulation No. 575/2013 of 26 June 2013 concerning prudential requirements applicable to credit institutions and investment firms.

The Operational Risk Department manages the implementation of an operational risk analysis and measurement system compliant with the decree of 20 February 2007 on capital requirements applicable to credit institutions and investment firms and with Regulation No. 575/20123.

The system notably depends on:

- ▶ operational risk mapping;
- ▶ the implementation of a system for communicating events and losses sustained by the various entities of La Banque Postale and the subsidiaries concerned to the Group Risk Department;
- ▶ the implementation of modelling and quantification of operational risk stress tests;
- ▶ reports, consisting of an assessment of operational risk levels by Basel group, based on events identified and monitoring indicators.

The system implemented aims to ensure that La Banque Postale Group, as well as all entities acting in its name and on its behalf, is organised in such a way that it is able to continually identify, evaluate and monitor its operational risks, so that it can take appropriate preventive or corrective measures.

Thus, operational risk management contributes to strengthening the bank's internal control system.

- ▶ **its integrity:** by guaranteeing the accuracy and reliability of the information and data processing methods;
- ▶ **its confidentiality:** by guaranteeing that only authorised persons have access to the information;
- ▶ **its traceability:** by knowing which persons have access to the information and when they access it.

The process of securing Information Systems is the responsibility of the business lines under the leadership of the Group RSSI (Manager of Information Systems Security). It deals with information security in an interdepartmental manner in all of the La Banque Postale Group's activities.

The process is fourfold:

- ▶ defining La Banque Postale's ISS strategy under the Risk Management Policy. It is made up of the Information Systems Security General Policy, Thematic Policies, Technical Security Directives, operational procedures and IT Charters;
- ▶ overseeing the operational application of the ISS Strategy and alerting to any discrepancies;
- ▶ assisting the business lines in complying with the ISS Strategy and offsetting their risks relating to information systems, in particular by:
 - scrutinising their information systems risk analyses,
 - making employees aware of changes in ISS risks;
- ▶ compiling a list of the ISS risks to which La Banque Postale Group is exposed so as to provide the Group Risk Department with the necessary data to inform Executive Management bodies of exposure to risk.

Organisation

In operational terms, ISS consists of identified Correspondents who report to Operational Risks.

Cyber risk and insurance coverage

Cyber risk is a major concern for La Banque Postale within the context of the massive digitalisation of services and of a growing cyber threat.

In addition to the cyber risk management action plans deployed within the Group, an analysis of the level of coverage provided by cyber risk insurance was undertaken in 2018 and resulted in taking out additional capacity.

4.6.5.1 IS security

A risk-based approach to Information Systems Security

Information Systems Security is defined as an overall risk management system guaranteeing an adequate level of protection of information and related assets in order to ensure:

- ▶ **its availability:** by guaranteeing that authorised users have access to the information and related resources as needed;

4.6.5.2 Emergency and Business Continuity Plan (EBCP) and Safety of Persons and Property (SPP)

The Group's Emergency and Business Continuity Plan (EBCP) and Safety of Persons and Property (SPP) framework is intended to minimise the impact of potential accidents on customers, staff, activities and infrastructure in order to preserve the reputation of the Group and its survival.

The goal of the implementation approach is to optimise the business continuity and physical resilience systems of all of the Group's entities. It is based on a methodology consisting in:

- ▶ identifying threats;
- ▶ protecting infrastructure *via* prevention and physical protection systems and measures;

- ▶ identifying business line continuity priorities, needs and strategies;
- ▶ implementing an effective response capacity for a range of crisis scenarios, including extreme shocks, *via* a group crisis management system;
- ▶ testing and maintaining the systems to ensure their effectiveness.

The Group has defined four interruption scenarios:

- ▶ lasting unavailability of a site hosting personnel;
- ▶ failure of information systems and/or technical systems;
- ▶ severe employee absenteeism;
- ▶ unavailability of essential service providers.

The EBCP/SPP manager works with a specialised unit which manages the risk of business continuity failure in a cross-entity capacity.

4.6.6 Calculation of capital requirements in respect of operational risk

Calculation method

The entire La Banque Postale Group implements a calculation of capital requirements according to the standardised approach pursuant to Articles 317 to 320 of EU Regulation No. 575/2013 of 26 June 2013.

The calculation of weighted assets is obtained by multiplying the capital requirements by 12.5.

Summary Table

(in € millions)	31.12.2018		31.12.2017
	Risk-weighted assets	Capital requirements	Risk-weighted assets
Standardised approach	9,351	748	9,318

4.7 INSURANCE AND CONGLOMERATE RISKS

4.7.1 Insurance risks

The Insurance Division comprises four subsidiaries constituted as limited companies and a qualifying shareholding in CNP Assurances, itself a limited company.

Through its insurance subsidiaries - La Banque Postale Assurances IARD (LBPAI), La Banque Postale Prévoyance (LBPP), La Banque Postale Assurance Santé (LBPAS) and La Banque Postale Conseil en Assurances (LBPCA) – and its relationship with CNP Assurances (through both its commercial partnership and its equity interest in CNP Assurances), La Banque Postale Group is exposed to risks inherent to the insurance sector.

The development of La Banque Postale's activities with its customers has relied, since its creation, on the reinforcement of its insurance offers. In this respect, the insurance business is an important element of the Group's strategy.

For more information on the insurance activities, refer to chapter 1 "Overview of La Banque Postale Group", Section 1.4.2 Insurance.

4.7.1.1 Classification of insurance risks

All of the subsidiaries and investments of the Group belonging to the insurance sector must meet, at all times, the regulatory requirements of this sector. La Banque Postale, while not an insurance group within the meaning of Article L.322-1-2 of the French Insurance Code, as the parent company and head of the financial conglomerate, is responsible for ensuring that each of its subsidiaries meets all the requirements and, more generally, as regards the Insurance Division as a whole, that the mechanisms for risk control implemented are in line with, in particular, the Group's Risk Management Policy and Group Risk Management Charter.

The Insurance Risk Management Policy is carried out on the basis of the legal and regulatory framework implemented by the "Solvency II" and "FICOD" directives, transposed into French law. This Policy sets out the strategies, principles and processes making it possible to identify, measure, manage and monitor risks to which the insurance activities of La Banque Postale Group are exposed, including those entrusted to its partners from the insurance sector.

Within the framework of the Group's Risk Management Policy and the Group Risk Management Charter, and by delegation of La Banque Postale Group's Risk Management Department, the definition and implementation of the risk management system for the management, control and monitoring of the insurance activities of La Banque Postale and its subsidiaries are entrusted to the Finance, Risk, Compliance and General Management Department of the Insurance Division which:

- ▶ develops and validates an Insurance Risk Management Policy which is integrated into the Group Risk Management Policy;
- ▶ implements the mechanisms for the management of the La Banque Postale Group's risks, by deploying and adapting them, as applicable, for the Insurance Division, taking into account the applicable sectoral regulations;
- ▶ oversees compliance, by the Insurance Division entities, with the Group systems and with the requirements specific to the Business and the applicable regulations;
- ▶ implements a risk department for the Insurance Division for which it ensures coordination and liaison with the Bank's Risk Department. It is led by the La Banque Postale's Group Risk Department with, notably, the Risk and Actuarial Department

and, within this framework, the head of risk management within the Insurance Division is, at least, functionally attached to it

These mechanisms for controlling insurance risk must make it possible for the Group to have a sub-consolidated vision, at the level of the Insurance Division, of the risks taken and the potential risks, and to ensure at all times that they are compatible with the appetite for risk. Equally, this mechanism must make such monitoring possible on a consolidated basis at the level of the Group.

To ensure that the insurance activities are aligned with La Banque Postale Group in terms of risk management, the Insurance Risk Committee coordinates and supervises the risk management system for the entire Insurance Division, including outsourced activities. In particular, it is in charge of providing a consolidated perspective of Insurance Division risk and of the corresponding level of control.

The committee is chaired by the Head of the Insurance Division and is coordinated by the Divisional Head of Finance, Risk, Compliance and General Management. Committee meetings are attended by managers from various functions contributing to the risk control and management system of La Banque Postale:

With regard to the Insurance Division, the **governance of risk** is based on:

- ▶ the executive bodies of each subsidiary: the Board of Directors and its Audit and Risk Committee, in addition to other committees deriving from it: the Financial Committee and the Development Committee, for example;
- ▶ the operational governance bodies:
 - the General Management of the Subsidiary which relies on two managers, each of which has the authority to commit the Company and whose respective scope of duties and the systems allow for a double view on the operations and continuity in decisional processes defined by the Board of Directors.

General Management undertakes various responsibilities with regard to the establishment, management and monitoring of the internal control and risk management system (implementation of the Insurance Risk Management Policy, allocation of capital to the various business activities, defining operational thresholds with regular reviews according to the development of the risk profile; defining in detail the organisation of the Subsidiary and, notably, the associated decision-making processes; defining and developing an internal control environment; ensuring the implementation of an appropriate structured reporting system; examining the indicator dashboard and updating the risk map; recommending measures aimed at adapting and improving the internal control and risk management system to the Board of Directors and applying the Board's guidelines on measures to be taken to mitigate identified risks and/or introduce improvements based on reports received; alerting the Board of Directors of any malfunctions or significant risks),

- the Insurance General Management Committee, which brings together the Insurance Division Director, the Effective Managers of the subsidiaries, the Human Resources Director, and the Director of Corporate Affairs (responsible for implementing the strategic directions of the Insurance Division, ensuring monitoring of the progress plan and implementing any required corrective actions, defining and coordinating the Insurance Division's activities, managing the results and resources of the Insurance Division, proposing structural operational solutions for

the Insurance Division, guaranteeing coordination with the Group and providing it with their expertise, proposing new growth projects, developing the Insurance Division's medium-term plan and monitoring its implementation),

- the Risk Management Committee under the responsibility of the Risk Management Function (assists General Management with the definition and monitoring of the risk strategy, the measurement of the associated capital levels and the definition of any corrective actions, provides oversight of the risk management system and of the control plans, and ensures the regular production of the risk indicator dashboard);
- the Model and Assumptions Committee of each subsidiary reporting to the Actuarial Unit (provides General Management, the Actuarial function and the Risk function with a report on the status of the models, the environment and security in place and their updating in order to understand, approve and report to the Risk Management Committee on changes to models and their impact as well as on model thresholds, ensures that there is an adequate level of documentation, obtains approval for the management strategies proposed to the Company's business heads, takes part in training managers on the tools and their limits, arbitrates the assumptions, legal framework and models used for the decisions),
- the Product Review Committee, reporting directly to General Management (analyses new products and guarantees and their risks in order to verify their match with the business plan and the risk profile of the subsidiary, approves or rejects projects to launch new products or guarantees prior to presentation to the La Banque Postale's Products Review Committee),
- Partnership Management Committees reporting to General Management to verify implementation by service providers of their contractual commitments in terms of risk management,
- the four key functions of each subsidiary: Risk Management, Compliance Checking, Actuarial Verification and Internal Audit (which is delegated to the Internal Audit Department of La Banque Postale). The key functions report on their work to the Audit and Risk Committee which reports in turn to the Board of Directors.

The risk thresholds are set in line with the risk appetite of each subsidiary, and are approved by each subsidiary's Board of Directors. They provide a strict framework for risk management and the selection of risks.

The main risks linked to insurance activities are monitored by La Banque Postale Group's Risk Management Committee and CNP Assurances' Audit and Risk Committee.

4.7.1.2 Classification of insurance risks

La Banque Postale's Insurance Division risks are grouped into four main risk categories in line with the risk classification of the Solvency II regulations and the conglomerated risk map:

- ▶ financial risks;
- ▶ insurance liability risks (or technical risks);
- ▶ operational risks and risks of non-compliance;
- ▶ other risks, including the model risk.

Financial risks

The insurance subsidiaries of La Banque Postale carry out market transactions as part of their balance sheet asset and liability management: shareholder equity and commitments towards policyholders are covered by various categories of assets exposed to the risk of securities' price changes resulting from movements in the financial markets and factors inherent to each issuer.

Market risk is the risk of losses or an negative change in financial situation resulting directly or indirectly from fluctuations impacting the level and volatility of the market value of assets, liabilities and financial instruments.

The insurance subsidiaries are exposed to the following market risks:

- ▶ interest rate risk;
- ▶ equity risk;
- ▶ property risk;
- ▶ spread risk;
- ▶ exchange risk;
- ▶ concentration risk;
- ▶ liquidity risk;
- ▶ counterparty risk.

Interest rate risk

Interest rate risk arises from the sensitivity of the value of financial assets and instruments to changes affecting the yield curve or interest rate volatility.

Given that most of the portfolio consists of interest rate products, the asset portfolio is mainly exposed to interest rate risk: an interest rate rise would have an immediate repercussion on the level of unrealised capital gains or losses on fixed-income assets; a fall in interest rates would entail a dilution of the asset's overall rate of return caused by lower actuarial rates upon the purchase of bonds.

Equity risk and property risk

Equity risk and property risk result from the sensitivity of the value of these assets to changes affecting the market value or volatility of equities and/or property.

As with direct investments in equities and through equity investment funds, equity portfolios are sensitive to fluctuations that may be sustained in the equity markets and the risk of loss of value caused by a fall in prices of property and infrastructure assets.

Spread risk

Spread risk arises from the sensitivity of the value of assets, liabilities and financial instruments to changes affecting the level or volatility of credit spreads compared to the risk-free interest rate yield curve.

Exchange rate risk

Exchange rate risk is associated with exposure through investments denominated in a currency other than the euro. There is a risk that the investment currency will fall in relation to the euro. There may be some indirect exchange rate risk exposure arising from placements in investment funds able to invest in securities denominated in a foreign currency.

Exchange rate risk is related to fluctuations in the level or volatility of exchange rates between the currency of assets and of liabilities.

Concentration risk

Concentration risk arises either from insufficient asset portfolio diversification or from significant exposure to default by a single securities issuer or by a group of related issuers.

Liquidity risk

Liquidity risk, for the insurance subsidiaries, is the risk of being unable to realise their investments and retain assets in order to meet their financial obligations when they fall due.

Counterparty risk

Counterparty risk is the risk of possible losses which could lead to an unexpected default, or the deterioration of the credit quality of the insurance subsidiaries' counterparties and debtors.

The scope of counterparty risk includes contracts with provision for risk mitigation, such as reinsurance contracts, securitisations and derivatives, and receivables due from intermediaries and insured parties.

In order to manage market risk, strategic and tactical investment allocation guidelines are defined annually by the insurance subsidiaries of La Banque Postale Group. These guidelines specify targets for portfolio distribution by asset class, the maturities and preferred interest rates for fixed-income investments, as well as the bank's objectives in terms of hedging financial risks.

Oversight of the implementation of these guidelines involves assessing compliance with the thresholds applicable to each asset class, monitoring portfolio sensitivity and ensuring a satisfactory liquidity level.

Technical risks, or insurance liability risks

Due to their activities in Property & Casualty insurance and in Health & Personal Risk insurance, the insurance subsidiaries of La Banque Postale are exposed to underwriting risk and to catastrophe risk, associated with changes to the features of portfolios of insured parties.

Underwriting risk is defined as the risk which the insurer takes in distributing insurance contracts to physical persons or to legal entities, stemming from:

- ▶ market segments or risk categories which are not consistent with the risk profile and commercial strategies of the insurance company;
- ▶ complex risk categories which are difficult to assess;
- ▶ insufficient technical competencies within the internal personnel and the sales networks;
- ▶ failure to comply with limits.

Underwriting risk encompasses the following risks:

- ▶ **mortality risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of mortality rates, when a rise in these rates brings on a rise in the value of insurance commitments;
- ▶ **longevity risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of mortality rates, when a fall in these rates brings on a rise in the value of the insurance commitments;

- ▶ **disability risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of disability, sickness and morbidity rates;
- ▶ **surrender risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of early termination, expiry, renewal and surrender of policies;
- ▶ **expense risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of expenses incurred for the management of insurance or reinsurance contracts;
- ▶ **revision risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of revision rates applicable to annuities, as a result of a change in the legal environment or state of health of the insured party;
- ▶ **premium and reserve risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the occurrence, frequency and gravity of insured events, as well as the date and amount of claim settlements;
- ▶ **catastrophe risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from significant uncertainty of pricing and provisioning assumptions in the light of extreme or irregular events.

Through their underwriting policies, the Property & Casualty and Health & Personal Risk insurance subsidiaries define their requirements in terms of controls, management and monitoring of underwriting risk, in line with the features of the portfolios insured. The applicable rules aim to hedge the anticipated level of technical risk. Underwriting thresholds have been defined for each risk.

Operational risks and risks of non-compliance

Operational risks and risks of non-compliance correspond to unforeseen losses resulting from inadequate or faulty internal processes, personnel, internal systems or external events. Operational risk includes legal risks, but does not include risks stemming from strategic decisions, or from reputational risks.

Operational risks include:

- ▶ risk of internal fraud: risk of losses resulting from actions which are not compliant with the legislation in effect or with employment, health or safety conventions, claims for compensation for personal prejudice or breaches of equality/acts of discrimination;
- ▶ risk of external fraud: risk of losses resulting from actions by a third party intended to defraud, misappropriate property or bypass legislation;
- ▶ risks related to employment and workplace safety: risk of losses resulting from actions which are not compliant with the legislation in effect or with employment, health or safety conventions, claims for compensation for personal prejudice or breaches of equality/acts of discrimination;

- ▶ risk related to customers, products and business practices: risk of losses resulting from an non-intentional breach, negligence, failure to meet a professional obligation toward specific customers (including fiduciary and compliance requirements) or shortcomings in the nature or design of a product;
- ▶ risk of damage to tangible assets: risk of destruction or damage resulting from a natural catastrophe or other events;
- ▶ risk of business interruption or system malfunctions: risk of losses resulting from interruptions of the business activity or system malfunctions;
- ▶ risks related to the execution, delivery and management of processes: risk of losses resulting from a problem in the processing of a transaction or in the management of processes or suffered within the context of relations with commercial counterparties or suppliers.

Other risks

Other risks concern those tied to internal and external factors which may have a significant impact on the strategy and the achievement of the objectives of the insurance subsidiaries or of another entity.

They include the following risks:

- ▶ **risk related to regulatory changes:** risk related to regulatory changes which have not yet been mastered which can unfavourably impact the strategy, volume or quality of new business, the profitability of the portfolio or which could result in sanctions. This also includes tax changes;
- ▶ **retail risk:** risk of losses due to a retail strategy which does not enable achievement of the goals initially set in the business plan;
- ▶ **reputational risk:** risk of losses due to the deterioration of the image of a subsidiary or one of its partners;
- ▶ **emerging risks:** risks related to technology and/or environmental changes which have not yet been mastered;
- ▶ **partnership risk:** risk of losses due to a partner strategy which does not enable achievement of the goals initially set;
- ▶ **model risk:** this risk covers the risk of specification error, implementation risk and estimate risk and the risk of improper use.

4.7.2 Conglomerate risks

La Banque Postale was identified as Conglomerate Head by the competent authority upon its creation in 2006 and, in that respect, is subject to Additional Oversight.

The obligations related to Additional Oversight are described in the decree of 3 November 2014 concerning Additional Oversight, transposing EC Directive 2002/87, also known as the FICOD directive.

In this respect, the insurance subsidiaries: La Banque Postale Assurances IARD (LBPAI), La Banque Postale Prévoyance (LBPP), La Banque Postale Assurance Santé (LBPAS), in addition to the qualifying shareholding in CNP Assurances, the asset management firm LBPAM and the subsidiary credit institutions and investment firms, are subject to additional oversight in the following areas:

- ▶ capital adequacy;
- ▶ monitoring concentration risk;
- ▶ monitoring intragroup positions.

The conglomerate structure corresponds to the Group structure set out in chapter 1 of this document, while the consolidation method is detailed in chapter 5, Note 12. The governance of CNP Assurances is described in its own Registration Document for 2017, in chapter 3 related to its corporate governance and internal control as well as chapter 4 relating to its risk management and internal control (its 2018 Registration Document has not yet been issued).

The monitoring of conglomerate risks led to the implementation of a conglomerate standard within the Group which was approved by the Standards Validation Committee in May 2017.

4.7.2.1 Governance and organisation

Conglomerate risks are monitored, in particular, for:

- ▶ the subsidiaries, at the Group body level, namely the Insurance Risk Committee, then the Group Risk Management Committee (see Section 4.7.1 on Insurance risks);
- ▶ CNP Assurances' qualified participation, at the level of the Conglomerate Committee, which is subject to specific cross-functional monitoring. This committee meets on a quarterly basis and includes members from the financial functions and the internal control functions for each entity. Thereafter, monitoring takes place at the level of the Group Risk Committee.

The management and monitoring of risks in the insurance sector is therefore the remit of the Insurance Risk Committee and the Conglomerate Committee. The main risk factors and associated indicators are presented at the meetings of these committees.

The Conglomerate Committee met four times in 2018 and reviewed the following topics related to internal control:

- ▶ presentation and monitoring of the Audit Plan;
- ▶ presentation and monitoring of the Risk and Permanent Control System;
- ▶ presentation and monitoring of the Compliance and AML/CFT system.

The assumptions regarding the trajectory of the insurance subsidiaries and their significant involvement are covered in the Group business plan.

The committees provide exchanges ensuring additional supervision.

A summary is presented to the Group Risk Management Committee on, in particular:

- ▶ solvency ratios for the insurance sector entities;
- ▶ monitoring of concentration risk, broken down by the conglomerate's main beneficiaries.

A summary is also presented on the asset management subsidiaries, setting out:

- ▶ distribution by asset class and by rating;
- ▶ monitoring of concentration risk, broken down by sector, by geographic area and by bank debt beneficiary.

(in € millions)

	30.06.2018	31.12.2017	31.12.2016
Total equity of the financial conglomerate	12,458	13,175	12,925
Regulatory requirement for the regulated entities	8,203	8,035	7,458
Equity excess or shortage	4,256	5,140	5,378

4.7.2.3 Monitoring of concentration risk

La Banque Postale must ensure that its information is complete and comprehensive to provide full and proper oversight of concentration risk. La Banque Postale has all the information required to monitor concentration risk.

In particular, it takes into account, for insurance sector exposures, the different assessment of exposures borne, the bank carrying fully and directly the risk of exposure carried on its balance sheet assets while the insurers' exposures, which are positioned in relation to insurance premiums, generate a residual risk (zero on certain supports) carried by the Conglomerate.

The conglomerate does not change the risk profile of La Banque Postale to a significant degree. It remains exposed mostly to sovereign risk and local authority risk in the euro zone

4.7.2.2 Capital adequacy monitoring

As Conglomerate Head, La Banque Postale must ensure the individual capital adequacy of each entity subject to prudential requirements and on a consolidated basis at the conglomerate level.

The level of capital, at Conglomerate level, must be sufficient to meet the capital requirements (ratio above 100%).

As at 30 June 2018, the equity of the financial conglomerate meets the solvency requirements for banking and insurance activities.

and mainly in France. The remaining exposures are mainly located on the banking counterparties.

4.7.2.4 Monitoring of intragroup position risk

La Banque Postale monitors intragroup positions between the insurance entities and the credit institutions.

Intragroup exposure is limited to the guarantees provided by CNP Assurances (or its subsidiaries (CNP Caution)) for the real estate loan activities, the amount of which does not exceed €1 billion, and the amount of commissions received. There are no refinancing dependencies (senior or subordinated) between the two sectors.

4.8 OTHER RISKS

4.8.1 Legal and tax risk

The Group Legal Department has a dual role in terms of controlling legal risk. It advises the Bank's departments, enabling them to measure the legal risk inherent to their activity, and it also defends the Bank's interests.

The control of legal risk extends throughout La Banque Postale Group *via* the formation of the La Banque Postale Group legal unit. Given that the legal officers of the subsidiaries report functionally to the La Banque Postale Group Deputy Head of Legal Department, the legal unit ensures there is consolidated information on, and management of, significant legal risks that could impact the subsidiaries.

The Group Legal Department also contributes to the work performed by the Bank's various committees:

- ▶ within the Regulatory Oversight Committees, the Legal Department defines, disseminates and implements the policy positions concerning the laws and regulations which affect the Bank's business activities;
- ▶ within the New Products Review Committee, the Legal Department analyses the cases presented and issues opinions;
- ▶ within the Disputes & Provisions Committee, the Legal Department discusses the litigation under way and the provisions to be booked for them;
- ▶ within the Internal Control Coordination Committee, the Legal Department takes part in reviews concerning audits and internal control activities;

On 21 December 2018, the ACPR Sanctions Committee reprimanded La Banque Postale and issued a financial penalty of €50 million following a report on its AML/CFT initiative. The report found that the control system was deficient with respect to national

mandates issued by non-customers. This activity was terminated as of 31 December 2017. LBP decided to lodge an appeal against the ruling before the Council of State. In addition, the report led to the opening of a preliminary inquiry.

On 21 December 2017, the Paris Court of Appeal, referred to after appeal, confirmed the decision of 20 September 2010 by the Competition Authority which sentenced 11 French retail banks and the Banque de France to a fine for entering into an agreement on cheque image exchange (EIC) commissions. Given this, La Banque Postale and the banks accused appealed on 22 January 2018.

There are no other governmental, legal or arbitration proceedings, including any proceedings of which the Company is aware, whether pending or threatened, that are likely to have or have had during the last 12 months, any significant effect on the financial position or profitability of the Company and/or the Group.

La Banque Postale's fiscal risks are the responsibility of the Tax Department reporting to the Bank's Finance Department. This department provides La Banque Postale's fiscal management and centralises tax advisory for all of the Bank's different business lines and the subsidiaries. It helps the different contacts to prevent and control fiscal risks.

The Tax Department takes part in and issues its opinion within the different internal committees, namely the Product Review Committee, the Regulatory Monitoring, Prudential Accounting and Governance Monitoring Committee, the Cross-Entity Securities Committee and the Cross-Entity Savings Committee.

On 14 November 2018, La Banque Postale was repaid VAT collected on recovery transactions on behalf of third parties (notice to third-party debtors and others) for the period from 1 January to 31 January 2015.

4.8.2 Risk of non-compliance and permanent control

4.8.2.1 Supervision of the non-compliance risk management procedures

Definition

Non-compliance risk is defined by the decree of 3 November 2014 as *"the risk of legal, regulatory or disciplinary sanctions, or significant financial loss or damage to reputation, due to failure to comply with provisions relating to banking and financial activities, regardless of whether these provisions are legal or regulatory, directly applicable national or European provisions, professional or ethical standards or instructions from Company managers given in accordance with the guidelines of the supervisory body"*.

The legislator granted the regulator, through Article L.612-1 of the French Monetary and Financial Code, the role of *"ensuring that persons subject to the control of the regulator comply with the rules designed to safeguard the protection of their customers [...] and that the resources and procedures that they implement to that end are fit for purpose."*

In addition, as a provider of Investment Services, La Banque Postale is obliged to comply with the General Regulation of the French Financial Markets Authority (AMF) and to manage the associated risks.

Non-compliance risk includes risks associated with combating money laundering and the financing of terrorism activities.

Non-compliance risk management involves the following departments:

- ▶ the Compliance Department (the Customer Protection Department, Financial Security Department, Coordination and Steering Committee);
- ▶ the Permanent Control Department;
- ▶ the Legal Department.

Three committees are dedicated to governance of this risk: the CCCID (Internal Control Coordination and Ethics Committee), La Banque Postale's AML/CFT Committee and the Group AML/CFT Committee.

4.8.2.2 Action by the Compliance Department to ensure customer protection and investment services compliance

Customer protection

The system for management of customer protection risk is based on the key principle of accountability among all players involved. This principle is the foundation of an efficient customer protection system. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required, while taking into account the customer's interests. This principle relies on close involvement of managers.

Similarly, all employees must ensure that each project that they work on is managed in compliance with the systems and internal rules of La Banque Postale Group with regard to customer protection.

The job of protecting customers has always been a matter handled with great vigilance by La Banque Postale. It has a system which aims to control, as effectively as possible, the risks to which it is exposed and it ensures that the system is adapted according to needs.

La Banque Postale is equipped to identify potential or proven risks, whether upstream through regulatory monitoring, or with feedback through the analysis of complaints and control results.

It has implemented a management system for this risk based on three departments: Regulatory Monitoring within the Legal Department and the Compliance and Customer Protection Policy Departments within the Compliance Department.

The Compliance Customer Protection Department ensures the implementation of the system provided for by Article 35 of the decree of 3 November 2014 by preparing and leading the Product Review Committee. This committee meets for all new products and major changes at La Banque Postale. It is chaired by the Head of Compliance.

The Compliance Customer Protection Department ensures the consistency of the messages broadcast *via* advertising media with the values of La Banque Postale (priority given to customer interests, clear information).

The Customer Protection Policy Department manages customer protection risk mapping for all La Banque Postale Group entities. The mapping is included in the Group's operational risk mapping, managed with a centralised tool. It is updated at least once a year by the Group entities subject to this risk. To manage mapping, the department relies on the leadership of the compliance correspondents of the entities within the framework of the coordination committees.

The department also handles customer complaints forwarded by the supervisors and leads the Compliance and Claims Control group. This group brings together all of the Compliance correspondents of the business lines in question to define and monitor implementation of the improvement actions identified during the complaints process. It also prepares the questionnaire on commercial practices and customer protection for the ACPR (QPC).

Compliance of investment services

The compliance control system for investment services is managed by the Head of Compliance for Investment Services, assisted by the Investment Services Compliance Department. The latter department assists with the functional application of the control of the delivery

of investment services by natural persons working under the authority of La Banque Postale, or on its behalf, as well as controlling relationships with customers and with the markets.

The RCSI chairs La Banque Postale Group's RCCI/CCSN Committee, which is a quarterly forum for Compliance and Internal control managers of subsidiaries providing investment services to discuss experiences and dialogue on expertise.

The Investment Services Compliance Department manages the mapping of risks associated with investment services (and ancillary risks). The purpose of this risk mapping exercise is to assess the suitability and effectiveness of the compliance systems in terms of detecting any risk of non-compliance with the professional obligations referred to in Section II of Article L.621-15 of the French Monetary and Financial Code.

The risk map identifies the professional obligations applicable to the entity in respect of investment services and the compliance systems in place that enable compliance therewith, including the permanent controls. The essential points are the items referred to in the annual survey, addressed to the AMF, which require Level 2 controls. It is based on the results of permanent and periodic controls and on events.

The non-compliance risk assessment enables the frequency of Level 2 controls for investment services to be adjusted, depending on the level of risk.

This risk map feeds into the customer protection risk map for matters concerning customer protection, and also feeds directly into the bank's operational risk map for risks related to market integrity and information barriers.

Finally, the Investment Services Compliance Department prepares a map of the various potential conflict of interest situations in its business activities which could compromise customer interests (and/or those of unit holders). This risk map ensures that organisational or procedural measures are implemented to prevent or manage potential conflicts of interest and ensures that the related controls are carried out and produce satisfactory results.

4.8.2.3 Action by the Compliance Department to fight against money laundering and the financing of terrorism

The system to fight against money laundering and the financing of terrorism (AML/CFT) is implemented by the Financial Security Department (FSD) reporting to the Compliance Department. It is deployed within the La Poste Network and at the subsidiaries by the Coordination and Steering Committee

The Financial Security Department

The Financial Security Department defines La Banque Postale Group's rules of procedure for AML/CFT and for regulatory AML/CFT documentation and training.

It manages the alerts issued by the La Poste Network and the alert tools;

It also plays a role in the supervision, expertise and definition of training for the bank's AML/CFT Division. It ensures that the system is consistent throughout the La Banque Postale Group with regard to the classification of AML/CFT risks and ensures consolidated reporting.

The Financial Security Department is also responsible for managing the bank's relationships with Tracfin (AML/CFT) and with the Treasury (financial penalties and embargoes) at national level.

The Financial Security Department has the following dedicated resources to carry out its work successfully:

- ▶ the AML Department which consists of the Tracfin Declarants/Correspondents (DCT) and the AML units.

The Financial Security Department has seven AML units in the Financial Centres (*i.e.* about 60 employees) responsible for analysing all alerts from post offices, Business Centres and Financial Centres, as well as the alerts generated by the dedicated AML/CFT software package.

Having analysed warnings and alerts, the AML unit analysts either proceed to a justified filing with no action, or prepare an investigation file for referral to the Level 2 AML/CFT function.

The Financial Security Department consists of 14 Tracfin Declarants/Correspondents who are the only persons within the function (excluding the subsidiaries and branches) authorised to send suspicious transaction reports to Tracfin and to respond to the communication right exercised by that body.

The Financial Sanctions Department

The Financial Sanctions Department, which consists of experts and an Anti-Terrorism unit

The Anti-Terrorism unit is responsible for the first-level handling of alerts identified by filtering financial penalty lists with the aid of the filtering tool, and is responsible for monitoring countries under embargo.

Alerts which are not raised by the Anti-Terrorism unit are sent for processing to the dedicated operational unit of the Financial Security Department which manages the overall system.

Department of Risks and Procedures

This department consists of two departments that define the classification of risks and the applicable procedures in terms of Financial Security.

Department of Data Sciences Financial Security

This department consists of a business line Project Management team that ensures that the financial security tools are mastered, and a team dedicated to modelling Fraud and AML/CFT alert scenarios.

La Poste Network

The local system is based on the Sector Heads of the La Poste Network with respect to the post offices, the Operational Risk Managers in the Financial Centres and the Business Centre Heads for the Corporate function.

- ▶ the Sector Heads in the Post Office branches
The Sector Heads act in the name of and on behalf of La Banque Postale. They are in charge of establishing alerts for anomalies, reported as part of Post Office activities, that are likely to constitute a money laundering or terrorism financing risk. These alert systems feed into the AML/CFT Division's tools for combating money laundering.
- ▶ The Operational Risk Managers in the Financial Centres are responsible for risk management, including money laundering and terrorism financing risks. They are responsible for:
 - monitoring specific risks related to sensitive customers and the termination of business relationships;

- monitoring alerts issued by various Centre services;
- raising the awareness of and training the Financial Centre staff with the support of the AML/CFT units;
- ▶ The Business Centre Heads of the Corporate function have the same responsibilities as the Sector Heads with regard to the activities of specialist business centre advisors and the professional customer managers.

4.8.2.4 Action by the Compliance Department related to ethics risks

Ethics represent the principles and values of the Company and are a continuation of La Poste's historical values which consist of business ethics and the rules of individual and collective conduct to be applied by every employee.

The Ethics Department combines the functions responsible for ethics, regulatory approvals, conduct risk and the system to prevent corruption.

Ethics

The ethics function is responsible for defining and disseminating'' La Banque Postale's rules of ethics based on Company values defined at the highest level.

- ▶ the rules are formalised in the Ethical Conduct Code and its appendixes and in the Anti-Corruption Code of Conduct. The codes are appended to the Internal Rules to ensure that any breaches can be penalised;
- ▶ they are disseminated using different methods: distribution of the codes and explanatory and illustrative documents, intranet page, in-class training and e-learning to reach all employees at different times in their career, *i.e.* when they begin with the Company, carry out activities and take regular refresher courses;
- ▶ they are distributed by the network of ethics correspondents in the head office departments, the subsidiaries and the Financial Centres which meet periodically;
- ▶ finally, any breaches of ethics or misappropriations discovered by the control bodies and forwarded for action to HR managers and services are escalated and analysed monthly to ensure national monitoring of the most serious cases.

Approvals

Ownership of the global approval system includes Insurance approval, AMF certification and the approval for banking and financial sales. This involves the personnel of La Banque Postale, of La Poste and of Financial Services acting in the name of and on behalf of the Bank. The following points are handled, in particular:

- ▶ functions within the remit of each of the approvals are correctly identified and their mapping kept up to date;
- ▶ the management directions and rules defined are shared and implemented;
- ▶ the training and exams leading to employee authorisation are compliant with the requirements of regulations;
- ▶ the method for processing each of the authorisations enables the production of a report if requested by the regulator.

The operational handling of the three authorisations is provided by the Centre national de l'assurance et de l'habilitation (CNAH).

Conduct risk

Conduct risk, which was added to the Risk Management Policy in 2017, is defined as the current or potential risk of losses resulting from the inappropriate provision of financial services, including cases of improper conduct, whether voluntary or out of negligence.

A monitoring system based on qualitative indicators fed from several sources has been implemented. It aggregates financial and extra-financial ratings, complaints, the study of disputes, customer and social network studies, fraud analysis and penalties and is completed by external opinion regarding similar issues encountered by peers.

Corruption prevention system

The Ethics Department is responsible for defining and monitoring the implementation of the corruption prevention system in accordance with law No. 2016-1691 of 9 December 2016, known as the Sapin II law.

A steering committee which brings together all of the departments and subsidiaries of La Banque Postale Group around the Legal and Compliance functions has monitored and directed work on each of the eight points of the system: code of conduct, alert system, risk mapping, assessment of third parties, accounting procedures, training, disciplinary regime, and system control and assessment. Following completion of its implementation, the operation of the system will be reviewed every six months by the Internal Control Coordination and Ethics Committee (CCCID) chaired by a member of the Executive Board.

4.8.2.5 Permanent control

The aim of the **permanent control system** is to provide independent measurement of the effectiveness of risk management. It is based on the bank's three lines of defence. It is responsible for coordinating all the controls, and helps to improve the link between risk and control. The entire system is described in the Permanent Control Charter.

Pursuant to Article 13 of the decree of 3 November 2014, La Banque Postale has set up two types of permanent control:

- ▶ the first type, **Level 1 controls**, concerns the permanent controls conducted by agents carrying out operational activities:
 - by the line managers of agents carrying out controlled transactions,
 - by operational staff, as part of cross-checks,
 - by the operational teams themselves, as part of their day-to-day activities;
- ▶ the second type of control, **Level 2 controls**, combines permanent controls carried out by dedicated control agents who do not have an operational role. These controls are carried out retrospectively by personnel dedicated to the permanent control function. The teams concerned may be centralised or may be located according to the activity, business line or entity concerned.

Permanent control at La Banque Postale is managed and coordinated by the Permanent Control Department (PCD).

The Head of Permanent Control has full and complete competence with regard to the functional and hierarchical supervision of the unit. Their responsibilities specifically involve managing careers in a manner consistent with the requirements of each organisation.

Two Deputy Heads of Permanent Control are responsible for managing the two main units:

- ▶ since end-2016, one Deputy Head is in charge of the hierarchical management of the Banking Controllers function, through the heads of Territorial Control. As such, he is the point of contact for banking controllers within La Poste Network and supervises the Banking Controller function across the Network;
- ▶ another Deputy Head of Permanent Control is in charge of the functional management of permanent control of Head Office units and departments. In this respect, since end-2015, he heads the Management Department of the Permanent Control function, with responsibility for setting up a standardised and efficient control system within the Head Office departments, subsidiaries and Outsourced Essential Services.

His sphere of responsibility extends to:

- ▶ the Permanent Control Department, within the Operations Department, notably through the hierarchical link with the Managers of Internal Banking Controllers and the internal banking controllers attached to the Financial Centres;
- ▶ the Risk Management Department within the Information Systems Department-DISFE;
- ▶ the other head office Departments which have permanent second level controllers:
 - Corporate and Regional Development Department,
 - Financial Department,
 - Retail Banking Department,
 - Human Resources Department.

Through this permanent control system, the Bank ensures that controls are standardised across all Group activities, which allows it to develop a control plan incorporating all control programmes in a single document: Network, Financial Centres, IT, Investment Services, Head Office, Subsidiaries and Outsourced Essential Service Providers.

4.8.2.6 Action of the Legal Department with respect to regulatory monitoring

In addition, the organisation of non-compliance risk management is based on the regulatory monitoring system implemented at the Bank. Regulatory monitoring allows the bank to follow the texts applicable to transactions and information related to the personnel concerned. It is based on the regulations set out in the decree of 3 November 2014 and is implemented by the Legal Department (notably by its Group Regulatory Monitoring Department).

Within the La Banque Postale, regulatory monitoring is organised around four business line regulatory monitoring committees (Retail Banking, insurance, asset management/financial markets and accounting/prudential/governance) which meet bi-monthly and bring together legal experts, representatives of the business lines and subsidiaries in question and representatives of the risk, compliance and Internal Audit Departments.

4.8.3 Environmental risks

These risks are identified and described in chapter 6 of this Registration Document.

4.9 REMUNERATION POLICY

Items related to the remuneration policy are set out in chapter 2 of this Registration Document, under Section 2.1.4 Remuneration. Certain items will be completed in the half-yearly update of the Registration Document.

4.10 PILLAR III CORRELATION TABLE

CRR Article	Subject	Chapter 4 - Risk Management	Page	Or page of Registration Document
90 (CRDIV)	Return on assets			Chapter 3, page 77
435.	Risk management policy and objectives	Operational implementation of the reference framework	Pages 118	
436.	Scope of application	Capital management and capital adequacy	Page 100	
437.	Capital	Capital management and capital adequacy	Pages 103+	
		Current methodology used to calculate capital requirements		
438.	Capital requirements	Capital management and capital adequacy	Pages 109+	
439.	Exposure to credit and counterparty risk	Credit risks	Pages 122	
440.	Capital buffers	Capital management and capital adequacy	Page 111	
441.	Indicators of global systemic importance	Publication of indicators of global systemic importance	Page 115	
442.	Credit risk adjustments	Credit risks	Pages 122	
443.	Unencumbered assets	Encumbered/unencumbered assets	Pages 150+	
444.	Use of external ratings agencies	Use of external ratings agencies	Page 137	
445.	Market risk exposure	Market risk	Pages 151+	
446.	Operational risk	Operational risks	Pages 160+	
447.	Exposures in equities not included in the trading book	Exposures in equities not included in the trading book	Page 159	
448.	Exposures to interest rate risk on positions not included in the trading book	Interest rate risk	Pages 143+	
449.	Exposures to securitisation positions	Securitisation	Page 139	
450.	Remuneration policy			Chapter 2, pages 59+
451.	Leverage	Prudential ratios	Pages 112+	Additional information to be provided in the half-yearly update of the Registration Document
452.	Use of the IRB approach for credit risk	N/A	N/A	
453.	Use of credit risk mitigation techniques	Credit risks	Pages 135+	
454.	Use of the advanced measurement approach for operational risk	N/A	N/A	
455.	Use of internal models for market risk	N/A	N/A	

4.11 DECLARATION ON ITEMS WITH RESPECT TO PILLAR III

La Banque Postale publishes information related to Pillar III in its annual Registration Document.

La Banque Postale considers that the risk management systems currently in place within the Bank, through the various risk identification, measurement and management systems (by type, activity and entity) combined with the cross-functional and forward-looking systems, ensure that the Bank has a comprehensive vision of its risk profile and enables it to put in place the appropriate preventive or corrective actions, as necessary.

Chapter 4, dealing with risk management and information with regard to Pillar III, was presented to the Supervisory Board on 20 February 2019.

The preparation of this chapter was coordinated by the financial communication unit and the information set out therein was produced and documented by the Accounting Department, the Department of Capital Management and Supervisor Relations, and the Tax Department, all three reporting to the Finance Department, the Group Risk Department, the Compliance and Permanent Control Department, the Legal Department and the Insurance Division. The information with regard to the remuneration policy was produced jointly by the Company Secretary and the Human Resources Department.

This chapter was also read by the statutory auditors as part of their work to review the Registration Document.



MANAGEMENT RISK LA BANQUE POSTALE GROUP
DECLARATION ON ITEMS WITH RESPECT TO PILLAR III

CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2018

5

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5.1 CONSOLIDATED FINANCIAL STATEMENTS

Consolidated income statement as at 31 December 2018

(in € thousands)	Notes	31.12.2018
Interest and similar income	5.1	4,068,096
Interest and similar expenses	5.1	(1,840,295)
Commissions (income)	5.2	2,689,251
Commissions (expenses)	5.2	(225,378)
Net gains and losses on financial instruments at fair value through profit or loss	5.3	25,419
Net gains and losses on financial instruments at fair value through other comprehensive income	5.4	341,760
Net gains or losses resulting from the derecognition of financial assets at amortised cost	5.5	-
Net gains or losses resulting from the reclassification of financial assets from amortised cost to fair value through profit or loss		-
Gains or losses resulting from the reclassification of financial assets from fair value through OCI to fair value through profit or loss		-
Net income from insurance activities	5.6	415,299
Impacts of the overlay approach (gross impact)	5.6	15,023
Income from other activities	5.7	259,856
Expenses from other activities	5.7	(179,096)
Net banking income		5,569,936
General operating expenses	5.8	(4,418,494)
Net depreciation and amortisation and impairment of tangible and intangible fixed assets		(196,516)
Gross operating income		954,926
Cost of risk	5.9	(133,183)
Cost relating to the ACPR sanction	*	(50,000)
Operating income		771,743
Share of profits of equity associates	4.16	268,227
Net gains and losses on other assets	5.10	(637)
Changes in the value of goodwill	5.11	-
Pre-tax income		1,039,333
Income tax	5.12	(273,690)
Net income		765,643
Non-controlling interests		39,735
NET INCOME, GROUP SHARE		725,908
Undiluted earnings per ordinary share (in euros)		20.63
Diluted earnings per ordinary share (in euros)		18.74
Dividend per ordinary share (in euros)		9.28

* See highlights.

Consolidated income statement as at 31 December 2017

(in € thousands)	Notes	31.12.2017
Interest and similar income	5.1	4,486,251
Interest and similar expenses	5.1	(1,781,441)
Commissions (income)	5.2	2,731,890
Commissions (expenses)	5.2	(275,585)
Net gains and losses on financial instruments at fair value through profit or loss	5.3	(8,199)
Net gains and losses on assets available for sale	5.4	278,455
Income from other activities	5.7	1,086,870
Expenses from other activities	5.7	(831,058)
Net banking income		5,687,183
General operating expenses	5.8	(4,438,688)
Net depreciation and amortisation and impairment of tangible and intangible fixed assets		(180,633)
Gross operating income		1,067,862
Cost of risk	5.9	(191,887)
Operating income		875,975
Share of profits of equity associates	4.16	263,399
Net gains and losses on other assets	5.11	(1,275)
Changes in the value of goodwill	5.12	-
Pre-tax income		1,138,099
Income tax	5.13	(340,145)
Net income		797,954
Non-controlling interests		34,255
NET INCOME, GROUP SHARE		763,699
Undiluted earnings per ordinary share (in euros)		21.70
Diluted earnings per ordinary share (in euros)		19.12
Dividend per ordinary share (in euros)		9.77

Consolidated balance sheet as at 31 December 2018

(in € thousands)

	Notes	31.12.2018	01.01.2018*
ASSETS			
Cash, central banks	4.1	2,006,794	3,324,831
Financial assets at fair value through profit or loss	4.2	10,238,167	10,088,503
Hedging derivatives	4.3	1,159,300	1,135,974
Financial assets at fair value through OCI	4.4	13,864,449	14,619,940
Securities at amortised cost	4.5	23,581,891	23,079,999
Loans and receivables due from credit institutions and similar at amortised cost	4.6	87,351,923	83,611,312
Loans and receivables due from customers at amortised cost	4.7	95,735,985	84,359,455
Revaluation differences on rate hedged portfolios		81,915	75,517
Investments of the insurance activities and reinsurers' share of technical provisions	4.8	2,810,350	2,768,064
Current tax assets	4.15	343,672	204,121
Deferred tax assets	4.15	234,580	176,095
Accruals and other assets	4.16	2,981,245	3,149,216
Equity associates	4.17	3,266,820	3,383,358
Property, plant and equipment	4.18	638,447	644,776
Intangible fixed assets	4.18	745,188	618,398
Goodwill	4.19	160,227	160,227
TOTAL		245,200,953	231,399,786
LIABILITIES			
Central banks	4.1	-	-
Financial liabilities at fair value through profit or loss	4.2	809,214	534,132
Hedging derivatives	4.3	347,654	236,419
Liabilities due to credit institutions and similar	4.20	18,877,248	14,154,290
Liabilities due to customers	4.21	185,810,952	182,563,774
Debt securities	4.22	16,933,918	11,373,236
Revaluation differences on rate hedged portfolios		742,855	720,758
Current tax liabilities	4.15	17,758	6,870
Deferred tax liabilities	4.15	105,564	111,395
Accruals and other liabilities	4.23	5,059,790	4,938,507
Technical provisions of insurance companies and shadow accounting	4.24	2,479,619	2,375,657
Provisions	4.25	468,767	541,158
Subordinated debt	4.26	3,879,757	3,888,976
EQUITY		9,667,857	9,954,615
Non-controlling interests		119,112	109,843
Equity, Group share		9,548,745	9,844,772
Share capital		4,046,408	4,046,408
Consolidated and other reserves		4,305,756	4,695,631
Gains and losses recognised directly in equity		470,672	1,102,733
Profit (loss) for the period		725,908	0
TOTAL		245,200,953	231,399,786

* Balances at 1 January 2018 after application of IFRS 9.

Consolidated balance sheet as at 31 December 2017

(in € thousands)

	Notes	31.12.2017
ASSETS		
Cash, central banks	4.1	3,324,831
Financial assets at fair value through profit or loss	4.9	7,596,135
Hedging derivatives	4.10	1,145,753
Available-for-sale financial assets	4.11	17,850,087
Loans and receivables due from credit institutions	4.12	84,087,559
Loans and receivables due from customers	4.13	88,135,172
Revaluation differences on rate hedged portfolios		68,751
Financial assets held to maturity	4.14	20,734,014
Current tax assets	4.15	204,121
Deferred tax assets		112,413
Accruals and other assets		3,411,175
Non-current assets held for sale		-
Deferred profit-sharing		-
Equity associates	4.17	3,383,358
Investment properties		-
Tangible fixed assets	4.18	644,776
Intangible fixed assets	4.18	618,398
Goodwill	4.19	160,227
TOTAL		231,476,770
LIABILITIES		
Central banks		-
Financial liabilities at fair value through profit or loss	4.9	532,352
Hedging derivatives	4.10	238,202
Liabilities due to credit institutions	4.20	14,154,289
Liabilities due to customers	4.21	182,563,774
Debt securities	4.22	11,373,237
Revaluation differences on rate hedged portfolios		720,758
Current tax liabilities	4.15	6,870
Deferred tax liabilities		112,308
Accruals and other liabilities	4.23	4,938,504
Technical provisions of insurance companies and shadow accounting		2,375,566
Provisions		478,383
Subordinated debt	4.26	3,888,976
Equity, Group share		9,984,488
Share capital		4,046,408
Consolidated and other reserves		4,045,437
Gains and losses recognised directly in equity		1,128,944
Profit (loss) for the period		763,699
Non-controlling interests		109,064
TOTAL		231,476,770

Statement of net income and gains and losses recognised directly in equity

(in € thousands)

31.12.2018

NET INCOME	765,643
Items recycled to profit or loss	
Translation adjustments	-
Revaluation of financial assets at fair value through other comprehensive income with recycling	(419,196)
<i>Changes in the revaluation reserve</i>	<i>(292,471)</i>
<i>Reclassification in profit and loss</i>	<i>(126,725)</i>
Revaluation of derivatives hedging items of items recycled to profit or loss	(146,634)
<i>Changes in the reserve</i>	<i>27,737</i>
<i>Recycling to profit or loss</i>	<i>(174,371)</i>
Impacts of the overlay approach	(15,023)
Items from the share in gains and losses recognised directly in equity from associates*	(255,206)
Deferred taxes	192,893
Items not recycled to profit and loss	
Actuarial adjustments for defined-benefit schemes	(6,072)
Revaluation of the credit risk of financial liabilities classified as fair value through profit or loss on option	3,279
Revaluation of equity instruments recognised at fair value through other comprehensive income	17,465
Items from the share in gains and losses recognised directly in equity from associates*	(2,597)
Other changes	-
Deferred taxes	(1,260)
TOTAL GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	(632,351)
NET INCOME AND GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	133,291
Of which net income and gains and losses recognised directly in equity, Group share	93,874
Of which net income and gains and losses recognised directly in equity, non-controlling interests	39,418

* Amounts presented net of deferred taxes.

Statement of net income and gains and losses recognised directly in equity at 31 December 2017

(in € thousands)

31.12.2017

NET INCOME	797,954
Items recycled to profit or loss	(49,705)
Translation adjustments	-
Revaluation of available-for-sale financial assets	(63,153)
<i>Changes in the revaluation reserve</i>	<i>(6,157)</i>
<i>Reclassification in profit and loss</i>	<i>(56,996)</i>
Revaluation of hedging derivatives	(53,637)
<i>Changes in the reserve</i>	<i>(11,358)</i>
<i>Recycling to profit or loss</i>	<i>(42,279)</i>
Deferred taxes	56,727
Items from the share in gains and losses recognised directly in equity from associates*	10,358
Items not recycled to profit and loss	(607)
Actuarial adjustments for defined-benefit schemes	(1,078)
Other changes	-
Deferred taxes	1,842
Items from the share in gains and losses recognised directly in equity from associates*	(1,371)
TOTAL GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	(50,312)
NET INCOME AND GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	747,642
Of which net income and gains and losses recognised directly in equity, Group share	710,221
Of which net income and gains and losses recognised directly in equity, non-controlling interests	37,421

* Amounts presented net of deferred taxes.

Statement of changes in equity

(in € thousands)	Share capital ⁽¹⁾	Issue premium	Legal reserves, retained earnings and other reserves	Consolidated reserves	Gains and losses net of taxes recognised directly in equity		Profit (loss), Group share	Equity, Group share	Equity, non-controlling interests	Total consolidated equity
					Actuarial adjustments	Conversion reserves, Changes in the fair value of financial instruments ⁽²⁾				
IFRS (IAS 39) equity at 31 December 2016	4,046,408	16,719	1,510,725	2,294,374	(26,705)	1,209,233	693,825	9,744,578	79,187	9,823,765
Appropriation of 2016 net income	-	-	621,050	72,775	-	-	(693,825)	-	-	-
Distribution	-	-	(312,101)	(41,966)	-	-	-	(354,067)	(12,338)	(366,404)
Sub-total of movements related to shareholder relations	-	-	308,949	30,809	-	-	(693,825)	(354,067)	(12,338)	(366,404)
Changes in gains and losses recognised directly in equity	-	-	-	-	-	(63,302)	-	(63,302)	3,252	(60,049)
Net income at 31 December 2017	-	-	-	-	-	-	763,699	763,699	34,255	797,954
Sub-total	-	-	-	-	-	(63,302)	763,699	700,398	37,507	737,905
Effect of acquisitions and disposals on non-controlling interests	-	-	-	(21)	-	-	-	(21)	-	(21)
Share in the changes in equity of equity associates	-	(0)	(0)	(1,387)	(1,422)	10,358	-	7,549	-	7,549
Other changes ⁽³⁾	-	-	6	(114,736)	781	-	-	(113,949)	4,708	(109,241)
IFRS (IAS 39) equity at 31 December 2017	4,046,408	16,719	1,819,680	2,209,039	(27,346)	1,156,289	763,699	9,984,488	109,064	10,093,552
Effect of the entry into force of IFRS 9 ⁽⁴⁾	-	-	-	(113,506)	-	(26,210)	-	(139,716)	780	(138,937)
Appropriation of 2017 net income	-	-	526,673	237,026	-	-	(763,699)	-	-	-
IFRS (IFRS 9) equity at 1 January 2018	4,046,408	16,719	2,346,353	2,332,559	(27,346)	1,130,079	-	9,844,772	109,843	9,954,615
Distribution ⁽⁵⁾	-	-	(343,769)	(64,000)	-	-	-	(407,769)	(1,093)	(408,862)
Capital increase	-	-	-	-	-	-	-	-	8,646	8,646
Sub-total of movements related to shareholder relations	-	-	(343,769)	(64,000)	-	-	-	(407,769)	7,553	(400,217)
Changes in gains and losses recognised directly in equity	-	-	-	-	-	(368,874)	-	(368,874)	(432)	(369,306)
Net income at 31 December 2018	-	-	-	-	-	-	725,908	725,908	39,735	765,643
Sub-total	-	-	-	-	-	(368,874)	725,908	357,034	39,303	396,337

(in € thousands)	Share capital ⁽¹⁾	Issue premium	Legal reserves, retained earnings and other reserves	Consolidated reserves	Gains and losses net of taxes recognised directly in equity		Profit (loss), Group share	Equity, Group share	Equity, non-controlling interests	Total consolidated equity
					Actuarial adjustments	Conversion reserves, Changes in the fair value of financial instruments ⁽²⁾				
Effect of acquisitions and disposals on non-controlling interests	-	-	-	(48)	(0)	0	-	(48)	(2,816)	(2,864)
Share in the changes in equity of equity associates	-	-	-	(4,230)	(2,524)	(255,144)	-	(261,897)	-	(261,897)
Other changes ⁽³⁾	-	-	2	22,171	(5,487)	(33)	-	16,653	(34,771)	(18,118)
IFRS equity at 31 December 2018	4,046,408	16,719	2,002,586	2,286,452	(35,357)	506,029	725,908	9,548,745	119,112	9,667,857

(1) At 31 December 2018, La Banque Postale's capital consisted of 35,186,153 shares with a nominal value of €115.

(2) The gains and losses recognised directly in equity include translation reserves from foreign subsidiaries consolidated by the CNP Assurances and AEW Europe groups.

(3) Other changes in the years 2017 and 2018 relate mainly to changes in puts on non-controlling interests: in 2018, the change was €20 million, with and impact of +€15 million on equity and of -€35 million on non-controlling interests.

(4) The impact of the IFRS 9 is detailed in the note "Impact on equity of the first-time application of IFRS 9".

(5) Of which €64 million corresponding to the payment of the coupon on the bond issued.

Net cash flow statement

The cash flow statement is presented using the indirect method model.

Investment activities represent cash flows for the acquisition and disposal of interests in consolidated companies as well as of tangible and intangible fixed assets.

Financing activities represent changes linked to structural financial transactions involving equity, subordinated debt and acquisition of non-controlling interests.

Operating activities include those cash flows that fall outside the two previous categories. In particular, securities corresponding to strategic investments included in the "financial assets at fair value through other comprehensive income" and "securities at amortised cost" portfolio.

(in € thousands)

	31.12.2018	31.12.2017
Pre-tax income	1,039,333	1,138,099
+/- Net depreciation and amortisation of tangible and intangible fixed assets	195,506	181,009
- Changes in goodwill and impairment of other non-current assets	984	(373)
+/- Net provisions and impairment charges	83,387	108,348
+/- Share of profits of equity associates	(268,227)	(263,399)
+/- Net losses/gains on investment activities	637	1,321
+/- Other movements	15,995	(568,712)
= Total of non-monetary items included in net income before taxes and other adjustments	28,282	(541,806)
+/- Flows from credit institution transactions	6,922,234	(4,364,065)
+/- Flows from customer transactions	(9,712,751)	(2,870,378)
+/- Flows from other transactions impacting financial assets or liabilities	5,987,388	8,046,895
+/- Flows from other transactions impacting non-financial assets or liabilities	107,373	(262,739)
- Taxes paid	(194,016)	(88,699)
Net increase (decrease) in assets and liabilities from operating activities	3,110,228	461,014
Total net cash generated from operations (A)	4,177,843	1,057,307
+/- Flow from financial assets and interests	125,976	114,322
+/- Flow from tangible and intangible fixed assets	(330,906)	(277,603)
Total net cash from investment activities (B)	(204,930)	(163,281)
+/- Cash flow from or to shareholders	(400,217)	(358,934)
+/- Other net cash flows from financing activities	-	153,559
Total net cash flow from financial transactions (C)	(400,217)	(205,375)
Net increase (decrease) in cash and cash equivalents (A+B+C)	3,572,697	688,651
Net cash generated by operations (A)	4,177,843	1,057,307
Net cash generated by investment activities (B)	(204,930)	(163,281)
Net cash generated by financing activities (C)	(400,217)	(205,375)
Cash and cash equivalents at opening	12,921,400	12,232,749
Cash, central banks (assets and liabilities)	3,324,831	2,732,044
Accounts (assets and liabilities) and overnight borrowing and lending with credit institutions	9,596,569	9,500,705
Cash and cash equivalents at closing	16,494,097	12,921,400
Cash, central banks (assets and liabilities)	2,006,794	3,324,831
Accounts (assets and liabilities) and overnight borrowing and lending with credit institutions	14,487,303	9,596,569
CHANGE IN NET CASH	3,572,697	688,651

5.2 NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Legal and financial framework

1 Highlights of the year

1.1 Acquisition of all LBP Financement shares

On 20 December 2018, La Banque Postale committed to acquiring for €376 million all of the shares of the entity LBP Financement held by Société Générale.

The transaction is set to be closed during the first half of 2019 and will have no impact on the consolidation scope, as the company is already fully consolidated.

1.2 Full consolidation of Ma French Bank

La Banque Postale obtained the authorisation for its full digital and civic bank "Ma French Bank". Ma French Bank will be offered to the general public starting in the spring of 2019.

The entity was fully consolidated in the accounts at 31 December 2018, with no material impact at this stage.

1.3 ACPR's decision to impose a sanction

The ACPR Sanctions Committee issued a reprimand against La Banque Postale along with a fine of €50 million following the report on the anti-money laundering and combating the financing of terrorism (AML-CFT) system. This charge is presented on the line "Costs relating to the ACPR sanction" of the consolidated income statement.

Considering this sanction particularly severe in view of the materiality of the evidence, La Banque Postale decided to lodge an appeal with the Council of State.

1.4 Further investments in Dutch mortgage portfolios

La Banque Postale confirmed its policy of investing in mortgage portfolios *via* the funds LBP Dutch Mortgage Portfolio 1 and 2 BV. LBP Dutch Mortgage Portfolio 2 BV thus purchased a €781 million portfolio of loans and LBP Dutch Mortgage Portfolio 1 BV carried out €794 million in remortgaging transactions, mostly in H1. Furthermore, in October and December 2018 the bank signed commitments for additional loan purchases *via* LBP Dutch Mortgage Portfolio 1 BV for a total amount of €806 million.

The assets of these two consolidated funds consist of home loans granted to the individual customers of Rabobank and Aegon Hypotheken B.V., respectively.

1.5 Highlights for CNP Assurances

Conclusion of a binding agreement with Caixa Seguridade

On 30 August 2018, CNP Assurances announced the conclusion of a binding agreement providing for the establishment of a new long-term exclusive distribution agreement running until 13 February 2041 in Brazil in the network of Caixa Econômica Federal (CEF), one of the leading Brazilian banks and one of the five largest in Latin America.

This new agreement builds on the successful track record of CNP Assurances and CEF's partnership since 2001, through their joint subsidiary Caixa Seguros Holding (CSH), which has demonstrated an ability to combine strong growth, high profitability and regular cash flow generation.

The new exclusivity scope in CEF's network includes life insurance, consumer credit insurance and private pension plans. In line with the terms of the agreement signed at the end of September 2017, the new distribution agreement will be implemented through a newly formed insurance joint venture between CNP Assurances and Caixa Seguridade, the holding company for CEF's insurance operations, with CNP Assurances and Caixa Seguridade owning respectively 51% and 49% of the voting rights and 40% and 60% of the economic rights.

On the closing date, scheduled for 31 March 2020 at the latest, CSH will transfer to the new joint venture the insurance portfolios corresponding to the products included in the scope of the agreement (life insurance, consumer credit insurance and private pension plans).

The transaction is subject to the authorisation of the supervisory authorities and the lifting of suspensive conditions.

2 Post balance sheet events

La Banque Postale Group has not identified any events after the closing of accounts.

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NOTE 1 EFFECTS OF THE APPLICATION OF IFRS 9 ON 1 JANUARY 2018

IFRS 9 was adopted by the European Union on 22 November 2016, with mandatory application from 1 January 2018.

IFRS 9 "Financial instruments" replaces IAS 39 "Financial instruments: recognition and measurement". It defines new

classification and measurement rules for financial instruments, a new method for impairment of financial assets, as well as hedge accounting criteria.

1.1 First-time application of IFRS 9 at LBP

1.1.1 Retrospective application of IFRS 9

The application of IFRS 9 is retrospective according to IAS 8, which implies the application of IFRS 9 principles as if the standard had always been applied. The impacts of the transition are accounted for in equity.

Thus, the "basic lending arrangement", or SPPI (solely payments of principal and interest), test was carried out retrospectively at the date of initial recognition of each financial asset. The business

model assessment was carried out at 1 January 2018 based on the facts and circumstances at that date.

Likewise, the retrospective application of IFRS 9 concerning impairment involves measuring the significant increase in the credit risk of each financial asset entering the scope of application since its initial recognition. This analysis enabled the financial assets to be classified under "Bucket 1" or "Bucket 2" at the date of the first-time application.

1.1.2 Adjustment of comparative data

Furthermore, IFRS 9 does not require the publication of a 2017 *proforma*. Thus, LBP does not adjust the comparative data in its financial statements.

1.1.3 39 Principles maintained for hedge accounting

The IFRS 9 standard only covers micro-hedging transactions. It extends the potential of hedging strategies with, notably, more items becoming eligible for hedge accounting and fewer requirements regarding the demonstration of the effectiveness of hedging relationships.

With respect to macro-hedging, European Union provisions relating to the fair value hedging of a portfolio of interest rate items will continue to apply.

IFRS 9 provides the option of deferring application of the new hedge accounting provisions pending the effective date of the standard on macro-hedging. As such, the Group has chosen to maintain IAS 39 principles for hedge accounting.

1.1.4 Application of IFRS 9 to the “Insurance” activity and to CNP Assurances group

In November 2017, the European Union adopted the amendment published by the IASB “Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts”. The IASB’s amendment proposes two options to offset the effects arising from implementing IFRS 9 before the new insurance contracts standard, IFRS 17.

- ▶ The first option (the “deferral approach”) consists of deferring application of IFRS 9 for entities whose predominant activity is related to insurance as well as for financial conglomerates under certain conditions. The amendment also provides for an optional temporary exemption from applying certain provisions of IAS 28, thus enabling groups that apply IFRS 9 and accounting for subsidiaries using the equity method to use the accounts drawn up by these subsidiaries for their consolidated accounts without having to apply IFRS 9 if the standard is not required for the subsidiary.

As the CNP group meets this eligibility criteria to opt for deferred application of IFRS 9, it thus continues to apply IAS 39 to account for its financial instruments. As authorised by the amendment, LBP will make no IFRS 9 adjustments to the accounts drawn up by the entity when accounting for it under the equity method.

- ▶ The second option, the “overlay approach”, applies to insurance entities having chosen to apply IFRS 9 as of 1 January 2018. This approach allows the reclassification to other comprehensive income (OCI) and recycling of some of the volatility generated in the income statement by financial assets that were previously accounted for according to IAS 39 as assets available for sale or at amortised cost and that under IFRS 9 would be required to be accounted for at fair value through profit or loss. LBP group chose this latter option for the financial assets held by its fully consolidated insurance subsidiaries. Thus, the volatility resulting from the adoption of IFRS 9 would be offset until application of IFRS 17. The subsidiaries concerned by the overlay approach are mainly La Banque Postale Prévoyance, La Banque Postale Assurances IARD and La Banque Postale Assurance Santé.

1.2 The main impacts of the adoption of IFRS 9 on 1 January 2018

1.2.1 Impacts of the adoption of IFRS 9 in terms of classification

According to IFRS 9, financial assets are classified either at amortised cost, at fair value through other comprehensive income (with or without recycling), or at fair value through profit or loss. The classification of a financial asset in each category must be carried out based on the business models defined by the entity and the characteristics of its contractual cash flows (SPPI test).

The main reclassifications resulting from the adoption of IFRS 9 concerning financial assets at LBP are the following:

- ▶ loan origination transactions for local authorities eligible for transfer to Cafil, classified as loans and receivables according to IAS 39, including the impact of their fair value hedging, are now classified as “Financial assets held for trading”, and measured and recognised as “Financial assets at fair value through profit or loss”;
- ▶ with respect to securities portfolios, units of UCITS that were classified as Assets available for sale under IAS 39 and designated as debt instruments that do not meet the SPPI criteria under IFRS 9 are no longer recognised as Financial assets at fair value through profit or loss;

- ▶ investments in equity instruments classified as Assets available for sale under IAS 39 and corresponding to non-consolidated interests held by the Group are now classified at fair value through comprehensive income and cannot be recycled, in accordance with the irrevocable option provided for by IFRS 9, with the exception of Visa shares, which are recognised at fair value through profit or loss;
- ▶ regarding securities classified as fair value on option under IAS 39, they correspond to compound financial instruments with embedded derivatives that are not closely related. Under IFRS 9, as debt instruments that do not meet SPPI criteria, these financial assets must be recognised at fair value through profit or loss.

The impacts on equity of the switch to IFRS 9 at 1 January 2018 relating to classification total +€8 million (+€11 million before calculation of deferred taxes) and correspond primarily to the reclassification to fair value through profit or loss of the loans to local authorities eligible for transfer to Cafil.

In addition, the application of Recommendation ANC No. 2017-02 on the format of the consolidated financial statements of banks according to IFRS standards results in the reclassification of investments and the liabilities of insurance activities in a specific balance sheet item and in isolating the net income from insurance activities in the income statement.

1.2.2 Impact of the switch to IFRS 9 in terms of impairment

As a reminder, the new impairment method is now based on an expected credit loss model and no longer incurred losses only.

This new provisioning model applies to all financial assets with a counterparty risk (excluding equity instruments) not revalued at fair value through profit or loss, as well as to financing commitments and financial guarantee contracts.

Thus, new impairments, representing the 12-month expected credit losses, will be recorded in the amounts outstanding at initial recognition on the balance sheet, and off-balance sheet for financing commitments, when there is no significant increase in credit risk. The outstanding amounts correspond to "Bucket 1".

The outstanding amounts for which a significant increase in credit quality has been identified since initial recognition must be impaired up to the amount of credit losses expected over the residual life of the instrument. These amounts correspond to "Bucket 2".

The identification criteria for default assets ("Bucket 3") will be the same as those provided for in IAS 39.

The impact on equity of the introduction of IFRS 9 at 1 January 2018 linked to the new depreciation model totalled -€148 million and corresponds, for:

- ▶ -€106 million to the impairment of financial assets (-€153 million before calculation of the deferred tax);
- ▶ -€42 million to the impairment of off-balance sheet transactions (-€63 million before calculation of deferred taxes).

Balance sheet transition from 31 December 2017 to 1 January 2018

Financial assets

		31.12.2017	01.01.2018			
		IAS 39	Reclassifications under IFRS 9			
			Financial assets at fair value through profit or loss			
		Gross value on the balance sheet under IAS 39	Central banks	Financial assets held for trading	Equity instruments	Debt instruments that do not meet SPPI criteria
(in € thousands)						
	Central banks	3,324,831	3,324,831	-	-	-
	Financial assets at fair value through profit or loss	8,741,888	-	7,509,613	-	35,307
	<i>Financial assets held for trading</i>	<i>7,560,828</i>	-	<i>7,499,834</i>	-	-
	<i>Financial assets at fair value through profit or loss on option</i>	<i>35,307</i>	-	-	-	<i>35,307</i>
	<i>Hedging derivatives</i>	<i>1,145,753</i>	-	<i>9,779</i>	-	-
IAS 39	Available-for-sale financial assets	17,860,982	-	-	20,027	866,637
	Loans and receivables due from credit institutions	84,087,559	-	-	-	-
	Loans and receivables due from customers	88,739,401	-	1,658,877	-	-
	Revaluation differences on rate hedged portfolios	68,751	-	-	-	-
	Securities held to maturity	20,734,014	-	-	-	-
	Accruals	3,411,175	-	-	-	-
	Accounting balances according to IAS 39 valuation criteria	226,968,601	-	-	-	-
	Restatement of the carrying amount under IFRS 9	-	-	388	-	(500)
	Restatement for IFRS 9 with no impact on equity	-	-	-	-	(1,846)
01.01.2018	GROSS ACCOUNTING BALANCES UNDER IFRS 9 VALUATION CRITERIA	-	3,324,831	9,168,878	20,027	899,598

CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2018
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

01.01.2018

Reclassifications under IFRS 9

Financial assets at fair value through profit or loss			Financial assets at fair value through other comprehensive income		Debt instruments recognised at amortised cost		Securities at amortised cost			
Financial assets at fair value through profit or loss on option	Hedging derivatives	Investments of the insurance activities	Debt instruments recognised at fair value through OCI with recycling	Equity instruments recognised at fair value through OCI without recycling	Loans and receivables due from credit institutions	Loans and receivables due from customers	Debt securities	Revaluation differences on rate hedged portfolios	Accruals	
-	-	-	-	-	-	-	-	-	-	
-	1,135,974	60,993	-	-	-	-	-	-	-	
-	-	60,993	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	-	
-	1,135,974	-	-	-	-	-	-	-	-	
-	-	2,417,655	14,304,282	252,381	-	-	-	-	-	
-	-	-	-	-	83,612,817	-	474,742	-	-	
-	-	-	63,347	-	-	85,106,970	1,910,207	-	-	
-	-	-	-	-	-	-	-	68,751	-	
-	-	32,510	-	-	-	-	20,701,504	-	-	
-	-	261,959	-	-	-	-	-	-	3,149,216	
-	-	-	-	-	-	-	-	-	-	
-	-	2,689	3,032	-	2	-	-	6,766	-	
-	-	(7,532)	-	(1,516)	-	-	-	-	-	
-	1,135,974	2,768,274	14,370,661	250,865	83,612,819	85,106,970	23,086,453	75,517	3,149,216	

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(in € thousands)	Reclassifications under IFRS 9	
	Of which financial assets reclassified from the category of fair value through profit or loss on option under IFRS 9	
	Reclassification required by the provisions of IFRS 9	Reclassification on option
Financial assets at fair value through profit or loss on option	35,307	-
<i>Debt instruments</i>	35,307	-
<i>Equity instruments</i>	-	-

Financial liabilities

		31.12.2017	01.01.2018					
		IAS 39	Reclassifications under IFRS 9					
			Financial liabilities at fair value through profit or loss			Financial liabilities recognised at amortised cost		
		Value on the balance sheet according to IAS 39	Financial liabilities at fair value held for trading	Financial liabilities at fair value through profit or loss on option	Hedging derivatives	Liabilities due to credit institutions	Liabilities due to customers	Debt securities
(in € thousands)								
IAS 39	Financial liabilities at fair value through profit or loss	770,554	529,609	4,526	236,419	-	-	-
	<i>Financial liabilities at fair value held for trading</i>	527,826	527,826	-	-	-	-	-
	<i>Financial liabilities at fair value through profit or loss on option</i>	4,526	-	4,526	-	-	-	-
	<i>Hedging derivatives</i>	238,202	1,779	-	236,419	-	-	-
	Liabilities due to credit institutions	14,154,289	-	-	-	14,154,290	-	-
	Liabilities due to customers	182,563,774	-	-	-	-	182,563,774	-
	Debt securities	11,373,237	-	-	-	-	-	11,373,236
	Accounting balances according to IAS 39 valuation criteria	208,861,854	-	-	-	-	-	-
	Restatement of the carrying amount under IFRS 9	-	-	0	-	-	-	-
	ACCOUNTING BALANCES ACCORDING TO IFRS 9 VALUATION CRITERIA	-	529,605	4,527	236,419	14,154,290	182,563,774	11,373,236
01.01.2018		-	529,605	4,527	236,419	14,154,290	182,563,774	11,373,236

The La Banque Postale Group did not make any reclassifications of financial liabilities to fair value through profit or loss on option.

Transition between impairments or provisions made according to IAS 39 and the loss allowance calculated according to IFRS 9

With the application of IFRS 9 at 1 January 2018, the provisioning methods have changed significantly. The following table presents the change in liability impairments or provisions at 31 December

2017 according to IAS 39 to the loss allowance recorded at 1 January under IFRS 9:

		31.12.2017	01.01.2018				
			IFRS 9 – Reclassification of impairment amounts				
			Financial assets at fair value through profit or loss				
Impairment of financial assets (in € thousands)		IAS 39 – Impairment amount	Central banks	Financial assets held for trading	Equity instruments	Debt instruments that do not meet SPPI criteria	Financial assets at fair value through profit or loss on option
Impairment according to IAS 39	Central banks	-	-	-	-	-	-
	Assets available for sale	(10,895)	-	-	-	-	-
	Loans and receivables due from credit institutions	-	-	-	-	-	-
	Loans and receivables due from customers	(604,229)	-	-	-	-	-
	Securities held to maturity	-	-	-	-	-	-
	Accounting balances of impairment losses according to IAS 39	(615,124)	-	-	-	-	-
Restatement of impairment losses under IFRS 9		-	-	-	-	-	-
o/w Bucket B1		-	-	-	-	-	-
o/w Bucket B2		-	-	-	-	-	-
o/w Bucket B3		-	-	-	-	-	-
01.01.2018	ACCOUNTING BALANCES OF IMPAIRMENT LOSSES UNDER IFRS 9	-	-	-	-	-	-

01.01.2018

IFRS 9 – Reclassification of impairment amounts

Financial assets at fair value through other comprehensive income			Debt instruments recognised at amortised cost				
Investments of the insurance activities	Debt instruments recognised at fair value through OCI with recycling	Equity instruments recognised at fair value through OCI without recycling	Loans and receivables due from credit institutions	Loans and receivables due from customers	Debt securities	Finance lease transactions	Reclassification with no impact on equity
-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	(10,895)
-	-	-	-	-	-	-	-
-	-	-	-	(604,229)	-	-	-
-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-
(210)	(1,586)	-	(1,507)	(143,286)	(6,454)	-	10,895
(210)	(1,493)	-	(1,507)	(44,091)	(5,991)	-	-
-	(93)	-	-	(82,438)	(463)	-	-
-	-	-	-	(16,757)	-	-	10,895
(210)	(1,586)	-	(1,507)	(747,515)	(6,454)	-	-

Provisions for off-balance sheet commitments

Provisions for off-balance sheet commitments (in € thousands)	31.12.2017 IAS 39 – Provisions amount	Restatements of provisions under IFRS 9	01.01.2018 IFRS 9 – Provisions amount
Financing commitments	-	62,400	62,400
Financial guarantee contracts	-	238	238
ACCOUNTING BALANCES FOR PROVISIONS	-	62,638	62,638

The breakdown between impairments of groups of assets and individual assets under IAS 39 is the following:

Breakdown of impairments of financial assets under IAS 39

(in € thousands)	31.12.2017	
	Impairment of groups of assets	Impairment of individual assets
Assets available for sale	-	(10,895)
Loans and receivables due from customers	(44,198)	(560,031)
ACCOUNTING BALANCES OF IMPAIRMENTS ACCORDING TO IAS 39	(44,198)	(570,926)

The breakdown of impairments by bucket under IFRS 9 is the following :

Breakdown of impairments of financial assets (including the investments of the insurance activities)

(in € thousands)	01.01.2018		
	Bucket 1	Bucket 2	Bucket 3
Debt instruments at fair value through profit or loss	(1 703)	(93)	-
<i>Loans and receivables due from credit institutions</i>	-	-	-
<i>Loans and receivables due from customers</i>	-	-	-
<i>Debt securities</i>	(1 703)	(93)	-
Debt instruments recognised at amortised cost	(51 878)	(159,916)	(543,682)
<i>Loans and receivables due from credit institutions</i>	(1 507)	-	-
<i>Loans and receivables due from customers</i>	(44 380)	(159,453)	(543,682)
<i>Debt securities</i>	(5 991)	(463)	-
TOTAL	(53 581)	(160,009)	(543,682)

Provisions for off-balance sheet commitments

(in € thousands)	01.01.2018		
	Bucket 1	Bucket 2	Bucket 3
Financing commitments	26,207	21,350	14,843
Financial guarantee contracts	193	25	20
TOTAL	26,400	21,375	14,863

Impact on equity of the first-time application of IFRS 9

	IFRS 9 impact on total consolidated equity	IFRS 9 impact on equity, Group share	IFRS 9 impact on equity, non-controlling interests
EQUITY AT 31 DECEMBER 2017 – IAS 39	10,093,552	9,984,488	109,064
Impact on consolidated reserves	(112,703)	(113,506)	803
Reclassification from assets available for sale to assets at fair value through other comprehensive income	1,517	1,517	-
Reclassification from assets available for sale to assets at fair value through profit or loss	80,873	79,304	1,569
Impact of the overlay approach	(36,751)	(36,552)	(200)
Reclassification from amortised cost to fair value through profit or loss (incl. acquisition costs still to be amortised)	7,160	7,160	-
Recognition of expected credit losses (on financial assets, assets that enter the scope of IAS 17 and IFRS 15, off-balance sheet commitments)	(215,593)	(215,470)	(123)
Tax	40,866	41,309	(443)
Tax (impact of the overlay approach)	9,226	9,226	-
Impact on gains and losses recognised directly in equity	(26,235)	(26,210)	(23)
Reclassification from assets available for sale to assets at fair value through other comprehensive income	(1,517)	(1,517)	-
Reclassification from assets available for sale to assets at fair value through profit or loss	(81,145)	(79,579)	(1,567)
Impact of the overlay approach	36,751	36,552	200
Reclassification from amortised cost to fair value through profit or loss	3,925	3,057	868
Recognition of expected credit losses on assets at fair value through profit or loss	1,506	1,499	7
Tax	23,472	23,004	468
Tax (impact of the overlay approach)	(9,226)	(9,226)	-
Total – Impact on equity of the application of IFRS 9	(138,937)	(139,716)	780
EQUITY AT 1 JANUARY 2018 – IFRS 9	9,954,615	9,844,772	109,843

NOTE 2

PRINCIPAL VALUATION AND PRESENTATION RULES APPLYING TO THE CONSOLIDATED FINANCIAL STATEMENTS

2.1 Regulatory framework

Regulation (EC) No. 1606/2002 of 19 July 2002 requires companies whose debt securities are listed on a regulated market to apply the accounting basis established by the International Accounting Standard Board (IASB). Accordingly, La Banque Postale Group has since 1 January 2007 prepared its consolidated financial statements under International Financial Reporting Standards (IFRS) as approved by the European Union. More specifically, the Group has chosen to apply the provisions of European Commission Regulation No. 2086/2004 by adopting IAS 39, with the exception of certain provisions. This European regulation therefore allows certain macro-hedging transactions carried out as part of asset and liability management (including notably customer sight deposits) to be treated as fair value hedges.

The full set of standards adopted in the European Union can be consulted on the European Commission's website at the following address:

https://ec.europa.eu/info/business-economy-euro/company-reporting-and-auditing/company-reporting_fr

The La Banque Postale Group also applies regulation ANC 2016-09 of 2 December 2016, which transposes into French law some of the provisions of European Directive 2013/34 relating to the transactions to be mentioned in the notes to the consolidated financial statements in accordance with international standards

The consolidated financial statements are presented in thousands of euros.

Presentation of the financial statements

In the absence of a model imposed by the IFRS framework, the Group used the format of summary statements proposed by recommendation No. 2017-02 of 2 June 2017 of the French accounting standards authority (Autorité des normes comptables – ANC)

2.2 Standards and interpretations applied by the Group from 1 January 2018

Compared with the consolidated financial statements as at 31 December 2017, the Group implemented the following standards and interpretations, with mandatory application within the European Union from 1 January 2018:

Standards and interpretations	Date adopted by the EU
IFRS 15 "Revenue from contracts with customers" and amendments	22 September 2016
IFRS 9 "Financial instruments"	22 November 2016
Clarifications made to IFRS 15	31 October 2017
Amendments to IFRS 4 "Applying IFRS 9, Financial Instruments with IFRS 4"	3 November 2017
IFRS annual improvements 2014-2016 cycle	7 February 2018
Amendment to IFRS 2: "Classification and Measurement of Share-based Payment transactions"	26 February 2018
Amendment to IAS 40: "Transfers of Investment Property"	14 March 2018
Amendments to IFRS 9 "Prepayment Features with Negative Compensation"	22 March 2018
IFRIC 22 "Foreign Currency Transactions and Advance Consideration"	28 March 2018
Annual Improvements to IFRS 2015-2017 Cycle – Amendments to IAS 12	Not adopted

* Early application.

- ▶ The impacts of the first-time application of IFRS 9 at 1 January 2018 are presented in Note 1. Moreover, the La Banque Postale Group has updated its impacted valuation and presentation rules.
- ▶ The application of IFRS 15 had no significant impact on the Group's accounts, nor on its equity at the beginning of the financial year starting 1 January 2018 or the 2018 income statement. The income concerned is mainly commissions received that do not come under the scope of IFRS 9, *i.e.* those that are not included at the effective interest rate and their recognition method did not change with IFRS 15.
- ▶ As part of its annual IFRS improvements procedure (2015-2017 cycle), the IASB provided a clarification on IAS 12 "Income Taxes", confirming that the income tax consequences of dividends are to be recognised in profit or loss unless they result from transactions recognised elsewhere or if they were generated by a business combination. The La Banque Postale Group reviewed the origin of the transactions that generated the distributions of profits on its equity instruments and concluded that the distributions were solely from profit or loss.
- ▶ The other applicable standards and interpretations at 1 January 2018 did not have a significant impact on the La Banque Postale Group's accounts either at 31 December 2018.

2.3 Standards and interpretations not yet applied

The IASB and IFRIC have issued standards and interpretations that were not compulsory as at 31 December 2018. Standards or interpretations published by the IASB but not yet adopted by the

European Union will be mandatory only once they have been adopted.

Standards and interpretations	Date adopted by the EU	Effective date ⁽¹⁾
IFRS 16 "Leases"	31 October 2017	1 January 2019
IFRIC 23 "Uncertainty over income tax treatments"	23 October 2018	1 January 2019
Amendment to IAS 28 "Long-term Interests in Associates and Joint Ventures"	Not adopted	1 January 2019
IFRS annual improvements 2015-2017 cycle	Not adopted	1 January 2019
Amendments to IAS 19 "Remeasurement at a plan amendment, curtailment or settlement"	Not adopted	1 January 2019
Amendments to the conceptual framework in IFRS	Not adopted	1 January 2020
Amendments to IFRS 3 "Business Combinations"	Not adopted	1 January 2020
Amendments to IAS 1 and IAS 8: "Definition of Material"	Not adopted	1 January 2020
IFRS 17 "Insurance contracts"	Not adopted	1 January 2022 ⁽²⁾

(1) Subject to adoption by the European Union. Applicable as of the financial years opened on:

(2) A deferral was granted for application from 1 January 2022 instead of 1 January 2021 as previously planned.

As at 31 December 2018, the Group has not applied these standards.

IFRS 16 was published in January 2016, with first application on 1 January 2019. The standard will replace IAS 17 "Leases", as well as the interpretations associated with the recording of these contracts.

According to standard IFRS 16, a contract is considered a lease contract when an asset can be identified and the lessee has exclusive rights to use the asset. All lease contracts require the lessee to record a right to use the asset in their balance sheet and a debt in liabilities corresponding to the discounted value of the rent payments made over the contract period. The right to use the asset is amortised on a linear basis and the financial debt using the amortised cost method over the duration of the contract. The new standard continues to use most of the existing model for lessors.

The La Banque Postale Group chose not to apply IFRS 16 to leases of intangible assets in application of IFRS 16.4. Leases primarily concern real estate assets. Other leases involve IT equipment and vehicles.

For the transition at 1 January 2019, La Banque Postale opted for the simplified retrospective approach. Lease liabilities will be calculated at 1 January 2019 on the basis of the rates at that date for periods corresponding to the initial lease lengths. Right of use will be determined at the lease commencement date and then amortised up to 1 January 2019. The difference between the lease liability and the carrying amount of the right-of-use-asset at 1 January 2019 will be recognised in opening equity.

In 2018, La Banque Postale did an inventory of its leases, following the implementation of a shared tool for contract inflows and data processing by the La Poste Group. It carried out an analysis of its leases with respect to the criteria of the new standard, as well as estimates of the impacts on the consolidated accounts. At this stage, the impacts on opening equity at 1 January 2019 are not significant.

IFRS 17 "Insurance contracts" was published by the IASB on 18 May 2017. It is set to apply from 1 January 2022, following the deferral granted in November 2018 and subject to adoption by the European Union.

IFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The general model of measuring the value of insurance contracts under liabilities is the "Building Blocks Approach" (BBA), which consists of the sum of three components:

- insurance contracts are measured at the present value (discounted future cash flows);
- a risk adjustment to allow for the uncertainty involved in these future flows;
- a contractual service margin, representing the unearned profitability of the insurance contract to be recognised in profit or loss over the service period.

IFRS 17 also proposes two other approaches: a simplified approach, the Premium Allocation Approach (PAA), and an approach that is an adaptation of the general model called the Variable Fee Approach (VFA), which is mandatory for direct participating contracts.

At this stage, the project to implement IFRS 17 has primarily involved analysing the standard and carrying out an assessment that aims to identify the different impacts of the standard and works to be carried out.

The interpretation of IFRIC 23 "Uncertainty over Income Tax Treatments" was published on 7 June 2017 for application on 1 January 2019. IFRIC 23 clarifies IAS 12 "Income Taxes" and applies to the valuation of tax risks linked to the uncertainty over income tax treatments for the determination of taxable profit.

La Banque Postale, as part of a global project carried out at the La Poste Group level, will study the implementation of this interpretation; no significant impact has been identified at this stage.

2.4 Principles used in preparing the consolidated financial statements

2.4.1 Determining the scope of consolidation

The consolidated financial statements include the financial statements of La Banque Postale, the consolidated financial statements of the sub-groups and the financial statements as at 31 December 2018 of subsidiary companies and holdings controlled or significantly influenced by La Banque Postale, when such consolidation has a significant impact on the overall consolidated financial statements. Entities that are excluded despite meeting the control criteria are left out when they are considered not significant with respect to three non-cumulative criteria, corresponding to a percentage expressed on the balance sheet, of net banking income or of net income, as well as in view of their multi-year financial histories.

2.4.2 Consolidation methods

The scope of voting rights taken into consideration when assessing the nature of the control exerted by the Group includes the existence and effect of potential substantive voting rights, such as potential voting rights that could be exercised to make a decision pertaining to relevant activities at the next General Meeting.

The consolidation methods are applied according to the nature of the control exercised by La Banque Postale on the entities.

Structured entities and subsidiaries controlled by the Group are fully consolidated.

A structured entity is created specifically to manage a transaction or group of similar transactions and designed to ensure that voting rights or similar voting rights are not decisive in establishing the control of the entity. They are consolidated when they are substantially controlled by the Group, even if there is no equity link.

In accordance with IFRS 10, analysis of the control is identical to that conducted for a subsidiary.

The control exercised over a subsidiary or a structured entity is assessed based on the following three criteria:

- ▶ the power to direct the key activities of the subsidiary, for example through voting rights or other rights;
- ▶ the exposure or rights to variable returns generated by the subsidiary; and
- ▶ the capacity to allocate these returns *via* the power exercised over the subsidiary.

Joint arrangements in which the Group exercises joint control with other partners are accounted for using the equity method in the case of a joint venture, or consolidated proportionally to the share of interests held in the case of a joint operation.

The Group exercises joint control over a joint arrangement when decisions concerning the entity's relevant activities contractually require the unanimous consent of all partners.

A joint venture is a joint arrangement in which each partner has an entitlement to a share of the entity's net assets.

A joint operation is a joint arrangement in which the partners have direct rights to the entity's assets and obligations for its liabilities. A joint operation is consolidated according to the share of assets, liabilities, income and expenses controlled by the Group.

Companies over which the Group has a significant influence are accounted for using the equity method.

Significant influence is defined as the power to participate in the financial and operating policies of a subsidiary without having control of it. This influence may notably stem from representation on the subsidiary's management or supervisory bodies, involvement in strategic decisions, the existence of significant inter-company operations, the exchange of management staff, or from technical dependency. Control is assumed to exist from the moment that the Group holds at least 20% of the voting rights, either directly or indirectly.

2.4.3 Consolidation rules

Restatements and eliminations

The restatements and reclassifications required for the financial statements of all consolidated subsidiary companies to comply with the Group's accounting principles are made.

Reciprocal accounts are eliminated, as are income and expenses arising from internal group transactions and which have a material impact on the consolidated financial statements.

Conversion of the financial statements of foreign subsidiaries

For entities for which the functional currency is not the euro, the balance sheet statements of foreign subsidiaries are converted at the applicable year-end exchange rate.

Income and expenses in the income statement are converted at the average exchange rate for the period.

Translation differences arising from changes in the exchange rates applied to equity capital, reserves and net income are entered under "Unrealised or deferred gains and losses – Translation adjustments".

When the Group prepared its first consolidated financial statements according to IFRS, it made use of the option provided by IFRS 1 to transfer the cumulative translation adjustments as at that date to the consolidated reserves. This option only applied to the foreign entities of the CNP Assurances group, which became the first to adopt IFRS in financial year 2005. In the event that these entities are subsequently sold, the sale proceeds will only include the reversal of translation adjustments generated from 1 January 2006 onwards.

Business combinations

Business combinations prior to 1 January 2010 were treated by the Group using the acquisition method, according to the provisions of the initial version of IFRS 3.

Business combinations since 1 January 2010 are handled by the Group based on the acquisition method, in accordance with revised IFRS 3. Business combinations prior to 1 January 2010 were not restated to reflect the implementation of revised IFRS 3, which is prospectively applied.

The cost of acquisition is defined as the total fair value cost on the date of acquisition of the assets acquired, the liabilities transferred, and the equity instruments issued in exchange for control over the acquired company. Any price adjustments are included in the acquisition cost at their estimated fair value on the acquisition date, and revalued on each reporting date, with subsequent adjustments recognised in the income statement.

The identifiable assets, liabilities and contingent liabilities of the purchased entities are recorded at their fair value on the acquisition date. The contingent liabilities of the acquired entities are only recognised on the consolidated balance sheet if they represent an actual obligation at the time of the combination, and if their fair value can be estimated on a reliable basis.

Non-controlling interests may, at their acquisition date, be valued either at fair value or at their proportional share of the fair value of the identifiable assets and liabilities of the acquired entity. The choice between these two methods is made for each business combination.

Costs that are directly attributable to the business combination transaction represent a separate transaction and are recorded under profit and loss.

The positive difference between the sum of the entity's acquisition cost, non-controlling interests and the fair value of any previously held share, and the revalued net assets is recorded as an asset in the consolidated balance sheet under "Goodwill"; any negative difference is immediately allocated to profit and loss.

Analyses required for the initial valuation of these items and any potential adjustments may be carried out within a period of 12 months from the acquisition date.

Goodwill is retained on the balance sheet at historical cost in the reference currency of the subsidiary acquired, and is converted at the official exchange rate at the reporting date.

Goodwill is regularly reviewed by the Group, and impairment tests are performed at least once a year, and as soon as any loss of value occurs.

When the recoverable value of the underlying asset, defined as the higher of the market value or value in use of the underlying asset concerned, is lower than its carrying amount, an irreversible impairment is charged to the income statement.

The carrying amount of goodwill for associates is included in their valuation using the equity method.

In cases where non-controlling interests are acquired in a subsidiary that is already controlled, additional goodwill corresponding to the difference between the total acquisition cost of the additional stake and the Group's share in the net assets acquired is deducted from equity if positive, and recognised as an increase in equity if negative. Likewise, a transaction resulting in a decrease in the percentage of the Group's interest in an entity over which it retains exclusive control is recognised within equity.

At the time an entity is taken over, any share previously held in it is revalued at its market value and booked to the income statement.

Repurchase commitments granted to minority shareholders of fully consolidated subsidiaries

Non-controlling interests are stakes that do not give the Group control and include instruments that represent a share of ownership interests that grant the right to a share of net assets in the event of liquidation, and other equity instruments issued by the subsidiary and not held by the Group.

In their current wording, IFRS 10 "Consolidated Financial Statements" and IAS 32 "Financial Instruments: Presentation" lead the Group to recognise a debt with respect to commitments to purchase non-controlling interests, offset by a reduction in non-controlling interests. The Group has chosen to deduct from equity the difference between the amount of the commitment and the non-controlling interests offsetting the debt.

Subsequent movements are recognised under reserves, Group share.

The share of net income attributable to minority shareholders who hold purchase options is shown under "Non-controlling interests" in the consolidated income statement.

Consolidation of the insurance activities

The financial assets and liabilities of insurance activities that are fully consolidated are measured and recognised according to IFRS 9 and presented using the overlay method.

Pending the future IFRS 17 insurance standard, the subsidiaries continue to apply IFRS 4 to the following contracts:

- ▶ insurance policies that include a contingency clause for the policy holder. This category covers personal risk contracts, pensions, property damage and unit-linked savings policies with a guaranteed floor;
- ▶ financial contracts issued by the insurer that include a discretionary profit-sharing clause.

In accordance with IFRS 4, local guidelines for valuing underwriting provisions are retained for both types of contract.

The financial contracts covered by IFRS 9 are investment contracts with no discretionary profit sharing: unit-linked savings policies with no euro-denominated underlying or minimum guarantee.

Pursuant to the "shadow accounting" principles set out in IFRS 4, a provision for deferred profit-sharing is recorded for insurance policies that included a discretionary profit-sharing clause. This provision is determined in a way that reflects the potential rights of policyholders to share in unrealised gains on financial instruments valued at fair value or in potential losses in the event of unrealised losses on those instruments.

On each reporting date, the Group's fully-consolidated insurance companies implement a liability adequacy test which checks that the recognised insurance liabilities, net of deferred acquisition costs and associated intangible assets, are adequate, using current estimates of future cash flows arising from insurance policies and financial policies with discretionary profit-sharing.

Technical and mathematical provisions

Technical provisions represent commitments to policyholders.

- ▶ Mathematical provisions for euro-denominated policies correspond to the difference between the present value of the insurer and the policyholder's commitments.

Life insurance reserves are recorded based on discount rates that are at most equal to prudently estimated rates of return on the underlying assets.

The net present value of commitments is calculated by choosing a discount rate that is at most equal to the pricing rate of the policy involved and by using statutory mortality tables or tables based on experience if these are more cautious. Lower interest rates are factored into investment income discount rate calculations when the rate is deemed to be too high relative to the expected reinvestment prospects.

Mathematical provisions for unit-linked policies are valued on the basis of the underlying assets. Gains or losses resulting from the revaluation of these policies are recognised in profit and loss in order to cancel out the impact of movements in underwriting provisions.

- Contractual equalisation reserves are established to meet the exceptional costs relating to transactions covering natural hazard risks, atomic risks, civil liability risks due to pollution, space risks, risks related to air transport, and risks related to terrorism and terrorist attacks.
- Other reserves include reserves for outstanding claims. These reserves are valued on the basis on the estimated value of foreseeable expenses net of any recoveries.

Deferred participating assets

Most financial contracts issued to policyholders by the Group's life insurance subsidiaries include a discretionary profit-sharing clause.

The discretionary participating clause entitles life insurance policyholders to receive a share in any financial gains, as well as the guaranteed income. Pursuant to the "shadow accounting" principles set out in IFRS 4, the provision for deferred profit-sharing for these policies is adjusted to reflect the policyholders' entitlement to any unrealised gains or to their share of unrealised losses on financial instruments valued at fair value. The share of gains to which policyholders are entitled is determined according to the specific features of the policies likely to benefit from such gains.

The amount of the net deferred share in profits established by shadow accounting is recognised either in balance sheet liabilities (net deferred participating liabilities) or assets (net deferred participating assets) depending on the situation of the entity concerned.

A recoverability test is conducted on any asset-based deferred profit-sharing. The aim of this test is to show that the profit-sharing amount is recoverable through sharing in future or unrealised gains, against the background of the Group's business continuity, and will not result in any inadequacy of the commitments recognised in the Group's accounts in respect of these economic commitments. The recoverability test is performed by using current estimates of future policy cash flows. The test is based on tools for modelling the asset/liability management of the subsidiaries involved, and

enables a value to be assigned to commitments under a high number of economic scenarios using a stochastic approach.

In accordance with the recommendation of the French National Accounting Council (CNC) of 19 December 2008 on methods for recognising deferred participating assets issued, recoverability of the participating asset is based on a prudent assessment of the capacity for holding the assets, particularly in terms of their future collection in forecast cash flows.

Likewise, the capacity of future returns to absorb unrealised losses was tested, based on an unfavourable repurchase scenario that has never been experienced up until now.

2.4.4 Sector information

The Group is divided into three separate divisions:

the Retail Banking Unit, which includes the banking or credit institution businesses, as well as the limited property investment partnerships (SCIs) holding the operating premises, and the Group holding company;

the Asset Management unit, which groups together the Group's UCITS management companies as well as discretionary management for wealth management clients;

the Insurance Unit, which includes the individual and collective property and casualty, personal risk, life and health insurance companies.

The sector information in the Notes to the financial statements is shown without any reallocation of shareholders' equity or return on this equity. The sector results are presented by breakdown of the internal and external income and expenditure of each sector. The tax shown is the real tax charge for each sector. Potential goodwill impairment charges are shown in the sector of the entity. Asset and liability items are shown after elimination of reciprocal transactions.

No presentation by geographical segment is provided, since the Group's business activities outside the domestic French market are not material.

2.5 Presentation and valuation rules

2.5.1 Financial assets and liabilities

2.5.1.1 General principles for the recognition of financial assets and liabilities

Initial recognition

At initial recognition, financial assets and liabilities are measured at their fair value plus or minus transaction costs directly attributable to their acquisition (with the exception of financial assets and liabilities recognised at fair value through other comprehensive income, as income or a charge at the time of initial recognition).

In practice, the fair value will more often be the disposal or transaction price of the financial instrument.

Date of initial recognition

Securities are recorded on the balance sheet at their settlement/delivery date, while derivatives are entered at their trading date. Changes in fair value between the trading date and the settlement/delivery date are recorded in profit and loss.

Loans and receivables are recorded on the balance sheet at their disbursement date.

Distinction between debt instruments and equity instruments

A debt instrument constitutes a contractual obligation to remit cash or other financial assets or to exchange instruments.

An equity instrument is a contract that shows a residual interest in the net assets of an entity, with no contractual obligation to remit cash or to exchange instruments.

2.5.1.2 Recognition of financial assets

According to IFRS 9, the classification of a financial asset is done based on the business models defined by the entity and the characteristics of its contractual cash flows (SPPI criteria).

Business models

A business model corresponds to the way a group of financial assets is collectively managed to generate income. Its objective is to best reflect how the assets in question are managed. It is identified within the Group based on objective facts that can be observed such as the analysis of the organisation of the business, its IT systems, internal reports, risk-monitoring method, or its past management decisions (past disposals, for example).

Three types of business models can be distinguished:

- ▶ “hold to collect” model: financial assets are held in order to collect contractual cash flows;
- ▶ “hold to collect and sell” model: financial assets are held in order to collect contractual cash flows and are intended for sale;
- ▶ a model specific to other financial assets, notably those held for trading.

The business model assessment requires support documentation within each of the Group’s business lines.

A change of business model is by nature very rare. Changes in business model must be decided by the management of the business lines with the approval of General Management in light of internal or external changes, which are significant with respect to the activity and can be observed by external parties. Thus, a change in business model can only correspond to the end or launch of a significant activity. This can be, for example, the disposal of a business line previously managed according to the “hold to collect” model: in this case the entity no longer markets this type of financial instrument and reclassifies all the assets concerned to a “Trading” business model.

The reclassification of debt instruments that pass the SPPI test is mandatory in the event of a change in business model and not allowed in all other cases.

This reclassification must be done prospectively, without restating the balance sheet or the income statement of previous periods.

Moreover, the reclassification must be done at the opening date of the first financial year starting after the effective date of change in the business model.

Basic lending arrangement criteria, or the “SPPI” test

The objective of the SPPI criteria is to make sure that contractual cash flow generated by the instrument consist “solely of payments of principal and interest” on the principal amount outstanding. In other words, the instrument must have the features of a “basic lending arrangement”.

The principal is defined as the fair value of the financial instrument at its initial recognition on the balance sheet.

Interest can include several components, of which:

- ▶ compensation for the time value of money;
- ▶ compensation for lending risks;
- ▶ compensation for liquidity or administrative costs; and
- ▶ a profit margin.

Financial assets that meet the SPPI test are debt instruments, notably traditional loans, fixed and variable-rate bonds and commercial credit.

Financial assets that do not meet the SPPI criteria notably include debt instruments such as UCITS or structured securities.

Derivatives and equity instruments such as stocks or non-consolidated holdings by nature do not meet SPPI criteria.

Under IFRS 9, financial assets are classified in one of the four following categories:

2.5.1.2.1 Financial assets at amortised cost

Debt instruments with cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI test, or basic lending arrangement criteria) are classified at amortised cost if the objective of the business model is to hold the instrument to collect the contractual cash flows.

The objective of the “Hold to collect” business model is to hold the assets over a long period or until maturity to collect the contractual cash flows. With this business model, there should be no or very few disposals. Some disposals are nevertheless authorised (disposals made due to an increase in the credit risk, disposals close to maturity, frequent but not very significant disposals, as well as isolated disposals even if significant).

Subsequent measurement of financial assets at amortised cost is done using the effective interest method and they enter into the scope of application of impairment under IFRS 9.

The effective interest rate is the rate that exactly discounts estimated future cash flows over the expected life of a financial instrument to the initial fair value of the financial asset. It includes transaction costs and ancillary income (arrangement fees, commitment fees when drawdown is deemed more likely than not, or participation fees) as well as all other premiums or discounts. It is an actuarial rate.

Within the Group, this category of financial assets includes most loans and receivables due from customers, as well as most of the securities that make up the investments of the banking activities.

2.5.1.2.2 Financial assets at fair value through other comprehensive income with recycling

Debt instruments with cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI test, or basic lending arrangement criteria) are classified at fair value through other comprehensive income (OCI) with recycling if the objective of the business model is to hold the instrument to collect the contractual cash flows and to sell the assets.

At initial recognition, these assets are recorded on the balance sheet at their fair value and enter into the scope of application of impairment under IFRS 9.

This category of financial instruments has the particular feature of being recognised on the balance sheet at fair value, but to record the impacts of a valuation at amortised cost on the income statement. The changes in fair value are recorded in recyclable reserves, which ensures the two accounting methods are balanced on the balance sheet and the income statement.

This is notably the case for the recognition of impairment. The value of the asset on the balance sheet remains at fair value and is not impacted by the amount of impairment calculated. The income statement is impacted by increases (charge) or decreases (income) in the impairment amount. These movements are offset by entries in the recyclable reserves.

At the time of disposal of these securities, the underlying gains or losses previously recorded in equity are recycled to profit or loss under “Net gains or losses on financial assets through other comprehensive income with recycling”.

2.5.1.2.3 Financial assets and liabilities at fair value through non-recyclable reserves

Regarding investments in equity instruments that are not held for trading, IFRS 9 offers the irrevocable option, at the date of initial recognition of each instrument, to classify them at fair value through other comprehensive income (OCI) with no recycling.

In this case, the unrealised gains or losses recognised in other comprehensive income are not recycled to profit or loss in the event of disposal. Only any dividends associated with these securities impact the income statements. The Group chose to classify its non-consolidated holdings in this category, with the exception of the Visa securities.

Moreover, in the event of a disposal, the Group chose to reclassify in reserves at 1 January of the following year the share of reserves that cannot be recycled, corresponding to any future capital gains or losses on disposal.

2.5.1.2.4 Financial assets at fair value through profit or loss

The category “Financial assets at fair value through profit or loss” is the default category under IFRS 9.

It includes debt securities that do not meet the SPPI criteria (UCITS, for example) as well as equity instruments that are not classified as Financial assets at fair value through other comprehensive income without recycling.

Moreover, this category includes financial assets, including derivatives, that are held for trading, *i.e.* acquired or issued with the intention to sell them in the short term. Within the Group it notably includes loans to local authorities eligible for transfer to Cafil.

The changes in fair value of assets classified in this category are recorded in the income statement.

2.5.1.2.5 Impairment of financial assets

The new provisioning method defined by IFRS 9 is now based on an expected credit loss model and no longer incurred losses only.

IFRS 9 defines a provisioning model, applicable to all financial assets with a counterparty risk (excluding equity instruments) not revalued at fair value through profit or loss, notably all financial assets at amortised cost and at fair value through other comprehensive income with recycling. This model also applies to lease receivables, financing commitments and financial guarantee contracts.

Thus, impairments corresponding to “12-month expected credit losses” are applied to assets measured at amortised cost and at fair value through OCI with recycling at initial recognition, as long as they do not present a significant increase in credit risk. “12-month expected credit losses” correspond to total losses incurred in the event of default, weighted by the probability of default in 12 months. The assets concerned are in “Bucket 1”.

The outstanding amounts for which a significant deterioration in credit quality has been identified since their date of initial recognition must be impaired up to the amount of “lifetime expected losses”, *i.e.* over the residual life of the financial asset. Lifetime expected losses correspond to the total losses incurred in the event of default, weighted by the probability of default over the expected lifetime of the instrument. These assets belong to “Bucket 2”.

Financial assets in default are downgraded to “Bucket 3” and are impaired by the amount of lifetime expected losses.

Significant increase in credit risk

The notion of increase in credit risk is relative, not absolute. This relative approach thus implies being able to follow the change in credit quality over time.

The Group uses a certain number of indicators in order to detect possible deterioration in credit quality of a counterparty (the principles are described in Note 3).

Provisioning methods for Bucket 1 and Bucket 2

The expected credit losses correspond to the difference between the contractual cash flows that the entity has the right to receive and the cash flows that the entity expects to recover, discounted at the effective interest rate of the financial asset.

The cash flows that the entity has the right to receive take account of all the contractual modalities of the financial instrument over its expected lifetime (for example early repayment options, extension, etc.), and include cash flows from exercising contractual guarantees.

The expected credit losses are estimated based on the probability of default of the counterparty. The probability of default corresponds to the probability of the debtor defaulting over a given time period.

For Bucket 1, the time period is 12 months. For Bucket 2, the time period is the lifetime of the instrument.

Within the Group, impairment of credit is statistical (by homogeneous categories presenting similar risk characteristics), with the possibility of adjustment based on an expert’s opinion in certain particular cases, notably for loans granted to legal entities.

Furthermore, under IFRS 9, expected credit losses are determined according to a methodology that includes reasonable and justifiable information on past events, current circumstances and economic forecasts (the notion of “forward looking”).

The forward-looking component is obtained *via* an approach consisting of three modelled scenarios. Final impairment corresponds to the average weighted by the probability of occurrence of each scenario.

Defaulted loans in Bucket 3

IFRS 9 does not impose a definition of default. On the contrary, it encourages the use of a definition that is consistent with the one used by the entity as part of its risk management policy. Within the Group, an individually identified financial asset is considered defaulted when it presents a credit event that reveals financial difficulties.

The Group considers an objective indication of default to be:

- ▶ one or more missed payments overdue by more than three months;
- ▶ when an over-indebtedness plan has been requested from the Banque de France;
- ▶ legal proceedings are underway;
- ▶ receivables are considered “high-risk” with respect to its risk management policy;
- ▶ scope of home loans.

The defaulted outstandings are weighted by the “best estimate of expected loss on the exposure at default” adjusted for the accounting of certain elements (notably the elimination of overweighting taken into account in risk monitoring analyses such as the impact of an economic slowdown, for example). This factor is determined according to the length of default and the type of guarantee.

In the event of reassessment of impaired home loans, provisions may be reversed fully or in part and loans removed from bucket 3 when all arrears have been paid and regular payments of the amounts corresponding to the contractual instalments have been met for a period of at least two months.

Scope of lease finance and loans to corporate customers

Within this scope, specific provisioning of the outstanding loans is tracked monthly and adjusted as necessary based on an expert opinion. An impairment is then recorded on the difference between the carrying value and the net present value of the expected cash flows, discounted at the original effective interest rate, and determined taking account of the financial position of the borrower and the present value of guarantees received. Removal from Bucket 3 can be effective following a probationary period corresponding to a period with no credit event.

The amount of the impairment is recognised in “Cost of risk” on the income statement, and the value of the financial asset is reduced through recording an impairment charge ⁽¹⁾.

Applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

Debt restructuring

Restructured loans are loans for which the entity has modified the original financial conditions due to the borrower’s financial difficulties.

Restructuring operations are defined according to two main criteria:

- ▶ concessions by the bank;
- ▶ the borrower’s financial difficulties.

The rate discount arising from a restructured loan is recorded under cost of risk and on the balance sheet as a deduction from the corresponding amount outstanding. It corresponds to the difference between the nominal value of the debt before the restructuring and the discounted value at the original effective rate of the new expected future flows. The discount is recognised through profit or loss in the interest margin, according to an actuarial method over the term of the loan.

Any relinquishment of the capital is directly recorded in the income statement.

2.5.1.2.6 Derecognition of financial assets

Financial assets are derecognised when the contractual rights to the cash flows attached to the financial asset expire or when such rights and virtually all the risks and benefits associated with ownership have been transferred to a third party.

When certain risks and advantages have been transferred but control of the financial asset is retained, that asset remains on the balance sheet so as to reflect the ongoing involvement in the asset concerned.

Within the Group, most loan renegotiations lead to derecognition, as contractual rights are substantially modified.

Repurchase agreements

The seller does not derecognise the securities. The Group records a liability that represents its commitment to give back the cash received. This debt represents a financial liability, which is recorded at amortised cost and not at fair value.

The acquirer does not recognise the assets received, but recognises a receivable on the cash loaned by the seller. At subsequent year-ends, the seller continues to value the securities according to the rules applicable to their original category. The nominal value of the receivable is recorded in loans and receivables.

Securities lending

The lending and borrowing of securities cannot be treated as a transfer of a financial asset according to IFRS. Therefore, these transactions cannot result in derecognition of the loaned securities. They remain recognised in their original accounting category and valued according to the rules of that category.

2.5.1.3 Financial debt

2.5.1.3.1 General principle for the classification of financial debt

All financial liabilities are by default classified at amortised cost.

At the closing date, the debt is valued according to the effective interest rate and recorded in the balance sheet under “Liabilities due to credit institutions”, “Liabilities due to customers”, “Debt securities” or “Subordinated debt”, except in cases where it has been hedged at fair value.

Liabilities due to credit institutions and to customers

Liabilities due to credit institutions and liabilities to customers are broken down according to their initial maturity or the nature of the debt: sight (sight deposits, ordinary accounts) or term (special scheme savings accounts). This debt includes securities and shares given under repurchase or lending agreements.

Debt securities

Debt securities consist of negotiable debt securities issued by La Banque Postale.

Subordinated debt

Subordinated debt includes debt where repayment is only possible once other senior or secured creditors have been repaid in the event that the debtor’s assets are liquidated. This debt is valued according to the amortised cost method, except where it has been hedged at fair value.

2.5.1.3.2 Financial assets and liabilities at fair value through profit or loss

Securities classified in this category correspond to financial assets and liabilities held for trading, including derivatives that are liabilities, together with assets and liabilities that the Group designated from the outset to be valued at fair value through profit or loss, in accordance with the option provided by IFRS 9, subject to meeting the following conditions:

- ▶ elimination or significant reduction in an accounting mismatch. The Group thus measures certain structured issues at fair value through profit or loss;
- ▶ Group of financial liabilities for which management and performance are assessed at fair value;
- ▶ compound financial instruments containing one or more embedded derivatives not closely related.

(1) Regarding financial guarantees and financing commitments that enter into the scope of application of impairment according to IFRS 9, please refer to the sections concerned for the specific accounting treatment (provisions recorded under liabilities).

The accounting treatment of financial liabilities for which this option is taken is the following:

- ▶ the changes in the fair value of these liabilities are recognised in profit or loss except for the part relating to the Group's own credit risk;
- ▶ the changes in fair value relating to the component that is the Group's own credit risk component is recognised in OCI with no recycling. This part thus may not be recycled to profit or loss in the event of early repayment of the debt.

2.5.1.3.3 Distinction between debt and equity: Perpetual super subordinated notes

Subordinated securities are classified as debt or equity instruments according to the analysis of their features, and more specifically according to whether or not their payout method is discretionary.

In light of the conditions specified by IAS 32 for the analysis of the contractual substance of these instruments, and given their contractual characteristics, the perpetual super-subordinated notes issued by the CNP Assurances group are classified as "debt instruments".

Subordinated bonds convertible into issued ordinary shares also meet the criteria for classification as "debt instruments", even though the coupons are treated as dividends that are deducted from equity. The deferred tax asset associated with the payment of coupons, representing tax savings, is recognised in profit or loss in application of the amendment to IAS 12 as part of the 2015-2017 annual improvements cycle.

Subordinated bonds convertible into ordinary shares were analysed, in accordance with IAS 32, as hybrid instruments comprising a debt component and an equity component.

2.5.1.3.4 Financial liabilities with embedded derivatives

An embedded derivative is a component of a hybrid instrument. It is separated from the host contract and recorded separately when, from the beginning of the contract, its economic characteristics and the related risks are not closely linked to those of the host contract, except where the hybrid liability is valued at fair value through profit or loss. Within the Group, this category of liability notably includes structured issues (Euro Stoxx indexation).

2.5.1.3.5 Reclassification of financial liabilities

The classification of a financial liability determined at initial recognition is definitive and no subsequent reclassification is permitted.

2.5.1.3.6 Derecognition of financial liabilities

Financial liabilities are derecognised when the contractual obligation is extinguished, cancelled, or expires.

2.5.1.4 Financial derivatives and hedge accounting

A derivative is a financial instrument or other contract that has the following three characteristics:

- ▶ its value fluctuates according to an interest rate, the price of a financial instrument, the price of a commodity, an exchange rate, a price or securities index, a credit rating or credit index, or another variable known as the underlying asset;

- ▶ it requires a low or nil initial net investment, or a net investment that is lower than the investment required by a non-derivative financial instrument in order to achieve the same sensitivity as the underlying asset;
- ▶ it is unwound at a future date.

Financial derivatives break down into two categories:

Derivatives held for trading

Derivatives belong to the category of financial instruments held for trading, except for derivatives that are used for hedging purposes. They are recognised in the balance sheet at their fair value in "Financial instruments at fair value through profit or loss". Changes in fair value and interest accrued or due are recognised in "Net gains and losses on financial instruments at fair value through profit or loss".

Hedging derivatives

IFRS 9 provides the option of deferring application of the hedge accounting provisions pending the effective date of the standard on macro-hedging. The Group chose the option to continue to apply the principles of IAS 39 to hedge accounting. With respect to macro-hedging, European Union provisions on the fair value hedging of a portfolio of interest rate items continue to apply.

Derivatives that meet the criteria defined in IAS 39 to qualify as hedging instruments are classified in the "Fair value hedges" or "Cash flow hedges" categories, depending on the circumstances. They are recognised as "Hedging derivatives" on the balance sheet. Other derivative instruments are classified as "Assets or liabilities at fair value through profit or loss" by default, even if, from an economic perspective, they have been acquired with a view to hedge one or several transactions.

In order to classify a financial instrument as a hedging derivative, the Group must establish the hedge relationship from the outset (hedging strategy, description of the risk hedged, the item hedged, the hedging instrument and the method used to assess its effectiveness). Effectiveness is assessed when the hedge is set up and at each year-end while it remains in place.

Depending on the nature of the risk covered, the derivative financial instrument is designated as a fair value hedge, a cash flow hedge, or as an exchange rate hedge linked to a net foreign investment.

Fair value hedges

Fair value hedges enable exposure to fluctuations in the fair value of financial assets or liabilities to be hedged; they are primarily used to hedge the interest rate risk on fixed-rate assets and liabilities as well as overnight deposits, according to the options approved by the European Union.

Any revaluation of the derivative is recognised in profit or loss symmetrically to the revaluation of the hedged item. Gains or losses attributable to the hedged risk are recognised in "Net gains or losses on financial instruments at fair value through profit or loss" in the income statement. As soon as the hedge relationship becomes effective, changes in the fair value of the hedged item are symmetrical to the changes in the fair value of the hedging instrument. Any ineffectiveness of the hedge is directly recorded in the income statement. The portion relating to the accrued income or expenses on the derivative instrument is recognised in "Income and interest expense" in the income statement at the same time as the interest income and expense relating to the hedged item.

As soon as the derivative instrument no longer meets the effectiveness criteria specified by the standard, or especially if it is sold, the hedge accounting ceases prospectively: the derivative is transferred to "Financial assets at fair value through profit or loss" or "Financial liabilities at fair value through profit or loss" while the remeasurement adjustment of the hedged item is amortised over the remaining period based on the initial life of the hedge.

In the event that there is no longer a hedged item, the hedging instrument, which is no longer qualified as a hedging instrument but still exists, remains on the balance sheet at fair value through profit or loss. A gain or loss on the sale of the hedged item is eventually recognised in profit and loss.

Macro-hedging

The Group applies the provisions of IAS 39, as adopted by the European Union, to macro-hedging transactions that are carried out as part of the asset and liability management of fixed-rate positions.

Macro-hedging instruments are mainly interest rate swaps designated as fair value hedges for the Group's fixed-rate resources.

Macro-hedging derivatives are accounted for according to the same principles as those described above. The revaluation of the hedging component is recognised in "Revaluation differences on portfolios hedged against interest rate risk".

Cash flow hedges

Cash flow hedges are used to hedge exposure to changes in cash flows from financial assets or liabilities, firm commitments or future transactions. More specifically, they are used to cover the interest rate risk on variable-rate assets and liabilities.

The effective portion of the changes in the fair value of a derivative instrument is entered on a specific line in equity capital, while the ineffective portion is recognised in the income statement in "Net gains or losses on financial instruments at fair value through profit or loss".

The portion relating to the re-discounting of the derivative instrument is recognised in "Interest income and expense on hedging transactions" in the income statement at the same time as the interest income and expense relating to the hedged item.

Hedged instruments continue to be recognised according to the rules that apply to their accounting category.

In the event of an interruption of the hedging relationship, or if the derivative instrument no longer meets the effectiveness criteria specified by the standard, or especially if it is sold, the hedge accounting ceases. The aggregate amounts entered in equity in respect of the revaluation of the hedging derivative are gradually transferred to profit or loss as interest income and expense, or immediately recognised in profit or loss. In the event the hedged item no longer exists, the derivative is reclassified in "Financial assets at fair value through profit or loss", while the remeasurement of the hedged item recognised in equity is immediately recorded in profit and loss.

Foreign currency hedge of a net investment

The Group does not use this type of hedging.

2.5.1.5 Offsetting of financial assets and liabilities

A financial asset and liability are offset and a net balance is shown on the balance sheet if and only if the Group has a legally enforceable right to offset the amounts recognised, and if it has the intention either to settle the net amount or to realise the asset and settle the liability simultaneously. The legally enforceable right must be irrevocable and must be enforceable under all circumstances.

Repo transactions for which functioning principles meet both criteria required by the standard are offset on the balance sheet when:

- ▶ they relate to the same counterparty;
- ▶ they have the same maturity dates set from the outset;
- ▶ they are realised in the same currency;
- ▶ they are settled *via* a settlement/delivery system that guarantees the delivery of the securities against receipt of the associated cash;
- ▶ the securities are deposited with the same depository.

Offsetting primarily concerns securities lending transactions carried out with the LCH Clearnet clearing house.

2.5.1.6 Determining fair value or market value

IFRS 13 defines fair value as the price received for the sale of an asset or paid for the transfer of a liability in a standard transaction between market participants on the valuation date.

When an instrument is initially recognised, its fair value is generally the transaction price.

IFRS 13 recommends first using a price quoted on an active market to determine the fair value of a financial asset or liability. A market is considered to be active if prices are easily and regularly available from a stock exchange, a broker (multiple inputs), an intermediary or a regulatory agency, and if those prices represent real transactions (volume and price range) under normal competitive conditions. In the absence of an active market, the fair value must be determined using valuation techniques. These techniques include the use of recent transactions carried out under normal competitive conditions. They are based on market data, the fair value of substantially identical instruments, or on data generated from cash flow discounting or option valuation models, using recognised valuation methods. The aim of a valuation process is to establish what the price of an instrument would be under normal market conditions. For example, the fair value of bonds or variable-income securities and futures is determined using quoted prices. The use of valuation techniques that are based on market data usually concerns over-the-counter derivatives, securities where income is taxed at the source (treasury bills, certificates of deposit, etc.) and repo deposits.

Three levels of financial instruments are shown in Note 7.2, based on the decreasing level of observability of the prices and parameters used for their measurement:

- ▶ level 1: Instruments valued according to the (non-adjusted) prices quoted for identical assets or liabilities on an active market.

This level primarily includes listed shares and derivatives on organised markets (futures, options, etc.);

- ▶ level 2: Instruments valued according to data other than the prices listed under level 1 and that can be observed for the asset or liability in question, either directly (prices) or indirectly (derivative price data).

These instruments are measured employing valuation techniques that use observable parameters and standard models or instruments that are valued based on similar instruments listed on an active market. This category includes interest rate swaps, caps, floors, etc.;

- ▶ level 3: Instruments valued using data that are not observable market data.

This category mainly includes unlisted equity investments, such as venture capital funds (FCPR) or innovation funds (FCPI).

The market value of unlisted equity investments is determined by reference to criteria such as net assets, profitability outlook and discounting of future cash flows.

The price quoted for an asset held or a liability to be issued is usually the bid price, and it is the ask price for a liability held or an asset to be acquired.

The fair value of financial instruments recognised in the balance sheet at amortised cost is presented in Note 7.1 to the financial statements.

2.5.1.7 Guarantee commitments

Financial guarantee contracts

According to IFRS 9, a contract meets the definition of a financial guarantee if it includes an indemnity clause, according to which the issuer shall compensate the beneficiary for losses that the latter has suffered due to the default of a debtor who was specifically designated to make a payment on a debt instrument.

The financial guarantees provided are valued at their initial fair value at the date they were set up. They are subsequently valued at the higher of the amount of the commitment and the amount initially recorded, less the guarantee commission, where applicable.

Moreover, financial guarantees given (that are not recognised at fair value through profit or loss) enter the scope of application of impairment under IFRS 9 and will be subject to a provision booked to liabilities on the balance sheet. The same bucket and provisioning methods as those described for financial assets at amortised cost or fair value through other comprehensive income with recycling are applied. The provision is offset against the cost of risk.

2.5.1.8 Financing commitments

Financing commitments that are not accounted for as derivatives are not shown on the balance sheet.

However, like for the financial guarantees given, financing commitments (that are not considered to be derivatives) enter into the scope of application of impairment under IFRS 9 and are subject to a provision booked under balance sheet liabilities.

2.5.2 Foreign currency transactions

As a reminder, according to IAS 21, monetary assets and liabilities correspond to assets and liabilities to be received or paid for a determined or determinable amount, for example a loan or basic bond. By nature, an equity instrument is a non-monetary asset.

At the closing date, monetary assets and liabilities denominated in foreign currencies at amortised cost or as other comprehensive income with recycling are converted into euros, the Group's functional currency, at the closing rate. Unrealised or realised gains and losses are recognised in the profit and loss statement.

Assets and liabilities denominated in foreign currencies at fair value through profit or loss are converted at the exchange rate at the closing date. The exchange differences related to these assets are recorded globally in the income statement with the other changes in the value of the security.

Non-monetary items denominated in foreign currencies recorded as OCI without recycling are converted at the exchange rate on the

closing date. Foreign exchange gains or losses relating to these securities are recorded as OCI without recycling. In this case, in the event of disposal, the foreign exchange gains or losses cannot be recycled to profit or loss.

2.5.3 Finance lease transactions

Lease transactions are classified as finance lease transactions when they substantially result in the transfer of the risk and benefits relating to the leased asset to the lessee. They are analysed as financing granted to the lessee for the purchase of an asset.

The present value of the payments due in respect of the agreement, plus the residual value, where applicable, is recorded as a receivable and is shown under customer loans and receivables on the balance sheet.

The interest included in the lease payments is recorded under Interest and similar income in the income statement.

The lease payments received are spread over the term of the lease agreement, by dividing them into amortisation of the principal and interest, so as to generate a regular and constant rate of return on the net investment. The interest rate used is the interest rate implicit in the lease.

Lease receivables from lease contracts are subject to impairment for credit risk as defined by IFRS 9.

The same bucket and provisioning methods as those described for financial assets at amortised cost or fair value through other comprehensive income with recycling are applied. The impairment is offset against the cost of risk.

2.5.4 Tangible and intangible fixed assets

Fixed assets shown on the balance sheet include tangible and intangible operating assets, *i.e.* assets used for administrative purposes. The Group has no investment property.

Fixed assets are recognised at their acquisition cost plus acquisition expenses that are directly related and required to put them in working order so that they can be used.

Following their initial recognition, fixed assets are valued at cost less accumulated depreciation and any potential loss of value.

The portion of a fixed asset that can be depreciated is determined after deducting its residual value net of disposal costs, if that value can be measured and is significant.

Fixed assets are depreciated in accordance with the estimated consumption rate of the expected economic benefits, which usually corresponds to the life of the asset.

When a fixed asset includes several components that may need to be replaced at regular intervals, have different uses, or provide economic benefits at different rates, each component is recognised separately from the outset and is depreciated according to a specific depreciation schedule.

Depending on their components, buildings are therefore depreciated over periods ranging between 10 and 80 years:

- ▶ structural work: 80 years;
- ▶ roofing: 60 years;
- ▶ joinery and external works: 40 years;
- ▶ major equipment items: 20 years;
- ▶ small equipment items, fixtures and fitting: 10 years.

When they meet the criteria for fixed assets, proprietary software packages are recognised at their development cost, including third-party expenses and personnel costs for employees directly assigned to the project. They are usually amortised over a period of between three and seven years or ten years, depending on their useful life.

Fixed assets that are depreciated are subject to impairment tests in cases where evidence of a loss of value is identified at the reporting date. Fixed assets that are not depreciated are subject to impairment tests in cases where potential evidence of a loss of value is identified at the reporting date, and at least once a year.

If there is evidence of a loss of value, the recoverable value of the asset is compared with its net carrying amount. In the event of loss of value, an impairment charge is recorded in profit or loss; it changes the depreciable base of the asset prospectively. The impairment is reversed in the event of a change in the estimated recoverable value or if there are no longer any indications of impairment.

Depreciation, amortisation and impairment charges are recognised in "Depreciation, amortisation and provisions for impairment of tangible and intangible fixed assets" in the income statement.

Gains and losses on the disposal of operating fixed assets are recorded in the income statement on the "Net gains on other assets" line.

2.5.5 Special savings scheme accounts

The home loan savings accounts (CEL) and home loan savings plans (PEL) offered to individual customers under the provisions of the law of 10 July 1965 include two stages: a stage where funds are gathered in the form of remunerated savings and a stage where they are used to grant home loans.

They generate two kinds of commitments for the distributing institution:

- ▶ an obligation to remunerate future savings at a rate set at the opening of the account for an indefinite period for PEL accounts opened before 28 February 2011, and at a rate that is reviewed annually for new generation accounts;
- ▶ an obligation to grant customers who request it, a loan at a rate set on signature of the agreement.

These commitments have potentially unfavourable consequences for the Group, and are the subject of provisions recorded in balance sheet liabilities (in the "Provisions" line). Changes in these provisions are recorded in the net banking income interest margin.

The provisions are estimated on the basis of customer behaviour statistics and market data for each generation of plans, in order to cover any future expenses arising from the potentially unfavourable interest rate conditions attached to these products relative to the rates offered to retail customers on similar products for which the remuneration is not regulated. The provisions only relate to the commitments for home loan savings accounts and plans that exist at the date the provision is calculated.

Provisions are calculated for each generation of home loan savings plans, with no offsetting of commitments among the different generations, and for all the home loan savings accounts representing one generation.

At the savings stage, the commitments to be provisioned are evaluated according to the difference between average forecast savings deposits and minimum forecast savings deposits, both of which are determined on a statistical basis by factoring in historical observations on actual customer behaviour.

At the lending stage, the commitments to be provisioned include loans that have already been granted but not yet released at the year-end date, as well as future loans that are viewed as statistically likely based on balance sheet deposits as at the calculation date, and on historical observations on actual customer behaviour.

A provision is recorded when the net present value of future income is negative for a given generation of loans.

These results are assessed relative to the rates offered to retail customers on equivalent savings and lending products and that are consistent with respect to the estimated lifespan of the deposits and date they were set up.

2.5.6 Provisions

Provisions recorded in balance sheet liabilities, other than those relating to credit risk or employee benefits, are liabilities for which the duration or amount is uncertain. A provision is recorded when the Group has an obligation towards a third party and that obligation is likely or certain to cause an outflow of funds in favour of the third party with no expectation of a counter-payment that is at least equivalent.

The net present value of the expected outflow is calculated as soon as the impact of that net present value becomes material.

Provisions and provision reversals are recorded in profit and loss on the lines that correspond to the nature of the future expenditure involved.

2.5.7 Investments of the insurance companies

The Group records the investments of its insurance businesses and the technical provisions linked to insurance contracts in specific items under assets and liabilities on the balance sheet and has a separate line on the income statement for net income from the insurance companies.

Insurance assets

The item "Investments of the insurance activities and reinsurers' share of technical provisions" includes the assets of insurance activities including:

- ▶ financial investments (*i.e.* financial instruments), broken down by category (financial assets through profit or loss, at amortised cost, etc.);
- ▶ reinsurance companies' share of technical provisions.

Insurance liabilities

The item "Insurance company underwriting provisions and shadow accounting" includes:

- ▶ the technical provisions relating to insurance contracts (life, non-life);
- ▶ deferred participating reserves.

2.5.8 Interest income and expense

Interest income and expense are recognised in the income statement for all financial instruments valued at amortised cost using the effective interest rate method and financial instruments at fair value through comprehensive income. This item also includes the interest accrued and due from fair value hedging instruments for fixed-income assets that fall under the category of debt instruments recognised at fair value through OCI.

The effective interest rate is the rate that exactly discounts future cash outflows or inflows over the expected life of the financial instrument so as to obtain the net carrying amount of the financial asset or liability. The calculation of this rate factors in commissions received or paid, which are by nature an integral part of the effective contract rate.

2.5.9 Commission income and expenses

In accordance with IFRS 15, commissions are recognised in profit or loss depending on the services provided and the way in which the financial instruments to which that service relates are recognised:

Commissions paid for ongoing services are recognised in profit and loss over the length of the service (commissions on means of payment).

Commissions paid for one-off services or for a major transaction are recognised in full in profit and loss when the service is provided or the transaction carried out (account management commissions, commissions on payment incidents).

Variable commission income cannot be recorded in profit or loss unless there is a high probability that the amounts recognised will not result in a significant downward adjustment.

Commissions treated as additional interest (credit grant commissions) are an integral part of the effective interest rate. These commissions are therefore recognised under interest income and expenses and not under commissions.

2.5.10 Cost of risk

The cost of credit risk includes:

- ▶ impairment provisions and reversals on financial assets at amortised cost and at fair value through other comprehensive income with recycling, broken down by Bucket;
- ▶ impairment provisions and reversals on finance lease receivables;
- ▶ impairment provisions and reversals relating to financial guarantee contracts and financing commitments;
- ▶ discounts on restructured loans, as well as the recovery of amortised receivables;
- ▶ losses on irrecoverable loans.

2.5.11 Income tax

Tax payable

La Banque Postale and some of its French subsidiaries are part of the tax consolidation group of the La Poste Group.

Deferred taxes

Deferred tax assets are recognised on all temporary differences between the carrying amount of an asset or liability and its tax base, except in exceptional cases.

The tax rates used for valuation purposes are the rates that are expected to be applied when the asset is realised or when the liability is extinguished, to the extent that those rates have been adopted or virtually adopted at the reporting date.

Net deferred tax assets are only taken into account if it is likely that the entity involved has a chance of recovering the tax within a determined time frame.

The Group uses the losses carried forward by its subsidiaries only inasmuch as these entities demonstrate *via* a multi-year business plan their ability to use them over a set and reasonable time frame.

Deferred tax is recognised as tax income or expense in the income statement, except for tax relating to unrealised gains and losses on assets at fair value through OCI that can be recycled, and to changes in the value of derivatives classified as cash flow hedges, for which deferred tax is charged directly to equity capital.

2.5.12 Employee benefits

La Banque Postale Group provides different types of benefits to its employees, civil servants and contract staff. These benefits fall into four categories:

Short-term benefits

Short-term benefits primarily include salaries, annual paid leave, incentives, profit-sharing and bonuses that are paid within 12 months of the end of the financial year and relate to that year.

They are recorded as expenses for the financial year, including amounts still owing at year-end.

Long-term benefits

Long-term benefits are benefits that usually relate to length of service, and are paid to working employees more than 12 months after the end of the financial year, such as the “working hours savings accounts”, for example.

A provision equivalent to the value of these commitments is recorded at year end.

Termination compensation

This relates to compensation paid to employees when their work contract is terminated before retirement, whether as a result of termination or as part of a voluntary redundancy plan. A provision is recorded for termination compensation. The commitment is valued on the basis of the entitlements earned by all working employees, mainly based on employee turnover, the estimated future salary of beneficiaries at the time they leave the Company, including social security contributions where applicable, and mortality tables (INSEE TH/TF00-02). A net present value is calculated for compensation payable more than 12 months after the reporting date.

Post-employment benefits

Post-employment benefits for employees include retirement compensation, pensions and benefits for pensioners.

The pension plan for contract staff is a scheme known as a “defined contribution scheme”. Such schemes are based on payments to independent bodies that are responsible for paying the amounts due to employees, thus releasing the employer from any subsequent obligation. Therefore, once the contributions have been paid, no liability or commitment is shown in the Group’s financial statements. Contributions paid to independent bodies are expensed in the period concerned.

A provision is recorded in balance sheet liabilities for Group employee commitments that are not covered by contributions recorded as expenses and paid to retirement or insurance funds, primarily for retirement compensation.

These commitments are valued according to the projected unit credit method, in accordance with IAS 19R. Actuarial assessments are performed every year.

The appraisal calculations involve taking third-party actuarial economic assumptions into account (discount rates, inflation rates, pension increases, etc.), together with assumptions that are specific to the Group (employee turnover rates, salary increases, etc.).

The provision recorded on the balance sheet for defined benefit post-employment schemes corresponds to the present value of the commitment at the reporting date, adjusted for actuarial gains and losses and the cost of past services that have not been recognised. Actuarial adjustments are now recognised in comprehensive income and the cost of services recorded in the income statement. The present value of the commitment is calculated on an annual basis using the projected credit unit method. It is determined by calculating the net present value of expected future outflows based

on the market rate for top-tier corporate bonds, denominated in the currency in which the benefit will be paid and with a maturity that is close to the average estimated length of the underlying commitment.

The actuarial assumptions used to value employee commitments are reviewed and updated once a year at year-end.

The calculations factor in the following assumptions:

- ▶ the likelihood of working employees staying within the Group, life expectancy trends and estimated salary trends;
- ▶ retirement assumptions;
- ▶ discount rates that enable the present value of commitments to be determined. The discount rates used for the 2018 and 2017 actuarial valuations, based on private top-tier bonds, are as follows:

Commitment periods	5 years	10 years	15 years	20 years
2018 discount rate (euro zone)	0.6%	1.3%	1.6%	1.8%
2017 discount rate (euro zone)	0.2%	0.9%	1.4%	1.9%

2.5.13 Non-current assets held for sale and discontinued activities

When the Group decides to sell non-current assets or a group of non-current assets, and when it is highly probable that the sale will occur within 12 months, these assets or group of assets are shown separately on the balance sheet under "Non-current assets held for sale". Any liabilities associated with them are also reported under a specific item, "Debts linked to non-current assets held for sale".

In this context, the assets are no longer depreciated and are valued at the lower of their carrying amount or fair value minus disposal costs. Impairment losses on an asset or a group of assets held for sale are recognised in the income statement as an impairment that is reversible until the disposal date.

Financial instruments continue to be valued based on IFRS 9 accounting principles.

2.5.14 Use of estimates in the preparation of the financial statements

The preparation of the financial statements requires making assumptions and estimates that involve uncertainties with regard to their future accuracy. These estimates, which are based on the information available at the reporting date, call upon the judgement of managers and the parties involved in preparing the financial statements, particularly when assessing the fair value of financial instruments.

Future achievements depend on many factors: fluctuations in interest and foreign exchange rates, the economic environment, changes in regulations or legislation, etc., which means that the final outcome of the transactions concerned may differ from these estimates and have an impact on the financial statements.

The main valuation processes that require the use of assumptions and estimates:

- ▶ the valuation of financial instruments not listed on organised markets involves the use of models based on observable market

data for most OTC instruments. determining the value of certain complex instruments that are not traded on an active market is done based on valuation techniques that in certain cases rely on parameters that are deemed to be non-observable;

- ▶ determining the market value of unlisted equity investments;
- ▶ the valuation of financial assets and liabilities recognised at cost and for which fair value information must be provided in the notes to the financial statements;
- ▶ credit risk valuations: provisions calculated according to IFRS 9 make specific use of estimates of the probability of default, and general use of expert judgements (see Note 3);
- ▶ calculations relating to expenses linked to future employee benefits are based on discount rate assumptions and employee turnover and salary trend assumptions;
- ▶ the valuation of provisions other than those linked to credit risk is also, by its nature, subject to estimates, as it involves liabilities for which the maturity or amount are not precisely determined, and where it is likely or certain that there will be an outflow of funds in favour of a third party, with no compensation in an amount that is at least equivalent expected from that beneficiary. Notably, the valuation of the home savings provision uses assumptions of changes in customer behaviour based on historical observations which are not necessarily an accurate guide to the future;
- ▶ the value of goodwill recognised when there are business combinations;
- ▶ goodwill impairment tests involve a certain number of assumptions;
- ▶ assessing the effectiveness of hedges in place requires the use of assumptions and estimates of changes in the hedged risks and their impact on the hedge relationship;
- ▶ valuing commitments to buy out minority shareholders;
- ▶ determining the technical provisions of the insurance companies.

NOTE 3

FINANCIAL MANAGEMENT, RISK EXPOSURE AND HEDGING POLICY

3.1 Credit risk

3.1.1 General framework

The Group's Risks Department covers the credit risk, *i.e.* the risk incurred in the event of default by a counterparty or counterparties considered to be a same beneficiary within the meaning of EU Regulation No. 575/2013 of the European Parliament and the Council relating to the prudential requirements applicable to credit institutions and investment firms (CRR).

The Executive Board sets the fundamental principles (strategic guidelines, values, appetite for risk, governance), which are approved by the Supervisory Board, and on the basis of which each business activities sets its priorities and the associated risk management system under the supervision of the Group Risk Department. These fundamental principles are reflected in the Risk Management Policy described in chapter 4.

3.1.2 Significant deterioration in credit risk – the principles:

3.1.2.1 The principles

La Banque Postale defines seven principles for assessing an increase in credit risk in accordance with IFRS and the guidelines of the European Banking Authority (EBA) defining the modalities for moving loans from bucket 1 to bucket 2.

Principle 1 – Monitoring of credit risk: According to IFRS 9, credit quality is assessed from the beginning of the commitment. This measurement of credit quality since initial recognition must be made at each reporting date in order to determine the classification of the asset concerned.

La Banque Postale considers that a financial instrument is classified as sensitive when there is a significant deterioration in credit quality since initial recognition (comparison of the credit quality of the asset with its situation at the date it was first recorded on the balance sheet or date of commitment for off-balance sheet instruments)

Principle 2 – Rating indicator to monitor the credit quality: The Group monitors the credit risk of each contract using a system for rating the credit quality of the counterparty. Thus, the rating of a contract at a given time is determined on the basis of the counterparty's rating at that time. At a given time, all contracts with a same counterparty have the same rating.

In order to measure a deterioration in the credit risk, the Bank uses a rating system derived from:

- ▶ the internal rating models used to manage and monitor risks; or
- ▶ a database that collects external ratings in the aim of keeping them.

The Bank's risk monitoring systems collect data on the ratings at the commencement of the contracts and keep them in order to determine a significant increase in credit risk, as well as the last known rating in order to fulfil the first principle.

When the Bank does not have rating models or systems for gathering ratings (and thus does not use ratings as data on entry

into the portfolio) it can use other types of measurement. For portfolios that have an internal and/or external rating, the measurement of the significant increase in credit risk is based on the rating and may be rounded out by a quantitative and/or qualitative analysis by the relevant business line.

Principle 3 – Monitoring of credit quality with the addition of a backstop: In addition to the first principle, the Bank has added an absolute threshold criteria. The approach defined by the Group combines a relative threshold and then an absolute threshold.

La Banque Postale Group's absolute threshold is based on two indicators:

- ▶ rating indicator: the absolute threshold at which the level of credit quality is considered a significant increase in credit risk is set by type of asset;
- ▶ payments past due: payments are more than 30 days past due. According to IFRS 9, payments more than 30 days past due are considered to represent a significant increase in the credit risk as they indicate a deterioration in credit quality.

Principle 4 – Use of a 12-month indicator for retail customers: the measurement of a significant increase in credit risk implies an assessment at each reporting date of the risk of default occurring over the expected life of the asset. Rather than basing the assessment on the lifetime probability of default, IFRS 9 allows for the use of a 12-month risk of default if it is a reasonable approximation to that at maturity.

Principle 5 – The notion of low credit risk: IFRS 9 allows for taking into account the notion of low credit risk at the reporting date. A financial instrument is considered to have low risk when there has been no significant increase in its credit risk since initial recognition. The notion of low credit risk can be the equivalent of a universal definition such as an investment grade rating, which according to the CRR scale would correspond to a rating of below or equal to 3. This exemption applies only to debt securities in accordance with the EBA guidelines.

La Banque Postale does not use the exemption for assets with low credit risk for its credit transactions. It is nevertheless used in the case of debt securities at the time of validation of the bucket, in accordance with principle 6.

Principle 6 – Taking into consideration qualitative information: for the portfolio excluding retail customers, the presumption of a transfer to bucket 2 requires a specific qualitative analysis to be carried out by the Watch List Committee to confirm or reject the rating indicator.

An asset that has been restructured due to the financial difficulties of the counterparty continues to be regarded as in default for a period of 12 months, and then if no default event occurs it is moved back into bucket 2 for a period of 24 months in accordance with prudential regulation.

Principle 7 – Transfer to bucket 2 before default: in accordance with IFRS 9, the Bank must determine insofar as possible the assets that have undergone a significant increase in credit risk before they default. Exceptionally, some commitments can be exempt from being moved to bucket 2 before they are recorded in default.

3.1.2.2 The process for assessing a significant increase in credit risk

The operational procedures in place enable events indicating a possible deterioration in the credit quality of a counterparty to be monitored/detected.

The criteria for classification of a commitment in bucket 2 are described by category of exposure:

- ▶ Retail customers – individuals;
- ▶ Retail customers – professionals;
- ▶ Central administrations & Central banks;
- ▶ Credit institutions;
- ▶ Corporate;
- ▶ Public sector entities.

The criteria do not represent an exhaustive list and the relevance of information must be assessed in accordance with the customer segment concerned (except for retail customers). Other events leading to a deterioration in credit quality or generating risk can be taken into consideration following an analysis carried out by the risk unit concerned.

These events are evaluated by the business units of the Group's Risk Department with good knowledge of their counterparty or the group of related parties.

The operating entities are responsible for the exposures they have generated and must detect immediately any events that indicate a deterioration in the credit quality of their customers.

Note that all assets that are not in bucket 3 or bucket 2 are classified in bucket 1. These are assets that show no significant increase in credit risk since initial recognition.

3.1.3 Provisioning – the expected credit losses (ECL) methodological approach

3.1.3.1 The notion of expected credit losses

The method of calculation of expected credit losses (ECL) must reflect the measurement of the possible amounts weighted by probability taking into account the value time of money and all available information. This methodology is described in Note 2 (Provisioning methods for Bucket 1 and Bucket 2).

12-month expected credit losses ($ECL^{12months}$):

At each reporting date, when there is no significant increase in the risk linked to a commitment since its initial recognition, the Bank measures the impairment for credit losses of this exposure as the 12-month expected credit losses of the exposure.

$ECL^{12months}$ represents the share of expected credit losses at maturity of a financial instrument following a default event that could occur within 12 months after the reporting date.

This formula applies to all commitments classified in bucket 1 that have maturity of less than one year.

Lifetime expected credit losses ($ECL^{lifetime}$):

At each reporting date, when there is a significant increase in the risk relating to a commitment since its initial recognition, the Bank measures the impairment for credit losses of this commitment as the amount of credit losses over the life of the financial instrument.

3.1.3.2 Definition of the parameters for the calculation of expected credit losses

La Banque Postale calculates ECL using three main components: probability of default (PD), loss given default (LGD) and exposure at default (EAD)

The past data used for the regulatory prudential requirements are used to calculate the ECL parameters. This data is adjusted in order to reflect the economic conditions at the date of measurement of the ECL.

The **maturity** date refers to the date of the last payment of a loan commitment or financial instrument at which the principle loan amount and interest must be repaid or when the authorised amount or date expires.

It corresponds to the maximum contractual period including extension options, with the exception of revolving loans, credit cards and overdrafts for which a behavioural maturity must be used.

For contracts without a contractual maturity, the maximum maturity used is 12 months, as, in the case of insolvency of the debtor, the Bank revokes the overdraft allowance within a period of 12 months, in accordance with French banking law.

Revolving loans are financial instruments that do not have a set maturity date, repayment schedule or contract term. The maturity date taken into account for these instruments depends on their lifetime estimated by the Bank, which can be greater than the length of the contractual commitment. The maturity date used at the Group level is behavioural.

Probability of default (PD): IFRS 9 introduces the notion of expected credit losses and, indirectly, that of the probability of default adjusted to the situation at the reporting date (PIT PD – point-in-time probability of default). This parameter does not correspond to the average over the cycle (TTC PD – through-the-cycle probability of default) of the prudential framework in force for the internal approach. This variable enables the probability that a commitment will go into default over a given period of time to be estimated. A “point-in-time” (PIT) probability of default estimate is based on the future and current assessment, and this parameter is linked to the customer and the product.

PIT PD is used for the portfolios for which the Group has an internal rating.

Loss given default (LGD): Loss given default corresponds to the relation between the contractual and expected cash flows taking into account the effects of discounting and other expenses incurred at the time that an instrument goes into default. LGD is expressed as a percentage of the exposure at default.

The parameter under IFRS 9 differs from the Basel notion. In prudential terms, the loss given default is adjusted for the prudential margin, downturn effect and other costs. IFRS 9 makes no specific mention of the period of observation and collection of the historical data used for the calculation of LGD parameters. This parameter must consider the notions of forward looking and the passage of time.

The Group has opted to use modelled LGDs adjusted in accordance with IFRS 9 for portfolios that have a probability of default model based on type of product and collateral and to determine an LGD based on an expert's opinion for the other portfolios according to segment, product and type of collateral that will be revised at least once a year.

Exposure at default (EAD): The EAD corresponds to the basis for the calculation of the expected credit loss. It is based on the value exposed to the credit risk taking into account of past information according to the type of payment schedule and expected early repayments (projected cash flows). This parameter is calculated on the amounts at the start of the reporting period.

The provisioning base corresponds to the outstanding amount on the balance sheet and off balance sheet (undrawn portion) converted to its credit exposure equivalent using the credit conversion factor (CCF).

To take into account early repayments and the passage of time, the bank applies a rate of early repayment to the calculation base of the provisioning per portfolio. This rate is reviewed periodically by the ALM team according to the change in the actual rate.

Forward Looking

In accordance with the IFRS9 standard, expected credit losses take into account the effects of future economic:

Conditions: forward-looking data involves a model-based approach and an approach based on an expert opinion. The Group uses three scenarios (core, favourable alternative and adverse alternative) defined by the Group's Economic Research Department. The economic forecast horizon used is three years:

- ▶ the scenarios considered are global and consistent scenarios: They are applied across the entire bank with potentially opposite impacts on certain product or customer segments, thus reflecting the diversification of the portfolio. (By way of illustration, it is not possible, in a given scenario, to use a different interest rate projection to measure the lifetime probabilities of default of retail customers and those of sovereign customers);
- ▶ the scenarios proposed are not necessarily stress test scenarios: the aim is not to seek through IFRS scenarios to quantify risks or losses in a highly adverse environment that is very unlikely to occur, but rather to look at scenarios with a probability of occurrence that differs from a standard deviation of the probability of outperformance of the core scenario.

These scenarios are documented, and contain projections for all the macroeconomic variables required to run the models developed to obtain the PDs and LGDs at the maturity date. The probability of

occurrence of each scenario is subject to documentation by the bank's economists.

The system uses a significant number of models. All of the models used in the IFRS 9 system are subject to an independent review by the Model Validation team and validated by the Model Validation Committee.

3.1.4 Operating implementation

La Banque Postale has a risk management tool. Important IT development works were carried out in 2016 and 2017, both at the centralised level and at the subsidiaries for data collection and the calculation and recording of bucket 1 and bucket 2 impairment.

Impairment will be calculated centrally for the entire Group by the Group Risks Department teams.

3.1.5 Exposure to credit risk

a. Change in carrying amounts and allowance for credit losses over the period

Allowance for credit losses corresponds to the impairment of assets and provisioning on off-balance commitments recorded in net income (Cost of risk) for credit risk.

The different stages of impairment ("Healthy assets – Bucket 1", "Assets with deteriorated credit quality – Bucket 2" and "Impaired assets – Bucket 3") as well as the definition of impaired assets as from acquisition or creation are described in Note 3.1.2 "Significant deterioration in credit risk – the principles".

The following tables present a reconciliation of opening and closing balances of loss allowances recorded as Cost of risk and the associated carrying amounts, by accounting category and type of instrument.

The line 'Modification of flows not resulting in derecognition' enables identification of the impacts on the gross carrying amount and the loss allowance relating to the restructuring of a risk over the period.

Financial assets at amortised cost

		31.12.2018		
(in € thousands)	Notes	Gross carrying amount	Allowance for credit losses	Net carrying amount
Securities at amortised cost	4.5	23,584,415	(2,524)	23,581,891
Loans and receivables due from credit institutions and similar at amortised cost	4.6	87,353,456	(1,533)	87,351,923
Loans and receivables due from customers at amortised cost	4.7	96,499,871	(763,886)	95,735,985
Securities at amortised cost of the insurance activities	4.8	-	-	-
TOTAL FINANCIAL ASSETS AT AMORTISED COST		207,437,742	(767,943)	206,669,799

	Assets subject to 12-month ECL (Bucket 1)		Assets subject to lifetime ECL (Bucket 2)		Impaired assets (Bucket 3)		Total		
	Gross carrying amount	Allowance for credit losses	Gross carrying amount	Allowance for credit losses	Gross carrying amount	Allowance for credit losses	Gross carrying amount (a)	Allowance for credit losses (b)	Net carrying amount (a) + (b)
(in € thousands)									
AT 1 JANUARY 2018	185,446,738	(51,878)	4,982,169	(159,916)	1,377,335	(543,682)	191,806,242	(755,476)	191,050,766
Transfers of assets during their lifetime from one bucket to another	1,771,397	(5,810)	(2,058,853)	29,450	287,456	(57,455)	-	(33,815)	(33,815)
Transfers from 12-month ECL (Bucket 1) to Lifetime ECL (Bucket 2)		2,234		(49,823)		-		(47,589)	-
Returns from Lifetime ECL (Bucket 2) to 12-month ECL (Bucket 1)		(8,234)		75,975		-		67,741	-
Transfers from 12-month ECL (Bucket 1) to Impaired Lifetime ECL (Bucket 3)		466		-		(49,314)		(48,848)	-
Transfers from Lifetime ECL (Bucket 2) to Impaired Lifetime ECL (Bucket 3)		-		16,701		(64,727)		(48,026)	-
Returns from Lifetime ECL (Bucket 3) to 12-month ECL (Bucket 1)		(276)		-		19,215		18,939	-
Returns from Impaired Lifetime ECL (Bucket 3) to Lifetime ECL (Bucket 2)		-		(13,403)		37,371		23,968	-
Total after transfers	187,218,135	(57,688)	2,923,316	(130,466)	1,664,791	(601,137)	191,806,242	(789,291)	191,016,951
Changes in gross carrying amounts and allowances for credit losses	16,362,956	(25,852)	(510,251)	13,195	(221,219)	34,005	15,631,486	21,348	15,652,834
New production, purchase, granting, origination, etc.	48,921,388	(49,714)	520,538	(34,712)	352,703	(167,325)	49,794,629	(251,751)	-
Derecognition: disposal, repayment, maturity, etc.	(32,557,668)	23,862	(1,009,042)	47,907	(473,987)	110,310	(34,040,697)	182,079	-
Write-offs	-	-	-	-	(113,092)	90,890	(113,092)	90,890	-
Modification of flows not resulting in derecognition	(10,596)	-	(11,917)	-	13,157	-	(9,356)	-	-
Changes in model/methodology	-	-	-	-	-	-	-	-	-
Changes in scope	-	-	-	-	-	-	-	-	-
Other	9,832	-	(9,830)	-	-	130	2	130	-
Total	203,581,091	(83,540)	2,413,065	(117,271)	1,443,572	(567,132)	207,437,728	(767,943)	206,669,785
Impacts of changes in fair value of micro-hedging instruments	14	-	-	-	-	-	14	-	14
AT 31 DECEMBER 2018	203,581,105	(83,540)	2,413,065	(117,271)	1,443,572	(567,132)	207,437,742	(767,943)	206,669,799

Financial assets at fair value through other comprehensive income with recycling

(in € thousands)	Notes	31.12.2018	
		Fair value	Of which allowance for credit losses
Debt instruments at fair value through profit or loss	4.4	13,575,685	(3,140)
Debt instruments at fair value through OCI of the insurance activities	4.8	2,132,448	(361)
TOTAL DEBT INSTRUMENTS AT FAIR VALUE THROUGH OCI		15,708,133	(3,501)

(in € thousands)	Assets subject to 12-month ECL (Bucket 1)		Assets subject to lifetime ECL (Bucket 2)		Impaired assets (Bucket 3)		Total	
	Fair value	Of which allowance for credit losses	Fair value	Of which allowance for credit losses	Fair value	Of which allowance for credit losses	Fair value	Of which allowance for credit losses
AT 1 JANUARY 2018	16,401,000	(1,703)	261	(93)	-	-	16,401,261	(1,796)
Changes in gross carrying amounts and allowances for credit losses	(692,923)	(1,784)	(205)	79	-	-	(693,128)	(1,705)
New production, purchase, granting, origination, etc.	8,754,401	-	1	-	-	-	-	-
Derecognition: disposal, repayment, maturity, etc.	(8,998,197)	-	(208)	-	-	-	-	-
Write-offs	-	-	-	-	-	-	-	-
Modification of flows not resulting in derecognition	-	-	-	-	-	-	-	-
Changes in model/methodology	-	-	-	-	-	-	-	-
Changes in scope	-	-	-	-	-	-	-	-
Other	(449,127)	(1,784)	2	79	-	-	-	(1,705)
AT 31 DECEMBER 2018	15,708,077	(3,487)	56	(14)	-	-	15,708,133	(3,501)

Off-balance sheet (financing commitments and guarantee contracts)

(in € thousands)	Notes	31.12.2018		
		Gross carrying amount	Allowance for credit losses	Net carrying amount
Financing commitments and guarantee contracts	6	27,128,025	-	-
Provisions for financing commitments and guarantee contracts	4.24	-	46,842	-
TOTAL FINANCING COMMITMENTS AND GUARANTEE CONTRACTS		27,128,025	46,842	27,081,183

(in € thousands)	Assets subject to 12-month ECL (Bucket 1)		Assets subject to lifetime ECL (Bucket 2)		Impaired assets (Bucket 3)		Total		
	Gross carrying amount	Allowance for credit losses	Gross carrying amount	Allowance for credit losses	Gross carrying amount	Allowance for credit losses	Gross carrying amount (a)	Allowance for credit losses (b)	Net carrying amount (a) - (b)
AT 1 JANUARY 2018	22,292,623	26,400	489,215	21,375	46,144	14,863	22,827,982	62,638	22,765,344
Transfers of assets during their lifetime from one bucket to another	(27,941)	2,264	3,729	(8,058)	24,212	2,131	-	(3,663)	3,663
Transfers from 12-month ECL (Bucket 1) to Lifetime ECL (Bucket 2)		(684)		3,797		-		3,113	-
Returns from Lifetime ECL (Bucket 2) to 12-month ECL (Bucket 1)		2,963		(11,831)		-		(8,868)	-
Transfers from 12-month ECL (Bucket 1) to Impaired Lifetime ECL (Bucket 3)		(61)		-		4,178		4,117	-
Transfers from Lifetime ECL (Bucket 2) to Impaired Lifetime ECL (Bucket 3)		-		(150)		1,064		914	-
Returns from Impaired Lifetime ECL (Bucket 3) to 12-month ECL (Bucket 1)		46		-		(2,659)		(2,613)	-
Returns from Impaired Lifetime ECL (Bucket 3) to Lifetime ECL (Bucket 2)		-		126		(452)		(326)	-
Total after transfers	22,264,682	28,664	492,944	13,317	70,356	16,994	22,827,982	58,975	22,769,007
Changes in gross carrying amounts and allowances for credit losses	4,577,683	(5,155)	(235,942)	(4,074)	(41,698)	(2,904)	4,300,043	(12,133)	4,312,176
New production, purchase, granting, origination, etc.	13,168,601	12,337	87,916	4,263	6,603	3,047	13,263,120	19,647	-
Derecognition: disposal, repayment, maturity, etc.	(8,590,918)	(17,492)	(323,858)	(8,337)	(48,301)	(5,951)	(8,963,077)	(31,780)	-
Write-offs	-	-	-	-	-	-	-	-	-
Modification of flows not resulting in derecognition	-	-	-	-	-	-	-	-	-
Changes in model/methodology	-	-	-	-	-	-	-	-	-
Changes in scope	-	-	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-	-	-
AT 31 DECEMBER 2018	26,842,365	23,509	257,002	9,243	28,658	14,090	27,128,025	46,842	27,081,183

b. Modified financial assets

Modified financial assets correspond to assets that have been restructured due to financial difficulties. These are loans for which the initial financial conditions have been modified (interest rate, length) for economic or legal reasons related to the borrower's financial difficulties and which would not have been envisaged in other circumstances. They thus concern assets classified in default

and, since 1 January 2014, performing assets at the time of the restructuring. Note 2 "Principal valuation and presentation rules applying to the consolidated financial statements" defines them in more detail. An asset maintains the status of modified financial assets as from the restructuring event and until derecognition.

For assets that have undergone restructuring over the period, the carrying value established following the restructuring is:

Financial instruments (in € thousands)	31.12.2018		
	Carrying amount before transfer to restructuring	Amount of the discount recorded in the income statement	Gross carrying amount
Loans and receivables due from customers	91,037	(9,632)	81,405
Debt securities	-	-	-
TOTAL MODIFIED FINANCIAL ASSETS	91,037	(9,632)	81,405

Restructured assets with an impairment stage that corresponds to bucket 2 (assets for which credit quality has deteriorated) or bucket 3 (impaired assets) can be moved back into bucket 1 (performing assets) in the case of a subsequent improvement in credit quality

resulting in the assessment that there is no longer a significant deterioration in credit quality, and the impairment amount is brought back to a 12-month expected credit loss.

The gross carrying amount of modified assets concerned by this reclassification during the period is:

Financial instruments (in € thousands)	31.12.2018 Transfer to B1
Loans and receivables due from customers	15,291
Debt securities	-
TOTAL MODIFIED FINANCIAL ASSETS	15,291

c. Concentrations of credit risk

Concentration of the credit risk by economic agent

Financial assets at amortised cost

31.12.2018				
Carrying amount				
(in € thousands)	Healthy assets or assets with deteriorated credit quality			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Impaired assets (Stage 3)	
Retail	64,678,694	2,291,737	1,210,134	68,180,565
Administration	97,558,419	2,141	30,159	97,590,719
Central banks	15,500,000	-	-	15,500,000
Credit institutions	4,107,824	-	14,845	4,122,669
Financial companies	1,592,354	9,605	342	1,602,301
Non-financial companies	20,143,814	109,582	188,092	20,441,488
Impairments	(83,540)	(117,271)	(567,132)	(767,943)
TOTAL	203,497,565	2,295,794	876,440	206,669,799

Financial assets at fair value through other comprehensive income with recycling

31.12.2018				
Fair value				
(in € thousands)	Healthy assets or assets with deteriorated credit quality			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Impaired assets (Stage 3)	
Retail	-	-	-	-
Administration	5,407,160	-	-	5,407,160
Central banks	-	-	-	-
Credit institutions	8,961,523	-	-	8,961,523
Financial companies	85,121	56	-	85,177
Non-financial companies	1,254,273	-	-	1,254,273
TOTAL	15,708,077	56	-	15,708,133
<i>Of which impairments</i>	<i>(3,487)</i>	<i>(14)</i>	<i>-</i>	<i>(3,501)</i>

Off-balance sheet (financing commitments and guarantee contracts)

31.12.2018				
Amount of the commitment				
(in € thousands)	Healthy commitments or commitments with deteriorated credit quality			Total
	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Impaired commitments (Stage 3)	
Retail	10,621,426	206,544	27,689	10,855,659
Administration	6,041,649	2,700	103	6,044,452
Central banks	-	-	-	-
Credit institutions	1,579,133	1	-	1,579,134
Financial companies	2,119,907	1	-	2,119,908
Non-financial companies	6,480,250	47,756	866	6,528,872
Provisions ⁽¹⁾	23,509	9,243	14,090	46,842
TOTAL	26,818,856	247,759	14,568	27,081,183

(1) Expected or proven losses on off-balance sheet commitments are accounted for via provisions under balance sheet liabilities.

Exposure to credit risk – Retail by rating class

Financial assets at amortised cost

31.12.2018				
Gross carrying amount				
Healthy assets or assets with deteriorated credit quality				
(in € thousands)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	Total
PD < 1%	53,815,517	32,640	-	53,848,157
1% < PD < 3%	7,687,463	185,792	-	7,873,255
3% < PD < 10%	3,174,211	751,902	-	3,926,113
PD > 10%	1,503	1,321,403	-	1,322,906
Doubtful contracts – disputes	-	-	1,210,134	1,210,134
TOTAL	64,678,694	2,291,737	1,210,134	68,180,565

Off-balance sheet (financing commitments and guarantee contracts)

31.12.2018				
Amount of the commitment				
Healthy commitments or commitments with deteriorated credit quality				
(in € thousands)	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Impaired commitments (Bucket 3)	Total
PD < 1%	9,428,772	6,419	-	9,435,191
1% < PD < 3%	934,459	49,104	-	983,563
3% < PD < 10%	257,249	36,960	-	294,209
PD > 10%	946	114,061	-	115,007
Doubtful contracts – disputes	-	-	27,689	27,689
TOTAL	10,621,426	206,544	27,689	10,855,659

Exposure to credit risk – Corporate

Financial assets at amortised cost

31.12.2018				
Gross carrying amount				
Healthy assets or assets with deteriorated credit quality				
(in € thousands)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	Total
AAA	570,120	104	4	570,228
AA	1,155,304	1,123	14,561	1,170,988
A	1,623,487	345	26,481	1,650,313
Other	18,387,257	117,615	147,388	18,652,260
TOTAL	21,736,168	119,187	188,434	22,043,789

Financial assets at fair value through other comprehensive income with recycling

31.12.2018				
Fair value				
Healthy assets or assets with deteriorated credit quality				
(in € thousands)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	Total
AAA	1,207	-	-	1,207
AA	154,089	-	-	154,089
A	290,140	-	-	290,140
Other	893,958	56	-	894,014
TOTAL	1,339,394	56	-	1,339,450

Off-balance sheet (financing commitments and guarantee contracts)

31.12.2018				
Amount of the commitment				
Healthy commitments or commitments with deteriorated credit quality				
(in € thousands)	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Impaired commitments (Bucket 3)	Total
AAA	40,070	1	-	40,071
AA	475,559	34	2	475,595
A	1,445,763	12	253	1,446,028
Other	6,638,765	47,710	611	6,687,086
TOTAL	8,600,157	47,757	866	8,648,780

Exposure to credit risk – Administration and central banks

Financial assets at amortised cost

31.12.2018				
Gross carrying amount				
Healthy assets or assets with deteriorated credit quality				
(in € thousands)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	Total
AAA	17,625,100	-	-	17,625,100
AA	88,301,761	-	-	88,301,761
A	335,724	-	-	335,724
Other	6,795,834	2,141	30,159	6,828,134
TOTAL	113,058,419	2,141	30,159	113,090,719

Financial assets at fair value through other comprehensive income with recycling

31.12.2018				
Fair value				
Healthy assets or assets with deteriorated credit quality				
(in € thousands)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	Total
AAA	1,571,688	-	-	1,571,688
AA	2,822,543	-	-	2,822,543
A	433,879	-	-	433,879
Other	579,050	-	-	579,050
TOTAL	5,407,160	-	-	5,407,160

Off-balance sheet (financing commitments and guarantee contracts)

31.12.2018				
Amount of the commitment				
(in € thousands)	Healthy commitments or commitments with deteriorated credit quality			Total
	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Impaired commitments (Bucket 3)	
AAA	7,732	-	-	7,732
AA	201,967	-	-	201,967
A	148,822	-	-	148,822
Other	5,683,128	2,700	103	5,685,931
TOTAL	6,041,649	2,700	103	6,044,452

Exposure to credit risk – Credit institutions

Financial assets at amortised cost

31.12.2018				
Gross carrying amount				
(in € thousands)	Healthy assets or assets with deteriorated credit quality			Total
	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	
AAA	181,176	-	-	181,176
AA	23,051	-	-	23,051
A	3,176,437	-	-	3,176,437
Other	727,160	-	14,845	742,005
TOTAL	4,107,824	-	14,845	4,122,669

Financial assets at fair value through other comprehensive income with recycling

31.12.2018				
Fair value				
(in € thousands)	Healthy assets or assets with deteriorated credit quality			Total
	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	
AAA	352,989	-	-	352,989
AA	2,289,594	-	-	2,289,594
A	3,199,393	-	-	3,199,393
Other	3,119,547	-	-	3,119,547
TOTAL	8,961,523	-	-	8,961,523

Off-balance sheet (financing commitments and guarantee contracts)

31.12.2018				
Amount of the commitment				
(in € thousands)	Healthy commitments or commitments with deteriorated credit quality			Total
	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Impaired commitments (Bucket 3)	
AAA	-	-	-	-
AA	4,384	-	-	4,384
A	1,257,028	-	-	1,257,028
Other	317,721	1	-	317,722
TOTAL	1,579,133	1	-	1,579,134

Concentration of credit risk by geographical region

Financial assets at amortised cost

31.12.2018				
Carrying amount				
Healthy assets or assets with deteriorated credit quality				
(in € thousands)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	Total
France (incl. overseas departments and territories)	194,743,991	2,410,682	1,391,078	198,545,751
Other EU countries	7,990,747	1,958	6,373	7,999,078
Other European countries	111,425	307	5,379	117,111
Other	734,942	118	40,742	775,802
Impairments	(83,540)	(117,271)	(567,132)	(767,943)
TOTAL	203,497,565	2,295,794	876,440	206,669,799

Financial assets at fair value through other comprehensive income with recycling

31.12.2018				
Fair value				
Healthy assets or assets with deteriorated credit quality				
(in € thousands)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Impaired assets (Bucket 3)	Total
France (incl. overseas departments and territories)	4,559,185	-	-	4,559,185
Other EU countries	6,694,587	56	-	6,694,643
Other European countries	714,026	-	-	714,026
Other	3,740,279	-	-	3,740,279
TOTAL	15,708,077	56	-	15,708,133
<i>Of which impairments</i>	<i>(3,487)</i>	<i>(14)</i>	<i>-</i>	<i>(3,501)</i>

Off-balance sheet (financing commitments and guarantee contracts)

31.12.2018				
Amount of the commitment				
Healthy commitments or commitments with deteriorated credit quality				
(in € thousands)	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Impaired commitments (Bucket 3)	Total
France (incl. overseas departments and territories)	25,786,547	256,944	28,658	26,072,149
Other EU countries	1,027,952	32	-	1,027,984
Other European countries	9,903	7	-	9,910
Other	17,963	19	-	17,982
Provisions ⁽¹⁾	(23,509)	(9,243)	(14,090)	(46,842)
TOTAL	26,818,856	247,759	14,568	27,081,183

(1) Expected or proven losses on off-balance sheet commitments are accounted for *via* provisions under balance sheet liabilities.

d. Information on doubtful financial assets

(in € thousands)	31.12.2018		
	Carrying amount		
	≤ 30 days	> 30 days ≤ 90 days	> 90 days
Loans and advances	850,093	153,184	703,072
Assets subject to 12-month ECL (Bucket 1)	694,596	-	-
<i>Administration</i>	<i>41,136</i>	<i>-</i>	<i>-</i>
<i>Central bank</i>	<i>-</i>	<i>-</i>	<i>-</i>
<i>Households</i>	<i>174,936</i>	<i>-</i>	<i>-</i>
<i>Credit institutions</i>	<i>151</i>	<i>-</i>	<i>-</i>
<i>Non-financial companies</i>	<i>477,323</i>	<i>-</i>	<i>-</i>
<i>Other financial companies</i>	<i>1,050</i>	<i>-</i>	<i>-</i>
Assets subject to lifetime ECL (Bucket 2)	116,944	102,236	-
<i>Administration</i>	<i>-</i>	<i>231</i>	<i>-</i>
<i>Central bank</i>	<i>-</i>	<i>-</i>	<i>-</i>
<i>Households</i>	<i>116,653</i>	<i>84,880</i>	<i>-</i>
<i>Credit institutions</i>	<i>-</i>	<i>-</i>	<i>-</i>
<i>Non-financial companies</i>	<i>291</i>	<i>17,125</i>	<i>-</i>
<i>Other financial companies</i>	<i>-</i>	<i>-</i>	<i>-</i>
Assets subject to lifetime ECL (Bucket 3)	38,553	50,948	703,072
<i>Administration</i>	<i>-</i>	<i>-</i>	<i>765</i>
<i>Central bank</i>	<i>-</i>	<i>-</i>	<i>-</i>
<i>Households</i>	<i>38,034</i>	<i>50,044</i>	<i>594,114</i>
<i>Credit institutions</i>	<i>-</i>	<i>-</i>	<i>14,536</i>
<i>Non-financial companies</i>	<i>519</i>	<i>904</i>	<i>93,657</i>
<i>Other financial companies</i>	<i>-</i>	<i>-</i>	<i>-</i>
Impairments	(29,075)	(28,280)	(296,905)
TOTAL DOUBTFUL ASSETS BY ECONOMIC AGENT	821,018	124,904	406,167

3.2 Market risk

Derivatives transactions: analysis per residual life

The breakdown of the market value of derivatives is shown per residual contractual maturity.

Hedging derivatives:

31.12.2018												
	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total
						Assets						
												Liabilities
Interest rate instruments	17,108	13,983	517,920	610,289	-	1,159,300	1,381	9,611	89,291	229,093	-	329,376
▶ Interest rate swaps	195	2,362	517,873	609,909	-	1,130,339	1,381	9,611	89,291	229,093	-	329,376
▶ Caps-floors-collars	-	-	47	380	-	427	-	-	-	-	-	-
▶ . Other interest rate instruments	16,913	11,621	-	-	-	28,534	-	-	-	-	-	-
Forex instruments	-	-	-	-	-	-	-	13,518	4,760	-	-	18,278
▶ . Currency futures	-	-	-	-	-	-	-	13,518	4,760	-	-	18,278
Other instruments	-	-	-	-	-	-	-	-	-	-	-	-
TOTAL FAIR VALUE OF HEDGING DERIVATIVES	17,108	13,983	517,920	610,289	-	1,159,300	1,381	23,129	94,051	229,093	-	347,654

Trading derivatives:

31.12.2018												
	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total
						Assets						Liabilities
Interest rate instruments	2,697	3,125	222,193	168,513	-	396,528	2,360	2,504	205,532	210,726	-	421,122
▶ Interest rate swaps	2,693	2,860	210,552	166,663	-	382,768	2,360	2,403	194,450	206,763	-	405,976
▶ Caps-floors-collars	4	265	11,641	1,850	-	13,760	-	101	11,082	3,963	-	15,146
Forex instruments	12,523	518	46,166	175	-	59,382	25,101	9,322	46,002	151	-	80,576
▶ Currency futures	12,523	518	46,166	175	-	59,382	25,101	9,322	46,002	151	-	80,576
Credit instruments	-	-	2,490	-	-	2,490	-	-	13,152	-	-	13,152
Other instruments	-	-	-	-	-	-	-	-	12,070	3,482	-	15,552
TOTAL FAIR VALUE OF TRADING DERIVATIVES	15,220	3,643	270,849	168,688	-	458,400	27,461	11,826	276,756	214,359	-	530,402

3.3 Hedge accounting

3.3.1 General framework of the risk management strategy

3.3.1.1 General framework

Market risk reflects the potential impact of changes in the financial markets on the bank's results or balance sheet. It includes price risk, currency risk and commodities risk.

The majority of balance sheet items generate interest income and charges, the amounts of which are exposed to interest rate changes either through new operations set up at an unknown rate, or the comparative increase in the rate at which existing operations may have been set up. In the first case, there is a risk of change in cash flow, while in the second case, there is a fair value risk.

IFRS 9 provides the option of deferring application of the new hedge accounting provisions pending the effective date of the standard on macro-hedging. The Group chose the option to continue to apply the principles of IAS 39 to hedge accounting. With respect to macro-hedging, European Union provisions on the fair value hedging of a portfolio of interest rate items continue to apply.

3.3.1.2 Hedging type – management of associated risks

In the framework of the risk management linked to the balance of assets/liabilities and the risk management policy, La Banque Postale Group sets up hedges using financial derivatives.

These economic hedges result in different types of accounting.

When derivatives are held for trading, it is against the hedged underlying, and they do not enter into the category of derivatives entering into a hedge relationship within the accounting definition. There is thus no hedge accounting.

Derivatives that meet the criteria defined in IAS 39 to qualify as hedging instruments are classified in the "Fair value hedges" or "Cash flow hedges" categories.

Fair value hedges

Fair value hedges enable exposure to fluctuations in the fair value of financial assets or liabilities to be hedged; they are primarily used to hedge the interest rate risk on fixed-rate assets and liabilities as well as overnight deposits, according to the options approved by the European Union. The derivatives used to hedge fair value enable to stabilise the value by moving inversely to the hedged item. Hedging is deemed effective when the change in the value of the hedging instrument effectively offsets that of the hedged instrument, *i.e.* when the relation between the two changes remains within a range of 80 to 125%.

Cash flow hedges: Cash flow hedges and all-in-one cash flow hedges

Cash flow hedges are used to hedge exposure to changes in cash flows from financial assets or liabilities, firm commitments or future transactions. More specifically, they are used to cover the interest rate risk on variable-rate assets and liabilities. Derivatives used for cash flow hedging must enable cash flow to be effectively secured. In the particular case of forwards, they act as an "all-in-one" cash

flow hedge, which in its construction is effective given that these contracts hedge the underlying that they will deliver (*i.e.* the contracts include both the derivative and the underlying, hence the term "all-in-one").

Macro-hedging

The La Banque Postale Group applies the provisions of IAS 39, as adopted by the European Union, to macro-hedging transactions that are carried out as part of the asset and liability management of fixed-rate positions.

Macro-hedging instruments are mainly interest rate swaps designated as fair value hedges for the Group's fixed-rate sources and applications. The income stream of these hedging swaps is systematically shorter than the probable stream from fixed-rate instruments. This is called the bottom-layer approach. In the case of over-hedging, the effectiveness test performed by La Banque Postale Group shows that it is ineffective, and the hedging derivative is systematically terminated.

3.3.1.3 Hedging instruments

The La Banque Postale Group uses several types of hedging derivatives to manage the interest rate risks and changes in balance sheet items.

In the case of interest rate swaps (OTC contracts in which a stream of future fixed-rate interest payments is exchanged for a stream of variable-rate interest payments based on a specified principal amount) La Banque Postale Group favours OIS swaps.

Concerning options (OTC contracts between two counterparties giving the buyer the option to hedge above a certain level), the La Banque Postale Group trades in caps to hedge against a rise in interest rates above a pre-determined level (the ceiling, called cap rate or strike rate), against payment – generally immediate – of a premium.

Regarding currency swaps La Banque Postale Group uses cross currency swaps (payer of the rate in foreign currency and receiver of the variable rate in euros). Cross currency swaps provide both financing in foreign currency and economic currency hedging (financing and interest). The foreign currency flows of the security and the swap are completely based on each other in terms of amount, date and payments.

Scopes and economic links to the hedged risk (the underlying)

3.3.1.4 Underlyings

La Banque Postale hedges balance sheet transactions (both customer and financial transactions) with derivatives traded with market counterparties. These transactions depend on the business model of the portfolios.

They stem from different hedging strategies that aim primarily to hedge the interest rate risk.

Hedged item	Derivatives	Hedging
Fixed-rate loans	Fixed-rate payer swap	carve-out fair value hedge (CO-FVH)
Fixed-rate loans	Fixed-rate payer swap	fair value hedge (FVH)
Fixed-rate loans	Fixed-rate receiver swap	cash flow hedge (CFH)
Fixed-rate securities purchased	Fixed-rate payer swap	carve-out fair value hedge (CO-FVH)
Fixed-rate securities purchased	Fixed-rate payer swap	fair value hedge (FVH)
Forward fixed-rate securities	Forward	all-in-one cash flow hedge (all-in-one CFH)
Variable-rate capped assets	Cap purchased	carve-out fair value hedge (CO-FVH)
Fixed-rate customer deposits	Fixed-rate receiver swap	carve-out fair value hedge (CO-FVH)
Bond issue	Fixed-rate receiver swap	fair value hedge (FVH)

* Position expired at end-2018.

Hedged underlyings that are assets:

The hedged risk corresponds to the amount of interest rate risk on fixed-rate bonds and customer loans (home loans, consumer credit), as well as the cash flow interest rate risk (acquisition of term bonds).

Hedged underlyings that are liabilities:

The hedged risk corresponds to the amount of interest rate risk on fixed-rate customer deposits (sight deposits, PEL home-ownership plan) and fixed-rate bond issues.

3.3.1.5 Sources of ineffectiveness

Hedging of a security with a swap:

There are two types of fair value hedges:

Euribor hedges: Euribor hedges are valued using a EURIBOR discount curve for the securities, and the derivatives are valued using an EONIA curve. The introduction of the two different discount curves creates a slight hedging ineffectiveness that will be greater when the EONIA-EURIBOR spread varies over time (ineffectiveness stemming from the changes in fair value of the variable part of the swap, when this rate is not a daily rate (like the Eonia) but a pre-set rate (like the Euribor)).

Eonia hedges: EONIA hedges are valued using an EONIA discount curve for both the securities and the derivatives. The mathematical hedge is thus perfect between the security and the swap (security discounted using EONIA with adjustment of the credit component and swap discounted to EONIA), which is why they are considered to be fully effective with no need to carry out effectiveness tests.

Hedging of several securities with several swaps:

The principles defined enable documentation to be obtained of simplified hedging deemed to be **fully effective**, while accurately managing the accounting treatment of the hedged rate component and notably the recycling of hedging results according to the transactions carried out involving the securities.

The securities and their hedges (a swap, more exceptionally several swaps) are grouped together by macro-hedging "strategy". Each macro-hedging strategy respects the following restrictions:

1. the securities and swaps of the strategy have a maturity date for a same bucket of a maximum of one year;
2. the notional amount of the swap of the strategy must be below the total principle amount of the securities;
3. the maturity of the swap must be less than or equal to the smallest maturity of the securities of the strategy;
4. the sensitivity of the swap of the strategy must be less than or equal to the overall sensitivity of the securities;
5. if there are several swaps in the strategy they must be executed on the same day;
6. once the securities and the swap(s) are bound, no other securities may be purchased in the strategy, only the sales of securities and unwinding of the swaps are authorised.

Within this management framework, as soon as a hedging strategy is set up, new securities or new swaps cannot be added to it. This guarantees that, over the hedging period, all securities and all swaps have undergone uniform changes in value (with respect to interest rate risk) over time.

La Banque Postale has set rules for unwinding by following the principle amount of the securities sold by strategy in order to permanently comply with the restrictions defined and by partially terminating, on the same day as the sale of the security, the outstanding amount of the swap that exceeds the principle of the remaining securities. In the case of over-hedging, the effectiveness test performed by La Banque Postale Group is failed, an "ineffectiveness" is thus calculated, and the hedging derivative is systematically terminated for the amount of the over-hedging.

Macro-hedging: The sources of ineffectiveness consist mainly of the disappearance of the underlying.

3.3.1.6 Hedging ratio

For hedges that are not considered to be fully effective in their construction, the hedging ratio (quantity of hedged items/quantity of hedging instruments) corresponds to the ratio used by La Banque Postale Group in its operational risk management.

The method for determining the hedging ratio is the following: At each reporting date, the backward-looking documentation consists of verifying that the change in the value of the hedged item is the same as the change in the hedging instrument, and that the ratio of the changes in value remains in the range of [80%-125%].

3.3.1.7 Effectiveness test

La Banque Postale Group performs an effectiveness test at least twice during each half-year period.

Cash flow hedges

For cash flow hedges, La Banque Postale Group uses the hypothetical derivative method. This method consists of a comparison of the change in fair value of the hedging instrument and the change in fair value of a hypothetical swap that would represent the perfect hedge.

Fair value hedges

Hedging of a security with a swap

For micro-hedging using EURIBOR swaps, La Banque Postale Group uses the hypothetical derivative method. Based on the assumption that EONIA swaps are 100% effective in micro-hedging, the method consists of creating an EONIA swap that could have been set up at the time of hedging (that replicates that security exactly) and increasing the change in the value of this swap in line with the value of the swap actually in place.

The residual ineffectiveness thus corresponds to the sum of the changes in value of the hedged item and the hedging instrument. The security and the swap are valued using an identical and constant yield curve, only the market exchange rate is taken into account. The change in the value of the security valued this way is thus independent of the changes in value of the interest rates and is therefore impacted solely by the change in the interest rate.

In the case that the effectiveness test fails, the La Banque Postale Group sells all or part of the hedged underlying. Effectiveness tests are performed before and after the disposal to ensure the compliance of the transaction.

Coverage of several securities by a swap

In order to ensure the monitoring of the hedging strategy, La Banque Postale has created a rolling documentation of hedging strategies to demonstrate the absence of new securities or additions to the existing positions.

Hedging of several loans by several swaps (carve out)

For a sub-set of customer fixed-rate contracts, La Banque Postale Group performs tests to verify that the stream of the hedged underlyings is greater than that of the nominal of the derivatives (swaps or options) that are used for hedging. In cases where the nominal of the derivatives is greater, the hedging relationship is discontinued, and the derivative(s) is(are) systematically terminated.

Fair value and cash flow hedging derivatives

The breakdown of fair value and cash flow hedging derivatives is shown below:

31.12.2018			
(in € thousands)	Assets	Liabilities	Notional amount
Interest rate instruments	1,130,766	329,376	38,847,851
► Interest rate swaps	1,130,339	329,376	38,484,071
► Caps-floors-collars	427	-	363,780
Forex instruments	-	18,278	345,960
Currency futures	-	18,278	345,960
Other instruments	-	-	-
TOTAL FAIR VALUE HEDGING DERIVATIVES	1,130,766	347,654	39,193,811

31.12.2018			
(in € thousands)	Assets	Liabilities	Notional amount
Interest rate instruments	28,534	-	1,475,833
Forex Instruments	-	-	-
Other instruments	-	-	-
TOTAL CASH FLOW HEDGING DERIVATIVES	28,534	-	1,475,833
TOTAL HEDGING DERIVATIVES	1,159,300	347,654	40,669,644

Hedging derivatives transactions: analysis by residual life (notional amounts)

The breakdown of the notional amounts of the derivative instruments is shown by residual contractual life.

(in € thousands)	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total
Interest rate instruments	585,925	1,341,043	18,706,854	18,214,029	-	38,847,851
▶ Interest rate swaps	525,725	1,239,893	18,560,424	18,158,029	-	38,484,071
▶ Caps-floors-collars	60,200	101,150	146,430	56,000	-	363,780
Forex instruments	-	208,463	137,497	-	-	345,960
▶ Currency futures	-	208,463	137,497	-	-	345,960
Other instruments	-	-	-	-	-	-
TOTAL NOTIONAL AMOUNT OF FAIR VALUE HEDGING DERIVATIVES	585,925	1,549,506	18,844,351	18,214,029	-	39,193,811

(in € thousands)	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total
Interest rate instruments	983,650	492,183	-	-	-	1,475,833
Forex instruments	-	-	-	-	-	-
Other instruments	-	-	-	-	-	-
TOTAL NOTIONAL AMOUNT OF CASH FLOW HEDGING DERIVATIVES	983,650	492,183	-	-	-	1,475,833
TOTAL NOTIONAL AMOUNT OF HEDGING DERIVATIVES	1,569,575	2,041,689	18,844,351	18,214,029	-	40,669,644

Fair value hedges
Hedged items
Fair value micro-hedging

(in € thousands)	31.12.2018			
	Existing hedges		Discontinued hedges	Changes in fair value over the period related to hedging (incl. discontinued hedges over the period)
	Carrying amount	including the cumulative change in fair value related to hedging	Cumulative change in fair value related to hedging remaining to be classified	
ASSETS				
Interest rate	10,804,092	53,816	-	173,482
Forex	365,885	604	-	(575)
Other	-	-	-	-
Financial instruments at fair value through OCI	11,169,976	54,420	-	172,907
Interest rate	283,745	6,757	-	(1,129)
Forex	-	-	-	-
Other	-	-	-	-
Financial instruments at amortised cost	283,745	6,757	-	(1,129)
LIABILITIES				
Interest rate	7,236,133	237,552	-	(8,429)
Forex	-	-	-	-
Other	-	-	-	-
Financial instruments at amortised cost	7,236,133	237,552	-	(8,429)

Fair value macro-hedging

	31.12.2018
(in € thousands)	Carrying amount
Debt instruments recognised at fair value through OCI	-
Debt instruments recognised at amortised cost	3,986,258
Total – Assets	3,986,258
Debt instruments recognised at amortised cost	16,535,000
Total – Liabilities	16,535,000
TOTAL FAIR VALUE HEDGING OF THE INTEREST RATE RISK EXPOSURE OF A PORTFOLIO OF FINANCIAL INSTRUMENTS	20,521,258

Result of the fair value hedge accounting

The result of the hedge accounting is also presented in Note 5.3 - Net gains and losses on financial instruments at fair value through profit or loss.

	31.12.2018		
	Net result (result of the hedge accounting)		
(in € thousands)	Changes in the fair value of the hedging instrument (incl. discontinued hedges)	Changes in the fair value of the hedged item (incl. discontinued hedges)	Ineffective portion of the hedging
Interest rate	(150,549)	149,433	(1,629)
Forex	(23,690)	23,512	(178)
Other	-	-	-
TOTAL	(174,239)	172,432	(1,807)

Cash flow hedges

Hedged items

	31.12.2018			
	Existing hedges		Discontinued hedges	Changes in fair value over the period related to hedging (incl. discontinued hedges over the period)
(in € thousands)	Carrying amount	including the cumulative change in fair value related to hedging	Cumulative change in fair value related to hedging remaining to be classified	
ASSETS				
Interest rate	1,475,834	(28,534)	-	(27,737)
Forex	-	-	-	-
Other	-	-	-	-
FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH OCI	1,475,834	(28,534)	-	(27,737)

Result of the cash flow hedge accounting

	31.12.2018		
	Other items of the overall result		Net result (result of the hedge accounting)
(in € thousands)	Amount of the effective portion of the hedge relationship recognised over the period	Amount recognised in OCI with recycling and transferred to profit or loss over the period	Ineffective portion of the hedging
Interest rate	27,737	(174,371)	-
Forex	-	-	-
Other	-	-	-
TOTAL	27,737	(174,371)	-

NOTE 4 NOTES TO THE BALANCE SHEET

4.1 Cash, central banks

(in € thousands)	31.12.2018	01.01.2018
Cash	944,367	901,079
Central banks	1,062,427	2,423,752
CASH, CENTRAL BANKS	2,006,794	3,324,831

4.2 Financial assets and liabilities at fair value through profit or loss

(in € thousands)	31.12.2018			TOTAL
	Financial assets held for trading	Fair value on option	Fair value not SPPI	
Derivative instruments	458,400	-	-	458,400
▶ interest rate	396,528	-	-	396,528
▶ foreign exchange	59,382	-	-	59,382
▶ credit	2,490	-	-	2,490
▶ other	-	-	-	-
Debt instruments	7,326,454	-	858,315	8,184,769
Government paper and similar securities	1,842,477	-	-	1,842,477
Bonds and other fixed-income securities	5,483,977	-	44,715	5,528,692
UCITS	-	-	813,600	813,600
Equity instruments	7	-	24,016	24,023
Equities and other variable-income securities	7	-	24,016	24,023
Non-consolidated equity stakes	-	-	-	-
Loans and advances	1,570,975	-	-	1,570,975
Credit institutions	-	-	-	-
Customers	1,570,975	-	-	1,570,975
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	9,355,836	-	882,331	10,238,167
Derivative instruments	530,402	-	-	530,402
▶ interest rate	421,122	-	-	421,122
▶ foreign exchange	80,576	-	-	80,576
▶ credit	13,152	-	-	13,152
▶ other	15,552	-	-	15,552
Debt securities	-	278,812	-	278,812
FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS	530,402	278,812	-	809,214

Derivatives held for trading

(in € thousands)	31.12.2018		
	Assets	Liabilities	Notional amount
Interest rate instruments	396,528	421,122	38,427,873
Futures	-	-	1,951,682
Interest rate swaps	382,768	405,976	28,770,554
Caps-floors-collars	13,760	15,146	7,705,637
Forex instruments	59,382	80,576	6,449,877
Currency futures	59,382	80,576	6,449,877
Credit instruments	2,490	13,152	1,798,197
Other instruments	-	15,552	1,652,183
TOTAL DERIVATIVES HELD FOR TRADING AT FAIR VALUE THROUGH PROFIT OR LOSS	458,400	530,402	48,328,130

4.3 Hedging derivatives

Detailed information is provided in Note 3.3 "Hedge accounting".

4.4 Financial assets recognised at fair value through other comprehensive income

(in € thousands)	31.12.2018							
	Fair value				Impairments			
	B1	B2	B3	Total	B1	B2	B3	Total
Financial assets at fair value through OCI – Without recycling	-	-	-	288,764	-	-	-	-
Equity instruments:	-	-	-	288,764	-	-	-	-
▶ Equities and other variable-income securities	-	-	-	79,021	-	-	-	-
▶ Other securities held over the long term	-	-	-	989	-	-	-	-
▶ Consolidated equity stakes	-	-	-	0	-	-	-	-
▶ Non-consolidated equity stakes	-	-	-	208,754	-	-	-	-
Financial assets at fair value through OCI – With recycling	13,575,629	56	-	13,575,685	(3,126)	(14)	-	(3,140)
Debt instruments:	13,575,629	56	-	13,575,685	(3,126)	(14)	-	(3,140)
▶ Government paper and similar securities	4,157,434	-	-	4,157,434	(576)	-	-	(576)
▶ Bonds	9,418,195	56	-	9,418,251	(2,550)	(14)	-	(2,564)
Loans and advances to credit institutions	-	-	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-	-	-
TOTAL FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	-	-	-	13,864,449	-	-	-	(3,140)

Equity instruments recognised at fair value through OCI without recycling

(in € thousands)	31.12.2018		
	Fair value	Unrealised gains	Unrealised losses
Equities, other variable-income securities held over the long term	80,010	856	-
Non-consolidated equity stakes	208,754	64,228	(19,641)
VALUE ON THE BALANCE SHEET OF FINANCIAL ASSETS RECOGNISED AT FAIR VALUE THROUGH OCI WITHOUT RECYCLING	288,764	65,084	(19,641)
Tax	-	(1,677)	610
Net gains and losses recognised directly in equity on equity instruments at fair value through OCI with no recycling (after tax)	-	63,407	(19,031)

Investments in equity instruments that were derecognised over the period

(in € thousands)	31.12.2018	
	Fair value at the date of derecognition	Cumulated realised gains ⁽¹⁾
Equities and other variable-income securities	-	-
Non-consolidated equity stakes	5,972	3,090
VALUE ON THE BALANCE SHEET	5,972	3,090
Tax	-	(124)
Net gains and losses recognised directly in equity on equity instruments at fair value through OCI with no recycling (after tax)	-	2,966

(1) Realised gains and losses are transferred to consolidated reserves at the time of derecognition of the instrument in question.

Non-consolidated equity stakes

(in € thousands)	31.12.2018	
	Fair value of securities	Share of capital in %
Crédit Logement	102,396	6%
Domiserve	26,586	100%
KissKissBankBank	24,000	100%
Mandarine Gestion	15,999	12%
LBP Immobilier Conseil	15,000	100%
STET	6,917	5%
BPIfrance Financement	4,469	0.15%
Ezyness	3,200	100%
Transactis	2,474	50%
Other	7,713	-
TOTAL INTERESTS AND ADVANCES	208,754	-

Debt instruments recognised at fair value through OCI with recycling

(in € thousands)	31.12.2018		
	Fair value	Unrealised gains	Unrealised losses
Government paper and similar securities	4,157,434		
Bonds	9,418,251		
Total debt instruments	13,575,685	24,444	(189,025)
Total loans and receivables	-	-	-
VALUE ON THE BALANCE SHEET OF FINANCIAL ASSETS RECOGNISED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME WITH RECYCLING	13,575,685	24,444	(189,025)
Tax	-	(7,943)	60,525
Net gains and losses recognised directly in equity on debt instruments at fair value through OCI with recycling (after tax)	-	16,501	(128,500)

4.5 Securities at amortised cost

	31.12.2018						
	Gross carrying amount			Impairments			Net carrying amount
(in € thousands)	B1	B2	B3	B1	B2	B3	
► Government paper and similar securities	20,298,037	-	-	(359)	-	-	20,297,678
► Bonds	3,275,008	11,370	-	(1,961)	(204)	-	3,284,213
► Subordinated securities	-	-	-	-	-	-	-
LIABILITIES AT AMORTISED COST	23,573,045	11,370	-	(2,320)	(204)	-	23,581,891

4.6 Loans and receivables due from credit institutions and equivalent

	31.12.2018						
	Gross carrying amount			Impairments			Net carrying amount
(in € thousands)	B1	B2	B3	B1	B2	B3	
Sight deposit accounts and loans with credit institutions	15,766,765	-	-	(44)	-	-	15,766,721
Current accounts in debit	253,822	-	-	(44)	-	-	253,778
Overnight accounts and loans	15,500,000	-	-	-	-	-	15,500,000
Amounts not classified	12,943	-	-	-	-	-	12,943
Term accounts and loans with credit institutions	71,493,582	-	-	(1,477)	-	-	71,492,105
Accounts and loans	1,361,966	-	-	(353)	-	-	1,361,613
Centralisation CDC	69,466,140	-	-	(539)	-	-	69,465,601
Securities and other assets received under repurchase agreements	665,476	-	-	(585)	-	-	664,891
Subordinated loans	93,109	-	-	(12)	-	-	93,097
LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND SIMILAR	87,353,456	-	-	(1,533)	-	-	87,351,923

4.7 Loans and receivables – customers

	31.12.2018						
	Gross carrying amount			Impairments			Net carrying amount
(in € thousands)	B1	B2	B3	B1	B2	B3	
Sight deposit accounts and loans to customers	5,067,185	68,678	171,535	(6,187)	(4,956)	(103,904)	5,192,351
Retail current accounts in debit*	291,563	49,622	72,059	(4,819)	(4,718)	(61,465)	342,242
Corporate current accounts in debit*	298,300	17,802	5,761	(238)	(238)	(2,684)	318,703
Factoring	4,393,052	-	53,193	(1,130)	-	(778)	4,444,337
Overnight accounts and loans	-	-	-	-	-	-	-
Amounts not classified	15,994	-	38,855	-	-	(38,855)	15,994
Other sight accounts and loans to customers	68,276	1,254	1,667	-	-	(122)	71,075
Term accounts and loans to customers	85,114,118	2,313,826	1,198,284	(71,577)	(109,934)	(434,274)	88,010,443
Corporate	19,833,718	71,499	43,146	(20,744)	(3,540)	(16,684)	19,907,395
Short-term credit facilities	3,070,387	3,210	8,434	(695)	(150)	(5,959)	3,075,227
Home loans	7,101,393	32,387	16,711	(2,563)	(1,324)	(6,535)	7,140,069
Equipment loans	3,633,050	3,942	1,568	(899)	(413)	(294)	3,636,954
Loans to financial customers	371,434	8,264	14,536	(5,332)	(918)	(2,423)	385,561
Other loans	5,657,454	23,696	1,897	(11,255)	(735)	(1,473)	5,669,584
Retail	65,265,217	2,242,327	1,155,138	(50,830)	(106,394)	(417,590)	68,087,868
Short-term credit facilities	4,270,793	554,550	381,784	(20,441)	(45,153)	(200,733)	4,940,800
Home loans	60,994,424	1,687,777	773,354	(30,389)	(61,241)	(216,857)	63,147,068
Securities and other assets received under repurchase agreements	15,183	-	-	(3)	-	-	15,180
Finance lease transactions	2,473,301	19,191	73,753	(1,923)	(2,177)	(28,954)	2,533,191
Equipment leasing	961,309	8,149	26,581	(1,164)	(255)	(11,355)	983,265
Real estate leasing	1,511,992	11,042	47,172	(759)	(1,922)	(17,599)	1,549,926
LOANS AND RECEIVABLES DUE FROM CUSTOMERS AT AMORTISED COST	92,654,604	2,401,695	1,443,572	(79,687)	(117,067)	(567,132)	95,735,985
Loans and receivables due from customers at amortised cost – 01.01.2018	78,779,146	4,950,489	1,377,335	(44,380)	(159,453)	(543,682)	84,359,455

Finance lease transactions

(in € thousands)	31.12.2018	31.12.2017
Amount of gross investments	2,722,423	2,411,518
Less than 1 year	557,186	340,523
Between 1 and 5 years	1,146,863	923,969
More than 5 years	1,018,374	1,147,026
Discounted value of minimum payments receivable	2,195,773	2,058,921
Less than 1 year	409,306	311,990
Between 1 and 5 years	1,029,957	812,372
More than 5 years	756,510	934,559
Unearned financial income	156,178	160,923
UNGUARANTEED RESIDUAL VALUES ACCRUING TO THE LESSOR	370,472	191,674

4.8 Investments of the insurance companies and reinsurers' share of technical provisions

Investments of the insurance activities and reinsurers' share of technical provisions

	31.12.2018
(in € thousands)	Carrying value
Financial assets at fair value through profit or loss	380,586
Debt instruments at fair value through OCI with recycling	2,132,448
SUB-TOTAL	2,513,034
Reinsurers' share of technical provisions	297,316
INVESTMENTS OF THE INSURANCE ACTIVITIES AND REINSURERS' SHARE OF TECHNICAL PROVISIONS	2,810,350

Financial assets at fair value through profit or loss

	31.12.2018
(in € thousands)	Fair value
Fair value through profit or loss held for trading	164,201
Fair value through profit or loss not meeting SPPI criteria	216,385
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	380,586

Debt instruments at fair value through OCI with recycling

	31.12.2018	
(in € thousands)	Fair value	Impairments
Government paper and similar securities	893,510	(55)
Bonds and other fixed-income securities	1,238,938	(306)
DEBT INSTRUMENTS AT FAIR VALUE THROUGH OCI WITH RECYCLING	2,132,448	(361)

The debt instruments at fair value through OCI with recycling of the insurance companies are classified in bucket 1.

	31.12.2018		
(in € thousands)	Fair value	Unrealised gains	Unrealised losses
Government paper and similar securities	893,510	9,261	(764)
Bonds and other fixed-income securities	1,238,938	75,276	(5,035)
FINANCIAL ASSETS AT FAIR VALUE THROUGH OCI WITH RECYCLING	2,132,448	84,537	(5,799)
Tax	-	(22,065)	1,054
Gains and losses recognised directly in equity on debt instruments at fair value through other comprehensive income with recycling (net of tax) on insurance investments	-	62,472	(4,745)

4.9 Financial assets and liabilities at fair value through profit or loss at 31 December 2017

Assets and liabilities at fair value through profit or loss

(in € thousands)	31.12.2017		
	Trading	Fair value option	TOTAL
Government paper and similar securities	950,201	-	950,201
Bonds and other fixed-income securities	6,058,346	-	6,058,346
Equities and other variable-income securities	61,000	35,307	96,307
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	7,069,547	35,307	7,104,854
Debt securities	-	4,526	4,526
FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS	-	4,526	4,526

Derivatives held for trading

(in € thousands)	31.12.2017	
	Assets	Liabilities
Interest rate derivatives	384,379	391,595
Credit derivatives	2,775	12,796
Exchange rate derivatives	94,194	93,277
Other derivatives	9,933	30,158
TRADING DERIVATIVES AT FAIR VALUE THROUGH PROFIT OR LOSS	491,281	527,826

(in € thousands)	31.12.2017	
	Assets	Liabilities
TOTAL ASSETS AND LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS	7,596,135	532,352

(in € thousands)	31.12.2017	
	Positive fair value	Negative fair value
Options	9,933	30,158
Interest rate options	9,933	30,158
Other derivatives	481,348	497,668
Foreign exchange contracts	94,194	93,277
Interest rate swaps	384,379	391,595
Credit derivatives	2,775	12,796
TOTAL	491,281	527,826

4.10 Hedging derivatives at 31 December 2017

(in € thousands)	31.12.2017	
	Assets	Liabilities
Interest rate derivatives	1,138,348	237,901
Foreign exchange derivatives	5,042	301
Equity and index derivatives	-	-
Other derivatives	-	-
FAIR VALUE HEDGING DERIVATIVES	1,143,390	238,202

(in € thousands)	Hedging derivatives		
	Notional amount	Positive fair value	Negative fair value
Rate cap	458,102	939	-
Interest rate swaps	33,942,967	1,135,140	198,580
Other derivatives	4,748,799	2,269	39,321
Currency swaps	345,960	5,042	301
TOTAL AT 31 DECEMBER 2017	39,495,828	1,143,390	238,202

Cash flow hedging derivatives

(in € thousands)	31.12.2017	
	Assets	Liabilities
Interest rate derivatives	2,363	-
CASH FLOW HEDGING DERIVATIVES	2,363	-

(in € thousands)	Hedging derivatives		
	Notional amount	Positive fair value	Negative fair value
Interest rate swaps	200,000	2,363	-
TOTAL AT 31 DECEMBER 2017	200,000	2,363	-

(in € thousands)	31.12.2017	
TOTAL HEDGING DERIVATIVES	1,145,753	238,202

4.11 Financial assets available for sale at 31 December 2017

(in € thousands)	31.12.2017
Government paper and similar securities	6,781,298
Bonds and other fixed-income securities	9,542,084
Equities and other variable-income securities	1,326,334
Non-consolidated equity stakes	200,371
AVAILABLE-FOR-SALE FINANCIAL ASSETS	17,850,087
<i>Including net unrealised gains and losses on fixed-income securities (in reserves)</i>	<i>228,511</i>
<i>Including net unrealised gains and losses on variable-income securities (in reserves)</i>	<i>85,129</i>

Details of non-consolidated equity investments

	31.12.2017				
(in € thousands)	Gross carrying amount of securities	Advances and receivables from related entities	Impairments	Net carrying amount	Share of capital in %
Crédit Logement	97,609	-	-	97,609	6.0%
KissKissBankBank	39,600	-	-	39,600	100.0%
Domiserve	15,000	-	-	15,000	100.0%
Mandarine Gestion	14,304	-	-	14,304	12.0%
STET	6,917	-	-	6,917	5.0%
Ezyness	5,200	-	-	5,200	100.0%
BPIfrance Financement	4,469	-	-	4,469	0.1%
Transactis	2,474	-	-	2,474	50.0%
Titres Cadeaux SAS	2,493	-	(293)	2,200	50.0%
LBP Protection	2,183	-	-	2,183	100.0%
Other	10,639	1,000	(1,224)	10,415	
TOTAL INTERESTS AND ADVANCES	200,888	1,000	(1,517)	200,371	

4.12 Loans and receivables due from financial institutions and similar at 31 December 2017

(in € thousands)	31.12.2017
Current accounts in debit	311,145
Accounts and loans	82,904,578
Securities received under repurchase agreements	225,333
Subordinated and participatory loans	171,761
Impairments	-
Accounts and loans – credit institutions and similar	83,612,817
Securities treated as loans and receivables	474,742
LOANS AND RECEIVABLES – CREDIT INSTITUTIONS AND SIMILAR	84,087,559

4.13 Loans and receivables due from customers at 31 December 2017

(in € thousands)	31.12.2017
Customer current accounts in debit*	800,456
Factoring	2,334,642
Term loans with financial clients	220,496
Short-term credit facilities	5,063,379
Home loans	59,813,224
Loans to legal entities	10,444,650
Loans to the local public sector	5,776,311
Other customer loans	56,643
Securities received under repurchase agreements	1,150
Impairments	(583,186)
Loans and receivables due from customers	83,927,765
Finance lease transactions	2,254,896
Impairments	(21,043)
Finance lease transactions	2,233,853
Securities treated as loans and receivables	1,973,554
Impairments	-
Securities treated as loans and receivables	1,973,554
LOANS AND RECEIVABLES – CUSTOMERS	88,135,172

* Card payment deferrals are presented with current accounts in debit.

4.14 Financial assets held to maturity at 31 December 2017

(in € thousands)	31.12.2017
Government paper and similar securities	18,407,398
Bonds and other fixed-income securities	2,326,616
FINANCIAL ASSETS HELD TO MATURITY	20,734,014

4.15 Current and deferred tax assets and liabilities

(in € thousands)	31.12.2018	01.01.2018
Deferred tax assets	234,580	176,095
Current tax assets	343,672	204,121
Tax assets	578,252	380,216
Deferred tax liabilities	105,564	111,395
Current tax liabilities	17,758	6,870
Tax liabilities	123,322	118,264

Deferred tax assets primarily involve the home-savings provision, temporary differences linked to the fair values of financial instruments and the spreading of commissions on loans in the EIR.

Tax assets are restricted to the capacity of each tax entity to use them in the near future; deferred tax assets on unused tax losses stand at €38 million.

Breakdown of deferred tax assets by type

(in € thousands)	01.01.2018	Net profit/(loss)	Equity	Other	Changes in scope	31.12.2018
Provisions for the home-savings product	76,849	(11,343)	-	10	-	65,516
Provisions for retirement commitments	7,685	1,993	-	409	-	10,087
Other non-deductible provisions	84,565	(16,460)	-	217	-	68,321
Other sources of timing differences	99,218	(12,162)	-	(396)	-	86,661
Deferred taxes arising from timing differences	268,317	(37,972)	-	240	-	230,585
Fair value of financial instruments and actuarial adjustments	(203,617)	(88,543)	191,633	(1,042)	-	(101,569)
Deferred taxes relating to IFRS valuation methods	(203,617)	(88,543)	191,633	(1,042)	-	(101,569)
NET DEFERRED TAXES	64,700	(126,515)	191,633	(802)	-	129,016

4.16 Accruals and other assets

(in € thousands)	31.12.2018	01.01.2018
Prepaid expenses and accrued income	338,638	283,386
Collection accounts	15,501	47,109
Other accruals	794,676	1,133,171
Accruals	1,148,815	1,463,666
Sundry debtors	1,533,518	1,421,644
Settlement accounts for securities transactions	1,026	1,764
Impairments	(5,424)	(5,241)
Other assets	1,529,120	1,418,167
Other insurance assets	303,310	267,383
Other insurance assets	303,310	267,383
ACCRUALS AND OTHER ASSETS	2,981,245	3,149,216

4.17 Equity associates

(in € thousands)	31.12.2018		01.01.2018	
	Equity-accounted value	Of which profit (loss)	Equity-accounted value	Of which profit (loss)
CNP Assurances group	3,213,842	262,859	3,329,257	256,824
AEW	52,978	5,368	54,101	6,575
EQUITY ASSOCIATES	3,266,820	268,227	3,383,358	263,399

The data published by the CNP Assurances group show a balance sheet total of €415,524 million and revenue of €32,367 million. Capitalisation stood at €12,716.2 million at 31 December 2018, based on: 686,618,477 shares in circulation and a closing price of €18.52 per share.

Goodwill on entities accounted for using the equity method is included in the Group's share of the equity associates, in accordance with the accounting rules in effect.

4.18 Tangible and intangible fixed assets

(in € thousands)	31.12.2018			01.01.2018		
	Gross amount	Depreciation, amortisation & impairment	Net amount	Gross amount	Depreciation, amortisation & impairment	Net amount
Software and IT development costs	1,405,944	(1,056,413)	349,531	1,234,667	(949,517)	285,150
Intangible assets in progress	269,944	0	269,944	194,223	(502)	193,721
Other intangible assets	153,094	(27,381)	125,713	164,220	(24,693)	139,527
Intangible fixed assets	1,828,982	(1,083,794)	745,188	1,593,110	(974,712)	618,398
Land	170,158	(1,696)	168,462	170,158	(1,696)	168,462
Buildings	665,208	(313,585)	351,623	549,325	(226,176)	323,149
Plant, equipment and tools	27,628	(26,759)	869	125,522	(81,474)	44,048
IT hardware	6,782	(5,758)	1,024	6,144	(5,395)	749
					-60	
Tangible fixed assets in progress	15,590	0	15,590	8,294		8,294
Other tangible fixed assets	521,710	(420,831)	100,879	504,032	(403,958)	100,074
Property, plant and equipment	1,407,076	(768,629)	638,447	1,363,475	(718,699)	644,776
TOTAL TANGIBLE AND INTANGIBLE FIXED ASSETS	3,236,058	(1,852,423)	1,383,635	2,956,585	(1,693,411)	1,263,174

4.19 Goodwill

Movements during the period

(in € thousands)	31.12.2018	31.12.2017
Net book value at 1 January	160,227	160,227
Goodwill arising on equity investments	-	-
Disposals	-	-
Impairment for the period	-	-
Other movements	-	-
NET BOOK VALUE AT 31 DECEMBER	160,227	160,227

Breakdown of goodwill

(in € thousands)	31.12.2018	01.01.2018
Tocqueville Finance Group	27,498	27,498
La Banque Postale Asset Management	38,429	80
21	21	38,429
La Banque Postale Prévoyance	94,300	94,300
Easybourse	4,722	4,722
Total gross goodwill	164,949	164,949
Goodwill amortisation	(4,722)	(4,722)
TOTAL NET GOODWILL	160,227	160,227

4.20 Liabilities due to credit institutions and similar

(in € thousands)	31.12.2018	01.01.2018
Current accounts in credit	1,263,422	697,837
Overnight accounts and borrowings	-	-
Other amounts owed	15,100	25,691
Sight liabilities due to credit institutions	1,278,522	723,528
Accounts and borrowings	2,980,388	2,381,785
Securities and other assets delivered under repurchase agreements	14,618,338	11,048,976
Term liabilities due to credit institutions	17,598,726	13,430,761
LIABILITIES DUE TO CREDIT INSTITUTIONS AND SIMILAR	18,877,248	14,154,290

4.21 Liabilities due to customers

(in € thousands)	31.12.2018	01.01.2018
Livret A	60,616,446	59,933,751
Home savings schemes and accounts	31,804,658	32,117,678
Other special accounts	22,110,498	22,008,300
Special scheme savings accounts	114,531,602	114,059,729
Sight deposit accounts in credit	65,671,405	62,721,031
Overnight accounts and borrowings	778,166	1,741,755
Securities and other assets delivered under sight repurchase agreements	-	-
Other amounts owed	800,115	711,161
Sight liabilities due to customers	67,249,686	65,173,947
Term deposit accounts and borrowings	43,676	-
Term deposit accounts in credit	51,689	164,989
Securities delivered under term repurchase agreements	3,934,299	3,165,109
Term liabilities to customers	4,029,664	3,330,098
LIABILITIES TO CUSTOMERS	185,810,952	182,563,774

4.22 Debt securities

(in € thousands)	31.12.2018	01.01.2018
Certificates of deposit and treasury bills	8,110,381	5,172,499
Bond borrowings*	8,823,324	6,200,158
Other debt securities	213	580
DEBT SECURITIES	16,933,918	11,373,236

* Including €6.6 million of covered bonds issued by La Banque Postale Home Loan SFH compared to €4.8 million at 31 December 2017.

4.23 Accruals and other payables

(in € thousands)	31.12.2018	01.01.2018
Accrued expenses and deferred income	574,602	557,902
Other accruals	1,684,187	1,370,195
Accruals	2,258,789	1,928,097
Securities-related liabilities	461,197	441,424
Guarantee deposits received	1,133,946	1,357,621
Other payables	1,079,845	1,068,552
Settlement accounts for securities transactions	6,923	8,347
Other liabilities	2,681,911	2,875,944
Other insurance liabilities	119,090	134,463
Other insurance liabilities	119,090	134,463
ACCRUALS AND OTHER LIABILITIES	5,059,790	4,938,504

4.24 Technical provisions of the insurance companies

(in € thousands)	31.12.2018	01.01.2018
Life technical provisions	1,042,471	967,262
Non-life technical provisions	1,354,317	1,290,234
TECHNICAL PROVISIONS	2,396,788	2,257,496

(in € thousands)	31.12.2018	01.01.2018
Deferred participating liabilities	82,831	118,161
SHADOW ACCOUNTING	82,831	118,161

The provision for deferred participation in profits arises from the use of "shadow accounting": it represents the share of policyholders of life insurance subsidiaries in unrealised gains and losses and

impairment charged on assets, when the remuneration of contracts is tied to their returns.

These are provisions booked primarily by La Banque Postale Prévoyance and La Banque Postale Assurances IARD.

4.25 Provisions

(in € thousands)	01.01.2018	Provisions	Reversals	Reversals of unused provisions	Other	31.12.2018
Provisions for employee benefits	30,717	3,466	(873)	(26)	6,073	39,357
Provisions for risk on home savings plans and accounts	293,826	20	(41,600)	-	-	252,246
Provisions for labour disputes and benefits expenses	10,455	4,607	(6,685)	(1,279)	-	7,098
Provisions for guarantee commitments	238	417	(197)	-	-	458
Provisions for financing commitments	62,400	15,567	(31,583)	-	-	46,384
Other provisions for liabilities and charges	143,522	71,879	(5,259)	(84,063)	(2,855)	123,224
PROVISIONS	541,158	95,956	(86,197)	(85,368)	3,218	468,767

Information relating to home savings plans and accounts (in millions of euros)

Generations	2017 provision	Deposits collected	Loans granted in respect of PEL and CEL accounts	2018 provision	Net change
More than 10 years	68	6,789	-	68	(0)
4 to 10 years	104	16,025	-	126	21
Less than 4 years	95	4,641	-	38	(56)
Total Home Savings Plans (PEL)	267	27,454	24	232	(35)
Total Home Savings Accounts (CEL)	27	4,348	165	20	(6)
TOTAL	294	31,803	190	252	(41)

4.26 Subordinated debt

(in € thousands)	31.12.2018	01.01.2018
Subordinated debt ⁽¹⁾	3,879,757	3,888,976
TOTAL	3,879,757	3,888,976

Subordinated debt breaks down as follows:

(in € thousands)	Date of issue	Maturity date	Original currency	31.12.2018
Fixed-term subordinated debt ⁽²⁾	30.11.2010	30.11.2020	EUR	750,000
Fixed-term subordinated debt ⁽²⁾	23.04.2014	23.04.2026	EUR	750,000
Fixed-term subordinated debt ⁽³⁾	19.11.2015	19.11.2027	EUR	750,000
Fixed-term subordinated debt ⁽⁴⁾	09.06.2016	09.06.2028	EUR	500,000
Fixed-term subordinated debt ⁽⁴⁾	05.10.2016	05.10.2028	EUR	100,000
Fixed-term subordinated debt ⁽⁵⁾	16.01.2017	09.06.2028	EUR	150,000
Perpetual subordinated debt ⁽⁶⁾	13.12.2013		EUR	800,000
TOTAL				3,800,000

(1) Balance sheet value including hedging effect and accrued interest.

(2) The issue includes a mechanism to convert to senior debt in the event of regulatory disqualification of the instrument with a reduction in the coupon of 30 basis points.

(3) La Banque Postale carried out a Tier II securities bond issue in the amount of €750 million in 2015.

(4) La Banque Postale carried out two bond issues in 2016 in the amounts of €500 million and €100 million with maturity of 12 years.

(5) La Banque Postale issued a €150 million bond in 2017.

(6) Perpetual bond issue convertible to shares and redeemable in the event of tax, accounting or regulatory changes or a change in the first call date. This debt is allowed in Tier 1 equity from a regulatory standpoint. Coupons are payable annually.

4.27 Breakdown of assets by contractual maturity

The governance relating to the management of liquidity levels provides support to the Bank enabling it to serenely develop its financing activities. The way in which La Banque Postale manages liquidity risk is described in chapter 4 of the Registration Document in the note Financial risk procedures.

The tables below show the maturities of the Group's financial assets and liabilities by contractual maturity date.

Fixed-income securities, loans and debt are broken down according to their contractual maturity date. Equity investments and UCITS have been entered in the "Indefinite" column. Sight receivables and debt are shown in the "Less than three months" column. The amounts presented in this schedule correspond to those on the balance sheet (including the effects of discounting).

Balance sheet items by remaining periods to maturity as at 31 December 2018

(in € thousands)	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total
ASSETS						
Cash, central banks	2,006,794	-	-	-	-	2,006,794
Financial assets at fair value through profit or loss	1,445,174	5,664,079	970,006	1,370,478	788,430	10,238,167
Hedging derivatives – Assets	17,108	13,983	517,920	610,289	-	1,159,300
Financial assets at fair value through OCI	313,035	662,854	6,781,167	5,819,618	287,775	13,864,449
Securities at amortised cost	542,422	2,501,673	14,225,097	6,312,699	-	23,581,891
Loans and receivables due from credit institutions	85,809,993	43,860	479,099	1,018,971	-	87,351,923
Loans and receivables due from customers	8,002,433	7,510,972	28,774,297	51,448,283	-	95,735,985
Investments of the insurance activities excluding reinsurers' share of technical provisions	75,796	99,582	671,817	1,319,496	346,343	2,513,034
Revaluation differences on interest rate hedged portfolios – Assets	-	3,748	19,545	58,622	-	81,915
ASSETS BY REMAINING PERIODS TO MATURITY	98,212,755	16,500,751	52,438,947	67,958,457	1,422,548	236,533,458
LIABILITIES						
Central banks	-	-	-	-	-	-
Financial liabilities at fair value through profit or loss	27,460	11,826	276,756	493,172	-	809,214
Hedging derivatives – Liabilities	1,381	23,129	94,051	229,093	-	347,654
Liabilities due to credit institutions	15,586,968	2,707,973	229,574	352,733	-	18,877,248
Liabilities due to customers	184,993,796	9,840	793,116	14,200	-	185,810,952
Debt securities	6,217,987	2,117,165	903,709	7,695,057	-	16,933,918
Subordinated debt	21,222	-	794,537	2,263,998	800,000	3,879,757
Revaluation differences on interest rate hedged portfolios – Liabilities	427	1,368	347,504	393,556	-	742,855
LIABILITIES BY REMAINING PERIODS TO MATURITY	206,849,241	4,871,301	3,439,248	11,441,809	800,000	227,401,598

Balance sheet items by remaining periods to maturity as at 31 December 2017

(in € thousands)	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total
ASSETS						
Cash, central banks	3,324,831	-	-	-	-	3,324,831
Financial assets held for trading	2,119,535	4,896,949	124,875	419,469	-	7,560,828
Financial assets at fair value through profit and loss on option ⁽¹⁾	-	-	-	-	35,307	35,307
Hedging derivatives – Assets	3,792	972	201,794	939,195	-	1,145,753
Available-for-sale financial assets	345,456	852,967	5,632,088	9,493,320	1,526,256	17,850,087
Loans and receivables due from credit institutions	82,196,097	3,398	533,648	1,354,416	-	84,087,559
Loans and receivables due from customers	4,170,689	6,811,020	28,582,808	48,570,655	-	88,135,172
Revaluation differences on interest rate hedged portfolios – Assets	2,743	2,431	31,131	32,446	-	68,751
Financial assets held to maturity	1,713,322	1,297,537	13,742,659	3,980,496	-	20,734,014
TOTAL	93,876,465	13,865,274	48,849,003	64,789,997	1,561,563	222,942,302
LIABILITIES						
Central banks	-	-	-	-	-	-
Financial liabilities held for trading	74,551	5,269	86,133	361,873	-	527,826
Financial liabilities at fair value through profit and loss on option	-	4,526	-	-	-	4,526
Hedging derivatives – Liabilities	58,027	6,136	71,402	102,637	-	238,202
Liabilities due to credit institutions	10,394,112	2,979,156	413,615	367,406	-	14,154,289
Liabilities due to customers	181,714,444	60,443	765,458	23,429	-	182,563,774
Debt securities	3,626,061	1,957,272	1,714,238	4,075,666	-	11,373,237
Subordinated debt	19,411	-	813,688	2,255,877	800,000	3,888,976
Revaluation differences on interest rate hedged portfolios – Liabilities	939	-	32,174	687,645	-	720,758
TOTAL	195,887,545	5,012,802	3,896,708	7,874,533	800,000	213,471,588

(1) Fixed-income securities.

4.28 Transferred assets not derecognised in their entirety

Nature of the transferred assets

(in € thousands)	Transferred assets not derecognised in their entirety				
	Transferred assets still recognised in full				
	Transferred assets				
	Carrying amount	Of which securitisation (special-purpose entities)	Of which repurchase transactions	Of which other	Fair value
Transferred financial assets – Fair value through profit or loss held for trading	900,551	-	763,683	136,868	900,551
Equity instruments	-	-	-	-	-
Debt securities	900,551	-	763,683	136,868	900,551
Loans and advances	-	-	-	-	-
Transferred financial assets – Fair value through OCI with and without recycling	3,628,377	-	3,628,377	-	3,628,377
Debt instruments	3,628,377	-	3,628,377	-	3,628,377
Loans and advances	-	-	-	-	-
Equity instruments	-	-	-	-	-
Instruments at amortised cost	18,354,843	-	18,065,789	289,054	19,653,271
Debt securities	18,354,843	-	18,065,789	289,054	19,653,271
Loans and advances	-	-	-	-	-
TOTAL TRANSFERRED FINANCIAL ASSETS	22,883,771	-	22,457,849	425,922	24,182,199

Transferred assets not derecognised in their entirety

Transferred assets still recognised in full					Transferred assets recognised to the extent of continuing involvement of the entity		
Associated liabilities					Total carrying amount of the initial assets before their transfer	Carrying amount still recognised (continuing involvement)	Carrying amount of the associated liabilities
Carrying amount	Of which securitisation (special-purpose entities)	Of which repurchase transactions	Of which other	Fair value			
788,619	-	788,619	-	809,097	-	-	-
-	-	-	-	-	-	-	-
788,619	-	788,619	-	809,097	-	-	-
-	-	-	-	-	-	-	-
3,425,447	-	3,425,447	-	4,866,829	-	-	-
3,425,447	-	3,425,447	-	4,866,829	-	-	-
-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-
19,565,033	-	19,565,033	-	20,673,173	-	-	-
19,565,033	-	19,565,033	-	20,673,173	-	-	-
-	-	-	-	-	-	-	-
23,779,099	-	23,779,099	-	26,349,098	-	-	-

4.29 Additional information about sovereign exposure to certain European Union countries

At 31 December 2018, La Banque Postale's direct and indirect exposure to PIIGS (Greece, Ireland, Italy, Portugal and Spain) stood at €2.58 billion.

The breakdown of direct and indirect sovereign exposure is as follows:

Sovereign exposure to 31 December 2018

(in € thousands)	Total Banking Portfolio	Assets at fair value through profit and loss (excluding derivatives)	Insurance investments excluding insurers' share of technical provisions	Total Direct exposure ⁽¹⁾	Borrowed securities	Off-balance sheet	Total direct and indirect exposure ⁽²⁾	Exposure in %
Italy	100,975	848,891	57,445	1,007,311	184,328	-	1,191,639	1.0%
Portugal	302,424	249,454	-	551,878	-	-	551,878	0.5%
Spain	82,993	723,339	29,108	835,440	-	-	835,440	0.7%
Total PIIGS	486,392	1,821,684	86,553	2,394,629	184,328	-	2,578,957	2.2%
Germany	3,228,339	-	12,153	3,240,492	-	-	3,240,492	2.8%
Austria	-	-	14,783	14,783	-	-	14,783	0.0%
Belgium	3,023,466	-	49,618	3,073,084	-	-	3,073,084	2.7%
France	102,650,800	155,086	1,171,151	103,977,037	30,904	668,782	104,676,723	90.9%
Luxembourg	158,551	-	35,575	194,126	-	-	194,126	0.2%
Netherlands	151,505	-	-	151,505	-	-	151,505	0.1%
Poland	-	-	16,576	16,576	26,192	-	42,768	0.0%
Romania	19,757	-	-	19,757	-	-	19,757	0.0%
Slovenia	-	-	5,195	5,195	-	-	5,195	0.0%
Switzerland	23,284	-	5,613	28,897	-	-	28,897	0.0%
Total Europe	109,255,704	155,086	1,310,664	110,721,454	57,096	668,782	111,447,332	96.8%
Rest of the world	936,236	-	13,144	949,380	166,181	-	1,115,561	1.0%
TOTAL	110,678,332	1,976,770	1,410,361	114,065,463	407,605	668,782	115,141,850	100.0%

Identification based on the scope defined by the EBA, including local and regional authorities or bodies benefiting from a government guarantee.

These exposures include deposits centralised with the CDC (which were excluded at 31 December 2017).

(1) Direct exposure: fair value or gross carrying amount of exposures on the Bank's own account.

(2) Direct and indirect exposures: direct exposures in addition to indirect exposures *via* securities received by the Group as part of securities financing transactions, forward and off-balance sheet purchases.

The unrealised gains and losses recorded in reserves are not material. Securities are categorised as level 1 in the fair value hierarchy. No significant impairment on inventory was recorded as at 31 December 2018.

The maturity of PIIGS sovereigns is generally less than 1 year.

Sovereign exposure at 31 December 2017

(in € thousands)	Total Banking Portfolio	Assets at fair value through profit or loss	Derivatives	Total direct exposure ¹	Borrowed securities	Off-balance sheet	Total direct and indirect exposure ²	Exposure in %
Greece	-	24	-	24	-	-	24	0.0%
Ireland	-	-	-	-	-	-	-	-
Italy	386,445	471,597	-	858,042	185,383	-	1,043,425	3.7%
Portugal	81,626	243,911	-	325,537	-	-	325,537	1.2%
Spain	6,758	-	-	6,758	485,005	-	491,763	1.7%
Total PIIGS	474,829	715,532	-	1,190,361	670,388	-	1,860,749	6.6%
Germany	3,792,156	90,262	-	3,882,418	-	-	3,882,418	13.7%
Austria	14,600	-	-	14,600	-	-	14,600	0.1%
Belgium	2,192,988	-	-	2,192,988	-	-	2,192,988	7.8%
Finland	-	-	-	-	-	-	-	-
France	17,400,304	7	-	17,400,311	1,150	-	17,401,461	61.6%
Luxembourg	158,841	-	-	158,841	12,199	-	171,040	0.6%
Netherlands	1,196,729	-	-	1,196,729	-	-	1,196,729	4.2%
Poland	22,321	-	-	22,321	25,409	-	47,730	0.2%
Slovakia	-	-	-	-	-	-	-	-
Slovenia	6,478	-	-	6,478	-	-	6,478	0.0%
Switzerland	22,969	-	-	22,969	-	-	22,969	0.1%
Supranational	-	-	-	-	-	-	-	-
Total Europe	24,807,386	90,269	-	24,897,655	38,758	-	24,936,413	88.3%
Rest of the world	1,042,714	229,675	-	1,272,389	170,000	-	1,442,389	5.1%
TOTAL	26,324,929	1,035,476	-	27,360,405	879,146	-	28,239,551	100.0%

Identification based on the scope defined by the EBA, including local and regional authorities or bodies benefiting from a Government guarantee. These exposures do not include deposits centralised with the CDC.

- (1) Direct exposure: net carrying amount (including impairment) of exposure on the Bank's own account.
(2) Direct and indirect exposures: direct exposures in addition to indirect exposures *via* securities received by the Group as part of securities financing transactions.

NOTE 5 NOTES TO THE INCOME STATEMENT

5.1 Interest income and expense and similar items

(in € thousands)	31.12.2018	Including negative interest
On financial assets valued at amortised cost	3,646,034	110,108
Transactions with credit institutions	1,186,352	92,116
Customer transactions	1,799,751	17,608
Finance lease transactions	36,313	-
Securities transactions at amortised cost	623,618	384
On financial assets at fair value through OCI with recycling	111,402	-
Transactions with credit institutions	-	-
Customer transactions	-	-
Debt securities	111,402	-
Interest accrued and due on hedging instruments	310,660	-
Other interest and similar income	-	-
Interest income	4,068,096	110,108
On financial liabilities at amortised cost	(1,716,750)	(68,838)
Transactions with credit institutions	(99,829)	(68,833)
Customer transactions	(1,367,047)	(5)
Debt securities	(249,874)	-
Interest accrued and due on hedging instruments	(123,545)	-
Other interest and similar expense	-	-
Interest expense	(1,840,295)	(68,838)
INTEREST AND SIMILAR INCOME AND EXPENSE	2,227,801	

	31.12.2017	
(in € thousands)	Income	Expenses
Interest and similar income on cash and interbank transactions	1,403,549	(72,383)
<i>including negative interest</i>	<i>128,757</i>	<i>(61,705)</i>
Interest and similar income on customer transactions	1,903,572	(1,364,573)
<i>including negative interest</i>	<i>17,660</i>	<i>(156)</i>
Interest on hedging transactions	312,804	(159,252)
Interest on assets available for sale and held to maturity	865,993	-
Interest on debt securities	333	(185,233)
Interest income and expense	4,486,251	(1,781,441)
NET INTEREST INCOME AND EXPENSE	2,704,810	

The amount of interest and remuneration received in respect of the centralisation of deposits of the Livret A, the Sustainable Development accounts (LDD) and the National Savings accounts (LEP) amounted to €1,070 million as at 31 December 2018, compared with €1,231 million as at 31 December 2017.

5.2 Net commissions

(in € thousands)	31.12.2018	
	Income	Expenses
Commissions on cash and interbank transactions	85,850	(3,361)
Commissions on customer transactions	1,290,506	(1,210)
Commissions on financial services provided	915,560	(200,091)
Commissions on securities transactions	328,881	(20,419)
Commissions on financial instruments	-	(297)
Other commissions	68,454	-
Commission income and expenses	2,689,251	(225,378)
NET COMMISSIONS	2,463,873	

(in € thousands)	31.12.2017	
	Income	Expenses
Commissions on cash and interbank transactions	57,148	(2,909)
Commissions on customer transactions	1,337,397	(141,369)
Commissions on financial services provided	790,107	(56,657)
Commissions on securities transactions	388,612	(19,006)
Commissions on insurance services provided	99,680	(55,340)
Commissions on financial instruments	-	(295)
Other commissions	58,946	(9)
Commission income and expenses	2,731,890	(275,585)
NET COMMISSIONS	2,456,305	

5.3 Net gains and losses on financial instruments at fair value through profit or loss

(in € thousands)	31.12.2018
Dividends received	-
Changes in the fair value of financial assets and liabilities through profit or loss	11,715
Changes in fair value and interest on financial assets and liabilities held for trading	18,777
Changes in fair value and interest on financial assets and liabilities not meeting SPPI criteria	(20,965)
Changes in fair value and interest on financial assets and liabilities on option	13,903
Gains or losses on financial assets and liabilities through profit or loss	15,511
Gains or losses on financial assets and liabilities held for trading	(5,474)
Gains or losses on financial assets and liabilities not meeting SPPI criteria	20,985
Gains or losses on financial assets and liabilities on option	-
Result of the hedge accounting	(1,807)
Result on forex transactions	-
NET GAINS AND LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	25,419

(in € thousands)

31.12.2017

Net income from trading financial assets (excluding derivatives)	(16,059)
Net income from trading derivatives	11,045
Net income from the revaluation of hedged items and hedging derivatives	(3,509)
Profit (loss) from financial assets at fair value on option	307
Profit (loss) from financial liabilities at fair value on option	17
NET GAINS AND LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	(8,199)

The result of the hedge accounting breaks down as follows:

(in € thousands)	31.12.2018		
	Profits	Losses	Net
Fair value hedges	500,297	(502,104)	(1,807)
Changes in fair value of hedged items attributable to the hedged risks	214,728	(42,296)	172,432
Changes in fair value of hedging derivatives (including hedge termination)	285,569	(459,808)	(174,239)
Cash flow hedges	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Interest rate fair value hedges of a portfolio of financial instruments	-	-	-
Changes in fair value of hedged items	-	-	-
Changes in fair value of hedging derivatives	-	-	-
Interest rate cash flow hedges of a portfolio of financial instruments	-	-	-
Changes in fair value of the hedging instrument – ineffective portion	-	-	-
RESULT OF THE HEDGE ACCOUNTING	500,297	(502,104)	(1,807)

5.4 Net gains and losses on financial instruments at fair value through other comprehensive income

(in € thousands)

31.12.2018

Dividends received on equity instruments recognised at fair value through OCI without recycling	17,968
Gains or losses on disposals recorded at fair value through OCI with recycling	323,792
▶ On debt securities	323,792
▶ On loans and receivables	-
Gains or losses on the sale or termination of the fair value hedging instruments of debt instruments	-
Gains or losses on the disposal of debt instruments related to securitisation transactions	-
NET GAINS AND LOSSES ON FINANCIAL ASSETS RECOGNISED IN OTHER COMPREHENSIVE INCOME	341,760

(in € thousands)

31.12.2017

Gains on disposals of fixed-income securities	207,953
Losses on disposals of fixed-income securities	(24,576)
Dividends and similar income	37,252
Gains on disposals of variable-income securities	41,299
Losses on disposals of variable-income securities and impairment	(5,138)
Gains and losses on disposals of loans and receivables	21,665
NET GAINS AND LOSSES ON ASSETS AVAILABLE FOR SALE	278,455

5.5 Gains and losses on the derecognition of debt instruments recognised at amortised cost

No gain or loss on the derecognition of debt instruments recognised at amortised cost was recorded at 31 December 2018.

5.6 Net income from insurance companies

(in € thousands)	31.12.2018
Sales	969,778
Premiums written	980,192
Change in unearned premiums	(10,414)
Sub-Total – Retained premiums	969,778
Income from activities accounted for under IFRS 15	-
Income from investments net of expenses	38,734
Income from investments incl. investment properties	50,836
Expenses on investments and other financial charges	(6,733)
Gains and losses on disposals of investments	(1,671)
Change in fair value of investments recognised at fair value through profit or loss	(3,698)
Results of the fair value hedges	-
Amortisation of deferred acquisition costs	-
Expenses on contract services	(555,424)
Commissions on the insurance activities	(15,594)
Result of reinsurance assets	(22,195)
NET INCOME OF THE INSURANCE COMPANIES	415,299

Impact of the application of the overlay approach for the insurance entities of the La Banque Postale Group

Value of the financial assets to which the overlay approach is applied:

(in € thousands)	31.12.2018	
	Carrying amount	Change in fair value
UCITS	197,734	(6,871)
Equities and other variable-income securities	124,121	(8,373)
Bonds	9,793	221
Other financial assets	-	-
TOTAL	331,648	(15,023)

Effect of the application of the overlay approach to net income items:

(in € thousands)	IAS 39	IFRS 9	Overlay impact
Net income of the insurance companies	6,608	(8,416)	-
Overlay impact	-	-	15,023
Net banking income	6,608	(8,416)	15,023
Deferred taxes	311	2,741	(2,429)
NET INCOME	6,919	(5,675)	80
21	21	21	12,594

5.7 Total income and expenses from other activities

(in € thousands)	31.12.2018	
	Income	Expenses
Income retrocessions, re-invoiced expenses, expense transfers	31,377	-
Other operating income and expenses	176,359	(164,924)
Provisions for other operating expenses	52,120	(14,172)
Income and expenses from other activities	259,856	(179,096)
NET INCOME AND EXPENSES FROM OTHER ACTIVITIES	80,760	

(in € thousands)	31.12.2017	
	Income	Expenses
Income retrocessions, re-invoiced expenses, expense transfers	44,505	-
Other operating income and expenses	154,800	(261,443)
Insurance income and expenses	822,793	(530,147)
Provisions for other operating expenses	64,772	(39,468)
Income and expenses from other activities	1,086,870	(831,058)
NET INCOME AND EXPENSES FROM OTHER ACTIVITIES	255,812	

5.8 General operating expenses

(in € thousands)	31.12.2018	31.12.2017
Personnel costs	(565,372)	(522,081)
Taxes, duties and miscellaneous contributions ⁽¹⁾	(104,157)	(60,610)
External services	(3,543,972)	(3,623,857)
Other expenses	(204,993)	(232,139)
Other general operating expenses	(3,853,122)	(3,916,607)
GENERAL OPERATING EXPENSES	(4,418,494)	(4,438,688)

(1) Including contributions to the supervisory bodies.

Average number of employees during the year

	31.12.2018	31.12.2017
Executive positions	3,674	3,384
Non-executive positions	1,258	1,151
TOTAL	4,932	4,535

5.9 Cost of risk

(in € thousands)	31.12.2018
Bucket 1 – Healthy assets – 12-month expected losses	(32,556)
Bucket 2 – Sensitive assets – Lifetime expected losses	53,823
Bucket 3 – Impaired assets	(24,704)
Impairment provisions net of reversals	(3,437)
Amounts recovered on amortised receivables	6,033
Credit losses	(135,287)
Other losses or income	(492)
COST OF RISK	(133,183)

(in € thousands)	31.12.2017
Impairments on customer accounts	(250,532)
Reversals of impairments on customer accounts	157,061
Credit losses covered by impairment	(84,811)
Credit losses not covered by impairment	(18,887)
Amounts recovered on amortised receivables	6,179
Impairments on doubtful financial assets	-
Reversals of impairment on doubtful financial assets	-
Other impairments/reversals	(897)
COST OF RISK	(191,887)

5.10 Gains and losses on other assets

(in € thousands)	31.12.2018	31.12.2017
Gains and losses on disposals of loans and receivables	(637)	(1,275)
GAINS AND LOSSES ON OTHER ASSETS	(637)	(1,275)

5.11 Change in the value of goodwill

There was no change in the value of goodwill during the 2018 financial year.

5.12 Income tax and deferred taxes

(in € thousands)	31.12.2018	31.12.2017
Current tax	(147,175)	(296,760)
Deferred taxes	(126,515)	(43,385)
TAXES	(273,690)	(340,145)

Tax expense analysis:

(in € thousands)	31.12.2018		31.12.2017	
Net income, Group share	725,908		763,699	
Share of non-controlling interests	39,735		34,255	
Share of profits of equity associates	(268,227)		(263,399)	
Income tax expense	273,690		340,145	
Pre-tax net income	771,106		874,700	
Theoretical income tax expense	(265,492)	34.43%	(301,159)	34.43%
Permanent difference effects	(15,484)	2.01%	(2,986)	0.34%
Tax rate effects	12,855	-1.67%	(9,786)	1.12%
Dividend taxation effect	(3,121)	0.40%	(5,082)	0.58%
Other effects	(2,448)	0.32%	(21,131)	2.42%
RECOGNISED INCOME TAX EXPENSE	(273,690)	35.49%	(340,145)	38.89%

NOTE 6 COMMITMENTS GIVEN AND RECEIVED

Contractual value of commitments given and received:

(in € thousands)	31.12.2018	01.01.2018
FINANCING COMMITMENTS		
To credit institutions and similar	1,576,276	1,181,921
To customers	23,234,668	19,366,812
Total financial commitments given	24,810,944	20,548,733
Received from credit institutions and similar	1,966,559	870,369
Received from customers	1,620,000	1,136,011
Total financial commitments received	3,586,559	2,006,380
GUARANTEE COMMITMENTS		
To credit institutions and similar	379,346	397,802
To customers*	1,937,735	1,881,446
Total guarantee commitments given	2,317,081	2,279,248
Received from credit institutions and similar	33,997,941	31,473,106
Received from customers	4,638,902	9,166,847
Total guarantee commitments received	38,636,843	40,639,953
SECURITIES COMMITMENTS		
Securities to be delivered	3,213,365	1,382,049
Total securities commitments	3,213,365	1,382,049
Securities to be received	461,367	246,044
Total commitments received for securities	461,367	246,044
OTHER COMMITMENTS		
Total of other commitments given	11,708,325	9,627,906
Total of other commitments received	2,416,700	1,410,505

* Including capital and performance guarantees granted to the holders of UCITS units generated by Group entities.

Crédit Logement commitments

La Banque Postale has committed to maintain Crédit Logement's basic equity capital at a level equivalent to their holding in the company, *i.e.* 6%, so that the company can maintain its solvency ratio. La Banque Postale has agreed to replenish Crédit Logement's mutual guarantee fund if required, which underwrites borrower defaults on loans secured by the company. This commitment, which

is equivalent to the portion of amounts outstanding granted by La Banque Postale, was €236 million at 31 December 2018. This amount was €258 million at 31 December 2017.

In addition, the guarantee commitments received from credit institutions are primarily comprised of deposits received from Crédit Logement.

Other commitments given

Mainly the amount of shares pledged for the benefit of the European Central Bank as part of the financing commitment received from the latter (3G funding). This guarantee commitment given is recorded at the market value of pledged securities before taking into account different haircuts for securities and receivables into account. The commitment given (€653 million) is in return for

a financing commitment received (€600 million) from the Banque de France (3G funding).

Other commitments also include €10,869 million in home loans pledged to hedge the bond issues launched by the Group's home loans company (La Banque Postale Home Loan SFH).

NOTE 7

FAIR VALUE OF BALANCE SHEET ITEMS

7.1 Fair value of balance sheet items recognised at amortised cost

The table below shows the fair value of balance sheet items recognised at amortised cost.

(in € thousands)	31.12.2018				
	Balance sheet amount	Fair value	Fair value hierarchy		
			Valuation determined using prices listed on an active market (level 1)	Valuation process using observable data (level 2)	Valuation process using non-observable data (level 3)
ASSETS					
Securities at amortised cost	23,581,891	25,024,268	23,193,399	1,639,980	190,889
Sight loans and receivables due from credit institutions	15,766,721	15,766,721	-	15,675,117	91,604
Term loans and receivables due from credit institutions	71,585,202	71,595,733	-	71,476,479	119,254
Loans and receivables due from credit institutions	87,351,923	87,362,454	-	87,151,596	210,858
Sight loans and receivables due from customers	5,192,351	5,204,106	-	5,115,931	88,175
Term loans and receivables due from customers	88,010,443	90,438,506	-	79,379,022	11,059,484
Finance lease transactions	2,533,191	2,761,973	-	2,761,973	-
Loans and receivables due from customers	95,735,985	98,404,585	-	87,256,926	11,147,659
Investments of the insurance activities excluding reinsurers' share of technical provisions	-	-	-	-	-
LIABILITIES					
Sight liabilities due to credit institutions	1,278,522	1,278,522	-	1,267,843	10,679
Term liabilities due to credit institutions	17,598,726	17,591,082	-	17,545,554	45,528
Liabilities due to credit institutions	18,877,248	18,869,604	-	18,813,397	56,207
Sight liabilities due to customers	181,781,346	181,781,288	-	180,709,282	1,071,948
Term liabilities to customers	4,029,664	4,037,358	-	4,035,326	2,032
Liabilities due to customers	185,811,010	185,818,646	-	184,744,608	1,073,980
Debt securities	16,933,918	16,947,513	6,665,718	10,281,795	-
Subordinated debt	3,879,757	4,011,965	3,146,886	865,079	-

Fair value of loans

The scope selected includes all loans drawn on La Banque Postale and shown on its balance sheet. Loans granted but not yet drawn are not taken into account: the assumption is that since their rates were recently set, their value should not diverge from the nominal amount loaned.

The main assumptions underlying the determination of fair value are as follows for the loans marketed by the Bank:

- ▶ the fair value of current account overdrafts is presumed to correspond to the book value due to their short duration (the customer is required to return the account to credit within one month);
- ▶ the fair value of loans is determined on the basis of internal models, which consist in discounting future recoverable capital and interest flows over the residual term that are discounted based on the rate of internal disposals.

Fair value of deposits

The main underlying assumptions for the calculation are as follows:

- ▶ for deposits on which the interest rate is regulated, Livret B accounts, saving accounts for young people, National Savings accounts and term deposit accounts, fair value is assumed to be the carrying amount of the amount outstanding;
- ▶ the fair value of sight deposits is assumed to correspond to the carrying value of the amount outstanding, net of the fair cost value of the swaps used to hedge overnight deposits (*via* the carve-out option).

Held or issued debt instruments

The fair value of listed financial instruments corresponds to the closing price. The fair value of unlisted financial instruments is determined by discounting future cash flows at current reporting date market rates.

7.2 Fair value hierarchy of the financial assets and liabilities recognised on the balance sheet

Three levels of financial instruments are shown based on the decreasing level of observability of the prices and parameters used for their measurement:

- level 1: Instruments valued according to the (non-adjusted) prices quoted for identical assets or liabilities on an active market.

This level primarily includes listed shares and derivatives on organised markets (futures, options, etc.);

- level 2: Instruments valued according to data other than the prices listed under level 1 and that can be observed for the asset and liability in question, either directly (prices) or indirectly (derivative price data).

These instruments are measured employing valuation techniques that use observable parameters and standard models

or instruments that are valued based on similar instruments listed on an active market. This category includes interest rate swaps, caps, floors, etc.;

- level 3: Instruments valued using data that are not based on observable market data (non-observable data).

This category mainly includes unlisted equity investments.

The market value of unlisted equity investments classified as financial assets at fair value through OCI is determined by reference to criteria such as net assets, profitability outlook and discounting of future cash flows.

The price quoted for an asset held or a liability to be issued is usually the bid price, and it is the ask price for a liability held or an asset to be acquired.

Financial assets and liabilities

(in € thousands)	31.12.2018			
	Fair value hierarchy			
	Fair value	Valuation determined using prices listed on an active market (level 1)	Valuation process using observable data (level 2)	Valuation process using non-observable data (level 3)
FINANCIAL ASSETS				
Financial assets held for trading	9,355,836	2,758,487	6,597,349	-
Financial assets at fair value through profit or loss on option	-	-	-	-
Financial assets at fair value not meeting the SPPI criteria	882,331	387,173	192,578	302,580
Financial assets at fair value through profit or loss	10,238,167	3,145,660	6,789,927	302,580
Fair value hedging derivatives	1,130,766	-	1,130,766	-
Cash flow hedging derivatives	28,534	-	28,534	-
Hedging derivatives	1,159,300	-	1,159,300	-
Financial assets at fair value through OCI – without recycling	288,764	-	0	288,764
Financial assets at fair value through OCI – with recycling	13,575,685	13,186,286	389,399	-
Financial assets at fair value through OCI	13,864,449	13,186,286	389,399	288,764
Investments of the insurance activities	2,513,034	2,457,961	55,073	-
FINANCIAL LIABILITIES				
Financial liabilities held for trading	530,402	-	530,402	-
Financial liabilities at fair value on option	278,812	-	278,812	-
Financial liabilities at fair value through profit or loss	809,214	-	809,214	-
Fair value hedging derivatives	347,654	-	347,654	-
Cash flow hedging derivatives	-	-	-	-
Hedging derivatives	347,654	-	347,654	-

Transfer from level 2 to level 1: €28.2 million (three fixed-income securities for which transactions now meet the volume and frequency conditions, characteristics of an active market).

Transfer from level 1 to level 2: €73.3 million (eight fixed-income securities that no longer meet volume and frequency conditions).

(in € thousands)	31.12.2017		
	Valuation determined using prices listed on an active market (level 1)	Valuation technique using observable data (level 2)	Valuation technique using non-observable data (level 3)
Government paper and similar securities	945,183	5,018	-
Bonds and other fixed-income securities	1,126,884	4,931,462	-
Equities and other variable-income securities	61,000	-	-
Financial assets at fair value through profit or loss	2,133,067	4,936,480	-
Equities and other variable-income securities	35,307	-	-
Financial assets at fair value through profit and loss on option	35,307	-	-
Interest rate derivatives	-	384,379	-
Foreign exchange derivatives	-	94,194	-
Credit derivatives	-	2,775	-
Options	-	9,933	-
Trading derivatives	-	491,281	-
Interest rate derivatives	-	1,138,348	-
Foreign exchange derivatives	-	5,042	-
Fair value hedging derivatives	-	1,143,390	-
Interest rate derivatives	-	2,363	-
Cash flow hedging derivatives	-	2,363	-
Government paper and similar securities	6,760,946	20,352	-
Bonds and other fixed-income securities	9,327,335	214,749	-
Equities and other variable-income securities	803,751	222,388	300,195
Non-consolidated equity stakes	-	-	200,371
Available-for-sale financial assets	16,892,032	457,489	500,566

(in € thousands)	31.12.2017		
	Valuation determined using prices listed on an active market (level 1)	Valuation technique using observable data (level 2)	Valuation technique using non-observable data (level 3)
Debt securities	-	4,526	-
Financial liabilities at fair value through profit or loss on option	-	4,526	-
Interest rate derivatives	-	391,595	-
Foreign exchange derivatives	-	93,277	-
Other derivatives	-	19,784	-
Credit derivatives	-	12,796	-
Options	-	10,374	-
Trading derivatives	-	527,826	-
Financial liabilities at fair value through profit or loss	-	532,352	-
Interest rate derivatives	-	237,901	-
Foreign exchange derivatives	-	301	-
Hedging derivatives	-	238,202	-

Change in fair value related to Level 3: reconciliation of opening and closing balances

(in € thousands)	31.12.2018				
	Financial assets at fair value through profit or loss	Hedging derivatives	Financial assets at fair value through OCI	Investments of the insurance activities and reinsurers' share of technical provisions	Total
OPENING	249,925	0	250,640	-	500,566
Total gains and losses recorded in profit or loss	9,839	-	-	-	9,839
Total gains and losses recorded in equity	-	(0)	11,769	-	11,769
Purchases	70,072	-	31,415	-	101,487
Disposals	(15)	-	-	-	(15)
Issues	-	-	-	-	-
Redemptions	(27,839)	-	-	-	(27,839)
Transfer to or from level 3	-	-	-	-	-
Other movements	598	-	(5,060)	-	(4,462)
CLOSING	302,580	-	288,764	-	591,344

NOTE 8

OFFSETTING OF FINANCIAL ASSETS AND LIABILITIES

A financial asset and liability are offset and a net balance is shown on the balance sheet when the Group has a legally enforceable right to offset the amounts recognised, and has the intention either to settle the net amount or to realise the asset and settle the liability simultaneously.

A financial asset and liability covered by a master netting agreement or similar agreement meeting the definition of an enforceable contract (legally enforceable right to offset securities with the same maturity against cash), which can be exercised under all conditions but does not meet the offsetting criteria, are

presented as net book value where they are realised with the same legal entity.

The tables below show the amounts of financial assets and liabilities that were offset in the Group's consolidated balance sheet as well as the amounts that could be offset in accordance with the master netting agreements or similar agreements, but which are not eligible to be offset in the consolidated financial statements.

The net positions resulting from these various offsets are not intended to measure the Group's exposure to counterparty risk on these financial instruments.

Offsetting of financial assets and liabilities in 2018

(in € thousands)	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial assets offset in the financial statements	Net financial assets	Amounts not offset		Financial instruments received as collateral	Net carrying amount
				Financial instruments	Cash collateral received		
Financial instruments at market value through profit or loss	11,397,467	-	11,397,467	638,551	913,879	-	9,845,037
<i>Of which financial derivatives (includes hedging derivatives)</i>	<i>1,617,699</i>	<i>-</i>	<i>1,617,699</i>	<i>638,551</i>	<i>913,879</i>	<i>-</i>	<i>65,269</i>
Loans and receivables due from credit institutions and customers	188,314,219	5,226,311	183,087,908	264,406	-	416,228	182,407,274
<i>including borrowed securities</i>	<i>5,906,969</i>	<i>5,226,311</i>	<i>680,658</i>	<i>264,406</i>	<i>-</i>	<i>416,228</i>	<i>24</i>
Accruals and other assets	2,981,245	-	2,981,245	2,896	-	-	2,978,349
<i>Of which collateral deposits given</i>	<i>5,208</i>	<i>-</i>	<i>5,208</i>	<i>2,896</i>	<i>-</i>	<i>-</i>	<i>2,312</i>
Other assets not offset	47,734,333	-	47,734,333	-	-	-	47,734,333
TOTAL ASSETS	250,427,264	5,226,311	245,200,953	905,853	913,879	416,228	242,964,993

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented as net	Amounts not offset		Financial instruments given as collateral	Net carrying amount
				Financial instruments	Cash collateral paid		
(in € thousands)							
Financial instruments at market value through profit or loss	1,156,868	-	1,156,868	638,551	216,269	-	302,048
<i>Of which financial derivatives (includes hedging derivatives)</i>	<i>878,056</i>	<i>-</i>	<i>878,056</i>	<i>638,551</i>	<i>216,269</i>	<i>-</i>	<i>23,236</i>
Liabilities due to credit institutions and customers	209,914,511	5,226,311	204,688,200	263,619	36,192	18,237,371	186,151,019
<i>Of which loaned securities</i>	<i>23,779,099</i>	<i>5,226,311</i>	<i>18,552,788</i>	<i>263,619</i>	<i>36,192</i>	<i>18,237,371</i>	<i>15,606</i>
Other debt not offset	29,688,028	-	29,688,028	-	-	-	29,688,028
TOTAL LIABILITIES	240,759,407	5,226,311	235,533,096	902,170	252,461	18,237,371	216,141,095

Offsetting of financial assets and liabilities in 2017

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Net financial assets	Financial instruments	Cash collateral received	Financial instruments received as collateral	Net book value
(in € thousands)							
Financial instruments at market value through profit or loss	7,596,135	-	7,596,135	447,842	1,162,337	-	5,985,956
<i>Of which financial derivatives (includes hedging derivatives)</i>	<i>1,634,260</i>	<i>-</i>	<i>1,634,260</i>	<i>447,842</i>	<i>1,162,337</i>	<i>-</i>	<i>24,081</i>
Loans and receivables due from credit institutions and customers	93,074,811	4,939,639	88,135,172	199,637	1,053	101,891	87,832,591
<i>Of which borrowed securities</i>	<i>5,164,246</i>	<i>4,939,639</i>	<i>224,607</i>	<i>199,637</i>	<i>1,053</i>	<i>101,891</i>	<i>(77,974)</i>
Accruals and other assets	3,411,175	-	3,411,175	7,994	-	-	3,403,181
<i>Of which collateral deposits given</i>	<i>9,895</i>	<i>-</i>	<i>9,895</i>	<i>7,994</i>	<i>-</i>	<i>-</i>	<i>1,901</i>
Other assets not offset	132,334,288	-	132,334,288	-	-	-	132,334,288
TOTAL ASSETS	236,416,409	4,939,639	231,476,770	655,474	1,163,390	101,891	229,556,015

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Net financial liabilities	Financial instruments	Cash collateral paid	Financial instruments given as collateral	Net book value
(in € thousands)							
Financial instruments at market value through profit or loss	238,202	-	238,202	447,842	288,191	-	(497,831)
<i>Of which financial derivatives (includes hedging derivatives)</i>	<i>743,469</i>	<i>-</i>	<i>743,469</i>	<i>447,842</i>	<i>288,191</i>	<i>-</i>	<i>7,436</i>
Liabilities due to credit institutions and customers	187,503,413	4,939,639	182,563,774	199,637	42,485	13,891,872	168,429,780
<i>Of which loaned securities</i>	<i>19,171,437</i>	<i>4,939,639</i>	<i>14,231,798</i>	<i>199,637</i>	<i>42,485</i>	<i>13,891,872</i>	<i>97,805</i>
Other debt not offset	38,581,242	-	38,581,242	-	-	-	38,581,242
TOTAL LIABILITIES	226,322,857	4,939,639	221,383,218	647,480	330,675	13,891,872	206,513,192

NOTE 9 SEGMENT INFORMATION

La Banque Postale Group is structured around the following divisions:

► **Retail Banking**, which includes the activities of La Banque Postale, the CRSF Métropole, CRSF Dom and Tertiaire Saint Romain Limited Property Investment Partnerships that own the business premises of La Banque Postale, La Banque Postale Financement, Easybourse, La Banque Postale Crédit Entreprises, La Banque Postale Collectivités Locales, La Banque Postale Home Loan SFH, BPE and SOFIAP, the SF2 holding company, FCT Elise 2012, as well as the Dutch debt securitisation funds LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V.

► the **Insurance Division** consists of the CNP Assurances group, La Banque Postale Prévoyance, La Banque Postale Assurance Santé, La Banque Postale Assurances IARD, La Banque Postale Conseil en Assurances and Sopassure.

► **Asset management** consists of La Banque Postale Asset Management Group, Tocqueville Finance Holding, Tocqueville Finance SA and AEW Europe.

Except for the foreign subsidiaries of CNP Assurances and AEW Europe and the Dutch debt securitisation funds LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V, the Group conducts its business activities in France.

Inter-segment and intra-segment transactions are performed under commercial market conditions.

9.1 Breakdown of results by business segment

Net banking income by business segment as at 31 December 2018

(in € thousands)	Retail Banking		Insurance		Asset management	
	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations
Interest and similar income	4,068,089	28	-	-	7	-
Interest and similar expenses	(1,840,295)	-	-	-	-	(28)
Commission income	2,389,494	279,354	-	-	299,757	1,160
Commission expenses	(184,398)	(4,546)	(1)	(173,293)	(40,979)	(106,656)
Net gains or losses on financial instruments at fair value through profit or loss	26,246	-	-	-	(827)	-
Net gains or losses on financial instruments at fair value through OCI	341,610	-	-	-	150	-
Net gains or losses resulting from the derecognition of financial assets at amortised cost	-	-	-	-	-	-
Net gains or losses resulting from the reclassification of financial assets from amortised cost to fair value through profit or loss	-	-	-	-	-	-
Gains or losses resulting from the reclassification of financial assets from fair value through OCI to fair value through profit or loss	-	-	-	-	-	-
Net income from insurance activities	-	-	415,299	3,981	-	-
Impacts of the overlay approach (gross impact)	-	-	15,023	-	-	-
Income from other activities	259,313	226	11	-	532	(11)
Expenses from other activities	(178,872)	(215)	(36)	-	(188)	-
Internal/external net banking income	4,881,187	274,847	430,297	(169,312)	258,452	(105,535)
Net banking income by segment		5,156,034		260,985		152,917
NET BANKING INCOME				5,569,936		

Net banking income by business segment as at 31 December 2017

(in € thousands)	Retail Banking		Insurance		Asset Management	
	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations
Interest and similar income	4,435,921	29	50,208	-	122	-
Interest and similar expense	(1,781,418)	-	(23)	-	-	(29)
Commission income	2,347,296	273,762	99,982	3,504	284,612	1,023
Commission expenses	(177,934)	(3,631)	(57,411)	(171,288)	(40,240)	(103,370)
Net gains and losses on financial instruments at fair value through profit or loss	(8,752)	-	553	-	-	-
Total net gains and losses on AFS assets	272,460	-	3,191	-	2,804	-
Total income and expense from other activities	(37,604)	(151)	293,005	159	411	(8)
Internal/external net banking income	5,049,969	270,009	389,504	(167,625)	247,709	(102,384)
Net banking income by segment		5,319,978		221,880		145,325
NET BANKING INCOME				5,687,183		

Net income by business segment as at 31 December 2018 (excluding the cost of equity for each segment)

(in € thousands)	Retail Banking	Insurance	Asset Management	Total
Net banking income	5,156,034	260,985	152,917	5,569,936
General operating expenses	(4,206,059)	(123,588)	(88,847)	(4,418,494)
Net depreciation and amortisation and impairment of tangible and intangible fixed assets	(188,471)	(4,379)	(3,666)	(196,516)
Gross operating income	761,504	133,018	60,404	954,926
Cost of risk	(132,637)	(546)	0	(133,183)
Cost relating to the ACPR sanction	(50,000)	0	0	(50,000)
Operating income	578,867	132,472	60,404	771,743
Share of profits of equity associates	0	262,859	5,368	268,227
Net gains and losses on other assets	(637)	0	0	(637)
Changes in the value of goodwill	0	0	0	0
Pre-tax income	578,230	395,331	65,772	1,039,333
Income tax	(210,636)	(41,821)	(21,233)	(273,690)
Net income	367,594	353,510	44,539	765,643
Non-controlling interests	27,758	576	11,401	39,735
NET INCOME, GROUP SHARE	339,836	352,934	33,138	725,908

Net income by business segment as at 31 December 2017 (excluding the cost of equity for each segment)

(in € thousands)	Retail Banking	Insurance	Asset management	Total
Net banking income	5,319,978	221,880	145,325	5,687,183
General operating expenses	(4,250,711)	(104,160)	(83,817)	(4,438,688)
Net depreciation and amortisation and impairment of tangible and intangible fixed assets	(173,354)	(4,626)	(2,653)	(180,633)
Gross operating income	895,913	113,094	58,855	1,067,862
Cost of risk	(191,887)	0	0	(191,887)
Operating income	704,026	113,094	58,855	875,975
Share of profits of equity associates	0	256,824	6,575	263,399
Gains and losses on other assets	(1,174)	0	(101)	(1,275)
Changes in the value of goodwill	0	0	0	0
Pre-tax income	702,852	369,918	65,329	1,138,099
Income tax	(288,192)	(34,065)	(17,888)	(340,145)
Consolidated net income	414,660	335,853	47,441	797,954
Non-controlling interests	24,109	(1,233)	11,380	34,255
NET INCOME, GROUP SHARE	390,551	337,086	36,061	763,699

9.2 Balance sheet items by business segment

Balance sheet items by business segment as at 31 December 2018

(in € thousands)	Retail Banking	Insurance	Asset management	Inter-segment eliminations	Total
SEGMENT ASSETS					
Cash, central banks	2,006,794	-	-	-	2,006,794
Financial assets at fair value through profit or loss	10,140,864	-	97,303	-	10,238,167
Hedging derivatives	1,159,300	-	-	-	1,159,300
Financial assets at fair value through OCI	15,608,937	0	16,372	(1,760,860)	13,864,449
Securities at amortised cost	23,581,891	-	-	-	23,581,891
Loans and receivables due from credit institutions and similar at amortised cost	87,350,422	51,271	20,637	(70,407)	87,351,923
Loans and receivables due from customers at amortised cost	95,745,174	-	-	(9,189)	95,735,985
Investments of the insurance activities and reinsurers' share of technical provisions	-	2,810,350	-	-	2,810,350
Equity associates	-	3,213,842	52,978	-	3,266,820
SEGMENT LIABILITIES					
Financial liabilities at fair value through profit or loss	809,214	-	-	-	809,214
Hedging derivatives	347,654	-	-	-	347,654
Liabilities due to credit institutions and similar	18,861,317	9,488	-	6,443	18,877,248
Liabilities due to customers	185,884,855	-	12,136	(86,039)	185,810,952
Debt securities	16,933,918	-	-	-	16,933,918

Balance sheet items by business segment as at 31 December 2017

(in € thousands)	Retail Banking	Insurance	Asset management	Inter-segment eliminations	Total
SEGMENT ASSETS					
Cash, central banks	3,324,831	-	-	-	3,324,831
Financial assets at fair value through profit or loss	7,535,142	60,993	-	-	7,596,135
Hedging derivatives	1,145,753	-	-	-	1,145,753
Available-for-sale financial assets	17,187,818	2,369,733	73,482	(1,780,946)	17,850,087
Loans and receivables	172,298,008	118,190	17,340	(210,807)	172,222,731
Equity associates	-	3,329,257	54,101	-	3,383,358
SEGMENT LIABILITIES					
Liabilities at fair value through profit or loss	532,352	-	-	-	532,352
Hedging derivatives	238,202	-	-	-	238,202
Inter-bank transactions and similar: Liabilities due to credit institutions	14,132,067	83,271	(127)	(60,922)	14,154,289
Customer transactions	182,701,523	-	12,136	(149,885)	182,563,774
Debt securities	11,373,237	-	-	-	11,373,237

NOTE 10 RELATED PARTY DISCLOSURES

The parties related to the La Banque Postale Group include the main managers and the companies consolidated by the La Poste Group, wholly or jointly controlled subsidiaries and companies on which the Group has a significant influence. La Banque Postale is an entity controlled by La Poste.

10.1 Relationships between consolidated entities

As transactions between La Banque Postale Group's fully consolidated entities are eliminated on consolidation, the data provided below refer only to reciprocal transactions with companies

over which the Group exercises joint control in respect of the portion of those activities not eliminated on consolidation and to those companies over which it exercises a material influence.

(in € thousands)	31.12.2018			31.12.2017		
	With La Banque Postale Group entities			With La Banque Postale Group entities		
	With La Poste Group entities*	Proportional consolidation	Equity method	With La Poste Group entities*	Proportional consolidation	Equity method
Interest	(212)	-	-	(921)	-	-
Commissions	11,889	-	627,784	16,068	-	569,679
Net gains and losses on financial instruments at fair value through profit or loss	(22,236)	-	-	-	-	-
Net income from insurance activities	(1,728)	-	(21,895)	-	-	-
Income from other activities	36,000	-	-	82,913	-	-
Expenses from other activities	(22,727)	-	-	-	-	-
NBI items with related parties	986	-	605,889	98,060	-	569,679
General operating expense items with related parties	(2,992,835)	12	1,248	(3,121,592)	19	
Financial assets at fair value through profit or loss	70,774	-	-	67,829	-	-
Other assets	468,196	7	126,547	286,717	7	109,346
Assets with related parties	538,970	7	126,547	354,546	7	109,346
Payables	809,138	14,195	-	807,829	18,705	-
Other financial liabilities	123,270	-	-	162,746	-	-
Other liabilities	40,162	(0)	287,818	36,488	-	255,723
Liabilities with related parties	972,570	14,195	287,818	1,007,063	18,705	255,723
Commitments given	988,585	-	115,892	662,664	-	115,019
Commitments received	1,000,000	-	1,041,877	2,994	-	976,530

* These are almost exclusively transactions with La Poste.

10.2 Executive compensation

The Group treats the members of the Executive Board and the General Management Committee as related parties according to the meaning of IAS 24.

Executive Board members have no contract of employment with La Banque Postale. They therefore receive no compensation other than that paid in respect of their appointment as company officers. Likewise, they receive no remuneration in respect of their mandates carried out in the subsidiaries of La Banque Postale Group.

Rémy Weber received compensation from La Poste due to the fact that he has an employment contract made necessary by the postal model of La Banque Postale that appointed him head of the La Poste Financial Services Department (Financial Centres).

Remuneration of the members of the Executive Board consists of a fixed annual remuneration, plus a yearly capped variable component, except for the Chairman of the Executive Board, whose total compensation is fixed.

The total gross compensation paid to members of the Executive Board was €1,840,000 as at 31 December 2018 and €1,415,000 as at 31 December 2017.

The remuneration of the members of the General Management Committee, with the exception of the members of the Executive Board and the members paid by La Poste, is detailed below:

(in € thousands)	31.12.2018	31.12.2017
Remuneration and benefits in kind	7,305	6,051
Post-employment benefits	1,003	940
TOTAL	8,309	6,991

These items may be supplemented by severance compensation in the event that their appointments at La Banque Postale are terminated.

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NOTE 11 STATUTORY AUDITORS' FEES FOR THE 2018 FINANCIAL YEAR

(in € thousands)	Statutory auditors of La Banque Postal			
	PriceWaterhouseCoopers Audit		KPMG	
	Amount	%	Amount	%
Statutory audit, review of the Company and consolidated financial statements	1,250	97%	1,462	84%
Parent company	673	52%	862	49%
Subsidiaries	577	45%	600	34%
Services other than certification of the financial statements	39	3%	281	16%
Parent company	12	1%	163	9%
Subsidiaries	27	2%	118	7%
TOTAL	1,289	100%	1,743	100%

NOTE 12 SCOPE OF CONSOLIDATION

Companies	Registered office: City/Country	Method ⁽¹⁾	Movements	% Control	% Interest	Method	% Control	% Interest
		31.12.2018	31.12.2018	31.12.2018	31.12.2018	01.01.2018	01.01.2018	01.01.2018
RETAIL BANKING								
La Banque Postale	Paris – France	PARENT	-	100.00	100.00	PARENT	100.00	100.00
SCI CRSF DOM ⁽²⁾	Paris – France	FULL	-	99.94	99.94	FULL	99.94	99.94
SCI CRSF Métropole ⁽²⁾	Paris – France	FULL	-	100.00	100.00	FULL	99.99	99.99
SCI Tertiaire Saint Romain ⁽²⁾	Paris – France	FULL	-	100.00	100.00	FULL	100.00	100.00
SF 2	Paris – France	FULL	-	100.00	100.00	FULL	100.00	100.00
La Banque Postale Financement	Saint-Denis – France	FULL	-	65.00	65.00	FULL	65.00	65.00
La Banque Postale Crédit Entreprises	Paris – France	FULL	-	100.00	100.00	FULL	100.00	100.00
Easy Bourse	Paris – France	FULL	-	100.00	100.00	FULL	100.00	100.00
FCT Elise 2012	Paris – France	FULL	-	95.00	95.00	FULL	95.00	95.00
BPE	Paris – France	FULL	-	99.99	99.99	FULL	99.99	99.99
La Banque Postale Collectivités Locales	Paris – France	FULL	-	65.00	65.00	FULL	65.00	65.00
La Banque Postale Home Loan SFH	Paris – France	FULL	-	100.00	100.00	FULL	100.00	100.00
SOFIAP	Paris – France	FULL	-	66.00	66.00	FULL	66.00	66.00
LBP Dutch Mortgage Portfolio 1 B.V	Amsterdam – Netherlands	FULL	-	100.00	100.00	FULL	100.00	100.00
LBP Dutch Mortgage Portfolio 2 B.V	Amsterdam – Netherlands	FULL	-	100.00	100.00	FULL	100.00	100.00
Ma French Bank	Paris – France	FULL	Entered	100.00	100.00	NC	-	-
INSURANCE								
CNP Assurances group	Paris – France	EQUITY	-	36.25	20.15	EQUITY	36.25	20.15
La Banque Postale Prévoyance	Paris – France	FULL	-	100.00	100.00	FULL	100.00	100.00
LBP Conseil en Assurances	Paris – France	FULL	-	100.00	100.00	FULL	100.00	100.00
Sopassure	Paris – France	JOINT	-	50.02	50.02	JOINT	50.02	50.02
La Banque Postale Assurances IARD	Paris – France	FULL	-	65.00	65.00	FULL	65.00	65.00
La Banque Postale Assurance Santé	Paris – France	FULL	-	51.00	51.00	FULL	51.00	51.00
ASSET MANAGEMENT								
AEW Europe	Paris – France	EQUITY	-	40.00	40.00	EQUITY	40.00	40.00
La Banque Postale Asset Management	Paris – France	FULL	-	70.00	70.00	FULL	70.00	70.00
Tocqueville Finance Holding	Paris – France	FULL	-	97.70	69.82	FULL	92.67	92.67
Tocqueville Finance SA	Paris – France	FULL	-	99.89	69.75	FULL	99.86	92.54

(1) Consolidation method.

FULL: Fully consolidated.

EQUITY: Accounted for using the equity method.

JOINT: Joint control recorded for the share of assets, liabilities and income received.

NC: Not consolidated.

(2) Property investment company holding the bank's operating buildings.

Companies excluded from the consolidation scope

The entities listed below are excluded from the consolidation scope as they are considered not significant with respect to three non-cumulative criteria, corresponding to a percentage expressed

on the balance sheet, of net banking income or of net income, as well as in view of their multi-year financial histories.

Companies	Registered office: City/Country	Share of capital (percentage)
Auxiliaire de Transaction Immo	Paris – France	100.0%
Domiserve	Montrouge – France	100.0%
Ezyness	Paris – France	100.0%
KissKissBankBank	Paris – France	100.0%
LBP AM European Debt Funds	Luxembourg – Luxembourg	100.0%
LBP Immobilier Conseil	Paris – France	100.0%
LBP International	Paris – France	100.0%
LBP Protection	Paris – France	100.0%
Suffren Ré	Paris – France	100.0%
Tocqueville Finance Conseil Assurance	Paris – France	92.5%
Transactis	Courbevoie – France	50.0%

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NOTE 13 IFRS 12: DISCLOSURE OF INTERESTS IN OTHER ENTITIES

La Banque Postale Group consists of 26 consolidated entities including one partnership, Sopassure, two significant associated companies, the CNP Assurances group and AEW Europe,

consolidated by the equity method, and three structured entities. 14 subsidiaries are controlled by the Group through stakes of close to 100% with no significant non-controlling interests.

13.1 Consolidated subsidiaries

At 31 December 2018, only La Banque Postale Financement had significant non-controlling interests.

La Banque Postale Financement

The company is 65% owned by La Banque Postale and 35% owned by Franfinance. The contributory balance sheet excluding elimination of intragroup transactions as at 31 December 2018 was as follows:

(in € thousands)	31.12.2018
ASSETS	
Securities at amortised cost	394,838
Loans and receivables due from credit institutions and similar at amortised cost	688,160
Loans and receivables due from customers at amortised cost	4,914,342
Tax assets	29,943
Accruals	24,861
Other assets	2,849
Property, plant and equipment	1,734
Intangible fixed assets	6,853
TOTAL ASSETS	6,063,580

(in € thousands)

31.12.2018

LIABILITIES	
Liabilities due to credit institutions and similar	5,325,966
Liabilities due to customers	2,013
Tax liabilities	7,588
Accruals	1,520
Other liabilities	35,974
Provisions	3,426
Minority interests in equity	-
Equity, Group share	687,093
TOTAL LIABILITIES	6,063,580

Net income as at 31 December 2018 is €78,154,000, of which €27,534,000 in non-controlling interests. No dividend was paid.

Statutory, contractual or regulatory restrictions may limit the Group's ability to access or transfer certain assets freely to or from other Group entities or to use them or to settle the Group's liabilities.

La Banque Postale Group also identified the following points:

- ▶ the Group has delivered or has committed to delivering securities as part of securities financing transactions and pledges securities in favour of the central bank and Crédit Logement (see Note 4.20 and Note 6);
- ▶ the Group pledges home loans in order to hedge bond issues made by the Group's housing financing company (La Banque Postale Home Loan SFH) in favour of holders (see Note 6);
- ▶ the Group has granted capital and performance guarantees to holders of UCITS units issued by the Group (see Note 4.20 and Note 6);
- ▶ the financial assets of the insurance subsidiaries locked for the benefit of policy-holders (listed under shadow accounting in liabilities on the balance sheet) and in connection with the acceptance of risk reinsurance (see Notes 4.8 and 4.24);
- ▶ guarantee deposits;
- ▶ pledges of securities relating to reinsurance contracts.

Consolidated structured entities

Pursuant to IFRS 10 and 11, and with regard to consolidation thresholds, La Banque Postale Group includes three consolidated structured entities, FCT Elise 2012, LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V.

The "FCT Elise 2012" entity entered the scope of consolidation in October 2012. It is a French fund and its debt is 95% owned by La Banque Postale and 5% by Crédit Foncier de France.

The fund's assets include zero-interest loans granted to individual customers of La Banque Postale prior to 2010 (the launch date of the commercialisation of zero-interest loans in the Bank's balance sheet). As at 31 December 2018, it represented a total of €353 million. This fund is fully consolidated.

Two Dutch securitisation funds, **LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V.**, entered the consolidation scope in October and November 2017, respectively. La Banque Postale holds 100% of the debt of these funds. The assets of these funds are comprised of the home loans granted to individuals by Aegon Hypotheken B.V and Rabobank.

The loans in the portfolios represent total net outstandings of €1,414 million and €1,311 million, respectively. These funds are fully consolidated.

Partnerships

Sopassure is a French entity that is 50% owned by La Banque Postale Group. Meeting the definition of a "joint enterprise", it is presented in the Group's consolidated financial statements on the basis of the proportionate share of assets, liabilities and income held.

The shareholders' agreement established between La Banque Postale and its partner sets out the conditions for the partnership, and, through the operating method of the holding company's governance bodies, outlines the direct rights of each partner with respect to the stake in CNP Assurances, Sopassure's main asset.

Sopassure has legal reserves that bind the Group to the payment of dividends.

Investments in equity associates

The French State, the Caisse des dépôts, BPCE, La Poste Group and Sopassure have a shareholders' agreement on CNP Assurances.

La Banque Postale Group has significant influence on the CNP Assurances group with a stake of 20.15% (including an option to purchase a further 2.01%) as at 31 December 2018.

Detailed information about CNP Assurances is published in its Registration Document, available at: <http://www.cnp.fr/Le-Groupe/Nos-publications/Les-documents-de-reference>.

All income statement and balance sheet information for CNP can be found in Note 4.17. Regarding comprehensive income, information is available in the relevant note at the beginning of this document.

Reconciliation of financial information with the value obtained using the equity method:

(in € millions)	31.12.2018	31.12.2017
Equity, Group share	17,781	18,258
Restatement	(1,886)	(1,790)
Equity based on the percent stake	3,202	3,317
Net goodwill	12	12
Value of associates accounted for using the equity method on the balance sheet	3,214	3,329
Market value	12,716	13,221

Information on financial investments (100% of the assets of the entity) in application of IFRS 9:

Breakdown of assets at the reporting date

(in € millions)		Fair value
Assets with contractual flows consisting solely of the payment of principal and interest	Fixed-rate bonds	173.5
	Variable-rate bonds	19.3
	Negotiable debt securities	2.8
	Other	20.8
	Sub-total	216.5
Total assets meeting the SPPI criteria	Total (1)	216.5
Other financial assets	Equities	19.9
	Units of property investment partnerships (SCIs)	10.7
	Investment funds	87.1
	Fixed-rate bonds	10.2
	Variable-rate bonds	24.9
	Negotiable debt securities	0.4
	Other	1.7
	Derivative assets	1.3
	Derivative liabilities	-1.2
	Sub-total	155.0
Total other assets	Total (2)	155.0
Loans and advances	At amortised cost	4.9
Real estate investments	At amortised cost	1.9
	At fair value	1.5
Total assets governed by standards other than IFRS 9/IAS 39	Total (3)	8.3
TOTAL FINANCIAL INVESTMENTS	TOTAL (1+2+3)	379.8

Breakdown of SPPI assets, considered to be “low credit risk”,

(in € millions)	Asset rating	Gross carrying amount	Fair value	Fair value as a % of total financial investments
	AAA	15.5	17.0	7.84%
	AA	103.3	114.5	52.89%
	A	34.4	35.7	16.47%
Bonds with contractual flows consisting solely of the payment of principal and interest	BBB	41.9	43.5	20.10%
TOTAL FINANCIAL INVESTMENTS		195.1	210.7	

Breakdown of SPPI assets that would not be considered “low credit risk”,

(in € millions)	Asset rating	Gross carrying amount	Fair value
	< BBB	4.7	4.8
Bonds with contractual flows consisting solely of the payment of principal and interest	NR	1.0	1.0
TOTAL FINANCIAL INVESTMENTS		5.7	5.8

13.2 Unconsolidated structured entities

At 31 December 2018, La Banque Postale Group identified two families, securitisation and asset management.

Structured entities with financial interests

At 31 December 2018, the only significant transactions with structured entities with financial interests within the Group are represented by financial liabilities at fair value through profit or loss in the amount of €86 million on Asset management and €68 million in units held in a securitisation fund. Income drawn by the Group on these entities stands at €80 million and consists mainly of management fees. No material loss was recorded at 31 December 2018.

The maximum exposure to risk of loss is, in most cases, limited to units held in funds, with the exception of funds in which La Banque Postale guarantees capital and performance.

Regarding the funds managed by La Banque Postale Asset Management, and given the derivatives structuring, the guarantee may only be exercised in the event of default of the providers of total return swaps. The counterparties are market counterparties and the risk of default may be considered low.

Information on structured entities with no financial link

Funds defined as sponsors are those structured by a management company controlled by the Group, principally La Banque Postale Asset Management.

Income drawn by the Group on these entities stands at €63 million and consists mainly of management fees.

NOTE 14

IDENTIFICATION DETAILS OF NON-CONSOLIDATED EQUITY INVESTMENTS

(in € thousands)	Registered office	Share of capital in %	Currency	Amount of equity in the previous year	Amount of income in the previous year	Date of the last certified financial statements
Mandarine Gestion	Paris – France	11.95%	€K	42,222	10,464	31.12.2017
Crédit Logement	Paris – France	6.00%	€K	1,871,256	120,607	31.12.2017
STET	Courbevoie – France	5.01%	€K	99,068	8,829	31.12.2017
BPIfrance Financement	Maison-Alfort – France	0.15%	€K	3,598,100	182,300	31.12.2017

5.3 STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

Financial year ended on 31 December 2018)

To the General Meeting of Shareholders

LA BANQUE POSTALE

115, rue de Sèvres

CP S202

75275 PARIS Cedex 06

Opinion

In execution of the mission entrusted to us by your general meeting, we have audited the consolidated financial statements of the company La Banque Postale for the year ended 31 December 2018, as attached to this report.

We hereby certify that, with respect to the IFRS standards as adopted by the European Union, the consolidated financial statements for the financial year are true and fair and provide a faithful picture of the assets and liabilities, financial position and results of the whole consisting of the persons and entities included in the consolidation at the end of the year.

The opinion formulated above is consistent with the content of our report to the Accounts Committee.

Basis of Opinion

References of the Audit

We have conducted our audit in accordance with the generally accepted auditing standards in France. We consider that the evidence gathered is pertinent and sufficient to serve as a basis for our opinion.

Our responsibilities under these standards are set out in the "Responsibilities of the Statutory Auditors for the Auditing of the Consolidated Financial Statements" section of this report.

Independence

We carried out our audit mission in accordance with the independence rules applicable to us, as of 1 January 2018 to the date of our report, and in particular we did not provide services prohibited by Article 5 (1) of EU Regulation No 537/2014 or the Code of Ethics for Statutory Auditors.

Observation

Without calling into question the conclusion expressed above, we draw your attention to Note 1 of the notes to the consolidated financial statements "Effect of application of IFRS 9 as of 1 January 2018", which explains the impact on the financial statements of the entry into force of IFRS 9.

Justification of the assessments - Key points of the audit

Pursuant to the provisions of Articles L.823-9 and R.823-7 of the French Commercial Code relating to the justification of our assessments, we bring to your attention the key points of the audit relating to the risks of material misstatements which, in our professional judgement, were the most significant for the audit of the consolidated financial statements for the year, as well as the responses we provided to these risks.

The assessments were made over the course of our audit of the consolidated financial statements, taken as a whole, and therefore contributed to the forming of the opinion expressed in the first part of this report. We do not express an opinion on items in these consolidated financial statements on an isolated basis.

Impact of the first-time application of IFRS 9 and provisioning of the credit risk

Risk identified

The La Banque Postale group makes provisions for the risks of losses resulting from the inability of its customers to meet their financial commitments.

Since 1 January 2018, the La Banque Postale group applies IFRS 9 "Financial instruments", which notably defines a new methodology for estimating the impairment of performing assets, ("bucket 1"), assets with deteriorated credit quality ("bucket 2") or in default ("bucket 3") based on expected losses, and no longer just proven credit risk.

Impairment for expected losses (on outstandings in buckets 1 and 2) is mainly determined on the basis of models developed by the group that integrate different parameters (probability of default, loss given default, forward looking data, etc.).

Credit outstandings in default (bucket 3) are impaired on a statistical or individual basis. These impairments are assessed by management according to the estimated recoverable flows taking into account the available collateral.

We consider the first-time application of this standard at 1 January 2018 and its application at 31 December 2018 as a key point of the audit due to:

- ▶ the significant amount of credit to customers on the bank's balance sheet;
- ▶ the use of numerous parameters and assumptions in the calculation models for probability of default and loss given default;
- ▶ the importance of judgement in the choice of the models applicable to each customer segment, in that of the forward-looking macro and microeconomic parameters used as well as in determining the criteria for transfers from one category to another.
- ▶ the significance of the operational changes resulting from the implementation of the new standard (new control framework, adaptation of the system, new IT systems, etc.).

At 31 December 2018, outstanding loans to individuals and legal entities amounted to €96.4 billion, and the associated impairment totalled €725 million as indicated in Note 4.7 of the notes to the consolidated financial statements. Provisions booked for financing commitments totalled €46.4 million as indicated in Note 4.25 "Provisions". The principles followed in the provisioning of the credit risk are described in Notes 2.5 "Presentation and valuation rules" in the notes to the consolidated financial statements (in section 2.5.1.2.5 "Impairment of financial assets") and 3.1 "Credit risks".

The effects of the first-time application of IFRS 9 on 1 January 2018 are described in detail in Note 1 of the notes to the consolidated financial statements. They represent -€140 million of the group's equity, with €-148 million in provisioning for the credit risk (net impact after deferred taxes).

Procedures implemented in response to this risk

We have assessed, via the documentation provided, the involvement of the different stakeholders in the IFRS 9 project (Executive Board, Group Risk Department, Department of Standards, Accounting Department, IT Department, etc.).

We carried out a critical review of the methodology choices made by the Bank, its compliance with IFRS 9, and notably the classification of loans by bucket 1, 2 and 3 and the assessment of expected losses.

Regarding impairment and provisions for credit outstandings and commitments classified in buckets 1 and 2:

- ▶ We tested the key controls carried out by management to identify deteriorated outstandings;
- ▶ We controlled, with the help of credit risk experts, the compliance of the probability of default (PD) and loss given default (LGD) models built by the Models Department with the notes on methodology. This control consisted of the following main steps:
 - verification that the models were reviewed by a unit of the Risk Department that is independent from the unit in charge of building them;
 - review of the modalities for determining significant deterioration in the credit risk;
 - based on a sample survey, verification of the calibration (calculation of the PD and LGD) and setting the parameters of the models;
 - the calculation, on a sample basis, of expected credit losses and the comparison of the result obtained with that of the calculation tool for provisions.
- ▶ We have, with our experts, identified the changes made to the provisioning process, including in terms of IT, and tested the controls set up to guarantee the quality of the data and recycling of processing anomalies;
- ▶ We assessed the processes for determining the macro and microeconomic assumptions used and the governance on product parameters;
- ▶ We reviewed the analyses produced by the Accounting Department of the changes in each "bucket" and the corresponding provisions between the date of the transition, at 30 June 2018 and at 31 December 2018.

For the impairment and provisions associated with credit in default (bucket 3), we took note of the main conclusions of the specialised committees in charge of monitoring these loans and verified, using a sample of files, that they were correctly accounted for in estimating the impairments.

Lastly, we assessed:

- ▶ the consistency and completeness of the information provided in the notes to the consolidated financial statements with respect to IFRS requirements,
- ▶ the relevance of the information provided on the first-time application of the standard at the opening of the 2018 financial year,
- ▶ the relevance of the information provided on the credit outstandings and commitments and the associated provisions at the close of the 2018 financial year.

Technical provisions of insurance companies

Risk identified

The entities controlled by La Banque Postale that carry out an insurance activity record technical provisions under balance sheet liabilities that represent their commitments to the insured.

The estimate of technical provisions is based on models that take into account rate (market, yield, discount), expense and cost assumptions, which give rise to statistical and actuarial calculations.

We consider the estimate of these technical provisions to be a key point of the audit due to:

- ▶ their significant nature
- ▶ the substantial use of estimates in their calculation.

The procedures for determining the technical and mathematical provisions are detailed in Note 2 "Main rules for the valuation and presentation of the consolidated financial statements" in Section 2.4.3 "Consolidation rules" of the notes to the consolidated financial statements. The amounts recognised are detailed in Note 4.24 "Technical provisions of insurance companies".

The technical provisions of insurance companies totalled €2,397 million at 31 December 2018 (€2,257 million at 31 December 2017).

Procedures implemented

To assess the estimated technical provisions of the insurance business, the following procedures have been implemented with the help of our actuarial specialists:

- ▶ Assessment of the relevance of models and their evolution;
- ▶ Assessment of the appropriateness of the assumptions made regarding interest, yield, discounting, claims and future costs rates;
- ▶ Corroboration of the bases of calculation used with the management data;
- ▶ Independent recalculation of provisions;
- ▶ Verification of the correct transcription of the results of the calculations in the accounts.

Specific verifications

In accordance with the professional standards applicable in France, we also carried out the specific verifications required by the legal and regulatory texts of the information relating to the group given in the management report of the Executive Board.

We have no comments to make on the fair presentation of the information or on its consistency with the consolidated financial statements.

Information resulting from other legal or regulatory requirements

Appointment of statutory auditors

We were appointed statutory auditors of the company La Banque Postale by your Shareholders' Meetings of 28 April 2004 for PricewaterhouseCoopers Audit and 27 May 2010 for KPMG S.A.

At 31 December 2018, PricewaterhouseCoopers Audit was in the 15th year of its assignment without interruption and KPMG S.A. in its 9th year.

Responsibilities of management and corporate governance officers in the consolidated financial statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the IFRS standard as adopted in the European Union and for implementing such internal control as it determines to be necessary to enable the preparation of consolidated financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for evaluating the ability of the company to continue as a going concern, to present in these accounts, as appropriate, the necessary information relating to the continuity of operations and apply the going concern accounting policy unless it is intended to liquidate the company or cease trading.

The Accounts Committee is responsible for following the process of preparing financial information and for monitoring the effectiveness of the internal control and risk management systems and, where applicable, internal audit, as regards procedures relating to the preparation and processing of accounting and financial information.

The consolidated financial statements were approved by the Executive Board.

Responsibilities of the statutory auditors in relation to the consolidated financial statements

Audit objective and approach

It is our responsibility to prepare a report on the consolidated financial statements. Our objective is to obtain reasonable assurance that the consolidated financial statements taken as a whole do not contain any material misstatements. Reasonable assurance corresponds to a high level of assurance, but does not guarantee that an audit performed in accordance with the standards of professional practice can systematically detect any significant anomaly. Anomalies may arise from fraud or error and are considered significant where it can reasonably be expected that they, taken individually or cumulatively, may influence the economic decisions that account users make in their business based on such anomalies.

As specified by Article L.823-10-1 of the French Commercial Code, our mission of certification of accounts is not to guarantee the viability or the quality of the management of your company.

As part of an audit conducted in accordance with the professional standards applicable in France, the statutory auditor exercises professional judgement throughout this audit.

In addition:

- ▶ They identify and assess the risks that the consolidated financial statements contain material misstatements, whether due to fraud or error, define and implement audit procedures to address these risks, and collect items considered sufficient and appropriate to base an opinion. The risk of not detecting a significant anomaly from fraud is higher than that of a significant anomaly resulting from an error, as the fraud may involve collusion, falsification, voluntary omissions, misrepresentation or circumventing internal control;

- ▶ the statutory auditor becomes aware of the internal control relevant to the audit in order to define appropriate audit procedures in the circumstances, and not to express an opinion on the effectiveness of the internal control;
- ▶ they assess the appropriateness of the accounting methods used and the reasonableness of accounting estimates made by management, as well as the information concerning them provided in the consolidated financial statements;
- ▶ they assess the appropriateness of management's application of the going concern accounting policy and, depending on the evidence gathered, the existence or otherwise of significant uncertainty related to events or circumstances likely to jeopardise the company's ability to continue as a going concern. This assessment is based on the information gathered up to the date of the report, but it is recalled that subsequent circumstances or events could jeopardise the continuity of operations. If the statutory auditor concludes that there is significant uncertainty, they draw the attention of the readers of the report to the information provided in the consolidated financial statements about this uncertainty or, if this information is not provided or is not relevant, they formulate a qualified certification or a refusal to certify;
- ▶ they assess the overall presentation of the consolidated financial statements and assess whether the consolidated financial statements reflect the underlying transactions and events in such a way as to give a true and fair view of them;
- ▶ concerning the financial information of the persons or entities included in the scope of consolidation, they collect information that they deem sufficient and appropriate to express an opinion on the consolidated financial statements. The statutory auditor is responsible for the management, supervision and execution of the audit of the consolidated financial statements as well as the opinion expressed on these financial statements.

Report to the Accounts Committee

We submit a report to the Accounts Committee, which notably outlines the scope of the audit work and the work programme implemented, as well as the conclusions arising from our work. We also disclose, where appropriate, the significant weaknesses of internal control that we have identified with respect to the procedures relating to the preparation and processing of accounting and financial information.

Among the items disclosed in the report to the Accounts Committee are the risks of material misstatement that we consider to have been the most significant for the audit of the consolidated financial statements for the year and which therefore constitute the key points of the audit, which is our responsibility to describe in this report.

We also provide the Accounts Committee with the declaration provided for in Article 6 of EU Regulation No 537-2014 confirming our independence within the meaning of the rules applicable in France as laid down in particular by Articles L.822-10 to L.822-14 of the French Commercial Code and in the Code of Ethics for Statutory Auditors. If necessary, we will discuss with the Accounts Committee risks related to our independence and the safeguards applied.

Neuilly-sur-Seine and Paris-La Défense, 8 March 2019

The statutory auditors

PricewaterhouseCoopers Audit

KPMG S.A.

Jacques Lévi
Partner

Marie-Christine Jolys
Partner

5.4 SEPARATE ACCOUNTS

5.4.1 Parent company balance sheet

(in € thousands)	Notes	31.12.2018	31.12.2017
ASSETS			
Cash, central banks	2.1	2,006,548	3,324,644
Government paper and similar securities	2.6	25,797,097	25,407,559
Loans and receivables due from credit institutions and similar	2.2	106,657,390	100,473,376
Customer transactions	2.4	73,548,837	66,531,727
Bonds and other fixed-income securities	2.6	21,716,190	19,852,508
Equities and other variable-income securities	2.6	675,053	713,371
Equity interests and other long-term securities	2.10	194,810	184,103
Holdings in related companies	2.9	2,289,577	2,061,577
Intangible fixed assets	2.11	583,745	448,315
Property, plant and equipment	2.11	532,483	534,306
Other assets	2.12	1,517,962	1,497,181
Accruals	2.12	1,344,310	1,500,283
TOTAL		236,864,002	222,528,948
LIABILITIES			
Liabilities due to credit institutions and similar	2.3	27,764,226	20,095,433
Customer transactions	2.5	184,389,998	181,494,637
Debt securities	2.8	10,374,774	6,383,426
Other liabilities	2.13	1,756,899	2,097,239
Accruals	2.13	2,303,868	1,950,573
Provisions	2.14	570,072	586,410
Subordinated debt	2.16	3,824,422	3,822,611
Fund for general banking risks (FGBR)		22,000	22,000
Parent company shareholders' equity (excluding FGBR)	2.18	5,857,743	6,076,618
▶ Subscribed capital		4,046,408	4,046,408
▶ Issue and contribution premiums		16,719	16,719
▶ Reserves		537,684	510,025
▶ Revaluation differences			
▶ Regulated provisions and investment grants			
▶ Retained earnings		1,132,038	950,283
Profit (loss) for the period		124,893	553,183
TOTAL		236,864,002	222,528,948

5.4.2 Parent company net income

(in € thousands)

	Notes	31.12.2018	31.12.2017
Interest and similar income:			
▶ cash and interbank transactions	3.1	1,271,655	1,481,160
▶ customer transactions	3.2	1,375,490	1,482,133
▶ bonds and other fixed-income securities	3.3	910,909	982,126
▶ other interest and similar income	3.4	266,929	213,886
Interest and similar expenses:			
▶ cash and interbank transactions	3.1	(192,470)	(150,875)
▶ customer transactions	3.2	(1,370,471)	(1,400,034)
▶ bonds and other fixed-income securities	3.3	(341,851)	(304,462)
▶ other interest and similar expense	3.4	(79,753)	(36,127)
Income from variable-income securities	3.5	244,946	241,937
Commissions (income)	3.6	2,571,563	2,545,057
Commissions (expenses)	3.6	(259,917)	(253,826)
Gains or losses on trading portfolio transactions	3.7	77,588	(69,326)
Gains or losses on held-for-sales portfolios and similar	3.8	28,049	365,981
Other bank operating income	3.9	85,114	110,526
Other bank operating expenses	3.9	(63,484)	(127,732)
Net banking income		4,524,298	5,080,424
General operating expenses:			
▶ Personnel costs	3.10	(377,530)	(349,567)
▶ Other general operating expenses	3.12	(3,750,981)	(3,823,436)
▶ Re-invoicing	3.13	110,256	88,262
Depreciation, amortisation and impairment of fixed assets	3.14	(157,062)	(144,298)
Tangible and intangible fixed assets			
Gross operating income		348,982	851,385
Cost of risk	3.15	(151,065)	(121,762)
Cost relating to the ACPR sanction	*	(50,000)	-
Operating income		147,917	729,623
Gains or losses on non-current assets	3.16	(17,916)	11,306
Pre-tax income excluding exceptionals		130,001	740,929
Exceptional income		-	-
Income tax	3.17	(5,108)	(187,746)
Net allocations to the FGBR and regulated provisions		-	-
Net income		124,893	553,183
Parent company net income per share (in euros)		3.55	15.72
Parent company net earnings per share (in euros)		3.96	13.97

* The ACPR Sanctions Committee issued a reprimand against La Banque Postale along with a fine of €50 million following the report on the anti-money laundering and combating the financing of terrorism (AML-CFT) system. Considering this sanction particularly severe in view of the materiality of the evidence, La Banque Postale decided to lodge an appeal with the Council of State.

5.4.3 Parent company off-balance sheet items

(in € thousands)	31.12.2018	31.12.2017
Financing commitments, financial guarantee contracts and commitments on securities given		
► Financing commitments		
To credit institutions	1,314,814	1,003,382
To customers	22,292,175	18,670,415
► Financial guarantee contracts		
To credit institutions ⁽¹⁾	379,346	402,095
To customers	6,245,869	6,340,149
► Securities commitments		
Securities to be delivered ⁽²⁾	3,197,474	1,362,628
Financing commitments, financial guarantee contracts and commitments on securities received		
► Financing commitments		
From credit institutions	1,966,537	870,326
From customers ⁽²⁾	1,620,000	1,136,005
► Financial guarantee contracts		
From credit institutions ⁽³⁾	30,906,532	29,431,322
From customers ⁽⁴⁾	3,320,778	7,872,308
► Securities commitments		
Securities to be received	445,477	226,624
Other commitments given and received		
► Other commitments given ⁽⁵⁾	11,545,213	9,457,167
► Other commitments received		
► Other commitments received	1,000,792	80

Off-balance sheet commitments relating to cash and forward foreign exchange transactions and to loans and/or borrowings are described in Note 2.19.

Off-balance sheet commitments relating to derivative transactions are described in Note 2.20.

1) Crédit Logement commitment: La Banque Postale has committed to maintaining Crédit Logement's core capital at a level equivalent to its holding in the company, *i.e.* 6%, so that the latter can meet its solvency ratio requirements.

Moreover, La Banque Postale has agreed to replenish, if necessary, Crédit Logement's mutual guarantee fund, which underwrites borrower defaults on loans secured by the company. This commitment, which is equivalent to the portion of assets distributed the La Poste network, was €236,049,000 at 31 December 2018.

2) The financing commitments received from customers and deliverable securities largely correspond to securities delivered as part of financing transactions after the balance sheet date.

3) Guarantee commitments received from credit institutions consist of, for €30,816 million, guarantees received from Crédit Logement.

4) Guarantee commitments received from customers correspond, for €470 million, to the identification of the collateral received on home loans granted and delivered by the Bank by guarantee companies other than Crédit Logement, vs €5,721 million in 2017. This sharp decrease is explained by the alignment with eligibility criteria related to risk.

5) Other commitments given: La Banque Postale pledges part of its financial assets as part of the 3G refinancing line with Banque de France (€652,700,000), with Crédit Logement (€23,935,000), and part of its outstanding home loans with its home loans company, LBP Home Loan SFH for €10,868,578,000.

NOTE 1

ACCOUNTING PRINCIPLES AND METHODS

Principal valuation and presentation rules for the separate financial statements

The individual financial statements have been drawn up in accordance with the general accounting principles applicable to credit institutions in France.

La Banque Postale, which is wholly owned by La Poste, is consolidated in its financial statements and is part of its tax group.

Furthermore, La Banque Postale, as a parent company, draws up the consolidated financial statements.

Changes in method and comparability

1 Changes in method

There were no changes in accounting methods in the year just ended. The regulations of the French national accounting authority (ANC) that came into effect in 2018 had no impact on the financial statements.

2 Comparability of financial years

For the balance sheet, income statement and off-balance sheet statement, the data shown for the 2018 financial year is directly comparable to that for the previous financial year.

Presentation and valuation rules

The Bank adheres to the rules and principles of ANC regulation No. 2014-07 of 26 November 2014, which incorporates in a single text all the accounting regulations applicable to banking establishments.

1 Foreign currency transactions

In accordance with ANC Regulation 2014-07, the assets, liabilities and off-balance sheet commitments denominated in foreign currencies are converted at the spot exchange rate on the last day of the period.

Foreign exchange gains and losses resulting from day-to-day transactions in foreign currencies are recognised through profit or loss.

Forward currency hedging transactions are recognised in the off-balance sheet statement. The position is originally recorded on the basis of the cash exchange rate, then the swap points (the difference between the forward rate and the cash rate) are recognised in profit and loss on a *pro rata* basis.

2 Receivables due from credit institutions and customers – Signed commitments

Receivables due from credit institutions and customers are broken down according to their initial maturity, or the nature of the receivable: sight receivables (ordinary accounts and overnight transactions) and term receivables (loans, securities lending transactions) for credit institutions; trade receivables, current accounts, short-term credit facilities, equipment or home loans and other customer loans. These receivables include loans granted and current accounts in debit, as well as securities received *via* repurchase agreements or borrowed securities.

Collateral received is recorded off-balance sheet and regularly remeasured and capped at the carrying amount of the loan.

The credit risk (credit institution and customer receivables, fixed-income securities, signed commitments and financial instruments) is processed in accordance with the provisions of ANC Regulation 2014-07.

The credit risk for a given counterparty is characterised by the existence of a potential loss relating to the possibility of that counterparty defaulting on the commitments that it has entered into.

The monitoring of receivables is based on an expert system, which uses external or internal ratings or a mix of the two, depending on the category of the customer (individuals, corporate customers, etc.).

Loans

Loans are recorded under assets at their repayment value, with a premium/discount recognised in the event of origination/acquisitions for a different amount. The corresponding interest is calculated according to the EIR mechanism.

Doubtful receivables

The process of downgrading receivables to 'doubtful' applies to unauthorised overdrafts, home loans and consumer credit, lease finance and loans to corporate customers. Receivables where the recovery outlook has deteriorated significantly are specifically identified as non-performing.

The downgrading of unauthorised overdrafts applies to active and closed accounts. The downgrading of unauthorised overdrafts on active accounts means that performing outstandings are downgraded to doubtful. Downgrades are made on a monthly basis, and factor in the amount and duration of the overdraft for each account. When an account is closed, the receivable is downgraded to non-performing. Very small amounts are immediately recorded as losses.

Receivables for which the institution sees a probable risk of not receiving all or part of the amounts payable in respect of the commitments entered into by the counterparty are classified as doubtful.

Loans are downgraded to doubtful status when there is an objective indication of an event following the set-up of a loan – or a group of loans – that could generate a loss of value. This could be when there have been missed payments, legal proceedings have been launched, or when the financial situation of the counterparty has deteriorated and there is a risk of non-recovery.

Outstandings are downgraded to doubtful at the latest three months following one or more past due payments, or when the borrower has submitted a request for an over-indebtedness plan from the Banque de France even when there have been no missed payments.

Designation as a non-performing asset mandatorily comes on acceleration of the loan, or when the relationship with the counterparty is terminated (in the case of undated receivables). In addition, loans are automatically downgraded to non-performing one year after being classified as doubtful.

By applying the contagion principle, all outstanding loans to a same beneficiary are downgraded to doubtful as soon as one loan to that beneficiary is downgraded within the Group.

Doubtful home loans can be reclassified as performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made for a period of at least two months.

Loans that are deemed definitively unrecoverable are recorded under losses, while the corresponding impairment charges are reversed.

Restructured loans

Restructured loans are loans for which the entity has modified the original financial conditions due to the borrower's financial difficulties.

Restructuring operations are defined according to two main criteria:

- concessions by the bank;
- the borrower's financial difficulties.

The discount arising from a restructured loan is recorded under cost of risk and on the balance sheet as a deduction from the corresponding amount outstanding. It corresponds to the difference between the nominal value of the debt before the restructuring and the discounted value at the original effective rate of the new expected future flows. The discount is recognised through profit or loss in the interest margin, according to an actuarial method over the term of the loan.

► Retail customers

The restructured counterparty is no longer classified as doubtful after a probationary period of 12 months, following which it is classified as sensitive for a minimum period of 24 months. After being reclassified as performing debt, if the borrower does not meet the fixed instalments, the restructured loans are immediately downgraded to doubtful as from the first missed payment.

► Non-retail customers

In the case of non-retail customers, a 12-month probationary period is applied on a case-by-case basis, based on expert opinion and a bank analysis. Reclassification to "performing under watch" is done by the Customer Monitoring Department and validated by the Risk Department.

Note that restructured loans reclassified to performing exposures are subject to a two-year probation period and will be switched back to doubtful if any payments are missed during this period.

Specific loan impairment

► Scope of home loans

Specific provisioning for home loans in default can be statistic (based on historical data by equivalent category), or individual by counterparty.

Amounts outstanding in default are weighted by a factor of "best estimate of expected loss on exposure at default", adjusted to recognise certain elements (such as the effect of a slowdown in the economy). This factor is determined according to the length of default and the type of guarantee.

The amount of the impairment is recognised in "Cost of risk" on the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

In the event of reassessment of impaired home loans, provisions may be reversed fully or in part and loans reclassified as performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made for a period of at least two months.

► Scope of lease finance and loans to corporate customers

Within this scope, specific provisioning of amounts outstanding is tracked monthly and adjusted as necessary based on an expert opinion. An impairment is then recorded on the difference between the carrying value and the net present value of the expected cash flows, discounted at the original effective interest rate, and determined taking account of the financial position of the borrower and the present value of guarantees received. The amount of the impairment is recognised in "Cost of risk" on the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

► Impairment of loans designated as sensitive

La Banque Postale has adopted a prudent approach to assessing credit risk whenever a potential loss exists linked to the possibility of default of a counterparty. Thus, impairments for sensitive outstandings are recorded in order to cover the risks linked to lending transactions that current or past events have made probable, even if they are not considered on an individual basis.

As such, loans for which a significant deterioration in credit quality has been identified since their date of initial recognition are downgraded to sensitive and impaired up to the amount of expected credit losses over the residual life of the financial asset. Lifetime expected losses correspond to the total losses incurred in the event of default, taking into account the different guarantees, weighted by the probability of default over the expected lifetime of the instrument.

La Banque Postale uses a certain number of indicators in order to detect any deterioration in credit quality of a counterparty, based as a general rule on internal or external ratings, or on events that generate a risk (for example a drop in sales, increase in the use of credit facilities, etc.).

Moreover, La Banque Postale uses a rebuttable presumption that credit risk has increased significantly when contractual payments are more than 30 days past due. As such, the Group could retain payment 30 days past due indicating a financial difficulty (*i.e.* not including payments overdue for technical reasons) as the “backstop” in measuring the significant increase in the credit risk and degrading to sensitive.

Likewise, designation to a “watch list” could be an indicator (that can be rebutted by the Watch List Committee) of a significant deterioration in credit quality.

An asset having undergone a significant increase in credit risk can be taken out of the sensitive category when:

- ▶ the asset no longer presents indications of a significant deterioration since the reporting date. In this case, the asset is no longer provisioned;
- ▶ outstanding payments are settled. In this case, the asset is no longer considered sensitive (depending on the case, there may be a monitoring period to avoid recurrence);
- ▶ the asset is downgraded to non-performing.

The amount of this impairments is recorded under “Cost of risk” on the income statement and the value of the financial assets is impacted by the impairment.

Impairment of overdrafts

The provisioning of unauthorised overdrafts applies to active and closed accounts. It is done monthly and factors in the duration of the overdraft for each account. Very small amounts are immediately recorded as losses.

Provisioning for accounts that are still open is carried out using the same method applied to home loans.

The Bank examines the outstanding debt position, even when it falls within the authorised overdraft limits, as soon as it involves a counterparty considered to be risky and exceeds 30 consecutive days, or else when there has been a missed payment. Impairments on these accounts are then recorded and change with the account balance. The contagion principle applies to other loans of the same category. Beyond a certain period, the account is closed.

Financing commitments

Financing commitments that are not viewed as derivative instruments are not shown on the balance sheet. These financing commitments (which are not considered to be derivatives) are subject to a provision booked under balance sheet liabilities, in the event that a significant increase in credit quality is identified, or default of the counterparty.

Financial guarantee contracts

Guarantee commitments are valued according to the likelihood of these guarantees being exercised. Provisions are booked under liabilities.

Securities received as part of reverse repurchase agreements and borrowed securities

These securities are recorded as assets in an account representing the receivable generated. The corresponding income is accrued *pro rata temporis* in the income statement.

Securities received as part of a reverse repurchase agreement and then sold are recorded under liabilities. They are valued at market value.

3 Securities

Securities are recorded on the balance sheet according to their type:

- ▶ government paper (Treasury bills and similar securities);
- ▶ bonds and other fixed-income securities (negotiable debt securities, and interbank market securities);
- ▶ equities and other variable-income securities.

Applying the provisions of ANC Regulation No. 2014-07, these securities are recognised based on their destination portfolio that corresponds to the economic purpose of their holding: trading, held-for-sale, investment, portfolio securities and long-term equity stakes, other long-term securities and holdings in related companies.

They are subject to specific valuation rules for each portfolio category, as described below.

In the event of proven credit risk, fixed-income securities recorded in the held-for-sale or investment portfolio are designated as doubtful, according to the same criteria as those applicable to doubtful receivables and commitments.

Trading securities

Trading securities include Treasury bills and negotiable debt securities, in addition to marketable securities. They are purchased or sold with the intention of reselling them or buying them back in the short term. They are traded on active markets.

Trading securities are recognised at their acquisition price on the date of acquisition, excluding charges and including accrued interest, where applicable. They are valued at their latest market price at the end of each accounting period. Any revaluation differences arising from this valuation are recorded in profit and loss.

Unrealised or realised gains or losses are recorded on the income statement under the heading “Gains or losses on trading portfolio transactions”.

The coupons received are recognised under interest income.

Trading securities which are no longer held with the intention of selling them in the short term can be transferred to the “held-for-sale” or “investment” categories, if:

- ▶ an exceptional market situation requires a change in the holding strategy;
- ▶ if fixed-income securities can no longer be traded on an active market after their acquisition, and if the Bank has the capacity to hold them for a foreseeable future term or until maturity.

The securities thus transferred are recorded under their new category at the market value on the date of transfer.

If the characteristics of the market on which the trading securities were purchased change, such that this market can no longer be considered active, the institution revalues the securities in question by using valuation techniques that take the new characteristics of the market into consideration.

Held-for-sale securities

Held-for-sale securities include securities that do not meet the conditions for classification in the trading or investment portfolios.

Held-for-sale securities are recorded at their acquisition price, excluding charges, at the date they are acquired. They are managed on a “first-in, first-out” basis and valued as follows, according to homogeneous groups of securities and without offsetting the gains recorded on other categories of securities:

- ▶ bonds: unrealised losses compared with market value, calculated on the basis of the closing price, are recorded as an impairment;
- ▶ treasury bills, negotiable debt securities and interbank market securities: impairment charges are recorded depending on the issuers’ solvency and according to market indicators.

Gains on micro-hedging transactions are taken into account when calculating the impairment charges.

Potential premiums or discounts are spread over the residual life of the security on an actuarial basis.

Income from held-for-sale securities are recognised in the income statement under interest income from fixed-income securities and income from variable-income securities, otherwise realised gains or losses as well as impairment provisions and reversals are recorded in the income statement under the heading “Gains or losses on investment portfolio transactions and similar”.

Held-for-sale securities can be transferred to the investment securities category if:

- ▶ an exceptional market situation requires a change in the holding strategy;
- ▶ if fixed-income securities can no longer be traded on an active market after their acquisition, and if the Bank has the capacity to hold them for a foreseeable future term or until maturity.

The securities thus transferred are recorded under their new category at the market value on the date of transfer.

In the absence of an active market, accounting valuation must be determined using valuation techniques. These techniques include the use of recent transactions carried out under normal competitive conditions. They are based on market data, the fair value of substantially identical instruments, or on data generated from cash flow discounting or option valuation models, using recognised valuation methods. The aim of a valuation process is to establish what the price of an instrument would be under normal market conditions. For example, the fair value of bonds or variable-income securities and futures is determined using quoted prices. The use of valuation techniques that are based on market data usually concerns over-the-counter derivatives, securities where income is taxed at the source (treasury bills, certificates of deposit, etc.) and repo deposits.

Investment securities

Investment securities consist of fixed-income securities purchased or reclassified from the “Held-for-sale securities” or “Trading securities” category, with the clear intention of holding them until maturity. They are recorded at their acquisition price at the date they are acquired, excluding charges.

Any unrealised losses that may exist between the carrying amount of the securities and their market price are not impaired. Conversely, when there is a likelihood that the bank will not receive all or part of the repayment value when the securities mature, an impairment charge is recorded. The difference between the acquisition and repayment price of the securities (premium or discount) is amortised on an actuarial basis.

The interest from these securities is recognised in the income statement under interest income on fixed-income securities.

Impairment provisions or reversals are recognised in the income statement under the heading “Cost of risk”.

In the event of a disposal or transfer to another category involving a significant amount with respect to the total amount of the other investment securities held, they can no longer be classified under this category for the current accounting period or in the following two financial years.

All the securities held and classified under “Investment securities” are then reclassified under the “Held-for-sale securities” category. When trading and held-for-sale securities are transferred to this category due to exceptional market situations requiring a change of strategy, disposals made before the maturity of these investment securities, if linked to the fact that they can once more be traded on an active market, do not lead to the application of the above-mentioned rule of reclassification of other securities held.

Portfolio holdings

Portfolio holdings correspond to investments that are made on a regular basis, with a view to generating a medium-term capital gain, without any intention of investing in the expansion of the business assets on a long-term basis, or playing an active role in the operating management of the company issuing the securities. They are recognised at their acquisition price.

An impairment charge is recorded to cover a permanent loss of value of the securities due to the intrinsic deterioration of the Company’s situation.

Income from portfolio holding securities is recognised in the income statement under “Income from variable-income securities”.

Realised gains or losses as well as impairment provisions and reversals are recorded in the income statement under the heading “Gains or losses on portfolio investments and similar”.

Equity stakes, other long-term securities and holdings in related companies

Equity stakes comprise interests in companies for which La Banque Postale SA has significant influence on the governing bodies of the issuing companies, and investments that are strategic for the development of the activities of La Banque Postale SA. Such influence is presumed when La Banque Postale SA’s holding is 10% or more.

Other long-term securities held are shares and similar that La Banque Postale SA intends to hold over the long term to generate sufficient returns over a more or less long term, without participating in the management of the issuing company, but with the intention of promoting long-term business relationships by forming a special link with the issuing company.

Holdings in related companies consist of equities and other variable-income securities in associates over which La Banque Postale SA has exclusive control, *i.e.* those that could be fully consolidated in the Group’s financial statements.

The securities owned are valued at their value in use, which is estimated based on various criteria, such as net assets, prospective returns, and discounted future cash flows. An impairment charge is recorded in the event of permanent impairment of the Company's value in use. Charges net of write-backs, and gains or losses on the disposal of these securities are recorded under "Gains and losses on non-current assets".

Dividends are recorded at the date they were decided on by the General Meeting of Shareholders, or at the date of payment when the date of the decision is not known. They are recorded under "Income from variable-income securities".

4 Tangible and intangible fixed assets

Fixed assets are valued at their acquisition cost, to which initial fixtures and fittings costs may be added in the case of buildings.

In application of the provisions of ANC regulation No. 2014-03, six components were selected for the Bank's operating properties: structural work, roofing, joinery and external works, major equipment items, small equipment items and fixtures and fittings, and land.

Depreciation is calculated on a straight-line basis over the likely useful life. Depending on their components, buildings are therefore depreciated over periods ranging between 10 and 80 years:

- ▶ structural work: 80 years;
- ▶ roofing: 60 years;
- ▶ joinery and external works: 40 years;
- ▶ major equipment items: 20 years;
- ▶ small equipment items, fixtures and fittings: 10 years.

Installations and fixtures and fittings are usually depreciated over ten years.

When they meet the criteria for fixed assets, proprietary software packages are recognised at their development cost, including third-party expenses and personnel costs for employees directly assigned to the project. They are usually amortised over three to five years.

5 Liabilities due to credit institutions, and customer accounts in credit

This debt includes deposits, borrowings, securities given under repurchase agreements and loaned securities.

Borrowings

Borrowings are recorded under liabilities at their repayment value. The corresponding interest is recorded in the income statement on a *pro rata* basis.

Securities given under repurchase agreements

The arising liability is recorded under liabilities. The securities are kept in their original portfolio and continue to be valued according to the rules applicable to that portfolio. The corresponding interest is recorded in the income statement on a *pro rata* basis.

6 Debt securities

Debt securities consist of negotiable debt securities issued by La Banque Postale.

Interest accrued and not yet due attached to these securities is recorded in a related payables account and charged against the income statement.

The issue costs are amortised on an actuarial basis over the term of the corresponding issues, as are the issue premiums and repayments.

7 Provisions

The following items are currently included under this heading:

- ▶ provisions relating to financing commitments and guarantee contracts;
- ▶ provisions booked to meet employee-related commitments, which mainly correspond to retirement compensation;
- ▶ other provisions recorded pursuant to the provisions of ANC regulation No. 2014-03, regarding the recognition of liabilities. These provisions are intended to cover liabilities and charges where the purpose is clearly specified, and where the amount or maturity cannot be accurately determined. The recording of such provisions is conditional on the existence of an obligation towards a third party at the year-end, and on the absence of an amount that is least equivalent expected as consideration from that third party;
- ▶ provisions to cover signed commitments, where the likelihood of a collateral call has become very high;
- ▶ provisions for liabilities related to regulated home loan savings. The home loan savings accounts (CEL) and home loan savings plans (PEL) offered to individual customers under the provisions of the law of 10 July 1965 include two stages: a stage where funds are gathered in the form of remunerated savings and a stage where they are used to grant home loans.

They generate two kinds of commitments for the distributing institution:

- ▶ an obligation to pay interest on future savings at a rate fixed at the opening of the account for an indefinite period for PEL accounts opened before 28 February 2011, and at a rate that is reviewed annually for new generation accounts;
- ▶ an obligation to grant customers who request it, a loan at a rate set on signature of the agreement.

These commitments have potentially unfavourable consequences (Notice No. 2006-02 issued by the French national accounting council (CNC)) for the Bank, and are the subject of provisions booked under balance sheet liabilities (under "Provisions"). Changes in these provisions are recorded under net banking income in the interest margin.

The provisions are estimated on the basis of customer behaviour statistics and market data for each generation of plans, in order to cover any future expenses arising from the potentially unfavourable interest rate conditions attached to these products relative to the rates offered to retail customers on similar products for which the remuneration is not regulated. The provisions only relate to the commitments for home loan savings accounts and plans that exist at the date the provision is calculated.

Provisions are calculated for each generation of home loan savings plans, with no offsetting of commitments among the different generations, and for all the home loan savings accounts representing one generation.

At the savings stage, the commitments to be provisioned are evaluated according to the difference between average forecast savings deposits and minimum forecast savings deposits, both of which are determined on a statistical basis by factoring in historical observations on actual customer behaviour.

At the lending stage, the commitments to be provisioned include loans that have already been granted but not yet released at the year-end date, as well as future loans that are viewed as statistically likely based on balance sheet deposits as at the calculation date, and on historical observations on actual customer behaviour.

A provision is recorded when the net present value of future income is negative for a given generation of loans.

These results are assessed relative to the rates offered to retail customers on equivalent savings and lending products and that are consistent with respect to the estimated lifespan of the deposits and date they were set up.

8 Subordinated debt

This item includes debt where repayment is only possible once other senior or secured creditors have been repaid in the event that the debtor's assets are liquidated.

Interest accrued and payable is recorded in a related payables account and charged against income.

9 Fund for general banking risks

The aim of this fund is to counter operational risk and the expenses inherent to the banking and financial asset management business that cannot be covered elsewhere.

10 Derivative transactions

Transactions involving interest rate, foreign exchange, or equity futures are recorded in accordance with the provisions of ANC regulation No. 2014-07. Commitments relating to these transactions are recorded as off-balance sheet items at the nominal value of the contract.

The recognition of income or losses on these instruments depends on the management intention.

Macro-hedging transactions

Income and expenses relating to macro-hedging transactions are recorded on the income statement on a *pro rata* basis. An amount offsetting this entry is recorded in accruals until the date when the funds are received or disbursed.

The balances recorded when interest rate hedging instruments are terminated are immediately recognised on the income statement.

Micro-hedging transactions

The income or expense from instruments that are assigned from the outset to hedge an item or a homogeneous group are symmetrically recorded on the income statement against the hedged item's income or expense.

The balances recorded when interest rate hedging instruments are terminated are immediately recognised on the income statement.

Other transactions

These transactions are valued based on their market value at the reporting date.

Where over-the-counter transactions corresponding to isolated open positions are concerned, the income or loss is recorded on a *pro rata* basis, or when the contract unwinds, depending on their type. Unrealised gains are not recognised. Potential unrealised losses, defined as the difference between estimated market value and the carrying value, are subject to a provision charge.

Unrealised or realised gains or losses on transactions carried out on an organised market are recorded directly under income for the financial year.

11 Off-balance sheet commitments

The off-balance sheet statement mainly shows the financing commitments given (cash facilities, overdrafts, irrevocable financing commitments) and the guarantee commitments received or given that have not led to fund movements.

Other commitments given correspond primarily to the fair value of securities pledged in favour of the European Central Bank as part of the financing commitment received from the latter or as part of collateral for loans in favour of the home loan company of LBP Group (La Banque Postale Home Loan SFH).

12 Employee-related commitments

Most of the employee-related commitments are covered by contributions that are expensed.

In the case of employees' rights to retirement compensation, which are not covered by insurance policies, pursuant to the preferential method specified in CNC Recommendation No. 03-R-01, these rights are provisioned according to an actuarial method that factors in the age and the seniority of the staff, life expectancies, and their likelihood of remaining at the Group until retirement age, as well as the estimated increase in remuneration.

The pension plan for contracted staff is characterised by payments to organisations that release the employer from any subsequent obligation, as the organisation is responsible for paying the amounts due to the employee. Therefore, once the contributions have been paid, no liability or commitment is shown in the Group's financial statements. Contributions paid to independent bodies are expensed in the period concerned.

The Amending Finance law of 2006 introduced a reform of the way in which the pensions for government employees attached to La Poste Group were financed, which was applied retroactively as from 1 January 2006.

Under the scheme introduced in 2006, the Group pays an employer contribution, which discharges it of its liabilities. As a result, no provision for the retirement of civil servants is recorded in the financial statements.

13 Commission income and expenses

La Banque Postale recognises commissions in profit and loss according to the services supplied and the way in which the financial instruments to which that service relates are recognised:

- commissions paid for ongoing services are recognised in profit and loss over the length of the service (commissions on means of payment);

- ▶ commissions paid for one-off services or for a major transaction are recognised in profit or loss in full when the service is provided or the transaction executed (account management commissions, commissions on payment incidents);
- ▶ variable commission income cannot be recorded in profit or loss unless it is sure;
- ▶ commissions treated as additional interest are an integral part of the effective interest rate. These commissions are therefore recognised under interest income and expenses and not under commissions.

14 Cost of risk

The cost of credit risk includes:

- ▶ impairment provisions and reversals on customer loans and receivables;
- ▶ impairment provisions and reversals relating to financial guarantee contracts and financing commitments;

- ▶ discounts on restructured loans, as well as the recovery of amortised receivables.

15 Corporate income tax

Only the tax payable is recorded in the separate parent company financial statements. The tax expense indicated in the income statement corresponds to the corporate income tax payable for 2018.

The standard tax rate is 33.33%, plus a 3.3% social security contribution on earnings, giving an effective tax rate of 34.43%. Note that a reduced rate of 28% applies to a fraction of €500,000 of taxable income, which can reduce the effective tax rate depending on the level of taxable income.

La Banque Postale is part of the La Poste Group's tax group. Given the terms of the agreement, the tax charge recorded in La Banque Postale's accounts is identical to what it would be if there was no tax consolidation.

NOTE 2 NOTES TO THE BALANCE SHEET

2.1 Breakdown of cash and central banks

(in € thousands)	31.12.2018	31.12.2017
Cash	944,127	900,906
Central banks	1,062,421	2,423,737
Receivables related to central banks		
CASH AND CENTRAL BANKS	2,006,548	3,324,644

2.2 Receivables due from credit institutions and similar

(in € thousands)	31.12.2018	31.12.2017
Current accounts in debit	52,286	40,141
Overnight accounts and loans	15,500,000	10,000,000
Securities borrowed overnight	-	-
Securities received under repurchase agreements	664,238	224,119
Other securities borrowed	-	-
Amounts not classified	1,254	14
Doubtful receivables	-	-
Related receivables	19	993
Gross total	16,217,797	10,265,268
Impairments	(0)	0
Sight receivables due from credit institutions	16,217,797	10,265,268
Term accounts and loans	90,323,438	90,011,536
Securities received under repurchase agreements	-	-
Other securities borrowed	-	-
Subordinated loans ²	93,018	171,670
Doubtful receivables	-	-
Related receivables	23,137	24,902
Gross total	90,439,593	90,208,108
Impairments	-	-
Term receivables due from credit institutions	90,439,593	90,208,108
RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND SIMILAR	106,657,390	100,473,376

- (1) Including accounts opened with the CDC: The amounts centralised at the CDC include Livret A, Sustainable Development and National Savings account balances. The amounts centralised at the Caisse des dépôts et consignations (CDC) amounted to a total of €69,347,759,000 in 2018 versus €70,982,623,000 in 2017. Of which loans to subsidiaries of the La Banque Postale Group: €17,284,682,000.
- (2) These are subordinated loans granted to Crédit Logement to enable the company to comply with its regulatory capital commitments.

2.3 Liabilities due to credit institutions and similar

(in € thousands)	31.12.2018	31.12.2017
Current accounts in credit ¹	2,660,209	1,549,945
Overnight accounts and borrowings		
Securities loaned overnight		
Securities given under repurchase agreements		
Other amounts owed	10,305	22,211
Related payables		
Sight liabilities due to credit institutions	2,670,514	1,572,156
Term accounts and loans ²	10,418,239	7,428,770
Securities loaned		
Securities given under repurchase agreements	14,635,241	11,065,861
Related payables	40,233	28,646
Term liabilities due to credit institutions	25,093,712	18,523,277
LIABILITIES DUE TO CREDIT INSTITUTIONS AND SIMILAR	27,764,226	20,095,433

- (1) Of which with subsidiaries of the La Banque Postale Group: €1,405,507,000 at 31 December 2018.
- (2) Of which with subsidiaries of the La Banque Postale Group: €7,502,232,000 at 31 December 2018.

2.4 Receivables – Customer transactions

(in € thousands)	31.12.2018	31.12.2017
Commercial receivables	-	-
Current accounts in debit ⁽¹⁾	771,382	824,111
Loans to financial customers	343,639	180,827
Short-term credit facilities ⁽³⁾	4,814	9,115
Home loans ⁽³⁾	55,344,779	53,535,226
Loans to legal entities ⁽³⁾	10,309,567	6,455,676
Loans to the local public sector ⁽³⁾	7,053,804	5,777,284
Export credits	-	-
Other loans ⁽³⁾	38,863	40,520
Non-allocated securities ⁽²⁾	16,378	16,040
Securities received under repurchase agreements	15,182	1,149
Subordinated loans	-	-
Finance lease transactions	-	-
Customer transactions before impairment charges	73,898,408	66,839,947
Impairments relating to customer receivables		
► On current accounts in debit	(67,876)	(88,092)
► On customer loans	(281,696)	(220,128)
CUSTOMER TRANSACTIONS	73,548,837	66,531,727
Of which related receivables	127,300	112,942
Of which gross doubtful receivables	334,129	376,605
Of which gross non-performing receivables	471,343	432,907
Of which performing restructured receivables	29,296	28,686

(1) Amount of receivables related to subsidiaries: €81,965,000 at 31 December 2018.

(2) This item primarily represents receivables relating to discretionary transactions.

(3) The breakdown of outstandings at 31 December 2017 was modified in order to show loans to legal entities and loans to the local public sector on two specific lines.

2.5 Liabilities – Customer transactions

(in € thousands)	31.12.2018	31.12.2017
Special sight savings accounts	85,964,174	85,189,105
Special term savings accounts	27,983,277	28,350,047
Related payables	1,810	1,149
Special savings accounts	113,949,261	113,540,302
Current accounts in credit ¹	65,141,710	62,364,023
Related payables	8,887	8,068
Customer current accounts in credit	65,150,597	62,372,091
Financial customer borrowings	821,834	1,741,858
Term deposit accounts in credit	49,270	162,439
Securities loaned		
Securities and other assets delivered under repurchase agreements	3,935,362	3,165,937
Other amounts payable to customers	484,341	511,848
Related payables	(668)	162
Other liabilities to customers	5,290,139	5,582,244
CUSTOMER TRANSACTIONS	184,389,998	181,494,637

(1) Of which €205,581,000 with subsidiaries vs. €238,048,000 in 2017.

2.6 Financial transactions – Breakdown by category

	31.12.2018				
	Securities				
(in € thousands)	Trading ¹	Held-for-sale	Investment	Portfolio	Total
GOVERNMENT PAPER AND SIMILAR SECURITIES					
Repayment value	1,842,477	4,126,962	18,941,477	-	24,910,916
Residual premiums/discounts	-	90,779	477,255	-	568,034
Related receivables	-	17,038	307,194	-	324,232
Impairments	-	(6,084)	-	-	(6,084)
Net carrying amount	1,842,477	4,228,694	19,725,927	-	25,797,097
Of which loaned securities	136,868		289,932	-	426,800
Of which listed securities	1,440,066	4,228,694	19,725,927	-	25,394,687
BONDS AND OTHER FIXED-INCOME SECURITIES					
Repayment value	5,483,977	14,177,956	2,043,950	-	21,705,883
Residual premiums/discounts	-	29,945	(10,777)	-	19,168
Related receivables	-	92,166	45,198	-	137,364
Impairments	-	(146,225)	-	-	(146,225)
Net carrying amount	5,483,977	14,153,842	2,078,371	-	21,716,190
Of which loaned securities				-	-
Of which listed securities	1,665,460	13,581,021	2,078,371	-	17,324,852
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES					
Gross carrying amount	-	653,048	-	48,731	701,779
Related receivables	-	-	-	-	-
Impairments	-	(23,029)	-	(3,697)	(26,726)
Net carrying amount	-	630,019	-	45,034	675,053
Of which loaned securities					-
Of which listed securities		289,075			289,076
NET TOTAL BY PORTFOLIO TYPE	7,326,454	19,012,554	21,804,298	45,034	48,188,340

(1) The balance sheet value of trading securities corresponds to their market value.

During financial year 2018, no held-for-sale securities were transferred to investment portfolios.

31.12.2017					
Securities					
(in € thousands)	Trading	Held-for-sale	Investment	Portfolio	Total
GOVERNMENT PAPER AND SIMILAR SECURITIES*					
Repayment value	950,201	6,239,095	17,259,920	-	24,449,216
Residual premiums/discounts	-	252,294	315,948	-	568,242
Related receivables	-	42,490	347,611	-	390,101
Impairments	-	-	-	-	-
Net carrying amount	950,201	6,533,878	17,923,479	-	25,407,559
<i>Of which loaned securities</i>	-	328,607	28,828	-	357,435
<i>Of which listed securities</i>	950,201	6,533,878	17,923,479	-	25,407,559
BONDS AND OTHER FIXED-INCOME SECURITIES*					
Repayment value	6,058,346	11,305,981	2,278,700	-	19,643,027
Residual premiums/discounts	-	68,834	(16,209)	-	52,625
Related receivables	-	93,609	67,004	-	160,614
Impairments	-	(3,758)	-	-	(3,758)
Net carrying amount	6,058,346	11,464,667	2,329,495	-	19,852,508
<i>Of which loaned securities</i>	-	-	-	-	-
<i>Of which listed securities</i>	1,512,604	10,765,721	2,317,861	-	14,596,187
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES					
Gross carrying amount	-	678,229	-	43,184	721,413
Related receivables	-	-	-	-	-
Impairments	-	(6,912)	-	(1,131)	(8,043)
Net carrying amount	-	671,317	-	42,053	713,371
<i>Of which loaned securities</i>	-	-	-	-	-
<i>Of which listed securities</i>	-	361,351	-	-	361,352
NET TOTAL BY PORTFOLIO TYPE	7,008,547	18,669,862	20,252,975	42,053	45,973,438

* The counterparty risk attached to fixed-income securities is described in detail in Note 2.23.1

During the 2017 financial year, no held-for-sale securities were transferred to investment portfolios.

During the 2017 financial year, an investment security was sold for an insignificant amount.

2.7 Market value of financial transactions

(in € thousands)	Held-for-sale securities		Investment securities		Portfolio securities	
	31.12.2018	31.12.2017	31.12.2018	31.12.2017	31.12.2018	31.12.2017
GOVERNMENT PAPER AND SIMILAR SECURITIES						
Net carrying amount ⁽¹⁾	4,228,694	6,533,878	19,725,927	17,923,479		
Market value	4,283,240	6,798,759	21,002,093	19,670,442		
BONDS AND OTHER FIXED-INCOME SECURITIES						
Net carrying amount ⁽¹⁾	14,153,842	11,464,667	2,078,371	2,329,495		
Market value	14,168,365	11,607,899	2,197,425	2,527,772		
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES						
Net carrying amount	630,019	671,317			45,034	42,053
Market value and/or value in use for portfolio holdings	648,086	692,527			68,250	64,935

(1) Impairment losses are calculated taking into account unrealised gains and losses relating to any financial instruments assigned as hedges for held-for-sale securities.

2.8 Debt securities

(in € thousands)	31.12.2018	31.12.2017
Short-term notes	-	-
Related payables	-	-
Short-term notes	-	-
Interbank market securities	-	-
Certificates of deposit	8,114,934	5,177,144
Negotiable medium-term bills and other negotiable debt securities issued	-	-
Related payables	(4,553)	(4,645)
Interbank market securities and negotiable debt securities	8,110,380	5,172,499
Bond issues and similar	1,964,847	1,206,094
Issue premiums	(8,521)	(1,856)
Related payables	11,445	2,189
Bonds issues and similar	1,967,771	1,206,426
Other debt securities	296,623	4,500
Related payables	-	1
Other debt securities	296,623	4,501
DEBT SECURITIES	10,374,774	6,383,426

2.9 Breakdown of the portfolio breakdown of holdings in related companies

	31.12.2018				31.12.2017					
(in € thousands)	Gross carrying amount of securities	Advances	Impairments	Net carrying amount of securities	Share of capital in %	Gross carrying amount of securities	Advances	Impairments	Net carrying amount of securities	Share of capital in %
SF2	1,143,909			1,143,909	100.00%	1,143,909			1,143,909	100.00%
La Banque Postale										
Crédit Entreprises	220,000			220,000	100.00%	220,000			220,000	100.00%
BPE	157,626			157,626	99.99%	157,626			157,626	99.99%
LBP Home Loan SFH	210,004			210,004	100.00%	210,004			210,004	100.00%
LBP Collectivités Locales	650			650	65.00%	650			650	65.00%
LBP Prévoyance	291,635			291,635	50.00%	291,635			291,635	50.00%
Ma French Bank ⁽¹⁾	228,000			228,000	100.00%					
SOFIAP	37,754			37,754	66.00%	37,754			37,754	66.00%
TOTAL EQUITY INVESTMENTS AND CONSOLIDATABLE ADVANCES	2,289,577			2,289,577		2,061,577			2,061,577	
Of which listed investments										

(1) The securities of Ma French Bank were reclassified from equity interests and other long-term securities.

2.10 Breakdown of the portfolio of equity holdings and other long-term securities

	31.12.2018					31.12.2017				
(in € thousands)	Gross carrying amount of securities	Advances	Impairments	Net carrying amount of securities	Share of capital in %	Gross carrying amount of securities	Advances	Impairments	Net carrying amount of securities	Share of capital in %
Certificates of association	122,325			122,325		91,155			91,155	
BPI France Financement	4,008			4,008	N/S	4,008			4,008	N/S
Transactis	2,474			2,474	50.00%	2,474			2,474	50.00%
STET	6,917			6,917	5.01%	6,917			6,917	5.01%
Visa Inc	13,204			13,204	N/S	12,606			12,606	N/S
Ezyness	5,200		(2,001)	3,199	100.00%	5,200			5,200	100.00%
Domiserve	15,000			15,000	100.00%	15,000			15,000	100.00%
Ma French Bank ⁽¹⁾						5,000			5,000	99.99%
KKBB	39,600		(15,600)	24,000	100.00%	39,600			39,600	100.00%
Other	3,683			3,683		2,142			2,142	
EQUITY HOLDINGS AND OTHER LONG-TERM SECURITIES	212,411		(17,601)	194,810		184,103			184,103	
of which listed securities										

(1) The securities of Ma French Bank were reclassified to holdings in related companies.

2.11 Breakdown of fixed assets

	01.01.2018	Change			31.12.2018			31.12.2017		
(in € thousands)	Gross amount	Purchases	Transfers	Disposals	Gross amount	Cumulative depreciation, amortisation and impairment	Net amount	Gross amount	Cumulative depreciation, amortisation and impairment	Net amount
Land	-	-			-	-	-	-	-	-
Buildings ⁽¹⁾	375,723	-			375,723	-	375,723	375,723	-	375,723
Other operating fixed assets	647,071	45,463	4,480	(27,702)	669,312	(512,552)	156,760	647,071	(488,489)	158,583
Property, plant and equipment	1,022,795	45,463	4,480	(27,702)	1,045,035	(512,552)	532,483	1,022,795	(488,489)	534,306
Set-up costs	-	-	-	-	-	-	-	-	-	-
Franchises, licenses, and patents	278,602	32,049	295	(4,196)	306,750	(250,087)	59,366	278,602	(235,284)	45,142
Other intangible assets	1,073,699	213,494	(4,775)		1,282,418	(755,336)	527,082	1,073,699	(668,703)	403,173
Intangible fixed assets	1,352,301	245,543	(4,480)	(4,196)	1,589,168	(1,005,423)	583,745	1,352,301	(903,986)	448,315
TANGIBLE AND INTANGIBLE FIXED ASSETS	2,375,096	291,006	-	(31,898)	2,634,203	(1,517,975)	1,116,229	2,375,096	(1,392,475)	982,621

(1) This item consists of the equity interests in SCI CRSF and SCI Tertiaire Saint Romain, in accordance with the 2007 recommendations of the French Prudential Supervision and Resolution Authority (ACPR).

2.12 Breakdown of accruals and other assets

(in € thousands)	31.12.2018	31.12.2017
Prepaid expenses	40,331	35,612
Receivable income from derivatives	295,814	247,137
Other receivable income	339,382	310,993
Revaluation of derivatives and foreign exchange instruments	21	12
Collection accounts	4,950	29,355
Other accruals	663,811	877,174
Accruals	1,344,310	1,500,283
Options purchased	21,286	16,618
Collective management of Sustainable Development accounts	-	-
Guarantee deposits paid ⁽¹⁾	647,001	656,435
Settlement accounts for securities transactions	8,094	8,831
Related receivables	386	430
Other assets ⁽²⁾	852,441	821,529
Impairments	(11,246)	(6,663)
Other assets	1,517,962	1,497,181
ACCRUALS AND OTHER ASSETS	2,862,271	2,997,463

(1) Including €25,000,000 with subsidiaries.

(2) Including €37,981,000 with subsidiaries.

2.13 Breakdown of accruals and other liabilities

(in € thousands)	31.12.2018	31.12.2017
Deferred income	482,776	445,694
Expenses payable on derivatives	294,697	194,839
Revaluation of derivatives and foreign exchange instruments	340	239
Other accruals ¹	1,526,056	1,309,801
Accruals	2,303,868	1,950,573
Options sold	21,639	16,812
Securities-related liabilities		
Sundry creditors ²	1,727,571	2,071,786
Settlement accounts for securities transactions	6,724	7,826
Related payables	965	814
Other liabilities	1,756,899	2,097,239
ACCRUALS AND OTHER LIABILITIES	4,060,767	4,047,812

(1) This item primarily represents accruals for means of payment transactions in the Financial Centres.

(2) Including €102,560,000 with subsidiary companies.

2.14 Breakdown of provisions for liabilities

(in € thousands)	31.12.2017	Allocations	Reversals of used provisions	Reversals of unused provisions	Other changes	31.12.2018
Provisions for retirement and other employee-related commitments ⁽¹⁾	29,811	12,048	(4,240)	-	-	37,620
Home savings provisions	293,500	-	(41,600)	-	-	251,900
Other provisions	263,099	117,380	(4,913)	(125,019)	-	250,546
Provisions (excluding counterparty risk)	586,410	129,428	(50,753)	(125,019)	-	540,066
Signed commitments	-	-	-	-	-	-
Provisions for guarantee contracts	-	12,933	-	(5,039)	-	7,893
Provisions for financing commitments	-	59,155	-	(37,042)	-	22,113
Provisions for counterparty risk recorded under liabilities	-	72,088	-	(42,081)	-	30,006
PROVISIONS	586,410	201,516	(50,753)	(167,100)	-	570,072

2.15 Breakdown of the home savings optionality

Generation (in € millions)	Deposits collected	Loans granted in respect of PEL and CEL accounts	2018 provision	2017 provision	Change
> 10 years	6,779		68	68	(0)
4-10 years	16,011		126	104	21
< 4 years	4,629		38	95	(56)
Total home savings plans (PEL)	27,419	24	232	267	(35)
Total home savings accounts (CEL)	4,344	165	20	27	(6)
OVERALL TOTAL	31,763	189	252	293	(41)

2.16 Subordinated debt

(in € thousands)	Date of issue	Maturity date	Rate	Original currency	31.12.2018	31.12.2017
Redeemable subordinated debt	30.11.2010	30.11.2020	4.375%	EUR	750,000	750,000
Redeemable subordinated debt	23.04.2014	23.04.2026	2.750%	EUR	750,000	750,000
Redeemable subordinated debt	19.11.2015	19.11.2027	2.750%	EUR	750,000	750,000
Redeemable subordinated debt	09.06.2016	09.06.2028	3.000%	EUR	500,000	500,000
Redeemable subordinated debt	05.10.2016	05.10.2028	2.250%	EUR	100,000	100,000
Redeemable subordinated debt	16.01.2017	09.06.2028	3.000%	EUR	150,000	150,000
Perpetual subordinated debt ⁽¹⁾	13.12.2013	N/A	8.000%	EUR	800,000	800,000
Interest and similar					24,422	22,611
TOTAL					3,824,422	3,822,611

(1) This debt can notably be repaid by the Bank in the event of changes in the accounting or tax legislation, changes in the regulations regarding the determination of the solvency ratio or a downgrading by rating agencies. These securities include a clause for automatic share conversion if the Tier 1 core equity capital ratio falls below 7%. Interest payment is discretionary.

2.17 Breakdown of transactions with credit institutions and customers by residual maturity

(in € thousands)	Accrued interest	<= 3 months	3 months to 1 year	1 to 5 years	>5 years	31.12.2018
ASSETS						
Loans and receivables due from credit institutions and similar	23,156	87,621,454	2,690,807	10,420,649	5,901,325	106,657,390
Receivables due from customers	127,299	2,366,232	5,519,881	21,163,907	44,371,518	73,548,837
Security portfolios (trading, held-for-sale, investment)						
<i>Government paper and similar securities</i>	<i>285,476</i>	<i>24,998</i>	<i>4,378,257</i>	<i>12,072,725</i>	<i>9,035,642</i>	<i>25,797,097</i>
<i>Bonds and other fixed-income securities</i>	<i>107,555</i>	<i>1,871,367</i>	<i>4,233,362</i>	<i>9,583,270</i>	<i>5,920,637</i>	<i>21,716,190</i>
LIABILITIES						
Liabilities due to credit institutions and similar	40,233	16,983,243	2,683,449	2,863,633	5,193,668	27,764,226
Liabilities due to customers	10,029	183,581,550	9,011	775,208	14,200	184,389,998
Debt securities						
<i>Bond issues</i>	<i>11,445</i>	<i>78,815</i>	<i>87,336</i>	<i>365,502</i>	<i>1,424,672</i>	<i>1,967,771</i>
<i>Interbank market securities and negotiable debt securities</i>	<i>(4,553)</i>	<i>6,131,450</i>	<i>1,983,484</i>	-	-	<i>8,110,380</i>
<i>Other debt securities</i>		-		-	<i>296,623</i>	<i>296,623</i>
Subordinated debt	24,422			750,000	3,050,000	3,824,422
Off-balance sheet						
Financing commitments given	-	14,944,648	3,675,850	4,398,267	588,223	23,606,989
Guarantee commitments given	-	1,101,542	502,124	3,104,330	1,917,220	6,625,215

2.18 Equity

(in € thousands)	Fund for general banking risks (FGBR)	Share capital	Issue and contribution premiums	Legal reserves	Other reserves and retained earnings	Parent company net income	Parent company equity (excluding FGBR)	Total parent company equity
Equity at 31 December 2015	22,000	4,046,408	16,719	159,974	888,193	478,261	5,589,555	5,611,556
Appropriation of net income Y-1				23,913	454,348	(478,261)		
Distribution Y of net income Y-1					(318,083)		(318,083)	(318,083)
Reversal of regulated provisions					(2)			
Net income Y						564,066	564,066	564,066
Equity at 31 December 2016	22,000	4,046,408	16,719	183,887	1,024,456	564,066	5,835,539	5,857,539
Appropriation of net income Y-1				28,203	535,863	(564,066)		
Distribution Y of net income Y-1					(312,101)		(312,101)	(312,101)
Reversal of regulated provisions								
Net income Y						553,183	553,183	553,183
Equity at 31 December 2017	22,000	4,046,408	16,719	212,091	1,248,218	553,183	6,076,618	6,098,618
Appropriation of net income Y-1				27,659	525,524	(553,183)		
Distribution Y of net income Y-1					(343,769)		(343,769)	(343,769)
Reversal of regulated provisions								
Net income Y						124,893	124,893	124,893
Equity at 31 December 2018	22,000	4,046,408	16,719	239,752	1,429,973	124,893	5,857,743	5,879,743

2.19 Breakdown of foreign exchange transactions

(in € thousands)	31.12.2018	31.12.2017
Cash foreign exchange transactions:		
euros purchased and not yet received	10,707	-
foreign currency purchased and not yet received	525,900	-
Lending and borrowing transactions:		
Forward foreign exchange transactions:		
euros receivable against currencies to be delivered	1,593,117	2,959,977
currencies receivable against euros to be delivered	5,192,012	8,017,699
Non-accrued swap points:		
to be received	23,067	9,788
to be paid	6,131	9,927

2.20 Breakdown of derivative instruments

(in € thousands)	31.12.2018					
	Position management transactions		Macro-hedging transactions		Micro-hedging transactions	
	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value
FUTURES AND FORWARDS	35,961,022	(16,717)	21,654,469	67,423	20,185,944	60,348
Organised markets	1,962,961	2,213				
Interest rate futures	1,962,961	2,213				
Other contracts						
OTC	33,998,061	(18,930)	21,654,469	67,423	20,185,944	60,348
Interest rate swaps	27,573,007	2,264	21,654,469	67,423	18,364,150	50,092
FRA						
Other contracts	6,425,054	(21,194)			1,821,794	10,256
OPTIONS	10,692,591	449,149				
Organised markets						
Interest rate options						
Other options						
OTC	10,692,591	449,149				
Caps, floors	8,313,198	(1,310)				
Swaptions	120,000	(76)				
Currency options						
Credit derivatives	1,798,197	(10,662)				
Other options	461,197	461,197				

There was no transfer of derivatives from one category to another.

(in € thousands)	31.12.2017					
	Position management transactions		Macro-hedging transactions		Micro-hedging transactions	
	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value
FUTURES AND FORWARDS	33,473,329	8,019				
Organised markets	4,079,549	(7,989)				
Interest rate futures	4,079,549	(7,989)				
Other contracts						
OTC	29,393,780	16,008				
Interest rate swaps	24,246,532	15,091	15,207,729	79,374	18,508,238	215,552
FRA						
Other contracts	5,147,248	917			5,094,759	4,741
OPTIONS	7,096,169	430,947				
Organised markets						
Interest rate options						
Other options						
OTC	7,096,169	430,947				
Caps, floors	5,962,136	(209)			9,000	16
Swaptions	105,000	(247)				
Currency options						
Credit derivatives	587,609	(10,020)				
Other options	441,424	441,424				

2.21 Counterparty risk relating to financial instruments

A financial asset and liability are offset and a net balance is shown on the balance sheet when La Banque Postale has a legally enforceable right to offset the amounts recognised, and when it intends either to settle the net amount or to realise the asset and settle the liability simultaneously. A financial asset and liability covered by a master netting agreement or similar agreement meeting the definition of an enforceable contract (legally enforceable right to offset securities with the same maturity against cash), which can be exercised under all conditions but does not

meet the offsetting criteria, are presented as net book value where they are realised with the same legal entity.

The tables below show the amounts of financial assets and liabilities that were offset in the Bank's balance sheet as well as the amounts that could be offset in accordance with the master netting agreements or similar agreements, but which are not eligible to be offset in the Bank's accounts. The net positions resulting from the various offsets are not intended to measure the Bank's exposure to counterparty risk on these financial instruments.

2018 Assets

	(a)	(b)	(c) = (a) - (b)	(d)	(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Net financial assets	Amounts not offset	Securities received and not recorded on the balance sheet	Net carrying amount
(in € thousands)				Financial instruments	Cash collateral received	
Derivatives (market value)	1,665,515	-	1,665,515	638,551	961,426	65,539
Borrowed and loaned securities (amortised cost)	5,906,969	5,226,311	680,658	264,406	-	24
Other financial assets	5,208	-	5,208	2,896	-	2,312
TOTAL	7,577,692	5,226,311	2,351,381	905,853	961,426	67,875

2018 Liabilities

	(a)	(b)	(c) = (a) - (b)	(d)	(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Net financial liabilities	Amounts not offset	Securities delivered and not recorded on the balance sheet	Net carrying amount
(in € thousands)				Financial instruments	Cash collateral paid	
Derivatives (market value)	878,483	-	878,483	638,551	216,269	23,663
Borrowed and loaned securities (amortised cost)	23,779,099	5,226,311	18,552,788	263,619	36,192	15,607
Other financial liabilities	-	-	-	-	-	-
TOTAL	24,657,582	5,226,311	19,431,271	902,170	252,461	39,270

2017 Assets

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Net financial assets	Amounts not offset		Securities received and not recorded on the balance sheet	Net book value
(in € thousands)				Financial instruments	Cash collateral received		
Derivatives (market value)	1,689,363		1,689,363	447,842	1,217,439		24,082
Borrowed and loaned securities (amortised cost)	5,164,246	4,939,639	224,607	199,637	1,053	23,894	23
Other financial assets	9,895		9,895	7,994			1,901
TOTAL	6,863,504	4,939,639	1,923,865	655,473	1,218,492	23,894	26,006

2017 Liabilities

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Net financial liabilities	Amounts not offset		Securities received and not recorded on the balance sheet	Net carrying amount
(in € thousands)				Financial instruments	Cash collateral received		
Derivatives (market value)	744,408		744,408	447,842	288,191		8,375
Borrowed and loaned securities (amortised cost)	19,171,437	4,939,639	14,231,798	199,637	42,485	13,891,872	97,805
Other financial liabilities							
TOTAL	19,915,845	4,939,639	14,976,206	647,479	330,676	13,891,872	106,180

2.22 Breakdown of financial instruments by maturity

(in € thousands)	31.12.2018				31.12.2017			
	<= 1 year	1 to 5 years	> 5 years	Total	<= 1 year	1 to 5 years	> 5 years	Total
FUTURES AND FORWARDS	19,184,578	27,896,584	30,720,271	77,801,433	22,942,218	17,354,845	31,986,992	72,284,054
Interest rate futures	1,788,288	174,672		1,962,961	4,079,549			4,079,549
Index futures								
Interest rate swaps	10,253,963	26,677,367	30,660,295	67,591,624	9,853,899	17,008,885	31,099,715	57,962,498
FRA								
Other contracts	7,142,327	1,044,545	59,976	8,246,848	9,008,770	345,960	887,277	10,242,007
OPTIONS	1,828,820	7,819,785	1,043,987	10,692,592	1,687,424	4,380,690	1,037,055	7,105,169
Caps, floors	1,422,700	5,931,588	958,910	8,313,198	1,611,256	3,402,878	957,001	5,971,136
Swaptions	30,000	90,000		120,000	75,000	30,000		105,000
Currency options								
Credit derivatives		1,798,197		1,798,197		587,609		587,609
Other options	376,120		85,077	461,197	1,168	360,202	80,054	441,424

2.22.1 Credit risk

(in € thousands)	Gross performing outstandings	Gross doubtful outstandings	Gross non-performing outstandings	Gross 31.12.2018	Gross 31.12.2017
Receivables due from credit institutions	106,657,390			106,657,390	100,473,376
Receivables due from customers ⁽²⁾	73,092,936	334,129	471,343	73,898,408	66,839,947
<i>Of which current accounts in debit</i>	693,337	6,547	71,499	771,382	824,111
<i>Of which loans to financial customers⁽²⁾</i>	343,639			343,639	180,827
<i>Of which short-term credit facilities⁽²⁾</i>	3,343	404	1,067	4,814	9,115
<i>Of which home loans⁽²⁾</i>	54,674,239	311,464	359,076	55,344,779	53,535,226
<i>Of which loans to legal entities⁽²⁾</i>	10,294,285	14,734	548	10,309,567	6,455,676
<i>Of which loans to the local public sector⁽²⁾</i>	7,052,534	973	298	7,053,804	5,777,284
<i>Of which export credits</i>					
<i>Of which other credit⁽²⁾</i>		8	38,855	38,863	40,520
Portfolio of fixed-income securities ⁽¹⁾	21,716,190			21,716,190	19,852,508
Government paper	25,797,097			25,797,097	25,407,559
Financing commitments and guarantee contracts	30,204,981	15,826	11,397	30,232,204	26,416,041
TOTAL	257,468,594	349,955	482,740	258,301,289	238,989,430

(1) Excluding government paper.

(2) The breakdown of outstandings at 31 December 2017 was modified in order to show loans to legal entities and loans to the local public sector on two specific lines.

2.22.2 Provisions for counterparty risks

(in € thousands)	31.12.2017	Provisions	Reversals	Other changes	31.12.2018
Loans and receivables due from credit institutions and similar					
Receivables due from customers ⁽²⁾	308,157	512,348	(470,934)	-	349,572
<i>Of which current accounts in debit</i>	88,092	69,864	(90,081)		67,876
<i>Of which loans to financial customers</i>		957	(38)		919
<i>Of which short-term credit facilities⁽²⁾</i>	2,330	3,466	(4,238)		1,558
<i>Of which home loans</i>	140,857	421,230	(331,687)		230,400
<i>Of which loans to legal entities⁽²⁾</i>	35,247	15,554	(40,923)		9,878
<i>Of which loans to the local public sector⁽²⁾</i>	3,396	657	(3,967)		86
<i>Of which export credits</i>					-
<i>Of which other credit⁽²⁾</i>	38,235	620			38,855
Miscellaneous assets ⁽²⁾	6,726	6,646	(2,126)		11,246
Held-for-sale portfolio (fixed-income securities)					
Investment portfolio					
<i>Total fixed-income securities</i>					
Total impairment charges deducted from assets⁽¹⁾	314,883	518,994	(473,060)	-	360,817
Execution risks on signed commitments					-
Other provisions for counterparty risk					-
Provisions for guarantee contracts	-	12,933	(5,039)		7,893
Provisions for financing commitments	-	59,139	(37,027)		22,113
Provisions recorded under liabilities	-	72,072	(42,066)	-	30,006
TOTAL IMPAIRMENTS FOR COUNTERPARTY RISKS	314,883	591,066	(515,126)	-	390,823

(1) Including impairment deducted from assets

Gross performing outstandings	58,610	175,182	(166,321)	67,471
Gross doubtful outstandings	40,722	120,908	(102,455)	59,175
Gross non-performing outstandings	215,550	222,905	(204,284)	234,171

(2) The breakdown of outstandings at 31 December 2017 was modified in order to show loans to legal entities and loans to the local public sector on two specific lines

NOTE 3

NOTES TO THE INCOME STATEMENT

3.1 Interest from cash and interbank transactions

(in € thousands)	31.12.2018	31.12.2017
Interest on current accounts in debit	4,591	4,944
Interest on accounts and loans	1,160,058	1,319,041
Negative interest on sight and term borrowings	3,397	2,214
Interest on borrowed securities	-	-
Interest on securities received under repurchase agreements	12,491	13,825
Negative interest on securities given under repurchase agreements	88,719	125,384
Interest and similar income	2,397	15,752
INTEREST AND SIMILAR INCOME FROM CASH AND INTERBANK TRANSACTIONS	1,271,655	1,481,160
Interest on current accounts in credit	(2,990)	(2,493)
Interest on sight and term borrowings	(110,048)	(82,475)
Negative interest on accounts and loans	(73,112)	(56,449)
Interest on securities given under repurchase agreements	(586)	(130)
Negative interest on securities received under repurchase agreements	(4,128)	(5,256)
Other interest and similar expenses	(1,605)	(4,073)
INTEREST AND SIMILAR EXPENSES FROM CASH AND INTERBANK TRANSACTIONS	(192,470)	(150,875)

Interest income on accounts and loans includes the income from funds centralised with the Caisse des dépôts et consignations (CDC).

This income includes the interest paid to depositors shown under "Interest and similar expenses due to customers" and the additional income received by La Banque Postale.

3.2 Interest on customer transactions

(in € thousands)	31.12.2018	31.12.2017
Interest on current accounts in debit	40,804	45,065
Interest on trade receivables and customer loans	-	-
Interest on short-term credit facilities	16,411	15,045
Interest on equipment loans	60,609	52,976
Interest on home loans	1,089,908	1,195,535
Other interest	81,371	42,372
Interest on other loans and borrowed securities	0	0
Negative interest on term accounts in credit, borrowings and securities loaned	3,192	1,159
Interest on securities received under repurchase agreements	0	-
Negative interest on securities given under repurchase agreements	14,413	17,660
Other interest and similar income ⁽¹⁾	46,244	91,444
Doubtful interest	22,537	20,876
INTEREST AND SIMILAR INCOME FROM CUSTOMER TRANSACTIONS	1,375,490	1,482,133
Interest on current accounts in credit	(20,331)	(20,245)
Interest on term accounts in credit, borrowings and securities loaned	(6,128)	(1,634)
Interest on securities given under repurchase agreements	-	-
Negative interest on securities received under repurchase agreements	(5)	(156)
Interest on special savings accounts	(1,344,007)	(1,348,257)
Other interest and similar expenses	-	(29,743)
INTEREST AND SIMILAR EXPENSES ON CUSTOMER TRANSACTIONS	(1,370,471)	(1,400,034)

(1) Including €41,600,000 corresponding to the reversal of the provision for home savings in 2018 vs. €68,400,000 in 2017.

3.3 Interest on fixed-income securities

(in € thousands)	31.12.2018	31.12.2017
Interest and similar income on held-for-sale securities	200,532	187,192
Interest and similar income on investment securities	576,964	682,022
Interest and similar income	133,413	112,912
INTEREST AND SIMILAR INCOME ON BONDS AND OTHER FIXED-INCOME SECURITIES	910,909	982,126
Interest on negotiable certificates of deposit and negotiable medium-term bills	(42,994)	(18,390)
Interest and expenses on bond borrowings	(31,935)	(352)
Other interest expenses	(105,055)	(124,142)
Interest on subordinated debt	(161,868)	(161,578)
INTEREST AND SIMILAR EXPENSES ON BONDS AND OTHER FIXED-INCOME SECURITIES	(341,851)	(304,462)

3.4 Other interest and similar

(in € thousands)	31.12.2018	31.12.2017
Income from foreign exchange instruments	-	-
Income from interest rate instruments	266,929	213,886
OTHER INTEREST AND SIMILAR INCOME	266,929	213,886
Expenses on foreign exchange instruments	-	-
Expenses on interest rate instruments	(79,753)	(36,127)
OTHER INTEREST AND SIMILAR EXPENSES	(79,753)	(36,127)

3.5 Income from variable-income securities

(in € thousands)	31.12.2018	31.12.2017
Income from equities and other variable-income securities	6,205	18,684
Income from portfolio securities	12,754	3,606
Income from equity holdings	225,986	219,647
INCOME FROM VARIABLE-INCOME SECURITIES	244,946	241,937

3.6 Commissions

(in € thousands)	31.12.2018		31.12.2017	
	Income	Expenses	Income	Expenses
Cash and interbank transactions	85,850	(3,204)	57,148	(2,879)
Customer transactions	861,502	(58,026)	913,918	(80,543)
Securities transactions	-	(4,762)	-	(4,935)
Derivatives transactions	-	(297)	-	(295)
Provision of financial services	1,581,234	(193,628)	1,532,495	(165,175)
Foreign exchange transactions	-	-	-	-
Other commissions	42,977	-	41,496	-
COMMISSIONS	2,571,563	(259,917)	2,545,057	(253,826)

3.7 Gains or losses on trading portfolio transactions

(in € thousands)	31.12.2018	31.12.2017
Gain (loss) on trading securities transactions	(12,947)	(16,632)
Gain (loss) on foreign exchange instrument transactions	124,670	(49,054)
Gain (loss) on derivatives transactions	(34,134)	(3,639)
GAINS OR LOSSES ON TRADING PORTFOLIO TRANSACTIONS	77,588	(69,326)

3.8 Gains or losses on held-for-sale portfolio transactions

(in € thousands)	31.12.2018	31.12.2017
Gain (loss) on the disposal of held-for-sale securities	180,666	162,767
Other income and expenses on held-for-sale securities	-	-
Impairment/reversals of impairment on held-for-sale securities and gains (losses) on related hedging transactions	(150,152)	202,292
Gains or losses on held-for-sale securities transactions	30,514	365,059
Gain (loss) on the disposal of portfolio securities ⁽¹⁾	-	-
Impairment/reversals of impairment on portfolio securities	(2,465)	922
Gains or losses on portfolio securities transactions	(2,465)	922
GAINS OR LOSSES ON HELD-FOR-SALE PORTFOLIO TRANSACTIONS AND SIMILAR	28,049	365,981

3.9 Other banking operating income and expenses

(in € thousands)	31.12.2018		31.12.2017	
	Income	Expenses	Income	Expenses
Re-invoiced expenses, retrocession of income, and transfers of expenses	27,172	-	40,444	-
Other operating income and expenses	7,487	(50,091)	6,631	(88,733)
Provisions/reversals on other operating income and expenses	50,455	(13,393)	63,450	(38,999)
Other operating banking income and expenses	85,114	(63,484)	110,526	(127,732)
NET BANKING OPERATING INCOME AND EXPENSE	21,631		(17,206)	

3.10 Personnel costs

(in € thousands)	31.12.2018	31.12.2017
Wages and salaries	(220,777)	(194,599)
Pensions	(23,867)	(19,210)
Social security contributions	(86,081)	(80,334)
Incentives and profit sharing	(7,686)	(13,958)
Tax, duties and similar payments on employee compensation	(28,250)	(26,940)
Other expenses	(10,868)	(14,526)
PERSONNEL COSTS	(377,530)	(349,567)
Amount of attendance fees paid to directors	375	331

Compensation paid during the year to members of the Executive Board for the financial year amounted to €1,840,000.

None of the Executive Board members receive supplementary retirement benefits.

No other transaction was concluded with members of the Board under conditions other than the present.

3.11 Headcount

	31.12.2018	31.12.2017
Civil servant staff	514	550
Non-civil servant staff	2,493	2,271
Total headcount ⁽¹⁾	3,007	2,821
Executives	2,677	2,479
Non-executives	330	342
TOTAL HEADCOUNT⁽¹⁾	3,007	2,821

(1) Headcount expressed in man-years at year-end.

3.12 Other general operating expenses

(in € thousands)	31.12.2018	31.12.2017
Duties and taxes	(22,195)	(450)
Lease payments	-	-
Rents and rental expenses	(109,657)	(107,144)
Fees	(136,876)	(126,734)
Other operating expenses ⁽¹⁾	(3,482,252)	(3,589,108)
OTHER GENERAL OPERATING EXPENSES	(3,750,981)	(3,823,436)

(1) This item notably includes expenses related to the service agreements between La Poste and La Banque Postale for €2,908,304,000.

3.13 Re-invoicing

(in € thousands)	31.12.2018	31.12.2017
Personnel costs re-invoiced on a euro for euro basis ⁽¹⁾	26,072	25,062
General expenses excluding personnel costs re-invoiced on a euro for euro basis	84,184	63,200
RE-INVOICING	110,256	88,262

(1) Including the re-invoicing to La Poste of €5,731,000 for staff belonging to the two companies.

3.14 Depreciation, amortisation and impairment

(in € thousands)	31.12.2018	31.12.2017
Depreciation and amortisation of operating assets	(157,062)	(144,298)
<i>of which depreciation of tangible operating assets</i>	<i>(51,439)</i>	<i>(54,029)</i>
<i>of which amortisation of intangible operating assets</i>	<i>(105,623)</i>	<i>(90,269)</i>
Reversals of depreciation and amortisation of operating assets	-	-
Net depreciation and amortisation	(157,062)	(144,298)
Impairment of operating assets	-	-
Reversals of impairment charges on operating assets	-	-
Net impairment charges	-	-
NET DEPRECIATION, AMORTISATION AND IMPAIRMENT OF TANGIBLE AND INTANGIBLE FIXED ASSETS	(157,062)	(144,298)

3.15 Cost of risk

(in € thousands)	31.12.2018	31.12.2017
Impairments on		
Customers and credit institutions	(591,974)	(185,970)
Signed commitments	-	-
Sundry debtors	(1,711)	(2,793)
Impairment charges	(593,684)	(188,763)
Reversals of impairment charges on		
Customers and credit institutions	512,341	125,552
Signed commitments	-	-
Sundry debtors	1,450	1,724
Reversals of impairments	513,791	127,276
Losses and recoveries		
Losses on signed commitments	-	-
Credit losses covered by impairment	(56,386)	(47,380)
Credit losses not covered by impairment	(19,712)	(18,203)
Amounts recovered on amortised receivables	4,926	5,307
Losses and recoveries	(71,172)	(60,275)
COST OF RISK	(151,065)	(121,762)

Changes in impairment charges relating to a counterparty risk are described in Note 2.24.2.

3.16 Gains or losses on fixed assets

(in € thousands)	31.12.2018	31.12.2017
Gains or losses on disposals of tangible assets	(309)	(384)
Gains or losses on disposals of intangible assets	(6)	-
Gains or losses on the disposal of tangible and intangible assets	(315)	(384)
Gains or losses on disposals of investment securities and other long-term securities	-	11,690
Impairment/reversals of impairment	(17,601)	-
Gains or losses on the disposal of investment securities and other long-term securities	(17,601)	-
Gains or losses on transactions involving held-for-sale and other long-term securities	(17,601)	11,690
Gains or losses on fixed assets	(17,916)	11,306

3.17 Income tax

(in € thousands)	31.12.2018	31.12.2017
Corporate income tax	(5,108)	(187,746)
INCOME TAX EXPENSE	(5,108)	(187,746)
Losses carried forward	-	-

NOTE 4

INFORMATION ON THE AUDIT OF THE FINANCIAL STATEMENTS

(amount before tax, in € thousands)

	Statutory auditors of La Banque Postal			
	Price WaterhouseCoopers		KPMG	
	Amount	%	Amount	%
Statutory audit, review of the company and consolidated financial statements	673	98%	862	84%
Services other than certification of the financial statements	12	2%	163	16%
TOTAL	685	100%	1,025	100%

NOTE 5

INFORMATION ON TRANSACTIONS WITH RELATED PARTIES

All transactions carried out by La Banque Postale with related parties were concluded in normal market conditions.

NOTE 6

BUSINESS LOCATION DETAILS

List of stakes in regions that have not signed a tax assistance agreement

Name	Status	% stake	Voting rights	Legal form	Activity
None					

NOTE 7

INFORMATION CONCERNING THE SUBSIDIARIES AND EQUITY STAKES HELD BY LA BANQUE POSTALE AS AT 31 DECEMBER 2018

(in € thousands)	SF2 ⁽¹⁾	SCI Tertiaire Saint Romain ⁽²⁾	SCI CRSF Métropole ⁽³⁾	SCI CRSF DOM ⁽⁴⁾	BPE ⁽⁵⁾	LBP Home Loan SFH ⁽⁶⁾	Ma French Bank ⁽⁷⁾
Siren number	424,176,238	478,301,286	445,061,369	445,047,442	384,282,968	522,047,570	828,624,759
Share capital	1,053,574	64,002	256,412	2,333	102,411	210,000	228,000
Reserves and retained earnings before appropriation of net income	341,321	(584)	12,276	1,436	13,871	282	(4)
Share of capital held (%)	100%	100%	100%	100%	100%	100%	100%
Carrying amount of securities held							
- Gross	1,143,909	117,000	256,392	2,332	157,626	210,004	228,000
- Net	1,143,909	117,000	256,392	2,332	157,626	210,004	228,000
Loans and advances granted by the Company and not yet repaid	-	79,983	-	-	2,336,865	25,000	-
Amount of sureties and guarantees given by the Company	-	-	-	-	55,692	10,868,578	-
Revenues* excluding tax for the previous financial year	174	13,680	41,501	898	89,893	4,253	-
Net income or loss for the last financial year	181,614	4,196	6,670	904	15,184	1,173	(4)
Dividends received by the Company in the previous financial year	175,394	-	6,666	904	14,355	1,114	-
Notes	Holding company	Real estate rental company	Real estate rental company	Real estate rental company	Bank	Financial services advisory company	Bank

This chart only shows the companies with a book value above €2 million (lower threshold of 1% of La Banque Postale's capital).

(1) 115, rue de Sèvres 75275 PARIS Cedex 06.

(2) 35-39, boulevard Romain Rolland 75014 PARIS.

(3) 115, rue de Sèvres 75275 PARIS Cedex 06.

(4) 115, rue de Sèvres 75275 PARIS Cedex 06.

(5) 62 rue du Louvre, 75002 PARIS.

(6) 115, rue de Sèvres 75275 PARIS Cedex 06.

(7) 115, rue de Sèvres 75275 PARIS Cedex 06.

(8) 106, avenue Marx Dormoy 92120 Montrouge.

(9) 115, rue de Sèvres 75275 PARIS Cedex 06.

(10) 7, rue Pierre Levée 75011 PARIS.

(11) 115, rue de Sèvres 75275 PARIS Cedex 06.

(12) 10, Place de Catalogne 75014 PARIS.

(13) 34, rue de Paradis 75010 Paris.

(14) 33, places des Corolles - Tour Europe La Défense II - 92400 Courbevoie.

* Depending on the subsidiary's business, revenue is presented if it is a trading company, and net banking income is presented if it is a bank or financial company.

	Domiserve ⁽⁸⁾	La Banque Postale Credit Entreprises ⁽⁹⁾	SOFIAP ⁽¹⁰⁾	Ezynes ⁽¹¹⁾	LBP Prévoyance ⁽¹²⁾	KissKissBankBank ⁽¹³⁾	Transactis ⁽¹⁴⁾
	797,829,983	514,613,207	391,844,214	522,058,544	419,901,269	512,211,004	479,874,257
	50	220,000	60,138	5,200	5,202	5	4,948
	781	(21,260)	28,757	(538)	200,572	7,231	(26)
	100%	100.00%	66.00%	100.00%	50.00%	100.00%	50.00%
	15,000	220,000	37,754	5,200	291,635	39,600	2,474
	15,000	220,000	37,754	3,199	291,635	24,000	2,474
	-	10,042,563	1,989,703	-	2	-	21,000
	-	4,543,307	270,000	-	-	-	-
	1,000	44,725	21,887	(60)	520,484	2,477	122,730
	373	23,971	242	(521)	54,795	(1,851)	-
	-	0	0	0	27,387	0	0
	Universal Personal Service Cheques	Financial company	Financial company	Financial services advisory company	Insurance company	Collaborative financing company	Financial services - Holding company

NOTE 8

LA BANQUE POSTALE – FIVE-YEAR EARNINGS TABLE

(in €)	2014	2015	2016	2017	2018
Financial position					
Share capital	4,046,407,595	4,046,407,595	4,046,407,595	4,046,407,595	4,046,407,595
Number of shares	35,186,153	35,186,153	35,186,153	35,186,153	35,186,153
Comprehensive income					
Revenue*	7,474,544,915	7,378,305,936	7,110,660,813	7,284,155,033	6,909,831,901
Income before corporate tax, depreciation, amortisation and net provisions	927,845,727	960,973,920	630,611,923	755,347,375	550,101,422
Income tax	(310,824,005)	(258,926,682)	(76,357,888)	(187,745,716)	(5,107,654)
Income after corporate tax, depreciation, amortisation and provisions	164,648,962	478,260,808	564,066,406	553,183,004	124,893,058
Distributed income (proposed)	304,712,085	318,082,823	312,101,177	343,768,715	326,527,500
Earnings per share					
Income after corporate tax, before depreciation, amortisation and provisions	17.52	19.95	15.72	15.72	15.49
Income after corporate tax, depreciation, amortisation and provisions	4.68	13.59	16.03	15.72	3.55
Distributed income (proposed)	8.66	9.04	8.87	9.77	9.28
Employee data					
Average headcount	2,389	2,473	2,526	2,713	2,957
Payroll expenses	153,564,624	161,840,302	163,848,588	176,181,220	196,013,751
Amounts paid for employee benefits (Social Security, social welfare organisations, etc.)	70,300,209	82,518,567	89,710,337	94,860,267	96,949,126

* This is all the banking operating income (profits or losses from financial transactions are taken at their net amount).

5.5 STATUTORY AUDITORS' REPORT ON THE ANNUAL FINANCIAL STATEMENTS

La Banque Postale S.A.

Registered office: 115, rue de Sèvres - 75275 Paris Cedex 06

Share capital: €4 046 407 595

Statutory auditors' report on the annual financial statements

Financial year ended 31 December 2018

To the General Meeting of Shareholders,

Opinion

In execution of the mission entrusted to us by your general meeting, we have audited the consolidated financial statements of the company La Banque Postale SA for the year ended 31 December 2018, as attached to this report.

We certify that the annual financial statements, in accordance with French accounting rules and principles, give a true and fair view of the financial position and assets and liabilities of the company and of the results of its operations at the end of this financial year.

The opinion formulated above is consistent with the content of our report to the Accounts Committee.

Basis of Opinion

References of the Audit

We have conducted our audit in accordance with the generally accepted auditing standards in France. We consider that the evidence gathered is pertinent and sufficient to serve as a basis for our opinion.

Our responsibilities under these standards are set out in the "Responsibilities of the Statutory Auditors for the Auditing of the Annual Financial Statements" section of this report.

Independence

We carried out our audit mission in accordance with the independence rules applicable to us, as of 1 January 2018 to the date of our report, and in particular we did not provide services prohibited by Article 5 (1) of EU Regulation No 537/2014 or the Code of Ethics for Statutory Auditors.

Justification of the assessments - Key points of the audit

Pursuant to the provisions of Articles L.823-9 and R.823-7 of the French Commercial Code relating to the justification of our assessments, we bring to your attention the key points of the audit relating to the risks of material misstatements which, in our professional judgement, were the most significant for the audit of the annual financial statements for the year, as well as the responses we provided to these risks.

The assessments were made over the course of our audit of the annual financial statements, taken as a whole, and therefore contributed to forming the opinion expressed in the first part of this report. We do not express an opinion on items in these annual financial statements on an isolated basis.

Provisions for credit risk on customer loans

Risk identified

La Banque Postale sets aside provisions to cover the proven risks of losses resulting from the inability of its customers to meet their financial commitments. The exposures concerned cover non-doubtful outstandings and commitments for which the credit risk has deteriorated significantly since they were granted as well as doubtful receivables and commitments.

Provisions for impairment and for liabilities are statistically estimated based on models, or individually based on an expert's opinion taking account of guarantees held. Using historical data, the models determine the probabilities of default and expected losses of homogeneous portfolio categories.

The valuation of credit risk provisions on outstanding loans and commitments requires the exercise of judgement for the identification of exposures presenting a risk of non-recovery, or for the determination of future recoverable cash flows and recovery deadlines.

We deemed that the evaluation of these provisions is a key point of the audit due to:

- the importance of outstanding loans on the balance sheet and commitments granted to customers;
- the complexity of estimating the probabilities of default, losses in the event of default or future recoverable cash flows, including the value of the guarantees.

As at 31 December 2018, outstanding loans to individuals and legal entities amounted to €73.9 billion overall, of which €805 million in gross doubtful outstandings, and the associated provisions represented €360.9 million as indicated in points 2.23.1 and 2.23.2 of the notes to the annual financial statements. Financing and guarantee commitments granted to customers represented €30.2 billion and the

associated provisions €30 million. The principles followed for the provisioning of credit risk are described in paragraph 2 "Receivables due from credit institutions and customers – Signed commitments" of note 1 "Accounting principles and methods" of the notes to the annual financial statements.

Procedures implemented in response to this risk

We have taken note of the internal control system put in place by the company to identify sensitive or doubtful receivables and commitments and to evaluate the amount of impairment and provisions.

We tested the effectiveness of the controls considered key for our audit, implemented by the company for the identification of the sensitive outstanding debts, the classification as doubtful or contentious, the evaluation of the value of the guarantees received, the correct processing of the data in business IT tools and their apportionment in accounting.

We also took note of the functioning and main conclusions of the specialised committees of the bank responsible for monitoring sensitive, doubtful or contentious debts and we reviewed the documentation justifying the level of provisions made.

For statistical provisions, we conducted a critical review of the changes made to the models for calculating the probability of default and loss in case of default. For business loans, we assessed the procedures for setting up and supervising "follow-up" files and the procedures for estimating their impairment.

In addition, we have re-run some of the tests performed by accounting controls and we have corroborated the quality of some of the analyses produced by examining the underlying data and supporting documents.

Lastly, we analysed the change in sensitive and doubtful outstandings over the year and that of their coverage by impairment.

Specific verifications

We have also carried out the specific verifications required by the legal and regulatory texts, in accordance with the professional auditing standards applicable in France.

Information provided in the management report and the other documents addressed to the shareholders regarding the financial position and annual financial statements

We have no comment as to the fair presentation and consistency with the annual financial statements of the information given in the management report of the Executive Board and in the other documents sent to unitholders with regards to the financial position and the annual financial statements, with the exception of the point below.

The fair presentation and consistency with the annual financial statements of the information relating to payment terms as referred to in Article D.441-4 of the French Commercial Code calls for us to make the following observation: as indicated in the management report, this information does not include the banking activities, as your company does not consider that they enter into the scope of information to be provided.

Report on corporate governance

We certify the existence, in the Supervisory Board's report on corporate governance, of the information required in Articles L. 225-37-3 and L. 225-37-4 of the French Commercial Code.

With respect to the information provided in application of Article L. 225-37-3 of the French Commercial Code on the compensation and benefits paid to corporate officers and the commitments made in their favour, we verified their consistency with the financial statements and with the data used to prepare the financial statements and, where applicable, with the information collected by your company from the companies that control your company or which it controls. Based on this work, we certify the accuracy and truthfulness of the information.

Information resulting from other legal or regulatory requirements

Appointment of statutory auditors

We were appointed statutory auditors of La Banque Postale S.A. by your ordinary and extraordinary general meetings of shareholders of 28 April 2004 for PricewaterhouseCoopers Audit and 27 May 2010 for KPMG S.A.

At 31 December 2018, the firm KPMG S.A was in the ninth year of its assignment without interruption and PricewaterhouseCoopers Audit in its fifteenth year.

Responsibilities of management and corporate governance officers in the annual financial statements

Management is responsible for the preparation and fair presentation of these annual financial statements in accordance with French accounting rules and for implementing such internal control as it determines to be necessary to enable the preparation of annual financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the annual financial statements, management is responsible for evaluating the ability of the company to continue as a going concern, to present in these accounts, as appropriate, the necessary information relating to the continuity of operations and apply the going concern accounting policy unless it is intended to liquidate the company or cease trading.

The Accounts Committee is responsible for following the process of preparing financial information and for monitoring the effectiveness of the internal control and risk management systems and, where applicable, internal audit, as regards procedures relating to the preparation and processing of accounting and financial information.

The annual financial statements were approved by the Executive Board.

Responsibilities of the statutory auditors in relation to the annual financial statements

Audit objective and approach

It is our responsibility to prepare a report on the annual financial statements. Our objective is to obtain reasonable assurance that the annual financial statements taken as a whole do not contain any material misstatements. Reasonable assurance corresponds to a high level of assurance, but does not guarantee that an audit performed in accordance with the standards of professional practice can systematically detect any significant anomaly. Anomalies may arise from fraud or error and are considered significant where it can reasonably be expected that they, taken individually or cumulatively, may influence the economic decisions that account users make in their business based on such anomalies.

As specified by Article L.823-10-1 of the French Commercial Code, our mission of certification of accounts is not to guarantee the viability or the quality of the management of your company.

As part of an audit conducted in accordance with the professional standards applicable in France, the statutory auditor exercises professional judgement throughout this audit. In addition:

- ▶ they identify and assess the risks that the annual financial statements contain material misstatements, whether due to fraud or error, define and implement audit procedures to address these risks, and collect items considered sufficient and appropriate to base an opinion. The risk of not detecting a significant anomaly from fraud is higher than that of a significant anomaly resulting from an error, as the fraud may involve collusion, falsification, voluntary omissions, misrepresentation or circumventing internal control;
- ▶ the statutory auditor becomes aware of the internal control relevant to the audit in order to define appropriate audit procedures in the circumstances, and not to express an opinion on the effectiveness of the internal control;
- ▶ they assess the appropriateness of the accounting methods used and the reasonableness of accounting estimates made by management, as well as the information concerning them provided in the annual financial statements;
- ▶ they assess the appropriateness of management's application of the going concern accounting policy and, depending on the evidence gathered, the existence or otherwise of significant uncertainty related to events or circumstances likely to jeopardise the company's ability to continue as a going concern. This assessment is based on the information gathered up to the date of the report, but it is recalled that subsequent circumstances or events could jeopardise the continuity of operations. If the statutory auditor concludes that there is significant uncertainty, they draw the attention of the readers of the report to the information provided in the annual financial statements about this uncertainty or, if this information is not provided or is not relevant, they formulate a qualified certification or a refusal to certify;
- ▶ they assess the overall presentation of the annual financial statements and assess whether the annual financial statements reflect the underlying transactions and events in such a way as to give a true and fair view of them.

Report to the Accounts Committee

We submit a report to the Accounts Committee, which outlines the scope of the audit work and the work programme implemented, as well as the conclusions arising from our work. We also disclose, where appropriate, the significant weaknesses of internal control that we have identified with respect to the procedures relating to the preparation and processing of accounting and financial information.

Among the items disclosed in the report to the Accounts Committee are the risks of material misstatement that we consider to have been the most significant for the audit of the annual financial statements for the year and which therefore constitute the key points of the audit, which is our responsibility to describe in this report.

We also provide the Accounts Committee with the declaration provided for in Article 6 of EU Regulation No 537-2014 confirming our independence within the meaning of the rules applicable in France as laid down in particular by Articles L.822-10 to L.822-14 of the French Commercial Code and in the Code of Ethics for Statutory Auditors. If necessary, we will discuss with the Accounts Committee risks related to our independence and the safeguards applied.

The statutory auditors

Paris La Défense, on 8 March 2019
KPMG S.A.
Neuilly-sur-Seine, on 8 March 2019
PricewaterhouseCoopers Audit

Marie-Christine Jolys
Partner
Jacques Lévi
Partner

EXTRA-FINANCIAL PERFORMANCE DECLARATION - CORPORATE SOCIAL RESPONSIBILITY (CSR)

6

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6.1 LA BANQUE POSTALE CSR STAKES AND GOVERNANCE

6.1.1 La Banque Postale's business model

6.1.1.1 La Banque Postale, a wholly-owned subsidiary of the La Poste Group

La Banque Postale is a full-service bank, a wholly-owned subsidiary of La Poste Group whose business is focused on Retail Banking in France under three divisions:

- ▶ Retail Banking, its core business, offering banking products and services to individual and corporate customers, social economy actors and local authorities;
- ▶ Insurance, undertaken by the life insurance, provident, property and casualty, and health subsidiaries;
- ▶ Asset Management, carried out through the asset management subsidiaries which provide savings and investment products to individual customers and legal entities.

La Banque Postale has inherited the values of trust, accessibility and proximity from La Poste. As a result, it has benefited from an original and unique positioning in the French market from the beginning. This positioning is reflected in an offer based on moderate service rates, access for all customers and a simple product range that focuses on customer needs.

La Poste Group implements the general interest mission for banking accessibility entrusted to it by the legislator *via* La Banque Postale: "in the banking, financial and insurance fields, La Poste offers products and services as widely as possible, particularly the 'Livret A' accounts".

6.1.1.2 Relationship with La Poste Group

La Banque Postale is both a customer (for mail, parcel, network and other services) and a supplier of the Group (as its principal bank). La Poste plays the role of service provider, supplying staff who act "in the name of and on behalf of" La Banque Postale. Counter services are provided by the La Poste Network's post offices.

The relationship between La Banque Postale and La Poste are part of the system consisting of a framework agreement which sets the general principles and responsibilities of La Poste and La Banque Postale and the 14 implementation agreements.

6.1.1.3 The multi-partner model

In order to broaden its business and skills portfolio, and in order to improve its coverage of customers' requirements, La Banque Postale has implemented a very active partnership policy that focuses primarily on the effective sharing of know-how, and on cost control, in accordance with the values that it embodies.

La Banque Postale's multi-partner policy is based on the pooling of expertise, technology, and tools, and on access to the customer base. Through these partnerships, La Banque Postale has been able to rapidly develop new business lines relying on the expertise of standard-setters in each field.

The model has developed with the support of La Poste Group resources. La Banque Postale provides a network and distribution power within the postal ecosystem. The partners, for their part, contribute their knowledge of their business and enable the Bank to grow and diversify rapidly. The partners and partnerships are described in detail in Paragraphs 1.4.1 Retail Banking, 1.4.2 Insurance and 1.4.3 Asset management.

6.1.1.4 Value creation for all stakeholders

La Banque Postale mobilises its resources to create value for all of its stakeholders and to meet its goals:

- ▶ diversify its business and develop its clientele;
- ▶ build the bank of the future with the post-office workers of today;
- ▶ successfully complete the digital transformation;
- ▶ improve the Bank's competitiveness by preserving the social pact;
- ▶ modernise its public service banking accessibility mission;
- ▶ cultivate its community values.

The table below provides a summary of the way in which resources are mobilised and impact created

Resources and assets	Impact
Customers - 10.3 million active individual customers. - 365,000 legal and local public entity customers. Human capital - 29,000 employees dedicated to the Bank's business. - 28,000 La Poste Group provide support for banking activities. - 61% women and 39% men. - École de la Banque et du Réseau (EBR). - An innovation ecosystem, including Platform 58. Societal capital - Banking accessibility mission. - A strong presence at the heart of the regions. - Nearly 8,200 post offices, including 1,700 offices with a social mission. - Non-profit partners. Financial capital - €9.7 billion in equity. - CET 1 ratio: 11.7%. - Leverage ratio: 4.6%. - €186 billion in customer deposits. - Fitch (A-/F1) and S&P (A/A-1) ratings. - Vigeo-Eiris (67/100), ISS-Oekom (B- Prime), Sustainalytics (80/100), MSCI (AA) ratings. Natural capital - 100% renewable electricity purchases. - Internal carbon fund and carbon offsetting programmes.	For customers – Be the banking and insurance provider to all - 51% of Livret A accounts have less than €150. - €5 million in micro-credit outstandings. - 27.1% in home loans granted to households earning less than 2 SMIC (minimum wage). - 45 BPE spaces in post offices. - 130,000 customers assisted by APPUI. - Digital banking inclusion plan. - 100% in SRI assets by 2020. For employees – Train, fight against inequalities and improve the quality of life at work - 85% of employees are proud to work at La Banque Postale. - 285,000 training days provided by EBR to La Poste Group employees (including 138,000 to La Banque Postale employees). - 595 teleworking employees. - 57% of women managers and 31% of women on the Executive Board. For society and the regions – Contribute to economic and social development - Leading lender to local authorities. - 2,843 projects financed by KissKissBankBank. - 11,741 indirect jobs. - €18.5 billion in loans to companies, VSE and Professionals. For shareholders – Contribute to the transformation of La Poste Group - €726 million Net income, Group share. - €326 million in dividends. For the planet – Be a major player in financing the energy transition - 62,055 tCO₂eq of greenhouse gases offset. - €1.5 billion invested in energy transition.

This model is protected by a cautious risk management policy (see the Governance and risk management section).

6.1.1.5 A growth dynamic which reflects a changing environment

La Banque Postale has been updating its business model since 2018 in response to changes in its environment: digitalisation of uses, low-rate environment, strengthening of regulatory requirements, emergence of new competitors. This transformation is driven by the 2014-2020 growth plan "Osons créer la banque de demain" (Let's create the bank of tomorrow) and the start-up of the project to create a major public financial unit serving the regions via a merger with CNP Assurances. (See the sections on the objectives of the 2020 development plan and the planned merger of La Banque Postale and CNP Assurances).

6.1.1.6 CSR at the heart of La Banque Postale's business model and part of its response to the Sustainable Development Goals

Since its creation, La Banque Postale, a public service bank serving the real economy, has chosen a unique, solid, responsible and sustainable business model. As a bank for everyone, it has always welcomed every person with respect and consideration, irrespective of their situation. A useful bank, it offers responsible, simple and innovative services along with quality advice. La Banque Postale maintains close relationships with all of its customers, individual and corporate, thanks to the post offices' unique network and its numerous interconnected and long-distance access services.

Focused on regional development, La Banque Postale harnesses French people's savings for local development and energy transition projects in the country. A bank built on trust, it gives first priority to its customers' interests and to the management of both financial and extra-financial risks. As a "bank that works in the best interest of the community at large", it shares and creates a new relationship with money and the bank along with its customers. This relationship of trust, acclaimed by its customers and stakeholders alike, is its greatest pride and its finest quality; it is built each day through respect for the men and women working in its organisation, and through respect for the environment.

Given these commitments, it becomes clear that La Banque Postale's business model contributes very explicitly to two United Nations Sustainable Development Goals (SDGs):

- ▶ SDG no. 10: "Reduce inequalities", in particular thanks to La Banque Postale's banking accessibility mission and its constant involvement with vulnerable populations. Thanks to its products, for example, the Simplicité account and micro-credit solutions, and the creation of Appui, a platform to provide support to customers experiencing financial difficulty, La Banque Postale contributes to making its customers autonomous and facilitating their social integration, regardless of their social status. The creation of "L'Envol, La Banque Postale's campus" fully demonstrates its goal of promoting equal opportunity and of reducing income inequality. With respect to its employees, La Banque Postale is committed to promoting equal opportunity and ensuring greater equality in remuneration.

- SDG no. 8: "Promote sustained, inclusive and sustainable economic growth" benefiting all customers. La Banque Postale demonstrates its ability to provide general access to its banking, financial and insurance services thanks to products and services accessible to all (Livret A, Simplicité account, etc.) and suited to the needs of each person (student loans, comprehensive home insurance for young people and students, etc.). By supporting the growth of companies with special offers (micro-credit, financing solutions for very small, small and medium-size enterprises), La Banque Postale contributes to local economic development and to regional growth.

Given the importance of the challenge posed by climate change, La Banque Postale also intends to be exemplary in this area. It was one

of the first banks to achieve carbon neutrality throughout its operational scope. It offers its retail customers products which address environmental challenges (personal loans for green works and vehicles, eco-PTZ real estate loans, LBPAM SRI Responsible Actions Environnement savings solutions, etc.). Asset financing and energy projects are exclusively based on renewable energy development projects and exclude fossil fuels. Therefore, La Banque Postale contributes to climate SDGs and notably to **SDG 13: "Take urgent action to combat climate change and its impacts."**

The relationship between La Banque Postale's growth strategy and the way in which its actions contribute to all 17 SDGs was the subject of an in-house working group in 2018 and will be communicated on company media in early 2019.

6.1.2 Materiality of the main CSR stakes and risks

6.1.2.1 Materiality of CSR stakes

La Banque Postale's CSR framework, developed in accordance with ISO 26000, was used as the basis for constructing a rating matrix for CSR issues. This materiality analysis, which enabled to measure the importance of these issues in the eyes of internal and external stakeholders, was used to draw up a map of the most relevant issues for the Bank.

Four customer topics out of five are apparent in the first quartile of the matrix: responsible customer relationships, responsible offering, protection and confidentiality of customer data and accessibility to products and services. The analysis underpins La Banque Postale's strategic plan and its focus on putting customers' interests first, at a time when banks are facing competition from FinTech and new entrants in the banking sector wishing to capitalise on the opportunities offered by Big Data and artificial intelligence.

The fifth topic, "new consumption methods and uses" illustrates the importance of taking societal stakes into account in offerings. This observation is in line with the areas of progress identified by the extra-financial rating agencies and civil society which are expecting proof of the impacts which will meet the objectives of sustainable development.

The launch of the "Green Range" for COP21 provided an answer to this point (see the "Responsible Offering" section). La Banque Postale's range now includes products and services with environmental added value both in terms of the credit offer for corporate and individual customers, and insurance and saving offers. The launch of the digital banking inclusion plan in 2017 is another solution, in that it prevents people who are not comfortable with new digital practices from being left out. The announcement that asset management will be 100% ISR by 2020 provides another solution.

Another issue that becomes clear from the materiality matrix is the importance of embedding CSR in governance bodies. La Banque Postale has met this concern by raising the awareness of its Supervisory Board to CSR and formalising a six-month CSR update with the Management Board. Furthermore, the decision taken in 2015 to incorporate a CSR criterion (in this case the Bank's extra-financial ratings) in the calculation of employee profit-sharing was renewed in 2018. Finally, this awareness initiative is reflected in two separate and complementary CSR training courses available in the catalogue of the corporate university of La Banque Postale and the Network, the *École de la Banque et du Réseau* (see the "Raising awareness" section below).

Another point that emerged from the materiality matrix as deserving of particular attention is the identification and management of extra-financial risks. Considered in light of Article 173 of the French "Energy Transition for Green Growth Act" (*loi pour la Transition Énergétique pour la Croissance Verte*), the risks associated with climate change have become a central issue. Thus, in 2018,

La Banque Postale reinforced the approach initiated in 2015 of measuring the exposure to climate risk, initiated through the half-yearly analyses of the exposure of its trading room portfolios to extra-financial risks. By measuring the carbon intensity of its portfolios, La Banque Postale is now able to make its investment decisions based on the companies' carbon impact (see the section on "Management of extra-financial risks"). In 2018, work to identify CSR risks related to La Banque Postale's business activities required by order no. 2017-1180 of 19 July 2017 on the publication of non-financial information also resulted in the Bank strengthening its extra-financial risks identification and management processes.

These processes are described in the following paragraph.

In conclusion, a comparison between the results of La Banque Postale's materiality matrix and the CSR action plan defined for the 2015-2018 period confirms that the decisions made are firmly within the established guidelines.

6.1.2.2 The main extra-financial risks related to La Banque Postale's activities

6.1.2.2.1 Extra-financial risk identification methodology

The identification of extra-financial risks is implemented starting with a universe of 113 dreaded basic risks (operational risks) for which scenarios have been established and revised by an expert consulting firm. The creation of the basic risk universe also includes a consultation step with the members of the Executive Committee of La Banque Postale (top-down approach) and the manager risks of the Bank (top-down approach).

Environmental, social and governance risks (ESG) have been identified within this basic risk universe via an exhaustive three-step research approach:

- ▶ identification of the risks of non-compliance with the regulatory CSR obligations;
- ▶ inclusion of the update to the materiality test and workshop with the entire CSR channel to identify CSR risks;
- ▶ application of a filter to high-impact risks in terms of social and image/reputational risk.

A single rule is applied in the Group to measure the criticality of the risks:

- ▶ the nature of the impacts is assessed based on a typology in four areas: financial, human, regulatory and legal, image and reputational impacts;
- ▶ assessment of the frequency of occurrence of the risk.

Criticality is a combination of impact and frequency and is assessed on a scale of 1 to 4 (minor, moderate, major and critical risks).

6.1.2.2.2 La Banque Postale's main extra-financial risks

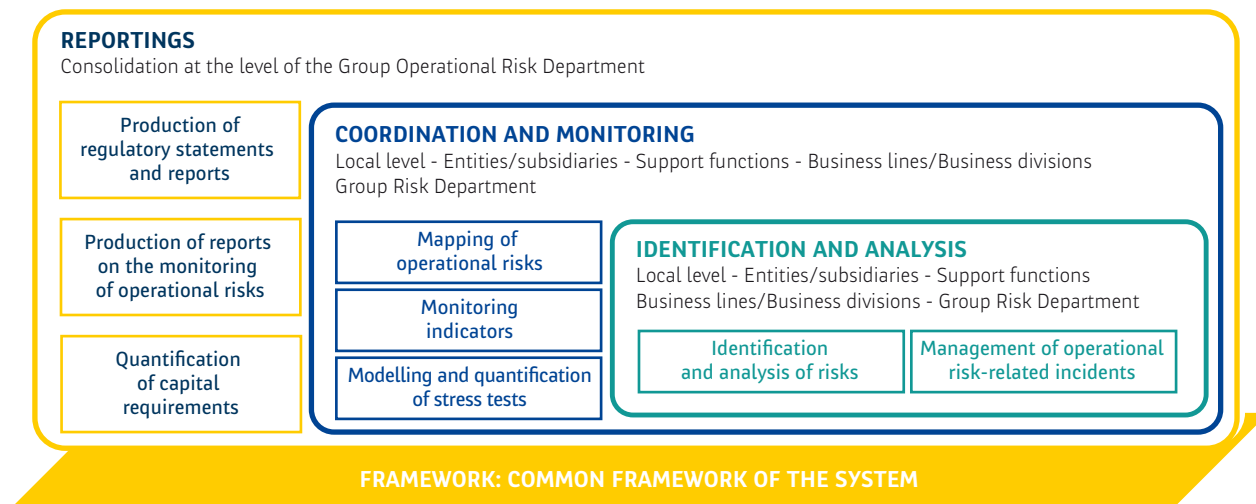
This work has enabled identification of La Banque Postale's main extra-financial risks and illustrates the way in which the CSR policy provides cover in accordance with the risk management system detailed in the following paragraph.

Risk families	Risks identified	Risk handling
Economic risks	Image risks (including CSR image risk vis-à-vis extra-financial rating agencies)	Deployment of the CSR policy within La Banque Postale Group and its subsidiaries
	Delayed development risk due to new modes of consumption	See Chapter 6.2.1.6 Designing and proposing a responsible service offering
	Social exclusion risks (accessibility, digital fracture)	See Chapter 6.2.1.1 Promote physical and digital access by all to all of our financial products and services
	Data confidentiality risks	See Chapter 6.2.1.5.5 Responsible marketing and data protection policy
	Financing risks for controversial projects in the regions	See Chapter 6.2.1.7.2 Taking extra-financial criteria into account in investment and financing activities
	Non-compliance risks in business ethics and ethical behaviour (of which, tax evasion)	See Chapters 6.2.1.7.4 Ethics: better risk management in business processes and 6.2.1.7.5 The prevention of tax evasion
Social risks	Absence of guidance risk (forced sale, etc.)	Chapter 6.2.1.5 Guarantee an ethical and quality customer relationship
	Risk of mismatch between skills and market expectations	See Chapter 6.1.1.1 Supporting mobility and training employees
	Working conditions risks (including, PSR, burnout, absenteeism, etc.)	See Chapter 6.1.1.4 Promoting quality of life at work and the well-being of employees
	Discrimination risk	See Chapter 6.1.1.5 Guaranteeing equal opportunity in hiring, careers and promotions
Societal risks	Risk of mismanagement of CSR commitment in the value chain	See Chapter 6.2.3.2.2 Extra-financial criteria to assess risk and select and monitor suppliers
	Risk of non-compliance with human rights	See Chapters 6.2.3.2.2 Extra-financial criteria to assess risk and select and monitor suppliers and 6.1.2.3 Respect for human and labour rights
	Risk of a deterioration in relationships with suppliers	See Chapter 6.2.3.2. Have a committed procurement policy with suppliers
	Risks related to energy consumption and GHG emissions	See Chapter 6.2.4.1. Reduce the Bank's direct carbon footprint
Environmental risks		See Chapters 6.2.1.7.3 Measuring exposure to climate risk and 6.2.4.2 Managing the environmental footprint of its products and services
	Climate risks (physical and transition)	

Cross-functionally, the risk of regulatory, environmental, societal and information transparency non-compliance has also been identified.

6.1.2.2.3 CSR risk management system

The risk management system deployed by La Banque Postale for all of its risks is applicable to CSR risks. It is presented in the diagram below and described in Chapter 4 of this Registration Document.



La Banque Postale uses a proportionality principle for those put into effect.

Integrating extra-financial risks into operational risks

In accordance with the Group risk management system, the business lines are responsible for identifying and processing operational risks, which include extra-financial risks.

This principle is reinforced by La Banque Postale's governance model applied to new products and services. An analysis of extra-financial risks is always included in the risk assessments carried out when proposals are submitted to the Product Review Committee (see the section on the systematic inclusion of ESG criteria in the design of offerings).

In order to assist project leaders in investigating the extra-financial risks of their projects, an ESG checklist (see the systematic inclusion of ESG criteria in the design of offerings) has also been integrated in their operational management process. The tool helps them to analyse the risks and impacts associated with a given project from a CSR standpoint.

The ESG checklist is an integral part of the risk assessment process and is a document which must be presented to the product review committee. The results of the ESG checklist enable La Banque Postale's CSR unit to realistically analyse the ESG issues highlighted and to begin awareness-raising actions where necessary.

Lastly, the operational risks rating table also contains a CSR criteria as an element of the image impact of a risk and confirms the inclusion of extra-financial elements in the assessment of operational risks.

Operational risk mapping is a risk reporting and management tool which is followed and monitored at the entity level. Since 2017, it has enabled the tracking of risk related to the non-implementation of social, societal and environmental commitments. This enables the CSR unit to periodically assess the match between the risk run and the changes in the business activity and to identify the actions and measures required to manage it.

Moreover, the management approach for cross-operational risks meets the need for strengthening the supervision of these risks by applying a standard risk management framework within La Banque Postale Group. The following are investigated by each La Banque Postale Group entity:

- **corruption risks**, in accordance with the law 2016-1691 of 9 December 2016 relating to transparency, the fight against corruption and the modernisation of the economy (the Sapin II law);
- **business ethics risks**: conflicts of interest, internal fraud or external fraud with internal complicity, misuse or non-compliance with attributed rights and authorisations, wrongful disclosure of confidential information.

The risks related to **law** no. 2017-399 of 27 March 2017 on the corporate **duty of vigilance** for parent and instructing companies were investigated for fields related to Purchasing. They will be investigated for other fields in 2019.

6.1.3 CSR governance and policy

6.1.3.1 A CSR policy based on the expectations of the Bank's stakeholders

La Banque Postale's CSR policy has revolved around four complementary commitments since 2018:

- commitment to customers;
- commitment to employees;

- commitments to society and the regions;
- commitments to the planet.

It consists of 13 priority missions each broken down into dedicated projects and coupled with performance indicators and qualitative and quantitative objectives. The progress made with respect to each of these missions is described in Chapter 6.2.

Commitments	Missions
Commitment to customers	Promote (physical and digital) access to financial products and services for all Guarantee an ethical and quality customer relationship Design and propose a responsible product and service offering Systematising the rigorous management of extra-financial risks
Commitments to employees	Support mobility and train employees Promote quality of life at work and the well-being of employees Guarantee equal opportunity in hiring, careers and promotions
Commitments to society and the regions	Promote the development of the regions and the local economy Have a committed procurement policy with suppliers Promote employees' civic commitment
Commitments to the planet	Reduce the Bank's direct environmental footprint, notably thanks to the carbon fund Manage the environment footprint of our products and services Promote the emergence of the circular economy

6.1.3.2 La Banque Postale's governance in terms Corporate Social Responsibility

The Banque Postale's (CSR) governance is ensured by the Bank's Management Committee, which is chaired by the Chairman of the Executive Board and discusses the topic formally twice a year. The Management Committee validates the selected projects, decides on the major strategic directions regarding CSR and ensures that the proposed projects make CSR a factor of differentiation, performance and profitability for La Banque Postale. In 2018, the Management Committee was able, among other things, to approve the new implementation of the Bank's CSR strategy with the major stakeholders, confirm the new financial envelope of the internal

carbon fund, validate the Bank's carbon neutral objective, financed *via* the internal carbon fund, and provide an update on the progress made by the action plan proposed based on the results of the extra-financial rating exercises.

One important lever for mobilising employees is the fact that 20% of the annual profit-sharing paid to employees are based on the Bank's CSR performance. Profit-sharing is calculated base on operating income and the CSR rating. The profit-sharing budget for 2018 was in excess of €11 million. This result reflects La Banque Postale's sustainable development performance: In addition, the variable share of the remuneration of strategic executives also includes CSR indicators.

6.1.4 Dialogue with stakeholders

In order to better identify the expectations of actors linked to the Bank, in 2017 the CSR Department set up an internal group focus (bringing together human resource, purchasing, communication, marketing, the Network and the Corporate Department) with the aim of listing and prioritising key stakeholders. The stakeholders which are most important to the Bank and with which the relationship is strongest are:

- BtoB and BtoC customers and consumer groups;
- employees, unions and the bodies representing employees;

- the public authorities, local authorities, elected officials and subcontractors;
- organisations which drive social responsibility and sustainable development initiatives, NGOs and solidarity non-profits;
- shareholders.

La Banque Postale's CSR policy is structured around these main stakeholders which are also included in the business model.

6.1.4.1 Participation in the consultation with consumer group

La Banque Postale takes part in the first consultation level with La Poste Group non-profits and consumer groups (since 1989). Twice a year, the Chairman of the Executive Board meets the national spokespersons of approved consumer groups.

6.1.4.2 Collaboration with the groups

La Banque Postale has a close relationship with a large and diversified ecosystem in many fields. It works on many topics with its stakeholders through groups such as the Alliance Dynamique and the Initiative de lutte contre l'exclusion bancaire including the social and solidarity economy, insertion *via* work, the fight against banking exclusion, budget management, education and equal opportunity.

6.1.4.3 Links to the local public sector and the social housing sector

True to its values of local presence and transparency, La Banque Postale maintains its ties with local public-sector players, notably through its local finance steering committee, composed of elected representatives, former parliamentarians and experts. This committee has a prospective, observation and advisory role: assessment of risks, monitoring, proposing new services, *etc.*

In order to meet its commitments as regards social home ownership, La Banque Postale pursues its exchanges with the actors of the social housing sector in the framework of its steering committee for access to social home ownership (a committee made up of notable people from the fields of housing and social home ownership). Chaired by the Chairman of La Banque Postale's Executive Board, this committee is responsible for advice, planning, and observation. Meeting at least twice per year, it thus plays a role in setting up an innovative model for home loans aimed at low-income households, one of La Banque Postale's key strategic aims (see chapter on "Banking Accessibility").

6.1.4.4 Dialogue with the extra-financial agencies

La Banque Postale has been issued extra-financial ratings on a regular basis since 2010. In 2018, La Banque Postale was the

second bank in the world to be rated B- by the Oekom Research agency, maintaining its position as the leading French financial institution, and second worldwide, for extra-financial performance. This ranking attests to the quality of the CSR measures implemented. In April 2017, Vigeo-Eiris confirmed these good results, giving La Banque Postale a rating of 67/100 (up 4 pts), ranking it at the top of the list of world banks on the panel evaluated. For the second time, in June 2018 La Banque Postale actively participated in the rating of the Sustainalytics agency and obtained a rating of 80/100 (up 21 pts in two year). Lastly, MSCI ranked it "AA". Among La Banque Postale's strong points, the agencies emphasised its responsible marketing policy and the transparency of contracts, the measures taken to ensure access to financial services for all, the development of financial services with significant social benefits, and a good integration for social and environmental issues in asset management.

6.1.4.5 Participation in sector studies

Moreover, La Banque Postale strives to convey its values by participating in the major committees tasked with promoting CSR. It actively participates in various working groups led by the Finance Club of the ORSE (*Observatoire de la Responsabilité Sociétale des Entreprises*, the "Observatory of Corporate Social Responsibility"), in the Greater Public Commission of the Forum for Responsible Investment (*Forum pour l'Investissement Responsable* - FIR), and in the French employers' organisation Medef's CSR and Extra-Financial Performance Committees to advance major CSR projects (taking into account extra-financial criteria in the insurance sector, promoting SRI to private customers, measurement of the carbon footprint of the financial sector, *etc.*).

In 2018, La Banque Postale joined the Paris Europlace Finance for Tomorrow initiative which is intended to promote the actions in favour of the climate of the Paris marketplace's financial sector. La Banque Postale also continued to contribute to the work conducted by the ACPR (French Prudential Supervision and Resolution Authority) and the DG Trésor (Public Treasury Department) on measuring climate risk after the Task Force on Climate Related Financial Disclosure was set up. La Banque Postale thus illustrated how it takes environmental factors into account in its financing activities, as well as the impact of climate challenges on its activities (see section on "Responsible Asset Management").

6

6.1.5 Company organisation for implementation

6.1.5.1 Leadership of the CSR policy

The CSR unit of La Banque Postale, which reports to the Human Resources Department (member of the Executive Committee) is responsible for defining the Corporate Social Responsibility policy of the Company and, in particular, its environmental policy, for extra-financial reporting and the inclusion by the business lines of the most relevant extra-financial criteria with respect to each activity. It is also responsible for the interactions with the external stakeholders concerned (NGOs, non-profits, rating agencies, CRS and responsible financing promotion bodies, *etc.*).

The CSR channel consist of 140 CSR correspondents in the different entities of the head offices, subsidiaries and operations sites of the Bank. They are responsible for deploying operational projects, leading local employees and providing the feedback necessary to prepare regulatory extra-financial reports.

6.1.5.2 Awareness-raising of the players

The CSR Department and CSR correspondents in the various entities and establishments work throughout the year on raising employee awareness of CSR issues and projects. The teams, backed by the dedicated resources of the Communication Department, are mobilised every year, notably during the five weeks of nationwide events organised around the following themes: sustainable development, mobility, socially responsible investment, employment of disabled persons and waste reduction.

The Internal CSR network, for its part, receives special attention as the main driver for the reporting and consolidation of extra-financial information. Conference calls are organised every two months to pass on information from the head office to the field and to share local best practices.

In order to ensure that these players from all departments, subsidiaries and sites come together and are increasingly united, the CSR unit organises an information and exchange seminar every year. The seminar of 30 November 2018 provided the opportunity to give an update on new reporting requirements, to present the new carbon neutrality target and the Energy Management System being deployed within the La Poste Group (see the Commitments to the Planet section). In addition, the seminar mobilised the entire CSR unit for the identification of CSR risks as required by decree no. 2017-1265 of 9 August 2017 on the publication of extra-financial information by companies.

La Banque Postale also continues to provide its two CSR training modules: the first tackles "The fundamentals of Sustainable Development and CSR" and the second focuses on "Becoming a participant and deploying La Banque Postale's CSR policy". The two modules form part of the training catalogue offered by the École de la Banque et du Réseau and may be taken by the 70,000 employees of the Bank, Financial Services and La Poste Network who are interested in Corporate Social Responsibility and its operational implications on the ground.

6.2 LA BANQUE POSTALE'S CSR POLICY, DILIGENCE AND RESULTS

6.2.1 Commitment to customers

True to its postal values of providing local services to the greatest number of people, La Banque Postale is guided **by a principle, to serve all**, and by an approach: to offer responsible banking and insurance services to each customer at a reasonable price irrespective of their personal circumstances.

6.2.1.1 Promote physical and digital access by all to all of our financial products and services

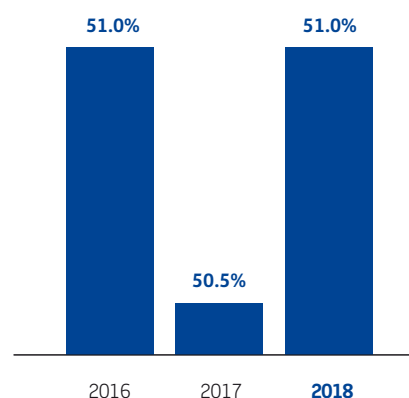
La Banque Postale welcomes its customers from Monday to Saturday everywhere in France in post offices, Financial Centres by telephone or email and 24/7 *via* its self-service ATM machines. La Banque Postale has over 10.8 million active customers. Over 26 million customers in France have opened at least one product with La Banque Postale.

It decided to build complete customer policies suited to all of its customers, regardless of their financial situation or their specific needs. As a result, financially vulnerable customers have a range of services unique in the marketplace thanks to the completeness and quality of the support provided.

6.2.1.1.1 Propose the services best adapted to each person, regardless of their situation

La Banque Postale accessibility mission

La Banque Postale is the **only bank which has been entrusted with a banking accessibility mission**. This public service mission enables every resident, including the poorest, to domicile their social services, withdraw cash from ATMs or from the counter at a post office. The banking accessibility mission is assured throughout all of La Banque Postale's business activities. It is clearly apparent in the **Livret A**. La Banque Postale is required to open a Livret A account "for anyone who makes a request", to accept an opening balance of €1.50 (instead of €10 in other banks) and to authorise payments and withdrawals starting in that amount. Lastly, it authorises all account holders to domicile certain payment and withdrawal transactions with the Bank. **Given the use that over 2 million customers make of La Banque Postale's Livret A, it is the only banking offering available in France to the most vulnerable customers.**



■ Percentage of Livret A accounts with a balance of less than €150

In order to make the banking accessibility mission for asylum seekers more fluid, the list of referring offices for migrants and the list of referring offices for administrative detention centres were updated, *i.e.* 144 offices concerned by special reception services. The postal workers in the offices have been better trained to open Livret A accounts for asylum seekers and/or have specific relationships with the mediators of the French Office of Immigration and Integration (OFII). La Poste and the OFII renewed their partnership agreement in 2019 and the number of referring offices will increase to better match up with the new centres listed by the government.

Products, services and practices adapted to the needs of financially vulnerable customers.

La Banque Postale has provided banking services specifically for financially vulnerable customers for many years. **The *Simplicité* option.** This account option enables customers who cannot deposit a cheque (bank prohibition or over-indebtedness) or who have recurring issues with their bank account to benefit from modern payment methods to pay for their purchases with a card with continuous authorisation and to pay their bills by automatic debit or wire transfer. It can also secure the budget management of its customers.

In addition, *via* its La Banque Postale Assurance Santé, La Banque Postale also offers the **Oui Santé** health insurance option for beneficiaries of the Aide à la complémentaire santé (ACS). This offer, approved by the Ministry for Health and sold with other partners offers three levels of protection based on the health needs of our customers. The Kaliviia care network enables our customers to benefit from negotiated prices at 4,600 opticians and 2,000 hearing-aid specialists.

A special system for protected customers (protected minors and adults)

To better serve these customers and their legal representatives, the Bank has created **"protected adult" agencies** for the needs of which employees receive special training. They manage account transactions for protected persons and meet the requests of legal representatives as well as those of La Banque Postale and La Poste Network advisors. La Banque Postale also offers the **Protectys** card, an interbank payment card for protected adults under the care of a natural person. 6,000 Protectys cards are currently being used by protected persons.

Promote access to financial products and services for all with a clear pricing policy: La Banque Postale is one of the least expensive major retail banks.

La Banque Postale reaffirms its goal of maintaining moderate prices and customer service every year when it prepares its rates. As a bank that works for the community at large, La Banque Postale has chosen to **apply reasonable rates**, *i.e.* rates that cover the costs inherent in a sustainable high-quality service and solid coverage of its customers' essential needs, while ensuring a reasonable margin for the Bank to finance its expansion. La Banque Postale **is different in that its prices are below market practices for account-related products and services and its operating expenses** (set service fee, incident fees, *etc.*). **This makes the Bank the cheapest for these types of transactions.**

6.2.1.1.2 Facilitating access to services to persons with disabilities

The La Poste Network, a showcase for La Banque Postale in the regions, has committed itself, for over 10 years, to a major programme of modernisation to **facilitate the accessibility of post office branches, products and services for disabled persons**. The commitment within the scope of the programmed accessibility agendas (Ad'AP) was to extend the accessibility programme to post offices between 2016 and 2024. By the end of December 2018, 5,923 post offices (72%) had accessible sales areas for all disabled people and 4,446 of them (53% of offices) had external access for persons with reduced mobility (PMRs).

At the end of 2018, 98.2% of **Automatic Teller Machines** (ATMs) situated on post office walls were either directly accessible to persons with reduced mobility (PRMs), or situated in direct proximity to another ATM accessible to PRMs in the same post office. The provision of accessible ATMs and SSTs (Self-Service Terminals) of La Banque Postale for blind or visually impaired persons is also underway, with an accessibility rate at the end of 2018 of 85%. ATMs that are located inside the offices are all accessible.

Personalised assistance is also provided to **deaf and hearing-impaired customers** when they enter the sales area. 5,200 post offices are equipped with amplifiers to ensure better communication with customers who may or may not have a hearing aid. Meetings for customers with a **sign language interpreter in French** have been available since 2014. La Banque Postale set up a new welcoming system in 2018: 100% of customer service is available to deaf and hearing-impaired customers using online banking thanks to the DEAFI solution (sworn interpreters using French sign language and cued speech). 5,800 customers were assisted in 2018.

For the **visually impaired**, La Banque Postale provides free access to statements and the monthly newsletter in Braille or read out electronically.

La Banque Postale also monitors the **digital accessibility** of the tools it provides in three main areas:

- ▶ La Banque en Ligne, accessible to users of voice systems since 2010, is audited on a regular basis to ensure ongoing improvement for users. In 2018, the areas for the deaf and hearing impaired was extended to La Banque en Ligne;
- ▶ La Banque Postale's company website is also audited on a regular basis. Changes and additions are made to the website frequently and special care is taken to avoid any regression in terms of accessibility. The labanquepostale.fr homepage was completely reworked in July 2018 to provide greater clarity;
- ▶ La Banque Postale's universal application is highly accessible to iOS devices and offers an unparalleled experience in the mobile banking world. The implementation of Touch Id functionality in 2017 simplified authentication for everyone.

6.2.1.1.3 Fight against the digital divide

In rural areas, La Poste is helping to reduce the **digital divide** and improve customer service. At end-2018, more than 4,600 digital tablets had been installed in La Poste Agence Communale service points. Available to customers on a self-service basis, they provide access to banking and postal services, as well as to town hall and institutional partner websites, such as the family benefits fund and Pôle Emploi (the French national employment agency).

On 11 January 2017, the 2017-2019 regional postal presence contract was signed with the French State, the Association of Mayors of France and intermunicipal presidents and La Poste. In this respect, resources of more than €4.5 million enabled more than 200 existing partnerships to be continued in 2018, providing support for our most vulnerable customers and allowing banking and budget workshops to be set up. Thirteen training sessions were provided to partners by the École de la Banque et du Réseau (EBR) before they worked in the post offices.

To assist customers using digital services and to help them become more autonomous, La Banque Postale implemented a **digital banking inclusion plan**. This plan was tested jointly in 2017 with WeTechCare, a non-profit created by Emmaüs Connect, in two post offices in Saint Denis and Bordeaux. Its plan is intended to identify customers who are digitally vulnerable, provide them with the support they need in the post office and direct them to the digital assistant best-suited to their needs.

To accomplish this, La Banque Postale has enriched the www.lesbonsclics.fr website with tutorials on essential digital services (scheduling an appointment with an advisor, printing a bank statement, looking up the bank online).

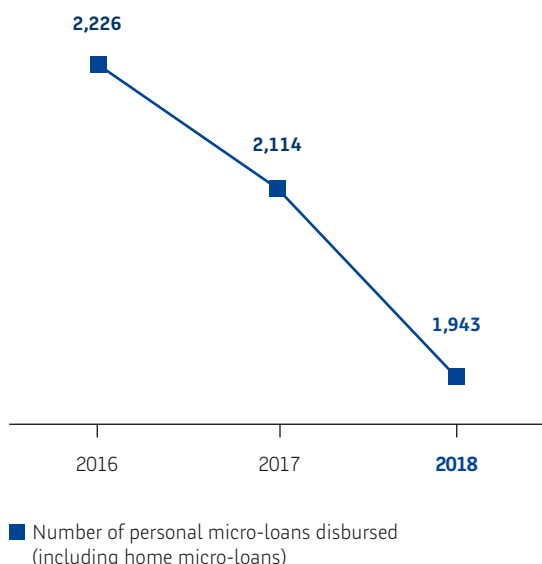
The Bank's goal is to deploy the plan in 250 post offices by April 2019 and 1,000 post offices by the end of 2019 using a first circle of digital assistants (Pimms and Face). The plan also includes the promotion of the alternative offer in post offices for customers who don't have digital access.

In 2018, La Banque Postale also contributed to the launch of a budget management application called PiloteBudget, which enables users or their accompanying person to calculate their disposable income. The tool is simple to use and confidential because it is not connected to the user's accounts. It's main goal is educational. It was developed based on the experience of the non-profits Emmaüs SOS Famille and Cerise in Nanterre with the support of other partners (ANSA, Mes questions d'argent, Fondation Cetelem, Finance et Pédagogie, Crédit municipal de Paris and Fédération française des banques).

6.2.1.2 Facilitating access to credit

6.2.1.2.1 Micro-credit, an alternative for customers who are not eligible for traditional credit

Starting in 2007, La Banque Postale began offering **personal micro-credit** everywhere in France. The product was **originally** implemented **via** a partnership with non-profits and public organisations specialised in the identification and support of projects led by persons in a situation of banking exclusion due to their low solvency. A new personal micro-credit system has been in place since 1 January 2018: La Banque Postale supports the Créa-Sol micro-finance institution to help it provide micro-credits throughout the country. Over 2018, 1,943 micro-credit contracts were paid out thanks to La Banque Postale's sponsorship. The support consists in both financial aid and skills. This support enables beneficiaries and support networks to benefit from a more fluid and rapid decision-making process thanks to the digital handling of their file.



La Banque Postale also offers a **professional micro-credit product** **via** Adie to help entrepreneurs start up and grow their business. As a result, Adie and La Banque Postale support potential micro-entrepreneurs, customers of the Bank identified in post offices in sensitive urban areas who want to create their own business. Since the introduction of this partnership, over 2,200 **micro-entrepreneurs** have been assisted and more than 440 have been able to complete their projects thanks to Adie financing. By proposing suitable financial solutions **via** Adie, La Banque Postale is fulfilling its role with micro-entrepreneurs.

6.2.1.2.2 Housing loans, access to social home ownership

La Banque Postale enables young people under the age of 36 to obtain a home loan without having to make a down payment. Although it is extremely demanding with regard to the solvency of loan applicants, it has also broadened access to credit **via** an offering of **loans providing access to social home ownership (prêts d'accession sociale à la propriété, PAS)**. This product has provided 117,000 La Banque Postale customers with access to social home ownership. La Banque Postale produced €1.57 billion in social

home ownership loans in 2018. At the end of 2018, La Banque Postale had over 215 partners including 180 social landlords.

At the end of 2017, the monthly household income for 27.1% of home loan applicants was less than two net minimum monthly wages, which represents over 13,000 people on very low incomes who were helped to acquire their homes.

6.2.1.2.3 Consumer loans

La Banque Postale Financement offers loans at rates which are among the lowest in the market with easily affordable financing amounts: personal loans (auto, work, projects), refinancing, youth offers and special offers for interim workers).

With personal student loans, apprenticeship loans and "1 euro driving licence" loans, La Banque Postale also responds to the specific needs of young people.

The personal loan for temporary workers enables La Banque Postale Financement to fulfil its role as a civic-minded Bank by offering financing to customers often excluded from other organisations.

6.2.1.3 Combat banking exclusion with public and non-profit groups

To expand its knowledge of the needs and practices of customers in a situation of financial vulnerability, La Banque Postale has, since 2012, undertaken a programme of exchange and cooperation with its stakeholders involved in combating banking exclusion.

La Banque Postale actively participates **in the public authorities' deliberations on banking inclusion**. La Banque Postale sits alongside government representatives, consumer and family non-profit associations, non-profit associations combating exclusion, and other lending institution representatives, on the **Observatoire de l'inclusion bancaire (OIB)**, or "Observatory of Banking Inclusion". Its purpose is to monitor lending institutions' practices with regard to banking inclusion, especially towards populations in financial difficulties. La Banque Postale implements all of the OIB's recommendations intended to promote the Vulnerable Customers offer and further its understanding of certain types of vulnerabilities (digital inclusion of senior citizens, *etc.*).

La Banque Postale has also initiated #gras|direct exchanges and nurtured relations with public players in the social sector and non-profit associations combating exclusion|gras# so as to promote "banking inclusion", *i.e.* the establishment of schemes facilitating access to and use of financial services for customers in a socially vulnerable situation. Convinced that only active and organised cooperation will make it possible to meet the challenges of banking and financial exclusion, in 2012 La Banque Postale founded a think tank tasked with developing new practices in response to the needs of customers in a situation of financial vulnerability. The goal of this think tank, called **L'Initiative contre l'exclusion bancaire** ("action against banking exclusion"), is to:

- ▶ promote mutual understanding among populations in financial difficulties and the other actors, banking and other, who interact with them;
- ▶ learn together in order to create and test products, services and practices that take into account the real expectations of these customers;
- ▶ promote and defend, especially vis-à-vis public authorities, the most appropriate solutions created collectively.

As an open organisation, this think tank welcomes all players in the social, non-profit association and banking world who share its goals and want to develop new initiatives to combat banking and financial exclusion. In 2018, the member of the club defined actions to promote the special offer for financially vulnerable customers, tools, mobilisation of the people involved, *etc.* The club currently has 21 members: the *Association pour le droit à l'initiative économique* (ADIE, "Association for the right to economic initiative"), the Salvation Army, ATD Fourth World, La Banque Postale, the *Chambre Régionale du Surendettement Social* (CRESUS, the "Regional Chamber for Social Over-indebtedness"), the French Red Cross, Emmaüs France, *Habitat et Humanisme*, *Restos du cœur*, the *Secours catholique*, the *Secours populaire*, *l'Union nationale des centres communaux d'action sociale* (UNCCAS, "National Union of Municipal Centres for Social Action"), the *Association Nationale des Directeurs de Mission Locale* (ANDML, the "National Association of Local Mission Directors"), the Soliha Federation, the *Union Nationale des PIMMS* (UNPIMMS, "National Union of the Multi-Service Mediation Points"), the *Fondation Agir Contre l'Exclusion* (FACE, "Foundation for the Fight Against Exclusion"), the *Union Nationale des Affaires Familiales* (UNAF, the "National Union of Family Affairs"), the *Crédit municipal de Paris*, WeTechCare, Créa-Sol and *Solidarité Nouvelle pour le Logement* (SNL, New Housing Solidarity).

La Banque Postale also supports *Action Tank Entreprise et Pauvreté* ("Company and Poverty"), a non-profit association as defined by the 1901 law that aims to promote the development of experimental entrepreneurial projects having an impact on the reduction of poverty and exclusion in France. The Malin, Mobiliz and Optique Solidaire programmes are promoted by the account managers of La Banque Postale's support platform (*L'Appui*).

6.2.1.4 Contribute to furthering financial education with La Banque Postale's employees and partners

As detailed in the Commitments to society and the regions (section: support the employees' civic commitment), La Poste Network and La Banque Postale are committed to providing financial education thanks to their skills volunteering programme with several non-profits.

Young people in difficulty are particularly targeted thanks to the many budget workshops led by skilled volunteers. In partnership with **CRESUS**, the company's ambassadors introduce young people to budget management in a fun way using the Dilemme game designed by CRESUS.

With **Finance pour tous**, postal workers assist three last-year STEMG students with their business case on a volunteer basis for a year.

Volunteers assist high school students with a mini-enterprise project. They work with the partner **Entreprendre pour apprendre**, where they sit on the regional or national selection jury for the mini-enterprise championships.

Some volunteers work with **Adie** to support the entrepreneurs with their start-up project. The latter are usually from lower-income neighbourhoods and have received a micro-credit.

The first "bourse aux experts" was organised with **Passerelles & compétences** in December 2018. It enables employees to provide free advice to non-profits about financial management and marketing plans.

6.2.1.5 Guarantee an ethical and quality customer relationship

The welcome given to customers, customer management and quality of service are perfectly in line with La Banque Postale's strategy as a "bank that works in the best interest of the community at large". A responsible customer relationship is a relationship based on quality advice, ensured by an appropriate counselling method and customer-focused commercial management and advisor remuneration. Responsible practices are implemented in all circumstances and throughout the banking relationship: confidence, support, follow-up and transparency.

6.2.1.5.1 Appropriate and responsible counselling

The advisory method is based on La Banque Postale's ethics collection detailed below (Paragraph Systematise the rigorous management of extra-financial risks). The collection highlights the importance of responsible sales practices. In addition, La Banque Postale's semantic guide reflects its fundamentals and its values, and enforces clear, simple, and transparent marketing pitches.

Since its creation in 2006, La Banque Postale has ensured that its products are adapted to the personal circumstances and needs of its customers. The **7G sales method**, recognised by the extra-financial rating agencies, has thus structured the customer-advisor relationship. After modifications in 2012 and 2015 to improve customer discovery and the quality of advice, the 7G method was revised again in 2017 in accordance with three themes:

- ▶ **a single method** for all types of interviews incorporating new tools and all contact channels (face-to-face or remote) and adapted to all kinds/profiles of customer;
- ▶ **a method which provides more personalisation and support** thanks to a better understanding of the customer within the steps of Preparation and Discovery *via* listening to the customer and providing feedback. It provides for adjusting the structure of the meeting to customer expectations and to the predefined strategy thanks to the new tools provided to enhance the customer relationship;
- ▶ **a method which is based on a long-term customer relationship**, through exhaustive customer knowledge, which is regularly updated to take the needs identified or voiced into account.

The 7G 2017 is available on the screens of the Cap Client sales tool to encourage advisors to implement the different steps of the sales method. All advisors and managers were trained on the method in 2017.

The home loan distribution scheme was changed in 2018 with the implementation of mixed distribution model within the network. The distribution model has become a model reserved exclusively for mixed model specialists consisting of:

- ▶ **bank advisors**, who are responsible for assisting the customers in their portfolios with all of their current needs as responsively as possible. 4,000 generalist advisors and all of the managers were trained in 2017;
- ▶ **690 specialised advisors**, keepers of the expertise recognised by customers. Within this framework, La Banque Postale created the "Maisons de l'Habitat" to bring together the players specialised in home loans. The "Maisons de l'Habitat" handles complex files initiated by bank advisors in the offices and requests from prescription (brokerage).

This transformation has improved the quality and speed of answers for customers and the consistency of the files.

Upstream, La Banque Postale is attentive to the way it promotes its products to its customers thanks to clear educational materials:

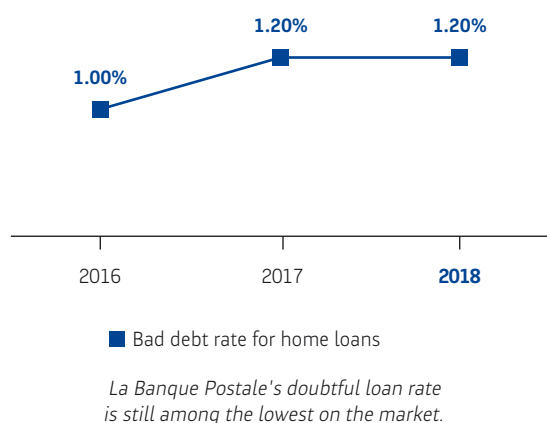
users' instructions, videos, essentials, guides, *etc.* Communication campaigns focused on transparency, simplicity and clarity contribute to building a durable, quality relationship upstream. A property guide is available on La Banque Postale's website and is updated regularly so that all customers may stay informed.

The goal of developing a long-term relationship with customers is also built into the **variable remuneration system** implemented by La Banque Postale. Each year, sales advisors commit to objectives for their performance contract based, notably, on improving the customer relationship and managing risks and compliance. The contract is assessed with the manager three times a year.

6.2.1.5.2 Signing and follow-up of the contract: prudent risk management, regular monitoring, prevention of over-indebtedness

The signing of a product contract and its subsequent monitoring are crucial stages in building a responsible customer relationship. Prudent risk management and regularly monitoring the customer's situation are thus essential.

In the home loan field, the advisors carry out a personalised study of the real estate transaction and consider the acquisition project within a comprehensive approach (taking into consideration the remaining disposable income, eligibility for home savings schemes, *etc.*). Appropriate advice and objective analysis of the customer's situation enable La Banque Postale to record a level of bad debt among the lowest in the marketplace (1.2% at 30 November 2018, identical to that of 30 November 2017, compared to a rate of 1.83% for all French establishments in 2017 (source ACPR, July 2018), while credit outstandings reached €55,347 million at the end of 2018).



The criteria for granting **consumer loans** are demanding and based on a strict policy and prudent risk management to prevent customer over-indebtedness. For this purpose, La Banque Postale designed and established a comprehensive and coherent system for preventing over-indebtedness, coming into play during the lending stage and continuing throughout the contract period. The guidelines are intended to anticipate and identify potential financial difficulties to be in a position to act early and provide support:

- ▶ **as part of the procedure for granting a personal loan**, La Banque Postale Financement calculates the customer's repayment capacity based on their income and charges and on their knowledge of the customer and their history;

- ▶ **throughout the duration of the loan**, La Banque Postale remains vigilant thanks to its trained advisors and under its customer relations management scheme in order to detect any signs of financial difficulty as early as possible;

- ▶ **as part of the customer relationship**, an annual budget review is proposed to the borrower to update their situation and check their match with the loan in progress and, if necessary, to modify the repayment schedule to adjust the monthly payment.

Revolving credits have become widespread since the redefinition of revolving credit by the Hamon Act of 17 March 2014 which improves customer protection. This offer now forms an integral part of La Banque Postale's range of consumer loans. Positioned between an overdraft facility and a personal loan, it enables customers to cope with temporary cash flow shortfalls and unexpected expenses, or carry out small projects under well-managed conditions. The evolving credit offer sets itself apart by its simplicity and its responsible nature: one of the lowest interest rates on the market, different speeds of repayment including an accelerated speed (30% quicker than the statutory obligation), a partial or total early repayment option without costs, at any time by telephone or internet.

Consistent with the values of the Bank, the offer is clear, educational and transparent. It is entirely based on knowledge of the customer. Indeed, preventing over-indebtedness has been a core concern in the designing of this offer. While the product is reserved for La Banque Postale customers with a CCP and a welcome guide describing the good and bad uses of revolving credit is made available to customers at the time they apply for the credit and during its entire duration.

6.2.1.5.3 Assistance to people undergoing financial difficulties

In parallel with its banking accessibility actions, La Banque Postale is very committed to assisting people undergoing financial difficulties. To do this, it has a unique system which was implemented with the assistance of the non-profit sector involved in the fight against social exclusion.

L'Appui, the budget assistance platform for customers experiencing financial difficulties

In November 2013, La Banque Postale created "**L'Appui de La Banque Postale**", a banking and budgetary advisory and guidance platform accessible to customers *via* a unique toll-free number. This **service** has a dual purpose: firstly, assisting customers of La Banque Postale experiencing one-off or recurring financial difficulties, and, secondly, improving the prevention of financial difficulties.

The account managers on this new platform assess the customer's disposable income after reviewing their budget to check for any non-conferred rights or to identify any cases of heavy indebtedness or over-indebtedness. The account managers of the Appui platform are therefore able to propose contacts with partners, non-profit associations (CCAS, *Union départementale des associations familiales*, *Fonds d'action sociale du travail temporaire*, *etc.*) to promote access to favourable rights or rates; and to address situations of excessive debt with credit institutions specialised in restructuring or refinancing loans, such as La Banque Postale Financement, or for situations of over-indebtedness with CRESUS. Finally, under certain conditions, the platform can provide access to social offers suited to the needs of customers in difficult financial situations, developed by Action Tank *Entreprise et Pauvreté*.

At end-2018 the L'Appui team had grown to 32 employees, all of them trained in providing support for customers with limited budgets. The scope of L'Appui also extends to La Banque Postale customers in the French overseas departments. Over 130,000 customers have received assistance and almost 50,000 have benefited from the full assistance of the Appui platform since the service was launched. La Banque Postale had an impact study of Appui carried out by a specialised firm in 2017. The study revealed that, for customers benefiting from this assistance, Appui had led to the:

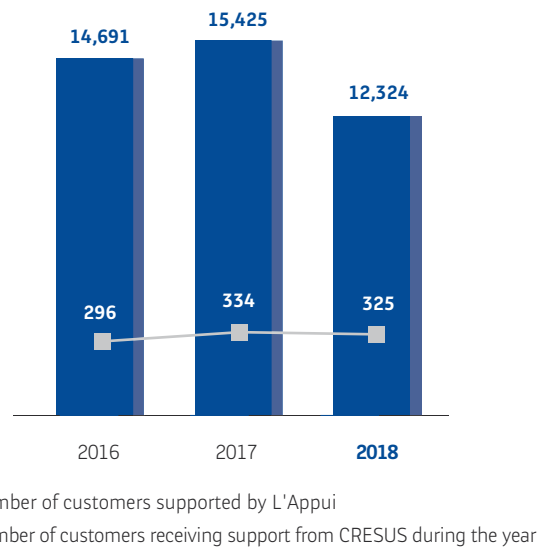
- stabilisation of their budget in the short term, a slowdown of the deterioration over the long term compared to customers that had not benefited from full support;
- awareness of the financial difficulty, demonstrating the preventive nature of the support;
- better management of incidents, demonstrating the educational aspect of Appui;
- more regular monitoring of accounts using digital tools by the customers who received assistance;
- awareness of the customer's ecosystem, enabling them to contact social bodies and associations.

As part of its partnerships with CRESUS and the **Crédit municipal de Paris**, active customers of La Banque Postale experiencing financial difficulties associated with over-indebtedness and who cannot be effectively assisted by the Appui platform will be directed to these organisations. This organisation will provide intermediation support with various creditors to obtain coordinated and long-lasting adjustments as well as social and economic assistance for the customer's financial recovery.

A dedicated consumer credit system

As part of its consumer lending and revolving credit business, La Banque Postale Financement has established a two-level support system in order to monitor customers encountering financial difficulties:

- a **support unit**, dedicated to vulnerable customers who accept specific monitoring based on listening and education, was established when this activity was launched. With the help of the customer, the advisor carries out a detailed analysis of the person's financial situation and difficulties, draws up a diagnostic to guide the customer towards loan restructuring or loan consolidation, or more comprehensive support if needed. Regular meetings are scheduled to ensure on-going monitoring;
- La Banque Postale Financement also set up a **preferred partnership with Appui** to provide guidance for heavily indebted customers, based on loan consolidation applications rejected by the loan application unit at the customer relations centre.



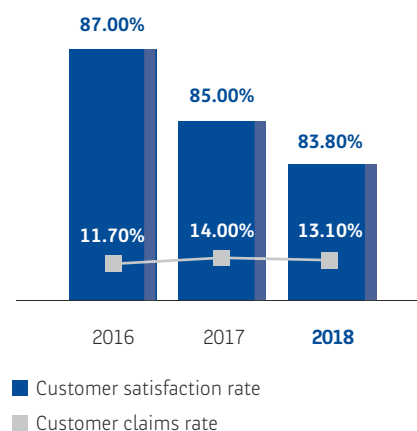
Specialised teams to better assist special cases

In addition, in 2017 La Banque Postale dedicated its expert teams to handling and supporting specific types of customers:

- over-indebted customers (36 employees) or with "droit au compte" status (right to an account granted by the Banque de France) (nine employees);
- transactions and relationship with the legal representatives of protected customers (protected adult agencies with 150 employees in five agencies).

6.2.1.5.4 Listening to customers

Quality of service is a major **lever to ensure customer satisfaction and loyalty**. Various tools make it possible to monitor changes in the quality of service delivered. **National satisfaction surveys** were conducted. Thus, in 2018 the customer satisfaction rate stabilised at nearly 84% (with 30% of customers "very satisfied") and the rate of dissatisfied customers fell to 13.1%. (Source: La Voie du Client – customer section).



Lastly, in terms of image, La Banque Postale has maintained its leading position on rates and geographical proximity. (Source: La Voie du Client – benchmark section).

Continual improvement in remote customer relations

Given these results, a certain number of measures were implemented, notably in terms of **listening to customers and handling complaints**. More than 350 employees handle customer complaints on a daily basis, firstly at the Financial Centres. If the customer is not happy with the answer provided to their complaint, they can write to the appeals department for a second review of their file. In 2018, 85.7% of claims were handled within 10 days. The complaints process is structured in order to provide the customer with visibility on how and where to submit a complaint, in line with the expectations of the ACPR. A new "appeals" level is available. The process of handling and following up claims was also standardised across all business lines and products. At the same time analysing the causes of complaints has enabled us to set up action plans to eradicate failures and bad practices. As of the end of 2017, the six Customer Solutions Departments in metropolitan France, which are all of the same size, and the Client Solutions Unit in Martinique were given the task of managing customer dissatisfaction and proposing mutually advantageous solutions for a renewed and lasting relationship. At the same time, work was done to simplify the customer journey with regard to the complaints process, with a focus on data sharing across all channels between the customer and other parties involved from the Advisor through the digital applications of La Banque Postale.

In post offices

Since 2014, La Poste Network has improved its system for responding to complaints relating to the reception at post offices jointly with the sectors. The 17 drafters of the customer complaints service - **CRC (Centre relation clients) Réclamations** - have been trained in a new method of writing and calls to customers to enable the complaints to be handled more reactively. New tools to measure the quality delivered and perceived have also been created. Firstly, the response quality is measured every quarter, based on an evaluation grid consisting of 10 criteria that enable to assess of the substance and form of the responses. The results of this measurement reveal a rate of compliance with writing standards of over 90%, and are provided per employee; they are entry points for actions to develop the skills of the drafters. Secondly, a satisfaction questionnaire enables to measure the perceived quality post-handling of the complaint.

Lastly, in November 2017, the Network's Customer Relations Centre received certification for the scope of complaints handling, in order to strengthen the quality approach standard NF 345 already acquired by the telephone service.

Other systems have been established by the Network to improve the quality of service:

- ▶ the quality measuring systems established by the Network Quality Department and the Operations Department were enhanced, to supplement and refine the insights obtained from the customer satisfaction indices and optimise management control over the fundamentals of quality of service;
- ▶ assessment of the bank advisor: reception, responsiveness and effectiveness of the advisor;
- ▶ measuring phone accessibility;
- ▶ the perceived service: customer feedback systems designed to go further with customers, gain in-depth knowledge of their perceptions and to re-contact them if they so wish. Customers can directly express their views regarding their satisfaction, enabling La Banque Postale to optimise the fluidity of circuits from end to end;
- ▶ since 2017, **satisfaction points** have been deployed in 450 offices, where customers can express their level of satisfaction to "expert advisors" directly following their contact point experience.

Via social networks

La Banque Postale is close to its customers, including on social media. It is present on Facebook, Twitter, Instagram et YouTube. It provides a personalised relationship by providing after-sales service and distributes innovative, educational and involving content.

Thanks to the quality of its **digital customer relations**, La Banque Postale, along with the LiV'Lab team of the La Poste Group, was awarded "Best digital team" in 2017. The prize is awarded by the French Customer Relations Association AFRC (*L'Association française de la relation client*). More than 1,600 customer issues are handled each month, ensuring that customer satisfaction is measured and improved on a daily basis.

La Banque Postale is positioned as the **first French bank to answer internet users' questions about money** by publishing educational videos and humorous videos presented by the "Le Tatou" youTubers on its YouTube channel.

The web series "Comme le disent les gens" ("That's what people say") was once again honoured in 2017 for its fourth season and received two "Grand Prix Communication et Entreprise" awards: best external advertising ("Meilleure publication externe") and brand content (*Prix d'honneur du Brand Content*).

Participative innovation: a lever to continually improve customer relations

Since January 2017, the La Poste Network's Customer Experience Department has provided employees with a shared participative platform to improve the customer experience and that of its employees. The "Ensemble vos idées" platform enables 17,800 employees to share their ideas and good practices, thereby contributing to customer satisfaction. In 2018, 1,900 ideas were shared *via* 20 regional challenges and two national challenges organised around thematic issues relating to the La Poste network. Concerning customer relations, employees were thereby able to suggest best practices for assisting new account managers in their daily tasks (implementing efficient client journeys in post offices, enhancing skills, use of new internal tools, *etc.*). Other good practices related to the simplification of the online bank journey or the improvement of the customer relationship in the financial centre.

6.2.1.5.5 Responsible marketing data protection policy

The **Marketing Ethics Charter governing how banking, financial and insurance products are marketed** is the basis of La Banque Postale's responsible marketing and client **data protection** policy. La Banque Postale's data protection and freedom policy is overseen by a dedicated individual, the Personal Data Protection Officer, or **Correspondant Informatique et Libertés** (CIL), who ensures that the Bank's marketing (and internal) procedures, do not infringe the main principles of protecting its customers' right to privacy. Since 2016, La Banque Postale's data policy has been strengthened by the formalisation at the Group level of the **Data Charter**, consisting of six commitments, which makes it a reference in terms of ethics in the digital sector.

The training provided to La Banque Postale advisors includes a course on knowledge of the customer and compliance with data confidentiality. The general terms and conditions of sale also include terms and conditions relating to customers' confidential information.

The security section on our website labanquepostale.com provides information for all users on best practices and how to ensure the security of personal data when managing accounts online. The legal information section on the site sets out our policy for protecting all our users' data.

With regard to **mass marketing**, La Banque Postale's sales and solicitation practices are based on processes that define the eligibility of customers targeted by marketing campaigns and the degree of commercial pressure by distribution channel. The Bank has an array of tools, such as its Marketing Plan and Customer Dictionary, to help define marketing and solicitation strategies suited to every customer segment, thereby avoiding blanket mass marketing campaigns and fruitless canvassing of customers.

The marketing procedures followed by the post office network include the **facility for customers to unsubscribe from La Banque Postale's marketing efforts**. The same principles apply to digital marketing, where our data protection policy explicitly mentions:

- ▶ **general information on the use of cookies and collection of information** on the labanquepostale.fr website: the generic message is displayed to all users the first time they visit the internet site and to visitors who have deleted their cookies;
- ▶ **access the general legal notices**: they can be consulted at the bottom of any page on the site: these legal notices include a specific paragraph on the use of customer data and cookies;
- ▶ **the link to unsubscribe from Bank emails**: given in all our newsletters to customers and opt-in prospects (who have agreed to prospecting) and our solicitation emails to customers or prospects;
- ▶ **the customer section**: when logged in, customers can update their personal data and opt in for sales prospecting directly from their customer space on labanquepostale.fr.

These legal notices have been approved by the Legal Department and the data privacy manager.

Sabotage, exfiltration of data, fraud...cybercrime comes in many guises. While all companies are now exposed to cyber risks, the banking industry is the main focus of cyber criminals. Aware of this threat, and increasingly regulated by the authorities who are becoming more and more demanding, La Banque Postale pays particular attention to managing this risk which has now become a social concern. For this purpose, in 2013, La Banque Postale implemented Information Systems Security governance based on managing risks which has been deployed throughout La Banque Postale Group. In addition to standard prevention, protection, detection and reaction systems, La Banque Postale also carries out regular awareness-raising campaigns on cyber risks for the employees of La Banque Postale and the La Poste Network. These include information about phishing, the distribution of good practices guides, e-learning and awareness-raising about new developments in the classroom. La Banque Postale contributes to the work of AFNOR on the understanding and handling of new cyber threats. In this context, it hosted a conference open to employees organised by AFNOR in January 2018.

6.2.1.6 Designing and proposing a responsible product and service offering

La Banque Postale is committed to proposing to its customers a simple, clear and responsible offering of products and services, focused on essentials, at an affordable price.

6.2.1.6.1 Consistent inclusion of ESG criteria in product design

Since 2009, La Banque Postale has ensured that environmental, social and governance (ESG) criteria are systematically taken into account in the design of its range of products and services. It has set up an ESG checklist. This tool implements La Banque Postale's five foundation values - accessibility, performance, differentiation, responsibility and cohesion - according to 19 ESG criteria: ethical advisory, transparency, simplicity, clarity, the fight against climate change, the prevention of tax evasion, *etc.* The product managers are trained in its use and are, therefore, aware of the Bank's main CSR challenges.

The ESG checklist is supervised by the Compliance Department, which ensures that it is present in each product file presented to the Product Review Committee (*Comité d'Examen des Produits* - CEP). In 2018 La Banque Postale held 24 Product Review Committee meetings. All of these new products, and those which have been significantly modified, are filtered through extra-financial criteria which cover the design and distribution of the products as well as customer support.

In addition to systematically integrating ESG criteria into its offering, right from its design phase, La Banque Postale also offers products that enable true civic commitment on the part of its customers.

6.2.1.6.2 Product proposals promoting customer involvement

La Banque Postale is involved in energy transition thanks to a dedicated offering

La Banque Postale supports its customers in their civic commitments with its **"Green Bonds"** for private individuals, launched at the end of 2015 during COP 21. This product range provides home financing solutions (energy renovation with the zero-percent eco-loan and the "green works" loan) and eco-mobility (personal loan for a green vehicle). An investment line combining a requirement for financial performance with an ethical and responsible approach is also available. In 2019, the product line will be enriched with the Eco PTZ Habiter Mieux, intended for a public eligible for Agence nationale pour l'amélioration de l'habitat "Habiter Mieux" assistance.

In 2018, La Banque Postale launched a **digital energy self-diagnostics platform** to advise and assist private individuals who want to renovate their home and improve its energy performance. The platform was developed in partnership with Économie d'Énergie and is available on La Banque Postale website. It provides customers with full support for their project, from an energy diagnostics of their home, to the completion of work by companies with the RGE label, to financing solutions. A dedicated telephone platform operated by Économie d'Énergie completes the system, providing advice to customers throughout their project.

La Banque Postale is a regional development bank and it has adapted the platform to offer it to social landlords (two-thirds of which are Bank customers) local authorities, hospitals and local public enterprises. This completes the Bank's offering to companies and the local public sector in order to optimise the energy performance of their real estate assets.

In addition, La Banque Postale finances renewable energy production projects, the energy optimisation of public buildings, infrastructure and the renovation of public transport. The creation in 2015 of a team dedicated to the financing of renewable energies within the financing and investment business (CIB) enabled the Bank to structure its efforts in this respect. In two years, more than €1.5 billion were disbursed to finance projects promoting the production of clean energy. The team has also financed projects to improve energy efficiency in buildings.

Solidarity financing, a solidarity savings product accessible to all customers

The "Intérêts Solidaires" service provided by La Banque Postale allows customers to transfer all or part of the interest from a Livret A account, Sustainable Development account (LDD) or National Savings account (LEP) to a non-profit association recognised in the public interest. The donations can be donated to non-profits involved in the fight against banking exclusion, members of the "Initiative against banking exclusion" think tank. This service is very popular with La Banque Postale customers given that 75% of donors give 100% of their interest. This generosity is promoted by La Banque Postale, which partners with customers by providing each non-profit with a complementary donation equal to 10% of the interest paid.

La Banque Postale's "Intérêts Solidaires" service was again awarded Finansol certification in 2018.

6.2.1.6.3 Responsible asset management

La Banque Postale is committed to responsible asset management by proposing a range of SRI investments ⁽¹⁾ to investors who want to **reconcile sustainable development, ethics and performance potential**.

For this purpose, La Banque Postale Asset Management (LBPAM), the main asset management company of La Banque Postale Group, announced in April 2018 that it would transfer all of its funds and mandates to SRI by 2020. This goal is the culmination of a long-term investment in SRI management. With the announcement, LBPAM has announced its conviction that SRI can give savings new meaning. The strategy is intended to meet major challenges including global warming, the demographic limits of the social protection system and the breakdown between the financial markets and society.

This SRI management applies to open-ended mutual funds marketed to individual and legal entity customers (FCPs, SICAVs), as well as to discretionary management on behalf of institutional investors such as insurance companies. For private investors, La Banque Postale launched the "Conviction ISR" line in June 2018. It consists of six funds, including a brand new CIS (LBPAM ISR Diversifié) and two solidarity funds covering the main asset classes and investor profiles of private customers.

The SRI methodology developed by LBPAM following the merger with Fédériss Gestion D'actifs, called GREaT, is based on four concepts:

- **responsible corporate governance:** balanced powers, fair distribution of added value, business ethics, gender equality, tax accountability;

- **sustainable resource management:** well-being at work, protection of the environment, water and waste management;
- **economic and energy transition:** low-carbon strategy, adaptation to climate change, products and services related to long-term challenges (renewable energies, sustainable agriculture and food, sustainable transport and mobility, green buildings, the circular economy, *etc.*);
- **regional development:** support for job creation and skills development where offices are located, support to vulnerable populations, partnerships with local authorities and long-term balanced relationships with suppliers.

The SRI analysis of the LBPAM's teams aims to assess the alignment of the companies' strategies and practices with each of these four themes.

To bolster the credibility of its range and help it to stand out in an emerging SRI market, the Bank encourages subsidiaries to have funds evaluated by external agencies. Twenty funds managed by LBPAM received the **ISR Public label** between September 2017 and November 2018. Backed by the French ministry of economy and finance, this label is now the reference for SRI savings products for individual investors. It enables them to easily identify investments that favour sustainable development while targeting the same financial returns as with traditional products over time. The "ISR public" label provides further transparency with respect to the funds in which individual and institutional investors invest in. It also provides information concerning the impact of the environmental, social and governance management of the companies financed *via* the calculation of indicators. Among these 20 funds awarded with the label, six belong to the "Conviction ISR" range: LBPAM ISR Diversifié, LBPAM ISR Actions Euro, LBPAM ISR Actions Environnement, LBPAM ISR Actions Solidaire, LBPAM ISR Obli Crédit and Libertés & Solidarité.

Also meeting customers' expectations with regard to **solidarity-based financing**, two of the "Investir autrement" funds (LBPAM Actions Solidaire, Libertés & Solidarité) received the **Finansol label**, which has recognised solidarity-based savings investments since 1997.

Moreover, to promote these responsible solutions externally, every year, La Banque Postale takes part in the Responsible Finance Week during which it offers its customers and advisors information and promotional materials for its SRI range. With respect to in-house **awareness-raising**, advisors are trained in SRI funds during their initial training at the time they take up their position. A special effort was made in the regional departments starting in the spring of 2018 to provide support to the sales campaign for the "Conviction ISR" product range. In 2018, about thirty training sessions were provided for specialised advisors and there twenty assignments in the field led by the LBPAM SRI teams.

Applying ESG criteria can have a different impact on investment decisions and the composition of funds depending on the asset class, customers' expectations and the strategy adopted. In order to make a distinction between these different factors, SRI assets are therefore divided into two categories established by the Association française de gestion (AFG):

- SRI funds (socially responsible investment);
- funds with other ESG approaches.

(1) In SRI management, companies are no longer selected solely on the basis of their ability to generate profit, but also for their ability to preserve natural resources for future generations, improve the working conditions of their employees and develop balanced relationships with all of their partners.

SRI funds

Consistent inclusion of extra-financial criteria in the management processes with a substantial impact on the composition of the investment universe or the portfolios. This category includes funds which have obtained the ISR Public label (labelled funds) or funds which implement an approach equivalent to that of the label (labelled funds).

Funds with other ESG approaches

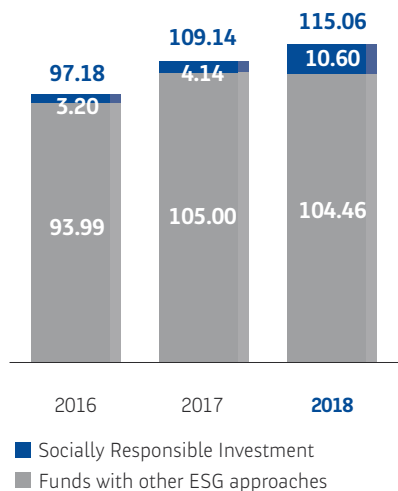
Consistent inclusion of extra-financial criteria in the management processes with a moderate impact on the composition of the investment universe or the portfolios. For example, the funds in this category apply an exclusion approach targeting controversial activities, benefiting from regular monitoring of extra-financial ratings or promoting the inclusion of extra-financial criteria *via* the formal supply of analysis data.

La Banque Postale's sales campaign was launched in the network in June 2018. The campaign generated significant collections, reflecting private customer interest in SRI. LBPAM ISR Diversifié, created in 2018, had assets in excess of €110 million at the end of the year. LBPAM ISR Actions Environnement is another example of a commercial success for ISR funds, particularly theme-based ones. The fund is driven by the increasing interest of private individuals and institutional investors in the climate. Despite unfavourable markets, the assets under management of this fund increased by 44% over the year, reaching over €180 million at end-2018. The fund was one of only three equities funds in France with the TEEC label (Transition énergétique et écologique pour le climat) at 31 December 2018.

Total responsible assets under management increased by 5% over the year to reach €115 billion at end-2018, *i.e.* 50% of total AUM. SRI assets grew the strongest, rising from €4.1 billion at end-2017 to €10.6 billion at end-2018, *i.e.* a 150% increase.

The increase in SRI assets was the result of several factors:

- ▶ the collection resulting from La Banque Postale's sales campaign for the new "Conviction ISR" product line;
- ▶ the creation or transfer of dedicated funds to SRI following exchanges with some institutional customers;
- ▶ the extension of the SRI approach to mandates managed for an institutional customer, notably *via* the setting of energy transition objectives.



Socially Responsible Investment (SRI) assets in € billions

La Banque Postale's asset management subsidiaries implemented an exclusion policy for controversial and non-conventional arms (anti-personnel mines, cluster, biological, chemical, nuclear and

depleted-uranium bombs, blinding laser weapons and incendiary bombs). The companies involved in making these weapons are excluded from all the portfolios - apart from those under index-based management (but no investment was made in the companies concerned in 2018). Thirty-nine companies were on this list as at 31 December 2018.

Tobacco-related activities and gambling are also consistently excluded from LBPAM's SRI equities funds due to their globally negative impact on society.

Lastly, LBPAM has also established dialogue with issuers to encourage the improvement of ESG practices. LBPAM uses this approach, which is called "Commitment", either individually or collaboratively, *i.e.* with other asset management companies, in accordance with the subjects tackled. In 2018, LBPAM wanted to provide its commitment activities with more visibility and joined several initiatives during the year:

- ▶ **Finance for Tomorrow:** Daniel Roy, the Chairman of the Executive Board of LBPAM, was appointed a member of the bureau of this initiative led by Paris Europlace to promote sustainable finance in France and internationally. It is intended to redirect financial flows toward an inclusive, low-carbon economy;
- ▶ the Task Force on Climate-related Financial Disclosure (TCFD) was created by the G20. This working group has formulated recommendations based on climate-related information which companies should share to help investors take good financial decisions;
- ▶ the Cambridge Institute for Sustainability Leadership (CISL): this group brings together academics and institutional investors who share the goal of tipping the investment chain toward the creation of responsible long-term value creation;
- ▶ Access-to-Medicine: is an international investment network whose goal is to encourage pharmaceutical groups to promote access to medicines by people living in low-income countries;
- ▶ Farm Animal Investment Risk & Return (FAIRR): the goal of the FAIRR international investment network is to encourage agro-foods industrialists to improve their practices with respect to animal well-being and nutrition;
- ▶ the Tobacco-Free Finance Pledge: was launched at the United Nations. This initiative brings together private and public groups committed to reducing the use of tobacco around the world.

LBPAM actively plays its role as shareholder by exercising the voting rights attached to the undertakings for collective investment managed, according to a single voting policy based on four aspects of analysis in its "SRI philosophy". LBPAM took part in 390 Annual General Meetings of European and North American companies in 2018 (compared to 384 in 2017).

For the voting process, LBPAM gives priority to open and constructive discussion with the companies.

For further information on LBPAM's commitments, its methodology and voting policy, visit the web pages on this topic at www.labanquepostale-am.fr/isr.html.

Apart from the actions taken by LBPAM, all the asset management subsidiaries in the Group's Asset and Wealth Management Division reasserted their commitment to integrating extra-financial criteria. Since 2013, a **Responsible Asset Management Committee** has circulated the best practices on implementing ESG criteria to all asset management players. Its goal is to put forward and implement programmes for integrating extra-financial criteria common to all the asset management business lines of La Banque Postale in order to make these criteria a factor of differentiation, performance and profitability. This committee, which is chaired by Daniel Roy, head of the Asset Management Division and a member of the Bank's Executive Committee, includes all the heads of the asset management companies in La Banque Postale Group.

The United Nations **Principles for Responsible Investment** (PRI), serving as a common base for the commitment of the Group's investment management companies, were signed by all the players concerned. After LBPAM in 2009 and Tocqueville Finance in 2012, BPE, the wealth management subsidiary of La Banque Postale, signed in 2013. At the end of 2018, 33.7% of the assets managed by the wealth management bank were under ESG, *i.e.* 100% of the paper securities (compared to 32.5% at end-2017). In addition, a 100% SRI offering meeting the requirements of the French government's SRI label was deployed in the BPE network in 2018.

6.2.1.6.4 Responsible insurance

La Banque Postale's insurance businesses fully comply with the CSR approach adopted by all Group business activities. La Banque Postale aims to offer insurance solutions corresponding to its socially-responsible brand; through its remedial function, insurance plays an essential role in the life of its customers, especially those who are most vulnerable. The aim is to develop simple solutions, designed to protect all its customers in the event of difficulties, and on a sustainable basis.

Offers screened with the ESG checklist

The Insurance Division of La Banque Postale has trained its project managers in risk identification, specifically including an analysis of the Group's CSR objectives in this approach. These ESG criteria are also taken into account in selecting partners for the products distributed by La Banque Postale.

La Banque Postale Assurance IARD innovations

With its "green range", La Banque Postale Assurance IARD promotes **eco-mobility** through an attractive insurance offer for green vehicles (electric or hybrid).

For vulnerable customers and young customers, La Banque Postale proposes a new approach. For young people/students under 25, La Banque Postale offers coverage for one-room studios for €5/month and one-bedroom lodgings for €8 euros/month, *i.e.* a single rate and a simplified procedure for taking out a policy. This innovation enables young people to be insured without being subject to the rate differences of geographical areas that are usually more costly.

The idea for **Proxi-client** came from internal discussions within La Banque Postale Assurances, and its objective is to be more active when customers are faced with a dramatic event. Aware of the vulnerability of customers following an incident or traumatising event, the advisors contact them to listen to them and establish their physical and psychological state of health. Sometimes, the conversation reveals the need for the person to consult a psychologist. La Banque Postale Assurances provides this service free of charge through its partner in this specific field. This human gesture illustrates the civic-minded insurer approach. It goes

without saying that there is no sales pitch or promotion of any kind whatsoever during these conversations.

In the event of serious flooding the **NAT CAT Team** of La Banque Postale Assurances goes into the post offices and offers support to the customers having suffered damage to make their on-site formalities easier. This system was deployed in October 2018 at the time of the floods in the Aude department. In addition, the **DomicClean service** was set up in June 2016. This assistance helps to immediately save belongings, and put the living space back in order as rapidly as possible while waiting for the expert appraisal.

As part of these initiatives, in 2018 La Banque Postale Assurances received the silver insurance trophy in the Innovation Services category for its **Living** programme.

The Living programme is a set of prevention, assistance and support services provided for exceptional events to all customers subscribing to a MRH contract. It includes an alert and prevention system (weather watch), a proactive support system with geolocation of insured persons in weather-damaged areas, practical support in the event of an accident with a psychological assistance unit and a resale guarantee in the event that a property needs to be sold urgently.

Innovations supported by La Banque Postale Assurance Santé and La Banque Postale Prévoyance

As life expectancy grows and the population ages, loss of independence is becoming a real social challenge. 50% of French people already grapple with dependency, either their own or that of a close relative. To meet this challenge, at the start of 2015, La Banque Postale Prévoyance introduced an affordable and very comprehensive range of dependency insurance products designed to meet all needs.

Assurance Autonomie ("autonomy insurance") is a complete, modifiable and personalised **dependency insurance** offer, which contributes to financing and offering support for lost autonomy though the payment of a capital sum and a monthly annuity, as well as numerous assistance guarantees: help with administrative and social formalities, psychological counselling, house audit, practical training for the carer, support for the carer, visit from the postman/woman, *etc.* The insured can also use these services if they become a carer for a dependent relative themselves. The **Assurance Autonomie** policy is offered to customers who need supplementary income to finance their loss of autonomy or have personal wealth to protect, as well as to customers who wish to sign up to protect a relative.

This product is one of the rare dependency coverage insurance policies to receive the **Garantie assurance dépendance** label created by the French Insurance Federation. Right from its launch, these advantages enabled La Banque Postale Prévoyance to receive the **Trophée d'Or de l'Assuré** award in 2015 and the **Trophées des Dossiers de l'Epargne** award in 2017 and 2019.

La Banque Postale Assurance Santé offers its low-income customers **supplemental health insurance eligible for ACS** (state financial aid for the purchase of supplemental health insurance). **Assurance Oui Santé** (see section "Propose the services best adapted to each person, regardless of their situation").

In addition, as part of its support for vulnerable and isolated customers, the **Complémentaire Santé individuelle** (complementary individual health insurance) now has **Remote Consultation and Advice** services available 24/7 enabling the insured to benefit from support or a remote medical assessment (medical deserts, health problem preventing travel, *etc.*).

Lastly, thanks to the **Coups Durs Santé insurance** (insurance for "hard times"), La Banque Postale provides support for its customers over the long term in the event of serious illnesses, in the form of a lump-sum payment and freely accessible assistance services.

The Insurance Division contributes its support to the Vivre site

At present 11 million people in France care for an elderly, sick, dependent or disabled family member. La Banque Postale, which endeavours to be as close as possible to the needs of families, revised the "Vivre en Aidant" ("live while helping") site, in collaboration with numerous experts. This advice and training platform, available on tablets and smartphones, is dedicated to family caregivers and provides them with concrete support in the form of articles and video content, practical advice, testimonies, and solutions to better fulfil their role as daily family caregiver.

6.2.1.7 Systematising the rigorous management of extra-financial risks**6.2.1.7.1 Measuring the level of exposure to extra-financial risks**

In addition to managing extra-financial risks as part of operational risk management (Chapter 6.1.2.2), in 2011, La Banque Postale adapted the extra-financial risk assessment method for sovereign and non-sovereign counterparties perfected by the SRI Department of La Banque Postale Asset Management (LBPAM) to measure the level of exposure to ESG risks of transactions on own account carried out by the Banque de Financement et d'Investissement. In 2014, the annual measurements became half-yearly. In 2018, the methodology was refined and the scale of the risk measurement narrowed down. The results at the end of December 2018 continued to show a globally controlled exposure: for non-sovereign issuers, 70% of assets were invested in issues that would be eligible for SRI funds (compared to 66% at the end of 2017). Moreover, there is very little exposure to securities considered to be risky from an SRI viewpoint (only 0.07% exposure).

Overall, non-sovereign issuers have a level of risk of 4.84 (compared to 5.12 at end-2017), on a scale of 1 to 10, 10 being the highest risk. Sovereign issuers have a level of risk of 5.15 (4.63 at the end of 2017).

6.2.1.7.2 Taking extra-financial criteria into account in investment and financing activities

In January 2016, La Banque Postale's Executive Committee approved the launch of a **Responsible Financing Charter** governing the granting of corporate loans. The Charter stipulates that loan applications will be rejected for a certain number of sectors, deemed too risky from an extra-financial point of view (gambling, pornography, tobacco, nightclubs, the coal industry), as well as organisations and companies that have gravely and repeatedly been in breach of the law, codes of conduct or conventions (infringement of environment law, international codes and conventions, or fundamental rights at work).

In addition, La Banque Postale published a **sector policy on defence**, that aims to establish a framework for the Group's activities for this sector, which presents substantial ESG challenges. As stipulated in the policy, La Banque Postale makes sure that none of the portfolios managed by asset and wealth management actors include companies involved in the production and sale of controversial weapons (anti-personnel mines or cluster bombs) or non-conventional weapons (biological, chemical, nuclear, depleted uranium, blinding laser and incendiary weapons), irrespective of the type of financial instruments issued (shares, bonds, or money-market instruments). To this end, since 2012, La Banque Postale has subscribed to a database kept by an independent third-party expert to reinforce the methods developed by La Banque Postale AM's extra-financial analysis teams and to

share an exclusion list used by all members of the Asset and Wealth Management Divisions in the Responsible Asset Management Committee (CGAR). This list is then shared with the Risks Department so that it can also be applied to the CIB for proprietary transactions and the Corporate Department for loan transactions. At 31 December 2018, about forty companies were on this list.

At the same time, La Banque Postale maintained a heightened level of vigilance in 2018 on a certain number of securities with **high extra-financial risk** that breach international conventions and the principles of the Global Compact. These are frequently **controversial** and therefore do not align with La Banque Postale's civic values.

In addition, in accordance with its goal of playing an active part in energy transition, La Banque Postale has decided not to finance the development of fossil fuels. As a result, the only energy projects financed by the CIB asset and project management financing unit are renewable energies projects. Agricultural commodities funds are also excluded from the scope of authorised financial instruments.

La Banque Postale also strives to prevent financial and legal risks, and risks to its image from investing in jurisdictions with poor regulation, or which are opaque or uncooperative regarding tax fraud, money laundering and terrorism financing. It has compiled a **list of at-risk countries** where it cannot carry out or participate in any commercial development.

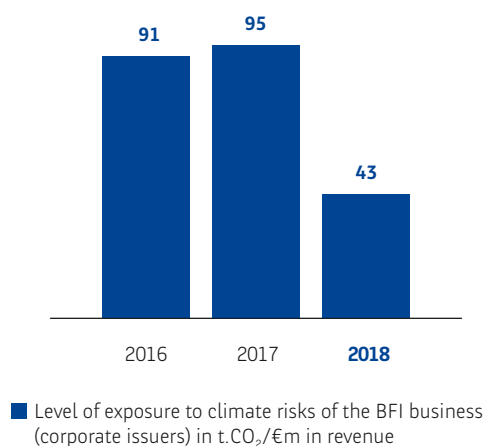
Since 2010, La Banque Postale Asset Management (LBPAM) has stepped up its responsible practices by integrating environmental, social and governance (ESG) criteria in selecting its market intermediaries. This is based on a questionnaire from the LBPAM's SRI Research and Management Department, which is sent to all market intermediaries (*i.e.* the financial institutions with which LBPAM conducts market transactions). Seventy-five institutions have received this questionnaire since 2016.

6.2.1.7.3 Measuring exposure to climate risk

In 2018, the Group Risk Department continued, in cooperation with the Bank's CSR Department, to work to identify and analyse its sensitivity to climate change, in accordance with the recommendations of article 173 of the Energy Transition for Green Growth Act.

- ▶ La Banque Postale has notably updated the mapping of its exposure to physical and transition risks developed in 2016 as part of market exchanges carried out regularly by the ACPR and the Treasury.
- ▶ La Banque Postale also took part in several market working groups intended to define a market measurement of the exposure to climate risks.

La Banque Postale used another criterion to measure its level of exposure to climate risks by applying a methodology to measure the carbon intensity of its CIB (Corporate and Investment Bank) activity. The Bank is able to measure its control of its level of exposure to securities that emit the highest levels of greenhouse gases by applying this method developed by LBPAM to corporate bonds. At the end of December 2018, the carbon intensity of "corporate issuers" was 43 tCO₂/€m of revenue (compared to 95 tCO₂/€m of revenue at the end of 2017). This intensity was significantly reduced because it is closely correlated with the sector breakdown of the portfolio, which is heavily invested in the financial sector whereas industrial or energy sectors have far higher carbon intensity. The exercise also helped to identify the most carbon-intensive assets and to inform any potential divestment decisions. For example, three fossil fuel issuers were removed from the portfolio over the last half-year of 2018. At the end of 2018, fossil fuels only accounted for 0.75% of non-sovereign issuers (vs 1.46% at end-2017).



6.2.1.7.4 Ethics: better risk management in business processes

La Banque Postale is determined to promote ethical and responsible behaviour in-house in order to confirm the relationship of trust it has with its customers, employees, markets and service providers and all of its stakeholders.

Awareness-raising actions for ethics and business ethics

A second wave of awareness-raising was initiated in 2018 following the distribution of a **new code of conduct** in 2017. In all, 35,935 employees of La Banque Postale and of the Financial Departments of La Poste, the La Poste Network and the Solutions unit, shared by La Banque Postale and the La Poste Network, followed awareness-raising training in 2017 and 2018.

In addition, a new annual information campaign on ethical rules and business ethics and the fight against corruption was initiated in October 2018. The goal of the campaign, intended for all 58,000 employees, was to provide the latest information regarding ethics and the stakes and rules governing major topics related to ethics and business ethics such as the General Data Protection Regulation (GDPR), the fight against corruption, the insurance distribution directive and the financial investments market directive.

The ethics code will be updated in early 2019 to include rules about harassment in the workplace, the fight against discrimination, compliance with competition law and La Banque Postale Group's tax policy. This is in addition to the good practices to be followed with respect to banking, finance and insurance with customers, employees and third parties which are already included in the current code of conduct.

Two special projects were also initiated in 2018. The first covers the monitoring of unauthorised connections or attempted connections to websites. The work started together with the various departments in question will enable the identification of legal and contractual measures appropriate for the breaches discovered. The second involves updating and harmonising the presentations on business ethics and the fight against corruption contained in the various training modules for employees when they take up their position.

Employees are, therefore, trained in business ethics when they join the Company and throughout their career thanks to training

campaigns on the rules of good conduct which have been provided since 2006. The training provided to the employees in question covers the principles and main rules in effect at La Banque Postale and La Poste: respect for customer needs, banking secrecy and data confidentiality, prevention of conflicts of interest and compliance with the rules of use of information systems.

In addition to the training and regulatory approval systems, compliance officers and correspondents are involved in a number of different instances (management communities and committees, special control training and subsidiaries).

With respect to the management of regulatory approvals (sales, insurance and certification), a joint Compliance Department and Human Resources Department project was initiated at the end of 2018. Work was done immediately to provide all network sector heads with operational information about regulatory approvals. Lastly, the project to revamp all regulatory training relating to insurance authorisations was started at the end of the year. With respect to regulatory accreditations, 2,453 employees followed the AMF certification course in 2018, and more than 8,330 people signed up to the different classes relating to insurance accreditations.

Employee awareness of ethics and business ethics

The 2018 Kantar TNS ethics climate survey carried out with major French companies and La Poste Group indicated that 94% La Banque Postale employees state, on the one hand, that they are aware of the actions taken in ethics and business ethics matters and, on the other hand, that they are impacted by the Company's ethics and business ethics work. This was up four points since the 2017 survey.

In addition, 86% of employees stated that they were made aware of ethics and business ethics during the second awareness-raising campaign initiated following the distribution of the ethical code of conduct distributed in 2017. In this respect, 94% of employees also stated that it is important that a person be responsible for ethics and business ethics, with 90% adding that the compliance officer is the best contact to discuss issues related to ethics with.

The 2018 ethics survey also indicated that 80% of employees felt that there has been a change in ethics and business ethics. They believe that La Banque Postale's main concerns relate to compliance with rules and regulations (96%), the fight against corruption (95%) and respect for customers (84%). It should be noted that 95% of employees say they are ready to blow the whistle if they witness an ethical breach.

Employees consider that La Banque Postale behaves ethically because it wants to have a good image (93%), improve the trust of its customers (92%) and of its external partners (90%).

Control of compliance with ethics rules

The system continues to rely on **detecting and monitoring malpractice and ethical breaches**. Alerts emitted concerned breaches of professionalism, and non-compliance with the good conduct rules. It should be recalled that the system can notify managers of any breach of the rules so that they may take the necessary measures. Several follow-up and guidance meetings were organised in 2018 to check that actions were being correctly implemented.

In case of suspected breaches of ethical rules or faults, the **whistleblowing process and alert system** provide for the relay of information to La Banque Postale's compliance officer. They are also informed by the compliance officers working in the Bank's various departments, at the subsidiaries, in the La Poste Network and the Solutions Department. It should be noted that the alert system was updated in 2018. It is now hosted on a secure external site which enables alerts related to the prevention of corruption to be received with the confidentiality required.

With regard to governance issues, nine **monthly cross-departmental business ethics committees**, led by the compliance officer, were held in 2018. These committees enable monitoring of the progress of the ethics action plans defined for 2018 and the exchange between the departments and business lines on shared topics: monitoring of cross-functional ethical and corruption risk, monitoring of unauthorised internet access, *etc.*

More specifically, a seminar bringing together all of the ethics groups (about 140 people) was held on 6 June 2018 on the topic of "Artificial intelligence and ethics: what is at stake for La Banque Postale?". The stakes were clearly presented by the Legal Department and a partner of a firm specialising in Fintech and during the presentation of projects developed by La Poste and La Banque Postale.

The Head of Business Ethics of La Banque Postale takes part in the **Ethics Committee of La Poste**, a body that brings together the Ethics Departments of the La Poste Group's four business lines.

Strengthening the fight against corruption

The **behaviour risk** monitoring system was developed in 2018. It includes an action plan as indicated in the risk management policy. The steering committee for the implementation of the corruption prevention system, as defined by the Sapin II law in its anti-corruption, section met seven times in 2017 and five times in 2018. It focused on follow-up of the implementation of the eight points of the system in line with La Poste Group principles: "Tous concernés - Tous vigilants - Tolérance zéro" (All involved - All vigilant - Zero tolerance). The adaptation of corruption prevention governance starting in 2019 was approved at the last steering committee of 2018. Its goal is to provide operational monitoring of all of the topics involved (risks, training, controls, codes of conduct, handling of alerts, due diligence of third parties, *etc.*).

The whistleblowing system, extended in 2017 to corruption prevention alerts, is now located on an external website whose data is accessible to the compliance officer and the people they have authorised. This system ensures confidentiality and the protection of whistleblowers and provides a complete paper trail.

La Banque Postale ensures that its suppliers also share its values regarding the prevention of corruption by having them sign a Responsible Purchasing Charter which underscores the importance of respect for human rights, labour rights and the environment. In 2018, La Banque Postale, jointly with the La Poste Group, continued its risk mapping in order to comply with the Due Diligence Act.

6.2.1.7.5 The prevention of tax evasion

DNFP

Finally, as an essential player in the French economy, La Banque Postale **combats tax evasion** by strictly complying with applicable rules and prevention measures. As a French retail bank, it works nearly exclusively in France and does not have any offices in countries on the French list of non-cooperative countries and territories or on the European list of tax havens in effect. At the very most, La Banque Postale has pursued very limited business in countries where La Poste already conducted business at the time of the founding of La Banque Postale. The results of the latter are fully taxable at common law rates and their activities are not subject to transfer pricing issues.

The tax management of all Group entities and companies is handled or controlled directly by La Banque Postale's Tax Department in Paris. This management is based on principles of stringent compliance with applicable regulations and transparency with respect to the authorities. The ESG checklist, systematically included in the design of product and service offerings provided to customers, takes into account the criteria for the prevention of tax evasion. The products and services commercialised by the BPE, La Banque Postale's private bank, are subject to review to ensure that they don't promote investments in non-cooperative countries and territories. La Banque Postale Group formalised its tax policy in 2018. It will include the code of conduct when it is updated in 2019.

Furthermore, the monitoring of customers' activities in terms of regulatory compliance is carried out as part of the **fight against money laundering, terrorism financing and fraud**. Measures have been set up to control international transactions between France and countries presenting risks. This monitoring generates alerts which are subsequently handled by a dedicated tool. Over 100 people are dedicated to this activity within the Financial Transactions Security Department. La Banque Postale does not offer complex tax optimisation products to its customers.

Since 2015, following the Paris attacks, this division developed a new series of alerts based on "weak signals", below the thresholds used for combating money laundering and focusing more on behavioural indicators, with very satisfactory results.

6.2.2 Commitment to employees

La Banque Postale is unique in the French banking landscape, both by its history, its human values and its capacity for growth. It puts its employees at the heart of its transformation strategy to reach its growth, innovation and digitisation goals. As a "socially responsible bank", it works to continuously facilitate its customers' lives: it promotes listening and consideration of each of its employees to mobilise them to meet its growth, operational and financial goals. Increasing their skills and responsibilities is a necessary lever for change, in which they are both players and beneficiaries.

6.2.2.1 Supporting mobility and training employees

Given its dynamic for transformation and to reaffirm its goal of building the "bank of tomorrow" with "the employees of today", La Banque Postale is highly committed to the engagement, mobility and training of its employees.

6.2.2.1.2 Mobility and career development

La Banque Postale implemented concrete measures to promote the mobility and career development of its employees a number of years ago. It provides support for the professional goals of each employee throughout their career by encouraging the development of their skills. It also pays special attention to the retraining of employees who want to change career path. In doing so, it is committed to its social model. It also develops actions to direct employees toward new businesses that drive its commercial development.

A new skills database was implemented in 2017 to promote mobility and skills improvement and, since 2018, has been used for the annual reviews of all employees. The goal is to develop a shared understanding between manager and employee of the skills expected of the latter's current position and their move towards other positions in the future.

In addition, the departments in charge of mobility and recruiting were combined for all La Poste Group branches in 2018 with the goal of promoting mobility and career growth, including between branches.

La Banque Postale implemented a particularly ambitious recruiting and internal mobility plan in 2018. A total of 5,900 positions were filled throughout the entire Bank, its subsidiaries and the La Poste Network, including both new jobs and replacements. Priority was given to customer service with 2,200 customer service staff positions filled in the post offices or remotely and 1,800 banking advisors for private customers hired. Three hundred positions dedicated to corporate companies were also filled (advisors and middle-office functions, notably for the development of leasing and factoring activities). The recruiting and mobility also strengthened regulatory expertise and computer and digital skills.

Specific social agreements also support and facilitate employee mobility. Over 100 collective agreements have been signed since the creation of the Bank in 2006.

Several agreements signed in previous years continue to promote mobility: the 2016 agreement on the business lines and careers of banking advisors, the 2016 agreement on the mobility of Banque Postale Group employees and the 2017 agreement on the conditions for the exercise of the banking advisor position.

6.2.2.1.3 Training

Since its creation in July 2015, the **École de la Banque et du Réseau** (EBR) has underpinned the Group's strategic transformation by training 65,000 La Banque Postale, Financial Services and La Poste Network employees. The EBR prepares employees for the skills and businesses of tomorrow by taking into account their career path and their personal goals: it's "school for one and all".

In 2018, EBR implemented ambitious training programmes both rich and innovative, to meet the strategic challenges of the branches. The classroom training is extensive thanks to digital equipment and modular furniture which create a learning environment that promotes creativity and interaction. Remote training is becoming more entertaining, educational and collaborative. New methods are being developed to ensure the success of training courses available to all employees: it is becoming multi-modal and multi-player. All of the stakeholders in the process of increasing skills are involved to improve training performance.

In order to adapt to the specificities of each person and ensure everyone's success, the EBR has expanded its multi-channel training:

- ▶ training is provided in several formats to allow students to select the method they prefer: in person, remotely or a combination (blended learning);
- ▶ mobile learning is becoming common with the U[K]now application which provides mini-modules, videos, articles and test sheets on a range of topics to continue the banking education of managers. At 31 December 2018, nearly 1,050 employees were connected to the application with an excellent satisfaction rate;
- ▶ virtual classes for group remote learning are being developed. This method provides the benefits of classroom training while avoiding travel. Over 600 training sessions have brought together more than 5,000 employees virtually over two years;
- ▶ training by telephone is continuing with the general implementation of remote customer relationship training;

new types of workshops are being set up, like the "Démarche Lab", a participative approach during which many topics are covered to identify and experiment with operational solutions which support the Group's strategy;

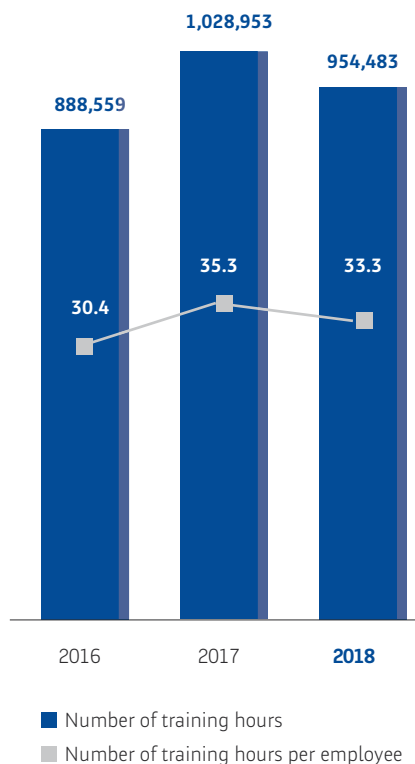
in addition, the EBR assists with employee development by building personalised training solutions which are adapted to the experience and skills of the students;

training for new positions is personalised according to each person's profile;

self-assessment tests are provided to better direct employees toward training tailored to their skills;

regulatory training is adjusted to employees' skills development needs.

To ensure the satisfaction of each student, the EBT puts the user's experience at the heart of its concerns. Since the 2018, indicators like the Net Promoter Score, which shows the satisfaction level with training, are monitored each month as key performance indicators:



In all, in 2018, nearly 140,000 training days were provided to employees of La Banque Postale, financial services, the Banking Advisory Line and subsidiaries. This represents a little under one million training hours, or 33 hours of training per employee on average.

It should be noted that the Ecole de la Banque et du Réseau provided 285,000 hours of training to all La Poste Group employees.

6.2.2.1.4 Youth employment, integration and training

La Banque Postale is particularly active when it comes to the **integration and training of young people** for work. Since 2013, to facilitate the integration of young people into the Company, managers have a dedicated HR contact person who assists them in defining their needs and in the recruiting process. He/she ensures the integration of students into the teams and the satisfactory performance of their assignment.

La Banque Postale has consolidated its relations with the student sector: it has **32 partner schools**, including business schools, engineering schools and universities throughout France. The Bank conducted over 50 initiatives at trade shows, forums, presentations, and even examination Boards. In this way, it makes its business lines and subsidiaries more well-known, improves its attractiveness and promotes student access to the world of work.

For example, it took part in the 50th edition of the **EDHEC Sailing Cup**, which is intended to bring students together around a sports competition and raise their awareness about environmental issues.

La Banque Postale had over 2,000 work-study employees as of 31 December 2018 under apprenticeship or professional training contracts with a level of education ranging from Bac+1 to Bac+5 for a term of one to two years.

6.2.2.2 A comprehensive and competitive remuneration policy

To meet its goal of accelerating its commercial growth, La Banque Postale has a human resources policy based on a comprehensive compensation system, applying fundamental principles of fairness and transparency. It aims to recognise skills development, establish a link between employees and performance, retain loyalty and support career paths.

In 2018, La Banque Postale allocated a budget to reassess fixed remuneration which included a general increase of €300 for employees whose gross annual fixed remuneration was less than or equal to €40,000. This is consistent with the Le Groupe La Poste's budget for the compulsory annual salary negotiations for Financial Services employees. In line with the statements made by the President of the Republic, and as part of the measure taken by La Poste Group, La Banque Postale decided to grant an exceptional bonus to its employees. It will be paid in January 2019. As part of the revaluation campaigns at La Banque Postale, the average annual rate of salary increase for women employees was more favourable than the one applied to men.

In 2018, La Banque Postale renewed a €100,000 budget dedicated to gender equality in the workplace in order to address the pay gap between men and women in comparable positions, and the situation of employees at the start of their careers. This led to salary increases for 101 bank employees, of which 69% are women and 23% are starting their careers.

La Banque Postale also shares the fruits of its expansion and performance in the form of **variable collective remuneration**: incentives and profit sharing. Incentives, which are calculated on the basis of the operating result and the CSR rating, reflect everyone's contribution and La Banque Postale's commitment to sustainable development (in 2018, La Banque Postale was among the top performing banks globally in this respect for the fourth year in a row). The incentive budget in 2018 totalled €11 million net. Profit sharing in the amount of €3.1 million net was also added to this budget.

La Banque Postale also gives its employees the opportunity to constitute medium or long-term savings *via* the **PEG (Group savings plan) and PERCO (collective pension savings plan)** schemes. To support the investment effort, La Banque Postale makes a contribution which can be up to €1,200 per employee. The total employer's contribution in 2018 amounted to €2.6 million net. In 2018, nine subsidiaries were members of the La Banque Postale Group's PEG and five of the PERCO.

The La Poste Group's results for FY 2017 enabled Financial Services to pay an incentive budget of €5.9 million net to its employees. To encourage medium and long-term savings, La Poste Group offers its employees the possibility of taking out group savings plans and collective pension savings plans (Group PEG & PERCO). The investments comprise at least 35.6% socially responsible assets. La Poste supports its employees' investment efforts every year by contributing up to €2,400 gross to the amounts they have invested individually. In 2018, the total employer's contribution for Financial Services employees totalled €2.6 million net.

6.2.2.3 Dialogue and employee relations

Since its creation, La Banque Postale has paid special attention to ensuring **high-quality employee relations**, based on trust and mutual respect.

Many agreements and amendments were negotiated and signed in 2018 (incentives, amendment to the profit-sharing agreement, the framework agreement on union law, social dialogue and employee representation). These were in addition to those signed earlier and still in effect (PEG, PERCO, profit-sharing, disabilities, collective complementary guarantees for personal risk and health insurance, diversity, gender equality at work and generations contract, training, constitution and functioning of the Group committee, on-call and exceptional work, working schedules, electronic voting, social dialogue and union law, *etc.*).

“Bureaux à priorité sociétale” agreement

The purpose of the agreement signed by the unions and the Department of Businesses and Regional Development (DEDT) is to better take account of the difficulties encountered by business customer managers working in social priority post offices (BPS). The agreement signed on 3 October 2018 extends to business customer managers working primarily in the BPS, a certain number of measures contained in the Network agreement of 20 June 2018 on the implementation of organisational measures such as the increase in the seniority of the employees in question, post-assault counselling, payment of repairs for material damage caused to the personal belongings of employees the contribution to the time-off bank and financial incentives for a move to a social priority office.

Teleworking agreement

In addition, La Poste and the unions unanimously signed a new national agreement on teleworking on 27 July 2018 for the 2018-2022 period. Implemented in 2013, it now enables over 2,000 employees, including La Banque Postale financial services employees, to work remotely. The new agreement is intended to develop teleworking by loosening its conditions and by simplifying the procedures for implementation.

“The future of the banking business lines” agreement

The financial services, focusing primarily of the social benefits bodies, carried out a sustained and rich social dialogue. Seventeen meetings were held at the national level (eight social dialogue commissions and nine commissions following up on the “The future of banking business lines” agreement (AMB 2016-2020)). In addition, there were many local meetings covering the national projects.

Several major topics were shared in 2018:

- ▶ organisational changes (creation of the Payment Operations Department, the fight against money laundering and the financing of terrorism unit (AML/CFT), *etc.*);
- ▶ continuation of the programme on the organisation of work time in the Financial Centres (with over 32 agreements signed locally since the programme was launched in 2016);

- ▶ follow-up of the AMB 2016-2020 agreement with the expected execution levels and the commitments met or exceeded for some (promotions and certifying paths).

All of these changes took place in a well-managed national and local social climate.

The standards of La Banque Postale's employee relations have thus been improving constantly since its creation: over one hundred collective agreements were signed between 2006 and 2018 by La Banque Postale and the financial services.

La Banque Postale is among the first companies to have created in 2017 a single economic and social committee (CUES) which combines the works council (WC) and the committee for hygiene, safety and working conditions (CHSCT) under the Rebsamen law of 2015. This body promotes dialogue around a global vision of the operation, organisation and strategy of the Company.

The personnel organisations and, particularly, the single economic and social committee (CUES) were able to better understand many of La Banque Postale's projects which support its strategic plan and development. In addition to the eleven regular monthly meetings, the CUES members were mobilised and met six additional times in extraordinary meetings.

Eleven hygiene, safety and working conditions commissions also met and a dozen CUES commissions were held with management and personnel representatives (social and cultural activities, information and housing assistance, professional equality, training, the economy, health and well-being at work). Of the 33 organisational topics, none received a negative response from these bodies, which is proof of the strength of the social dialogue and the transparency and the quality of the exchanges.

“Strategic days” are now held every year to bring together the unions and bank management. Their objective is to work together on future changes in the needs of customers and the transformations required, notably with respect to the impact of digital.

Of the seven cross-functional topics which impact both the network and financial services, seven La Poste social dialogue commissions (CDSP) and two follow-up commissions on the agreements regarding banking advisors were held in 2018.

The CDSP provided the opportunity to present the last development and deployment steps of the new “CAP Client 3.0” tool. The tool has completely modernised the workstations of the 10,000 banking, post office and financial centre advisors. Progress updates were also presented to the unions on the new home loan distribution scheme implemented in 2017, on the development of the “Banque des Pros” and on the implementation of the new “Ma French Bank” business line.

For their part, the follow-up commissions updated the unions on all of the actions implemented for banking advisors under the social agreements covering them.

2018 was also the year for professional elections at La Poste. The Group saw a good level of participation (73%) which was, nevertheless down by 2.6 points compared to the last elections held in 2014, but which is still high compared to the overall participation in the civil service (49.9%). 2018 also saw the election of La Banque Postale personnel representatives to the Supervisory Board.

6.2.2.4 Promoting quality of life at work and the well-being of employees

6.2.2.4.1 A company which promotes quality of life at work

Based on the principles decided under the health and well-being at work agreement, La Banque Postale has initiated a new project to assess workplace risks and completely rewrite the single document in 2019.

In partnership with the health and well-being at work commission, a joint commission, work has been started to develop a dashboard with monitoring indicators to promote the improvement of health in the workplace and to prevent absenteeism.

The financial services have been committed for several years to the deployment of a **policy for the prevention of occupational risks** through initiatives adapted to the actual work. An annual prevention, health and safety at work plan is implemented each year and presented to the national financial services occupational health and safety commission (CNSST). This body continues to monitor and propose prevention initiatives, while accounting for the human factor in projects.

A working group was created following the signature of the 2016-2020 AMB agreement. It is responsible for studying the new measures to be implemented to improve the working conditions of the business lines within the financial and national centres. The working group, consisting of the CNSST social partners of the financial services, and experts in the field, enabled the implementation of actions related to the impacts of digital, changes in the customer relations field, *etc.*

The Network's "Quality of Life at Work" (QVT) Department undertakes experiments on work organisation and "working differently". The experiments are followed by the Network's QVT observatory.

In 2019, the QVT network will increase its involvement to promote teleworking for the operating and regional departments. The goal is educational, in order to initiate change involving new working methods following requests from employees and internal organisational changes.

The **remote social bodies** (notably *via* video-conferencing) will be generalised and the topic of studies carried out locally by each CHSCT entity.

6.2.2.4.2 Prevention

In 2018, the financial services renewed the prevention actions related to **musculoskeletal** disorders. A training course for employees entitled "I protect my back and my joints", concerning movements and positions, has been provided by OSH experts and medical personnel since 2014. This one-day training course presents concepts of anatomy, ergonomics, observation of work situations, and practical exercises on the layout of computer work stations and stretching and relaxation exercises.

As part of the prevention and management of **psychosocial and incivility risks**, training has been deployed to teach employees working on the telephone how to handle stress when faced with incivility from customers or their managers. The deployment is completed with tools to fight and act against internal incivility.

The Network QVT Department improves its management of **safety training** and action plans each year as part of its assessment of **occupational risks**.

Operational managers (400 sector heads selected nationally and all of the n-1 of sector heads) are directed to prevention training, including "Prevention as a lever of success for company managers" and all training from the Group's "Bien dans son travail" (Being at

ease at work) plan. The goal is to strengthen the **managerial prevention culture** within the Network.

With respect to **accidentology**, the managers of each entity have an obligation to undertake a **systematic analysis of each workplace or service accident** to determine its root causes and prevent the recurrence of the risks identified. This action is part of the Group's global action plan.

6.2.2.4.3 Actions to raise manager awareness

The quality of life in the workplace is above all connected to the ability of individuals to gain the sense of **professional fulfilment**, itself the fruit of a considerate work environment. This philosophy of consideration for people in service to their willingness to commit is taken into account in the **management courses** taught at in-house.

The managers' roadmaps integrate to a considerable extent the indicators of the reality of this commitment: social barometer and low absenteeism. Support measures help managers carry out their missions: coaching, mentoring and mediation. These practices are developed to help them become aware of opportunities to modify certain behaviours: feedback, 360 degrees, discussion area about work, exchange workshops, *etc.*

In addition, a **special mediation and support position** inside the Operational HR Department of the Financial Services Division supports and advises managers and local HR teams. This enables management of complex individual situations and the implementation of solutions on a case-by-case basis: personalised support, career mobility or relocation, *etc.*

The teleworking agreement signed for the 2018-2022 period by La Poste Group also plays a part in improving work/private life balance and in reducing stress. At 31 December 2018, nearly 600 employees of La Banque Postale and financial services were engaged in this type of distance work and relationship, based trust with their managers.

2018 saw the start of the deployment of work discussion areas (EDT - also called "Parlonzen") within the La Poste financial services. The EDTs enable managers and their teams to build operational solutions for daily problems and to extend already existing best practices.

In June 2018, the Human Resources Department of La Banque Postale and of financial services carried out a fourth satisfaction survey on the quality of life at work among employees (excluding subsidiaries). This **social barometer** provides an understanding of the perception over time of the quality of life in the workplace within the companies, in order to act on common themes such as finding a balance between private and professional life, the work environment, recognition, management, *etc.*

6.2.2.4.4 Handling of individual cases

The Network QVT department has provided a system **for handling individual cases** since 2017. This initiative provides support for employees who are highly exposed to psychosocial risks, to absenteeism related to external violence, to significant changes and to increased inability to remain standing for long periods. The deployment of the Prévilot project with 500 islands minimum enabled equipment by sector to enable alternating between standing and sitting workstations to **prevent physical incapacity** and to handle reported situations.

The agreement on social priority offices also adds an additional measure to the **support for victims of incivility** requiring longer-term psychological help than currently provided in existing contracts. Modelling and implementation work for this measure is planned with occupational physicians for deployment in the second half of 2019.

6.2.2.4.5 Absenteeism

The **project absenteeism** work continued in 2018 *via* the sharing of all good practices, awareness-raising on the subject in all of the entities and deployment to the training managers for the return interview. This action is fully within the scope of the La Poste Group's "Bien dans son travail" project. The topic of accidentology is also implemented in financial services to prevent or act on the subject. A systematic analysis of accidents is undertaken.

The financial services continue to deploy human impact analyses within the scope of transformation projects. This tool, deployed within each entity, makes it possible to further take into account work conditions during projects, through a multidisciplinary approach (occupational health services, preventive personnel, HR, social assistants, CHSCT (Committee for Health, Safety and Working Conditions, *etc.*) and with the active participation of employees and managers.

The prevention unit and occupational health services continue their work of accompanying employees and managers, and ensuring that work conditions are taken into account within their respective entities, in particular by the adapting of workstations and the organisation of working groups. In addition, the new professional training programme launched in 2016 for the whole of the HR sector was continued in 2018. The goal is to provide the life-at-work managers and preventive personnel of the entities with new tools and methods to support the La Poste's financial services in improving working conditions.

Absenteeism declined in 2018, for the first time since 2015 (-0.39 days). These encouraging signs have led the Network QVT Department to deploy its **QVT action plan** whose purpose is to reduce absenteeism *via* the various QVT levers.

At the national level, experiments on five topics have been initiated in volunteer regional departments: **working conditions, organisation, management, motivation and commitment, and ongoing employment**. Each experiment will provide feedback resulting in clues for national implementation. The QVT plan also includes major projects like Boloco (a project to improve facilities) and Prévilot, which addresses working conditions.

To complement national implementation, all of the HR units will be trained to analyse local absenteeism results and in the execution of simple, local multi-discipline operational action plans.

6.2.2.5 Guaranteeing equal opportunity in hiring, careers and promotions

Respecting and promoting the principle of equal opportunity and equal treatment is something which applies to all company players, at all levels and at all stages of their working lives. As "a caring, socially responsible bank", La Banque Postale is committed to promoting diversity and equal opportunity, to give everyone access to its various business lines. It also pursues an employment development policy for people with disabilities, promoting their integration and ensuring their career development.

6.2.2.5.1 Diversity and disabilities: commitments and agreements

A fourth disability agreement, signed in March 2017, concerns employees of La Banque Postale and of La Banque Postale Crédit Entreprises. This agreement makes it possible to continue the actions

started in 2008 by La Banque Postale, which are: recruitment, integration, training, ongoing employment and awareness-raising among different company actors.

An **amendment to the sixth La Poste Disability Agreement** was signed in December 2017. La Poste has reinforced its commitment to promoting the retention of disabled persons in their jobs. In particular, the agreement gives priority to keeping disabled persons in their jobs by creating a Committee for Return to Work and Job Retention in each entity. It also aims at pursuing efforts in matters of hiring persons with a disability, and turning to the adapted/protected worker sector. Moreover, the mobilisation to develop digital accessibility is being reinforced.

As proof of its commitment to **diversity, gender equality at work and the generations contract**, La Banque Postale has signed the **Diversity Charter**. In addition, it renewed its agreement on these major topics on 7 November 2016. New commitments came about as a result of this agreement: implementation of the right to disconnect, donation of rest days possible for all employees, anonymously, for colleagues whose child, spouse or close relative is seriously ill.

The Professional Equality Agreement of La Poste Groupe signed in July 2015 covers all aspects of relations between men and women, and in particular, the weight of stereotypes in the relations, the job gender mix through hiring and promotion, equality between men and women, separation between personal and work life, the right to disconnect, *etc.*

The La Poste agreement on the integration of young people and the employment of seniors of October 2016 continues the active policy of age management. It aims to improve young people's access to employment, the job retention of seniors and the intergenerational transfer of knowledge.

On the topic of **ongoing employment**, the synergy between occupational health services, the team's responsible for human resources and management is strengthened by the implementation of feedback and ongoing employment commissions (bodies provided for in the La Poste disabilities agreement). These commissions enable multi-disciplinary work.

La Poste is a signatory of the **Charter of L'Autre cercle**, a non-profit which defends the rights of lesbians, gays, transgenders and transsexuals. The Charter will be implemented in financial services to demonstrate commitment to this topic.

6.2.2.5.2 The diversity, disability and equal opportunity mission in action

To achieve its goals, the disability and diversity mission of La Banque Postale and the network of 27 financial services disability and diversity officers carried out numerous actions and participated in numerous events in 2018.

As regards disability, the commitment to **recruiting people with disabilities** led, in 2018, to the recruitment of five people with disabilities at La Banque Postale and of seven people in financial services. Actions were carried out with our partner schools (ESSEC, Sciences Po, EDHEC, Audencia *etc.*) to raise awareness amongst students and future managers of the professional integration of disabled people and to help develop accessibility to knowledge.

La Banque Postale and financial services assisted nearly 888 disabled employees and implemented nearly **550 actions** in 2018 for a total of nearly €1 million.

The Disability Mission has also set up **awareness-raising** actions aimed at all employees of La Banque Postale to break down barriers and stereotypes linked to disability or its representation. La Banque Postale continued its introduction of French sign language and its awareness-raising for managers in 2018. In order to implement the disability policy, some business lines have been provided with special awareness-raising sessions (notably purchasers and trainers).

Each year, La Banque Postale Participates in a national meeting of the **European Disability Employment Week**, entitled "Tous différents, tous performants". It includes all of the Bank's

commitments to employees with implementation in the various financial services entities. In terms of actions, the entities organise local forms with non-profits.

Communication and awareness-raising tools are used for diversity purposes. For example, the HR guide on parenthood provides information on existing systems, particularly for employees who are young parents. The caregiver guide is intended for family caregivers. The Bank also implements awareness-raising actions for its employees. Training courses on diversity are in the training catalogue so that everyone has a good understanding of what diversity is and its challenges.

6.2.3 Commitments to society and the regions

The commitment of La Banque Postale's employees has made it a **trusted** and essential player for banking services in France. It reaffirms its identity around its unique character and its values as a **bank that works in the best interest of the community at large**. Its goal is to be an **engine for social and economic progress** by placing itself at the inflection point between individual and collective interests.

La Banque Postale is a reference in terms of responsibility and commitment. It is successful and robust and aims to deserve the trust of its customers and stakeholders by supporting their projects and participating in **regional development**.

6.2.3.1 Promoting the development of the regions and the local economy

La Banque Postale has a responsible development policy with respect to its business customers, with its guideline being a few structuring, simple and clear principles stemming from its positioning as a "bank that works in the best interest of the community at large".

With 700 customer managers and 32 "Social Economy Enterprise" business centres, eight Local Public Sector business centres and a team dedicated to corporate accounts, La Banque Postale is mobilising while offering proximity-based expertise in all areas. To meet the challenges of companies, the fundamental link in local economic development, companies must be able to obtain tailored support: by 2020 two hundred company customer managers and the opening of 20 additional business centres are planned to be closer to the needs of company leaders.

6.2.3.1.1 La Banque Postale, a leading bank in the local public sector

In 2018, for the third consecutive year, La Banque Postale was the leading bank in local public sector financing with €16 billion granted to over 3,000 regional organisations (local authorities, social landlords, local public enterprises and health establishments). La Banque Postale is pursuing its development in line with its "trademark": imagining growth which benefits everyone, together with all of the economy's players. A relationship based on transparency and accountability.

The leading lender to local authorities

La Banque Postale is continuing to finance many local authorities, of all sizes, across the country. In 2018, La Banque Postale granted half of all requests for loans to municipalities with fewer than 5,000 inhabitants. It is also always a "trustworthy and practical bank" even during hard times. As a result, La Banque Postale has provided special support to the local public sector (local authorities, social landlords and public health establishments) on two occasions, during the floods in the Aude department and following the social upheaval at the end of 2018, to repair damage done to public buildings (roadways, bus stops, *etc.*). It provided financing of €100 million with a zero interest rate each time.

Support for local public enterprises

La Banque Postale always provides very strong support to large regional projects. In 2018, the total volume of loans granted by La Banque Postale since the launch of this activity reached €1.5 billion, with €380 million in financing granted in 2018 alone.

Promoting social assistance

Through its Domiserve subsidiary, La Banque Postale is positioned in social action, disabilities, help to caregivers and parenthood. La Banque Postale is a major player in three social action areas: financing (issue of pre-financed CESUs - special cheque books for employers), managing aid plans and the organisation of personal services.

Committed to health

La Banque Postale is increasingly involved in health and social changes. This year, it granted over €500 million in financing to public hospitals. In addition it also granted €260 million in medium and long-term loans to public and non-profit organisations which manage health and medical-social establishments. The loans were granted to finance the construction, acquisition or renovation of institutions for the elderly and the disabled or for the acquisition of medical equipment for healthcare establishments.

La Banque Postale attended the national cancer congress (Unicancer) for the first time, demonstrating its full commitment to all of the groups specialising in this pathology.

Supporting social housing landlords

As the historical partner of two-thirds of social housing landlords, La Banque Postale strengthened its position in 2018 by increasing the volume of short- and long-term loans provided to landlords by 40% for a total of €6 billion, with Livret A assets reaching €3.4 billion.

In 2018, La Banque Postale also reinforced its involvement in energy transition. It provided a digital platform in partnership with Économie d'Énergie to **provide support to the local public sector for its energy renovation**. The pre-diagnostics are completed with solutions to implement energy saving certificates (CEE) in support of public instances involved in renovating their property assets.

6.2.3.1.2 A long-term partner bank to large business

La Banque Postale has **300 large groups among its customers** in the insurance, healthcare, retail, telecommunications, water and energy distribution fields to which it provides assistance with multifaceted collections issues and with all banking solutions and services. The Bank significantly accelerated its credit business with large businesses in 2018 with over €4 billion in financing, working credit, acquisition credits, asset financing and project financing granted.

La Banque Postale still provides 40% of all supplementary pension payments in France and is also the **leading personal risk insurance institution**.

Given the maturity of its offering and its proven know-how with major customers over many years, in September 2018 La Banque Postale launched the **"Business Energies"** label together with an unprecedented marketing campaign for managers' With this label, La Banque Postale also increased the amount of support it provides for companies and their management to meet all of their challenges. Two major commitments have been confirmed: every adviser is the overall partner of each company but also the connection between local energies, **via** workshops dedicated to understanding the economic context and industry meetings.

6.2.3.1.3 Financing small companies

Financing the growth of small and medium-sized enterprises and intermediate-sized enterprises (ETI)

2018 also saw growth in the support provided to small companies, in the financing granted as well as in overall bank support, notably for payment methods (electronic money, *etc.*). The production of short-, medium- and long-term loans for SMEs and ETIs saw unprecedented growth with more than €3.2 billion granted for financing (an increase of 84%), €2 billion for asset and project financing and 25% growth in the number of electronic money transactions. **Nine hundred additional companies became La Banque Postale Customers.**

Supporting VSEs and professionals

La Banque Postale has remained on track with respect to providing expert advisers to VSEs/Pros It now has nearly 450 women and men managing this professional clientèle, working out of the post offices. In 2018, La Banque Postale welcomed 12,000 new VSE/Pro customers and the volume of medium- and short-term credit more than doubled.

Lastly, 2,500 files were entered **via** the "e-credit pro" platform, demonstrating the complementarity of this digital organisation with the physical adviser network which continues to grow. In order to better meet the needs of VSEs/Pros, La Banque Postale also increased the amount for online financing applications to €30,000.

With respect to franchising, which provides a boost to regional growth, La Banque Postale continues to expand with a list of 70

franchisees. In addition to the Salon de la franchise 2018, La Banque Postale also attended the "Marche des Réseaux", where franchisees come together to share practices and any knowledge which can facilitate the smooth development of their business.

Supporting the actions of non-profits

The social and solidarity economy is a job creator. It is also the creator of bonds throughout the country. La Banque Postale has based its long-standing relationship with this type of organisation on strong community values. It listens to non-profits and has developed special solutions to help them achieve their goals. **One non-profit in four is a La Banque Postale customer.**

La Banque Postale maintains ongoing relationships based on trust with large charities (Secours populaire, Secours catholique, Emmaüs, Restos du cœur, AFM, *etc.*). Thanks to its special relationship, La Banque Postale is close to the assistance systems which benefit citizens.

La Banque Postale has made its website available to major institutions (Téléthon, Pièces jaunes, Croix Rouge) to help them with their donation campaigns. In 2018, €170,000 were collected by La Banque Postale throughout the year and during the storms in the Aude department.

6.2.3.1.4 A commitment to crowdfunding

Since June 2011, La Banque Postale has also supported the collaborative economy thanks to a partnership agreement signed with **KissKissBankBank**, a crowdfunding platform that enables project starters to raise funds through their friends and the general public. Each month, La Banque Postale finances 50% of a chosen project that has a sustainable development aspect, selected **via** votes by the public on the Facebook page of La Banque Postale. Over 110 projects have been supported in this way since the partnership was launched.

In July 2017, La Banque Postale reinforced its commitment in favour of crowdfunding by acquiring 100% of the KissKissBankBank&Co. This acquisition is in line with La Banque Postale's digital development strategy and its wish to offer civic-minded products and services that meet the new expectations of its customers.

Lastly, in 2018, La Banque Postale also pursued its commitment to the **Social Cup**, the first French cup for **youth social entrepreneurship**, launched with KissKissBankBank and MakeSense. GRDF joined the major partners for the fifth edition. The fifth edition of the event saw more than 3,000 students compete in the 12 participating cities, to propose nearly 200 innovative social-enterprise projects. 12 projects were selected for the final, which took place in Paris in February 2019. These 12 finalist projects received a financial allowance from La Banque Postale for their first crowdfunding campaign launched on KKBB. **via** these partnerships and initiatives, La Banque Postale encourages entrepreneurial spirit and the expansion of the collaborative economy.

After the acquisition of KissKissBankBank & Co in 2017, La Banque Postale further expanded its innovative digital and community-oriented services with the acquisition of Goodeed. This donation platform enables private individuals to support the solidarity projects of NGOs and non-profits free of charge by viewing adverts. "Non-profits are looking for new ways to develop their communities and digitisation of donation giving is at the heart of their strategies", noted Vincent Toubol-Flachaire, Chairman and founder of Goodeed. KissKissBankBank & Co, of which Goodeed is now a subsidiary, will have a unique solidarity tool which enables everyone, including young people to become involved with humanitarian non-profits and NGOs without worrying about their budget.

In order to provide information about crowdfunding for individuals, non-profits, NGOs and companies, La Banque Postale has organised 200 meetings with KissKissBankBank & Co in the post offices throughout the country since 2018.

Lastly, as part of its commitment to crowdfunding, the Bank acquired an interest in the capital of **WeShareBonds** in October 2016 in order to accelerate the financing of French SMEs. WeShareBonds makes it easier for French SMEs to access new sources of financing: the savings of private customers and corporate cash.

6.2.3.2 Have a committed procurement policy with suppliers



La Banque Postale's responsible purchasing policy, implemented in 2009 is based on four axes:

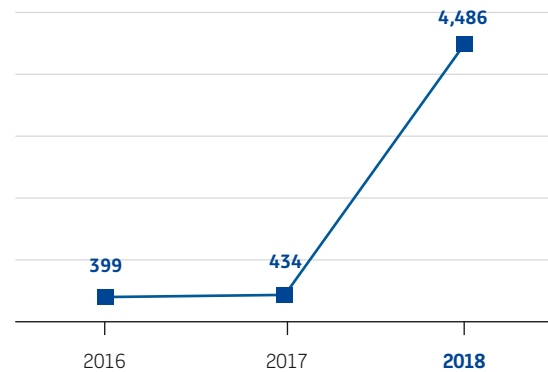
- ▶ a Responsible Purchasing Charter implemented with suppliers;
- ▶ working with the disabled and protected sector;
- ▶ making La Banque Postale's invitations to tender accessible to small and medium-sized enterprises;
- ▶ integrating extra-financial criteria into the selection and development of suppliers.

6.2.3.2.1 A Responsible Purchasing Charter

La Banque Postale's Responsible Purchasing Charter must be accepted by the supplier for each new contract, or at the time of the Steering Committee meetings for contracts in progress. It raises the awareness of La Banque Postale's suppliers about its CSR policy. Suppliers agree to comply with the regulations in effect which the Charter formally reminds them of. The document encourages them to initiate their own CSR approach. Implemented in 2009 and first updated in 2014, the Charter was again updated in 2018 for deployment in early 2019.

The Charter is one of the factors enabling the Bank to respect its due diligence obligations with respect to the companies that make up its value chain. In signing this Charter, the supplier undertakes to:

- ▶ comply with the 10 principles of the **Global Compact** and the eight Fundamental Conventions of the **ILO** (International Labour Organization);
- ▶ develop within their enterprise a management system and working conditions respectful of **human dignity and workers' rights**;
- ▶ **comply with social and environmental regulations** by establishing practices (transport policy, recyclability criteria, final waste management, *etc.*) for themselves and their subcontractors.



■ Number of Responsible Purchasing Charters signed by suppliers

La Poste Group implemented a new purchasing information system (IS), including for Group purchasing in 2018. It includes a shared supplier base connected to the legal documents and Responsible Purchasing Charters *via* Provigis. This approach implied the complete reworking of information and the involvement of all of La Poste Group's suppliers (whether or not they are La Banque Postale suppliers) to approve the charters of La Poste and La Banque Postale. As a result, the number of suppliers approving La Banque Postale's Responsible Purchasing Charter increased significantly from 2017 to 2018, from 434 to 4,486.

6.2.3.2.2 Extra-financial criteria to assess risk and select and monitor suppliers

Every La Banque Postale purchaser must ensure that **social, societal and environmental criteria** related to the service purchased are entered in the consultation tables and during the supplier selection process.

An ongoing discussion in collaboration with the consultants is also conducted on the improvement of supplier specifications to ensure that services are in line with the CSR policy of La Banque Postale.

Depending on the purchasing categories, environmental and social concerns represent in general **10% of the global weighting** of the rating criteria of the invitations to tender.

The CSR unit, in collaboration with the Purchasing Department, created a kit with a number of **tools to raise awareness of and conduct dialogues on** the challenges, risks and opportunities of deploying a responsible purchasing approach. The kit includes the analysis matrix of CSR challenges, risks and opportunities regarding purchasing; CSR sheets per purchase family; an awareness-raising poster and an intranet section dedicated to responsible purchasing.

This **matrix** provides possibilities to be considered in order to mitigate legal, social, environmental and societal risks, and also to improve the positive impact of the purchasing act on various levels:

- ▶ **social**, *e.g.* the inclusion of employees with disabilities by taking into account accessibility when purchasing IT software;
- ▶ **societal**, *e.g.* regional development by buying from the social and solidarity economy;
- ▶ **environmental**, *e.g.* improvement of the quality of life at work by buying a partition to reduce air pollution; the introduction of an electric vehicle for mail shuttles between locations;

- **economic**, e.g. the possibility of developing a competitive advantage for a La Poste product or service through an evaluation of the suppliers' variants.

In order to meet the regulatory obligations of the Sapin II law and the law on the duty of vigilance, La Banque Postale has implemented a number of elements which are described in the following paragraphs.

In 2018, La Banque Postale Purchasing Department took part in a study with other banks to define a **CSR risk map** by sector and by supplier country. This tool was in the pilot phase at the end of 2018. It will help purchasers define the purchasing risk management systems suitable for their context (sector and country). They must fill in the La Banque Postale's operational risk mapping which includes a macroscopic presentation of purchasing risks and, in particular, those related to corruption, ethics, etc.

In 2018, the La Poste Group acquired a new Group Purchasing IS which is currently being tested by La Banque Postale's Purchasing Department. The new tool provides a **database of the La Poste Group's suppliers** which enables **information sharing** and, therefore, better identification of suitable suppliers, notably with respect to sourcing SMEs, disability-friendly companies and vocational rehabilitation establishments and services (ESAT). **Knowledge of suppliers** and of the degree to which they take CSR into account is facilitated.

In addition to this tool, a solution enables suppliers to do self-assessments, in particular if they have a CSR policy. It also provides tools to carry out the **self-assessments via a documentary audit** or an on-site audit by an **external auditor**.

6.2.3.2.3 Tenders open to the protected sector and SMEs

An increasing contribution to the indirect employment of disabled people

The actions pursued by the Purchasing Department have enabled it to meet objectives set in terms of purchases from the **disabled and protected employment sector**. In 2018, the amount of La Banque Postale's purchases from the disabled and protected employment sector (EA and ESAT) was nearly **€1 million with tax**, down 14% compared to 2017.

This decrease was due to a difference in the type of purchases made from ESAT: for example, in 2018 La Banque Postale used ESAT less for administrative archiving. New services, translation services and paper supplies were, however, ordered.

The Purchasing Department, with the support of consultants, is always identifying new services in connection with the disabled and protected employment sector for tenders. Services such as printing, intersite shuttling or catering or the use of translation services are in part dedicated to this sector, and competitive bidding is done with the ordinary sector.

Purchases from small and medium-sized enterprises is constantly increasing

In order to allow small and medium-sized companies access to its invitation to tenders, La Banque Postale pays attention to:

- reducing the risk of financial dependency *via* the dependency rate measurement;
- allotting invitations for tenders so that micro and small and medium-sized businesses in very specialised sectors can tender directly and not as co-contractors or subcontractors.

The amount of **purchases made by La Banque Postale from SMEs** is growing consistently. It increased from €118 million without tax in €2016 to €134 million without tax in 2017 and €138 million without tax in 2018.

A study carried out in 2018 with La Poste Group's societal commitment department and an independent firm showed the **employment impact** of La Banque Postale's purchases, particularly with SMEs. 20% of its purchases were made from SMEs compared to 18% in 2016. La Banque Postale supported 21,300 jobs in 2017, *i.e.* 11.5% more than in 2016.

6.2.3.3. Promote employees' civic commitment

DNFP

6.2.3.3.1 L'Envol, La Banque Postale's campus

La Banque Postale is committed to **societal sponsorship** to prepare for the future through **equal opportunities**. In 2012 it therefore created an association under law 1901: "L'Envol, La Banque Postale's campus". It embodies its values and those of La Poste Group and actively involves its employees by encouraging their **civic commitment**.

This initiative has been supported by the Ministry of National Education since it was launched, and its partnership was renewed in 2016. It's goal is to **promote the schooling of young, talented students** from low income families from around France (rural and urban), including the overseas departments. It provides individual assistance, from the time they start high school until they enter higher general, technology or professional education (artisan) and/or they start to work.

To assist students in their diverse education and excellence training, L'Envol runs two programmes for pupils and students: the "general and technology" and the "career path" programmes which have common objectives but are tailored to the specificities of the training courses followed:

- the **"general and technology" programme**, which started in 2012, sponsors 60 pupils each year from high school (third to last year students) through to graduate level (with three years of graduate studies on average), in partnership with the Article 1 non-profit;
- the **"career path" programme**, which started in 2015, sponsors each year 45 students who have chosen superior vocational sectors (catering trade, metal working industry, art and fashion), in partnership with the association *Réussir Moi Aussi*.

The sponsorship programme strives to be complete and consistent in order to develop talent in all its forms, foster **diversity in superior educational/career pathways** and contribute greater social openness. To accomplish this, it helps young people explore six dimensions: their relationship with their studies, with the future, with other people, with themselves, with the world, and with commitment.

Since it was created, **L'Envol has sponsored 584 students**, *i.e.* six "general and technology" classes and four "career path" classes.

All La Banque Postale and La Poste Group employees can volunteer for the **mentors' community**. From 2012 to 2018, **815** La Banque Postale and La Poste Group **employees** volunteered for the **mentors' community**. Since 2017, new mentors participate in a day of training that is part of the training plan before committing to a young person. In 2018, the involvement by mentors amounted to nearly **7,000 hours of volunteer work**.

L'Envol Has been recognised and won many prizes since its launch, including the Trophée France Mécénova, the Cachet d'Europe and the Trophée National de l'Entreprise Citoyenne.

During the 2017-2018 school year, L'Envol gave high school students **370 hours of virtual classes in English and general culture** in small groups and **2,861 hours of academic support**. High school students wanting to apply to medical school, Sciences Po and other prestigious universities benefited from

29 intensive courses in order to be best prepared for the entrance exams.

Because drawing up a student budget is essential, L'Envol works in **partnership with La Finance pour Tous** and offers students financial education workshops, as well as material support on a case-by-case basis. This year, equipment and financial aid was provided to 118 young people (+52%/2017) for a total of €41,000.

L'Envol holds 10 large gatherings each year to foster initiative among students, according to their academic level.

All these actions encourage the students to succeed in their studies: 100% of last year general programme students receive their diploma. 75% of them with honours and 93% of students in the career programme also passed, 74% with honours.

In order to give back what they have received from L'Envol and provide support for the younger students, the students that have come to the end of their mentor programme created an alumni association called "**L'Envol Alumni**". They regularly attend the gatherings in turn as facilitators for younger people.

6.2.3.3.2 Promote skills volunteering

At the end of 2017, the **skills volunteer programme** initiated by La Banque Postale and La Poste Network was led by La Poste Network. 2018 was "year zero" for the new configuration. Nearly 50 new employees received training which has been enriched compared to the previous version: in addition to a detailed presentation of the employee commitment strategy, and the testimonials of non-profits that came to introduce themselves and have lunch with the participants, the latter had the option to receive training in the **budget workshops** using Crésus' Dilemme game or with a teacher. The new workshop uses innovative social theatre techniques. Four modules were presented including, for the first time, one in Guadeloupe. Colleagues from Martinique were introduced to skills volunteering and training is planned for 2019.

Also new in 2018 was the addition of the partners' offerings. All of the volunteers can work alongside the long-term partners (local missions, **Entreprendre Pour Apprendre** and **La Finance Pour Tous**) with four partner non-profits (ADIE, Passerelles &

Compétences, Face, Unis-cité). The employees who volunteered for these programmes reunited for a day of sharing and recognition on 5 June 2018 at the head office of La Banque Postale. They received training in authentic leadership provided by an expert firm. The day also provided an opportunity to test a "bourse aux experts" with Passerelles & Compétences where marketing and financial management professionals from La Banque Postale and the Network advised five non-profits on issues they submitted. Lastly, a call for non-profit projects from the Bank and the Network volunteer employees led to awards for three projects on 3 December 2018, as part of the International Volunteer Day. The three new partner will join the skills volunteer programme in 2019 and the employees leading the projects will be able to ask their colleagues to join them as volunteers.

Over 250 **employees from the Bank and the Network take part in this volunteer skills-based programme.**

6.2.3.4 Respecting and defending major international commitments

As a subsidiary of La Poste Group, which has been a signatory to the **UN Global Compact** since 2003, La Banque Postale upholds the principles set forth by the Global Compact regarding human rights, labour standards, environmental protection and the combat against corruption.

In France, the employee training sessions on business ethics cover the **fight against corruption** (see "Management of Extra-Financial Risks"). Moreover, La Banque Postale ensures that its suppliers share its values by having them sign a Responsible Purchasing Charter (see above), underlining the importance of respect for Human Rights, Labour Standards and the Environment. In 2017, La Banque Postale, jointly with the La Poste Group, launched a risk mapping project in order to comply with the Duty of Vigilance Act

As proof of its commitment, in its February 2017 survey on business and human rights, the ratings agency VigeoEiris ranked La Banque Postale in first place among French banks and in third place among French companies from all sectors.

6.2.4 Commitments to the planet

In terms of its environmental policy, La Banque Postale implements simple, concrete, consistent measures which contribute to the protection of the environment. With this policy, its goal is to reduce the direct impact on the environment of its employees' travel or of the information systems and to contain the indirect emissions from its products. It also works to foster the circular economy of its resources and to control its water consumption. Outside, it takes part in promoting biodiversity (the environmental indicators are in the CSR indicator section).

6.2.4.1 La Banque Postale is committed to fighting climate change

The La Poste Group set environmental goals as part of the priority **"energy transition"** section of its strategic plan for 2015-2020. The Group intends to **reduce its greenhouse gas (GHG) emissions by 20%** compared to 2013 in order to take part in the fight against climate change. La Banque Postale intends to contribute fully to these ambitious goals. It is also committed to reducing by 20% its GHG emissions related to its main emissions sources: buildings and information systems (IT), employee travel and paper consumption.

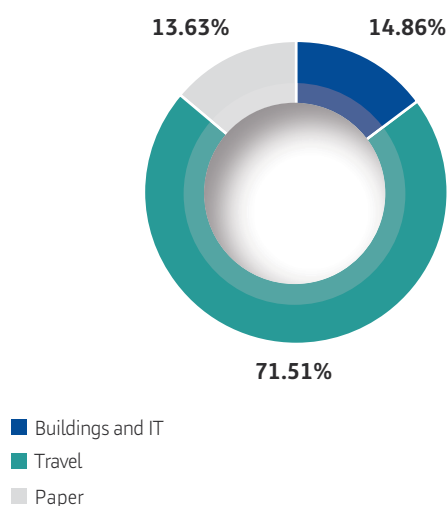
In order to provide itself with the means to achieve its goals, La Banque Postale is taking part in the deployment of an **energy management system** (EMS) committed to by La Poste Group since 2016. An ISO 50001 certified SME set up in 2019 will form the basis for the coherent convergence of all the Group's energy transition actions. In 2018, the "Sustainable development and energy management days" organised by La Poste Group provided an opportunity to introduce the EMS to all employees. This initiative illustrates the Bank's structural commitment to Energy Transition. There are 325 post offices engaged in deploying the EMS, including all of the Bank's sites.

To ensure the relevance of the Bank's emissions reduction target, and that it is in line with the ambitions of the Paris Climate Agreement signed during the COP21, La Banque Postale committed in 2017 to the **"Science Based Target"** (SBT) initiative. The Bank thus has two years to submit its reduction target, including its indirect emissions, to the SBT. For this purpose, it takes an active part in a market working group led by the WWF the co-founder of the SBT whose goal is to define the guidelines for the financial sector setting the reduction paths.

6.2.4.1.2 Reduce the Bank's direct carbon footprint

Aware of its impact and its role, La Banque Postale intends to reduce its direct greenhouse gas emissions from buildings, IT systems, its employees' travel (business and home-work) trips, and its paper consumption. In 2018, the carbon footprint of its main emissions sources was 62,055 tonnes of CO₂, compared to 63,980 in 2017 ⁽¹⁾. La Banque Postale is continuing to reduce its overall carbon footprint (-3%) notably thanks to a decrease in the electricity consumption of its buildings (-7%).

WEIGHT OF THE THREE MAIN SOURCES OF EMISSIONS
IN LA BANQUE POSTALE'S CARBON FOOTPRINT
(EXCLUDING LCB)



The control of its main emitting sources is supported by an innovative mechanism, the Carbon Fund, which strengthens the management of its direct footprint in respect of the energy performance of its buildings, the Green IT performance of its computer network, the promotion of sustainable mobility, and responsible paper consumption.

6.2.4.1.3 A carbon fund to reduce its environmental footprint

La Banque Postale launched its first "Carbon Fund" in 2015 to take concrete action on its greenhouse gas (GHG) emissions. This is an **internal mechanism to monetise La Banque Postale's carbon footprint** in order to internalise the cost of this negative externality. A total financial envelope of nearly €1.4 million was provided for the first four editions of the carbon fund. It enables the financing of **internal projects** to reduce the Bank's GHG emissions. **External projects** with high environmental added value were also developed in the country and internationally for the 2018 edition. This budget is calculated on the basis of the tonnes of GHG generated by the Bank's three main emitting lines - transport, buildings & IT and paper consumption (internal and external).

Financing for internal projects developed by employees

Invitation for tenders are launched every year for the **internal projects** and they are selected on the basis of several criteria including economic profitability and the carbon emissions potentially avoided. Thus, the 46 projects which have already been financed by the 2015, 2016, 2017 and 2018 Carbon Funds are directly involved in achieving La Banque Postale's goal of reducing its greenhouse gas emissions by 20% by 2020. Examples are renovation and energy efficiency works on buildings, awareness-raising campaigns on sustainable development in partnership with NGOs and non-profits, and the deployment of fleets of electrically-powered bicycles and scooters. Innovative pilot projects were also financed, including a solar water heater, the installation of an energy recovery system on cold production systems, the planting of a company restaurant roof and the creation of a ride sharing platform for employees for their home-work travel. According to projections, all the projects funded since the Fund was launched in 2015 have the potential to eliminate almost 3,500 tonnes of CO₂ emissions by 2020. In 2018, for the first time, two La Banque Postale subsidiaries won the carbon fund: La Banque Postale Assurances IARD and La Banque Postale Financement.

(1) These data incorporate the emissions from the Banking Advisory Line and take into account the purchase of 100% renewable electricity.

Financing of external national projects

La Banque Postale, one of the first banks to have set up a Carbon Fund, is also the only one to date to have included financing for **external environmental projects** in France. Working with the regions, it finances in partnership with the Services-Courrier-Colis branch of La Poste Group, forest projects of the Groupement d'intérêt public du Massif Central and of the Centre national de la propriété forestière as part of the "Climat + Territoires" programme⁽¹⁾. It also finances the agro-ecology "Agr'eau" programme led by the Association Française d'Agro-Foresterie in the Adour-Garonne basin and the "Ferme laitière bas-carbone"⁽²⁾ programme led by the Centre national interprofessionnel de l'économie laitière in the grand Ouest and grand Est regions. In 2017, the La Poste Network joined La Banque Postale in this approach by financing a forestry project of the ONF (the National Forestry Office) in the Hauts-de-France region. In 2018, as part of the financing campaign for the "Climat + Territoires" programme, the Groupe decided to support the **Carbocage** project. It is intended to measure the storage potential of sustainably managed hedges in the Pays de la Loire and Brittany and offers the option to experiment with a local carbon market.

Financing external international projects for the Bank's complete carbon neutrality

New in 2018: the carbon fund now finances two **carbon offsetting projects** in line with international certification standards. The first project, **Madre de Dios**, is intended to preserve the Amazon forest by supporting sustainable forestry in Peru. The second one, called **Gandhi**, aims to develop wind energy to improve the energy mix and air quality in India.

In 2018, the Bank reached another milestone in its policy to fight against climate change by becoming **one of the very first banks in the world to announce that it was fully carbon neutral** throughout its operational scope which includes its 16 consolidated subsidiaries and takes into account the business and home-work travel of its employees.

A balance sheet resulting in a fifth Carbon Fund

Building on the success of this programme, La Banque Postale inaugurated the fifth version of its Carbon Fund. The call for candidatures for the 2018 Carbon Fund was launched at the end of 2018 to all its employees. Since the launch of the fund in 2015, the **increase in the price in carbon from €7 to €10 per tonne** has enabled maintaining the financial envelope of the carbon fund unchanged despite the decrease in GHG emissions by La Banque Postale. Moreover, reinforcing the mechanism yet further, La Poste Network joined La Banque Postale in this approach in 2017. This new Fund promotes the implementation of projects fostering energy efficiency at post offices where over 50% of activities are dedicated to the Bank's business lines. This commitment by La Poste Network allows the Bank to offer an effective mechanism to promote the reduction of its environmental footprint across the whole of its banking, financial services, subsidiaries and Banking Advisory Line activities.

6.2.4.1.4 An energy performance policy for its buildings

In 2018, the share of GHG emissions related to the energy consumption of buildings accounted for nearly 15% of the Bank's carbon footprint (excluding LCB). La Banque Postale and its main landlord, Poste Immo, are committed to various structuring actions and real estate projects which concretely reflect the policy on the **energy performance of buildings** main axes. The policy, overseen by La Banque Postale's Real Estate Department is based on the following three main axes:

1. Promoting energy savings work on buildings

La Banque Postale's real estate department orders, on a regular basis, thermal insulation work for the facilities, roof renovation, regulation of heating systems, the replacement of obsolete climate control systems and of boilers and the installation of LED lighting with presence detectors in the common areas.

In addition, La Banque Postale was also able to identify energy emission-reducing actions that will feed into its 2016-2022 energy performance policy thanks to 11 energy audits (Daddue Act, 2015) over more than 70% of the direct energy bill of La Banque Postale SA.

2. Optimise the energy efficiency of real assets on a daily basis

- ▶ La Banque Postale has purchased 100% renewable electricity since 1 October 2015 to supply all its major sites (power above 36 kVA), which represents 97% of total electricity consumption. This exemplary decision is part of Le Groupe La Poste's commitment to the **RE 100 initiative** which undertakes to supply the real estate park managed by Poste Immo with 100% renewable electricity between now and 2020. This is another example of linking economic performance and the reduction of the ecological footprint. It contributes to the responsible economic development of the French regions and fosters the development of renewable energy in France. La Banque Postale thus avoided emitting 8,434 tonnes of CO₂ in 2018 (compared to 8,124 tonnes in 2017) thanks to its suppliers of 100% renewable energy.
- ▶ La Banque Postale works on a daily basis with its landlord Poste Immo to implement the **Green Lease** approach to its buildings. This approach aims to improve the environmental quality of buildings and reduce operating expenses thanks to sustainable use and management. It is implemented through raising the awareness of the occupiers to eco-gestures, the optimisation of building equipment and renovation planning that systematically incorporates energy performance. This approach is deployed in the 30 buildings occupied by La Banque Postale consuming the most energy. These buildings are included in the environmental annex (leases for premises over 2,000 m² for offices or retail) and/or are within the scope of the service charter signed by Poste Immo in anticipation of the decree on tertiary sector renovations. By signing the voluntary charter, Poste Immo committed to improving the energy performance of its properties of over 5,000 m² by 25% from 2011 to 2020. This early adoption has enabled coverage of a large portion of the future regulatory scope.
- ▶ The **CUBE 2020** competition is one of the actions set up in the framework of the Green Lease approach. This competition is organised

(1) The purpose of the "Climat + Territoires" programme is to support innovative socio-environmental projects in France, with a threefold objective: to "offset" the local environmental footprint, favour the adaptation to climate change and create value in the regions.

(2) Evaluation of the GHG emitted by the dairy production in each farm and the set up of an action plan adapted to each farm and its environment.

by the IFPEB ⁽¹⁾ (French Institute for Building Performance) and aims to encourage companies to reduce the energy consumption of their buildings. La Banque Postale, represented by Poste Immo, participated for the fourth year in a row. During previous editions, several post office sites were rewarded for performances up to 38% in energy savings. During the third edition of CUBE 2020 the Bordeaux Hôtel des Postes site – primarily occupied by La Banque Postale employees – came in first in its category, achieving 30% in energy savings in one year. For the fourth edition, which took place on 1 July 2018 to 30 June 2019, 246 buildings competed in CUBE 2020. Six were occupied (partially or completely) by La Banque Postale employees. Five of them had already exceeded 3% in energy savings three months into the contest.

► **SOBRE** (a joint company of Poste Immo, Caisse des dépôts et consignations and Egis) is the Group's energy management tool for the EMS. In view of the challenges regarding energy savings, compliance with regulatory requirements, and the mobilisation of users to support the energy transition, SOBRE offers a simple tool which makes it possible to have a better understanding of real estate assets, and to streamline and reduce energy consumption. The solution provided to all involved in the EMS approach. The latter were informed and trained on the tool at end-2018. The most energy-hungry of the post office buildings are equipped with the SOBRE box. It enables more precise management of the building's energy consumption and greater optimisation. Among the 325 postal offices targeted, 29 La Banque Postale sites were equipped with the SOBRE box or are being equipped for Q1 2019. The SOBRE offering is also commercialised to companies and local authorities to provide them with better knowledge of their real estate network, and help them streamline and improve their energy consumption.

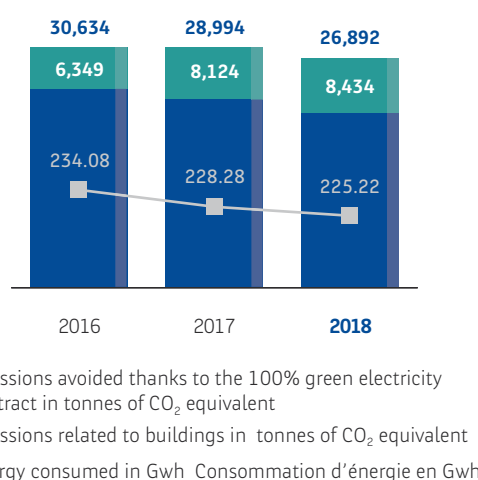
These actions have made a contribution to implementation of an energy management system since 2019.

3. Encourage employees to adopt eco-responsible behaviour

La Banque Postale provides multiple awareness-raising actions every year in the head offices and throughout the country thanks to its CSR correspondents. The latter mobilise to raise employee awareness of the eco-responsible behaviour to adopt by providing eco-movement campaigns, awareness-raising stands and themed exhibitions.

Successful actions

The actions carried out as part of the building energy performance policy have enabled La Banque Postale to contain its GHG emissions from its buildings over the past years despite the growth of its business. La Banque Postale's CO₂ emissions linked to buildings fell by 48% between 2013 and 2018. The ratio in terms of the number of employees is also positive with a 46% reduction in CO₂ emissions per employee in 2018 compared to 2013. In 2018, emissions linked to buildings totalled 26,892 tonnes of CO₂ equivalent (down 7% compared to 2017) across the most exhaustive scope available at this time, *i.e.* covering 13 out of 16 subsidiaries and taking the emissions caused by the banking activity (LCB) in post offices into account. This reduction is notably due to purchasing of 100% renewable electricity for the majority of La Banque Postale buildings from 2016.



La Banque Postale expects standardised its **reduction targets** in 2016, in line with its 2016-2022 strategic plan:

- 5% reduction in 2017 (**achieved -5%**);
- 10% reduction in 2018 (**achieved -12%**);
- 15% reduction in 2020;
- 20% reduction in 2022.

6.2.4.1.5 A Green IT performance policy for its computers

The energy efficiency assessment conducted revealed that the share of electricity consumption attributable to IT systems was between 40% and 50%.

Measuring the carbon footprint of the various installed computer bases has been done since 2013 at the level of La Poste Group, thanks to the "Green Argile" IT tool. Four 2018, we increased the scope of equipment for our equipment, either because we were able to model the impact of these models⁽²⁾, or because the changes in user needs led to a significant increase in equipment that had not yet been analysed⁽³⁾.

(1) Institut Français pour la Performance Énergétique du Bâtiment (IFPEB).

(2) For example televisions, video projectors, scanners, copiers and firewalls.

(3) Such as smartphones or "all-in-one" computers which are becoming "remarkable".

In 2018, the distributed IT equipment analysed and the Data Centers of La Banque Postale ⁽¹⁾ represented 127,442 items (*i.e.* 42% more than in 2017 with 89,484) and an impact ⁽²⁾ of about 9,937 tonnes of CO₂ equivalent (versus 8,616 in 2017). If this is brought to the impact by equipment, we drop from 96 kg of CO₂ equivalent in 2017, to 76 in 2018, a decrease of nearly 19%.

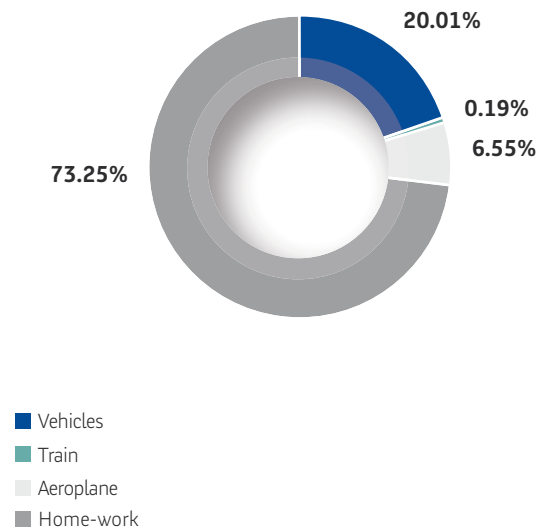
In parallel to a responsible purchasing approach to IT hardware and services, the department in charge of the IT systems of the Bank and the Network (DISFE), based on the analysis of the trend in the carbon footprint under its responsibility, has a **Green IT action plan**. All desktops and portable PCs at La Banque Postale Acquired since 2012 are being gradually replaced. The new computers are EPEAT eco-labelled and now account for 74% of the equipment (47% are labelled Gold and 27% Silver). With respect to displays, 79% are EPEAT eco-labelled (58% are Gold and 21% Silver). The printers purchased since 2014 are consistently labelled Energy Star. In 2018, the gradual implementation of the Watchdoc tool on our sites should reduce paper and ink consumption. A certain number of office printers have disappeared and been replaced by new generation multifunction printers in a printing pool.

In 2018, the Bank activated a contract with a company for the treatment and reuse of WEEE. Procedures were implemented for this purpose in order to promote reuse. The results were positive with a 34% rate of reuse of materials.

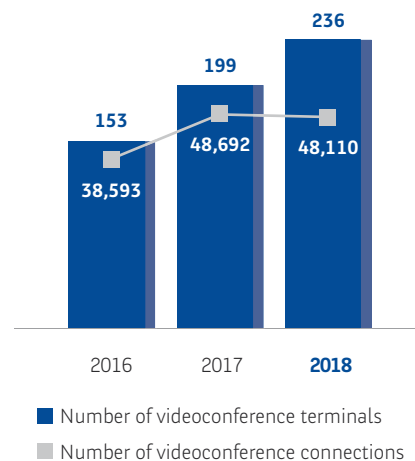
6.2.4.1.6 A responsible mobility policy for employees

In 2018, the share of GHG emissions related to employee travel accounted for nearly 72% of the Bank's carbon footprint. La Banque Postale has taken various measures to reduce the environmental impact of journeys made in relation to its business, firstly by reducing the number of journeys made by employees, and secondly by promoting the most environmentally-friendly modes of transport among them. The responsible mobility policy is based on business travel (train, aeroplane and vehicles) and home-work travel by employees. In 2018, the emissions from travel broke down as follows:

EMISSIONS FROM TRAVEL



La Banque Postale's is installing **videoconferencing** terminals in its buildings to simplify exchanges and meetings between its employees whilst limiting their business journeys. Thus, 236 videoconferencing terminals have been deployed since 2011 in La Banque Postale's head offices, the financial services and certain subsidiaries. Since then, the number of connections has increased sharply, reaching 48,110 in 2018, *i.e.* a number of connections that has increased by more than 25% in three years - enabling a reduction in employee travel.

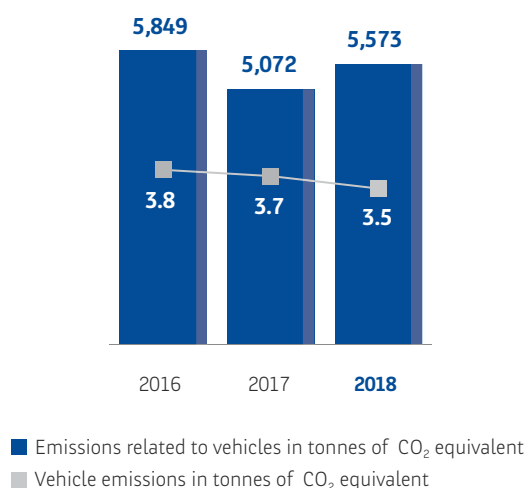


(1) The analysis covers the following categories: screens, televisions, video projectors, mainframes, UPS, storage systems, desktops, portables or all-in-ones, servers, multifunction copiers and other printers, scanners, copiers, branch exchanges, hubs, firewalls, network routers and switches, wifi hotspots, fixed-line telephones, smartphones and tablets.

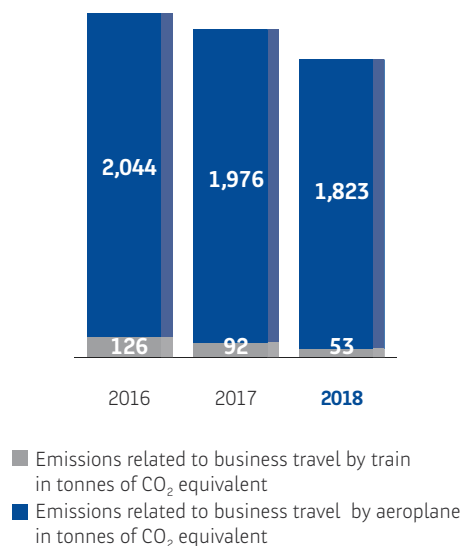
(2) It is important to note that this network use data is included in the calculation of the greenhouse gas emissions linked to buildings.

The development of **teleworking** as part of improving the balance between work and private lives also contributes to limiting the impact of business journeys (see the Commitments to employees section, Well-being at work paragraph)

The increase in the number of employees in sales positions has led to a 17% increase in the number of vehicles in the fleet (1,357 vehicles in 2017 compared to 1,594 in 2018). The increase in the number of vehicles has resulted in a moderate rise of 10% in tonnes of CO₂ equivalent related to the consumption of the vehicle fleet (5,573 tonnes of CO₂ equivalent in 2018 compared to 5,072 in 2017). However, over the same period, **the average volume of tonnes of CO₂ equivalent emitted per vehicle fell by almost 6%.**



La Banque Postale's **travel policy** provides guidelines for the different transport methods employees use depending on the destination. This policy promotes travel which emits less GHG or the train for all travel in metropolitan France, unless exceptional. The aeroplane is strictly for travel to overseas departments or other countries. In 2018, employee travel by rail accounted for 53 tonnes of CO₂ equivalent (versus 92 in 2017) and air travel accounted for some 1,823 tonnes of CO₂ equivalent (versus 1,976 in 2017). Between 2016 and 2018, the CO₂ emissions related to air travel decreased by 11%, while those related to rail travel decreased by nearly 60%.



To encourage the use of soft transport methods, 38 bicycles, 31 of which are electric-powered bicycles and a scooter and four electric scooters are provided to employees in the financial and national centres, in addition to the recharging kiosks to recharge their personal electric-powered bicycles. The head offices of the Bank, starting with the Bords de Seine II office. The winner of the 2015 Carbon Fund, it was the first head office to be equipped with eight electric-powered bicycles in 2016 for professional and private use. All the Village La Poste sites (Lemnys, Brune and Crossing) have been fitted with electric powered bicycles since 2016 to encourage green transport between sites.

Thanks to the participation of employees in the **home-work survey** carried out during the 2017 Mobility Week, La Banque Postale was able to calculate trends in the environmental footprint related to its employees' travel between home and work. The results of this survey show that the distance travelled by employees between home and work increased by more than 25% between 2015 and 2017, with an average of 40 km per employee per day for an average travel time of 1h20. However, the **decrease in the use of road vehicles** decreased the amount of CO₂ emissions by about 1,400 tonnes. **Public transports are becoming the main means of transport for employees, and active transport methods** (bicycle, scooters, skates or walking) increased by 63% compared to 2015.

The survey is done every two years and will, therefore, be repeated in 2019. These figures reflect the efforts made by La Banque Postale to encourage its employees to adopt soft modes of transport and enable it to calibrate the effectiveness of reduction actions implemented at the Bank.

In 2017, La Banque Postale submitted its **mobility plans** for the thirty sites concerned by this regulatory requirement to the mobility authority to which they must report.

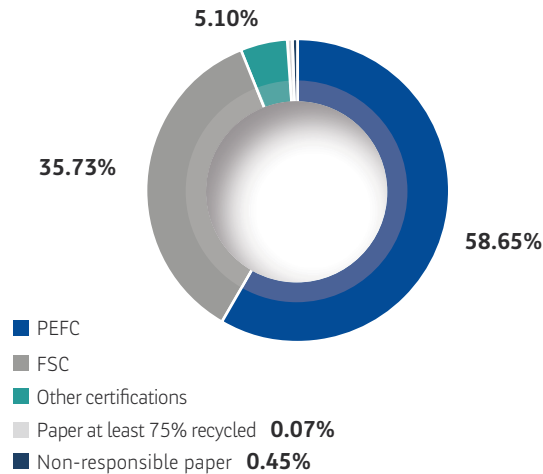
In order to reduce the impact of travel by La Banque Postale employees, **awareness-raising actions are also conducted during the year**, and notably during the European Mobility Week. Many events were again organised within national and regional entities for the 2018 edition by the CSR correspondents including bicycle repair workshops, test drives of electric transportation (electric-powered bicycles, ZOE cars, electric scooters, *etc.*), promotion of car sharing (notably *via* the discovery of platforms and inter-site challenges), multisport activities, guided tours of the city centre, *etc.*

6.2.4.1.5.7 A responsible paper consumption policy

Of the 7,188 tonnes of paper consumed in 2018 (compared to 7,318 in 2017) - *i.e.* a decrease of nearly 2% over the entire scope of La Banque Postale:

- ▶ 6% was consumed internally, representing 15 kg per employee, or, on average, a 7 kg reduction in the paper consumed by each employee compared to 2017;
- ▶ 94% were consumed outside of the Company (customers and communication) and amounted to 0.65 kg per active customer, *i.e.* paper consumption per active customer stable compared to 2017.

In 2018, the **portion of “responsible” paper**, in other words, recycled or sourced from forests that are sustainably managed, was 95.5%, an increase of nearly 11 percentage points compared to 2017.



LBP scope, Financial Services, 84.5% of Subsidiaries and excluding LCB, i.e. 70% of total consumption.

Total paper consumption fell by 21% between 2013 and 2018 after the Banking Advisory Line was incorporated in the reporting scope for paper in 2013 ⁽¹⁾. Over the same period, this decrease resulted, in particular, from a 17% drop in “external paper” consumption for customers and communications as a result of a paperless approach (for example, online account statements, *etc.*), and from a 51% drop in “internal paper” consumption, notably thanks to the awareness-raising among, and increased accountability of, employees concerning paper consumption. It should be noted that, since 2014, till receipts have not included bisphenol A.

6.2.4.2 Manage the environment footprint of its products and services DNFP

La Banque Postale's goal is to manage the indirect greenhouse gases connected to its products (see the Section Commitment to customers, Paragraph Design and propose a responsible product and service offering). Within this framework, La Banque Postale Asset Management calculates the carbon intensity ⁽²⁾ of about 2,000 businesses, with the aid of a database dedicated to environmental impacts. An essential step for the improved **integration of the efforts to combat climate change in**

investments, this information is made available to all LBPAM's fund managers.

To better assist customers on these topics, notably with respect to Article 173 of the law on energy transition for green growth (LTECV), LBPAM implemented a portfolio **analysis and reporting tool** enabling measurement of three indicators: the carbon intensity of each portfolio (invested in equities or corporate bonds), the exposure of the portfolio to companies invested in coal, and the portion of the portfolio invested in energy transition solutions (companies which have at least 20% of their business activity linked to environmental solutions and “green bonds”).

For the funds which received the ISR Public label, LBPAM calculates the **carbon intensity of the portfolio** compared to its benchmark and, for equities funds, the share of the portfolio invested in companies which meet sustainable development criteria. This information is sent to investors monthly *via* the LBPAM website.

Moreover, **supporting the energy and economic transition** is one of the four analysis criteria on which LBPAM bases its SRI philosophy. LBPAM's SRI analysis thus looks at the exposure to climate change of each company and their ability to face environmental challenges. These criteria (carbon exposure, carbon intensity, current and future fossil fuel exposure, integration of the energy transition strategy in the Company's strategy, offer of products and services to face the challenges of climate change, *etc.*) aim to measure how companies are exposed to transition risks (legislation, carbon price, *etc.*).

Other projects support this ambition:

- ▶ the creation of a **thematic fund dedicated to the energy transition**: the LBPAM ISR Actions Environnement fund aims to invest *via* European markets in environmental themes, notably the fight against climate change. The assets under management of this fund increased by more than 40% in 2018;
- ▶ investments in **“green bonds”**: since the end of 2013, LBPAM has implemented a specific methodology to evaluate “green bonds” ⁽³⁾. The total assets invested in responsible bonds by LBPAM - both in funds open to the public and in funds dedicated to certain customers - were €2.6 billion at end-2018 (compared to €1.195 billion at end-2017), *i.e.* an increase of 118% over the year.

Within this framework, LBPAM has proven its commitment to the energy transition by associating itself with various initiatives in place:

- ▶ in 2015, LBPAM joined the IIGCC (Institutional Investors Group on Climate Change), a forum whose mission is to change investment practices by encouraging the adoption of public policies promoting transition towards a low carbon economy and the development of solutions for adaptation to climate change;
- ▶ in 2015, LBPAM also signed the Montreal Carbon Pledge, thus undertaking to measure and publish the average intensity of its open equity portfolio investments;

(1) Allocation to outside consumption by customers and communication.

(2) Carbon intensity corresponds to GHG emissions reported by activity level.

(3) These bonds stand out from conventional instruments by the issuer's commitment to use the funds raised for environmental or social projects. The issuers of these bonds are varied, including business development banks and local authorities, and now States (France issued its first “green” bond in January 2017). Built jointly by the SRI analysts and credit fund managers, this methodology factors in the issuer's ESG rating and a qualitative evaluation of the projects related to the issue (ESG quality of the issue, transparency regarding the projects financed, reporting). Via this dedicated rating, fund managers are encouraged to pay special attention to responsible bond issues.

- ▶ in 2018, Daniel Roy, the Chairman of the Executive Board of LBPAM, was appointed a member of the bureau of Finance for Tomorrow, an initiative led by Paris Europlace to promote sustainable finance in France and internationally. It is intended to redirect financial flows toward an inclusive, low-carbon economy;
- ▶ in 2018, LBPAM publicly provided its support to the Task Force on Climate-related Financial Disclosure (TCFD). Created by the G20, this working group has formulated recommendations based on climate-related information which companies should share to help investors take good financial decisions.

In accordance with Article 173 of the LTECV, LBPAM publishes an annual report on its website **regarding its contribution to the fight against climate change** ⁽¹⁾. The report includes indicators measuring the average carbon intensity of its portfolios, the exposure LBPAM investments to climate risks and the companies exposed to the coal industry as well as the investments made by LBPAM in solutions which facilitate energy transition. The calculations are carried out for funds open to the public invested in equities and for open funds invested in corporate bonds.

6.2.4.3 Promote the emergence of the circular economy

6.2.4.3.1 Contribute concretely to the dynamics of the circular society

Provide a paper recycling offer with the Recygo solution

Recygo, created by La Poste Group, demonstrates its commitment to the energy transition. This **office paper recycling service** is offered by the mail and parcel service branch (Branche Service Courrier Colis).

The principle is simple: the paper is directly picked up from the offices by the postal worker. The paper collected are transported to Nouvelle Attitude, a La Poste subsidiary and social integration company. Nouvelle Attitude then carries out the sorting of the paper, in order to enhance its value, before transmitting it to nearby paper recyclers located in France.

In tune with the Group and its CSR policy, La Banque Postale has been deploying the Recygo paper service in its financial and national centres since 2013.

At the end of 2018, 19 financial and national centres were equipped as was the Bords de Seine II head office. In 2018, Recygo made it possible to collect 651 tonnes of paper for recycling, *i.e.* 5% more than in 2017 (620 tonnes collected in 2017).

Deploy WEEE collection

Like any other company in the service sector, the management of WEEE ⁽²⁾ end-of-life is an important challenge for waste management policies. The PAPREC service provider is responsible for the majority of WEEE collection and recycling processes at La Banque Postale. In 2018, close to 54 tonnes of WEEE were collected inside the financial and national centres. In 2012, the

DISFE, which is responsible for La Banque Postale's IT assets, also set up a policy for processing and recycling WEEE with Valdelec, a service provider which collects, dismantles and processes the WEEE of the IT network.

Develop the Collecting used ink cartridges from the Network

The recycling solution in partnership with Lexmark was expanded further this year, with 68,000 used cartridges returned by the post offices and the management sites to our service provider.

Thanks to this eco-gesture made by employees and all the stages of sorting, cleaning and tests carried out by Lexmark:

- ▶ 90% of reused printer cartridges were refilled for reuse by following the same manufacturing processes as new cartridges during the reconditioning phases (change of used or defective parts, tests, quality processes);
- ▶ 10% of cartridges were recycled.

The total recycled materials in 2018 as part of this programme came to 95,000 kg, *i.e.* the equivalent of 316,000 kg of CO₂ avoided. This represents energy consumption savings of 134,000 litres of petrol in one year. The cartridges of the Lexmark-La Poste programme are neither incinerated nor put in landfills.

Implement the recycling of ATMs

As part of its circular economy approach, La Banque Postale's Purchasing Department (DHA) has implemented ATM recycling to recover parts. The ATM WEEE which are not recovered or cannot be repaired will be destroyed in line with decree 2005-829. Independently of the real economic opportunity, this implementation falls within the DHA's strong commitment to developing CSR initiatives with its partners.

6.2.4.5 Fight against food waste and raise employee awareness of the circular economy

Combating food waste

The catering offering of the DNAS (National Social Activities Directorate) of La Post Groupe, which partly manages La Banque Postale's catering facilities, includes various initiatives to promote responsible collective catering by combating food wastage and encouraging healthy eating by its users.

The specifications for collective catering incorporate CSR requirements, notably with regard to combating waste, which are reflected by:

- ▶ setting up processes and methods to avoid daily waste and food losses. For example: inventorying before ordering, analysing the number of users of restaurants to adapt the quantities produced daily, FIFO stock management, *etc.*;
- ▶ raising the awareness of kitchen teams: daily briefings, training on eco-gestures, communicating with users in order to serve quantities matching their requirements.

(1) Report published in June 2018 available at the following address: <https://www.labanquepostale-am.fr/media/publications/Rapport-LTE-2018---VF.pdf>

(2) Waste electrical and electronic equipment.

Raising employee awareness of the circular economy

La Banque Postale, in parallel to reinforcing social and environmental criteria and specifications for the service providers that clean and manage waste at its premises, has also, for several years, offered awareness-raising activities to its employees, notably during the **European Week for Waste Reduction (EWWR)**. Numerous actions were carried out at national and regional entities during the 2018 EWWR. Among the events organised by CSR correspondents, with the help of several local associations, we can cite: donations, collection and recycling of used objects (toys, furniture, books, clothes, bottle caps, pens, *etc.*), workshops for making cosmetics and cleaning products, visiting recycling plants, the "day without disposable cups" challenge; the presentation of the application of recycling guidelines, *etc.* In addition to these awareness-raising actions, La Banque Postale works every day to reuse and recycle the materials it uses for its business operations.

At the same time as it is integrating these CSR requirements in its specifications and implementing the monitoring of extra-financial indicators with its service providers, the DNAS is also carrying out awareness-raising actions with Bank employees:

- ▶ for European Sustainable Development Week (30 May to 5 June 2018):
 - deployment of waste collection containers at the tray drop-off location,
 - implementation of informational posters to raise awareness and inform guests about sorting and the reuse of certain types of waste,
 - implementation of a communication campaign with a flyer explaining the use of each type of waste;
- ▶ for European Waste Reduction Week (19 to 23 November 2018):
 - implementation of a communication campaign on combating food waste,
 - proposal for an anti-waste menu and distribution of menus,
 - implementation of a campaign to weigh food waste to obtain a precise diagnostics by employee restaurant,
 - implementation of a contest to collect good practices and ideas for employee restaurants for 2019 from the teams and guests.

6.3 CSR INDICATORS

The CSR indicators published in this section support La Banque Postale's transparency objective and substantiate the qualitative elements described in the previous sections. They were grouped into four categories: economic indicators, employment indicators, societal indicators, and environmental indicators.

As an introduction to the indicator tables, the following methodology notice provides the required information for the proper understanding of the indicators, their scope and their possible limitations.

6.3.1 Note on methodology

The reporting protocol supports the definition of the extra-financial indicators established in order to report on the CSR performance of La Banque Postale Group. The information is reported by a network of over one hundred CSR correspondents who contribute to the extra-financial reporting process.

The CSR indicators were built with regard to the indicators suggested by the French NRE Act on new economic regulations, Article 225 of the Grenelle II Act, and according to their relevance to La Banque Postale's business activity in line with the European directive on extra-financial reporting transposed into French law, notably via order no. 2017-1180 of 19 July 2017 introducing the Declaration on Extra-Financial Performance. The indicators put forward by the Global Reporting Initiative (GRI), in particular in its Financial Services Sector Supplement (FSSS), were also taken into account. National methodology such as ADEME's Bilan Carbone® (carbon footprint) was used as a guideline, particularly for the calculation of environmental indicators.

For each indicator, the figures for the last three years were included whenever possible. The data is presented on a like-for-like basis and the changes in the scope are explained. In the event of a change in scope, a change in methodology or a subsequent data correction is identified, the data are adjusted since the previous publications for comparison purposes and are therefore followed by an asterisk*.

6.3.1.1 Scope of extra-financial reporting

The aim of La Banque Postale's feedback process is to cover all of the Bank's business activities and their impacts, all of the physical entities (buildings) and all of the players at La Banque Postale. These players integrate the subsidiaries and the Banking Advisory Line. Various scopes have therefore been defined in order to account for the corporate, social and environmental impacts of business activities in a relevant way. The table below presents the data from the **targeted extra-financial scope as at 31 December 2018**.

La Banque Postale (legal entity)	▶ Head office of La Banque Postale. ▶ Regional control departments. ▶ Regional commitments department.	2,941 employees (i.e. 10% of the personnel of La Banque Postale Branch) as at 31 December 2018.
Financial Services (employees of the La Poste Group working under the name of and on behalf of La Banque Postale)	▶ 20 metropolitan Financial Centres, four Financial Centres in the French overseas departments, four National Centres. ▶ IT Department of Financial Services and the Retail Brand (DISFE). ▶ Financial Services Department. ▶ Department of Businesses and Regional Development (DEDT).	13,621 employees (i.e. 47% of the personnel of La Banque Postale Branch) as at 31 December 2018.
Banking Advisory Line (employees of the La Poste Group working under the name of and on behalf of La Banque Postale) -The functions taken into account are as follows:	▶ Banking Advisory Line (LCB): financial advisors (COFI), customer advisors (COCLI), advisors specialised in wealth management (CSP), customer managers (Gescli), expert home loan advisors (CECI), specialised real estate advisors (CSI), acquisitive prescription loan advisor (CPCI), government-assisted housing loan advisor (CFAS). ▶ Appui Soutien Bancaire (banking assistance) (ASB): Acquisitive Prescription Operations Director (DOPI), Youth Leader, Loan Assistant, Bank Sales Monitor (MVB) and Private Client Manager (RCPART). ▶ Advisors working in post offices.	10,094 employees (i.e. 35% of the personnel of La Banque Postale Branch) as at 31 December 2018.
Subsidiaries (16 subsidiaries are consolidated in the extra- financial report)	▶ Employees working in the 16 subsidiaries within the scope.	2,270 employees (i.e. 8% of the personnel of La Banque Postale Branch) as at 31 December 2018.

Operating in post offices, the surface area and the energy and paper consumption of the Banking Advisory Line are calculated on the basis of the financial *pro rata* used for breaking down the charges for the 2018 financial year, i.e.: 52.1%.

Note that the counter staff of the post offices, who work for the different businesses of the La Poste Group, are not included in the extra-financial scope of La Banque Postale.

The scope is the same for all the economic indicators which cover all of La Banque Postale. However, for the other indicator

categories, the scope may vary from one indicator to another. For each indicator, the scopes actually covered are specified in a reference box as shown below and followed by an explanatory sentence where required:

Scope covered:

Entity

Scope not covered:

Entity

Where applicable, for the employment and social indicators, the coverage rate is calculated according to the number of employees. For the environmental indicators, it is calculated according to the area occupied.

Consolidation of subsidiaries

The consolidation of subsidiaries within the extra-financial scope is based on the principle of accounting consistency as well as on the principle of relevance of their various impacts. The goal is thus to include all consolidated subsidiaries in which the Group holds an interest of at least 50% (fully consolidated), as well as certain non-consolidated subsidiaries which have relevant impacts on the Bank's interests (see organisation chart in Section 1.4 of the Registration Document). In 2018, the 18 consolidated subsidiaries were the following:

- ▶ Retail Banking: La Banque Postale Financement (LBPF), EasyBourse, Titres Cadeaux, La Banque Postale Immobilier Conseil (LBPIC), La Banque Postale Crédit Entreprises (LBPCE), La Banque Postale Collectivités Locales (LBPCL), BPE, SOFIAP and SFH Home Loan, Domiserve and Kiss Kiss Bank Bank;
- ▶ asset management: La Banque Postale Asset Management (LBPAM) and Tocqueville Finance SA;
- ▶ insurance: La Banque Postale Prévoyance (LBPP), La Banque Postale Conseil en Assurances (LBPCA), La Banque Postale Assurances IARD (LBPIARD), La Banque Postale Assurances Santé (LBPAS) and SOP ASSURE.

In 2018, these 18 subsidiaries were either all included, all excluded, or partially included in the calculation of the indicators. Where only part of the subsidiaries was covered, in addition to the coverage rate shown in the scope reference box, details of the subsidiaries covered are given below the indicator.

SOP ASSURE and SFH HOME LOAN, having neither staff nor area at their disposal, are in effect excluded from the scope of extra-financial reporting.

The scope of the corporate and societal indicators covers 16 subsidiaries (excluding SFH Home Loan and SOP ASSURE).

The scope of environmental indicators covers 14 subsidiaries (excluding SFH Loan, SOP ASSURE, Domiserve and Kiss Kiss Bank Bank).

6.3.1.2 Information feedback in 2018

Note that the information about animal well-being, responsible, fair and sustainable food and the fight against food poverty have no bearing on La Banque Postale's activities and are not relevant or applicable.

"Commitments to customers" indicators

- ▶ The assets under management of funds where at least 90% of assets integrate ESG criteria (environmental, social and governance) are included in the SRI assets under management;
- ▶ a new SRI assets scale has been selected. It consists of three levels (moderate, significant and conviction impact). It consists

of two levels: socially responsible investment and funds with other ESG approaches. The 2017 and 2016 data were recalculated using the new definition;

- ▶ support for financially vulnerable customers is provided by CRESUS across France. Since 2017, customers in the Greater Paris region are supported by Crédit Municipal de Paris (CMP);
- ▶ since 2017, the level of exposure to ESG risks is measured on a scale from 1 to 10, with 10 being the highest level of risk. As the measurement methodology for these risks has been reviewed, the data from years 2017 and 2018 can no longer be compared with 2016 data.

"Commitments to Employees" and "Commitments to Society and the Regions" indicators

- ▶ The 16 subsidiaries included in the extra-financial scope were covered by most of the social indicators;
- ▶ only working employees are included in the total workforce (staff on permanent contracts, civil servants, staff on permanent contracts). Work-study contracts (apprenticeships, professional training contracts) and corporate officers are no longer included in the total workforce as part of the protocol harmonisation process with La Poste Group. The distribution by age of the staff numbers only takes into account permanent contracts;
- ▶ the permanent workforce is made up of permanent employees and civil servants;
- ▶ the Banking Advisory Line has no strategic women executives;
- ▶ days of absence for work-related accidents are monitored on a calendar basis;
- ▶ monitoring of occupational diseases is performed by La Banque Postale but the quantification is not consolidated at present, since the materiality of this indicator is not considered relevant to its service activity;
- ▶ the number of sick days is reported in calendar days, and takes into account permanent employees and State employees. The indicator takes account of the days of absence over the period from 1 January of year Y to 31 December of year Y;
- ▶ dismissals do not include the revocation of the appointments of state employees and the termination of trial periods at the employer's initiative;
- ▶ the training indicator takes into account completed training to date, chargeable or non-chargeable, and e-learning;
- ▶ subcontracting at La Banque Postale is not significant and does not concern La Banque Postale's core business activities. Subcontractors remain in all circumstances under the authority of the Service Provider, who retains sole responsibility for performance of all the services, and more specifically for compliance with quality, security and confidentiality levels. See Article 28 of the contracts signed by suppliers;
- ▶ concerning the number of employees doing skills-based volunteering: these are employees who have benefited from training in the budget workshops in the aim to deploy their acquired skills among those benefiting from the *Garantie Jeunes en Mission Locale* or in skills-based training programmes such as *Entreprendre Pour Apprendre* and *La Finance pour Tous*;

- ▶ concerning the number of employees committed to L'Envol: these are the number of new employees that have answered calls for mentors and have committed to being a mentor in L'Envol during year Y;
- ▶ concerning the number of young people benefiting from the L'Envol programme: these are the number of young people benefiting from the L'Envol programme at 31 December of year Y.

"Commitments to the Planet" indicators

- ▶ Indicators are tracked over a rolling 12-month period, from 1 December of Y-1 to 30 November of year Y, with regard to: energy consumption and greenhouse-gas emissions related to buildings, greenhouse-gas emissions related to vehicles, the number of employees trained in eco-responsible driving, water consumption and tonnes of Waste from Electrical and Electronic Equipment (WEEE) collected;
- ▶ energy consumption is monitored mainly on the basis of invoices and, in the possible case of an invoicing delay, on the basis of meter readings, in order to report the most exhaustive data possible;
- ▶ in 2018, the data was converted into CO₂ equivalents based on Version 13.0 of ADEME's Bilan Carbone®. All data has been adjusted on a historical basis. The emission factors only include combustion (excluding upstream) for gas, propane gas, fuel oil, diesel and petrol. The emission factor used for the conversion of district heating consumption is that of the city in which the site is located for the District Heating Energy Factor of Version 13.0 of the Bilan Carbone;
- ▶ new developments since 2017: the CO₂ emissions generated by employee business travel by train and aeroplane are calculated based on data sent by the transport service providers, who apply their own emissions factors to the journeys made by employees. The 2016 data have been adjusted;
- ▶ the emission factor for electricity consumption does not include online losses; grey electricity is calculated separately from green electricity. The average emission factor for the renewable energy mix in France is used for green electricity;
- ▶ the Banking Advisory Line has been integrated in the scope of publication of building-related energy consumption and paper consumption, according to a distribution key based upon the accounting base, making it possible to distribute the charges attributable to LCB employees working in the name and on behalf of La Banque Postale;
- ▶ the four Financial Centres located in the French overseas departments are not included in the environmental criteria, except for the vehicle indicators;
- ▶ the water consumption of four sites of the IT Department of the Financial Services and the Retail Brand (DISFE) is not included in the extra-financial report;
- ▶ paper scrap in production is included in total consumption. "Urgent" paper consumption excluding framework contracts is not taken into account in the graphic chain's paper consumption. The contribution is marginal;
- ▶ for certain missing data, and in cases where such an approach would be considered relevant, an extrapolation of missing or erroneous consumption could be performed based on the actual consumption data deemed most reliable.

6.3.1.3 Data verification

In 2011, La Banque Postale initiated a verification process for its CSR indicators by an independent third party. In the framework of Article 225 of the Grenelle II Act, La Banque Postale has since continued this process. All of the audit missions were the subject of a moderate assurance opinion, published in La Banque Postale's Registration Documents. In 2018, for the fourth year running, certain indicators will be the subject of a reasonable assurance opinion.

Following this section on responsible development indicators is a report from the third-party organisation requested voluntarily by La Banque Postale on the compliance of the Declaration of Extra-Financial Performance with the legal and regulatory requirements published in the management report included in the Registration Document for the financial period closed on 31 December 2018.

6.3.2 “Commitments to Customers” indicators

The indicators presented in the following table supplement the Banking Accessibility, Responsible Customer Relations, Responsible Offering and Management of Extra-Financial Risks sections of this document.

Economic indicators	2018	2017	2016
BANKING ACCESSIBILITY			
Number of personal micro-loans disbursed (including home micro-loans) √	1,943	2,114	2,226
In 2017, there were 146 active partnerships with social assistance organisations in 70 French regional departments			
Percentage of consumer loans less than or equal to €1,500	6.50%	6.30%	7.00%
Percentage of home loan borrowers earning less than 2 minimum wages per month	27.10%	22.20%	22.40%
Percentage of Livret A accounts with a balance of less than €150	51.00%	50.50%	51.00%

	2018	2017	2016
RESPONSIBLE CUSTOMER RELATIONS			
Customer satisfaction rate	83.80%	85.00%	87.00%
Customer claims rate	13.10%	14.00%	11.70%
Rate of doubtful home loans	1.20%	1.20%	1.00%
La Banque Postale's doubtful loan rate is among the lowest on the market (the market average as of the end of 2016 was close to 2%).			
Number of customers receiving support from CRESUS during the year	325	334	296
CRESUS provides assistance to customers in a vulnerable financial situation throughout France. Starting in 2017, customers in the Greater Paris Region will receive assistance from the Crédit Municipal de Paris (CMP).			
Number of customers supported by l'Appui	12,324	15,425	14,691
Number of deaf and hearing impaired customers assisted by Deafi	6,028		

Since February 2017, a customer service option in French sign language has been available to deaf and hearing-impaired customers and prospects. It is accessible from labanquepostale.fr and the Deafi mobile application.

Please refer to the subsections on banking accessibility in the Commitments to society and the regions section for further information.

	2018	2017	2016
RESPONSIBLE OFFERING			
Total responsible outstandings √	115.06	109.14	97.18
SRI fund (socially responsible investing)	10.60	4.14	3.20
Funds with other ESG approaches	104.46	105.00	93.99

In 2018, SRI investments accounted for 50% of all investments managed by LBPAM

	2018	2017	2016
MANAGEMENT OF EXTRA-FINANCIAL RISKS			
ESG risk exposure of the CIB business (non-sovereign issuers)	4.84	5.12	N/A
ESG risk exposure of the CIB business (sovereign issuers)	5.15	4.63	N/A
Since 2017, the level of exposure to ESG risks has been measured on a scale of 1 to 10, with 10 being the highest level of risk. As the measurement methodology for these risks has been reviewed, the data from 2017 and 2018 cannot be compared with 2016 data.			
Level of exposure to climate risks of the CIB business (corporate issues) (in tCO₂/€m of revenue)	43.00	95.00	91.02

	2018	2017	2016
Number or percentage of employees trained in combating money laundering and terrorism financing over the last three years			
La Banque Postale Employees	49.54%	51.48%*	31.89%*
Financial Centre Employees	29.01%	18.96%*	2.22%*
Network employees	31.48%	37.25%*	22.10%*

This is the number of employees who took training courses during the year.

6.3.3 “Commitments to Customers” indicators

The indicators presented in the following table supplement the social commitment section of this document.

	2018	2017	2016
EMPLOYMENT: WORKFORCE, HIRING AND DISMISSALS			
Number of employees of the La Banque Postale Group (as a number of people)	28,926	29,163	29,206
La Banque Postale	2,941	2,739	2,468
Financial Services	13,621	14,413	15,217
Banking Advisory Line	10,094	10,069	9,741
Subsidiaries	2,270	1,942	1,780

Includes permanent employees, state employees, temporary employees, and “contrat d’avenir” personnel (excluding work-study employees and dormant contracts), and banking support positions

The 28,926 employees of La Banque Postale Group work in France.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Share of permanent employees under 25	1.18%	0.83%	0.77%
Share of permanent employees over 55	27.74%	27.02%	26.61%

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Number of CDI (permanent) employees recruited	1,885	940*	612

Includes the number of permanent hires following a temporary contract, an apprenticeship contract or an occupational contract, and external permanent hires.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Number of redundancies	101	91	103

La Banque Postale has not made anyone redundant on economic grounds over the past three years.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
REMUNERATION			
Average gross annual remuneration for women (in euros)	39,978	39,119*	38,100
Average gross annual remuneration for men (in euros)	48,660	47,313	45,641

Indicators calculated using the average annual FTE headcount (permanent, state employees).

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2018	2017	2016
Annual remuneration of the Chairman/gross median remuneration of the employees	20.02 times the minimum wage	20.46 times the minimum wage	25.6 times the minimum wage

Fixed gross annual salary for permanent employees.

The value used in 2018 was the 2018 minimum wage, *i.e.* €17,981.64.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2018	2017	2016
Amount of the incentive plans (in euros)	20,210,081	10,708,928	12,298,963
Amount of profit sharing (in euros)	11,127,609	8,583,423	2,862,417
Amount of employer's contribution (in euros)	7,041,740	7,516,943	5,218,271
Portion of socially responsible investment in employee savings	35.61%	33.69%	37.26%

Includes amounts paid yearly in respect of the previous financial year.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Excluding Easybourse and SOFIAP in 2017. Excluding the subsidiaries in 2016.

	2018	2017	2016
FIGHT AGAINST DISCRIMINATION: GENDER EQUALITY AT WORK AND EMPLOYMENT OF DISABLED PERSONS			
Percentage of women in the workforce	61.36%	61.84%	61.98%
Percentage of women in executive positions	56.51%	56.62%	56.57%
Percentage of women in strategic executive posts v	30.93%	37.20%	36.59%

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Percentage of women on the Executive Board of La Banque Postale	31%	23%	27%
Percentage of women on the Supervisory Board of La Banque Postale	33%	40%	40%

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Percentage of Employment Obligation Beneficiaries	NC	3.03%	3.21%

Rate calculated based on the AGEFIPH procedures available after publication of this document.

In 2017, indirect employment represented 30.41 units resulting from contracts concluded with the subsidised/sheltered sector.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Number of disabled employees assisted	888	898	859

Moreover, the percentage of Employment Obligation Beneficiaries is only calculated La Poste Group level.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
WORK ORGANISATION: OVERTIME, PART-TIME, ACCIDENTS AND ABSENCES			
Amount of overtime per employee in hours	2.91	2.51	1.89

Includes the number of overtime hours declared by each employee under permanent contract and State employees.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Percentage of part-time employees in the workforce	9.01%	9.19%	9.63%

Includes employees on permanent contracts and state employees working part-time.
In 2018, 86.3% of part-time employees were women (88.6% in 2017).

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Number of teleworking employees	664	527	444

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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Excluding the subsidiaries in 2016.

	2018	2017	2016
Frequency rate of work accidents	4.63	4.51	5.00
Severity rate of work accidents	0.18	0.16	0.18
Number of days of work stoppage due to work and travel accidents per employee	0.62	0.60	0.57

Includes accidents and days off work for permanent, state and temporary employees.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Rate of absenteeism due to illness	5.63%	5.68%*	5.65%*
Number of days of work stoppage due to illness per employee	20.53	20.94*	20.96*

* Includes days off work for permanent and state employees

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
EMPLOYEE RELATIONS			
Number of collective agreements signed	60	51	29

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
TRAINING			
Number of training hours provided by EBR to La Poste Group	1,995,000	2,184,000	2,576,000
Number of training hours	964,483	1,028,953	888,559
Number of training hours per employee	33	35	30

In 2018, 27,655 employees attended at least one training programme during the year.
Subsidiaries not covered in 2016 and 2017: LBPCCE and LBPCA

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
Number of employees on banking courses leading to a qualification or diploma	1,580	1,415	2,351

Includes employees in first and second years of banking courses leading to a qualification or diploma.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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* restated amount.

6.3.4 “Commitments to Society and the Regions” indicators

The indicators presented in the following table supplement the social commitment section of this document.

	2018	2017	2016
RESPONSIBLE PURCHASING			
Number of Responsible Purchasing Charters signed by suppliers	4,486	434	399

In 2018, La Poste Group implemented a new information system for purchasing, including for La Banque Postale. This approach required signature of the Responsible Purchasing Charter by all of La Poste Groupe's suppliers, including those of La Banque Postale.
Please refer to the subsections on La Banque Postale's responsible purchasing approach in the Commitments to Society and the Regions section for further information.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
-------------------	--------------------	-----------------------	--------------

	2018	2017	2016
Progression of purchases from the subsidised/sheltered employment sector	-8%	9%	10%

Progression calculated relative to the previous year.
Please refer to the subsections on diversity, disabilities and equal opportunity in the Commitment to Employees section for further information.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2018	2017	2016
CIVIC COMMITMENT			
Financial commitment for sponsorship (in euros)	5,911,058	5,026,499	4,026,108

The definitive data for the current year is not known until after the publication of this document.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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Number of employees volunteering skills	255	74	NC
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Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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Number of employees involved with L'Envol	90	85	97
Number of young people benefiting from L'Envol	449	387	NC

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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Territorial, economic and social impact and stakeholder relations

Please refer to the Societal commitment section of this document as well as the Social commitment section in which a paragraph is dedicated to La Banque Postale's relationships with academic institutions.

Compliance with the fundamental conventions of the ILO (International Labour Organisation)

Please refer to the end of the Societal commitment section of this document regarding compliance with fundamental labour rights for employees, suppliers and subcontractors.

Corruption Prevention

Please refer to the end of the Management of Extra-financial Risks section on ethics of this document.

Health and Safety of customers

Please refer to the Banking Accessibility (combating banking exclusion) and Responsible Customer Relations (preventing over-indebtedness and support in the event of financial insecurity) sections of this document.

* restated amount

6.3.5 “Commitments to the Planet” indicators

The indicators presented in the following table supplement the social environmental commitment section of this document.

	2018	2017	2016
Total carbon footprint of La Banque Postale (tonnes of CO ₂ equivalent)	62,055	63,980*	63,238*

The carbon footprint takes into account the following sources of emissions: buildings, professional home-work travel and paper consumption. LCB's consumption is included in the building and paper consumption items.

	2018	2017	2016
BUILDINGS			
Energy consumed (in Gwh)	225.22	228.28*	234.08*
Emissions related to buildings (in tonnes of CO ₂ equivalent)	26,892	28,994*	30,634*
Emissions avoided thanks to the 100% green electricity contract (in tonnes of CO ₂ equivalent)	8,434	8,124*	6,369*
Emissions per employee (in kg of CO ₂ equivalent)	930	995*	1,060*

The total energy consumption includes the consumption of electricity natural gas, fuel oil, district heating, and propane gas.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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13 of the 16 subsidiaries: BPE, Easybourse, LBPAM, LBPAS, LBPCE, LBPCL, LBPIARD, LBPIC, LBPFI, LBPP, SOFIAP, Titres Cadeaux, Tocqueville Finance.

The Banking Advisory Line is integrated on an accounting *pro rata* basis.

	2018	2017	2016
TRAVEL			
Emissions related to vehicles (in tonnes of CO ₂ eq.)	5,573	5,072*	5,849*
Emissions per vehicle (in tonnes eq. CO ₂ eq.)	3.5	3.7*	3.8*

14 of the 16 subsidiaries: BPE, Easybourse, LBP AS, LBP CA, L4
BP CE, LBP FI, LBP GP, LBP IARD, LBP IC, LBP P, LBP AM, SOFIAP, Titres Cadeaux, Tocqueville Finance

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2018	2017	2016
Emissions related to business travel by train (in tonnes of CO ₂ equivalent)	53	92	126
Emissions related to business travel by plane (in tonnes of CO ₂ equivalent)	1,823	1,976*	2,044*

12 of the 16 subsidiaries: BPE, Easybourse, LBP AS, LBP CA, LBP CE, LBP FI, LBP GP, LBP IARD, LBP IC, LBP AM, Titres Cadeaux, Tocqueville Finance

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2018	2017	2016
Emissions related to home-work travel in tonnes of CO₂ equivalent	20,397	20,397	16,266

These emissions are calculated using the results of the home-work survey done with La Banque Postale employees every two years.
Please refer to the subsections on the responsible mobility policy in the Commitments to the Planet section for further information.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2018	2017	2016
Number of videoconference terminals	236	199	153
Number of videoconference connections	48,110	48,692	38,593

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2018	2017	2016
Number of employees trained in eco-responsible driving	55	16	22

By the end of 2018, 2,229 employees had been trained since 2008 in the Financial Centres and at the head offices (excluding awareness-raising activities).

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2018	2017	2016
RESOURCES			
Paper consumption (in tonnes)	7,188	7,318*	8,171*
Emissions related to paper (in tonnes of CO ₂ equivalent)	7,318	7,450*	8,318*
Portion of responsible paper out of total paper consumption	99.49%	88.86%	91.20%
Consumption of paper for internal purposes per employee (in kg)	15.31	22.30	24.00
Consumption of paper for external purposes per active customer (in kg)	0.65	0.63	0.70

Paper is the main raw material used by La Banque Postale, which is mindful of the quality of the paper as well as the volumes consumed.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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6 of the 16 subsidiaries included: BPE, LBP AM, LBP AS, LBP CA, LBP CE, LBP CL, LBP FI, LBP IARD, LBP IC et LBP P.
The Banking Advisory Line is integrated on an accounting *pro rata* basis.

	2018	2017	2016
Water consumption (in millions of litres)	116.94	112.77*	130.62*
Consumption per employee per day (in litres)	30.29	29.27*	33.33*

With respect to La Banque Postale's business activities, only the water consumed by company restaurants and sanitary appliances is taken into account. La Banque Postale consumes only potable water coming from French municipal utilities and is therefore not faced with the issue of depletion of water resources. However, as part of its policy of controlling the use of resources, reducing water consumption is a constant operating objective of the locations and is covered by monitoring and reporting.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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12 of the 16 subsidiaries: BPE, LBPAM, LBPAS, LBPIARD, LBPFI, Tocqueville, LBPP, SOFIAP, LBPIC, Easybourse, LBPCCE, LBPCCL

	2018	2017	2016
THE CIRCULAR ECONOMY			
Number of tonnes of paper waste collected by Recygo for recycling	651.54	620.00	635.10

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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Includes: the head office of Bords de Seine and 19 Financial and National Centres (excluding DISFE).

	2018	2017	2016
Collection of WEEE (waste electrical and electronic equipment) (in tonnes)	53.5	78.3	104.3

Only the Financial Centres and the National Centres, which account for 86.3% of the surface area occupied by Financial Services, are included in the scope.

Scope:

La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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* restated amount.

6.4 REPORT BY ONE OF THE STATUTORY AUDITORS, DESIGNATED AS AN INDEPENDENT THIRD PARTY, ON THE CONSOLIDATED SOCIAL, ENVIRONMENTAL AND SOCIETAL INFORMATION IN THE MANAGEMENT REPORT

In our role as statutory auditors designated as an independent third party of La Banque Postale S.A., accredited by COFRAC under number 3-1049⁽¹⁾, we hereby submit our report on the consolidated declaration of extra-financial performance for the financial year ending 31 December 2018 (hereinafter the "Declaration"), presented in the management report of the Company in application of the legal and regulatory provisions of Articles L. 225-102-1, R. 225-105 and R. 225-105-1 of the French Commercial Code.

Responsibility of the Company

It is the responsibility of the Executive Board to establish, within the framework of the voluntary approach entered into, to provide a Declaration compliant with the legal and regulatory provisions in effect, including a presentation of the business model, a description of the main extra-financial risks, a presentation of the policies implemented with respect to the risks and the outcomes of the policies, including key performance indicators.

The Declaration has been prepared by applying the Company's procedures (hereinafter the "Standards") the material elements of which are presented in the Declaration or available on request from the registered office of the Company.

Independence and quality control

Our independence is defined by the provisions of Article L. 822-11-3 of the French Commercial Code and by the code of ethics of the profession. In addition, we have implemented quality control procedures that include documented policies and procedures whose purpose is to ensure compliance with the applicable ethical rules, professional doctrine and legal and regulatory provisions in effect.

Responsibilities of the statutory auditors

It is our responsibility, based on our work, to formulate a qualified opinion expressing our moderate assurance that:

- ▶ the conformity of the Declaration with the provisions of Article L. 225-105 of the French Commercial Code;
- ▶ the truthfulness of the information provided in application of 3° of I and II of Article R. 225-105 of the French Commercial Code, *i.e.*, the outcome of the policies, including the key performance indicators and the actions related to the main risks, hereinafter the "Information".

Our role is to express, at the Company's request and outside the scope of accreditation, a conclusion of reasonable assurance regarding the fact that the information selected ⁽²⁾ by the Company and identified by the symbol √ in Chapter 6.3 "CSR indicators" of the management report, have been drawn up, with regard to all their significant elements, pursuant to the Standards.

It is not our role, however, to provide an opinion on:

- ▶ the Company's compliance with the other legal and regulatory provisions applicable, if required, notably with respect to the vigilance plan and the fight against corruption and tax evasion;
- ▶ the compliance of products and services with applicable regulations.

Nature and extent of work

Our work, described below, was undertaken in accordance with Articles A. 225-1 *et seq.* of the French Commercial Code setting out the procedures according to which the independent third-party body must undertake their mission and in accordance with the professional standards of the French National Institute of statutory auditors and the international ISAE 3000 standard (Assurance engagements other than audits or reviews of historical financial information).

We undertook work which enabled us to assess the conformity of the Declaration with the legal and regulatory provisions and the truthfulness of the information:

- ▶ we reviewed all of the companies included in the scope of consolidation, the presentation of the main social and environmental risks related to the business and, where necessary, their effects with respect to human rights and the fight against corruption and tax evasion, as well as the resulting policies and their outcomes;
- ▶ we analysed the appropriateness of the Standards in terms of their relevance, completeness, reliability, neutrality and clarity, taking into consideration industry best practices;
- ▶ we verified that the Declaration covers each information category required by III of Article L. 225-102-1 with respect to corporate and environmental matters;

(1) The scope of which is available on the www.cofrac.fr website.

(2) The proportion of women in strategic executive posts, Number of micro-credits granted during the year, SRI outstandings (Socially Responsible Investing).

- ▶ we verified that the Declaration presents the business model and the main risks related to the business activities of all of the companies included in the scope of consolidation, including, when relevant and proportional, the risks created by business relationships, the products or services in light of the information required in I of Article R 225-105, as well as the policies, the reasonable diligence procedures and their outcomes, including the key performance indicators;
- ▶ we verified, when relevant with respect to the main risks or policies presented, that the Declaration provides the information required by II of Article R. 225-105;
- ▶ we also assessed the process for the identification, prioritisation and approval of the main risks;
- ▶ we enquired as to the existence of internal control and risk management procedures implemented by the Company;
- ▶ we verified that the Declaration covers the consolidated scope, *i.e.*, all of the companies included in the consolidation scope in accordance with Article L. 233-16 with the limits defined in the Declaration;
- ▶ we assessed the collection process implemented by the entity to ensure the completeness and truthfulness of the outcomes of the policies and of the key performance indicators which must be provided in the Declaration;
- ▶ we implemented key performance indicators and the other quantitative results ⁽¹⁾ we considered most relevant:
 - Environmental indicators: Energy consumption of buildings; Greenhouse gas emissions of buildings; Greenhouse gas emissions of vehicles; Tonnes of paper consumed and share of responsible portion out of total paper consumption.
 - Societal indicators: Number of personal micro-credits sponsored by LBP with Créa-Sol; Fight against corruption; Number of employees trained to fight money laundering; Bank accessibility: number of customers provided with support and breakdown by type of guidance provided to customers by Appui.
- ▶ analytical procedures consisting in verifying the correct consolidation of the data collected and the consistency of their evolution,
- ▶ detailed tests based on sampling consisting in verifying the correct application of definitions and procedures and reconciliation with the data of supporting documents. This work was carried out with a selection of contributing entities ⁽²⁾. It covers between 18% and 100% of the consolidated data of the key performance indicators and results selected for the tests;

we consulted the documentary sources and carried out interviews to corroborate the reasonable due diligence procedures (organisation, policies, actions, qualitative results) which we considered to be most significant ⁽³⁾;

Commitments to Employees chapter: Promote quality of life in the workplace and employee well-being; Support mobility and train employees; Respect for human rights and labour rights.

Commitments to Society and the Regions chapter: Extra-financial criteria to assess risk, select and ensure supplier monitoring; Implement a committed procurement policy with our suppliers.

Commitments to the Planet chapter: A carbon fund to reduce its environmental footprint.

we assessed the consistency of the overall Declaration with our knowledge of the Company.

We believe that the sampling methods and sample sizes that we used, exercising our professional judgement, enable us to reach a conclusion of limited assurance. A higher level of assurance would have required more extensive verification work.

Due to the use of sampling techniques, as well as other limits inherent in the functioning of any information and internal control system, the risk of a failure to detect a significant anomaly in the Declaration cannot be entirely eliminated.

Means and resources

Our work involved the expertise of five people. We called upon our sustainable development and corporate responsibility specialists to assist us in our work. We carried out a dozen interviews with the persons responsible for preparing the Declaration representing general management, administration and finance, risk management, compliance, human resources, health and safety, the environment and purchasing.

Conclusion

On the basis of our work, and given the scope our responsibility, we have found no significant anomalies that would cause us to doubt that the Declaration complies with all applicable regulatory provisions and that the information, taken as a whole, is fairly presented in accordance with the Standards.

(1) Social indicators: Total number and distribution by age, gender and geographical area, Number of permanent hires and dismissals, Number of training hours, Number of sick leave days, Number of employees working from home.

(2) The Montpellier Financial Centre, the La Poste Purchasing Department (DAPO), Véhposte, Poste Immo, La Banque Postale's registered office, the Compliance Department and the Retail Banking and Insurance Department.

(3) Commitments to Customers chapter: Responsible asset management; Prevention of tax evasion; Business ethics: better risk management in business processes.

Report of reasonable assurance on selected CSR Information

Nature and extent of work

Concerning the information selected by the Company and identified by the symbol √, we carried out work of a similar nature to that described in the Paragraph "Nature and extent of work" above for the information considered to be the most important, but in a more in-depth manner, in particular with respect to the number of tests.

The selected sample represents 87% of the workforce and 100% of the societal information identified by the sign √.

We consider that this work makes it possible for us to provide a reasonable assurance as to the information selected by the Company and identified by the sign.

Conclusion

In our opinion, the information selected by the Company and identified by the sign √ was established, in all its significant aspects, in accordance with the Framework.

Paris-La Défense, 8 March 2019

KPMG S.A.

Anne Garans
Partner
Sustainability Services

Marie-Christine Jolys
Partner

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7.1 DOCUMENTS AVAILABLE TO THE PUBLIC

All documents made available to the public under legal conditions may be consulted at La Banque Postale's registered office at 115, rue de Sèvres, 75275 Paris Cedex 06. La Banque Postale's Registration Documents are also available on the website www.labanquepostale.com.

The Company's Articles of Association are included in this Registration Document. All reports, letters and other documents,

historical financial data, assessments and statements made by an expert at the Company's request, where a section is included or mentioned in this document, together with all financial information, including information related to the subsidiaries for each of the two years prior to the publication of this document, can be consulted on the La Banque Postale Group website, or otherwise by writing to the Company Secretary at the Bank's registered office.

7.2 SIGNIFICANT CHANGES

There has been no significant change in the Group's financial or commercial position since the close of the last financial year for which audited financial statements have been published, and

specifically since the signing of the statutory auditors' report on the consolidated financial statements on 22 February 2017.

7.3 SIGNIFICANT CONTRACTS

To La Banque Postale's knowledge, no significant contracts have been signed other than agreements entered into as part of the

normal course of business, or in relation to the shareholders (as presented in Chapter 1, which provides an overview of the Group).

7.4 SITUATION OF DEPENDENCY

Not applicable.

7.5 REGULATION

7.5.1 Banking activities

La Banque Postale, a subsidiary of La Poste, which holds the entirety of the share capital, is a French public limited company (*société anonyme*) with an Executive Board and a Supervisory Board, licensed as a credit institution by the French Credit Institutions and Investment Firms Committee (CECEI), and registered as an insurance intermediary with the French Insurance Intermediaries Registration Body (ORIAS).

In this respect, La Banque Postale meets the needs of all types of customers and provides a complete banking, financial, savings and insurance offering:

- ▶ banking services: holding of postal current accounts and payment services, overdraft facilities, home and consumer loans, loans to businesses and the local public sector;
- ▶ financial instruments: holding of securities accounts, investment in financial securities including units or shares of collective investment funds and forward financial instruments;
- ▶ savings products: savings products subject to a specific tax regime and unregulated savings products, employee savings products and insurance-related products.

It also offers payment services not related to a bank account, such as postal mandates, money transfers, manual currency exchange and travellers' cheques.

Banking and related transactions, investment and related services, savings products, and manual foreign exchange are regulated by the French Monetary and Financial Code.

Insurance products are governed by the French Insurance Code.

These codified provisions, together with the non-codified legal and regulatory provisions, govern the activity of La Banque Postale in their respective fields.

Moreover, La Banque Postale is subject to supervision by the relevant industry authorities: the European Central Bank (ECB) and the French Prudential Supervision and Resolution Authority (ACPR) as part of the single supervision mechanism in effect since 4 November 2014, and the French Financial Markets Authority (AMF).

The single supervisory mechanism (SSM) is the system of banking supervision in Europe. It comprises the ECB and the national supervisory authorities of the participating countries.

Its main aims are to ensure the safety and soundness of the European banking system, increase financial integration and stability, and ensure consistent bank supervision.

The ECB has the authority to conduct prudential reviews, on-site inspections and investigations, to grant or withdraw banking licences, to assess banks' acquisitions and disposals of qualifying holdings, and to set higher capital requirements ("buffers") in order to counter any financial risks.

The ECB directly supervises the 119 significant banks of the participating countries.

The SSM is one of the two pillars of the EU banking union, along with the single resolution mechanism (SRM). Established in response to the 2008 financial crisis, its purpose is to increase the transparency, resilience and integration of the European banking sector.

The single resolution mechanism (SRM) entered fully into effect on 1 January 2016. Its purpose is to ensure efficient resolution of failing banks, at minimal cost to the taxpayer and the real economy. It was created pursuant to the Bank Recovery and Resolution Directive (BRRD). The Single Resolution Board (SRB) Board was established on the same date and is tasked with expediting the decision-making process. Bank resolution measures can be funded by a Single Resolution Fund (SRF), supplemented by contributions from the banking sector, and must reach the target of 1% of the amount of covered deposits by 31 December 2024 at the latest (Article 102 BRRD).

The BRRD defines a European system for bank resolution and recovery, and was transposed into French law in August 2015. It provides for the preparation and maintenance of preventive plans for recovery and resolution.

La Banque Postale updates its recovery plan and submits it annually to the ECB for approval.

La Banque Postale is among the banks under the responsibility of the Brussels-based Single Resolution Board (SRB), which is tasked with drawing up its resolution plan.

In the context of its resolution, La Banque Postale very carefully monitors the progress in Europe of measures on loss absorption capacity:

- ▶ the work of the SRB, which is set to establish a Minimum Requirement for own funds and Eligible Liabilities (MREL);
- ▶ possible regulatory changes proposed by the European Commission ("BRRD2").

7.5.2 The banking accessibility mission

The legislator entrusted La Poste with a General Interest Mission to ensure accessibility to banking⁽¹⁾, according to which its *"public service and general interest missions"* are notably *"banking accessibility as described in the Monetary and Financial Code"*. The French Monetary and Financial Code thus stipulates that *"in*

the banking, financial and insurance fields, La Poste shall offer products and services as widely as possible, particularly the Livret A accounts"⁽²⁾ La Poste carries out this role *via* its subsidiary La Banque Postale, a credit institution⁽³⁾.

(1) Article L. 518-25-1 of the French Monetary and Financial Code.

(2) Article L. 518-25 of the French Monetary and Financial Code.

(3) law No. 90-568 of 2 July 1990 relative to the organisation of public postal and telecommunications service, amended by law No. 2010-123 of 9 February 2010 relative to the public company La Poste and postal activities.

The banking accessibility mission is exercised through Livret A accounts, which La Banque Postale has the obligation to open for “any person (...) who so requests⁽¹⁾”.

The law on the Modernisation of the Economy of 4 August 2008 generalised the distribution of the Livret A regulated savings accounts to all banks as from 1 January 2009, whereas up until then only the so-called “historical” networks (La Banque Postale, Caisses d’Épargne and, under certain specific conditions, Crédit Mutuel) were authorised to distribute it. However, the law set out specific obligations for La Banque Postale in terms of the distribution and operation of the Livret A in respect of its banking accessibility mission:

La Banque Postale La Poste has the obligation to open a Livret A account free of charge for any physical person, any association not subject to corporate tax⁽²⁾, social housing body or condominium corporation that requests it;

the minimum amount of individual cash withdrawal or deposit transactions is set at €1.50⁽³⁾;

La Banque Postale is obliged to allow holders of the Livret A to make payment and withdrawal transactions free of charge in all post offices where it offers these same transactions to holders of postal current accounts;

La Banque Postale is obliged to authorise, on the Livret A, in accordance with the conditions set out in the general regulations, all the transactions listed in the decrees of 4 December 2008 and 14 May 2010:

bank transfers that are social security payments made by public authorities and social security bodies, and payments of civil servants’ pensions,

direct debits relating to the payment of income tax, council tax, property taxes, water, gas, and electricity bills, and subsidised housing rents payable to social housing associations;

La Banque Postale is obliged to offer the following free services: transfer to a current account by the holder of the Livret A (or their legal representative or agent) regardless of which institution holds the account; bank cheques issued in favour of the holder of the Livret A (or their legal representative or agent); a cash withdrawal card that can be used in the ATMs of La Banque Postale.

This mission is essential for enabling the social insertion of a large number of people who, due to their habits, administrative situation, limited income or handicaps, are marginalised with respect to “traditional” banking use. At the end of 2018, nearly 51% of La Banque Postale’s Livret A accounts held by individuals, *i.e.* more than 7.7 million accounts, had an average balance of less than €150. These accounts, which amount to only 0.3% of deposits outstanding, nonetheless generate very substantial management costs because they are amongst the most used savings accounts, accounting for more than 48% of the transactions made on Livret A accounts (of which 53% withdrawals).

La Banque Postale has also undertaken, under the terms of the law of 9 February 2010, to fight and prevent over-indebtedness and to promote micro-loans, notably *via* its banking and budget support platform *L’Appui*.

In respect of these specific obligations which are incumbent on it in terms of the distribution and operation of the Livret A, La Banque Postale receives annually a “compensation in proportion to the public economic interest service role which is entrusted to it⁽⁴⁾”. This compensation is fixed, for the period 2015-2020 by decree dated 4 December 2017.

(in € millions)	2015	2016	2017	2018	2019	2020
Amount	235	355	340	320	300	280

On 24 October 2017, the European Commission approved the public service compensation granted to La Banque Postale in order to guarantee banking accessibility via the “Livret A”. The European Commission considered that the public financing granted by France

to La Banque Postale from 2015 to 2020, intended to improve banking accessibility, is compliant with EU regulations in terms of State aid.

7.5.3 Eckert law on dormant accounts and unclaimed life insurance contracts: volumes and outstandings

The “Eckert law”, which entered into force on 1 January 2016, stipulates that amounts in dormant bank accounts must be transferred to the Caisse des dépôts et consignations (CDC) after a ten-year dormancy period (*i.e.* with no transactions or contact between a customer and their bank). In addition, the bank is obliged to publish an annual list of dormant accounts and the total deposits and credits in its books.

In 2015, La Banque Postale SA and its subsidiaries set up the procedure necessary for prior exhaustive identification of all of its dormant customers within the meaning of this law: identification of the date the account was last active for all customer accounts and the date of the last contact with La Banque Postale or its subsidiaries (through any communication channel). Each company of the La Banque Postale Group has its own system of procedures for this. The scope of application of this system concerns the

customers of La Banque Postale SA (and subsidiaries of the La Banque Postale Group). An independent procedure is applied directly by insurance providers CNP Assurances, Allianz and La Banque Postale Prévoyance for their policies distributed by La Banque Postale.

The arrangements for transferring the funds to the CDC do not concern customers that make regular transactions on at least one of their accounts, or customers that contact their bank on a regular basis (either by checking their account online, by contacting their Financial Centre, or by visiting a post office in person).

As soon as a client is identified as dormant, La Banque Postale (and its subsidiaries) fulfils its legal obligations: providing customers with annual information, closing dormant accounts, transferring amounts in credit (in euro only) to the CDC, filing information and

(1) Article L. 221-2 of the French Monetary and Financial Code.

(2) As defined in Article 206 of the French General Tax Code.

(3) Art. R. 221-3 of the French Monetary and Financial Code.

(4) Article R. 221-8-1 of the French Monetary and Financial Code.

documents concerning the customer (or any rightful owners known to the bank).

Dormant Following a rather atypical year in 2016 in terms of customer volumes within (high deposit volumes) due to the scope entry into force of the Eckert law were lower, dormant customer volumes in 2018 confirmed the 2017 trend and proved to

be far lower than in 2017. the overall volume of funds deposited at the CDC in 2016.

With the continual exchange of information with the CDC throughout 2018, La Banque Postale ensured the continuity of this system for customers, who, once their outstandings have been transferred, may, since 1 January 2017, research information about them and recover their funds *via* the website www.ciclade.fr.

Volumes and amounts outstanding within the scope of the Eckert law, for which La Banque Postale SA and its subsidiaries are the account custodians (individuals/legal entities):

	Dormant accounts closed in 2018	Dormant accounts at 31.12.2018
Number of accounts		
LBP SA and subsidiaries	212,728	2,374,889
of which LBP SA	212,718	2,373,076
of which BPE	8	1,027
of which EasyBourse	0	71
of which Tocqueville Finance	0	0
of which LBP Epargne Salariale	2	1,634
(in € thousands)		
Amounts outstanding		
LBP SA and subsidiaries	105,496	1,550,926
of which LBP SA	105,470	1,547,825
of which BPE	25	2,185
of which EasyBourse	0	566
of which Tocqueville Finance	0	0
of which LBP Epargne Salariale	0	3,123

7.6 LEARN MORE ABOUT LA BANQUE POSTALE

All the information is available at www.labanquepostale.com

This website provides an overview of La Banque Postale, its business lines, news, etc.

All financial information is available at www.labanquepostale.com/groupe/Investisseur.html

This section of the site is completely dedicated to financial information. It can be used to download information on all financial and institutional publications, financial press releases, the financial timetable, and presentations to investors.



GENERAL INFORMATION

LEARN MORE ABOUT LA BANQUE POSTALE

ARTICLES OF ASSOCIATION

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The Articles of Association of La Banque Postale can be viewed on the website www.labanquepostale.com. The Articles of Association presented below are up to date as at the date of this document.

HEADING I. CHARACTERISTICS OF THE COMPANY

Article 1. Form

The Company was set up in the form of a public limited company (*société anonyme*) with a Board of Directors, and registered with the Paris Trade and Companies Registry.

By a decision of the Combined General Meeting of Shareholders of 12 December 2005, its governance was changed, and it became a public limited company with an Executive Board and a Supervisory Board.

The Company is governed by current laws and regulations, and specifically by:

- ▶ the provisions of the French Commercial Code regarding commercial companies;
- ▶ the provisions of the French Monetary and Financial Code regarding credit institutions;
- ▶ the provisions of law No. 2005-516 of 20 May 2005 regarding the regulation of postal activities;
- ▶ the provisions of order No. 2014-948 of 20 August 2014 regarding governance and transactions involving the share capital of companies with public shareholdings; and
- ▶ these Articles of Association.

Article 2. Corporate purpose

- a) The corporate purpose of the Company, in France and abroad, is:
 - banking transactions, as defined in Article L. 311-1 of the French Monetary and Financial Code, and specifically credit transactions;
 - transactions relating to banking transactions, as defined in Article L. 311-2 of the French Monetary and Financial Code;
 - the execution of investment services, order reception and transmission on behalf of third parties, order execution services on behalf of third parties, trades on its own account, investment advisory services, underwriting services, and guaranteed and non-guaranteed investment services, within the meaning of Article L. 321-1 of the French Monetary and Financial Code governing financial instruments as a whole;
 - services relating to investment services, as defined in Article L. 321-2 of the French Monetary and Financial Code.
- b) The Company may also carry out all transactions other than those listed above on a habitual basis, notably acting as an insurance intermediary, including insurance broking, in accordance with the provisions of the French Insurance Code, under the conditions defined by a decree of the Minister in charge of the Economy and Finance.
- c) The Company receives Livret A deposits and distributes them in accordance with the provisions of Article L. 518-25-1 of the French Monetary and Financial Code.
- d) Generally speaking, the Company may carry out all financial, commercial, industrial, securities or property transactions that

may relate to the above activities, directly or indirectly, or that may facilitate carrying out these activities on its own account, on behalf of third parties, or in concert.

Article 3. Name

The Company's name is "*La Banque Postale*".

The Company's name must always be immediately and legibly followed by the words "limited company with an Executive Board and a Supervisory Board", written in full, by a statement of the amount of the share capital, and by the place where and the number under which the Company is registered with the Trade and Companies Registry in all deeds and documents issued by the Company and intended for third parties, including letters, invoices, announcements, and miscellaneous publications.

Article 4. Registered office

The registered office is situated at 115 rue de Sèvres – 75275 Paris Cedex 06, France.

It may be transferred to any other location in the same French *département*, or to a neighbouring *département*, by simple decision of the Supervisory Board, which shall be subject to ratification by the next Ordinary General Meeting.

In this case, the Supervisory Board shall also be authorised to amend the Articles of Association accordingly.

Article 5. Duration

The duration of the Company is 99 years from the date of its registration with the Trade and Companies Registry, except in the event of dissolution, or of an extension decided by an Extraordinary General Meeting.

Article 6. Share capital

The share capital is set at four billion forty-six million four hundred and seven thousand five hundred and ninety-five euros (€4,046,407,595).

It is divided into thirty-five million one hundred and eighty-six thousand one hundred and fifty-three (35,186,153) fully paid-up shares of a single class.

In accordance with the provisions of Article 16-II-1 of law No. 2005516 of 20 May 2005 on the regulation of postal business, La Poste owns a majority interest in the Company's share capital.

These Articles of Association do not provide for any specific advantage in favour of anyone whatsoever.

Article 7. Changes to the share capital

The share capital may be increased, decreased, or redeemed in accordance with the current laws and regulations.

HEADING II. RIGHTS AND OBLIGATIONS OF THE SHAREHOLDERS

Article 8. Share payments – Rights and obligations

Shares shall be paid up as provided for under the current laws and regulations.

The amounts still payable on the shares to be paid up in cash shall be called up by the Executive Board. However, subscribers and shareholders may pay all or part of said amounts in advance, if they wish to do so.

Subscribers and shareholders shall be made aware of calls for funds by any means, at least fifteen days before the date set for each payment.

Any shareholder who does not make the payments required for the shares that they own when these payments are due shall automatically be liable to pay a late interest charge to the Company at the legal rate.

In addition to a voting right, each share grants the right to ownership of the Company's assets, and to a share of the profits and liquidation premiums, which shall be proportional to the number of shares outstanding.

Whenever holding several shares is required in order to exercise any right, single securities, or a number of securities that is lower than the one required shall not confer upon their owners any rights with respect to the Company; in this event, shareholders shall be personally responsible for assembling the number of shares required.

Article 9. Form of the shares

The shares are registered shares.

They shall be registered in individual accounts in accordance with the terms and conditions provided for by current legal and regulatory provisions.

Article 10. Disposal and transfer of shares

Ownership of the shares results from their being recorded in an individual account in the name of the holder(s) in the registers held for this purpose at the Company's registered office.

Share transfers shall be carried out by electronic transfer.

Except in the event of:

- i) inheritance;
- ii) dissolution of joint ownership of assets between spouses;

- iii) disposal to a spouse, an ascendant or a descendant;
- (iv) disposal or transfer of shares for the benefit of a private individual or a company that is already a shareholder; or
- (v) disposal of shares for the benefit of an individual who is a member of the Supervisory Board;
 - where there are no restrictions on transfer;
 - the transfer of shares to a non-shareholder third party, regardless of the reason and in any form, is subject, in addition to compliance with regulation No. 96-16 and to the provisions applicable to companies in the public sector, to the approval of the Supervisory Board, in accordance with the provisions of Article L. 228-24 of the French Commercial Code, under the following conditions:
 - the seller must forward to the Company the approval request, including the surname, names and address of the buyer, the number of shares that they plan to sell, and the price proposed,
 - the approval is granted (i) either by the seller being informed of the decision of the Supervisory Board, acting on a simple majority of its members present or represented, (ii) or within a period of three months from when the request was made, if there is no answer from the Supervisory Board,
 - in the event that the suggested buyer is not approved, and unless the seller decides to abandon the planned sale, the Executive Board is required to have the shares purchased, either by a shareholder or by a third party, or by the Company, with the seller's agreement, within three months from the date when the refusal is delivered, in order to reduce the share capital. The seller may abandon the planned sale on condition that they inform the Company *via* an extra-judicial deed, or by registered letter with request for an acknowledgement of receipt within thirty (30) days from the date the Company notified the seller of the name of the buyer suggested by the Supervisory Board,

if the purchase has not occurred when the three-month period provided for above expires, the approval is considered as having been granted. However, this period may be extended by a court ruling this at the Company's request,

if no agreement is reached between the parties in the sale scenarios listed above, the price of the shares shall be determined through an expert appraisal, under the conditions specified in Article 1843-4 of the French Civil Code.

Shares issued for cash and shares representing contributions in kind are only marketable once the Company has been registered with the Trade and Companies Registry, and upon completion of a capital increase.

HEADING III. ADMINISTRATION AND CONTROL OF THE COMPANY

The Company is managed by an Executive Board, which performs its duties under the control of a Supervisory Board.

A. Executive Board

Article 11. Executive Board – Composition

The Executive Board consists of at least two and at most five members, who are appointed by the Supervisory Board.

The members of the Executive Board must be private individuals, who may be chosen from outside the Company's shareholders, and even among the Company's salaried employees. The members of the Executive Board must fulfil the conditions of good repute, knowledge, skills and experience required by the regulations applicable to companies exercising the business activities described in Article 2 of these Articles of Association.

If a member of the Supervisory Board is appointed to the Executive Board that Supervisory Board member's office shall lapse upon his or her taking up the new duties.

In the event that a seat falls vacant, the Supervisory Board must fill it within two months. The substitute member shall be appointed for the period remaining until the Executive Board is renewed.

Failing that, any interested party may ask the Chairman of the Commercial Court, acting in summary proceedings, to make this appointment on a provisional basis.

Article 12. Length of term of office – Age limit

The Supervisory Board appoints members of the Executive Board for a period of five years, which expires at the first Supervisory Board meeting held following the fifth anniversary of this appointment. The Executive Board is renewed in its entirety when a five-year period has elapsed.

Members of the Executive Board may be re-elected.

Any member of the Executive Board may be dismissed by the Supervisory Board, or by the General Meeting. In the event that the interested party has entered into an employment contract with the Company, the termination of his or her duties as a member of the Executive Board shall not result in the termination of this contract.

No private individual who has reached the age of 65 may be appointed as a member of the Executive Board, or be reappointed to this position.

When the interested party has reached the age limit, he or she is automatically considered to have resigned from the date of the next meeting of the Supervisory Board, which shall see to his or her replacement.

Article 13. Chairmanship of the Executive Board – Chief Executive Officers – Effective manager

13.1 Chairman

The Supervisory Board shall appoint one of the Executive Board members as Chairman.

The Chairman shall perform his or her duties during the term of office as a member of the Executive Board.

The Chairman shall represent the Company in its dealings with third parties.

The Supervisory Board may dismiss the Chairman of the Executive Board from his or her duties as Chairman at any time, based on a majority vote of the members present or represented.

13.2 Chief Executive Officers

The Supervisory Board may assign the same power of representation to one or several members of the Executive Board, who shall then bear the title of Chief Executive Officer. In such a case, one of the Chief Executive Officers appointed in this way will also act in the capacity of effective manager, within the meaning of Article 13.3 below.

The Supervisory Board may dismiss the Chief Executive Officer(s) from his or her duties as Chief Executive Officer(s).

The Supervisory Board may remove from the Chief Executive Officer(s) the powers to represent the Company in its dealings with third parties under the same conditions.

13.3 Effective managers

The Supervisory Board assigns the capacity of effective manager to at least two of the members of the Executive Board. These directors are responsible for effectively determining the Company's management policy in accordance with the provisions of Article L. 511-13 of the French Monetary and Financial Code, and must fulfil the conditions of good repute, knowledge, skills and experience listed in Article L. 511-51 of the aforementioned Code, it being specified that the Chairman of the Executive Board shall be one of the effective managers.

13.4 Representation of the Company

Any action committing the Company towards third parties shall be duly performed by the Chairman of the Executive Board or by any other member who has been granted the title of Chief Executive Officer by the Supervisory Board.

The Chairman of the Executive Board, and the Chief Executive Officer(s), where applicable, are authorised to delegate part of their powers to any corporate officers that they deem appropriate. They may in particular delegate any power to represent and commit the Company in its dealings with any third parties to a member of the Executive Board who has the skills required, as resulting from the division of duties set out under Article 13.5.

13.5 Division of management duties

Members of the Executive Board may divide the management tasks between them, with the authorisation of the Supervisory Board. However this division of powers may not prevent the effective managers, within the meaning of the banking regulations, from performing their tasks and fulfilling their remits and obligations as defined by the French Monetary and Financial Code. Moreover, it may not result in stripping the Executive Board of its role as a

collective management body. The effective managers must effectively manage the Company's affairs. They shall also present the division of their respective powers to the Supervisory Board. Measures that each member of the Executive Board takes individually, within his or her area of responsibility, shall be deemed to have been accomplished collectively by the Board, and shall commit it in its entirety.

However, the Executive Board may decide that any action committing the Company beyond an amount that it shall determine on a regular basis must be authorised in advance by the Board itself. Failure to secure this approval may result in the individual concerned being personally liable towards the Company and its shareholders.

Article 14. Powers of the Executive Board

The members of the Executive Board shall manage the Company on a collective basis.

The Executive Board has been invested with the most extensive powers to act in the Company's name under all circumstances. It exercises these powers within the limits of the corporate purpose, and subject to those powers expressly granted to the Supervisory Board and to Shareholders' Meetings in law and by these Articles of Association.

In its dealings with third parties, the Company shall be committed even by actions of the Executive Board that are not related to the corporate purpose, unless it proves that the third party was aware that the action exceeded that purpose, or could not be unaware of this fact given the circumstances, although the sole publication of the Articles of Association is not enough to amount to this proof.

However, the following actions shall be subject to the prior authorisation of the Supervisory Board, pursuant to the legal provisions:

- ▶ disposals of property assets;
- ▶ full or partial disposals of equity investments;
- ▶ the provision of security with the exception of deposits, endorsements and guarantees granted by the Company in the ordinary course of its business activities as a credit institution.

The Supervisory Board may, with powers to delegate and within a maximum amount that it sets for each transaction, authorise the Executive Board to dispose of property assets, to dispose of equity investments partially or in full and to provide security. When a transaction exceeds the amount set in this way, the Supervisory Board's authorisation shall be required in each case.

The following corporate transactions and decisions are also subject to the prior authorisation of the Supervisory Board:

- ▶ the approval of the strategic plan and of any significant changes made to it;
- ▶ investment or divestment decisions for amounts exceeding €12,000,000 in France and abroad, and relating to:
 - any projects involving the creation of subsidiaries or branches,
 - any projects involving a contribution, merger, split, restructuring or transfer of assets, including through a universal transfer of assets, with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000;
 - any joint venture or equity partnership with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000;
 - any acquisition or equity investments with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000;

- ▶ decisions relating to the allocation of shares subscription or purchase options, or of equivalent securities, to the corporate officers and/or managers, as well as the allocation of free shares;
- ▶ decisions relating to financing transactions for terms exceeding one year and having a significant impact on the consolidated balance sheet of La Banque Postale (in excess of €1 billion) or any issuance of debt securities falling within Tier 1 or Tier 2 (additional own funds) for an amount in excess of €500 million;
- ▶ draft resolutions to be submitted to the Shareholders' Meeting, pursuant to Article L. 228-92 of the French Commercial Code, and relating to the issuance of marketable securities, giving access to other equity securities or giving the right to the allocation of debt securities or to the issue of marketable securities that give access to equity securities to be issued, and to the setting of the issuance terms and conditions for said marketable securities;
- ▶ dividend distribution proposals and related transactions.

The Executive Board shall present a report on the conduct of the Company's affairs to the Supervisory Board at least once a quarter.

In the three months following the close of each financial year, the Executive Board shall approve the separate financial statements, and, where applicable the consolidated financial statements and the related management report, and present them to the Supervisory Board for examination and checking. It will suggest the appropriation of net income for the year just ended.

The Executive Board shall convene the General Meetings of Shareholders, shall set their agenda and execute their decisions.

Article 15. Structure and operation of the Executive Board

The Executive Board shall meet as often as the Company's interests require it to do so, on the invitation of its Chairman, its Chief Executive Officer, if it has one, or of at least half of its members, either at the registered offices, or at any other location mentioned in the notice of meeting.

The agenda shall be set by the person notifying the meeting, no later than the day before the scheduled meeting. However, in the event of urgency, the agenda may be set at the time of the meeting.

The notice of meeting may be communicated by any means.

The statutory auditors shall be invited to those Executive Board meetings at which the separate or interim financial statements are reviewed or approved.

A member of the Executive Board may ask another member to represent him or her.

The Chairman, or in his or her absence, a member who is present and appointed by the Executive Board and takes the title of Chairman, shall chair the meetings.

The actual presence of at least half of the members is required for the discussions to be valid, or the presence of both members, if the Executive Board consists of only two members. For the purpose of calculating the quorum and majority, members who take part in the Executive Board meeting by video-conferencing facilities that comply with technical characteristics guaranteeing effective participation in the Executive Board meeting, where proceedings must be broadcast on an uninterrupted basis, shall be deemed present, except for the approval of the separate and consolidated financial statements and the management report.

In the event of a tied vote, the Chairman shall have the casting vote.

Regardless of their form, the discussions of the Executive Board shall be recorded in minutes drawn up in a special register, or on serially numbered loose-leaf sheets. These sheets or the register shall be kept at the Company's registered office. They shall be

signed by the Chairman and all the Executive Board members present, and shall be circulated to all members of the Executive Board.

Copies or excerpts of the minutes of the discussions are duly certified by the Chairman of the Executive Board, or by one of the members of the Executive Board or a person empowered for this purpose by the Executive Board.

Where applicable, the Executive Board ratifies the internal rules specifying its operating procedures.

Article 16. Remuneration of Executive Board members

The Supervisory Board shall set the remuneration method and amount for each member of the Executive Board in accordance with the current legal provisions and regulations.

Article 17. Holding of multiple offices by Executive Board members

Members of the Executive Board must comply with the rules governing the plurality of offices as defined by the current laws and regulations, and in particular the provisions of the French Commercial Code, and the French Monetary and Financial Code.

Any private individuals, who find themselves in breach of the above provisions after having accepted a new office, must resign from one of their offices within three months of their appointment.

Article 18. Liability of Executive Board members

Without prejudice to the specific liability that may arise from the Company entering receivership, the members of the Executive Board shall be liable, individually or jointly, depending on the case, towards the Company or third parties, either for breaching the legal or regulatory provisions applicable to limited companies, or for breaching the Articles of Association, or for errors committed under their management.

B. Supervisory Board

Article 19. Supervisory Board

19.1 Composition

19.1.1 – The Supervisory Board shall consist of at least three, and at most eighteen members, one-third of whom shall be employee representatives and, where applicable, a representative appointed by the Government and/or members of the Supervisory Board appointed by the General Meeting based on a proposal by the Government, pursuant to Articles 4, 6 and 7 of order No. 2014-948 of 20 August 2014.

The members of the Supervisory Board must fulfil the conditions of legal capacity, skills and good repute required by the regulations applicable to companies exercising the business activities described in Article 2 of these Articles of Association.

Members of the Supervisory Board other than employee representatives are appointed from among private individuals or companies by the Ordinary General Meeting.

The General Meeting may dismiss any member of the Supervisory Board it has appointed at any time.

19.1.2 – Employee representative members of the Supervisory Board are elected under the conditions specified by the provisions of order No. 2014-948 of 20 August 2014.

Any employee representative may be dismissed for gross misconduct in the exercise of his or her office as a member of the Supervisory Board, through a summary ruling of the President of the District Court at the request of the majority of the members of the Supervisory Board.

In the event of severe dissent impeding the management of the Company, any dismissal decided upon by the General Meeting may include the employee representatives, in accordance with the provisions of order No. 2014-948 of 20 August 2014.

19.2 Reappointment

The offices of all members of the Company's Supervisory Board shall end on the same day, at the end of a five-year term. During the existence of the Company, the members of the Supervisory Board may be reappointed under the current legal and regulatory provisions.

The members representing the employees are eligible for reappointment.

In the event that a Supervisory Board member's seat falls vacant, for any reason whatsoever, the replacement member shall only exercise his or her office for the period remaining until the renewal of the entire Board.

In the event that a new member is appointed to the Supervisory Board by the General Meeting outside the date when the entire Board is renewed, the new member shall only hold his or her office for the period remaining until the renewal of the entire Board.

19.3 Restrictions on the holding of multiple offices

Members of the Supervisory Board must comply with the rules governing the plurality of offices as defined by the current laws and regulations and in particular by the provisions of the French Commercial Code and the French Monetary and Financial Code.

Any private individuals, who find themselves in breach of the above provisions after having accepted a new office, must resign from one of their offices within three months of their appointment.

19.4 Combining office with an employment contract

In accordance with legal provisions, the number of members of the Supervisory Board who have an employment contract with the Company may not exceed one-third of the serving members on the Board. In accordance with the provisions of Article 15 of law No. 73-1196 of 27 December 1973, the members of the Supervisory Board representing the employees are not included in this number.

19.5 Incompatibility – Restrictions

The performance of the office of a Supervisory Board member must not be incompatible with the holding certain public or professional duties.

No member of the Supervisory Board may be a member of the Executive Board. If a member of the Supervisory Board is appointed to the Executive Board that Supervisory Board member's office shall lapse upon his or her taking up the new duties.

In addition, no one may be appointed to the Supervisory Board or remain on the Board if they find themselves subject to any court order that results in them being prohibited from running or directing any firm or company.

19.6 Supervisory Board Membership for legal entities

A legal entity may be appointed as a member of the Supervisory Board. The legal entity is required to appoint a Permanent Representative at the time it is appointed.

Permanent representatives are subject to the same rules as members who are private individuals, particularly where restrictions and disqualifications, and the age limit, are concerned.

In cases where the legal entity withdraws its Permanent Representative's mandate, it is required to provide for his replacement at the same time. The same applies in the event of the death or resignation of the Permanent Representative. The legal entity is required to notify the Company of this death or resignation, together with the identity of the member's successor without delay, by registered letter with request for an acknowledgement of receipt.

19.7 Status of the Employee representative members of the Supervisory Board in accordance with order No. 2014-948 of 20 August 2014

A Supervisory Board employee representative member's term of office is incompatible with any other office involving the representation of employees' interests within the Company or its subsidiaries, and particularly with the positions of trade-union representative, member of the works council, staff representative or member of the committee on health, safety and working conditions. The aforementioned mandates and their related protection shall lapse upon at the date of taking up the new office.

An employee representative's membership of the Supervisory Board is also incompatible with holding the position of full-time union representative. In the event of the appointment to the Supervisory Board of an employee who holds the position of full-time union representative, his or her duties as representative shall be terminated and the person concerned shall resume his or her position as an employee.

Employee representative members of the Supervisory Board shall be granted a minimum time period of 15 hours per month to fulfil their mandate. The length of the Supervisory Board meetings is not deductible from this allowance, nor is the time spent on their training in company management.

The employee representatives' mandates shall end automatically when they no longer fulfil the eligibility conditions.

Article 20. Shares held by members of the Supervisory Board

Members of the Supervisory Board are not required to own a minimum number of Company shares.

Article 21. Length of term of office – Age limit

Without prejudice to the application of Article 19.2 of these Articles of Association, members of the Supervisory Board are appointed for a period of five years. They may be re-elected.

No private individual or legal entity representative who is aged over seventy may be appointed, elected or reappointed as a member of the Supervisory Board. In addition, the number of members of the Supervisory Board who have reached the age of seventy shall not exceed one-third of the serving members of the Supervisory Board.

If the proportion of one-third is exceeded due to the fact that a serving member of the Supervisory Board comes to be older than seventy, the oldest member of the Supervisory Board shall automatically be deemed to have resigned.

Article 22. Vacancy – Co-option – Ratification

In the event of a vacancy due to the death or resignation of one or more members appointed by the General Meeting, the Supervisory Board may replace them on a temporary basis. The appointment of the replacement members must be approved at the next General Meeting.

If ratification is not granted, the resolutions voted and the actions accomplished by the Supervisory Board or by this member during their management term would nonetheless remain valid.

When a seat is left vacant by an employee representative, the candidate on their list immediately after the last candidate elected shall be called upon to replace them. If the list in question is not sufficient to fill the vacancies, the seats that are not filled shall remain vacant up until the following election. However, if the number of vacancies exceeds half the employee representative seats, a partial election shall be organised, except during the remaining six months of the term of office.

Substitute members shall only hold their office for the period remaining until the renewal of the entire Supervisory Board.

If the number of Supervisory Board members falls below the legal minimum, the Supervisory Board must immediately convene the Ordinary General Meeting in order to supplement the numbers on the Board.

Article 23. Board officers

The Supervisory Board shall elect a Chairman and a Vice-Chairman among its members. The Chairman, or in the absence of the Chairman, the Vice-Chairman, where applicable, is responsible for convening the Supervisory Board and directing its discussions. The Chairman and the Vice-Chairman, where applicable, shall hold their office for the duration of their term of office as a member of the Supervisory Board.

The Supervisory Board shall determine their remuneration, where applicable.

The Supervisory Board may appoint a secretary, who may be chosen from outside its members.

Article 24. Supervisory Board proceedings – Minutes

The Supervisory Board shall meet at the registered office or in any other location specified in the notice of meeting, as often as the Company's interests require it to do so, and at least once a quarter, in order to review the Executive Board's report.

The Supervisory Board shall consider any matter included in the agenda by the Chairman or the Board, taking decisions on the basis of a simple majority.

The agenda may be set at the time of the meeting.

The Supervisory Board is convened by the Chairman, by any means.

By derogation to Article 12 of order No. 2014-948 of 20 August 2014, in the absence of the Chairman of the Supervisory Board, the Vice-Chairman may convene the Supervisory Board by any means.

The Company's Works Council shall be represented at the meetings of the Supervisory Board in accordance with the provisions of Article L. 2323-64 of the French Labour Code.

However, the Chairman must convene the Supervisory Board at a date that cannot be later than within 15 days, when a member of the Board or at least one-third of the members of the Supervisory Board presents them with a reasoned request to this effect. If the request is not acted upon, its authors may convene the Board themselves, and specify the agenda for the meeting.

Pursuant to Article 13 of order No. 2014-948 of 20 August 2014, meetings of the Supervisory Board may be convened by over one-third of the members of the Supervisory Board on an agenda and at a location established in the notice of meeting.

A member of the Supervisory Board may give another member of the Board a mandate to represent him or her at any Supervisory Board meeting by letter, email, or fax.

Each member of the Supervisory Board may only have one proxy for a given meeting.

Under the conditions and subject to the exceptions provided by law, the Supervisory Board's resolutions may be voted by videoconference or through the use of all means of telecommunication or remote transmission that enable the members to be identified under the conditions set by the current legislation.

An attendance register is kept, which is signed by the Supervisory Board members taking part in the meeting. The actual presence of at least half the Supervisory Board members is required for the discussions to be valid. Members of the Supervisory Board, who take part in the Supervisory Board meeting *via* videoconference, or by any of the telecommunication or remote broadcasting means listed in the previous Paragraph, shall be deemed present for the purpose of calculating the quorum and majority. The minutes shall mention the members of the Supervisory Board who took part in said Board meeting by videoconference or any other telecommunication or remote broadcasting means.

Decisions are taken by majority vote of the members who are present or represented; each member who is present or represented has one vote. The Chairman of the meeting has the casting vote in the event of a tied vote.

The Supervisory Board's discussions shall be recorded in minutes written in a special register or on serially numbered loose-leaf sheets. These sheets or the register shall be kept at the Company's registered office. They shall be signed by the Chairman of the meeting and one of the Supervisory Board members present. In the event that the Chairman of the meeting is unable to attend, they shall be signed by two members of the Supervisory Board. The minutes shall be circulated to all members of the Supervisory Board.

Article 25. Remit and powers of the Supervisory Board

The Supervisory Board exercises ongoing control over the management of the Company through the Executive Board, and grants the latter prior authorisation to enter into transactions that the Executive Board cannot perform without its authorisation, in accordance with Article 14 of these Articles of Association.

The Supervisory Board shall hold discussions on the Company's main strategic, economic, financial and technological orientations, and specifically on the corporate or programme contract, prior to the Executive Board's decisions.

The Supervisory Board shall perform the tasks assigned to the supervisory body pursuant to the order of 3 November 2014 on internal control for companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR).

In addition, the Supervisory Board shall authorise the disposal of shares to a third party, in accordance with the provisions of Article 10 of these Articles of Association.

The Board shall perform the checks and controls that it deems necessary at any time of the year, and may ask for disclosure of the documents that it considers necessary to perform its remit.

It shall authorise agreements, in accordance with the provisions of Article L. 225-86 of the French Commercial Code.

It shall present its observations on the Executive Board's report and on the financial statements for the year to the Annual Ordinary General Meeting.

It shall decide on relocating the registered office within the same French *département*, or to a neighbouring *département*, subject to the approval of this decision by the next Ordinary General Meeting.

The Supervisory Board may assign to one or more of its members any special duties for one or more determined purposes.

The Supervisory Board shall approve the internal rules specifying its operating procedures, and those of the special committees that it may have set up.

The Supervisory Board shall appoint, and may dismiss the members of the Executive Board.

The Supervisory Board shall suggest the appointment or renewal of the statutory auditors to the General Meeting.

Article 26. Remuneration of Supervisory Board members

The General Meeting may award an annual fixed amount, in the form of attendance fees, to members of the Supervisory Board, as remuneration for their duties. This amount shall be recognised under operating expenses.

The Supervisory Board shall divide the total amount allocated between its members in accordance with legal and regulatory provisions in effect.

The remuneration of the Chairman and Vice-Chairman shall be determined by the Supervisory Board, in accordance with the current legal and regulatory provisions.

The Supervisory Board may award exceptional remuneration amounts for special duties or remits assigned to members of the Board. These exceptional remuneration amounts are subject to the provisions of Article L. 225-86 of the French Commercial Code.

The expenses incurred by members of the Supervisory Board in the exercise of their functions shall be reimbursed by the Company on production of substantiating documentation.

Office held by members representing the employees is unpaid.

Article 27. Liability of Supervisory Board members

The Supervisory Board members are liable for personal errors committed in the performance of their duties of office. They shall incur no liability for management actions or for their outcome.

They may be pronounced civilly liable for the offences committed by members of the Executive Board, if they did not disclose them to the General Meeting when they became aware of them.

The employee representative members of the Supervisory Board, elected under order No. 2014-948 of 20 August 2014, may not under any circumstances be declared liable jointly and severally with the members of the Supervisory Board who represent the shareholders. Their liability shall be assessed paying due regard to the fact that their tenure of office is unpaid.

Article 28. Supervisory Board committees

The Supervisory Board may decide to set up Board committees responsible for assisting it, and shall determine the composition, the special powers and the potential remuneration of their members, who shall execute their tasks under its responsibility. The Chairman of each committee is appointed by the Supervisory Board.

The Supervisory Board shall in particular establish the committees as provided by the French Commercial Code and the French Monetary and Financial Code.

Article 29. Non-voting advisors

The Supervisory Board may appoint one or several non-voting advisors, whose remit is to assist the Supervisory Board in performing its control duties, and who take part in Supervisory Board meetings on a non-voting basis.

Each non-voting advisor is appointed for a period of one year, which is renewable indefinitely.

Non-voting advisors are not required to be shareholders, and their work on behalf of the Company may be remunerated as determined by the Supervisory Board.

HEADING IV. SHAREHOLDERS' MEETINGS

Article 30. General Meetings – Convening – Composition

General Meetings are convened by the Executive Board under the conditions determined by law, or, where applicable, by the Supervisory Board, the statutory auditors, or a corporate officer appointed by the Chairman of the Commercial Court, acting on a summary basis at the request of one or several shareholders who represent at least 5% of the share capital.

The meetings shall take place at the registered office or at any other location in France specified in the notice of meeting.

The General Meeting meets at least once a year before 31 May in order to approve the separate financial statements.

The notice of meeting is sent to shareholders no later than fifteen days before the meeting date, either *via* a standard letter, or *via* a registered letter with request for an acknowledgement of receipt or by email, in accordance with Article R. 225-63 of the French Commercial Code.

Where a meeting has been unable to deliberate validly, due to the lack of the required quorum, a second meeting, and where applicable, the extended second meeting shall be called in the same manner as the first meeting, and the notice of meeting shall remind the recipients of the date of the first meeting, and shall set out its agenda again. The notice of meeting shall be sent at least ten days before the meeting upon the second notice of meeting.

All shareholders may take part in the meetings, in person or by proxy, on presentation of proof of identity and of the ownership of their shares, in the form of a registered entry in their name in the Company's registers, made at least two days before the meeting. The Executive Board may cancel or shorten this time limit, but only for the benefit of all shareholders.

All shareholders may also vote remotely, according to the legal and regulatory procedures.

Shareholders who take part in the meeting *via* video-conference, or *via* any other means that enables them to be identified, the nature and conditions for which are determined by Council of State decree, shall be deemed present for calculating the quorum and majority.

A shareholder may be represented only by his/her spouse, partner in a civil solidarity pact or another shareholder.

Corporate shareholders shall take part in meetings through their legal representatives or through any person the latter may appoint for this purpose.

The meetings are chaired by the Chairman of the Supervisory Board or, in his or her absence, by the Vice-Chairman specifically appointed to this effect by the Supervisory Board. Failing this, the General Meeting shall appoint its own Chairman.

In the event that the meeting is convened by a statutory auditor or by a court-appointed representative, the General Meeting shall be chaired by the issuer of the notice of meeting.

The Board of officers thus constituted shall appoint a secretary, who may be chosen from outside the members of the General Meeting.

The tellers' duties shall be fulfilled by the two members of the General Meeting who are present and accept their office, both for themselves and as proxies, and who hold the largest number of shares.

The General Meeting's discussions are recorded in minutes signed by the Board officers, and written on a special register in accordance with the law. Copies and excerpts of these minutes are duly certified under the conditions set in law.

Article 31. General Meeting proceedings

Ordinary and Extraordinary General Meetings, sitting under the quorum and majority conditions specified by the respective provisions that govern them, exercise the powers that are assigned to them in law.

HEADING V. FINANCIAL YEAR – FINANCIAL STATEMENTS – AUDIT

Article 32. Company financial year

Each company financial year runs for a period of 12 months beginning on 1 January and ending on 31 December each year.

Article 33. Appropriation of net income

If a distributable profit, as defined by law, arises from the financial statements for the year, as approved by the General Meeting, the latter may decide to assign that profit to one or more reserves, for which the meeting sets the allocation and use, to carry it forward to retained earnings, or to distribute it.

Upon noting the existence of reserves available to it, the General Meeting may decide to distribute amounts drawn from those reserves. In this case, the decision shall expressly indicate the specific reserves from which the drawings are made.

However, dividends shall be deducted first from the distributable profit for the year.

The General Meeting has the power to grant each shareholder the option of payment of the dividend or interim dividends in cash or in shares, for all or part of the dividend or interim dividend distributed.

The procedures for paying dividends in cash are set by the General Meeting, or, failing which, by the Executive Board.

However, the dividend payment must occur within a maximum period of nine months after the close of the financial year, unless that period is extended by a court order.

When a balance sheet drawn up during or at the end of the financial year, and certified by a statutory auditor, shows that the Company has made a profit since the close of the previous financial year, after recording the required depreciation and amortisation and provision charges, and after deducting prior losses, where necessary, as well as the amounts to be recorded under reserves pursuant to the law and to the Articles of Association, and taking earnings carried forward into account, an interim dividend may be distributed, before

the approval of the financial statements for the year. The amount of this interim dividend may not exceed the amount of the profit thus determined.

The Company may not demand that shareholders return a dividend, unless it was distributed in breach of legal provisions, and the Company establishes that the beneficiaries were aware of the irregular nature of this distribution at the time it was made, or could not have been unaware of it, given the circumstances.

Any right of action in recovery shall lapse three years after these dividends are made payable. Dividends that are not claimed within five years of their payment shall lapse.

Article 34. Statutory auditors

The Company is audited by at least two statutory auditors, who fulfil the legal eligibility conditions.

Each statutory auditor is appointed by the Ordinary General Meeting for six financial years, in compliance with the special regulations that apply depending on the Company's business activities. Their term of office shall expire following the General Meeting that approves the financial statements for the sixth financial year.

The Ordinary General Meeting shall appoint at least two alternate statutory auditors, who shall be called upon to replace the principal statutory auditors in the event of their refusal, unavailability, resignation or death.

Article 35. Government commissioner

A Government Commissioner appointed pursuant to the provisions of Section II of Article 615-1 of the French Monetary and Financial Code shall discharge his or her duties within the Company's bodies, under the conditions specified in Articles D. 615-3 *et seq.* of the French Monetary and Financial Code.

HEADING VI. DISSOLUTION – DISPUTES

Article 36. Dissolution

When the Company's term expires, or in the event of early dissolution, the General Meeting shall choose the method of liquidation and shall appoint one or more liquidators, whose powers it shall determine, and who shall fulfil their duties in accordance with the law.

The liquidator(s) shall represent the Company. Following asset liquidation and the settlement of liabilities, the liquidator(s) shall distribute any available balance.

The remaining net assets following the redemption of the shares at their nominal value shall be shared among the shareholders in proportion to their interest in the share capital.

Article 37. Disputes

Any disputes on company-related issues that may arise during the life of the Company or on its liquidation, either between the shareholders, the members of the Board, or the statutory auditors and the Company, or between the shareholders themselves, shall be judged in accordance with the law and subject to the jurisdiction of the competent courts.

SUPERVISORY BOARD CHARTER AND INTERNAL RULES

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9.1 SUPERVISORY BOARD MEMBERS' CHARTER

At its meeting of 25 January 2006, La Banque Postale's Supervisory Board adopted this Charter for the Board member (the "Charter"), which aims to specify the rights, obligations and principles applicable to the members of La Banque Postale's Supervisory Board.

Article 1. Assumption of office

When they assume office, each member of the Supervisory Board is given a copy of the Legal and regulatory provisions that apply to their position within La Banque Postale, a copy of the internal rules of the Supervisory Board and of the special committees set up within the Board, and this Charter, as well as the provisions relating to the rights and obligations of Board members, as defined in Articles 7 to 13 of Section II, Chapter I, of the law of 26 July 1983 on the democratisation of the public sector.

Article 2. Compliance with laws and regulations and the corporate interest

2.1 – Every member of the Board must be fully aware of their rights and obligations at all times. Specifically, they must understand and comply with the legal and regulatory provisions applicable within La Banque Postale, and with the provisions of the internal rules of the Supervisory Board and of the existing special committees.

2.2 – Every member of the Board shall act in the Company's corporate interest at all times. They shall abide by the principles listed in the Charter.

2.3 – Every member of the Board may, at any time, consult the Supervisory Board's Secretariat regarding the scope of the provisions governing the rights and obligations relating to their office.

Article 3. Holding of office – Guiding principles

Every member of the Board shall fulfil their duties with independence and loyalty, and in a professional manner, and shall undertake to take the measures required when they believe in good faith that they are no longer fully able to carry out their mandate.

Article 4. Personal involvement

4.1 – Every member of the Board undertakes to devote all the time and attention required by their mandate to examine the applications submitted to the Board and the issues that are entrusted to them on a more specific basis, as well as to the work of the committee(s) of which they are a member. They undertake to take part in all the Supervisory Board meetings in an attentive and diligent manner, unless they are prevented from doing so.

4.2 – Every member of the Board is responsible for requesting the information that they believe is useful to them within the appropriate time frame, in order to be able to discuss it with the Board in full knowledge of the facts.

4.3 – Every member of the Board must familiarise themselves with the Company's business lines and specific features, its challenges, its values, and its regulatory environment. Every member of the Board must make efforts to update the knowledge that is useful to them in fulfilling their mandate properly.

Article 5. Duty to speak

5.1 – Every member of the Board has a duty to express the questions and opinions resulting from the fulfilment of their mandate.

5.2 – In the event of a disagreement, they shall ensure that their position or proposals are expressly entered in the minutes of the discussions.

Article 6. Independence

6.1 – Every member of the Board undertakes to maintain their independence of analysis, judgement, decision and action under any circumstance, and to reject any direct or indirect pressure that may be exercised on them.

6.2 – Every member of the Board undertakes not to accept any benefits of any kind from La Banque Postale or from related firms or companies, either directly or indirectly, which are likely to be considered of a nature to compromise their independence during the term of their mandate or beyond it.

6.3 – Every member of the Board undertakes, during the term of their mandate, to notify the Chairman of the Supervisory Board immediately of any situation involving the holding of multiple offices, within companies or other legal entities governed by French or foreign law.

Article 7. Potential conflicts of interest

7.1 – Without prejudice to the application of the French Commercial Code provisions relating to the control of regulated agreements, every member of the Board shall inform the Supervisory Board and its Chairman of any situation concerning them that is likely to create a conflict, even one that is potential or temporary, with the interests of La Banque Postale or any of its subsidiaries, as soon as they become aware of it.

7.2 – In such cases, the member of the Supervisory Board shall:

- ▶ abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;
- ▶ take all measures aimed at ending said conflict of interest, including tendering their resignation from their office as a Board member to the Chairman of the Supervisory Board, if it turns out that the conflict of interest is ongoing.

7.3 – Generally speaking, every member of the Board shall undertake to avoid any conflict that may exist between their material or moral interests and those of La Banque Postale or any of its subsidiaries.

Article 8. Confidentiality

8.1 – Every member of the Board personally undertakes to respect the absolute confidentiality of the information that they receive, of the discussions in which they participate, and of the decisions taken by the Supervisory Board, under the conditions determined in Article 8 of the Supervisory Board internal rules.

8.2 – Every member of the Board shall refrain from using, revealing or disclosing, for their own benefit or for the benefit of any third party, any non-public information regarding La Banque Postale or any of its subsidiaries, their activities or their projects, that they are aware of due to their capacity as a Board member.

Article 9. Effectiveness of the Board's operations

9.1 – Every member of the Board shall contribute, through their active participation, to the collective spirit and effectiveness of the work performed by the Supervisory Board and by any special committees set up within it, and to the tasks in which they participate.

9.2 – Every member shall express any recommendation that they believe will improve the operating procedures of the Supervisory Board, particularly within the context of any meeting of the Supervisory Board that addresses its operations. The same goes for any of the special committees where they participate in the tasks.

9.3 – Along with the other members of the Supervisory Board, every member shall strive to ensure that the control bodies fulfil their remit effectively, and without hindrance. Specifically, members shall ensure that they are informed of the implementation of procedures enabling controls on compliance with the laws and regulations within the Company.

9.4 – Every member shall ensure that, without exception, the positions adopted by the Supervisory Board are the subject of formal decisions, which are correctly reasoned and registered in the minutes of its meetings.

9.5 – In the event that a member of the Supervisory Board ceases to be in a position to fulfil their mandate in compliance with the Charter, whether of their own volition or for any other reason, they must inform the Chairman and the Board, seek solutions to resolve the situation and, failing that, make their mandate available to the Board.

Article 10. Endorsement of the Charter

Every member of the Supervisory Board shall endorse this Charter as soon as they assume their office.

9.2 INTERNAL RULES OF THE SUPERVISORY BOARD OF LA BANQUE POSTALE

The Supervisory Board of La Banque Postale (the “**Company**”) decided at its meeting of 25 January 2006 to adopt the present internal rules of the Board (the “**Internal Rules**”) which are designed to supplement the Articles of Section III of the Company's Articles of Association, particularly with regard to the functioning and organisation of the Supervisory Board and its relations with the Executive Board.

Article 1. Powers of the Supervisory Board

The Supervisory Board exercises the powers granted to it by law and regulations, and by the Company's Articles of Association.

Moreover, in accordance with the provisions of Article L. 225-68 of the French Commercial Code and Article 14 of the Company's Articles of Association, the following corporate transactions and decisions are subject to the prior authorisation of the Supervisory Board:

- ▶ disposals of property assets;
- ▶ full or partial disposals of equity investments;
- ▶ the provision of security with the exception of deposits, endorsements and guarantees granted by the Company in the ordinary course of its business activities as a credit institution.

The Supervisory Board may, with powers to delegate and within a maximum amount that it sets for each transaction, authorise the Executive Board to dispose of property assets, to dispose of equity investments partially or in full and to provide security. When a transaction exceeds the amount set in this way, the Supervisory Board's authorisation shall be required in each case.

The following corporate transactions and decisions are also subject to the prior authorisation of the Supervisory Board:

- ▶ the approval of the strategic plan and of any significant changes made to it;
- ▶ investment or divestment decisions for amounts exceeding €12,000,000 in France and abroad, and relating to:
 - any projects involving the creation of subsidiaries or branches,
 - any projects involving a contribution, merger, split, restructuring or transfer of assets, including through a universal transfer of assets, with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000,
 - any joint venture or equity partnership with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000,
 - any acquisition or equity investments with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000;
- ▶ decisions relating to the allocation of shares subscription or purchase options, or of equivalent securities, to the corporate officers and/or managers, as well as the allocation of free shares;
- ▶ decisions relating to financing transactions for terms exceeding one year and having a significant impact on the consolidated balance sheet of La Banque Postale (in excess of €1 billion) or any issuance of debt securities falling within Tier 1 or Tier 2 (additional own funds) for an amount in excess of €500 million;

(1) Pursuant to Article L. 2323-64 of the French Labour Code.

(2) Pursuant to Article D. 615-4 of the French Monetary and Financial Code.

- ▶ draft resolutions to be submitted to the Shareholders' Meeting, pursuant to Article L. 228-92 of the French Commercial Code, and relating to the issuance of marketable securities, giving access to other equity securities or giving the right to the allocation of debt securities or to the issue of marketable securities that give access to equity securities to be issued, and to the setting of the issuance terms and conditions for said marketable securities;

- ▶ dividend distribution proposals and related transactions.

Moreover, the Supervisory Board ensures performance of the duties assigned under the French Monetary and Financial Code and by the decree of 3 November 2014 on the internal control of banking sector companies, payment services and investment services supervised by the French Prudential Supervision and Resolution Authority (ACPR). Pursuant to these provisions, it adopts and regularly revises the general principles of the remuneration policy; in particular, it approves the overall risk limits and determines guidelines regarding the programme of periodic audit assignments, compliance obligations and the risk management function.

The Board may ask the Chairman, or a member of the Board appointed for this purpose, or else one of the committees provided for in Article 2, for verifications or specific information or any other assignments regarding specific items.

Article 2. Supervisory Board committees

In order to prepare some of the Supervisory Board's work, the Board creates committees. It determines their composition and responsibilities and appoints the Chairman:

- ▶ Risk Committee;
- ▶ Financial Statements Committee;
- ▶ Nomination Committee;
- ▶ Compensation Committee;
- ▶ Strategy Committee.

Article 3. Participants in Supervisory Board meetings

3.1 Appointment of participants

In addition to the members of the Supervisory Board appointed in accordance with the legal and regulatory provisions, the following shall take part in meetings of the Supervisory Board, in a non-voting role:

- ▶ the statutory auditors, who by law must be invited to attend any Supervisory Board meetings at which the Company's annual or interim financial statements are examined;
- ▶ the Secretary of the Works Council, who must be invited to attend by law ⁽¹⁾;
- ▶ the Government Commissioner ⁽²⁾;
- ▶ the members of the Executive Board;
- ▶ the Secretary of the Board;
- ▶ any person whose skills and expertise the Chairman may deem necessary to the accomplishment of the Board's tasks.

The persons thus invited may, like the members of the Supervisory Board, attend the Board meeting by the means and under the conditions stipulated in Article 5.4 hereafter.

Their attendance at the Board meeting shall be mentioned in the minutes of each meeting.

3.2 Chairmanship and Secretariat of the Supervisory Board

- a) The Chairman, or the Vice-Chairman where applicable in the absence of the Chairman, directs the discussions and ensures compliance with the legal and regulatory provisions in relation to the internal rules. He may, if necessary, order an adjournment of the meeting.
- b) The Board may appoint, under the conditions of Article 23 of the Articles of Association, a permanent secretary of the Company's Supervisory Board, with the following powers:
 - organising meetings of the Supervisory Board, in accordance with the principles set out in Article 4 of these regulations, keeping an up-to-date schedule of meetings of the Board and preparing minutes reporting the proceedings of each meeting in accordance with the provisions of Article 6 of these regulations;
 - certifying any copy or excerpt of the minutes of the decisions of the Supervisory Board and of the proceedings of the Company's General Meeting;
 - maintaining the register of share movements and the Company's shareholder registers, maintaining them up-to-date and certifying any copy of these documents;
 - the register of Supervisory Board minutes and the register of minutes of General Meetings; and
 - in general, completing all legal formalities of filing, publicity and registration with the Trade and Companies Registry (RCS).
- c) The Secretary of the Supervisory Board nominated, except in the case of absence, as meeting secretary at each Supervisory Board meeting, is in charge of maintaining the Supervisory Board attendance register, counting the votes and drawing up the minutes of the meeting under the responsibility of the Chairman of the Board.

Article 4. Convening the Supervisory Board

4.1 Convocation

a) Frequency

The Supervisory Board shall meet as often as the Company's interests require it to do so, when convened by the Chairman, and at least once each quarter to review the Executive Board's report.

However, the Chairman must convene the Supervisory Board at a date that cannot be later than within 15 days, when a member of the Board or at least one-third of the members of the Supervisory Board presents them with a reasoned request to this effect. If the request is not acted upon, its authors may convene the Board themselves, and specify the agenda for the meeting.

Pursuant to Article 13 of order No. 2014-948 of 20 August 2014, meetings of the Supervisory Board may be convened by over one-third of the members of the Supervisory Board on an agenda and at a location established in the notice of meeting.

b) Form and content

The participants are invited to attend Supervisory Board meetings by any means, and for this purpose shall provide their contact details to the Secretary of the Board. The notice of meeting shall be issued by the Chairman, or the Vice-Chairman where applicable in the absence of the Chairman, except in the cases provided above in Paragraphs 2 and 3 of Article 4.1 (a). It may be communicated by the Secretariat of the Board.

The notice of meeting shall indicate the date, venue and agenda of the meeting, and, where applicable, the necessary information to allow members of the Board to take part in meetings by the means referred to in Article 5.4 below. This latter information may, however, be specified subsequently by the author of the notice of meeting with the same formal requirements as the notice of meeting itself.

Meetings of the Supervisory Board shall take place either at the registered office or at any other location indicated in the notice of meeting.

c) Provisional schedule

At the last Board meeting for the financial year, at the latest, the Supervisory Board shall establish a provisional schedule of its upcoming meetings. This provisional schedule shall be updated by the Board during the year.

4.2 Deadlines for meeting notices

A period of at least ten days must be observed between the date of sending the notice and the date on which the Supervisory Board meeting covered by said notice takes place.

However, the Chairman is authorised to add to or amend the agenda of a meeting convened previously by sending another notice before the planned date of the meeting, specifying the agenda thus added to or amended and giving a reminder of the date and venue of the meeting.

The Chairman may also, in case of emergency, convene an extraordinary meeting of the Supervisory Board on a defined agenda. In this case, the minimum period of ten days does not apply.

4.3 Documents and information

The necessary and relevant internal documents to enable the participants to give an informed decision regarding the items on the agenda shall be sent by mail or by secure electronic media, if possible at the same time as the notice of meeting and except in exceptional cases at least six days before the date of the Board meeting.

The documents communicated to the participants shall be treated as strictly confidential, in the terms specified in Article 9 below, unless otherwise decided at the Supervisory Board meeting.

The minutes of the previous meeting shall be approved at the next Supervisory Board meeting.

Article 5. Proceedings of Supervisory Board meetings

5.1 Attendance register

An attendance register is maintained, which is initialled at the start of the meeting by the Supervisory Board members attending either in their personal capacity or in their capacity as proxy.

When persons participate in the Board meeting by the means referred to in Article 5.4 below, the attendance register shall be initialled in their name by the meeting Chairman with an indication of the means of participation of the persons concerned.

5.2 Quorum for the Board meeting and verification of the quorum

- a) The quorum for the Supervisory Board meeting is reached when at least half the Board members are effectively present. Members of the Supervisory Board who take part in the Supervisory Board meeting by the means referred to in Article 5.4 below shall be deemed present for the purpose of calculating the quorum.

The quorum shall be recorded by the Secretary at the start of each meeting. His observation shall be recorded in the minutes of the meeting.

- b) When the Supervisory Board deliberates on an agreement that is within the scope of application of Articles L. 225-86 *et seq.* of the French Commercial Code (so-called regulated agreements), the Board members having an interest in the agreement are not counted for calculating the quorum. The Supervisory Board can in that case conduct business only if half the Board members not having an interest in the agreement are effectively present.

5.3 Powers

A member of the Supervisory Board may give another member of the Board a mandate to represent him or her at any Supervisory Board meeting by letter, email, or fax.

Each member of the Supervisory Board may only have one proxy for a given meeting.

5.4 Deliberations

Under the conditions and subject to the exceptions provided for in law, the Supervisory Board's resolutions are voted (i) either through the actual presence of the members at the meeting venue, (ii) or by videoconferencing or other means of telecommunication, or any other means authorised by the regulations, that enable the members to be identified under the conditions set by the laws and regulations in force except for the examination and review of the annual and consolidated financial statements, or (iii) by a combination of these means.

If videoconferencing or telecommunications facilities are provided to enable all or part of the members to take part in the meeting, the Chairman of the Board shall ensure that the facilities thus implemented by the Company offer technical characteristics ensuring continuous effective participation and retransmission of the discussions. Otherwise, the Board members in question cannot be considered present and, given the lack of a quorum, the meeting must be postponed.

It is the responsibility of each Board member or each participant to be equipped to take part remotely in the meetings *via* these facilities.

5.5 Voting procedures

Voting in the Supervisory Board takes place by a show of hands.

The Supervisory Board's decisions are taken by majority vote of the Board members present or represented; each member has one vote. In the event of a split vote, the meeting Chairman shall have the casting vote.

Members of the Board who take part in the Supervisory Board meeting by the means referred to in Article 5.4 above shall be deemed present for the purpose of calculating the majority.

When voting on a so-called regulated agreement as referred to in Article L. 225-86 of the French Commercial Code, those persons having an interest in the agreement shall declare themselves before

voting on the decision and may not take part in the vote in accordance with the current legal provisions. For this ballot, the majority is calculated taking into account only those members with voting rights.

Any member of the Supervisory Board who leaves a Board meeting when it is in progress is deemed not to take part in voting on the resolutions put to the vote in his absence, unless he has given an explicit proxy in writing to another member of the Board before leaving. This departure must be taken into account with regard to the quorum needed for the Board to be able to duly conduct business.

Article 6. Minutes

6.1 Contents of the minutes

The minutes of each meeting of the Supervisory Board shall mention the date, time and place of the meeting and state the meeting agenda. It shall indicate the names of the Board members, specifying whether they are present or participating in the meeting by the means referred to in Article 5.4 above, represented or absent and, where applicable, the names and job titles or positions of the other participants in the meeting. The minutes shall also mention, where applicable, any technical incident relating to videoconferencing, when said incident has disturbed the meeting proceedings.

The minutes report on the substantial presentations of each of the members of the Board and the other participants. They contain the full text of the resolutions submitted to the vote of the members of the Board and lists the departures previously stated in Article 5.5 Paragraph 5. In the event of a vote on the text of a resolution, the minutes will report on the outcome of the vote, detailing the number of votes for, against and the abstentions and, if applicable, the opinion of the persons attending the Board meeting with a consultative vote. They specify whether the resolution has been passed or not as a result of this vote.

Where applicable, the minutes record statements, reservations or specific opinions that any Board member expressed the wish to see mentioned in the minutes during the meeting.

6.2 Procedure for drawing up the minutes

As soon as possible following each meeting of the Supervisory Board, draft minutes containing all the information referred to in Article 6.1 above shall be drawn up by the Secretary of the Board.

This draft shall be forwarded to each Board member with the information and documents mentioned in Article 4.3 above relating to the next meeting.

The Board members may express their comments at the Supervisory Board meeting, which establishes the final terms of the minutes allowing them to be re-transcribed on the legal register.

This formal approval does not prevent the possibility of establishing excerpts of the minutes necessary for the accomplishment of legal formalities between two meetings of the Supervisory Board.

6.3 Format of the minutes

The minutes are typewritten and paginated with continuous page numbers in a register kept by the Secretary of the Supervisory Board and stored by the Board at the Company's registered office.

After approval by the Board, the minutes shall be signed by the meeting Chairman and at least one member of the Board present. In the event that the Chairman of the meeting is unable to attend, they shall be signed by two members of the Board. The minutes shall be circulated to all members of the Supervisory Board.

6.4 Copies or excerpts produced in evidence or made public

Copies or excerpts of minutes to be produced in evidence or made public shall be certified in compliance with the original by the Chairman of the Supervisory Board, the Vice-Chairman of the Supervisory Board, a member of the Executive Board or by the Secretary.

6.5 Confidentiality of the debates and the minutes

Minutes and all excerpts shall be confidential, under the terms specified in Article 8 below, except when their publication is required by law or by binding regulations, or except if the Supervisory Board decides otherwise.

The same holds true for any position expressed during Supervisory Board meetings by any of its members or participants. By derogation, each member of the Board may freely state their personal position on the subjects discussed by the Board, except if such statements or positions mention information that is confidential.

Article 7. Information conveyed to the Supervisory Board and committees

7.1 – Each member of the Supervisory Board or committees may request any information necessary to accomplish their remit from the Executive Board.

7.2 – Requests for information shall be sent to the Executive Board by the Chairman of the Supervisory Board, or, if the Chairman is absent or unavailable, by the Vice-Chairman, or by the Chairman of the committee in question. The Executive Board shall send the information and documents that it has obtained to the Board or committee making the request by return mail.

7.3 – For this purpose, on appointment, the members of the Executive Board shall become acquainted with the respective powers of the committees and agree to forward to the Supervisory Board, *via* its Chairman, the documents needed for its remit and to accept any request for information or the production of documents.

Article 8. Resources made available to the members of the Supervisory Board

8.1 – The members of the Supervisory Board must have the necessary means to perform their mandate.

8.2 – The Company shall provide to the members of the Supervisory Board the ability to send and receive all correspondence related to their remit, with a guarantee of confidentiality.

8.3 – Every member of the Supervisory Board elected by the personnel shall have, for this purpose, a time credit of 35 hours per month to perform their mandate.

Article 9. Obligation of confidentiality

9.1 – Every member of the Supervisory Board and any person taking part in a meeting of the Supervisory Board is required to observe the utmost confidentiality with regard to the documents and information of which they have knowledge when performing their duties and may not disclose any of it, in any way, to outsiders.

9.2 – In particular, except for documents for which the Chairman explicitly authorises disclosure to third parties, the documents and exhibits forwarded to Board members before Supervisory Board meetings, or during or as a consequence of said meetings (or outside of any meeting, within the more general framework of the Board members' performance of their mandate), are of a strictly confidential nature and may not be disclosed to third parties in any way.

9.3 – If necessary, these documents may be marked as a reminder of their confidential nature. The absence of such an indication in no case amounts to a derogation from the rule of confidentiality.

9.4 – Regarding confidential operations, the Chairman is not required to provide written information to the Board members. He may thus choose to communicate the information in question orally at Board meetings intended to provide knowledge of these plans. Board members and participants are in that case required to preserve the oral nature of the information thus transmitted, and may not report it to third parties or disclose it.

9.5 – The confidentiality rules summarised in the internal rules apply in the same terms to the Board members and to any person called upon to take part in the work of the Supervisory Board, in any capacity.

9.6 – Failure to comply with the obligation of confidentiality mentioned in this Article exposes the faulty Board member or participant to a civil suit for damages brought by the Company, without prejudice to any other legal action which could also be considered.

Article 10. Liability of Supervisory Board members

10.1 – The Supervisory Board members are liable, under civil and penal law, for the faults they commit when performing their mandate under the conditions set by the current legislation.

10.2 – The employee representative members of the Supervisory Board, elected under order No. 2014-948 of 20 August 2014, may not under any circumstances be declared liable jointly and severally with the members of the Supervisory Board who represent the shareholders. Their liability shall be assessed paying due regard to the fact that their tenure of office is unpaid.

Article 11. Remuneration of Supervisory Board members – Reimbursement of expenses

11.1 – The General Meeting that approves the annual financial statements may determine a total amount of attendance fees which may be awarded to Board members for their duties performed in the current financial year and in subsequent financial years, until a further resolution.

The Supervisory Board distributes this amount among the Board members except for the members representing the employees, who perform their duties on a non-remunerated basis, in accordance with law and regulations in force.

11.2 – The Board members representing the employees and those representing the shareholders are entitled, upon presentation of substantiating documents, to the reimbursement of travel and travel-related expenses they have reasonably paid to perform their duties.

Article 12. Date of adoption and amendment of the Internal Rules

12.1 – The Internal Rules came into effect on 25 January 2006. They were revised by the Supervisory Board on 29 March 2007, 16 December 2014, 19 February 2016, 15 April 2016 and 25 May 2016.

12.2 – Any amendment of the Supervisory Board's Internal Rules is adopted by a majority vote of the Board members present or represented, under the conditions summarised above.

Article 13. Communication of the Internal Rules

13.1 – The texts of these Internal Rules and the internal rules of the committees, together with the Board Members' Charter, appended to the Internal Rules to which they must subscribe by signing the deed of membership attached in appendix, shall, notably, be communicated to every member of the Supervisory Board at the time of their appointment.

13.2 – The text of these regulations is also communicated to the members of the Executive Board when they are appointed.

13.3 – The members of the Supervisory Board and/or the Executive Board may also consult them at any time by contacting the Secretary of the Supervisory Board.

13.4 – At each meeting of the Supervisory Board, the text of the Internal Rules is made available to anyone taking part in the meeting, particularly the invited persons mentioned in Article 3.1 above, to whom the Internal Rules are applicable.

STATUTORY AUDITORS' SPECIAL REPORT ON RELATED-PARTY AGREEMENTS AND COMMITMENTS

10

GENERAL MEETING TO APPROVE THE FINANCIAL STATEMENTS FOR THE YEAR ENDING 31 DECEMBER 2018

La Banque Postale SA

115, rue de Sèvres
75275 PARIS Cedex 06

To the Shareholders,

In our capacity as your Company's statutory auditors, we hereby present our report on related-party agreements and commitments.

Our role is to inform you, based on the information that has been provided to us, of the features and main conditions of the agreements and commitments that have been disclosed to us, or of which we may have become aware during our assignment, and of the reasons underlying their interest to the Company. It is not incumbent upon us to issue an opinion on their usefulness and legitimacy, or to determine whether other agreements and commitments exist. Your role, in accordance with the terms of Article R. 225-58 of the French Commercial Code, is to assess the Company's interest in entering into these agreements and commitments, with a view to their approval.

Furthermore, it is our role, where applicable, to disclose the information specified in Article R. 225-58 of the French Commercial Code on the execution of the agreements and commitments that have already been approved by the General Meeting during the past financial year.

We have performed the checks that we considered necessary, in light of the professional standards of the French National Institute of Statutory Auditors relating to this assignment. These checks consisted in ensuring that the information provided to us was consistent with the background material from which it was derived.

Agreements and commitments submitted for the approval of the General Meeting

Agreements and commitments approved during the financial year just ended

We hereby inform you that we have not been advised of any agreement made during the past financial year to be submitted for the approval of the General Meeting pursuant to the provisions of Article L. 225-86 of the French Commercial Code.

Agreements and commitments already approved by the General Meeting

Agreements and commitments approved during the previous financial years

Pursuant to Article R. 225-57 of the French Commercial Code, we have been informed that implementation of the following agreements and commitments, which had already been approved by the General Meeting in prior financial years, was ongoing during the financial year just ended.

1. Memorandum of understanding with CNP Assurances regarding life insurance, capitalisation of borrowers' insurance and pensions

Nature and purpose

The Supervisory Board meeting of 9 December 2015 authorised the renewal of the partnership with CNP Assurances and the conclusion of a distribution agreement concerning group credit insurance policies. A non-binding Preliminary Memorandum of Understanding was signed on 18 December 2015.

Terms and conditions

The purpose of the preliminary memorandum of understanding was to define the principles to be implemented within the framework of the negotiation of final contracts pertaining to the Draft Renewed Partnership Agreement, built around three major components:

- ▶ The renewal of the partnership agreement with CNP Assurances for a term of ten years, according to revised terms and conditions;
- ▶ The buyback of the entire equity interest held by CNP Assurances in La Banque Postale Prévoyance;
- ▶ The conclusion of a distribution contract with CNP Assurances on group credit insurance policies.

The general framework memorandum between CNP Assurances and your Company and its related agreements were signed on 25 March 2016.

Pursuant to the terms of these agreements, La Banque Postale:

- ▶ Received commissions of €593 million in 2018 for the distribution of insurance policies from CNP Assurances;
- ▶ Recorded income of €4.3 million for the additional contribution commission provided for in the agreement. This commission, in the amount of €75 million, is based on a forward-looking benchmark business plan agreed between the parties for a period running until the agreement expires (2025), which may be adjusted according to the business plan's execution.

The persons concerned by this agreement are the following: Philippe Wahl, Chairman of the Supervisory Board of La Banque Postale, director of CNP Assurances and Rémy Weber, Chairman of La Banque Postale's Executive Board, director of CNP Assurances.

2. Framework memorandum of understanding between La Banque Postale, Malakoff Médéric, La Mutuelle Générale and La Banque Postale Assurance Santé in relation to health insurance.

Nature and purpose

Your Supervisory Board, at its meeting of 20 January 2015, authorised the conclusion of a framework memorandum of understanding between La Banque Postale, acting jointly with SF2, Malakoff Médéric (MM), La Mutuelle Générale (LMG) and La Banque Postale Assurance Santé (LBPAS), providing for a health insurance agreement.

Terms and conditions

The framework memorandum of understanding was signed on 3 April 2015, as well as the Health Insurance Agreement, which was entered into between La Banque Postale, SF2, LMG, Malakoff Médéric Assurance (MMAss), Malakoff Médéric Santé (MMS) and LBPAS.

The Health Insurance Agreement provides that LMG and MMAss shall hold together 49% of the share capital and of the voting rights of LBPAS and that La Banque Postale shall hold 51%.

This agreement defines (i) the objectives and scope of the partnership agreement over all of the health insurance operations, (ii) the operational and commercial model for the Small Group Offer (Offre Petites Collectives), (iii) the terms for the implementation of Extra Opportunities (Opportunités Additionnelles), and (iv) the financial elements over all of the health insurance operations.

The term of the agreement is for 15 years, renewable each 5-year period.

According to the terms of this agreement, LBPAS has exclusive rights to supply products developed by the new group and La Banque Postale is the exclusive distributor for LBPAS on its distribution channels, in metropolitan France and in the overseas departments, without prejudice to the possibility that LBPAS may distribute the exclusive products through other channels authorised by La Banque Postale. Also, LBPAS may distribute the exclusive products through Remote Health Insurance Platforms.

The terms relating to the governance of LBPAS and the rules for the transfer of LBPAS securities are featured in a new shareholders' agreement signed by La Banque Postale, SF2, LMG, and MMAss in the presence of LBPAS (the "LBPAS agreement") which will take effect as from the Completion Date, replacing the Initial Agreement which shall terminate on the aforesaid date.

An amendment to this MOU was concluded on 17 January 2017; it was approved by the Supervisory Board on 13 December 2017. . It provides for an exception to the exclusivity commitments defined by the framework memorandum of understanding to authorise La Banque Postale to:

- ▶ market group health insurance contracts developed by MM Prévoyance and Quatrem and,
- ▶ put its client companies in contact with MM Prévoyance and Quatrem for the marketing of MM health contracts insured by Malakoff Médéric Prévoyance and Quatrem.

Pursuant to this framework memorandum of understanding and its first amendment, La Banque Postale received commissions related to the distribution of this new group's products, representing €18 million for the financial year ending 31 December 2018.

The person concerned by this agreement and its amendment is Mr Rémy Weber, Chairman of La Banque Postale's Executive Board, and Director of La Banque Postale Assurance Santé.

3. La Banque Postale's commitments granting compensation to Rémy Weber in the event of termination of his term of office

Nature and purpose

Subject to the approval of the Minister of the Economy, your Supervisory Board, at its meeting of 27 February 2018, authorised severance compensation to be paid to the Chairman of the Executive Board in the event of termination of his duties.

This commitment renews La Banque Postale's commitment to Rémy Weber regarding the awarding of severance in the event of termination of his term of office authorised by your Supervisory Board on 15 October 2013.

Managers concerned

Rémy Weber, Chairman of La Banque Postale's Executive Board;

Terms and conditions

Subject to the approval of the Minister of the Economy and fulfilment of the performance condition set out below, in accordance with and under the conditions provided for in Article L. 225-90-1 of the French Commercial Code, compensation will be paid to Rémy Weber, Chairman of the Executive Board, except in the case of gross misconduct or gross negligence having a material impact on the Company's financial position, in the following cases:

- ▶ dismissal during his term of office;
- ▶ merger, change of control or change of strategy leading to his departure.

Payment of this compensation shall be subject to fulfilment of a performance condition, according to which a success rate of 80 % or above in meeting the annual targets set by the Executive Board, as defined by the Supervisory Board, for two out of the last three full financial years.

The severance compensation shall be equal to a maximum of twice his fixed annual remuneration as on the day of termination of his duties.

This commitment had no impact on the financial statements for financial year 2018.

4. La Banque Postale's commitment granting compensation to Marc Batave in the event of termination of his term of office

Nature and purpose

Subject to the approval of the Minister of the Economy, your Supervisory Board, at its meeting of 27 February 2018, authorised severance compensation to be paid to the Chairman of the Executive Board in the event of termination of his duties.

This commitment renews La Banque Postale's commitment to Marc Batave regarding the awarding of severance compensation in the event of termination of his term of office authorised by your Supervisory Board on 27 February 2013 then modified by the Supervisory Board of 31 July 2013.

Terms and conditions

The initial commitment stipulated that severance compensation would be made in the event of dismissal during their term of office and in the event of a merger, change of control or change of strategy resulting in the departure of the Executive Board member, except in cases of gross misconduct or serious professional misconduct having a material impact on the Company's financial position. It also stipulated that where a director's term of office is not renewed, the decision of whether to make a compensation payment would be at the Supervisory Board's discretion, on the basis of advice received from the Appointments and Compensation Committee.

During the Supervisory Board meeting of 31 July 2013, the APE ruled out making severance compensation payments in case of non-renewal of the office term. The other terms and conditions authorised by the Supervisory Board meeting of 27 February 2013 remained unchanged.

Compensation is due subject to fulfilling a performance condition according to which a success rate of 80% or above in meeting the annual targets set by the Executive Board for two out of the last three full financial years.

The severance compensation due to Mr Marc Batave will be equal to the aggregate amount of the fixed portion of his annual remuneration for the last year, on the day of termination of his duties, and the average variable portion of his annual remuneration for the last three years.

Should an executive rejoin the public sector within two years of his or her forced departure from the Company, the compensation will be reduced commensurate with the remuneration received at that time (including bonuses).

Mr Marc Batave will be entitled to an unemployment insurance policy taken out by La Banque Postale and providing compensation capped at one year's remuneration over the chosen compensation period. This insurance policy will replace the severance compensation listed above on completion of the waiting period.

This commitment had no impact on the financial statements for financial year 2018.

The statutory auditors

Neuilly-sur-Seine, 08 March 2019
PricewaterhouseCoopers Audit

Jacques Lévi
Partner

Paris la Défense, 08 March 2019
KPMG S.A.

Marie-Christine Jolys
Partner

PERSON RESPONSIBLE FOR THE REGISTRATION DOCUMENT

11

Person responsible for the Registration Document

Rémy Weber
Chairman of the Executive Board
La Banque Postale

Statement by the person responsible for the Registration Document

I hereby certify that I have taken all reasonable steps to ensure that the information contained in this Registration Document is, to my knowledge, consistent with reality, and makes no omission likely to affect its import.

I certify that, to my knowledge, the financial statements have been drawn up in accordance with applicable accounting standards, and give a true and fair view of the assets, financial position and results of the company and of all companies included in the scope of consolidation, and that the annual management report (referred to in the correlation table of this Registration Document) provides an accurate picture of the business, results and financial position of the company and of all companies included in the scope of consolidation, together with a description of the main risks and uncertainties that they face.

I have received a letter from the statutory auditors following the fulfilment of their assignment, which states that they have checked the information relating to the financial position and financial statements provided in this document, and have read this document from end to end.

Paris, 14 March 2019,
Rémy Weber
Chairman of the Executive Board.

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12.1 REGISTRATION DOCUMENT CORRELATION TABLE

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12.2 ANNUAL FINANCIAL REPORT CORRELATION TABLE

Pursuant to Article 222-3 of the General Regulation of the French Financial Markets Authority (Autorité des marchés financiers, AMF), the annual financial report mentioned in Section I of Article L. 451-1-2 of the French Monetary and Financial Code includes the items described in the following pages of the Registration Document:

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In addition, and pursuant to Article 28 of EC Regulation 809/2004 of 29 April 2004, the following documents have been included in this Registration Document for reference purposes:

- ▶ the separate and consolidated financial statements for the 2017 financial year, together with the statutory auditors' reports on the separate and consolidated financial statements, which are shown on pages 158-162 and 223-225, respectively, of the 2017 Registration Document, filed with the AMF on 16 March 2018 under No. D. 18-0143;
- ▶ the separate and consolidated financial statements for the 2016 financial year, together with the statutory auditors' reports on the separate and consolidated financial statements, which are shown on pages 153-156 and 203-205, respectively, of the 2016 Registration Document, filed with the AMF on 14 March 2017 under No. D. 17-0164.



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Designed & published by  LABRADOR +33 (0)1 53 06 30 80
INFORMATION DESIGN



Limited Company with Executive and Supervisory Boards, with a capital of € 4,046,407,595.00
Registered office and postal address at 115, rue de Sèvres – 75275 Paris Cedex 06, France.
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LE GROUPE LA POSTE